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(800) BAR EXAM

**Multistate Essay Exam
Volume I
Review Text**

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**MicroMash® BAR REVIEW
MULTISTATE ESSAY EXAM**

REVIEW TEXT

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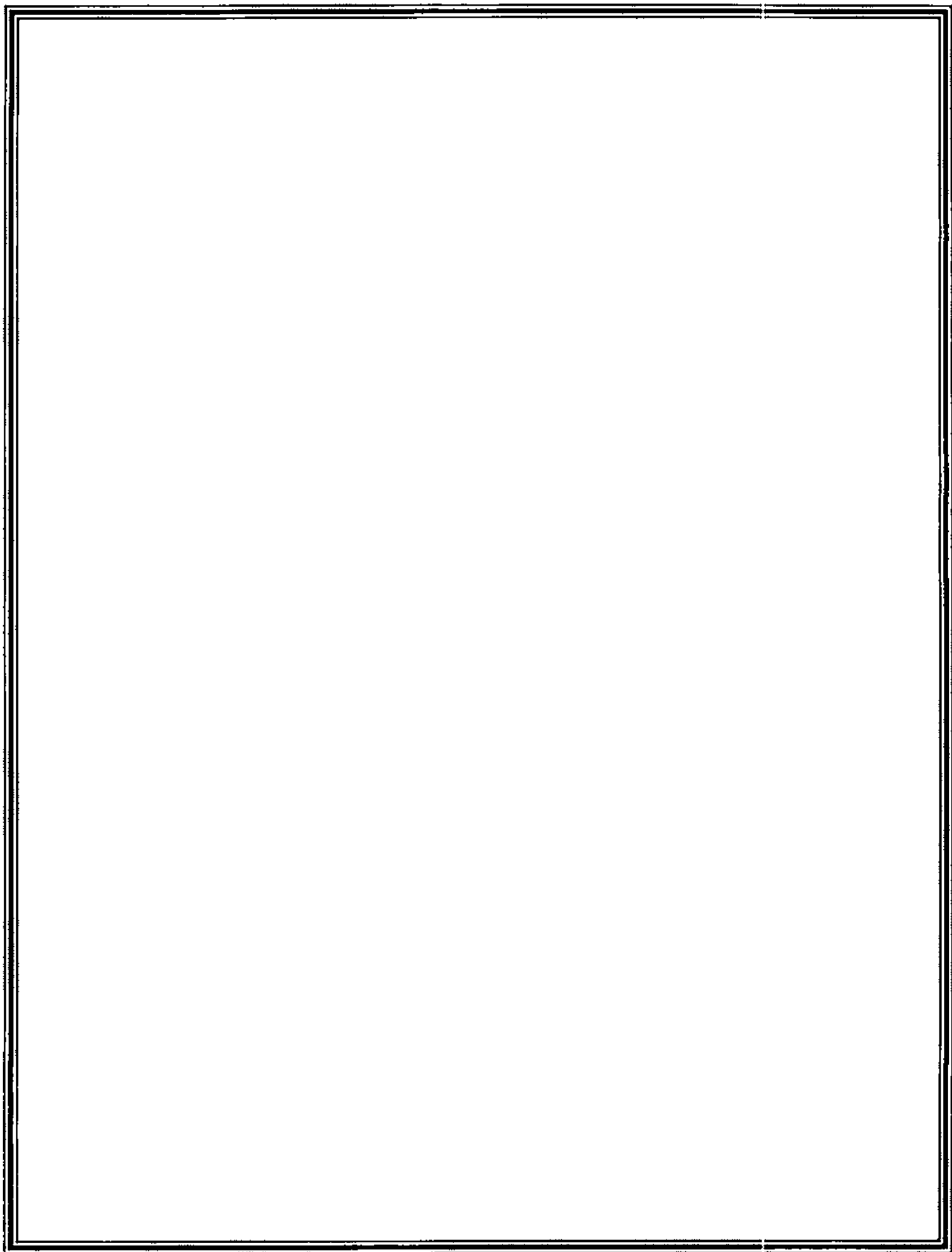
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MicroMash® BAR REVIEW

INTRODUCTION TO THE MULTISTATE ESSAY EXAM

A. EXAM FORMAT

The Multistate Essay Exam (MEE) is a set of seven essay questions prepared for each bar examination by the National Conference of Bar Examiners (the same organization that produces the Multistate Bar Exam and the Multistate Performance Test). It is designed to be used as a replacement to one three-hour session of essay questions that would normally be written by the state examiners. You are required to answer only six of the seven questions included in the MEE; you will be told which six of the questions to answer by the proctors at the examination. You should allocate approximately 30 minutes to answer each MEE question. The questions are written to test general principles of law, not any state's particular rules. Some of the questions may include issues in more than one subject area.

B. TESTABLE SUBJECTS

The subjects testable on the MEE are Agency and Partnerships, Commercial Paper, Conflict of Laws, Corporations, Decedents' Estates, Family Law, Federal Civil Procedure, Sales, Secured Transactions, and Trusts and Future Interests. Each of these subjects is covered in the MEE Review Text. For each of these subjects, the National Conference of Bar Examiners has also published an outline of the testable issues in each subject. This outline has been scrupulously followed in preparing the MEE texts to ensure that all of the issues presented in each question will be covered in your materials. Sample essay questions for practice are also provided for every subject in the MEE Questions Volume.

C. EXAM PURPOSE

According to the National Conference of Bar Examiners' MEE Information Bulletin, "[t]he purpose of the MEE is to test the applicant's ability to

- (1) **identify legal issues** raised by a hypothetical factual situation;
- (2) **separate relevant material** from that which is not;
- (3) **present a reasoned analysis** of the relevant issues in a clear, concise, and well organized composition; and
- (4) **demonstrate an understanding of the fundamental legal principles** relevant to the probable solution of the issues raised by the factual situation.

The primary distinction between the MEE and the Multistate Bar Examination (MBE) is that the MEE requires the applicant to demonstrate an ability to communicate in writing effectively."

Many jurisdictions that use the MEE also require examinees to answer questions prepared by that jurisdiction's bar examiners in the other session on the same day that the MEE is

administered (either the Tuesday before or the Thursday after the Multistate Bar Exam, depending on the jurisdiction).

Example: If the MEE is given in the afternoon in the jurisdiction (as it is in a 1 jurisdictions in the Eastern and Central time zones), the state will have a set of questions prepared by the jurisdiction to answer in the morning.

The state may test similar or different subjects on its state questions, but in all likelihood, there will be a great deal of overlap between the subjects tested on the MEE and those tested on the state's questions. For every subject that is testable on both portions, the examinee should start with preparation for the MEE, emphasizing the general principles of law which will likely be the focus of both MEE and state questions on the subject. Then, if the student has the inclination and the time, the student may turn to the state "MEE Differences" chapters in the state books, which will detail the state's specific rules on the topics covered in the MEE chapters, where required.

Note that although the MEE questions are the same in each state, the answers are usually graded by state bar examiners according to state-specific law. The information in the MicroMas 1 MEE Review Text and Review Questions Text is based on generic law. Consult your state-specific Review Texts to learn the differences between the generic MEE law and the state in which you are taking the exam. **Without state-specific law, you will not be prepared for the MEE portion of your state's bar exam.**



MicroMash®

**MULTISTATE ESSAY EXAM REVIEW
AGENCY AND PARTNERSHIPS**

MicroMash® BAR REVIEW
MULTISTATE ESSAY EXAM
AGENCY & PARTNERSHIPS

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AGENCY & PARTNERSHIPS

PART I: AGENCY

I. THE NATURE AND SCOPE OF AGENCY

A. DEFINITION

Agency is a consensual fiduciary relationship wherein one person, the agent, agrees to act for and under the direction or control of another, the principal. *Restatement (Second) of Agency* §1.

B. SCOPE

Included within the scope of agency are the relationships between master and servant, employer and independent contractor, and principal and agent. Generally, issues concerning the master-servant and employer-independent contractor relationships arise in the context of tort liability, whereas issues concerning the principal-agent relationship arise in the context of contract liability.

1. Master And Servant

The master-servant relationship is an employment relationship in which the master has the right to control the details of the physical conduct of the servant in the performance of the service, not only as to the result but also as to the means to be used to achieve the result. Under the doctrine of respondeat superior, a master is generally liable for the torts of his servant committed within the scope of his employment.

2. Employer And Independent Contractor

The employer-independent contractor relationship is also an employment relationship. However, the employer, unlike the master in the master-servant relationship, has no right to control the details of the performance of the independent contractor. The distinction between the master-servant relationship and the employer-independent contractor relationship lies in the right to control, i.e., the degree to which the employer **could** intervene in the control of the employee's manner of performance.

3. Principal And Agent

An agent is retained by the principal to deal contractually with third parties, and the principal has the right to control the agent in the performance of the business dealings. The relationship arises from a contractual agreement between the parties and gives rise to a fiduciary duty owed by the agent to the principal.

a. Disclosed, undisclosed, and partially disclosed principals

A principal is disclosed if, at the time of the transaction, the third party has notice that the agent is acting for a principal and of the principal's identity. If the third party has no knowledge of the existence or identity of a principal, the principal is undisclosed. A partially disclosed principal is one whose existence but not identity is known to the

third party. **An agent who enters into a contract for an undisclosed or partially disclosed principal is personally liable on the contract.** An agent for a fully disclosed principal does not ordinarily incur personal liability.

b. Right to hold third parties contractually liable

In a disclosed principal situation, only the principal, not the agent, may file a lawsuit to enforce the contract and hold the third party liable. In partially disclosed and undisclosed principal situations, either the principal or agent may file a lawsuit to enforce the contract and hold the third party liable; however, only the principal is entitled to recovery.

c. General and special agents

A general agent is continuously employed to conduct a series of transactions. A special agent is employed to conduct a single transaction or a small group of transactions. The import of the distinction lies in the doctrine of inherent agency power, discussed *infra*.

II. CREATION OF THE AGENCY RELATIONSHIP

A. FORMALITIES

Usually, no particular form is required to create an agency relationship. It need not be created by a writing, but may be accomplished orally or by the conduct of the parties.

B. CAPACITY

1. Agent

a. In general

Anybody with minimum mental capacity may act as an agent. Accordingly, both minors and incompetents may act as agents. The agent will be endowed with the same capacity as the principal.

b. Partnerships

In a partnership, each partner is an agent for the partnership and for the other partners, and the act of a partner apparently carrying on the partnership business in the usual way binds the partnership, unless the partner does not have authority in the matter and the person with whom he is dealing knows he lacks authority.

c. Dual agency

One may not be an agent for two adverse parties to a transaction unless both parties are fully advised and give their consent. The burden is upon the agent to show full disclosure and consent.

2. Principal

Any person who has capacity to effect his own transactions has capacity to appoint an agent to act on his behalf. *Restatement (Second) of Agency* §20. For example, an incompetent may not act as a principal. A minor generally cannot act as a principal except when contracting for necessities. A corporation may act as a principal only as to matters within its corporate powers.

C. PROOF OF AGENCY

Existence of an agency relationship may be established by circumstantial evidence. Relevant factors include the situation of each party, their words, and their actions.

1. Burden Of Proof

The existence of an agency relationship is ordinarily a question of fact for the jury, and the burden of proof rests with the party asserting the relationship. It is to be determined from all the evidence, direct or circumstantial, and must be proved by a fair **preponderance of the evidence**. It will not be implied solely from the showing of a family relationship.

2. Testimony Of Alleged Agents

While an alleged agent may be called as a witness to testify to facts from which an agency relationship may be found, he may not testify to his conclusions on the matter. Statements of the alleged agent made out of court are inadmissible to prove agency. Such statements are not competent as admissions by the principal, binding upon him, in the absence of independent evidence of the authority of the alleged agent to make them.

D. PRESUMPTION OF AGENCY IN MOTOR VEHICLE OPERATION

At common law, the owner of a motor vehicle is not presumed liable for the negligent use of the vehicle by another. A number of states, however, have enacted statutes that create a presumption that the driver of a motor vehicle is operating as the agent of the owner. In such a case, the owner of the automobile is liable for the negligence of any person operating the vehicle with the express or implied permission of the owner. If the presumption of agency is rebutted, the owner can be held directly liable for the owner's own negligence in entrusting the car to an unfit person.

III. POWER OF AGENT TO BIND PRINCIPAL

A. GENERAL RULE

An agent, acting within the scope of his authority, may bind his principal in contract.

B. SCOPE OF AUTHORITY

Generally, a principal may be bound to contracts executed by an agent if it is within the agent's authority to contract on behalf of that principal. An agent's authority may be either **actual** or **apparent**.

1. Actual Authority

Actual authority is granted by the principal to the agent and may be either express or implied.

a. Express authority

Express authority is conferred on the agent by the principal's communication to the agent. If the principal errs in his communication, the agent's actual authority includes that which was mistakenly communicated. Thus, if A tells B to purchase Blackacre, B has the express authority to purchase Blackacre even if A meant to tell B to purchase Whiteacre.

b. Implied authority

Implied authority authorizes an agent to use all means reasonably necessary to accomplish acts that have been expressly authorized. Generally, an agent is authorized to do anything that is reasonably regarded as incidental to work specifically directed or that is usually done in connection with such work.

1) Delegation of authority

An agent who solicits orders and sends them to his principal to be filled has no implied authority to receive payment for the goods. An agent has no authority to delegate his authority to a subagent unless expressly authorized to do so or unless such authority could be necessarily implied.

2) Emergency situations

An agent is impliedly authorized to take reasonable measures in an emergency situation when the principal is unavailable.

2. Apparent Authority

A person may be liable for contracts made on his behalf by one purporting to be his agent where he has held out the other to a third party as having the authority to act for him. The third party must reasonably rely to his detriment upon the authority of the purported agent. The principal is estopped to deny the agent's authority.

Example: If a corporation permits its agent to deal in a manner that leads third parties to reasonably believe the agent is authorized to bind the corporation to contracts, the corporation may be bound even if the agent acts beyond the scope of his actual authority.

Generally, a mere reasonable belief that the agent is authorized does not impose liability on a principal. A third party must show acts or statements by the principal on which the third party reasonably relied to his detriment. A principal's holding out may be accomplished by words, conduct, or by a failure to act (e.g., by failure to notify customers of the termination of an actual agency).

3. Inherent Agency Power

The authority conferred by a principal on his agent may be general in nature (a general agency), or limited in scope (a special agency).

a. General agents

A general agent is employed by a principal to transact all of his business of a particular kind. For example, a principal may employ a salesman to sell his goods of a particular type, or a broker to negotiate all of his contracts of a particular description. The authority of a general agent to perform all things usual in the line of business in which he is employed cannot be limited by any private order or direction (secret instructions), not known to the party dealing with him.

b. Special agents

A special agent, on the other hand, is employed by the principal specially for one transaction. Travel agents and real estate brokers are examples of special agents. For example, a principal may employ a real estate agent to sell Blackacre. A special agent has no authority to bind his principal beyond the terms of the specific authority conferred upon him by the agreement for employment.

c. Liability imposed

Inherent agency power imposes liability on a principal despite the agent's lack of either actual or apparent authority where the principal has placed the agent in a position to mislead the third party. In this case, liability is imposed to protect the interests of innocent third persons. For example, where the agent exceeds his actual authority but his conduct is similar to that authorized, the principal will be liable. Thus, if P hires A to employ a caterer for one day at a price not to exceed \$50, and A hires C for \$60, P may be held liable.

d. Scope of authority

However, whether an agent is a special or general agent, the authority to conduct a transaction or transactions includes authority to perform those acts that are incidental to the transaction, i.e., acts that are reasonably necessary to accomplish it. Secret instructions limiting such incidental powers are not binding on a third party dealing with the agent unless the third party becomes aware of them prior to the making of the contract.

C. IMPUTED KNOWLEDGE

The knowledge of an agent is imputed to his principal. For knowledge to be imputed, the agent must have a duty to speak to his principal about the specific item of knowledge. However, knowledge is generally not imputed when the agent is acting adversely to the principal and for his own or another's benefit.

IV. RATIFICATION

A. IN GENERAL

A person may be liable for contracts made on his behalf by subsequently ratifying the conduct of the purported agent. Ratification requires intent by the party to ratify the act. Intention to ratify may be inferred from the totality of the circumstances, and may be shown by words, conduct, or silence.

B. ACTS THAT MAY BE RATIFIED

Any act that a person could have authorized or performed **at the time the act was done** may be ratified. The principal must ratify the entire act and take the burdens with the benefits.

1. Necessary Elements

Three conditions must exist for a valid ratification:

- a. The principal must have knowledge of all material facts regarding the transaction at the time of his affirmance.
- b. The agent must have intended to represent the principal at the time of the act.
- c. The ratifying party must have been in existence at the time of the act.

Example: A corporation cannot ratify acts done on its behalf prior to incorporation. *Restatement (Second) of Agency*, §84, comment (d).

2. Revocability Of Ratification

Once a transaction is ratified, it is irrevocable unless voidable for fraud, duress, illegality, lack of capacity, or lack of knowledge by the principal. *Restatement (Second) of Agency* §102.

C. DISALLOWANCE OF RATIFICATION

A ratification will not be allowed, even though all the requisites for a valid ratification are present, if a ratification would prejudice the rights of innocent third parties. *Restatement (Second) of Agency* §89.

Example: If A contracts to sell P's house to B without P's authority, and the house is destroyed by fire, P's later ratification of A's act will not bind B. (However, if B still wishes to proceed, the changed circumstances will not prevent his doing so.)

D. RETROACTIVE EFFECT OF RATIFICATION

Generally, a ratified transaction is given retroactive effect, but ratification by a principal who did not have capacity when the transaction took place is effective only from the date of ratification.

Example: One who was a minor at the time of the transaction may ratify upon reaching the age of majority, but the ratification is effective only from the time of the ratification.

V. VICARIOUS LIABILITY OF PRINCIPAL FOR ACTS OF AGENT

A. RESPONDEAT SUPERIOR

Under the doctrine of respondeat superior, a master is liable for the torts of his servant committed while the servant is acting within the scope of his authority and while engaged in the master's business. This liability is joint and several inasmuch as the victim may recover in full from either the employer or the employee. The rationale of respondeat superior is that every person who manages his or her affairs through others remains bound to manage them so that third persons are not injured by any breach of legal duty on the part of those hired to transact the business.

Independent of the respondeat superior theory of liability, an employer may also be liable for a third party's injury due to the employer's own negligence in failing to select an employee fit or competent to perform the services of employment. In addition, an employer may also be found directly liable for failing to provide adequate supervision or for entrusting an employee with certain responsibilities outside the realm of his capabilities.

1. Scope Of Employment

The *Restatement (Second) of Agency* §229 lists the following factors as being relevant in determining whether an employee is acting within the scope of his employment:

- a. whether the act is one commonly done by such servants;
- b. the time, place, and purpose of the act;
- c. the previous relations between master and servant;
- d. the extent to which the business of the master is apportioned between different servants;
- e. whether or not the act is outside the enterprise of the master or, if within the enterprise, has not been entrusted to any servant;
- f. whether or not the master has reason to expect that such an act will be done;
- g. the similarity in quality of the act done to that authorized;
- h. whether the instrumentality by which the harm is done has been furnished by the master to the servant;
- i. the extent of departure from the normal method of accomplishing an authorized result; and
- j. whether the act is seriously criminal.

An act is not within the scope of employment if done for the employee's purposes only. Unless the tort occurred at least in part to serve the master, he will not be held liable. But, an employee may still be acting within the scope of his employment even while disobeying his master's orders.

2. Deviations From Authorized Routes

a. Frolic and detour

A master will not be liable if the servant has substantially deviated from the authorized route, but will be liable if the deviation is slight. The extent of the deviation is a question of fact. In general, courts consider the advancement of the master's interests, whether the accident occurred before or after the master's objective was served, the scope of the deviation in terms of time and distance, and whether the deviation was in keeping with the type of employment.

Example: A substantial deviation would occur where a servant garage employee picked up an automobile for repairs and instead of driving it directly to the garage, was involved in a collision while traveling in the opposite direction to his home for breakfast.

Example: A slight deviation would occur where a servant on his employer's business chose a route longer than the authorized route, but which was smoother with less traffic. Thus, a servant need not take the most direct route to his destination in order to be acting within the scope of his employment.

b. Employee driving own automobile

A master-servant relationship may be found even though the negligent employee was using his own automobile and choosing his own route and speed at the time of the accident. For example, where a driver uses his own vehicle for his employer's business with both the consent and encouragement of his employer, use of the vehicle may be found to be within the scope of the driver's employment.

B. RIGHT TO CONTROL

1. Master-Servant vs. Employer-Independent Contractor

While an employer is generally liable for the torts of his servant committed within the scope of his employment, an employer is generally not liable for the torts of an independent contractor who has been selected with due care. Thus, the primary question to be answered in determining an employer's liability is whether an employee is a servant or an independent contractor.

The two relationships are distinguished by whether the employer has the right to control the employee not only as to what shall be done, but also as to how it shall be done. It does not matter whether or not the right to control is exercised, only that it exists. Generally, if the right to control rests with the employer, there is a master-servant relationship, but if the right to control rests with the employee, there is an employer-independent contractor relationship.

Although no test is conclusive in determining the right to control, the following factors are especially helpful:

a. Method of payment

Payment by the hour or day is consistent with a master-servant relationship; payment of a flat sum for a particular job is consistent with an employer-independent contractor relationship.

b. Length of employment

A longer period of employment is consistent with a master-servant relationship; sporadic or shorter-term employment is consistent with an employer-independent contractor relationship. However, an employment contract is not a requirement of a master-servant relationship.

c. Distinct business

A distinct business of the employee, which differs from the business of the employer, is consistent with an employer-independent contractor relationship.

d. Supervision

A higher degree of supervision by the employer is consistent with a master-servant relationship.

e. Skills required

It is more consistent with a relationship of employer-independent contractor to have an employee who is much more skilled in the performance of his task than the employer, because the employer in such a situation is less able to control the details of the employee's work. *Restatement (Second) of Agency* §220(b) and (d). An unskilled laborer is usually a servant.

A person may be a servant as to one part of an undertaking and an independent contractor as to another part.

2. Police Officers

Often, police officers are employed by a private person to perform such services as directing traffic or maintaining order. Tort liability depends on the extent to which the private person has the right to control the activities of the officer. If the tort arises from an activity for which the officer has been given instructions by the employer, then the employer may be liable.

3. Borrowed Servants

A person who is generally the servant of one master may become the "borrowed" servant of another. Typically, the borrowed servant is one who is doing the work of a third party, but is being paid by the original master. If the master who loaned the servant does not continue to exercise control over the servant, he will not be liable even though he continues to pay the servant. Important factors in determining whether control has been completely transferred to the new master include the manner of hiring, the mode of payment, the right to discharge, and the manner of direction of services. There is a

rebuttable presumption that the original master maintains the right to control the servant, but if the borrowed servant commits the tort at the bidding of the borrower, vicarious liability attaches to the borrower. If the original master and the borrowing master jointly control the activities of the servant, they may both be held liable for his tortious acts. *Restatement (Second) of Agency* §227. Generally, liability will attach to the master who had the primary right of control over the act at issue.

4. Temporary Servants

A person may be a servant for the commission of one act. For example, if a service station owner asked someone not usually employed by him to move an automobile, the owner could be held liable for the negligent operation of the vehicle by that person.

C. LIABILITY FOR THE TORTS OF AN INDEPENDENT CONTRACTOR

1. In General

No liability attaches to an employer who uses due care in the selection of an independent contractor.

2. Exceptions

a. Inherently dangerous situations

Work is inherently dangerous where the nature and circumstances of the work to be performed are such that injury to others will probably result unless precautions are taken, e.g., blasting or demolition work. An employer is answerable for the failure of the independent contractor to take such precautions. *Restatement (Second) of Agency* §251.

b. Nuisance

Where the nature of the work is such that a nuisance will be created unless guarded against, the employer will be liable.

c. Dangerous disrepair

Where the employer's premises are in a state of dangerous disrepair and an independent contractor is employed to correct the situation, the risk of harm due to the disrepair cannot be delegated to an independent contractor by the owners of the premises. In addition, a contractor owes a duty, which he may not delegate, to provide a safe work environment for a subcontractor.

d. Nondischargeable duties

Certain relationships impose a duty of care that cannot be discharged even by the employment of a carefully selected independent contractor. For example, the duty of ordinary care owed by a landlord to a tenant for areas under the landlord's exclusive control may not be satisfied merely by the careful selection of an independent contractor.

D. LIABILITY FOR INTENTIONAL TORTS

1. In General

A master may be held liable for his servant's intentional torts if the act was done in the course of doing the master's work, and for the purposes of accomplishing it. A controlling factor is whether a master-servant relationship existed with respect to the particular transaction from which the tort arose. The trend is to extend a master's liability for a servant's intentional torts to situations where the type of employment provides a peculiar opportunity and incentive for the commission of an intentional tort. Thus, where argument is likely to be part of the servant's duties, and such conduct is wholly or partially in furtherance of the master's business, e.g., as a bouncer or bill collector, liability will be imposed on the master for those intentional torts that arise from the argument.

2. Limits Of Liability

If an assault and battery was committed by a servant in the course of doing the master's work, and for the purpose of accomplishing it, then it is no defense to the master that he had previously instructed the servant not to use force in the performance of his duties, or that the work for which the servant was hired would not incidentally involve the use of force. However, where an employee's purpose in committing an assault and battery is to vent personal anger, respondeat superior will not apply.

3. Public Carriers

A master is even more likely to be held liable for the intentional torts of his servant in public carrier cases. A cab company has been held liable to a customer for an assault and battery committed by the driver on the customer. Despite the defendant's argument that the servant was not acting within the scope of employment when he committed the tort, the court held that the carrier is absolutely liable for injuries to a customer caused by the misconduct of a servant while engaged in the performance of his contract of carriage.

E. SUBSERVANTS

A subservant is a servant of a servant who performs certain acts for the master. A master is liable only for the torts of a subservant engaged with his express or implied authority. A servant generally has the implied authority to use those means reasonably necessary to accomplish an authorized act, and may have the implied authority to hire a subservant, usually as an assistant, when consistent with past practice and warranted by present circumstances. In addition, a servant has the implied authority to appoint a subservant in an emergency situation when the master cannot be contacted.

F. PRINCIPAL'S LIABILITY FOR THE TORTS OF AN AGENT

1. Nonphysical Torts

Generally, a principal is liable for the nonphysical torts of his agent such as deceit, defamation, and interference with contractual or advantageous relations.

2. Physical Torts

A principal will be liable for the physical torts of his agent if, at the time the tort was committed, the agent was also a servant. For example, if a salesman commits a battery upon a customer or negligently strikes a pedestrian with his automobile, the principal's liability depends on whether at the time the tort was committed he had the requisite control over the agent to constitute a master-servant relationship. Again, the tort must have been committed within the scope of the agent's employment while furthering the principal's business.

G. PROCEDURAL CONSIDERATIONS

Liability of a master under the doctrine of respondeat superior is vicarious, and thus, the master and servant are not joint tortfeasors; however, both master and servant may be joined procedurally. Such procedural joinder does not create joint liability. The master is entitled to indemnification from his servant.

H. SUMMARY ANALYSIS OF TORT LIABILITY

1. Questions Presented

A hires B to perform a service for A. B negligently injures C. Is A liable to C?

- a. Is B a servant of A or an independent contractor?
- b. If B is a servant, was he acting within the scope of his employment and on the business of A when the act occurred?
- c. If B is an independent contractor, did the act fall under one of the four exceptions to the general rule of the employer's nonliability?

2. Analysis Of Liability

If B is a servant acting at the time of the accident within the scope of his employment and on the business of A, or if B is an independent contractor and the situation falls under one of the exceptions, then A is liable for B's negligence resulting in injury to C.

C may sue A or B in separate actions or join them procedurally. C, however, is only entitled to one recovery. If A had not in any way participated in B's tortious conduct, he is entitled to indemnification from B. If he did participate, he is entitled to contribution but not indemnification.

VI. DUTIES, RIGHTS, AND REMEDIES OF PRINCIPAL, AGENT, AND THIRD PARTIES

A. FIDUCIARY DUTY OF AGENT TO PRINCIPAL

The agent owes a fiduciary duty to the principal and is liable for any breach of that duty. Thus, if an agent were to act for two adverse principals, without their knowledge and consent, he would not be entitled to compensation from either. The agent owes a duty of undivided

loyalty and has a duty to disclose any information relevant to the agency relationship. The agent also has a duty of obedience and reasonable care.

Although an agent has no duty to abstain from competition with his principal after termination of the agency, he has a duty not to use trade secrets revealed to him in confidence or surreptitiously discovered by him during the course of his employment.

B. REMEDIES OF A PRINCIPAL AGAINST HIS AGENT

1. In General

The remedies of a principal against his agent are:

- a. An action on the contract of service (however, specific performance of an agency contract is not available);
- b. An action for losses and the misuse of property (in tort or in contract, depending on the circumstances);
- c. An action in equity to enforce the provisions of an express trust undertaken by the agent;
- d. An action in restitution, either at law or in equity;
- e. An action for an accounting (either where there is no adequate remedy at law, or where there is a close fiduciary relationship in equity);
- f. An action for an injunction (usually against a conveyance the agent has apparent authority to make. This remedy may not be used in aid of specific performance of the employment contract);
- g. Set-off or counterclaim (if sued by agent);
- h. Impleading agent as third-party defendant;
- i. Self-help (if recapture of the property can be accomplished peaceably);
- j. Discharge; or
- k. Refusal to pay compensation, or rescission of the contract of employment.

Restatement of Contracts §§347-357; *Restatement (Second) of Agency* §395.

2. Statute Of Limitations

The choice of remedies may be determined by the statute of limitations.

C. DUTY OF PRINCIPAL TO AGENT

1. Compensation

The agent is entitled to reasonable compensation for his services, but he is not entitled to compensation if he breaches his fiduciary duty to the principal. An agent is held to perfect good faith in his dealings with his principal, and if he acts adversely to his employer in any part of the transaction or omits to disclose any interest that would naturally influence conduct in dealings with the subject of the employment, it amounts to such a fraud upon the principal as to forfeit any right to compensation for services. In addition, a principal has no duty to compensate a subagent, even if the agent has the authority to hire subagents, unless the principal explicitly agrees otherwise. If a principal terminates the agency before payment of commissions due the agent, he will likely be liable for payment of such commissions.

If an agent acts for two principals with adverse interests, without their knowledge and consent, he may not recover a commission from either. *Restatement (Second) of Agency* §469.

2. Indemnification

An agent is entitled to indemnification by the principal for liability incurred while performing lawful acts in good faith, upon the authority of the principal.

D. REMEDIES OF AN AGENT AGAINST HIS PRINCIPAL

In proper circumstances, the agent may:

- Maintain an action at law (for damages on the employment contract);
- Obtain a decree for an accounting or other equitable relief (if remedy at law is inadequate or if there is a close fiduciary relationship);
- Maintain a claim of set-off or a counterclaim (if sued by the principal);
- Refuse to render further services;
- Exercise the rights of a lien holder (until paid compensation for his agency or where he has advanced funds or incurred liability with respect to the property ; or
- Stop goods in transit (under circumstances of (e) above).

Restatement (Second) of Agency §463.

E. LIABILITY OF AGENT TO THIRD PARTIES

An agent for a disclosed principal is not personally liable to third parties.

An agent for a partially disclosed or undisclosed principal is personally liable to third parties. To avoid personal liability, the agent must disclose not only that he is acting in a representative capacity, but also the identity of his principal. Disclosure of the principal after the execution of the contract will not relieve the agent of liability. However, the third party must then elect to sue **either** the principal **or** the agent, as discussed *infra*.

F. LIABILITY OF PRINCIPAL TO THIRD PARTIES

A disclosed principal is always liable to third persons on contracts entered into by an authorized agent.

A principal may be held liable for punitive damages based on wrongful acts of his agent if he participated in the wrongful act, authorized it or ratified it.

Only those persons whose names appear on an instrument may be held liable. Under U.C.C. §3-401, an undisclosed principal is not liable on a negotiable instrument executed by his authorized agent.

G. ELECTION TO SUE PRINCIPAL OR AGENT

Upon learning of the identity and existence of an undisclosed principal, the third party may be required to elect to sue either the principal or the agent. To be binding, the election to sue must be made with knowledge of the fact of the undisclosed principal. Thus, suit brought against an agent prior to learning the identity of the principal does not act as a waiver of the third party's rights against the principal (i.e., there is no "election" in such a situation). Having made an election to sue either the principal or agent, the third party may not thereafter hold the other liable.

VII. TERMINATION OF THE AGENCY RELATIONSHIP

A. GENERAL RULE

1. Terminable At Will

An agency relationship is generally terminable at the will of either party. If an agency is set up for a specific time, an agent's authority will automatically terminate at the end of that time. Where no duration is specified, the relationship is terminable at the will of either party upon giving of reasonable notice.

2. Bankruptcy, Death, Or Loss Of Capacity

The death or loss of capacity of either party or bankruptcy of the principal terminates the agency. A drastic change in circumstances or a breach of the agent's fiduciary duty also terminates an agency.

3. Breach Of Contract

The ability to terminate an agency at will does not preclude either party from institution of a breach of contract action. *Restatement (Second) of Agency* §455. For example, if P hired A for two years and terminated the relationship after six months, A could sue P for breach of contract.

B. EXCEPTIONS

An agency is not terminable at the will of either party in the following situations.

1. Agency Coupled With An Interest

An agency coupled with an interest exists when the agent has an interest in the subject matter of the agency. For example, where an insurance policy gives the insurer the right to settle, the agreement binds the insured despite his dissent.

2. Power Given For Security

A power given for security exists when the agency was created for the purpose of the payment of a debt owed by the principal to the agent. An example is an agreement giving the mortgagee the power to collect and apply rents from mortgaged premises.

C. NOTICE OF TERMINATION TO THIRD PARTIES

When the agency is terminated by death, loss of capacity, or bankruptcy, no notice need be given to third parties. When the agency is terminated by the parties, notice must be given by letter or orally to all who have dealt with the principal through the agent. If no notice is given, the principal may be liable on subsequent contracts by the apparent authority of the agent. Notice by publication is sufficient in the case of partnership dissolution.

PART II: PARTNERSHIPS

Note: These notes are based on the Uniform Partnership Act and on general principles of partnership law followed by a majority of jurisdictions. The Uniform Partnership Act (UPA) has been enacted in some form by almost all the states.

Likewise, most states have adopted a version of the Revised Uniform Limited Partnership Act (RULPA) of 1976. Another revised version was approved by the National Conference of Commissioners on Uniform State Laws in 1985. Prior to RULPA, most states followed the Uniform Limited Partnership Act (ULPA). Accordingly, these notes will focus, in the context of limited partnerships, on the provisions of RULPA. To the extent RULPA significantly differs from the substantive provisions of ULPA, the changes will be noted.

VIII. CREATION OF PARTNERSHIPS

A. GENERAL PARTNERSHIPS

1. Description

A partnership is "an association of two or more persons to carry on as co-owners a business for profit." UPA §6(1). The definition of "person" includes individuals, corporations, societies, associations, and partnerships. UPA §2. "Business" includes "every trade, occupation, or profession." UPA §2.

The R.U.P.A. defines a "person" to include an individual, corporation, partnership, association, joint venture, or any other legal or commercial entity. RUPA §101(9).

Generally, a partnership is not recognized as a separate entity (as a corporation is), but rather as an aggregate of the partners. UPA §8(3).

2. Formation

A partnership is based on an agreement between the partners; there are no particular formalities or statutory requirements for formation. A partnership contract may be oral and may be inferred from the conduct of the parties.

a. Partnership vs. joint venture

Joint ventures are similar to partnerships. As a general rule, a joint venture may be described as an association contemplating a single transaction or related series of transactions, as compared to a partnership, which is generally said to be carrying on a business. *United States v. Standard Oil of California*, 155 F. Supp. 121 (S.D.N.Y. 1957). The fact that the individuals involved refer to themselves as either partners or joint venturers is not determinative of their relationship, but is a factor to be considered. Although the Uniform Partnership Act does not specifically apply to joint ventures, courts have applied the same rules of law.

b. Capacity**1) Capacity to contract**

Any person who has the capacity to enter into a contract can enter into a partnership agreement. Partnerships, societies, and other associations also may enter into partnerships with other persons or entities. A corporation may be a partner in any business enterprise that the corporation would have power to conduct by itself so long as the enterprise is appropriate under the corporation's articles and bylaws.

2) Voidable by minors

A minor can enter into a partnership, but he may void the partnership agreement on the basis of his infancy. However, his investment in the business is subject to the claims of creditors; some jurisdictions have also subjected his investment to the claims of partners who have not dealt with him fraudulently.

c. Tests of partnership

The key test of whether a partnership has been formed is the **intent of the parties**. An express agreement is the best indicia of intent. If the partnership agreement was implied, however, other factors must be considered. A partnership may exist despite the absence of a written agreement. *Bailes v. Bailes*, 549 S.W.2d 69 (Ark. 1977). The court may consider such evidence as the sharing of profits, the management practices of the entity, amount and type of services rendered by the parties, and the record title to any real or personal property used by the entity.

1) Sharing of profits

Under UPA §7, the receipt by a person of a share of the profits of a business is prima facie evidence that he is a partner in the business. However, no such inference may be drawn if the profits were received in payment:

- (a) of a debt by installments or otherwise;
- (b) as wages of an employee or rent to a landlord;
- (c) as an annuity to a surviving spouse or representative of a deceased partner;
- (d) as interest on a loan, even though the amount of payment varies with the profits of the business; or
- (e) as the consideration for the sale of the goodwill of the business or other property by installments or otherwise.

It is not statutorily required that there be a sharing of losses to create a partnership. In the absence of a contrary agreement, the partners share losses in proportion to their share in the profits.

2) Sharing of gross returns

The sharing of gross returns does not of itself establish a partnership, whether or not the persons sharing them have a joint or common right or interest in any property from which the returns are derived. For example, a lease by which the lessee shares a percentage of the gross receipts with the lessor does not in itself establish a partnership.

3) Common property

Joint tenancy, tenancy in common, tenancy by the entirety, joint property, common property, or part ownership does not of itself establish a partnership, regardless of whether the owners share any profits made by the use of the property. Thus, for example, if two persons, in undertaking a real estate development, took title to the property as tenants in common they would not thereby form a partnership.

4) Control

Partners, as the co-owners of the business, must have the power of ultimate control. If a person shares in the profits, but lacks any power to control, he is probably an agent, and is receiving his profit share merely as an incentive or a bonus, unless the agreement shows a contrary intent. *Shain Inv. Co., Inc. v. Cohen*, 15 Mass. App. 4, 443 N.E.2d 126 (1982).

d. Partnership by estoppel

Even if a voluntary partnership does not exist, liability may be imposed on one who has let it appear that he is in a partnership if a creditor is thereby misled. UPA §16.

1) Liability for holding out as partner

When a person, by words or conduct, represents himself to be a partner in an existing partnership or with one or more persons not actually partners, he is liable to anyone who has extended credit in reliance on the representation of partnership. A person is likewise liable if he has consented to such a representation by another. If the representation is privately made, it may be relied on only by those to whom it was made. If a representation was publicly made (e.g., by newspaper) the "apparent partner" is liable to anyone who has knowledge of it and relied thereon; the particular way in which the representation came to the third party's attention need not have been with the apparent partner's consent, as long as he made or consented to some sort of public representation. If a partnership liability results, the apparent partner is liable as though he were a partner; if no partnership liability results, he is liable jointly with the others consenting to the representation.

2) Agency created by holding out

When a person has been represented to be a partner in an existing partnership or with others in a nonexistent partnership, he is an agent of those consenting to the representation, and he can bind them as if he were in fact a partner. If all the

members of the partnership consent to the representation, any liability is a partnership obligation; otherwise, it is a joint obligation of those consenting. UPA §16(2).

B. LIMITED PARTNERSHIPS

1. Description

a. In general

A limited partnership consists of general partners, who manage the business and are personally liable without limitation for partnership obligations, and limited partners, who contribute capital and share in profits, but take no part in the control or management of the business; the limited partners' liability is limited to their contributions. A limited partnership's principal advantages are that it provides limited liability for the limited partners (as in a corporation) and direct deduction of expenses or losses against their other income by all partners (as in a general partnership).

b. Revised Uniform Limited Partnership Act

The Uniform Limited Partnership Act was approved by the National Conference of Commissioners on Uniform State Laws in 1916 and adopted by all jurisdictions except Louisiana. In 1976, the Uniform Limited Partnership Act (ULPA) was revised in several respects, and most jurisdictions have now adopted a version of the Revised Uniform Limited Partnership Act (RULPA). A new revision adopted in 1985 has not yet been enacted in many states. The next section of the summary is based on the rules under the 1976 RULPA, with reference to ULPA in areas of substantive change, and with further comment on areas of change proposed by the 1985 version. **However, the MEE Bulletin says that the questions are based on general law, and will not be designed to test on specific differences among the various Acts.**

2. Formation

A limited partnership is formed by filing with the state a signed certificate, detailing the incidents and composition of the business, the name of the entity, including the words "limited partnership," and the identity of the partners and their shares. The 1985 RULPA makes the formation of limited partnerships easier by reducing the amount of information required in the certificate and by allowing the certificate to be signed by only the general partners. Thus, only the general partners have a duty to amend the certificate and potential liability for false statements on which a third party relies.

3. Doing Business

A limited partnership must continuously maintain an office and a resident agent for the service of process in the state where it is organized. RULPA §104. The limited partnership must maintain a current list of the names and addresses of all partners, copies of the certificate of limited partnership and the partnership agreement and all income tax returns and financial statements for the immediately preceding three years. These

documents must be available for inspection and copying by any partner during business hours. RULPA §105.

A limited partnership may carry on any business that a general partnership is allowed to carry on. Except as provided in the partnership agreement, a partner may lend money to and transact other business with the limited partnership and has the same rights as a general creditor in the case of an unsecured loan. Under RULPA, a limited partner can contribute cash, property, services, or a promissory note. Under the original act, a limited partner was not allowed to contribute services. *See*, ULPA §4. Profits and losses and distributions of assets are allocated among the parties in accordance with the partnership agreement, or, absent such a provision, on the basis of the value of each partner's contribution. RULPA §§503, 504.

Note: The special rules concerning the rights, liabilities, powers, and duties of partners in a limited partnership, as well as a discussion of the dissolution of limited partnerships, are set out *infra*.

4. Admission Of Additional General And Limited Partners

A person may be admitted as a general or limited partner as provided in the partnership agreement. If the partnership agreement does not so provide, a person may be admitted as a general or limited partner on the written consent of all partners. RULPA §§301, 401.

C. LIMITED LIABILITY PARTNERSHIPS

In recent years, a majority of states have enacted provisions permitting a partnership to elect to become a limited liability partnership (LLP). An LLP is essentially a general partnership subject to the UPA; however, the partners in an LLP are not personally liable for some or all of the partnership debts and obligations. Under this structure, the partners remain personally liable for their own wrongful acts and for those committed by someone whom they directly supervise. This requires approval by the partners (a majority vote is sufficient in most states) and filing a statement of this election with the state. Prefatory Note to the RUPA (1997); RUPA §1001. The name must indicate, at the end, that it is a limited liability partnership (by adding the words "limited liability partnership" or an abbreviation such as "LLP" to the end of the partnership's name). Many states also permit a limited partnership to become a limited liability partnership, for the purpose of protecting general partners from personal liability.

IX. POWER AND LIABILITY OF PARTNERS

A. POWERS

Every partner is an agent of the partnership for the purpose of its business. The act of a partner apparently consonant with the carrying on of the business of the partnership in the usual way binds the partnership, **unless** the partner has no authority to act in the matter **and** the person with whom he is dealing has knowledge that he has no such authority. UPA §9(1).

1. Authority

A partner may have express authority to act by the terms of the partnership agreement or by the consent of the other partners. He may have apparent authority based on the nature of and the course of business of the partnership or on the custom in similar partnerships in the same area. The rules regarding authority to convey real property are discussed *infra*. However, an act of a partner that is not apparently for the carrying on of the business of the partnership in the usual way does not bind the partnership unless authorized by the other partners.

2. Acts That Require Unanimous Authorization

Unless authorized by all the partners (or unless they have abandoned the business), a partner has no authority to:

- a. assign the partnership property in trust for creditors or on the assignee's promise to pay the debts of the partnership;
- b. dispose of the goodwill of the business;
- c. do any other act which would make it impossible to carry on the ordinary business of a partnership;
- d. confess a judgment; or
- e. submit a partnership claim or liability to arbitration or reference. UPA §9(3).

3. Knowledge That Authority Is Lacking

Partnership agreements may include specific restrictions on authority; if a partner acts in contravention of such a restriction, and the third party has knowledge of the restriction, the partnership will not be bound. However, such a restriction is ineffective against a third party without knowledge of it. A person has "knowledge" of a fact not only when he has actual knowledge thereof, but also when he has knowledge of such other facts as in the circumstances show bad faith.

B. NOTICE TO PARTNER AS NOTICE TO PARTNERSHIP**1. In General**

Notice to any partner of any matter relating to partnership affairs constitutes notice to the partnership. UPA §12. A person has "notice" of a fact when the person who claims the benefit of the notice:

- a. States the fact to the other person, or
- b. Delivers through the mail, or by other means of communication, a written statement of the fact to the other person or to a proper person at his place of business or residence.

2. Imputed Knowledge

Likewise, if a partner acting in a particular matter has acquired knowledge while a partner, or if his knowledge was otherwise acquired but is present in his mind when acting for the partnership, the knowledge is imputed to the partnership. If a partner who is not acting for the firm in the matter has knowledge which he “could and should have communicated” such knowledge to the acting partner, that also will be imputed to the partnership. However, an exception to this rule of imputation of notice or knowledge is made if a fraud on the partnership is committed by or with the consent of that partner.

C. LIABILITY

The special rules that apply in the case of a limited liability partnership are discussed infra.

1. Nature Of Liability

a. Torts or breach of trust

All partners are liable jointly and severally for any tort or breach of trust committed by a partner acting in the ordinary course of business. UPA §§13, 14 and 15(a). Thus, an action may be brought against any one or more of the partners, but a partner will not be bound by a judgment unless he has been served with notice.

b. Debts and obligations

All partners are liable jointly for all other debts and obligations of the partnership. Thus, unless one of the partners is no longer subject to jurisdiction, all of the partners must be joined in the action. However, a judgment may be satisfied against any one of them. The UPA also permits any partner to enter into a separate obligation to perform a partnership contract (for example, a partner might endorse a partnership note); in this case, the partner’s liability is several.

c. Common name statutes

Many jurisdictions have “common name statutes,” which provide that a partnership, or any other unincorporated association, may sue and be sued in the name that it has assumed or by which it is commonly known. At common law, all partners were required to be named in a lawsuit and served with process; however, in states that have enacted “common name statutes,” service on one partner is generally held sufficient.

2. Liability For Wrongful Acts

If by any wrongful act or omission of any partner acting in the ordinary course of the business of the partnership or with the authority of his copartners, loss or injury is caused

to any person who is not a partner, or any penalty is incurred, the partnership is liable therefor to the same extent as the partner guilty of the wrongful act or omission. “Wrongful act” has been held to include both negligent and intentional torts.

3. Liability For Breach Of Trust

The partnership is bound to make good the loss in the following situations:

- a. when one partner, acting within the scope of the partnership business, receives money or property of a third person and misapplies it; and
- b. when the partnership in the course of its business receives money or property of a third person and the money or property so received is misapplied by any partner while it is in the custody of the partnership.

Again, partners are jointly and severally liable for such a breach of trust.

4. Liability For Criminal Acts

Some jurisdictions have held that a partner is not liable for the criminal acts of a copartner unless he possesses guilty knowledge of a criminal act of his copartner or is an accessory before or after the fact.

5. Admission By A Partner

An admission or representation made by any partner concerning partnership affairs within the scope of his authority is evidence against the partnership.

6. Extent Of Liability

Even though a partnership obligation is joint, each partner is individually liable for the entire amount of the partnership's obligation. A partner is entitled to indemnification by the partnership for any payments he makes on its behalf. If a partner is forced to pay the entire debt or more than his pro rata share and the partnership is unable to indemnify him, he is entitled to contribution from his copartners and may seek it through an accounting action.

a. Dormant partners

A dormant partner, i.e., one who is not active in managing partnership business and who is not known to the world as a partner, is nonetheless liable on partnership obligations. This is based on the rule that an undisclosed principal is still liable for the acts of his agent.

b. Incoming partners

An incoming partner, i.e., one admitted as a partner into an existing partnership, is liable for all the obligations of the partnership arising before his admission as though he had been a partner when such obligations were incurred. However, his liability for obligations arising prior to his admission can be satisfied only out of partnership property, and thus is limited to his investment in the business. UPA §17.

D. LIABILITY OF PARTNERS IN A LIMITED LIABILITY PARTNERSHIP

In some states, a partner in a limited liability partnership is not personally liable (directly or indirectly, by way of contribution or otherwise) for an obligation of the limited liability partnership, whether arising in contract, tort, or otherwise, solely by reason of being or acting as a partner. Such a provision does not provide immunity for a partner's personal misconduct. RUPA §306(c). In most states, however, the immunity is not as broad. In these states, partners are not vicariously personally liable for partnership obligations arising from negligence, wrongful acts or misconduct of others (whether characterized as tort, contract, or otherwise). See Prefatory Note to RUPA (1997).

X. RIGHTS OF PARTNERS AMONG THEMSELVES

A. CONTRIBUTIONS, PROFITS, AND LOSSES

1. Partners' Contributions And Shares

Each partner is entitled to be repaid his contributions, whether made by way of capital or advances to the partnership property, and to share equally in the profits and surplus remaining after all liabilities (including those to partners) are satisfied. Concomitantly, each partner must contribute toward the losses, whether of capital or otherwise, sustained by the partnership, according to his share in the profits. UPA §18(a). Partners may agree to share the profits other than equally, and would then share the losses in the same ratio, unless specifically agreed otherwise.

2. Right To Indemnity

The partnership must indemnify every partner in respect of payments made and personal liabilities reasonably incurred by him in the ordinary and proper conduct of its business or for the preservation of its business or property. UPA §18(b).

3. Right To Interest

The Uniform Act has two provisions regarding payment of interest. A partner, who in aid of the partnership makes any payment or advance beyond the amount of capital that he agreed to contribute, must be paid interest from the date of the payment or advance. UPA §18(c). On the other hand, a partner is entitled to receive interest on the capital contributed by him only from the date when repayment should be made. UPA §18(d). Thus, it is important for partners to agree to characterize the money given to the partnership as either a loan (interest from time of loan) or a capital contribution (interest from time repayment due). Otherwise, an accounting action may become necessary.

4. Right To Remuneration

Generally, no partner is entitled to remuneration for acting in the partnership business. UPA §18(f). An exception to the general rule is that a surviving partner is entitled to reasonable compensation for his services in winding up the partnership affairs. However, a partners' agreement may provide for salaries to be paid; such an agreement should also spell out the source of payments (i.e., from the partner's share of profits or from

partnership income) and the work and time required in exchange. In the absence of an express agreement, the right to compensation may still be implied by other agreements as to the conduct of the business, or by the course of dealing among the parties.

B. MANAGEMENT AND CONTROL

All partners have equal rights in the management and conduct of the partnership business. UPA §18(c). Of course, this may be changed by agreement; for example, votes might be assigned varying weights to correspond to capital contributions or shares in the profits. Any difference arising as to ordinary matters connected with the partnership business may be decided by a majority of the partners, but no act in contravention of any agreement between the partners may be done rightfully without the consent of all the partners.

C. DUTY OF CARE

Each partner owes to the partnership a duty of care in the management of partnership property. A partner may be held accountable for negligent management.

D. DUTY OF LOYALTY

1. Good Faith

As to partnership matters, partners stand in a fiduciary relation to one another. UPA §21. A fiduciary duty is a duty of loyalty; partners owe each other the utmost good faith in all that pertains to their relationship.

2. Duty Not To Compete

A partner must not compete with the partnership within the scope of its business. If he does so, he must account to the partnership for his profits. Likewise, a partner may not exploit a business opportunity of the partnership unless he has made full disclosure and received the approval of his other partners. If no conflict of interest or business opportunity is involved, a partner may engage in other enterprises, unless the partnership agreement specifies otherwise.

3. Duty To Disclose

By statute, partners must render on demand true and full information of all things affecting the partnership to any partner, or to the legal representative of any deceased partner or partner under legal disability.

E. DUTY TO ACCOUNT

Every partner must account to the partnership for any benefit and holds as trustee for it any profit derived by him without the consent of the other partners from any transaction connected with the formation, conduct, or liquidation of the partnership or from any use by him of its property. This is likewise true of a deceased partner's representative engaged in winding up partnership affairs.

1. Right To Accounting

Under UPA §22, a partner has the right to a formal accounting of partnership affairs in the following situations:

- a. if he is wrongfully excluded from the partnership business or possession of its property by his copartners;
- b. if provided by the terms of any agreement;
- c. if a partner has improperly obtained secret profits in violation of his fiduciary duty; and
- d. whenever other circumstances render it just and reasonable.

The accounting action is equitable in nature, and determines each partner's investment, the partnership's profits or losses, and the share of profits to which each partner is entitled.

2. Duty To Keep Books And Right Of Inspection

The partnership books must be kept, subject to any agreement between the partners, at the principal place of business, and every partner shall at all times have access to and may inspect and copy any of them. UPA §19. As a fiduciary, the partner who keeps the books is bound to keep them complete and accurate.

F. NEW MEMBERS

No person can become a member of a partnership without the consent of all partners. UPA §18(g). When a new member is admitted to the partnership by consent, the new partner's liability for obligations and torts arising before joining is only the new partner's contribution to the partnership; the new partner is not personally liable on such charges.

G. SUITS BETWEEN PARTNERS

Generally, partners cannot sue each other at law, but must sue in equity for an accounting (*see supra*). An action for an accounting may be brought "whenever circumstances render it just and reasonable." An exception to the general rule requiring an accounting in equity would be an action at law for a tortious injury of one partner by another.

XI. PARTNERSHIP PROPERTY AND PROPERTY RIGHTS

A. PARTNERSHIP PROPERTY

1. Property Originally Brought In

All property originally brought into the partnership stock on account of the partnership is partnership property. Thus, any property, e.g., cash, contributions in kind, goods, labor, or skill, brought into the business at its formation is the "capital" of the partnership.

2. Property Subsequently Acquired

a. Partnership property

Unless a contrary intention appears, all property subsequently acquired by purchase or otherwise, on account of the partnership, is partnership property. Hence, property purchased with partnership funds would belong to the partnership even if held in the name of only one partner, and any receivables, judgments obtained, contracts or profits would be partnership property.

b. Proving a contrary intent

Factors considered in establishing a contrary intent would be the terms of the partnership agreement or any other relevant express or implied agreement, the firm's records, the payment of taxes, repair bills, or insurance premiums, the conduct of the partners, whether the property was used or improved by the business, and how title to the property is held.

3. Real Property

Any estate in real property may be acquired in the partnership name. This is a departure from common law, which did not allow real estate to be held in a partnership name. However, the UPA does not require that title be taken in the firm name; again, if property is acquired with partnership funds, it is presumed to be partnership property even if held in one partner's name.

B. PROPERTY RIGHTS OF A PARTNER

The property rights of a partner are his rights in specific partnership property, his interest in the partnership, and his right to participate in the management. UPA §24.

1. Rights In Specific Partnership Property

A partner is a co-owner with his partners of specific partnership property, holding it as a tenant in partnership. The "tenancy in partnership" is a new kind of co-ownership created by the UPA to meet the needs of partnerships for continuity and predictability. Under the UPA §25(2), the incidents of this tenancy are:

- a.** a partner has an equal right with his partners to possess specific partnership property for partnership purposes, but he has no right to possess it for any other purpose without the consent of his partners;
- b.** a partner's right in specific partnership property is not assignable except in connection with the assignment of rights of all the partners in the same property;
- c.** a partner's right in specific partnership property is not subject to attachment or execution, except on a claim against the partnership;
- d.** on the death of a partner, his right in specific partnership property vests in the surviving partner(s), and on the death of the last surviving partner, his right in the

property vests in his legal representative; in either case, there is no right to possess the partnership property for any but a partnership purpose; and

- e. a partner's right in specific partnership property is not subject to dower, curtesy, or allowances to widows, widowers, heirs or next of kin.

2. Partner's Interest In The Partnership

a. Personal property

A partner's interest in the partnership is his share of the profits and surplus, and it is treated as personalty regardless of the character of the partnership property. UPA §26. A partner's interest in the partnership is assignable (unlike his interest in specific partnership property). Such an assignment does not dissolve the partnership, but neither does it entitle the assignee, in the absence of a contrary agreement, to "interfere in the management or administration of the partnership business or affairs, or to require any information or account of partnership transactions, or to inspect the partnership books." The assignee is merely entitled to receive the profits to which his assignor would have been entitled. UPA §27(1). In event of the dissolution of the partnership, the assignee is entitled to receive his assignor's interest and may require an account only from the date of the last account agreed to by the partners. UPA §27(2).

b. Rights of judgment creditors

Although a partner's right in specific partnership property is not subject to execution, a judgment creditor can subject the partner's interest to a charging order. UPA §27. Upon application, a court can charge the debtor-partner's interest with payment of the unsatisfied amount of the judgment debt, plus interest, and may then or later appoint a receiver of his share of the profits and any other money due him from the partnership. Before foreclosure or sale of the debtor's interest, the other partners may redeem his interest with their separate property, or, with the consent of all the other partners, with partnership property.

Unlike his rights in specific partnership property, a partner's interest in the partnership vests at death in his executor, who may require an accounting.

3. Right To Participate In Management

As discussed above, absent an agreement to the contrary, each partner has equal rights in the management and conduct of the partnership business.

C. CONVEYANCE OF REAL PROPERTY

1. Title In Name Of Partnership

If title to real property is in the partnership name, any partner may convey title by a conveyance executed in the partnership name. However, if the partner did not have the authority (actual or apparent) to convey the partnership property, the partnership may recover the property from the grantee, unless the grantee has reconveyed it to a holder for

value without knowledge that the partner exceeded his authority in making the original conveyance.

If title is in the name of the partnership, a conveyance executed by a partner in his own name will pass the equitable interest of the partnership if the partner was authorized to make the conveyance.

2. Title In Name Of One Or More Partners

If title to real property is in the name of one or more but not all the partners, and the record does not disclose the right of the partnership, the partners in whose name the title stands may convey title to the property. However, the partnership may recover the property if the partners' act was not authorized, unless the purchaser or his assignee is a holder for value without knowledge.

Likewise, if title is in the name of one or more of the partners, or in a third person in trust for the partnership, a conveyance executed by a partner in the partnership name, or in his own name, passes the equitable interest of the partnership, provided the conveyance was authorized.

3. Title In Name Of All The Partners

If the title to realty is in the name of all the partners, a conveyance executed by all the partners passes all their rights in the property.

XII. DISSOLUTION AND WINDING UP

A. DISSOLUTION vs. WINDING UP AND TERMINATION

The **dissolution** of a partnership is "the change in the relation of the partners caused by any partner ceasing to be associated in the carrying on as distinguished from the winding up of the business." **Winding up** is the process of settling partnership affairs; **termination** is the point when all the partnership affairs are wound up.

B. CAUSES OF DISSOLUTION

1. Without Violation Of The Partnership Agreement

a. Termination of term or undertaking

The termination of the particular term or undertaking specified in the partnership agreement results in dissolution. In this instance, dissolution is automatic; it requires no judicial procedures. Continuance of the business after the termination date or event operates as an implied agreement for a partnership at will under the applicable terms of the original agreement.

b. By will of any partner in partnership at will

If no definite term or particular undertaking is specified, the partnership is a partnership at will and may be dissolved by any partner who gives notice to the other partners of his desire to terminate it. UPA §31(1)(b). If the partner acts in good faith,

he will not be liable for any losses resulting to his partners from his action. If the agreement does not specify whether the partnership is at will or for a particular term or undertaking, a term or undertaking might be implied; for example, to continue until its lease term expires or until the lots it is developing are sold, or, if an agreement states that all obligations would be paid from profits, until the profits were sufficient to pay the debts.

c. By agreement of all partners

A partnership can be dissolved at any time by unanimous consent, regardless of any duration specified in the partnership agreement. UPA §31(1)(c). If a partner's interest has been assigned or charged, the remaining partners may all agree to dissolve the partnership.

d. By expulsion

A partnership is deemed dissolved under the Act if any partner is expelled from the partnership in accordance with the partnership agreement. UPA §31(1)(d). The partnership agreement may provide for expulsion of a partner, either automatically or by a designated vote; no power of expulsion exists if not expressly given in the agreement. The power must be exercised in accordance with the agreement's terms and in good faith.

2. In Contravention Of The Agreement

If circumstances do not permit a dissolution on any other grounds, the partnership may be dissolved by the express will of any partner at any time in contravention of the partnership agreement. UPA §31(2). A partner does not lose his rights in the accrued profits of the firm by reason of his breach, whether or not committed in bad faith; however, a partner who wrongfully causes a dissolution is liable for damages to any partners injured thereby. The remaining partners have a right to continue the business (*see infra*).

3. By Unlawfulness

Dissolution is caused by any event that makes it unlawful for the business to be carried on or for the members to carry it on in partnership. UPA §31(3).

Example: If partners are residents of different nations, which go to war with one another, commercial relations would be illegal and the partnership would be dissolved.

4. By Death Or Bankruptcy

The death of any partner dissolves a partnership. UPA §31(4). The bankruptcy either of the partnership or of any of the partners dissolves the partnership. UPA §31(5). The bankrupt partner's authority to act for the partnership and the other partners' authority to act so as to bind him are terminated. "Bankrupt" means not only bankrupt under the Federal Bankruptcy Code, but also insolvent under any state insolvency law.

5. By Decree Of Court

A partner may bring an action in equity for a decree of dissolution upon any of the grounds enumerated below. See, §§31(5) and 32. In addition, although a partner has the power to dissolve a partnership, he may seek a decree of dissolution in order to avoid the damages he might be subject to for effecting a voluntary dissolution.

a. Insanity and incapacity

On application by or for a partner, the court shall decree a dissolution whenever:

- 1) a partner has been declared a lunatic in any judicial proceeding or is shown to be of unsound mind, or
- 2) a partner becomes in any other way incapable of performing his part of the partnership contract.

Insanity or incapacity does not effect a dissolution per se but may constitute a ground for a decree of dissolution. Incapacity may be illness or physical disability that prevents the partner from performing his duties, or it may be his lack of requisite skill. A partnership agreement may provide for a settlement in the event of incapacity or for a reduced share of profits.

b. Conduct prejudicial to business

The court shall decree a dissolution whenever a partner has been guilty of such conduct which prejudicially affects the carrying on of the business. The conduct need not be connected with the business as long as it interferes with business. For example, habitual drunkenness, extravagance, or gambling might support such a decree.

c. Breach of agreement or impracticability

A decree of dissolution is available whenever a partner “willfully or persistently commits a breach of the partnership agreement, or otherwise so conducts himself in matters relating to the partnership business that it is not reasonably practicable to carry on the business in partnership with him.” To warrant dissolution, the breach of the agreement must be material. Excluding a partner from management, fraudulent conduct with partnership assets or funds, or irreconcilable disagreements among partners are examples of grounds for judicial dissolution.

d. Losses

A partnership can be dissolved by decree if the business of the partnership can only be carried on at a loss.

e. Other circumstances

A decree may be granted if “other circumstances render a dissolution equitable.” Because any dissolution action is an equitable action, the partner seeking the decree

must have “clean hands.” If he has been guilty of misconduct or breach, equity will deny him the requested relief.

f. Application by the purchaser of a partner’s interest

On the application of a “purchaser” of a partner’s interest (i.e., an assignee or a purchaser of an interest subjected to a creditor’s charging order) the court shall decree a dissolution:

- 1) after the termination of the specified term or particular undertaking, or
- 2) at any time if the partnership was a partnership at will when the interest was assigned or when the charging order was issued.

Thus, the partnership is entitled to carry on the business until expiration of a definite term or completion of an undertaking, but it may be dissolved if it is merely a partnership at will.

C. EFFECT OF DISSOLUTION ON AUTHORITY OF PARTNER

1. As To Copartners

Although the partnership continues to exist until its final termination, dissolution limits the authority of a partner to act for the firm and for the other partners. UPA §33. In general, after dissolution, a partner has authority to bind his copartners only with respect to winding up partnership affairs and completing unfinished transactions. However, a partner acting for the partnership who creates a liability after dissolution is entitled to contribution from his copartners **unless**:

- a. dissolution was by the act of a partner and the partner acting for the partnership had **knowledge** of the dissolution, or
- b. dissolution was by the death or bankruptcy of a partner and the acting partner had **knowledge or notice** of the death or bankruptcy.

“Notice” may be given by a verbal statement or delivery by mail, while “knowledge” includes “actual knowledge” and “knowledge of such other facts as in the circumstances show bad faith.”

2. As To Third Parties

a. In general

After dissolution the partnership will be bound for new obligations incurred by a partner acting within the apparent scope of the partnership’s business if the third party had extended credit to the partnership prior to dissolution **and** had no knowledge or notice of the dissolution. The partnership will also be liable to a third party if he had **known of** the partnership prior to dissolution **and** had no knowledge or notice of the dissolution **and** the fact of dissolution had not been advertised in a newspaper of general circulation in the place(s) at which the partnership business was regularly carried on. UPA §35(1).

b. Unknown and inactive

A partner who, prior to dissolution, was unknown and inactive is not personally liable for such new obligations incurred after dissolution, except to the extent of his investment in the business.

c. Partnership not bound

The partnership is in no case bound by any act of a partner after dissolution:

- 1) if the partnership business was unlawful, unless the act was incident to winding up, or
- 2) if the partner was bankrupt, or
- 3) if the partner had no authority to wind up the business. UPA §35(3).

An exception exists to (3) if the third party had extended credit prior to dissolution and had no knowledge or notice of dissolution, or if he had not extended credit and he had no knowledge or notice and the partner's lack of authority had not been advertised.

D. EFFECT OF DISSOLUTION ON EXISTING LIABILITIES**1. In General**

Generally, the dissolution of a partnership does not of itself discharge the existing liability of any partner. UPA §36(1). However, in the case of personal service contracts (e.g., employment contracts), the dissolution will terminate the contract and relieve the partnership of any obligation for future performance.

2. Retiring Partner**a. In general**

Usually, a retiring partner remains liable on all obligations incurred before his retirement. However, a retiring partner can be discharged from liability by an agreement with the continuing partners and the partnership creditor. Such an agreement may be inferred from the course of dealing between a creditor having knowledge of the dissolution and the partners continuing the business.

b. Assumption of obligations

The remaining partners may agree to assume the obligations of the retiring partner, who will then become a surety. If a partnership creditor, knowing of the agreement, consents to any material alteration in the nature or time of payment of the obligations, the retiring partner is released from any liability.

3. Deceased Partner

A deceased partner's individual property is liable for all partnership obligations incurred while he was a partner. However, his individual creditors have priority over partnership creditors. UPA §36(4).

E. WINDING UP

1. Right To Wind Up

Generally, all the partners who have not wrongfully dissolved the partnership have an equal right to wind up the firm's affairs. If the partnership is dissolved by death, the surviving partners are entitled to wind up; the legal representative, of the last surviving partner ultimately has the right to wind up. If dissolution results from a partner's bankruptcy, the remaining partners are entitled to wind up. The partners may agree that one or some of them shall have exclusive power to wind up. Any partner, his legal representative, or his assignee, upon cause shown, may obtain winding up by a court. UPA §37.

2. Powers And Duties In Winding Up

A partner winding up a partnership must pay its debts and complete its unfinished transactions and contracts. He has the power to dispose of any or all of its real or personal property, and to close up the business. He can collect, pay, or compromise firm debts. However, he cannot make new contracts or create new liabilities except to the extent necessary and incident to the settling of affairs, such as the employment of lawyers or accountants.

F. CONTINUANCE AFTER DISSOLUTION

1. Right To Continue Business

The remaining partners have the right to continue the business after dissolution if the dissolution was wrongful. UPA §41(5). They may continue in the same name, either by themselves or with others, during the agreed term for the partnership and may possess the partnership property. To do so, they must pay off the dissolving partner or secure a future payment for him by bond, deducting any damages due them for his breach, and they must indemnify him against all present or future partnership liabilities.

Partners also have the right to continue if a partner is expelled, if the partnership agreement so provides, or if a partner retires or dies and the retiring partner or the representative of the deceased partner consents to a continuation. UPA §41(3) and (6). If the business is continued without a settlement, a retiring partner or the estate of a deceased partner has the option of receiving either the value of his share at the date of dissolution, plus interest, or in lieu of interest, the share of profits attributable to the use of his right in the property in the firm during the period from dissolution to settlement.

2. Liability In Continuance

When a business is continued after dissolution by a former partner or partners, with or without new partners and without liquidating the partnership's affairs, the creditors of the original partnership become creditors of the continuing partnership. This is a major change from the common law, which did not hold the "new" firm liable for the original partnership's debts.

An incoming partner is only liable to the old creditors to the extent of his interest in the partnership property. If all the partners assign their rights to third persons, who promise to pay the partnership debts and who continue the business, the creditors of the dissolved partnership remain creditors of the continued business.

If the business is continued, the creditors of the dissolved partnership take precedence over the individual creditors of a retired or deceased partner as to that partner's interest in the dissolved partnership or any consideration due him for his right to partnership property.

G. DISTRIBUTION OF ASSETS

1. In General

If the business is not continued, the partners must wind it up by liquidating the partnership assets and settling its obligations, and then must distribute the remaining assets to the partners. The assets of the partnership are:

- a. the partnership property, and
- b. any contributions from the partners necessary to pay partnership obligations to creditors and to partners.

2. Order Of Distribution

In the absence of a contrary agreement, UPA §40 governs distributions. The liabilities must be paid in the following order:

- a. those owing to creditors other than partners;
- b. those owing to partners other than for capital and profits (e.g., loans, and for liquidation services);
- c. those owing to partners in respect of capital; and
- d. those owing to partners in respect of profits.

Although partners may vary these rules by agreement, they cannot change the creditors' priorities or their own liabilities to the firm's creditors.

3. Contribution

Liabilities are satisfied first out of partnership property; if this is insufficient, the partners must contribute the amount necessary to satisfy the liabilities. If any of the partners is insolvent, the others must contribute their share of the liabilities and, in a proportion equivalent to their share in the profits, the additional amount necessary to pay the liabilities. Any partner who pays more than his share can obtain contribution from the other partners. UPA §40.

a. Dual priorities rule

If a partner is bankrupt or his estate insolvent, his individual creditors have priority as to his separate property. (This is an aspect of the Dual Priorities Rule, which holds

that partnership creditors have priority in partnership assets, and individual creditors have priority in individual assets.) As to his separate property, partnership creditors rank second, and partners' claims for contribution rank third in priority.

b. Limited liability partnerships

A partner in a limited liability partnership is not required to make contributions to the partnership when partnership assets are insufficient to satisfy partnership liabilities, to the extent the partner is protected from personal liability by the state's limited liability partnership statute.

XIII. SPECIAL RULES CONCERNING LIMITED PARTNERSHIPS

A. DISCLOSURE REQUIREMENTS

Due to the different rights, liabilities, and powers conferred upon general and limited partners within a limited partnership, certain disclosure requirements are necessary to allow for the identification and differentiation of such parties. As noted above, a limited partnership must be formed specifically as such by filing a certificate with the appropriate public official to indicate level of membership and limitations of liability. Such documentation must then be made available to the public for inspection.

B. LIMITED PARTNERS

Limited partners, in return for limited liability for the operations of the limited partnership, must refrain from any participation in the management or control of the business, including control over any of the managing partners.

1. Liabilities And Limitations

a. Use of limited partner's name

A limited partner who knowingly permits his name to be used in the firm name is liable to creditors who extend credit to the partnership without actual knowledge that he is not a general partner, **unless** his name is also the name of a general partner, or business had been carried on under a name that included that name before he became a limited partner. RULPA §102.

b. Control of business

Generally, a limited partner is not liable for partnership obligations beyond his contribution unless he takes part in the control of the business. Under RULPA, a limited partner does **not** participate in the control of the business solely by doing one or more of the following:

- 1) being a contractor for or an agent or employee of the limited partnership or of a general partner;
- 2) consulting with and advising a general partner with respect to the partnership's business;

- 3) acting as surety for the partnership;
- 4) approving or disapproving an amendment to the partnership agreement; or
- 5) voting on any of the following:
 - (a) dissolution;
 - (b) sale, exchange, or mortgage of all or substantially all assets;
 - (c) incurring of indebtedness other than in the ordinary course of business;
 - (d) change in the nature of the business; or
 - (e) removal of a general partner.
- 6) proposing, approving or disapproving matters related to the business of the limited partnership which the partnership agreement states in writing may be subject to the approval or disapproval of limited partners. (This last “safe harbor” provision was added in 1985.)

Furthermore, if the limited partner’s participation in the control of the business is not substantially the same as the exercise of the powers of a general partner, he is liable only to persons who transact business with the partnership with **actual knowledge** of his participation in control, with specific reliance upon it, and with no knowledge that the partner is limited.

Under ULPA, the right to vote in matters affecting the business was not expressly granted to limited partners. The rights of limited partners under ULPA were limited to the right to inspect the partnership books, the right to demand true and full information of all things affecting the partnership and the right to have dissolution and winding up by decree of court. ULPA §10.

c. Mistaken status

A person who erroneously, but in good faith, believes himself a limited partner is not liable as a general partner if, on learning his mistake, he causes an amended certificate to be executed and filed, and withdraws from future equity participation in the enterprise. However, he is liable as a general partner to any third party who has transacted business with the enterprise prior to his withdrawal and filing of the amendment, if the third party believed in good faith that he was a general partner.

d. Contributions

A limited partner is obligated to the partnership to perform any promise to contribute cash or property or to perform services, even if he is unable to perform because of death, disability, or any other reason. If he fails to contribute the property or services, he must pay the cash value of services or property at the option of the partnership, unless the partnership certificate provides otherwise. Although all the partners can waive or compromise a partner’s obligation, a partnership creditor can enforce the original obligation if it extended credit or acquired a claim after the certificate of

partnership reflecting the obligation was filed, and before the amendment reflecting the compromise was filed. RULPA §502.

e. Judicial proceedings

A limited partner is a proper party to proceedings by or against a limited partnership only if the object is to enforce his right or liability. The creditors of a limited partner may obtain a charging order against his interest, and to the extent of the charge will have only the rights of an assignee of the partnership interest. RULPA §703.

2. Rights And Powers

a. Right to information

A limited partner has the right to inspect and copy the required partnership records and tax returns, and to obtain from the general partners true and full information as to the financial condition and state of the business of the partnership, and such other information as is just and reasonable. RULPA §305. The limited partner need not show a “proper purpose” for requesting the information.

b. Voting

The partnership agreement may grant voting powers to all or some limited partners upon any matter. RULPA §302.

c. New limited partners

After the filing of the original certificate of limited partnership, a new limited partner can be admitted

- 1) if he acquires his partnership interest directly from the partnership, upon compliance with the partnership agreement or upon the written consent of all partners, or
- 2) if he is an assignee of a partner entitled to grant an assignee the right to become a limited partner, upon compliance with any conditions limiting that power.

C. GENERAL PARTNERS

A general partner in a limited partnership has most of the same rights and powers and is subject to the same restrictions and liabilities as a partner in a general partnership. RULPA §403. The partnership agreement may grant to all or to specified general partners the right to vote, separately or with all or any class of the limited partners, on any matter. RULPA §405.

After filing of the original certificate, new general partners may be admitted only with the specific written consent of each partner. RULPA §401. Under both ULPA and RULPA, a person may be both a general partner and a limited partner simultaneously, with the rights, powers and restrictions of a general partner but, with respect to his contribution, the rights of a limited partner. ULPA §12; RULPA §404.

D. ASSIGNMENT OF PARTNERSHIP INTERESTS

1. In General

A partnership interest is personalty and is generally assignable. Assignment does not dissolve a limited partnership, but an assignee is entitled only to receive the distributions to which his assignor would have been entitled. RULPA §702. However, an assignee, including an assignee of a general partner, may become a limited partner if and to the extent that (1) the assignor gives him that right in accordance with the certificate, or (2) absent such authority, all other partners consent. An assignee who thus becomes a limited partner has all the rights and powers and is subject to all the restrictions and liabilities of a limited partner, but he is not liable for obligations of his assignor which were unknown to him at the time he became a partner and which could not have been ascertained from the certificate. An assignor is not released from liability for any knowing false statement in the certificate or from liability for promised contributions. RULPA §704.

2. Executors, Administrators, And Creditors

The legal representative of a deceased or incompetent partner can exercise all his rights, including any power to make an assignee a limited partner. RULPA §705. A judgment creditor of a partner can obtain a charging order against a partner's interest, and to that extent will be an assignee of the interest. RULPA §703.

E. DISTRIBUTIONS AND WITHDRAWAL

1. In General

A partner is entitled to receive any interim distributions in accordance with the terms of the partnership agreement. RULPA §601. Upon withdrawal, the withdrawing partner can receive any distribution to which he is entitled under the agreement, or, absent such provision, the fair value of his partnership interest. Regardless of the nature of his contribution, a partner has no right to receive his distribution in any form other than cash. RULPA §§602, 605. A partner entitled to receive a distribution has the status of a creditor of the limited partnership. RULPA §606. A partner may not receive a distribution if, after the distribution, the liabilities of the partnership (other than to partners for their interests) exceed the fair value of its assets. RULPA §607. A partner who has properly received the return of any part of his contribution remains liable for one year to the partnership to the extent necessary to discharge partnership liabilities to creditors incurred during the period his contribution was held by the partnership. If the contribution was returned in violation of the agreement or the statute, the limitations period is six years from the wrongful return. RULPA §608.

2. Withdrawal Of Limited Partner

A limited partner may withdraw at the time, or upon the happening of the events specified in the certificate, in accordance with the procedures provided in the partnership

agreement. Lacking such provisions, he may withdraw upon not less than six months' written notice to each general partner. RULPA §603.

3. Withdrawal Of General Partner

A general partner may withdraw at any time by giving written notice to the other partners. However, if his withdrawal violates the partnership agreement, the partnership can recover damages for the breach, which may be offset against the amount distributable to him. RULPA §602.

A general partner will have withdrawn from the partnership by resigning (through written notice), assigning his interest, being removed in accordance with the agreement, becoming bankrupt (or taking action similar to bankruptcy), dying, being adjudicated incompetent, or, if not a natural person (e.g., a corporation), by ceasing to be a valid legal entity. Such an "event of withdrawal" may cause dissolution, which is discussed below.

F. DISSOLUTION

1. In General

A limited partnership is dissolved at the time or upon the happening of the events specified in the certificate, or upon the written consent of all partners. On application by a partner, a court may decree dissolution whenever it is not reasonably practicable to carry on the business in conformity with the partnership agreement. In addition, dissolution will occur automatically upon an "event of withdrawal" of a general partner **unless** at that time there is at least one other general partner and the certificate permits the business to be carried on by the remaining general partner **or**, if within 90 days after the withdrawal, all partners agree in writing to continue the business and to the appointment of a new or additional general partner if necessary or desired. RULPA §801.

Upon dissolution, the general partners who have not wrongfully dissolved the partnership, or, if none, the limited partners, may wind up partnership affairs. However, upon cause shown, winding up by a court may be obtained. RULPA §803.

2. Priority Of Liabilities Upon Dissolution

After winding up, liabilities are paid in this order under RULPA §804:

- a. those to creditors;
- b. those to partners and ex-partners in satisfaction of accrued but unpaid interim distributions and distributions due upon withdrawal;
- c. those to partners for return of their contributions;
- d. those to partners for payment of partnership interests.

Under ULPA, general partners were entitled to distributions only after all liabilities to limited partners had been satisfied. ULPA §23. Under RULPA, however, the general partners are no longer subordinated to the limited partners upon liquidation. However,

the dissolution distribution provisions under RULPA §804, other than to creditors, may be varied in the partnership agreement.



MicroMash®

**MULTISTATE ESSAY EXAM REVIEW
COMMERCIAL PAPER**

MicroMash® BAR REVIEW
MULTISTATE ESSAY EXAM
COMMERCIAL PAPER

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COMMERCIAL PAPER

I. IMPORTANCE OF "NEGOTIABILITY"

A. IN GENERAL

Whether an instrument is negotiable is important because negotiability determines, to a large extent, the rights and obligations of the various parties who are involved with the paper. The types of problems that are likely to arise under Revised Article 3 can be divided into three categories.

1. Good-Faith Purchaser vs. Obligor

Probably the most common problem arising under Article 3 involves a suit by someone who has purchased the instrument, has demanded payment from the person obligated on it, has been refused payment and then sues the obligor. A brief look at the law of assignment is helpful to illustrate the problem and to show how Article 3 affects the result in these cases.

Example: Assume that Paula Payee agrees to sell her car to Mike Maker for \$2,500, with delivery of the car to take place immediately and payment to be made in thirty days. Once the contract has been concluded and the car delivered, Paula has a right against Mike to recover \$2,500 in 30 days. If Paula demands payment from Mike, Mike can raise any defenses that might exist to the contract, e.g., fraud, failure of consideration, duress, statute of frauds, etc., and, if these defenses are established, Paula will not recover. If Paula assigns her right to Alex and Alex brings the lawsuit against Mike, the same rule applies, i.e., that all defenses that Mike has against Paula can be raised against Alex. This is because of the basic rule that an assignee of a chose in action takes only those rights that the assignor has to transfer and takes them subject to any defenses that might exist.

If, however, the obligation that Mike owes to Paula is in the form of a negotiable instrument, is so written as to meet the requirements of U.C.C. §3-104, and if Alex is a holder in due course under §3-302, then a different result may obtain. In this situation, Article 3 cuts off most of the defenses available to Mike. The defenses that are not cut off are those listed in §§3-305 and 3-601. **Thus, in these kinds of problems, the effect of the rules in Article 3 is to provide a transferee with better rights than the transferor.**



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The analysis of this kind of problem involves these basic steps:

- (a) Is the instrument negotiable?
- (b) Is the plaintiff a holder in due course?
- (c) What is the liability of the defendant?
- (d) Is the defense raised one that is cut off?

2. Good Faith Purchaser vs. True Owner

A second kind of problem occurs when the owner of an instrument loses it (or has it stolen) and it is subsequently transferred to a good faith purchaser. Generally, in such situations, the law of property gives to the owner (often called the “true owner”) a right to recover the instrument from the good faith purchaser. Under Article 3, however, the good faith purchaser will prevail against the true owner if the good faith purchaser meets all of the requirements of a holder in due course. §3-302. **In effect, when a transferee takes an instrument as a holder in due course, he or she gets good title as against the whole world, even the true owner.**

3. Transferee vs. Transferor

The third common type of problem arises where an instrument is transferred after its initial issuance, and the person to whom it is transferred sues the transferor. For example, in our original hypothetical example, Alex, not having been paid by Mike, might sue Paula instead of Mike. Article 3 may impose liability on Paula in either or both of two ways: (1) Paula may be liable to Alex under her **obligation as an indorser**, §3-415; or (2) under the “**transfer warranties**” of a transferor, §3-416(a). This type of problem is covered in Section V of this outline, *infra*.

4. Notes And Drafts

a. Note

A Note is a two-party instrument in which one party (the Maker) promises to pay a second party (the Payee) a sum of money. It is a promissory instrument and generally used in connection with the extension of **credit**.

Example:

December 15, 20-- I promise to pay Paula Payee, or order, \$2,500 on demand. /s/Mike Maker

The illustrative note is basically a promise by Mike Maker to pay Paula Payee \$2,500. Generally, it represents a debt between the parties, but like any promise it may or may not be an enforceable contract.

b. Certificate of deposit

A certificate of deposit is an instrument containing a bank's acknowledgment that a sum of money has been received by the bank and a promise by the bank to repay that sum. A certificate of deposit is treated as a note of the bank. §3-104(j).

c. Draft

A draft (bill of exchange) is a three-party instrument in which one party (the Drawer) orders a second party (the Drawee or Payor) to pay a sum of money to a third party (the Payee).

1) Check

One of the most common types of a draft is a check, which is a draft drawn upon a bank and payable on demand. §3-104(e) and (f).

2) Traveler's check

Another common instrument is a traveler's check, which must be countersigned by a person whose specimen signature appears on the instrument. §3-104(i). Checks and drafts are usually used to **pay** a debt, but they may also be utilized to provide short-term credit.

Example: The example draft below signifies that Dave Drawer has ordered the Drawee Bank to pay to Paul Payee \$1,000. At this point there is no promise by any party expressed on the instrument, and the check looks like an assignment by Dave of rights that he has against the Drawee Bank.

Note: a draft usually is **not an assignment** and the comparison here is only given as an initial aid to understanding.

December 15, 20-- To the Drawee Bank Pay Paul Payee or order \$1,000 s/Dave Drawer

3) Money orders

Money orders and bank obligation checks (i.e., cashier's, teller's, and certified) are all expressly covered as checks under the revised law.

4) Implied promise

Although there is no express promise on a draft when it is initially issued, the law implies a promise on the drawer's part to pay if the drawee does not follow the drawer's order to pay. The drawer's liability will be discussed in detail later. The Drawee Bank has no liability to Paul Payee at this point.

B. REQUIREMENTS OF A NEGOTIABLE INSTRUMENT

Whether an instrument is negotiable is purely a **matter of form**, and the determination must be made from the four corners of the instrument. A promise or order other than a check is not negotiable if it contains a conspicuous statement that it is not negotiable or not governed by Article 3. §3-104(d). Section 3-104, together with §§3-103(a)(9) and 3-103(a)(6), set out the following requirements of a negotiable instrument:



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Examiners often test on one or more of these requirements:

- Written
- Signed by the maker or drawer;
- Contain an unconditional promise or order;
- To pay a fixed amount of money with or without interest;
- Payable to order or to bearer;
- Payable on demand or at a definite time; and
- With no undertaking or instruction given by the maker or drawer except as authorized by the code

1. Written

Both a promise and an order must be written. §3-103(a)(9) and (6). There is no requirement regarding what it is to be written with or written on.

2. Signed By Maker Or Drawer

A signature is made by use of any name, including any trade or assumed name, upon an instrument, or by any word or mark used in lieu of a written signature. §3-401.

A signature may be made manually or by means of a device or machine and may be made by the use of any name, word, mark or symbol executed or adopted by a party with the present intent to authenticate a writing. §§3-401, 1-201(39). It may be a simple "X"; it may be typewritten or printed. Even writing the name of another person constitutes the signature of the writer if the writer lacks authority to use the other's name. §3-403.

3. Unconditional Promise Or Order

The basic idea behind the requirement that a negotiable instrument contain an unconditional promise or order is that it be payable in all events. A number of rules that distinguish the conditional from the unconditional promise have been codified in the UCC.

a. Express condition to payment

A promise or order is not unconditional if it contains an express condition to payment, or states that it is subject to or governed by another writing, or that rights or obligations with respect to it are stated in another writing. However, a reference to another writing, of itself, does not make a promise or order conditional.

b. Reference to another writing

A promise or order is not made conditional by reference to another writing that states rights with respect to collateral, prepayment, or acceleration.

c. Payment from particular fund

A promise or order is not conditional because payment is to be from a particular fund.

d. Countersignature required

If a promise or order, as a condition to payment, requires a countersignature by a person whose signature is already on the instrument, this does not make the promise or order conditional (e.g., traveler's checks).

e. Statement that rights are subject to claims and defenses

If a promise or order contains a statement, required by law, that the rights of a holder or transferor are subject to claims or defenses that the issuer could assert against the original payor, it is not made conditional by the statement. However, there can be no holder in due course.

4. Fixed Amount Of Money

The instrument must be payable in money, and only money, and the amount due must be ascertainable from an inspection of the instrument.

a. Money

"Money" must be the medium of exchange at the time the instrument is made. A negotiable instrument may be payable in foreign money; if so, it may be satisfied by paying the equivalent in United States money unless it specifies that it can be paid only in foreign currency. §§1-201(24), 3-107.

b. Fixed amount

A negotiable instrument may be payable with or without interest or other charges described in it. Interest may be stated as a fixed or variable amount of money or as a fixed or variable rate. Determination of the amount or rate stated in the instrument may require reference to information not contained in the instrument. If an

instrument provides for interest, but the amount cannot be ascertained, interest is payable at the rate payable on judgments. §§3-104(a), 3-112.

5. No Other Undertaking Or Instruction

The UCC provides that a negotiable instrument may not state any other undertaking or instruction by the person promising or ordering payment to do anything besides pay money, except that the following “other undertakings” do **not** destroy negotiability:

- a. an undertaking or power given to maintain or protect collateral given to secure payment;
- b. an authorization or power to confess judgment or realize on collateral (Note, however, that a confession of judgment clause may be unenforceable under the law of a particular state.);
- c. a promise or provision waiving benefit of any law intended for the obligor’s protection.

§3-104(a)(3). An instrument is rendered **nonnegotiable** if the obligor agrees to pay in money or to give goods or services, e.g.: “I promise to pay \$100 or give you my car”; “I promise to pay \$100 or mow your lawn.”

6. Payable “On Demand” Or At A “Definite Time”

a. On demand

An instrument is payable on demand if it states that it is payable on demand or at sight or does not state any time for payment. §3-108.

b. Definite time

An instrument is payable at a **definite time** if it is payable at the end of a definite period of time after sight or acceptance or at a fixed date or at a time readily ascertainable at the time of issue, even if subject to rights of:

- 1) prepayment,
- 2) acceleration,
- 3) extension at the holder’s option, or
- 4) extension to a further definite time at the maker’s option or automatically upon or after a specified act or event.

Note: An instrument that is payable **only** upon the happening of an event is **nonnegotiable** even if that event is certain to happen **if the time the event is to happen is uncertain**. The most common example of this is a note payable at, or at a fixed time after, death.

7. Payable To Bearer Or To Order

To be negotiable, an instrument must be payable to bearer or to order except that a check, which is not payable to bearer or order but which otherwise satisfies all the requirements for negotiability, is negotiable. §3-104(c).

An instrument may be made payable to multiple payees.

Example: If an instrument is made payable to two or more persons alternatively (i.e., “X or Y”), it is payable to any of them and may be negotiated, discharged or enforced by any or all of them in possession of the instrument. If an instrument is payable to two or more persons not alternatively (i.e., “X and Y”), it is payable to all of them and may be negotiated, discharged or enforced only by all of them. When an instrument is payable to X and Y, neither X nor Y acting alone is the identified payee and neither, acting alone, can be the holder of the instrument. If an instrument payable to two or more persons is ambiguous as to whether it is payable to the persons alternatively, the instrument is payable to the persons alternatively (e.g., an instrument payable to “X and/or Y” is treated like an instrument payable to “X or Y”). §3-110(d). *Thus, either X or Y is the payee and either may be the holder.*

a. Bearer instruments

An instrument is payable to bearer if it states it is payable to bearer or order of bearer, does not state a payee, states it is payable to cash, or otherwise indicates it is not payable to an identified person. If an instrument contains both order and bearer language, the bearer language controls.

b. Order instruments

An instrument is payable to order if it is payable to the order of an identified person, or to an identified person or order.

8. Deficiencies

Remember that whether an instrument is negotiable is a matter of **form**. It must meet the above noted requirements at the time of issuance to be negotiable, and these must be present on the paper itself.

It would seem that an obligor could confer some or all of the attributes of negotiability on otherwise nonnegotiable paper by a clause waiving the obligor’s rights, but such instruments are governed not by the Code but by the general law of contracts.

9. Incomplete Instruments

Under Article 3, an incomplete instrument may be enforced according to its incomplete terms or as augmented by an authorized completion, even if the instrument would not qualify as an instrument but for the completion. However, if an instrument is completed without authority, then it is treated as a fraudulently altered instrument. *See infra.*

C. MicroMash® QUICK REVIEW – REQUIREMENTS OF A NEGOTIABLE INSTRUMENT

1. Written

2. Signed

- a.** Manually or by machine
- b.** Any name, word, mark, or symbol sufficient

- c. Intent to sign important
 - d. Forgery acts as signature of forger
- 3. Unconditional Promise Or Order To Pay**
 - a. Conditional if contains**
 - 1) Express condition to payment
 - 2) Statement that subject to or governed by another writing
 - 3) Rights or obligations stated in another writing
 - b. Not made conditional by**
 - 1) Reference, by itself, to another writing
 - 2) Reference to another writing that states rights with respect to collateral, prepayment or acceleration
 - 3) Payment from particular fund
 - 4) Countersignature (e.g., traveler's checks)
 - 5) Statement, as required by law, that it is subject to claims or defenses against original payee
- 4. Other Undertakings Or Instructions That Do Not Destroy Negotiability**
 - a. Maintain and protect collateral
 - b. Confess judgment or realize on collateral
 - c. Waiver of benefit given by law for obligor's protection
- 5. Fixed Amount**
 - a. Can have interest or other charges described in instrument
 - b. Interest may be fixed or variable
 - c. Determination of interest may require reference to outside information
 - d. If interest is payable but cannot be ascertained, judgment interest is due
- 6. Money**
 - a. Must be medium of exchange
 - b. May be payable in foreign money
 - c. Cannot give option to either party to demand or give something other than money in payment, e.g., "\$500 or my car" renders it nonnegotiable
- 7. Payable "On Demand" Or At A "Definite Time"**
 - a. Demand**
 - 1) On demand

- 2) At sight
- 3) Does not state time of payment

b. Definite time

- 1) At end of definite period after sight or acceptance
- 2) At a fixed date
- 3) At time readily ascertainable at time of issue subject to prepayment, acceleration, or extension

c. Instruments not negotiable

Payable on event certain to happen but the time of happening is not ascertainable, e.g., "on death."

8. "Bearer" Or "To Order"

a. "Bearer"

- 1) "Bearer"
- 2) "Order of bearer"
- 3) Does not state a payee
- 4) "Cash"
- 5) Other indication it is not payable to identified person

b. "Order"

- 1) An identified person or order
- 2) To order of identified person

c. A check not payable to "bearer" or to "order" but otherwise negotiable is negotiable.

II. LIABILITY OF THE PARTIES

A. IN GENERAL - SIGNATURES BY AGENTS AND OTHER REPRESENTATIVES

1. Liable For Promise

Liability on commercial paper is basically promissory. The parties are liable on the promises they make. These promises, however, are often implied by the law from the way in which they sign the instrument.

a. Signature required

A person is not liable on an instrument **unless** the person signed it or the person is represented by an agent who signed the instrument in such a manner to bind the person. §3-401(a). It is a basic rule that no one is liable on an instrument unless his signature appears thereon. A person may be liable on the underlying transaction, but

unless he has signed the instrument, or his signature has been affixed by one who has authority to sign for the individual, he is not liable on the instrument. §3-401(1).

A signature may be made manually, by a machine, by the use of any name, or by a word, mark, or symbol intended to authenticate a writing. §3-401(b).

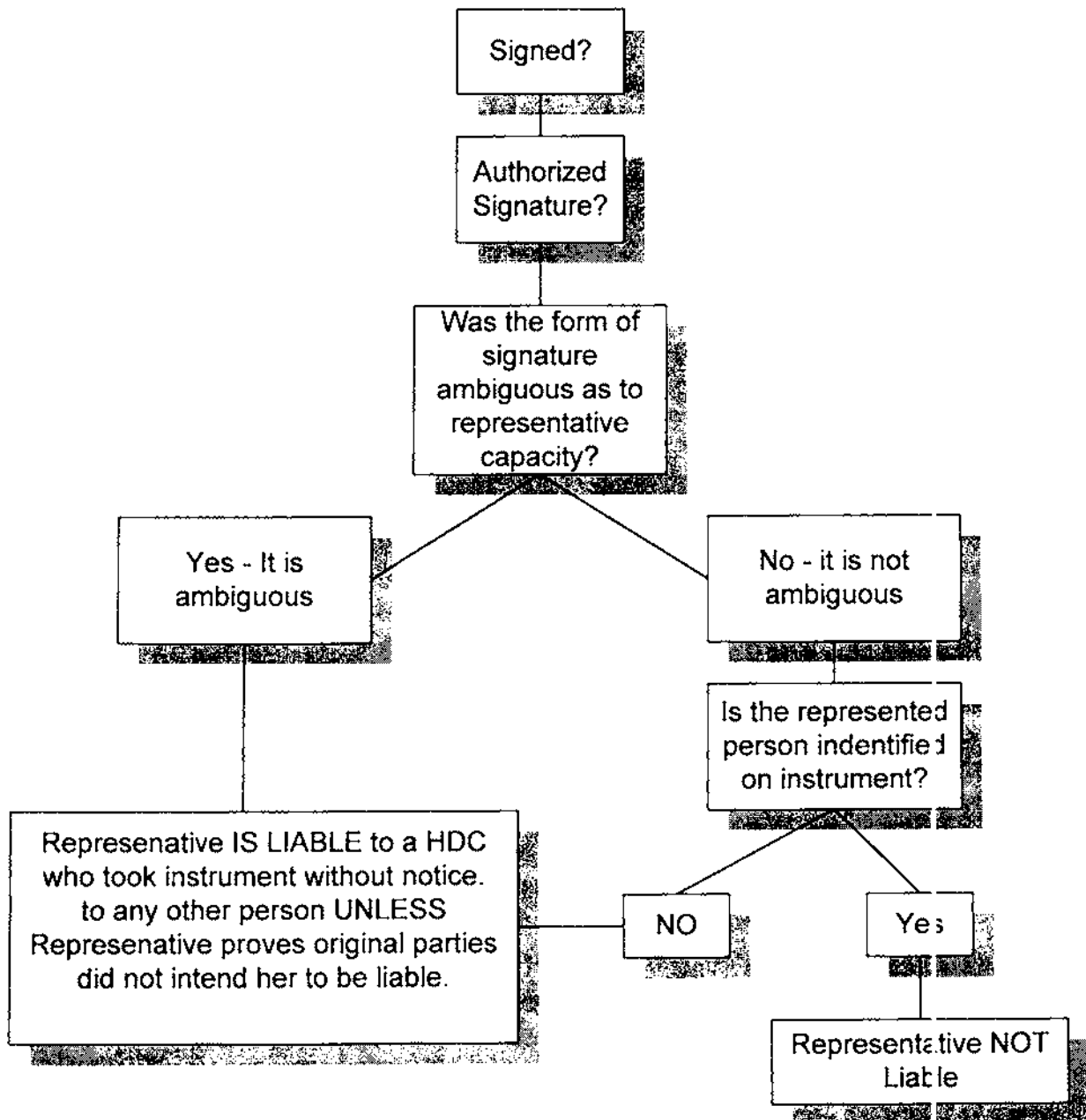
b. Bound by signature as if it were a simple contract

When a representative or purported representative signs either her name or the represented person's name on an instrument, the represented person is bound to the extent she would be bound if the signatory represented person is named on the instrument whether or not identified in it. §3-402(a).

An exception is that if a representative signs her name to a check payable from an account of the represented person who is identified on the check, without indicating her representative status, the representative is not liable if her signature is an authorized signature of the represented person. §3-402(c).

2. Signing Without Authority

Where a person signs someone else's name without authority, this does not operate as the signature of the person whose name was signed, but it does operate as the signature of the person signing. §3-403(a).

MicroMash Quick Review
§3-402(b) Flow Chart

B. LIABILITY OF THE MAKER OF A NOTE

Recall that a note is a two-party instrument in which one party, the maker, promises to pay the other party, the payee. The liability of the maker is clear and simple: **She must pay the amount promised when the instrument becomes due, unless she has a defense. There are no conditions to the maker's liability.**

In fact, suit may be instituted even though there has been no demand for payment.

1. Primary Liability

The liability of the maker is generally called “primary liability,” which simply means that there are no conditions to her liability.

2. Cause Of Action Accrual Date

However, where the note is payable on a particular date, the payee's cause of action does not accrue until the **day after** the due date. §3-412.

3. Payable At Bank

If the note is made payable **at** a bank, then the note is the equivalent of a draft drawn on that bank. In such cases, the “maker” becomes in effect a “drawer” of a draft and her liability is determined by the rules applying to drawers, which are discussed immediately below. In some states, where a note is payable at a bank, the bank has the authority to pay the instrument when it falls due out of any funds that the maker has or deposit at the bank. §4-106(b) (Alternative A).

4. Payable Through Bank

If the instrument is payable **through** the bank, this simply means that the bank has been designated by the maker (or drawer) as a collecting bank. The bank will make the presentment to the maker or drawer. A demand on the bank is **not** itself presentment and the bank is not authorized to pay. §4-106(a).

C. LIABILITY OF THE DRAWER OF A DRAFT

A draft is a three-party instrument whereby one party, the drawer, orders a second party, the drawee or payor bank, to pay a third party, the payee. Although the drawer occupies somewhat the same position as the maker of a note (and is often incorrectly called a maker), the drawer does **not** make any **express** promise to do anything. He is merely ordering the drawee to pay.

1. Liability For Failure To Pay

The law does impose liability on the drawer, however, where the drawee fails to pay. §3-414(b). However, the drawer may disclaim this liability by drawing without recourse if the draft is not a check. §3-414(e).

2. Secondary Liability

The liability of a drawer is generally called “secondary liability,” which means there are conditions to the drawer's liability, namely:

- a. presentment to the drawee,
- b. dishonor by the drawee, and
- c. notice of the dishonor to the drawer.



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Remember the following:

If:

- a check is not presented for payment or given to a depository bank for collection within 30 days after its date, and
- The bank on which the check is drawn then suspends payments without paying the check,

Then:

The drawer of the check is permitted to satisfy its obligation to pay the check by assigning its rights with respect to funds held by the bank to the person entitled to enforce the check, if the suspension of payments deprived the drawer of funds the drawee would have used to cover the check. §3-414(f)

It should be noted, however, that failure to meet the requirements of a due presentment or timely notice generally does not operate automatically to discharge the drawer of drafts. The failure to make presentment or give notice of dishonor discharges the drawer only if the drawee bank becomes insolvent during the delay thereby depriving the drawer of funds maintained with the drawee to cover the instrument.

D. LIABILITY OF THE DRAWEE OF A DRAFT

Initially, the drawee on a draft has no liability to the payee or a subsequent holder. §3-408. The instrument is simply an order to the drawee. The drawee's liability, if any, for wrongfully dishonoring the instrument (refusing to pay when it should pay) runs only to the drawer and must be based upon some contract between the drawer and the drawee. §4-402.

1. Acceptance

However, if the drawee "accepts" the draft, it becomes liable as an acceptor. Acceptance is a promise by the drawee to pay the instrument when it becomes due and payment is demanded. It must be made on the instrument and may be made simply by the drawee's signature. It becomes effective when the instrument, with the acceptance, is delivered. The most familiar type of acceptance is the "certification" of a check. §3-409.

2. Same Liability As Maker

When a drawee accepts an instrument, it undertakes basically the same liability as the maker of a note: it promises to pay the instrument when due. There are no conditions to the acceptor's liability and it is said to be "primarily liable." §3-413.

E. ACCOMMODATION PARTIES

One who signs commercial paper that is issued for value simply to lend his credit to some other party to the instrument, and who does not directly receive any of the value given for the instrument, is an accommodation party (i.e., a surety). §3-419(a).

Example: If A wants to borrow money from a bank and the bank is unwilling to lend money on the strength of A's promise to repay, B may sign as a co-maker. In such a case, the purpose of B becoming a maker is to lend his name. Whether B is paid for doing so by A is generally immaterial. Another common instance of an accommodation party occurs where A wants to cash a check at a bank at which A has no account. The bank may be reluctant to cash it for A alone, but if B, a depositor at the bank, is willing to sign as an indorser, the bank may cash the check. Again, B is an accommodation party. There are a few simple rules applicable to accommodation parties:

1. Liable In Capacity Of Signature

An accommodation party is liable on the instrument in the capacity in which he signs (maker, drawer, acceptor, or indorser), even though the one taking the instrument knows that he is an accommodation party. Thus, in the first example given above, B would be liable as a maker; in the second example, B would be liable as an indorser. §3-419(b). However, if a party's signature on an instrument unambiguously indicates that the party is guaranteeing collection rather than payment of the obligation of another party to the instrument, then the signer is obliged to pay the amount due only if a judgment against the other party cannot be satisfied or it is otherwise apparent that payment cannot be obtained from the other party. §3-419(d).

2. Anomalous Indorsement

Where an indorsement shows that it is not in the chain of title (an anomalous indorsement), this is notice to all subsequent takers that the indorsement is for accommodation.

Example: If a check is made out to A or order as payee, and the first indorsement is by B, then it is obvious that B signed as an accommodation party since B's signature was not necessary to transfer the instrument. §3-419(c).

3. Liability To Accommodated Party

An accommodation party is never liable to the party that he has accommodated. §3-419(e).

4. Extension, Modification, Or Impairment

If the due date of an instrument is extended, or the instrument is modified, or the value of collateral is impaired by a person entitled to enforce the instrument and, as a result, an

accommodation party suffers a loss with respect to its right of recourse against an accommodated party, the accommodation party's obligation is discharged to the extent of the loss. However, an accommodation party is not so discharged if:

- a. the person entitled to enforce the instrument **did not know of** or have notice of the accommodation; or
- b. if the accommodation party **consents** to the event or conduct that is the basis of the discharge; or
- c. has **waived any defenses** that could be the basis for discharge. §3-605.

III. HOLDER IN DUE COURSE

A. IN GENERAL

1. Requirements

A holder in due ("HDC") course is a specific type of good-faith purchaser. Generally, the rules that are used to determine who is a good-faith purchaser of land or chattels apply also to a holder in due course. The basic concepts are the same, but a body of specific law spells out detailed requirements for being a holder in due course. Thus, §3-302(a) provides that a holder in due course is a holder of a negotiable instrument, which does not bear apparent evidence of forgery, alteration or other irregularity which call its authenticity into question, who takes the instrument:

- a. For value;
- b. In good faith; and
- c. Without notice
 - 1) that it is overdue or has been dishonored or that there is an uncured default of payment on another instrument in the same series;
 - 2) of an unauthorized signature or alteration; and
 - 3) of any defense against or claim to it on the part of any person.

2. Exceptions

Even though one meets these requirements, §3-302(c) provides that, except to the extent a transferor or predecessor has rights as a holder in due course, a person does not acquire rights of a holder in due course of an instrument taken in any of the following ways:

- a. by legal process or by purchase in an execution, bankruptcy, or creditor's sale;
- b. by purchase as part of a bulk transaction not in the transferor's ordinary course of business; or
- c. as the successor in interest to an estate or other organization.

A "bulk transaction" does not refer to Article 6 - Bulk Transfers. Article 6 applies only to sales of inventory and equipment of a business, not to negotiable instruments. The requirement here is simply that one cannot be a holder in due course if he takes a large

number of instruments at one time and the seller of these instruments does not normally transfer them in bulk.

B. BURDEN OF ESTABLISHING STATUS AS HOLDER IN DUE COURSE

1. Each Element Must Be Proven

The Code provides that “[i]f a defense or claim in recoupment” to the obligation sued upon “is proved,” the party claiming to be a holder in due course has the burden of establishing that he or she does in fact enjoy this status. §3-308(b). Thus, one claiming to be a holder in due course must affirmatively prove that he or she meets **each and every** element of the holder in due course status: i.e., that he or she is a holder for value who took in good faith without notice.

2. Authority Presumed Unless Denied

Unless specifically denied in the pleadings, the authenticity of and authority to make each signature on an instrument is admitted, but if the validity of a signature is put into question, the burden of establishing its validity is upon the person claiming it is valid. A signature is presumed to be valid, however, unless the action is being brought to hold the signer liable and the signer is dead or incompetent at the time of trial.

Example: Assume that a note is payable to P or order and signed by M. If a holder is suing M, and the name of P is on the reverse side in the place where indorsement would normally be, then (1) if M does not **specifically** deny the authenticity of P’s signature, M admits it; (2) if M does deny its validity, then the burden of proving its genuineness is on the plaintiff, but there is a presumption that it is valid. §3-308(a). This is also true, under certain circumstances, if a photocopy of the note is admitted into evidence in lieu of the original. §3-309(b).

C. HOLDER

1. In General

a. Definition

The first requisite of a holder in due course is that he be a holder. Section 1-201(b)(21) defines a holder as “the person in possession if the instrument is payable to bearer or, in the case of an instrument payable to an identified person, if the identified person is in possession.” Thus, the first person who becomes a holder is the **payee** of the instrument.

b. Parties subsequent to payee

Parties subsequent to the payee become holders if they are in possession of

- 1) bearer paper, or
- 2) order paper that has been properly indorsed.

An instrument is made out to a named payee or his order, that the instrument is stolen from the payee, and that the payee’s signature is forged on the back. If the forger then transfers the paper to another it would appear that the transferee could qualify as a

holder because the transferee seems to be in possession of bearer paper. However, the forgery is wholly inoperative as the signature of the payee; the paper thus has never become bearer paper, and the transferee is **not** a holder.

A somewhat more workable rule to determine whether a possessor is a holder is that **all necessary indorsements must be valid**; necessary indorsements being those of all parties who took the paper as order paper.

c. Effect of forged indorsement

The following problems may help to indicate when a forged indorsement operates to prevent a subsequent person from being a holder. Attempt to answer the questions yourself before looking at the answers and explanations.



BAR EXAM ALERT

The following technique should prove helpful in doing the problems:

- Cover the forged signature with your finger to indicate that the forged signature is not effective as an endorsement.
- Look to see if the paper was order paper or bearer paper just **before** the forgery occurred.
- If it was order paper just **before** the forgery, then E is not a holder because the indorsement that was forged was a necessary indorsement; if the paper was bearer paper just **before** the forgery, then E will be a holder since the endorsement was not necessary.

2. MicroMash® Quick Review Chart – Forged Instruments

Front of Instrument	Transfers	Back of Instrument
I promise to pay Paul Payee, or bearer, \$1,000 on demand s/Mike Maker	M.M.	Pay A
	P.P.	/s/ Paul Payee
	A	/s/ A
	B	
	C	Pay D, /s/ C
	D	/s/ D
	E	

Is E a holder when:

- a. Paul Payee is only forgery?
- b. A is only forgery?
- c. Both Paul Payee and A are forgeries?
- d. C is only forgery?
- e. D is only forgery?
- f. Both C and D are forgeries?
- g. Paul Payee, C, and D are all forgeries?
- h. A and C are forgeries?
- i. Paul Payee and D are forgeries?
- j. All indorsements are forgeries?

Answers and Analysis

- a. **YES** Instrument is bearer on its face. Since Paul Payee's signature is forged, it has no effect. A took as bearer paper.
- b. **YES** A took bearer paper.
- c. **YES** B took bearer paper.
- d. **YES** A converted it back to bearer paper and since C's signature is forged it has no effect. D took bearer paper.
- e. **NO** It was order paper to D and his signature is necessary for further negotiation.
- f. **YES** See #4.
- g. **YES** No, it was order paper to D, and D's signature is necessary for further negotiation.
- h. **NO** It was order paper to A, and his signature is needed. See #2.
- i. **NO** It was order paper to D. See #5.
- j. **YES** Bearer on its face and never changed.

3. Negotiation

Another way of approaching the requirement that a holder in due course must be a holder is through the concept of negotiation. **When an instrument is negotiated, the transferee becomes a holder.** §3-201(a).

a. Usual way to transfer

Negotiation is clearly the "normal" way to transfer negotiable instruments and the Code will generally dictate that a transfer either constitutes a negotiation or gives the transferee the right to compel a negotiation.

b. If assigned

In spite of the Code's position that transfers are generally to be regarded as negotiations, there is no question but that a negotiable instrument may be assigned if the transferor **clearly** indicates that intent. If the instrument is **assigned**, the transferee cannot become a holder and hence cannot be a holder in due course.

c. Correct method of negotiation

Section 3-201 establishes the correct way to negotiate:

A bearer instrument is negotiated by delivery alone, and an order instrument is negotiated by delivery with any necessary indorsement.

d. Transfer by delivery without indorsement

When an order instrument is transferred by delivery without an indorsement, this does not operate as a negotiation but §3-203(c) provides:

Unless otherwise agreed, if an instrument is transferred for value and the transferee does not become a holder because of lack of indorsement by the transferor, the transferee has a specifically enforceable right to the unqualified indorsement of the transferor, but negotiation of the instrument does not occur until indorsement is made.

e. Character as indorsement unaffected

Under §3-202(4), where an indorsement is accompanied by words of “assignment, condition, waiver, guaranty, limitation” or the like, its character as an indorsement is not affected.

4. Different Or Misspelled Names

Where the name of a holder is not the same as stated in an instrument, he may indorse the instrument either as his name is stated on the instrument or as it really is. However, both names may be required “by a person paying or giving value for the instrument.” §3-204(d).

5. Negotiation By A Minor Or As A Result Of Fraud

If a minor negotiates an instrument, the negotiation is effective to transfer the instrument even though the minor may not undertake the contractual obligations of an indorser or be responsible for breach of warranty. The same is true where the negotiation is:

- a. by a corporation exceeding its powers;
- b. by a person without the capacity to contract;
- c. obtained by fraud, duress, or mistake;
- d. part of an illegal transaction; or
- e. made in breach of duty. §3-202(a).

The person or corporation indorsing may rescind in an appropriate case, but an attempted rescission is not good as against a subsequent holder in due course or a person paying the instrument in good faith and without knowledge of facts that are a basis for rescission. §3-202(b).

6. Special And Blank Indorsements

By the form of indorsement, the transferor of an instrument controls the method by which his or her transferee can **further** negotiate the instrument. If the indorsement is “blank,” the instrument becomes bearer paper and the transferee can further negotiate by delivery alone. §3-205(b). A blank indorsement is simply the name of the transferor written on the back of the instrument. If the indorsement is “special,” then the instrument becomes

order paper and the transferee's indorsement is necessary for further negotiation. A special indorsement names the transferee and directs payment to him. §3-105(a).

Example:

Blank Indorsement

s/ Paul Payee

Special Indorsement

Pay Tom Transferee

s/ Paul Payee

7. Negotiation vs. Presentment

a. Negotiation

To obtain payment of a negotiable instrument, demand is generally made upon the person expected to pay - the maker of a note or the drawee of a draft. Often when the demand is made, the holder signs the back of the instrument. This appears to be an indorsement and the transaction looks like a negotiation. However, the distinction between a demand and a transfer should be clearly drawn because different results are obtained. A person paying the instrument upon presentment does not take by negotiation, cannot become a holder in due course, and her rights against the presenting party are different from the rights of the transferee against her transferor after a negotiation.

b. Presentment

Presentment, especially of checks, often involves a number of banks and what is called the "check collection process." Instead of presenting a check, a holder may "deposit" it to her account in a bank and have the bank make the presentment. Often other banks come into the picture if the drawee is in a different city. Although the final step in the check collection process will be a presentment, the original depositing of the instrument and intermediate transfers are negotiations.

8. Negotiation Distinguished From Issuance

After an instrument is drafted and signed by the maker or drawer, it is **issued**, generally to the payee. §3-105(a). Although this is a transfer of the paper upon which the instrument is drawn, it is not a transfer of the obligation but the creation of it. The **issuance** does not amount to a negotiation.

An unissued instrument is binding on the maker or drawer, but nonissuance is a defense. §3-105(b).

9. Fictitious Payee And Impostor Rules

The "**fictitious payee rule**" may determine whether one is a "holder" of an instrument. The rule is most often applied when an employee attempts to defraud his employer by

drawing checks supposedly for the purpose of paying bills, while actually cashing the checks himself and pocketing the proceeds.

Example: Assume that an employee regularly draws a check payable to ‘John Smith or order,’ representing to his employer that a business debt is owed to Smith. The employee then “forges” the name of John Smith as an indorsement and transfers the check to X. If the regular rules of forged indorsements applied, X would not be a holder in due course because a necessary indorsement was forged. However, under §3-404(b), when a person is named as payee by the drawer and **the drawer intends that the named payee have no interest in the instrument**, then any person can indorse in the name of the payee. Hence, here the indorsement is effective even though it was forged.

The same result is also reached by the Code in a slightly different situation

Example: Assume that the employee who wants to cheat his employer makes up the checks but does not have the authority to sign them; instead, he or she has to have the employer (or another employee) actually sign. In such a case, even if the one actually signing has the intent that the named payee take an interest in the instrument, anyone can indorse. §3-405. However, if a person paying the instrument or taking it for value or for collection fails to exercise ordinary care in doing so and that failure substantially contributes to loss resulting from the fraud, the person bearing the loss may recover from the person who failed to exercise ordinary care. §3-405(b).

When a person represents that he is someone else and induces the drawer or maker to make an instrument payable to the name of the impersonated person, again, anyone can indorse the instrument in the name of the payee.

Example: If Tom Thief tells Mary Anne Maker that he is Paul Payee, and Mary Anne draws a check payable to Paul Payee and gives it to Tom, anyone may indorse the check “Paul Payee” and effectuate a negotiation so that a subsequent taker is a holder. §3-404(a).

Under §3-405:

(1) An indorsement by any person in the name of a named payee is effective if:

(a) An imposter by use of the mails or otherwise has induced the maker or the drawer to issue the instrument to him or his confederate in the name of the payee, or

(b) A person signing as or on behalf of a maker or drawer intends the payee to have no interest in the instrument, or

(c) An agent or employee of the maker or drawer has supplied him with the name of the payee intending the latter to have no such interest.

(2) Nothing in this section shall affect the criminal or civil liability of the person indorsing.

D. VALUE

1. Definition

The second requirement for being a holder in due course is that he take the instrument for value. Value is defined by §3-303 in the following manner:

An instrument is issued or transferred for value if:

- a. The instrument is issued or transferred for a promise of performance to the extent the promise has been performed;
- b. The transferee acquires a security interest or other lien in the instrument other than a lien obtained by judicial proceeding;
- c. The instrument is issued or transferred as payment of, or as security for, an antecedent claim against any person, whether or not the claim is due;
- d. The instrument is issued or transferred in exchange for a negotiable instrument; or
- e. The instrument is issued or transferred in exchange for the incurring of an irrevocable obligation to a third party by the person taking the instrument.

Thus, value generally means the giving of something, other than a promise, for the instrument or the acquiring of a security interest in the instrument. **Unexecuted promises do not constitute value.** Negotiation of an instrument as a gift will not satisfy the value requirement.

2. Value Given Depends On Form Of Transaction

A particular situation involving value is worth mentioning at this point. It involves a holder giving a check to the bank. This may be done in several ways and whether value is given depends upon the form of the transaction:

- a. The holder may “cash” his check or sell a note at a bank with the bank giving him the face amount or somewhat less than the face amount. When this is done, the bank is clearly a holder for value to the full amount of the check.
- b. The bank may take the instrument “for deposit” crediting the holder’s account in the bank with the amount of the instrument. Here the bank is not a holder for value until it has actually paid out to the holder some or all of the money it credited to the holder’s account. The crediting amounts only to a promise to pay. When the bank does pay out, then it has performed the agreed consideration under §3-303(a)(1). Also, the bank, once it has paid out, has a security interest in the instrument under §4-210 and this means that the bank has given value under §4-211.
- c. The bank may take the instrument as security for a loan being made to the holder. For example, Hart holds Smith’s negotiable note payable to Hart for \$1,000, and

gives this to the X bank as security for a loan to Hart by the bank. Here, the X bank obtains a security interest in the note under Article 9 and has been given value for the instrument. §3-303(a)(2).

Under situation a, the bank becomes a holder for value to the full extent of the instrument - its face amount. In situations b and c, however, the bank becomes a holder for value only to the extent that it has paid out the money on deposit or loaned the money.

E. GOOD FAITH

Good faith is defined by §1-201(b)(20) as honesty in fact **and** the observance of reasonable commercial standards of fair dealing. This is a subjective **and** objective test. To be a holder in due course, the holder of a negotiable instrument must have taken it without actual knowledge **and** without reason to know of some defect. Therefore, a person who takes an instrument without actual knowledge of a defect cannot attain holder in due course status if a reasonable person would have notice of the defect.

F. NOTICE OF DISHONOR, OVERDUENESS, DEFENSES, AND CLAIMS

1. In General

Conceptually, the requirement that a transferee have no notice that the instrument is overdue, has been dishonored, or that there are defenses or claims to it is akin to the requirement of good faith. The Code, like prior law, treats the no-notice requirement separately and in some detail. Here the test is primarily an objective one, but there are overtones of subjectivity or at least of reasonableness.

a. Types of notice

There are four separate types of notice that can destroy a transferee's potential for becoming a holder in due course:

- 1) Notice that there is an ownership **claim** to the instrument by another person;
- 2) Notice that there is a **defense** to it by one who would otherwise be liable as a maker, drawer, acceptor, or indorser;
- 3) Notice that it is **overdue**; and
- 4) Notice of **dishonor**.

b. Notice defined

A person has "notice" of a fact when he or she has:

- 1) actual knowledge;
- 2) received a notice; or
- 3) reason to know that it exists. §1-202.

c. Actual knowledge

Actual knowledge is a subjective test. “Knowledge” is also defined by the Code: “A person ‘knows’ or has ‘knowledge’ of a fact when he has actual knowledge of it.” As will be seen, the terms “notice” and “knowledge” are separate and distinct.

Subparagraph (b) requires reference to §1-201(26), which provides that a person receives a notice or notification when:

- 1) It comes to his attention; or
- 2) It is duly delivered at the place of business through which the contract was made or at any other place held out by him as the place for receipt of such communications.

d. Reason to know

Subparagraph (c) of §1-201(25) tests notice by the reasonable person standard. The best explanation of when a transferee has “reason to know” is a Comment to Section 9 of the Restatement of Agency:

A person has **reason to know** of a fact if he has information from which a person of ordinary intelligence, or of the superior intelligence which such person may have, would infer that the fact in question exists or that there is such a substantial chance of its existence that, if exercising reasonable care with reference to the matter in question, his action would be predicated upon the assumption of its possible existence.

Subparagraph (c) does not, however, require inquiry into further facts since notice depends upon “all the facts **known** to him **at the time in question.**” The last four words also indicate that the person is not held to know facts that he or she once knew but has forgotten.

2. Evidence Of Forgery Or Alteration

A person has notice of a claim or defense if the instrument bears such apparent evidence of forgery or alteration, or is otherwise so irregular or incomplete as to call into question its authenticity. §3-302(a)(1).

3. Notice That Instrument Is Overdue

The purchaser has notice that an instrument is overdue if he has notice that he is taking:

- a. a demand instrument one day or more after demand has been made or more than a reasonable length of time after its issue if it is not a check or, if it is a check, more than 90 days after its date;
- b. an instrument payable at a definite time and the principal is payable in installments and payment of an installment is overdue; or
- c. an instrument payable at a definite time and the principal is not payable in installments and payment of the principal has not been made on the day after the

due date.

4. Notice Of Dishonor

Notice of dishonor means that the holder has notice that there has been a presentment of the instrument prior to the time that the holder purchased it and that the person to whom the presentment was made dishonored it by failing to pay it or accept it. Typically, it occurs when the holder has notice at the time of purchase that the drawee bank or the maker has refused to pay the instrument (e.g., a check marked “insufficient funds”).

5. Notice Of Claim Resulting From Breach Of Fiduciary Duty

If an instrument is taken from a fiduciary for payment or collection or for value, the transferee has knowledge of the fiduciary status of the fiduciary, and the person represented by the fiduciary makes a claim to the instrument or its proceeds on the basis that the transaction is a breach of fiduciary duty, notice of the breach of fiduciary duty can prevent the transferee from becoming a holder in due course. §3-307.

6. Notice Of Defense Or Claim In Recoupment

Defenses to enforcement of a party’s obligation to pay an instrument include infancy, duress, lack of legal capacity, illegality of a transaction, fraud that induced the obligor to sign the instrument without knowledge or reasonable opportunity to learn of its character or essential terms, and discharge in insolvency proceedings. §3-305(a)(1).

A claim in recoupment, notice of which can prevent a transferee from becoming a holder in due course, is a claim of the obligor against the original payee of the instrument if the claim arose from the transaction that gave rise to the instrument. §3-305(a)(3). An example of a claim in recoupment is a breach of warranty claim by a buyer against a seller.

G. THE “UMBRELLA” OR “SHELTER” DOCTRINE

Where a person fails to meet one of the requirements for being a holder in due course, e.g., the transferee takes after maturity, with notice of a defense or as a donee, that person may still have the rights of a holder in due course derivatively. Section 3-203(b) provides that a transferee of an instrument takes any right of the person transferring the instrument to enforce it, including any right as a holder in due course. However, a person cannot obtain the rights of a holder in due course from his transferor if the transferee engaged in fraud or illegality affecting the instrument.

H. MicroMash® QUICK REVIEW – HOLDER IN DUE COURSE

1. Instrument Must Be Negotiable

2. Transferee Must Be A “Holder”

- a. Payee of order paper
- b. Possessor of bearer paper
- c. Indorsee of order paper
- d. Indorsement controls how next negotiation is to be made

1) **Special:** by indorsement

2) **Blank:** no indorsement needed

e. Fictitious payee and impostor rules

3. “Value”

a. Different from consideration

b. Agreed consideration performed or security interest in instrument

c. Antecedent claim good value

d. Exchange of negotiable instruments means both parties give value

e. Irrevocable commitment constitutes value

f. Bank can purchase instrument, give provisional credit or take a security interest; whether value given depends on what bank has done.

4. “Good Faith”

“Honesty in fact and the observance of reasonable commercial standards of fair dealing.”

a. Subjective test: Did purchaser act honestly?

b. Generally jury question

c. Evidence of dishonesty:

1) Payment of much less than face amount of instrument

2) Knowledge of seller’s bad reputation

5. Without Notice Of

a. **Overdue**

b. Dishonored

c. Uncured default in same series

d. Unauthorized signature

e. Alteration

f. Claim

g. Defense or claim in recoupment

6. “Umbrella” Or “Shelter” Doctrine

IV. RIGHTS OF A HOLDER IN DUE COURSE - REAL AND PERSONAL DEFENSES

A. ADVERSE CLAIMS

A holder in due course takes the instrument free from all claims to it by others. Thus, if the instrument is stolen while it is bearer paper, the “true” owner cannot recover it from a holder in due course. §3-306.

B. DEFENSES

1. Real Defenses

a. In general

A holder in due course also takes free of all defenses except the so-called **real defenses** enumerated in §§3-305(a)(1), §3-601(b):

- 1) Infancy, to the extent that it is a defense to a simple contract under local law;
- 2) Duress, lack of legal capacity, or illegality of the transaction which under other law nullifies the obligation of the obligor;
- 3) Fraud that induced the party to sign the instrument with neither knowledge nor reasonable opportunity to learn of its character or its essential terms;
- 4) Discharge in insolvency proceedings; and
- 5) Any other discharge of which the holder has notice when he takes the instrument.

Thus, the minority of the defendant is always a real defense and available even as against a holder in due course.

b. Limitations

However, duress, mental incapacity, and illegality are only real defenses when they can be said to render the contract a nullity (void) under the law of the state. Normally, duress is **not** a real defense, but becomes one when the threat or physical force is such that the person loses his or her capacity to contract. Mental incapacity is usually only a real defense when the person signing the note or draft has been adjudicated an incompetent and his or her property placed under guardianship. There is no general rule as to when a statute making a contract illegal operates to void the obligation (thereby making it a real defense) rather than simply making the obligation voidable.

2. Fraud

Misrepresentation or fraud may be a real defense but only when the fraud is fraud in the factum (or as it is sometimes called “fraud in the essence” or “fraud in the inception”). Fraud in the inducement is **not** a real defense. The distinction is based upon whether the individual signing knew that he or she was signing a negotiable instrument. Thus, if one signed a piece of paper believing that it was a sales order based upon a representation of a

salesperson, and it turned out to be a note, there may be fraud in the factum and the possibility of a real defense. If, however, the signer knew that it was a negotiable instrument, but was led to sign it based upon a representation that the goods for which it was given were “all steel,” this would only be fraud in the inducement and would not constitute a real defense. Note particularly in regard to fraud as a real defense, that the section only allows a party to raise it if he did not have a “reasonable opportunity to learn” of the character and terms of the instrument. Thus, if there was a way for the party to discover that the instrument was a negotiable instrument (e.g., by reading it), the defense cannot be raised against a holder in due course.

3. Personal Defenses

All other defenses (except material alteration and forgery, which are discussed separately, *infra*), are personal and cannot be successfully raised against holder in due course by anyone except a person with whom HDC has dealt.

The mere fact that a person does not qualify as a holder in due course does not automatically defeat her right to recover on a negotiable instrument. A nonholder in due course may recover where the obligor has no valid defense.

C. ALTERATION AND UNAUTHORIZED COMPLETION

When an instrument is altered by a holder, or an incomplete instrument is completed without authority, the obligor may raise a defense against one demanding payment. Since this defense is somewhat complicated and is not clearly characterized as real or personal, it is treated separately here.

1. Alterations

An **alteration** is an unauthorized change in an instrument that purports to modify a party's obligation, or an unauthorized addition to an incomplete instrument relating to a party's obligation. §3-407(a). Thus, a change in amount payable, date of payment, addition or deletion of the name of a person as a party is an alteration. An unauthorized completion of an incomplete instrument is also deemed to be an alteration.

2. Extent To Which Alteration Is A Defense

The following rules apply when there has been an alteration:

- a. When the alteration is fraudulent, a party whose obligation is affected by the alteration is discharged, except as to holders in due course, unless the party raising the defense is estopped from raising it.
- b. Even where the alteration is fraudulent, a holder in due course may enforce it to its original tenor.
- c. When the alteration is not fraudulent, no person is discharged and it may be enforced as to its original tenor even by a nonholder in due course.
- d. Where the alteration consists of an unauthorized completion, then a holder in due course may enforce it as completed.

Thus, a holder in due course can always enforce the instrument to its original tenor, and if there has been an unauthorized completion, the HDC rights are even greater since the HDC can enforce it as completed. A nonholder in due course has lesser rights; the obligor is completely discharged if the obligor's contract has been changed and the alteration is fraudulent.

3. Effect Of Negligence Or Ratification

Section 3-406 provides that a person whose negligence substantially contributed to an alteration is precluded - estopped - from raising the alteration against a person who, in good faith, paid the instrument or took it for value or for collection. However, if such a person also was negligent in paying or taking the instrument, the loss is allocated between the person precluded and the person who paid or took the instrument. It is also clear that a person may ratify an alteration and thus be bound by it.

D. FORGERY

Although forgery is not listed as a real defense, it is available even as against a person who in good faith pays the instrument or takes it for value. Hence, it is of the nature of a real defense. The reason that forgery can be so raised is that the person whose name is forged did not sign the instrument and thus is not liable on the instrument. §3-403(a). The same rule is applicable where the signature is made by an agent **without** authority.

However, where there is a forgery, or where an agent signs without authority, the forger or agent becomes liable just as though he or she had signed his or her own name. Thus, an action can be brought against the person who signed, in effect treating the forged name as the signature of the forger. (See Section II(A), *supra*.)

If the party's negligence substantially contributed to the unauthorized signature, he or she is estopped from raising it as against a holder in due course.

E. DEFENSE OF "NO TITLE"

The defense of "no title" (or "*jus tertii*") arises where the plaintiff in the action cannot trace his or her title back to the obligor.

Example: If an instrument is stolen from the payee and then transferred to the plaintiff, there is no "chain of title" from the plaintiff back to the true owner, i.e., the payee. In such cases, the defendant (the maker) may raise this as a defense in an action brought to enforce the note.

The defense is good if the plaintiff is not a holder in due course. §3-305(c). However, if the plaintiff is a holder in due course, he gets good title as against the whole world because of his status as a holder in due course and the defense is not good.

F. LACK OF DELIVERY

The defense of lack of delivery is unique to negotiable instruments. It arises when an instrument is stolen from the drawer or maker prior to the time that it is issued, i.e., before the maker or drawer delivers it to the payee. It also arises when the maker or drawer loses the instrument before it is issued and someone else finds it. Lack of delivery is a **personal defense**. However, if the instrument was order paper, i.e., payable to the payee or order, no

party will ever be a holder of it unless it was stolen or found by the payee who then indorses it.

G. MicroMash® QUICK REVIEW – DEFENSES

1. Real Defenses

Real defenses are those that can be successfully raised even as against a holder in due course. The following are real defenses:

- a. infancy;
- b. duress, lack of legal capacity, or illegality of the transaction which renders a party's obligation a nullity;
- c. fraud in the factum;
- d. discharge in bankruptcy; and
- e. any other discharge of which the holder had notice at the time he took the instrument.

2. Personal Defenses

Personal defenses are all other defenses, e.g., no consideration, failure of consideration, and fraud in the inducement. These cannot be successfully raised against a holder in due course except where the plaintiff and defendant have dealt with one another.

3. Alteration

This defense requires special treatment. The rules are as follows:

- a. A **holder in due course** can enforce the instrument according to its original tenor.
- b. If the alteration is fraudulent, a **nonholder** in due course can recover nothing.
- c. If the alteration is not fraudulent, a **nonholder in due course** can enforce it to its original tenor.

4. Unauthorized Completion

This defense also requires special treatment. The rules are as follows:

- a. A **holder in due course** can enforce the instrument as completed.
- b. If the completion is **fraudulent**, a **nonholder in due course** can recover nothing.
- c. If the completion is **not fraudulent**, a nonholder in due course can enforce the instrument according to its original terms.

5. Forgery

Where a person's signature is placed on an instrument without his authority, the person does not become liable, even to a holder in due course, unless he has ratified the signature, or unless his negligence substantially contributed to the forgery.

6. Defense Of “No Title”

This defense is good only against nonholders in due course.

7. Lack Of Delivery

This is a personal defense.

V. LIABILITY OF PERSONS TRANSFERRING A NEGOTIABLE INSTRUMENT

A. CONTRACT OF INDORSEMENT - QUALIFIED INDORSEMENTS

If the transferor of an instrument indorses, whether or not the indorsement is necessary to negotiate the instrument, the indorser becomes liable to pay the instrument if, upon demand, the maker or drawer does not and the indorser is given notice of the refusal to pay. §3-415. This rule is usually abbreviated by stating that the indorser becomes “secondarily liable” on the instrument. All that secondary liability means is that there are conditions to the indorser’s liability, namely presentment (demand), dishonor (refusal to pay), and notice of dishonor. Presentment, dishonor, and notice of dishonor are technical terms and the Code provisions defining and explaining them must be met. Otherwise, the indorser is discharged from liability under his contract of indorsement.

An indorser may disclaim liability on her indorsement by a “qualified” indorsement. If the indorsement is qualified, there is no secondary liability imposed upon the transferor. This is normally done by indorsing the instrument “without recourse.” §3-415(b).

Qualified Indorsement

Without recourse

s/Paul Payee

B. PRESENTMENT, DISHONOR, AND NOTICE OF DISHONOR

Presentment, dishonor, and notice of dishonor generally are conditions to the liability of an indorser. If the holder fails to meet these conditions, then the indorser is **completely discharged from liability on his contract of indorsement** unless the failure to meet one or more conditions is excused. §§3-415, 3-502, 3-503, 3-504. The indorser, however, may remain liable on transfer warranties.

1. Presentment For Payment

Presentment for payment is a particular type of demand on the party who ought to pay the instrument - the maker of a note or the drawee of a draft. Two factors are important - **When** must presentment be made, and **how** must it be made?

a. When presentment must be made

Unless the demand for payment is made on time, it does not constitute a presentment. The time varies in accordance with when the instrument is due.

1) Fixed date

Presentment must be made on or after that date.

2) Demand instruments

Presentment must be made within a reasonable time after the person to be charged becomes liable on the instrument.

Example: If a note is given to a payee and he negotiates it to A on December 15, and A then negotiates it to B on January 15, and B to C on February 15, the times for presentment to charge Payee, A, B, and C as indorsers are all different. As to Payee, it is a reasonable time after December 15 because that is the date upon which Payee becomes liable. As to A, it is a reasonable time after January 15 and as to B it is a reasonable time after February 15.

3) Reasonable time

A **reasonable time** is determined by:

- (a) Nature of the instrument
- (b) Usage of the trade
- (c) Facts of a particular case

The Code specifies exact times for checks that are not drawn by banks: Drawer – 30 days after its date, §3-414(b); Indorser – 30 days after indorsement, §3-415(e).

b. How presentment is made**1) Place of payment**

Presentment is a demand upon the obligor, but it must be made in a particular way. Presentment may be made at the place of payment of the instrument and **must** be presented at such a place if payable at a bank. It can be made by any commercially reasonable means including electronic communication. It is effective when the demand for payment is received, and is effective if made to any one of two or more makers or drawers. §3-501(b)(1).

2) Demands

When the instrument is presented, the party to whom the presentment is made has the right to require:

- (a) that the instrument be exhibited;
- (b) identification of the party presenting and, if presentment is made on behalf of another person, authorization to do so; and
- (c) a signed receipt on the instrument or surrender of the instrument upon full payment. If these demands are not met, there is no presentment. §3-501(b)(2).

3) Cut off time

The party to whom presentment is made may treat it as occurring the next business day if that party has established a cutoff not earlier than two p.m. for the receipt and processing of instruments presented for payment or acceptance and the presentment is after the cutoff. §3-501(b)(4).

2. Presentment For Acceptance

In some cases an instrument must go through two presentments. The first is presentment for acceptance and the second is presentment for payment. A simple example of this is an instrument that is payable a certain number of days after sight, i.e., "Pay Paul Payee or order \$1,000, 30 days after sight." Until the drawee has sight of the instrument, the time for payment is not certain. Thus, the holder must first "present for acceptance."

3. Dishonor

Dishonor occurs when a presentment for payment is made and payment is refused. It also occurs when a required or optional presentment for acceptance is made and acceptance is refused. Where presentment is excused, a dishonor occurs when the instrument is not duly accepted or paid.

A dishonor does not occur when payment is refused because the instrument lacks a necessary indorsement.

4. Notice Of Dishonor

Notice of dishonor may be given by any commercially reasonable manner, e.g., phone call, letter, electronic communication, etc. Except when giving notice is delayed due to circumstances beyond the control of the person giving notice and that person exercised reasonable diligence after the cause of delay ceased, notice of dishonor must be given by a collecting bank before midnight of the next banking day following the banking day on which the bank receives notice of dishonor, and by any other person within 30 days following the day on which the person receives notice of dishonor. §§3-503, 3-504(c).

C. WARRANTIES OF TRANSFEROR

The transferor of a negotiable instrument who **receives consideration**, whether or not he indorses, makes certain warranties to his immediate transferee. If the transferor does indorse, then the warranties run to all subsequent holders who take the instrument in good faith. If the transfer is not accompanied by an indorsement, then the warranties run only to the immediate transferee. The warranties are set out in §3-416(a):

- 1) the transferor is entitled to enforce the instrument;
- 2) all signatures are authentic and authorized;
- 3) the instrument has not been altered;
- 4) the instrument is not subject to a defense or claim in recoupment of any party against the transferor; and

5) the transferor has no knowledge of any insolvency proceeding commenced with respect to the maker, acceptor, or the drawer of an unaccepted draft.

These warranties cannot be disclaimed with respect to checks. §3-416(c).

D. ACCOMMODATION INDORSERS

As noted previously, one who signs as an accommodation party is liable in the capacity in which she signs. Thus, one who signs as an accommodation indorser is liable as an indorser. This presents no difficulty with regard to the accommodation indorser's liability on the contract of indorsement, but an accommodation indorser has **no liability on the warranties of a transferor** for two reasons: (1) the accommodation indorser does not transfer the instrument, and (2) the accommodation indorser does not usually receive consideration.

VI. MicroMash® QUICK REVIEW QUESTIONS

The following questions are offered as a way of reviewing the material in these notes. A discussion of the first question is included to indicate a general format for answers of this type, and as a quick review of the substantive law applicable to that question.



BAR EXAM ALERT

When approaching the questions, remember that there are three common types of problems: (1) good faith purchaser vs. obligor of the instrument; (2) good faith purchaser vs. true owner of the instrument; and (3) transferee vs. transferor. The first type is the most prevalent, with the second type the rarest.

In a **good faith purchaser vs. obligor** problem, use the following approach:

- 1) Is the instrument negotiable?
- 2) What is the liability of the defendant?
- 3) Is the plaintiff a holder in due course?
- 4) What defenses can be raised, and are the defenses real or personal?

In the second type of problem, good faith purchaser vs. true owner, the approach is very simple: Is the good faith purchaser a holder in due course? If the purchaser is, then she takes good title even as against the true owner.

In the third type of problem, first ask whether the transferor has indorsed and whether there is any liability on the contract of indorsement. Then, look to see whether there is any liability on the warranties of a transferor.

REVIEW QUESTION #1

A left his car at B's Garage to have a new motor installed, and on Tuesday morning sent his clerk, C, to pick it up. A filled out and signed his personal check on the X bank, payable to the order of B, leaving the amount blank, and gave it to C with instructions to fill in the check in the amount of B's bill and give it to B when B delivered the car. C picked up the car but B did not have the bill ready then, and C, rather than wait, handed B the check and told him to fill in the amount of his bill for the installation as soon as he had figured it.

The installation bill amounted to \$200; but B, remembering that A also owed him a personal debt of exactly \$400, filled in the check in the amount of \$600, indorsed the check "Without recourse, B" and left it lying on his desk while he went out on a road call.

D, a traveling salesman stopping for gas, noticed the check on the desk and took it. D skillfully changed the amount from \$600 to \$1,600 and, without indorsing it, gave it that afternoon to E in payment of a long overdue debt that D owed E.

E indorsed the check "Pay to the order of F, E" and gave it to F as a gift. F presented it to the X bank on Wednesday morning for payment. In the meantime, A had stopped payment and the X bank refused to pay.

What are F's rights on the check against A, B, C, D, and E, respectively?

ANSWER TO REVIEW QUESTION #1

This is a good review question because it involves both the liabilities of a drawer of a check and the liabilities of indorsers or transferors.

The question does not raise the issue of negotiability. The instrument is negotiable because the question tells you it is a check, and the Code defines checks as negotiable instruments.

F cannot be a holder in due course in his own right because he took the instrument as a gift and therefore gave no value. F, however, may have the rights of a holder in due course derivatively. Under the Shelter Doctrine, if E was a holder in due course, F has the rights of a holder in due course. E appears to be a holder in due course. Although the instrument was stolen, E is a holder because at the time of the theft the instrument was in bearer form. This is true because the indorsement of B was a blank indorsement converting the instrument, which was probably initially an order instrument, to a bearer instrument. E gave value for the instrument because it was taken in payment of a debt owed from D to E, and the taking of a check as payment of a pre-existing debt constitutes a taking for value. There is nothing in the question raising any issue concerning the good faith of E, nor are there any facts indicating that E might have taken with notice of defenses, adverse claims, overdueeness, dishonor, alteration or unauthorized signature. Hence, E probably was a holder in due course and F probably has the rights of a holder in due course, derivatively.

At this point it is appropriate to consider F's rights against each of the individual parties.

F vs. A. A is liable as a drawer of a check. Since there is nothing to indicate that the bank became insolvent, questions of presentment, dishonor, and notice of dishonor are irrelevant and A will be liable on the check unless A can raise a defense that is good against F. The initial defense that A would raise is that of unauthorized completion of the instrument. A gave authority to complete the instrument to the amount of the installation bill, which was \$200. B, however, completed it in the amount of \$600. This defense, however, could not be raised against F because F is a holder in due course. A holder in due course has the right to enforce an instrument that has been completed beyond the authority given to the full amount of the check as actually completed. In effect, unauthorized completion is only a personal defense. The second defense that A would raise is that of alteration. Here the check was raised from \$600 to \$1,600. The basic rule here is that a holder in due course can enforce the instrument according to the tenor of the instrument immediately preceding the alteration, here \$600. Hence, it would appear that F can recover \$600 from A. If F can show that A's negligence substantially contributed to the alteration, then A would be estopped from raising the alteration. Here, however, there seems to be no negligence on the part of A that was connected to the alteration of the instrument from \$600 to \$1,600. It would be difficult to argue that A's "negligence" in giving the check to C or C's negligence as agent of A in allowing B to complete the instrument have any causal connection with the raising of the check from \$600 to \$1,600 by D. However, if A was negligent in taking the check, then the loss from the alteration would be allocated between them.

F vs. B. B has no liability whatsoever to F. As far as the contract of indorsement is concerned, there is no liability because B signed "without recourse" which effectively disclaims any liability on the contract of indorsement. There are two reasons why B is not

liable on warranties: (1) B did not receive any value for the instrument, and (2) B never transferred the instrument. Therefore, F will not be able to recover from B.

F vs. C. It is important to note that C did not sign the check and hence is not liable on the instrument. The only possible liability that C could have to F is on a theory of negligence. It is conceivable that C was negligent in giving the instrument to B without the amount completed, and that there was a duty on the part of C to handle the instrument with care, which duty ran to all subsequent takers of the instrument. The problem, however, is that F can recover \$600 from A; therefore, C's negligence with regard to the instrument having been completed in excess of the authority given did not give rise to any damages. As for the fraudulent alteration of the instrument from \$600 to \$1,600, this would appear to be an independent intervening cause that would break the chain of causation. Therefore, C owes no liability to F.

F vs. D. Again, similarly to B, D may be liable either on a contract of indorsement or on a warranty theory. D did not indorse the instrument, however, and therefore there is no contract of indorsement. D did, however, receive consideration for the instrument and transfer it. Thus, D gave the warranties of a transferor, one of which is that there are no alterations. However, since D did not indorse, D's warranties run only to D's immediate transferee, E, and F cannot take advantage of them. F's only argument is that under the Shelter Doctrine, F gets all of the rights of E and one of the rights that E had against D was the right to recover for breach of warranty.

F vs. E. Again, E may be liable either on the contract of indorsement or on a warranty theory. There is no warranty liability here, because E did not receive any consideration for the instrument and therefore, did not give any of the warranties. F did indorse the instrument and is liable as an indorser, but E has a defense against F, namely, that of no consideration. When there is an action on the contract of indorsement, the indorser can raise any defense that would be good against a simple contract action. The fact that F has the rights of a holder in due course would not benefit F because defenses are not cut off between the immediate parties. Therefore, E has no liability to F.

REVIEW QUESTION #2

Your client, Timothy Till, is timid. He has a cat of which he is very fond. After he had been guilty of misconduct with Bertha Bean, she demanded \$500 from him. He convinced her that he did not have that much money. She then asked him to sign a note. When he refused, she told him that she would poison his cat if he did not sign. That threat so frightened him that on Monday, April 2, he signed and delivered to Bertha a note which read:

\$600 April 2, 19--

On June 1 after date, I promise to pay to the order of Bertha Bean Six Hundred Dollars with interest.

(signed) Timothy Till

On April 3, Bertha sold the note to the Comet Loan Co. for \$575, signed her name on the back and delivered the note to B.C. Dee, the proprietor of the loan company. The note slipped off Dee's desk and into his wastebasket, where it was discovered by a cleaning woman. She handed it to her husband, Tom, and on May 4, he gave it to Sloppy Sam, a saloon keeper, in return for drinks for all present. Sam brought suit on the note on June 1.

What, if any, defenses can you offer to the action?

ANSWER TO REVIEW QUESTION #2

Tim can assert two possible defenses against Sam: duress and theft. Tim may argue that the note was signed under duress (i.e., under Bertha's threat to poison his cat), and thus he is not liable on the note. Tim may also seek to avoid payment to Sam on the assertion that Sam holds a stolen instrument.

To determine the effect of these defenses, it is now very relevant to determine whether Sam holds the status of a holder in due course.

Under the facts, the instrument appears to meet all the requirements of negotiability, i.e., it is: in writing; signed by the maker; an unconditional promise to pay; for a fixed amount in money; payable on a definite time to order or bearer; and not subject to any other undertaking or instruction.

Sam is a holder since the note was properly negotiated. Bertha signed the note as a blank indorsement, thereby making the note bearer paper. As a result, the cleaning woman, Tom, and Sam all had good title.

Further, Sam is a holder in due course, i.e., he is a holder of a negotiable instrument; the instrument appears authentic; he gave value (the drinks); he apparently took the instrument in good faith and without notice of defect.

Having concluded that Sam is a holder in due course, the effect of the possible defenses may be analyzed. Tim's assertion of the defense of theft will be ineffective against Sam since such defense is good only against a non-HDC. The defense of duress may or may not be a real defense effective against a HDC as determined by the local state law. If this jurisdiction deems that signing a contract under threat of poisoning a cat renders the contract void, Tim's assertion of the defense of duress will be effective against HDC Sam.

REVIEW QUESTION #3

On Sunday, June 20, at Goodfaith's request for a loan for one week, Skeemer lent Goodfaith \$2,500. On June 21, Goodfaith executed and delivered to Skeemer a negotiable promissory note for \$2,500, payable to Skeemer on Sunday, June 27, without interest. Skeemer made a photographic copy of the note on a Xerox machine. On the morning of June 27, Skeemer went to Goodfaith's home, said "Well, I've come for the money you owe me," and handed Goodfaith the Xerox copy of the note. Goodfaith paid him \$2,500 in cash and tore up the Xerox copy without examining it closely. Skeemer then took the genuine note to Lender, told him that he, Skeemer, was in trouble and had to have cash at once to get out of town before Goodfaith's note became legally payable the next day, and that for that reason he would sell the note to Lender for \$2,000 cash. Lender had doubts about Skeemer's honesty, but recognized Goodfaith's signature, and paid \$2,000 to Skeemer, who indorsed the note and delivered it to Lender. On June 28, Lender presented the note to Goodfaith, who refused to pay it.

What are Goodfaith's rights and liabilities, if any? What are Lender's rights, if any?

ANSWER TO REVIEW QUESTION #3

There is no need to discuss the issue of negotiability since the question provides that Goodfaith executed and delivered a “negotiable promissory note.”

The analysis then focuses on the status of Lender. Under the facts, Lender arguably meets the requirements of a holder in due course. Lender is the holder of an apparently authentic negotiable instrument for which he gave value. The note evidenced no overt defect (i.e., it was not overdue and did not indicate that payment had been made). On the issue of whether Lender took in good faith, the facts provide that Lender had doubts as to Skeemer’s honesty. However, since Lender did recognize Goodfaith’s signature and no defect was apparent, Lender will likely be deemed to have taken the note in good faith and thus a holder in due course.

If Lender is a holder in due course, he will prevail against Goodfaith. The defense of discharge based on payment is a personal defense and is therefore ineffective against Lender who did not have notice of it when he took the instrument.

In an action of Lender against Skeemer, Skeemer is liable to Lender under his indorser’s contract (i.e., Skeemer indorsed the note). Further, Skeemer is liable to Lender for breaching the transfer warranty that no defense is good against the transferor (i.e., Goodfaith had a good defense of payment against payee Skeemer).

REVIEW QUESTION #4

On December 18, Andrew Polder became seventeen years old, and his grandfather, Samuel Horn, gave him as a birthday present a note that read:

\$500 Pittsfield, Mass., Dec. 18, 20--

For value received. On the day he graduates from high school, I promise to pay to the order of Andrew Polder Five Hundred Dollars.

(signed) Samuel Horn

Payable at the Electric Bank, to be charged to my account.

On April 10, Andrew bought a used car from A. Salter, a dealer who knowingly misrepresented its condition and the number of miles it had been run. Andrew believed the misrepresentations, told Salter that he was twenty-one years old, which Salter believed, and offered Horn's note as full payment for the car. Andrew indorsed the note "Andrew Polder" and delivered it to Salter, who turned the car over to him. Salter on April 16 indorsed and delivered the note to Tom Peats in part payment of a debt. Andrew soon found out that the car had been in very bad condition when he bought it. Andrew was graduated from his high school on June 15.

Grandfather Horn was displeased with the entire transaction. He told the bank not to pay the note, and now asks you whether you can successfully defend an action brought against him by Peats to collect the \$500.

What will you advise him?

ANSWER TO REVIEW QUESTION #4

To determine whether Grandfather, the maker of the note, can successfully defend against Peats, the current possessor of the note, you must first address the issue of the negotiability of the note. The note fails to meet all the elements of negotiability because it lacks a definite time for payment (i.e., it is payable on the day Andrew graduates from high school).

Since the note is nonnegotiable, Peats is not a holder in due course. Consequently, any valid defenses may successfully be raised by Grandfather against non-HDC Peats. The defense of failure of consideration may apparently be effective against Peats.

As a secondary issue, the fact that the note was negotiated by a minor (i.e., Andrew) would not adversely affect the instrument. However, it should be noted that under state law a minor may be able to rescind a contractual obligation.



MicroMash®

**MULTISTATE ESSAY EXAM REVIEW
CONFLICT OF LAWS**

MicroMash® BAR REVIEW
MULTISTATE ESSAY EXAM
CONFLICT OF LAWS

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CONFLICT OF LAWS

I. INTRODUCTION

A. BAR EXAM QUESTIONS

A problem in Conflict of Laws is usually presented in conjunction with the substantive law of torts, contracts, domestic relations, or wills. If a question contains any fact or reference concerning more than one state, you should be prepared to discuss the possible applicability of foreign law.

B. DISCUSSION OF TOPICS

Many subjects that are traditionally part of this topic are also treated elsewhere. For example, the power of a state to adjudicate an issue, its jurisdiction over a litigant, and the effect of a judgment rendered by its courts may also be discussed in Civil Procedure, Constitutional Law, and Family Law texts.

C. APPLICATION OF LAW

1. Traditional Rule

Traditionally, under the theory of “vested rights,” many courts have applied a rigid rule requiring application of the law of the place where the cause of action arises to all “substantive” aspects of the case, and the law of the forum (*lex fori*) to all “procedural” questions. Thus, the characterization of a question as substantive or procedural was often dispositive of the choice of law.

2. Modern Trend

These rules have been under attack in recent years, and the modern trend is in favor of the “significant contacts” or “governmental interests” approaches. *Restatement (Second) of Conflict of Laws* §§6, 45 (hereinafter, all Restatement citations are to the *Restatement (Second) of Conflict of Laws*, unless otherwise indicated). These approaches generally suggest that the law of the state having the **most significant relationship with the cause of action** should be applied.

II. DOMICILE

A. GENERALLY

1. Definition

Domicile is the place where a person has a settled connection for certain legal purposes, either because his home is there, or because that place is assigned to him by the law. Each person must have one (and only one) domicile. The acquisition of a new domicile extinguishes a former domicile.

2. Significance Of Domicile

Domicile is an important legal concept in Conflict of Laws because if a person is domiciled in a particular state:

- a. He is **liable to personal jurisdiction** in its courts, whether or not he can be found and personally served;
- b. **Matters relating to his personal status**, such as the validity of his marriage, adoption, or legitimacy may be determined by the laws of that state;
- c. The **transfer of his personal property upon death**, and the validity of his will with respect to such property, or its distribution in the event of intestacy, is determined by the laws of the domiciliary state;
- d. **Domicile** is considered to be an important “contact” if a court applies a “contacts” approach to choice of law;
- e. He probably is **liable there for state inheritance, income, and personal property taxes**.

B. DOMICILE OF CHOICE

Any person who is legally competent can choose or change his domicile. Two elements must coincide to effect a change of domicile: physical presence in the place where domicile is alleged to have been acquired, and present intention to make it his home indefinitely.

1. Physical Presence

Actual physical presence in the new domicile is required, but it need not be for a prolonged period. There need not be a fixed place of residence if the requisite intent to establish domicile is present (e.g., a person might be staying in a hotel while looking for a house). The sufficiency of physical presence is a question of fact.

2. Intent

a. Generally

In addition to physical presence, a person must have the present intention to make the new state his home unless or until something uncertain or unexpected happens to induce him to adopt some other permanent home.

b. Proving intent

Intent is usually proved by an individual's actions and statements. Relevant factors include owning real estate, voting, paying taxes to the state or a town, having a bank account, or registering an automobile in the state.

c. Multiple residences

A person may have simultaneously two or more residences, but only one domicile at a time. Thus, if an individual maintains two “principal” homes (for example, a city home in one state and a country home in another), or if he maintains substantial ties with his old residence, the problem of determining domicile is particularly difficult. The home that was established first

is presumed to continue as the domicile unless intent to change the domicile is affirmatively shown.

3. Change Of Domicile

a. Generally

A person retains his old domicile until he establishes a new one; thus, a person traveling continually would retain his old domicile.

In general, a constrained removal, such as imprisonment or compulsory military service, does not establish a new domicile, because the requisite intent is lacking.

b. Extended absence

Domicile is not changed by an extended absence from the state, as long as there is an intent to return to the original domicile.

Example: A domiciliary of State X can live in State Y for seven years while going to college and law school and retain his State X domicile if he intends to return to State X at the end of his schooling.

c. Taking advantage of favorable laws

An attempt to acquire a different domicile merely to make use of more favorable laws (e.g., to get a divorce) will be unsuccessful if there is no intent to remain indefinitely. Similarly, an attempt to retain a former domicile in order to use more favorable tax laws will be ineffective.

Example: In the famous case of John T. Dorrance, owner of the Campbell Soup Company, his numerous declarations of New Jersey as his domicile were rejected by Pennsylvania because he actually lived in Pennsylvania; as a result, he was found domiciled in both states and inheritance taxes were levied by both. *Dorrance's Estate*, 309 Pa. 151, 163 A. 303 (1932), *cert. denied*, 288 U.S. 617 (1933).

C. DOMICILE BY OPERATION OF LAW

1. Minors

At birth, a child is assigned the domicile of its origin, which is the domicile of its parents. The domicile of a legitimate child is that of her father; the domicile of an illegitimate child or of one whose father is dead is that of her mother. *Restatement* §14(2). If the parents are separated or divorced, the child assumes the domicile of the parent with whom she lives.

The child's domicile changes whenever the parent's changes, until the child is emancipated upon reaching majority or marrying, when she may establish her own domicile.

2. Married Women

At early common law, the domicile of a married woman was that of her husband; later, she was permitted to establish her own domicile if legally separated from her husband. The current trend allows a woman who lives apart from her husband, even if her relations with him are wholly amicable, to acquire a separate domicile of choice.

3. Incompetents

An infant who is insane has the domicile of his parents. A person who becomes insane after infancy retains the domicile he had prior to his insanity. However, he may change his domicile if, although incompetent for some purposes, he has sufficient mental capacity to choose the place he regards as home. *Restatement* §23.

4. Corporations

A corporation is domiciled in the state of its incorporation.

D. MicroMash® QUICK REVIEW – DOMICILE

In approaching a question where domicile is in issue, you should handle the problem chronologically.

- Determine the earliest domicile shown by the fact pattern.
- Examine each set of circumstances where a change of domicile is possible to see if the two requirements of:
 - physical presence at the new locus; and
 - the present intention to establish a home at the new place for the indefinite future are present simultaneously.
- If the facts present no clear answer, point out the ambiguities and the legal consequences of the different possibilities, and then make a judgment as to the correct answer.

III. JURISDICTION OF COURTS

A. TYPES OF JURISDICTION

B. BASES OF JURISDICTION

C. NOTICE AND OPPORTUNITY TO BE HEARD

Note: For a complete discussion of topics A, B, and C, see the MicroMash® Federal Jurisdiction outline.

D. LIMITS ON EXERCISE OF JURISDICTION

1. Choice Of Forum By Agreement

Limitations on the exercise of judicial jurisdiction may be imposed by contract of the parties. Choice of forum by agreement of the parties will be given effect unless it is unfair or unreasonable. The parties, however, cannot by their agreement oust a state of judicial jurisdiction. The burden of establishing unfairness or unreasonableness rests on the party who seeks to avoid a choice-of-forum provision. *The Bremen v. Zapata Off-shore Co.*, 407 U.S. 1 (1972).

2. Fraud, Force, And Privilege

a. Fraud or force

A state will not exercise judicial jurisdiction over a defendant or his property where such jurisdiction has been obtained by fraud or unlawful force. *Jaster v. Currie*, 198 U.S. 144 (1905).

b. Judicial administration

Further, a state will not exercise judicial jurisdiction when required to refrain by the needs of judicial administration.

Example: A state may grant immunity from service of process to nonresidents whose appearance is necessary for proper judicial proceeding. Ordinarily, such immunity is granted to witnesses and to lawyers in order to encourage their appearance.

c. International law or treaty

Further, a state will not exercise judicial jurisdiction when prohibited by international law or by treaty. For example, foreign sovereigns and their ambassadors and ministers are immune from suit.

3. Forum Non Conveniens

a. Definition

The doctrine of forum non conveniens establishes that a state will not exercise jurisdiction where it is a significantly inconvenient forum for the action provided that a more appropriate forum is available to the plaintiff.

b. Determination of applicability

(1) Two most important factors

It is within the discretion of the trial judge to determine the applicability of the rule as founded upon the following two most important factors:

- (a) That the plaintiff's choice of forum should not be disturbed except for substantial cause; and
- (b) That the action will not be dismissed unless a suitable alternative forum is available to the plaintiff.

Restatement §84.

(2) Other considerations

Other significant considerations are:

- (a) the relative ease of access to sources of proof;
- (b) availability of compulsory process for attendance of unwilling, and the cost of obtaining attendance of willing, witnesses;
- (c) possibility of a view of the premises, if appropriate;

- (d) enforceability of a judgment;
- (e) judicial administrative difficulties; and
- (f) all other practical problems.

Gulf Oil Corp. v. Gilbert, 330 U.S. 501 (1947).

c. Result of determination

Usually, if a court finds itself an inappropriate forum, it will stay the act on until suit is brought in another forum, or dismiss it conditionally, requiring that the defendant stipulate to accept process and not plead the statute of limitations in another state.

E. CONSTITUTIONAL LIMITATIONS

- 1. Due Process**
- 2. Full Faith And Credit**
- 3. Privileges And Immunities**

Note: For a complete discussion of topic E, see the MicroMash® Constitutional Law outline.

F. FEDERAL-STATE CONFLICTS

- 1. Federal Supremacy**
- 2. Erie Doctrine**

Note: For a complete discussion of topic F.1., see the MicroMash® Constitutional Law outline. For a complete discussion of topic F.2., see the MicroMash® Federal Civil Procedure outline.

IV. WHAT LAW APPLIES?

A. CONTACTS WITH MORE THAN ONE STATE

When a cause of action involves contacts with more than one state, the forum court is confronted with the problem of which state's law to apply.

1. Three Aspects

This problem has three aspects:

- a. Which state's law is consulted to characterize the cause of action? (E.g., is it a torts or contracts problem?) The court makes this characterization according to its own law.
- b. Which state's law governs which issues? The forum applies its own procedural rules, but applies the foreign state's substantive law; the characterization of an issue as procedural or substantive is made according to the forum state's law.
- c. How much of the foreign law is to be applied? Only its internal law, or its choice-of-law rules as well (the renvoi problem)? The majority view rejects renvoi (see

infra), or reference back to the foreign state's choice-of-law rules, and applies only the foreign state's internal law.

2. Statutory Solution

Of course, if the forum state's statute expressly or impliedly extends to out-of-state transactions, there is no choice-of-law problem and the forum state applies its own laws.

B. DIVERSITY ACTION

Note that in a diversity of citizenship case, a federal court must apply the choice-of-law rule of the forum state. *Klaxon v. Stentor Elec. Mfg. Co., Inc.*, 313 U.S. 487 (1941).

V. THE SUBSTANCE - PROCEDURE DISTINCTION

A. GENERAL THEORY

Because the forum state has a great interest in how cases are presented and tried in its own courts, the forum, when presented with a choice-of-law problem, will usually apply its own procedural rules and practices. These "house rules" of litigation, which have little bearing on the outcome, should be governed by forum law both to promote convenience and practicality, and to insure the proper administration of justice in the forum.

Consequently, the general conflicts principle is that matters of "procedure" are determined according to the law of the forum, and matters of "substance" are determined according to the forum's "choice-of-law" rules – rules which in some instances will result in the application of the substantive law of a sister state, and in other instances will result in the application of the substantive law of the forum.

Whether a matter is substantive or procedural for choice-of-law purposes is determined according to forum law. Frequently, the forum characterizes an issue as procedural, because it desires to apply its own law instead of having to use a foreign rule that it regards as less sound. The Supreme Court has intimated, however, that there may be some constitutional limits on arbitrary characterizations by state courts. An outrageous characterization by a forum court of a particular issue as procedural may be a violation of the Due Process and Full Faith and Credit Clauses of the United States Constitution. *Wells v. Simonds Abrasive Co.*, 345 U.S. 514 (1953).

The forum sometimes will apply its own substantive law as well, either because it will not enforce the penal laws of another state, or because application of a particular foreign law would offend some strong public policy of the forum state.

B. APPLICATION

1. Parties And Remedy

Generally, matters pertaining to the form of action, such as who may or must be parties, the sufficiency of pleadings, and the remedy and its incidents are governed by the law of the forum. However, if foreign substantive law governs the claim and the foreign remedy is so inseparable from the cause of action that it must be enforced to preserve the integrity and

character of the cause, and the remedy is practically available, the foreign remedy will be applied rather than that of the forum.

2. Statutes Of Limitations

a. Bars remedy

The statute of limitations is generally considered to bar the remedy and not the cause of action, and is therefore procedural and governed by the forum law. However, if the foreign statute of limitations is so interwoven with the statute creating the cause of action as to become one of the elements **necessary to establish the right**, the time fixed is a limitation on the cause of action and therefore substantive and governed by the foreign law.

b. Creates right of action

Generally, if the statute gives a right of action that did not exist at common law, the time fixed is a condition attached to the right, and is a limitation of the liability itself. The most common examples are the limitations specified in wrongful death statutes, which are usually considered substantive.

3. Evidence

Most evidentiary questions are procedural and are controlled by forum law. Forum law determines the competence and credibility of witnesses. *Restatement* §137.

However, if an evidentiary ruling would be **“outcome determinative,”** it would be considered substantive (e.g., if violation of a statute is only evidence of negligence in one state, and is negligence per se in the other state).

4. Burden Of Proof

Burden of proof is generally considered procedural and is governed by the law of the forum. However, if the primary purpose of a rule as to burden of persuasion is to affect the outcome (e.g., the plaintiff has the burden of proving lack of contributory negligence), the forum will apply the foreign state's rule. *Restatement* §133.

5. Presumptions

Presumptions, since they relate to the manner in which facts are proved, are matters of procedure and are governed by the law of the forum. However, a **conclusive** presumption would be treated as substantive. *Restatement* §134, comment a.

6. Legal Duty Owed

Questions concerning legal duties owed, such as the standard of care the defendant owes the plaintiff, are clearly substantive and are governed by the law of the foreign state.

7. Sufficiency Of Facts And Evidence

The law of the forum determines whether there is sufficient evidence on an issue of fact to warrant its submission to a jury.

8. Parol Evidence Rule

The parol evidence rule is not a rule of evidence but of substantive law.

9. Measure Of Damages

The law of the state that creates the right of action determines the extent of damages.

10. Statute Of Frauds

The majority view treats the statute of frauds as substantive, and thus the law of the state where the contract was made would generally be applied.

VI. HOW MUCH FOREIGN LAW APPLIES

A. THE DOCTRINE OF RENVOI

1. Definition

Once the court decides that it must refer to the law of another jurisdiction, the issue becomes how much foreign law applies – only the substantive law or the “whole” law, including its conflicts rule? The doctrine of renvoi would apply the whole law, forcing the forum state to use the foreign state’s conflict-of-law rules; these rules may refer back to the forum state’s rules (remission) or to those of yet a third state (transmission). In either case, the references back, theoretically, could cumulate into an endless ping-pong game in which no state’s substantive law was applied.

2. Rules

For this reason the Second Restatement and most states have rejected renvoi. However, the Federal Tort Claims Act requires application of “the law of the place where the act or omission occurred,” and this has been interpreted to mean the whole law, including its conflicts rules. 28 U.S.C. §1346(b).

3. Application

In general, most states follow the Restatement position and look only to the internal substantive law of a foreign jurisdiction. However, the Restatement does require that a state look to the whole law of the foreign state in determining title to land and testate or intestate succession to interests in land or immovables. *Restatement* §§8, 223, 236, 239–240.

B. LIMITATIONS ON APPLYING FOREIGN LAW

In certain types of cases, a state may decline to exercise jurisdiction for policy reasons.

1. Penal Laws

Generally, the courts of one state will not enforce the penal laws of another state. A penal law’s purpose is “to punish an offense against the public justice of a state” rather than “to afford a private remedy to a person injured by the wrongful act of another.” *Huntington v. Attrill*, 146 U.S. 657 (1892).

2. Revenue Laws

As a general rule, a state will refuse to enforce the revenue laws of another state. Such foreign laws or the rights and liabilities based thereon are not given extraterritorial effect by a sister state.

3. Public Policy

Ordinarily, state's courts will refuse to enforce a foreign state's rule if it is contrary to a strong public policy of the forum state.

Example: Connecticut would not enforce a gambling debt incurred in Rhode Island, where pari-mutuel betting was legal, because Connecticut had a strong policy against pari-mutuel betting. *Ciampittiello v. Campitello*, 134 Conn. 51, 54 A.2d 669 (1947). However, where an agreement made in New York carried an interest rate that was usurious under Connecticut law, but not under New York law, Connecticut declined to raise "public policy" as a bar, and enforced the agreement. *Santoro v. Osman*, 149 Conn. 9, 174 A.2d 800 (1961).

Conversely, "public policy" has been used to circumvent a limitation in a foreign state's law.

Example: Where State X's recovery in wrongful death actions is limited to \$ 5,000, State Y might ignore the limitation by holding that its public policy of assuring full recovery of damages requires application of Y's measure of damages. See, *Kilberg v. Northeast Airlines*, 9 N.Y.2d 34 (1961); *Rosenthal v. Warren*, 475 F.2d 438 (2d Cir. 1973).

4. Actions Involving Land In Another State

Generally, courts of the forum state will not entertain cases in which the principal issue is the title to land situated in another state, because of the local expertise necessary to litigate such actions.

However, if the court has in personam jurisdiction over the parties, it may exercise its equitable power to require one party to convey property to the other.

C. NOTICE AND PROOF OF FOREIGN LAW

1. Federal Law

Federal statutes will be judicially noticed, and federal regulations and executive orders published in the Federal Register must be judicially noticed. 44 U.S.C. §1507.

2. Foreign State

Statutes or session laws either printed by the authority of a sister state or proved to be commonly recognized in its courts are prima facie evidence and the courts shall take judicial notice of them.

Ordinarily, where the applicable law of a foreign state is not shown to be otherwise, it is presumed to be the same as the forum.

VII. CHOICE-OF-LAW APPROACHES

Several different approaches have been developed to choose which state's law should apply where more than one state is connected with the case.

A. THE VESTED RIGHTS APPROACH

Under this traditional approach, advocated by the First Restatement, the forum state must apply the law of the state in which the rights of the parties "vest" - i.e., where the act or relationship giving rise to the cause of action occurred or was created. Thus, the forum first

characterizes the cause of action, for example, as a tort, and then applies the substantive law of the state where the wrong occurred.

B. THE MOST SIGNIFICANT RELATIONSHIP APPROACH

1. Second Restatement Approach

The Second Restatement directs a court to look to all the circumstances surrounding a cause of action and to determine which state has the most significant relationship to each issue raised; thus, the forum state may apply its own law on some issues and the foreign state's law on others.

2. Considerations

The important principles to be considered are set forth in §6(2) of the Restatement (Second):

- (a) the needs of the interstate and international systems;
- (b) the relevant policies of the forum;
- (c) the relevant policies of other interested states and the relative interest of those states in the determination of the particular issue;
- (d) protection of justified expectations;
- (e) the basic policies underlying the particular field of law;
- (f) certainty, predictability, and uniformity of result;
- (g) ease in the determination and application of the law to be applied.

C. THE GOVERNMENTAL INTERESTS APPROACH

This approach focuses on the policies underlying the laws of the various states involved and on their respective interests in furthering those policies. Thus, the court must examine the policies behind the substantive laws of the states involved, and then determine which state has a policy interest in having its law applied. If only one state has a legitimate interest, its law will be applied because only a "false conflict" is raised. However, where more than one state is interested, a "true conflict" is raised; if a more "restrained and moderate" interpretation of the interests does not eliminate the conflict, the forum should apply its own law. If a case is "unprovided for" (i.e., if no state has a governmental interest in having its law applied), the forum can choose to apply the "better law" or its own law.

D. DEPECAGE

Choice of the applicable law depends upon the issue involved, and different issues in the same case may be decided by applying the law of different states. *Manos v. Trans World Airlines, Inc.*, (N.D. Ill.) 295 F. Supp. 1170 (1969). Therefore, the various issues arising from a single tort claim may be resolved by reference to the law of various jurisdictions. *Babcock v. Jackson*, 12 N.Y.2d 473, 191 N.E.2d 279 (1963). This process of applying the law of different states to decide different issues is known as "depecage."

In general, a court will assume that a case is to be governed by the laws of the forum unless a party litigant timely invokes the law of a foreign state and establishes that such foreign law should apply.

VIII. CHOICE-OF-LAW IN SPECIFIC AREAS

A. CHARACTERIZATION

There are two aspects of characterization: the classification of a given factual situation under the appropriate legal categories and specific rules of law; and the interpretation of the terms employed in the legal categories and rules of law. *Restatement* §7. In general, the classification and interpretation of conflict of laws concepts and terms are determined in accordance with the law of the forum.

At times, the same legal concept may be classified in different ways in different bodies of law.

Example: In *Sampson v. Channell*, 110 F.2d 754 (1st Cir. 1940), *cert. den.* 310 U.S. 650 (1940), the court noted that the federal court had characterized the issue of burden of proof as substantive in applying the rule of *Swift v. Tyson*, 16 Pet. (41 U.S.) 1 (1842), whereas most courts had characterized the same issue as procedural for choice-of-law purposes. The court then looked to the underlying rule of *Erie Railroad Co. v. Tompkins*, 304 U.S. 64 (1938), and determined that the purpose of the rule was to ensure substantial uniformity of result as between federal and state courts in the same state. Thus, the court here held that the burden of proof should be characterized as substantive for *Erie* purposes in the instant case.

B. TORTS

1. In General

a. Traditional rule

Many states continue to follow the traditional rule in tort actions and apply the law of the place where the tort was committed. A tort is committed in the state where the injury occurred. However, where application of the traditional rule produces an arbitrary or irrational result, some of these courts may apply the Second Restatement “most significant relationship” test.

Example: A State X court rejected the application of Quebec law to a question of the compensation of a State X plaintiff injured only by chance in Quebec by the negligence of a State X defendant. Quebec law would have limited the plaintiff’s recovery. The court held that State X had the most significant relationship to the controversy because the issue involved the recovery of a State X plaintiff. The court went on to state that it might have been more likely to apply the law of Quebec if the issue had been whether the defendant was negligent. *O’Connor v. O’Connor*, 201 Conn. 632 (1986).

b. Modern rule

Over the past few decades, courts in a number of states have expressly rejected the mechanical application of the *lex loci delicti* doctrine to multistate tort controversies in general and have substituted in its place the modern rule under which applicable law is

determined by analyzing a number of objective factors via the “most significant relationship” approach.

2. Wrongful Death

a. Restatement rule

The Second Restatement holds that, in an action for wrongful death, the local law of the state where the injury occurred determines the rights and liabilities of the parties unless, with respect to the particular issue, some other state has a more significant relationship to the occurrence and the parties, in which event the local law of the other state will be applied. *Restatement* §175. Accordingly, the law selected by application of this rule determines both the defenses that may be raised on the merits and the measure of damages in a wrongful death action. *Tepel v. Thompson*, 220 S.W.2d 23 (Mo. 1949); *Cook v. United States*, 274 F.2d 689 (2d Cir. 1960).

In keeping with the Second Restatement position, the majority of courts hold that the local law of the state of the conduct and injury applies in determining the particular issues involving wrongful death actions. *See, e.g., Ciprari v. Servicos Aeros Cruzeiro, S.A.*, 359 F.2d 855 (2d Cir. 1966); *Broughton v. United Air Lines, Inc.*, 189 F. Supp. 137 (W.D. Mo. 1960).

b. Statute of limitations

Usually, the statute of limitations in a wrongful death action is deemed to be so closely identified with the right of action that it thereby qualifies as substantive and is governed by the foreign law.

c. Distribution of award

The general rule provides that the distribution of amounts recovered under a wrongful death statute is ordinarily governed by the law of the state where the tort was committed. *Restatement* §177.

3. Dram Shop Act

Some states have statutes that impose liability on tavern keepers for injuries caused to an individual by an intoxicated patron (dram shop acts). Where the injuries occur in a state other than that in which the liquor was served, a choice-of-law problem arises.

Example: Where a patron became intoxicated in State X at the defendants’ inn, and, as a result of his intoxication, collided with and killed the plaintiff’s decedent in State Y, the State Y court permitted suit under the State X Dram Shop Act, holding that the Act was not penal. *Osborn v. Borchetta*, 20 Conn. Sup. 163, 129 A.2d 238 (Conn. Super. 1957).

C. WORKMEN’S COMPENSATION

1. Jurisdiction

Workmen’s compensation is statutory and is usually administered by a state administrative agency empowered to decide cases under its own state statute. However, since the employment relationship may involve more than one state and since the available benefits vary from state to state, conflicts problems arise as to which state will award benefits.

Any state that has a “legitimate interest” in an injury and its consequences may apply its compensation act. *Alaska Packers Association v. Industrial Accident Commission*, 294 U.S. 532 (1935). State statutes usually spell out their applicability in detail, but generally a state would have a legitimate interest if it were the state where:

- a. The employee was **hired**,
- b. The **injury occurred**,
- c. The **employment relationship** was primarily centered, or
- d. The employee or his dependents **reside**.

However, a stipulation in the employment contract that the law of a particular state shall be applied will be upheld as long as it is reasonable and not violative of the public policy of another state that has a legitimate interest.

2. Governing Law

Compensation claims are filed with a state administrative agency, and the agency applies its own state’s law in determining eligibility and compensation. Nevertheless, characterization and choice-of-law problems arise, particularly in cases seeking a common-law recovery where independent tort actions are barred or limited by the Compensation Act of the forum state or the state where the employee was injured or received an award.

Example: The plaintiff-employee, a State X resident, and the defendant-employer, a State X contractor, entered into an employment contract in State X, requiring the plaintiff to work in State Y, and requiring the defendant to provide housing and transportation for him there. The plaintiff was injured in State Y when he was struck by the defendant’s truck while he was walking from the defendant-furnished transportation to the defendant-furnished housing. The plaintiff brought a negligence action against the defendant in State X. The State X court determined that it had jurisdiction, since the contract was made in State X, but pointed out that an employer is not liable in damages for injury sustained by an employee arising out of and in the course of his employment. Since the transportation and housing were conditions of employment, the injury was held to arise out of the course of his employment, and the tort action was barred. *Morin v. Lemieux*, 179 Conn. 501, 427 A.2d 397 (1980).

3. Successive Awards

Because more than one state may have a “legitimate interest” in a single injury, an employee may file and receive awards under the Workmen’s Compensation Acts of different states. A subsequent award in another state is barred only if “unmistakable language by a state legislature or judiciary” precludes another recovery in another state. *Industrial Commission v. McCartin*, 330 U.S. 622 (1947).

The amounts paid under a prior award are credited against the subsequent award, so a dual recovery is not had.

D. CONTRACTS

Contracts fall into three distinct categories for choice-of-law purposes: (1) contracts that specify the governing law; (2) contracts that specify no choice of law; and (3) contracts governed by the Uniform Commercial Code.

1. Choice Of Law Specified

a. Generally valid

Frequently, contracting parties will expressly stipulate that the laws of a particular state shall govern all rights and obligations arising under a contract. Generally, the power of the parties to select jurisdiction is subject to certain definite limitations. *Nakhleh v. Chemical Constr. Corp.*, (S.D.N.Y.) 359 F. Supp. 357 (1973). Such stipulation is thus deemed valid and enforceable only where:

- (1) It is not contrary to public policy of the forum or generally;
- (2) It is not in violation of a statute of the forum enacted for the public good of its citizens; and
- (3) It is made in good faith and with no purpose of evading the law of the place where the contract was made.

Furthermore, the parties' power to choose the governing law is frequently subject to the additional requirement that such state have a significant relationship to the transaction or subject matter of the contract. *Farris Engineering Corp. v. Service Bureau Corp.*, (C.A. 3 N.J.) 406 F.2d 519 (1969).

b. When found invalid

Notwithstanding the generally recognized ability of contracting parties to determine choice of laws, most courts would likely find such a designation invalid in an adhesion contract. Furthermore, if the contract stipulates that suit may be brought only in the courts of a specified state, many courts may deem such provision ineffective on the ground that it is against public policy to exclude a court from jurisdiction.

2. Choice Of Law Not Specified

a. Traditional rule

Under the traditional rule, the validity and construction of a contract are determined by the law of the place where the contract was made. *Gaston, Williams & Wigmore v. Warner*, 260 U.S. 201, 43 S.Ct. 18 (1922).

b. Modifications

The general rule that the law of the place of the making governs has frequently been modified upon a showing that the contract was executed to have its operating effect or its place of performance in another jurisdiction. Where a conflict between the place of making and the place of performance exists, some courts have broadly held that contracts are to be governed by the place of performance. *Supervisors v. Galbraith*, 99 U.S. 214, 25 L.Ed. 410 (1878). Further, some courts have held more specifically that the law of the place where the contract

is to be performed determines the validity and construction. *Crossman v. Lurman*, 192 U.S. 189, 24 S.Ct. 234 (1904).

c. Modern approach

Problems arising from the mechanical application of the traditional rule have led many courts to employ a modern most significant relationship approach to conflicts concerning contracts. *Fricke v. Isbrandsten Co.*, (D.C.N.Y.) 151 F. Supp. 465 (1957). Under this approach, adopted by the Second Restatement in 1971, the determination turns upon the law of the place that has the most significant relation, connection, or contacts with the matter in dispute. Notwithstanding the increasingly frequent use of the modern approach in deciding contract choice-of-law problems, the traditional conflict of laws rule survives in a great many jurisdictions.

d. Resolution absent effective choice

Absent an effective choice of law by the parties, the Second Restatement provides that choice of law issues shall be resolved via evaluation of the following contacts:

- (1) the place of contracting;
- (2) the place of negotiation;
- (3) the place of performance;
- (4) the location of the subject matter of the contract; and
- (5) the domicile, place of incorporation, and place of business of the parties.

Restatement §188.

3. Uniform Commercial Code

Generally, when a transaction bears a reasonable relation to one state and also to another state or nation, the parties may agree that the law of either state or nation shall govern their rights and duties. Failing such an agreement, the Uniform Commercial Code ("UCC") applies to transactions bearing an "appropriate relation" to the state. UCC §1-105.

E. PROPERTY

1. Characterizations

a. Two determinations

In property cases, two characterizations must be made. First, the problem must be characterized as to whether or not it involves a property interest (e.g., an agreement to sell land might be characterized as a contract, rather than a property, problem).

Once it is determined that a property interest is involved, that interest must be characterized as a "movable" or an "immovable." If an interest is closely connected with or related to land (e.g., a leasehold or the right to rents), it is immovable; if it is not, the interest falls into the movable category.

b. Applicable law

Characterization of the interest traditionally has been made by the forum using its own internal law. However, the Second Restatement suggests that characterization should be made according to the law of the situs of the property.

2. Immovables

The law of the situs governs all rights in land and other immovables. In applying the law, the forum state refers to the whole law of the situs, including its choice-of-law rules.

a. Conveyances

Generally, the validity and effect of a conveyance (e.g., the form of the deed, the capacity of the grantor) are governed by the law of the situs.

b. Mortgages and liens

Mortgages likewise are deemed so closely related to the land that their creation, validity, and foreclosure are governed by the law of the situs. *Restatement* §228. However, the underlying contract or note is usually governed by the law of the place of making. Liens (such as materialmen's or laborers' liens) are also governed by the law of the situs.

c. Executory contracts for the sale of land

Some courts hold that executory contracts for the sale of land are generally characterized as a contracts problem and governed by the law of the place of making. However, the Second Restatement provides that in the absence of an effective choice-of-law by the parties, the validity of a contract for the transfer of an interest in land, and the rights created thereby, are to be determined by the local law of the state where the land is located, unless, with respect to the particular issue, some other state has a more significant relationship to the transaction and the parties, in which event the local law of the other state will be applied. *Restatement* §189.

3. Movables

Traditionally, questions as to tangible chattels have been resolved under the law of their situs at the time of the relevant transaction. *Restatement (1st) of Conflict of Laws* §255. However, most issues dealing with sales of, or security interests in, movables would now be governed by the Uniform Commercial Code. Thus, the parties usually may stipulate the applicable law or, absent such a stipulation, the forum state will apply the law of a state bearing an "appropriate relation" to the transaction. UCC 1-105.

4. Intangibles

An intangible or chose in action has no situs. However, if the intangible is represented by an instrument, the law of the situs of the instrument may be applied. If there is no instrument, the law of the place of transfer may be applied or contracts choice of law may be applied.

F. TRUSTS

In general, the validity of a trust of realty is determined by the law of the situs of the land, and the legality of a trust of personalty by the law of the settlor's domicile. Intangible

personalty and choses in action included in the trust have a legal situs in the settlor's domicile.

The Second Restatement establishes a tendency to respect the will of the settlor as to the controlling law of the administration of a trust. However, in the absence of such a provision, the administration of a testamentary trust of personalty will be controlled by the state of the testator's domicile. Further, the administration of an inter vivos trust of personalty will be controlled by the state to which the administration of the trust is most substantially related. *Restatement* §§271, 272. The administration of a trust of an interest in land is determined by the law of the situs. *Restatement* §279.

G. WILLS AND ADMINISTRATION OF ESTATES

1. Intestate Succession

The succession to an intestate's personalty, wherever located, is governed by the law of his domicile. The succession to an intestate's realty is governed by the law of the state where it is located.

2. Wills

Whether one dies testate or intestate is to be determined as to personalty by the law of the decedent's domicile, and as to realty by the law of the situs of the realty. However, ordinarily any will properly created according to the laws of the state or country where it was executed may be admitted to probate in another state and will be effectual to pass any property of the testator situated in such state.

Generally, unless the terms of the will indicate a contrary intention, the will's disposition of personalty is interpreted under the law of the testator's domicile. Insofar as the will devises an interest in land, it will be construed according to the law of the situs.

H. CORPORATIONS

The law of the state of incorporation determines the existence of a corporation and governs issues relative to its structure, such as the manner of electing directors, their authority and liability, the rights of its shareholders, the attributes of its shares, and the procedure for its dissolution.

I. FAMILY LAW

1. Divorce Decree From Sister State

a. Domicile of one party sufficient

The domicile of one of the parties to a marriage is sufficient basis for a state to render a divorce, even if there is no personal service or domicile on the other party. *Williams v. North Carolina*, 317 U.S. 287 (1942). Therefore, where one spouse establishes a valid new domicile in another state and secures a divorce, the state of the stay-at-home spouse must give full faith and credit to the divorce.

b. Contesting proceedings**(1) Only one participating spouse**

However, where only one spouse participates in a divorce proceeding, the stay-at-home spouse has the right to attack the finding of domicile of the procuring spouse since there has been no contested hearing on the issue of domicile in the rendering state. *Williams v. North Carolina, supra*. The divorce decree is presumptively valid until attacked. *Cook v. Cook*, 342 U.S. 129 (1951).

(2) Both spouses participate

Where both spouses participate in the divorce proceedings, jurisdiction must still be based upon the domicile of one of the parties. However, by participating in the out-of-state divorce, the stay-at-home spouse is barred by the doctrine of collateral estoppel from attacking the validity of the divorce, because the question of domicile has either actually been litigated or could have been litigated in the rendering state. *Sherrer v. Sherrer*, 334 U.S. 343 (1948).

2. Divorce Decree From Foreign Nation

A state need not recognize the validity of a foreign country divorce decree. Many states, however, will generally recognize such decrees on the basis of comity if both spouses were represented.

Note: For further discussion, see the section entitled “Extraterritorial Recognition of Foreign Divorce Decrees” in the MicroMash® Family Law outline.

IX. FULL FAITH AND CREDIT**A. CONSTITUTIONAL REQUIREMENT**

Article IV, section 1 of the United States Constitution (the Full Faith and Credit Clause) requires that “Full Faith and Credit shall be given in each State to the public acts, records and judicial proceedings of every other State.” “Public acts” include both statutes and case law. *Carroll v. Lanza*, 349 U.S. 408 (1955).

1. Narrow Interpretation

The Full Faith and Credit Clause has often been interpreted narrowly, allowing the forum state to apply its own statutes as long as the forum has a legitimate interest in applying its law and has sufficient contacts with the parties or the subject of the litigation. The Full Faith and Credit Clause does not require a state to apply another state’s laws in violation of its own legitimate public policy.

2. Examples**a. Limited damages**

In *Nevada v. Hall*, 440 U.S. 410 (1979), California residents were injured in a collision on a California highway with a Nevada-owned vehicle driven by an employee of the University of Nevada engaged on official business. In a suit in California courts against the State of Nevada, Nevada argued that the Full Faith and Credit Clause required California to enforce a Nevada statute limiting any award to \$25,000 in a tort action against the state pursuant to its

waiver of sovereign immunity. The Supreme Court rejected this interpretation, declaring that the Nevada limitation would be “obnoxious” to California’s policy of providing full protection to those injured on its highways and its own waiver of sovereign immunity in order to provide that protection.

b. “Stacking” insurance policies

Similarly, a Minnesota court did not violate the Full Faith and Credit Clause by applying Minnesota law where it had found that Wisconsin law was “inimical to the public policy of Minnesota.” The plaintiff’s decedent, a resident of Wisconsin who was employed in and commuted to Minnesota, was killed in a collision in Wisconsin while a passenger; the drivers were both Wisconsin residents and neither was insured. However, the decedent had three insurance policies that provided \$15,000 uninsured motorist coverage on each of his three automobiles. The insurer argued that Wisconsin law, which prohibited “stacking” the policies to allow \$45,000 coverage, should be applied because the policies were delivered in Wisconsin, the accident occurred in Wisconsin and all persons involved were Wisconsin residents. The Supreme Court held that Minnesota had significant contacts with the parties (the decedent had worked in Minnesota, the decedent’s wife had moved to Minnesota and sued there, the insurance company did business in Minnesota), and that Minnesota had significant interests in protecting its nonresident commuting employees and thus could choose to apply its own law, which allowed “stacking.” *Allstate Ins. Co. v. Hague*, 449 U.S. 302 (1981).

B. ENFORCEMENT OF FOREIGN JUDGMENTS

1. In General

a. Governing law

(1) Constitution

Under the Full Faith and Credit Clause, a judgment rendered by a court in State X must be given the same effect in State Y that it would have in State X. At common law, a second suit was necessary in State Y in order to establish the original judgment as enforceable there.

(2) Uniform statute

However, many states have adopted the Uniform Enforcement of Foreign Judgments Act, which provides in numerous instances for a registration of the foreign judgment in the second state and thus eliminates the necessity of a second suit to enforce the judgment.

Note: For a complete discussion of Effect: Claim and Issue Preclusion, see the MicroMash® Federal Civil Procedure outline.

b. Definition of “foreign judgment”

A “foreign judgment” generally means any judgment, decree, or order of a court of the United States or of any other court that is entitled to full faith and credit in a sister state. The Second Restatement establishes that a judgment that is not on the merits will be recognized in other states only as to the issues actually decided. *Restatement* §110.

c. Valid judgments

Basically, the local law of the forum determines the methods by which a judgment of another state is enforced. In general, a valid judgment for the payment of money rendered in a state will be enforced in a sister state. *Restatement* §§99, 100. Furthermore, a valid judgment that orders the doing of an act other than the payment of money, or enjoins the doing of an act, may be enforced in another state. *Restatement* §102.

2. Defenses To Recognition Or Enforcement

a. Generally

Fundamentally, the law of another state or another country has no extraterritorial effect. However, such foreign law will generally be recognized and given effect extraterritorially, subject to certain limitations. A state may, under certain circumstances, refuse to recognize or enforce foreign laws or rights and liabilities based thereon on the following grounds:

- (1) The law in question is a **penal or revenue statute**;
- (2) It **violates the public policy** or positive law of the forum state; or
- (3) To give effect to the foreign law would **prejudice the state's own rights** or the rights of its citizens.

Executors of McDonough v. Murdoch, 56 U.S. 367, 14 L.Ed. 732 (1853).

b. Lack of jurisdiction or due process

Furthermore, a foreign judgment will not be recognized or enforced where it was rendered without proper judicial jurisdiction or without requisite due process. *Restatement* §104. See, also, *Pennoyer v. Neff*, 95 U.S. 714 (1878); *Mullane v. Central Hanover Bank & Trust Co.*, 339 U.S. 306 (1950).

3. Family Law Judgments

a. Support orders

The right of a state to continue in effect a support order after there has been an out-of-state divorce purportedly terminating it was upheld by the United States Supreme Court in *Estin v. Estin*, 334 U.S. 541 (1948). Absent personal jurisdiction over the respondent spouse, a state may not absolve a duty of support pursuant to a previous order. In general, therefore, a state may exercise its right to enforce support orders made prior to a foreign divorce decree.

Furthermore, many states have adopted the Uniform Reciprocal Enforcement of Support Act (URESA), providing a method by which a duty of support pursuant to any court order may be enforced in a jurisdiction other than the jurisdiction in which the order originated. The use of this procedure requires the participating states each to have adopted reciprocal legislation concerning this matter.

b. Custody decrees

In regard to the enforcement of foreign custody decrees, all states have adopted the Uniform Child Custody Jurisdiction Act, which, under specific circumstances, confers jurisdiction on a state court to determine child custody. Generally, an out-of-state custody decree will be

recognized by a sister state provided that the factual circumstances meet the forum's standards.

Note: For further discussion, see the section entitled "Extraterritorial Recognition of Foreign Divorce Decrees" in the MicroMash® Family Law outline.

c. Same-sex marriages

Same sex marriages are not afforded full faith and credit. No state or territory of the United States is required to give effect to any public act, record, or judicial proceeding of any other state or territory regarding a relationship between persons of the same sex that is treated as a marriage by that state or territory. 28 U.S.C. §1738C.



MicroMash[®]

**MULTISTATE ESSAY EXAM REVIEW
CORPORATIONS**

MicroMash® BAR REVIEW
MULTISTATE ESSAY EXAM
CORPORATIONS

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CORPORATIONS

This outline generally follows the Model Business Corporation Act (MBCA). However, in those instances where the general law differs from the Act or in areas not covered by the Act, this chapter presents the rule followed in a majority of states. The MBCA has been subject to a number of revisions and alterations; section number references are therefore omitted. The MBCA, in some form, has been adopted in substance in most states. In 1984, the ABA Committee of Corporate Laws of the Section of Banking and Business Law adopted a Revised Model Business Corporation Act. To the extent there are significant substantive differences between the Model Act and the Revised Act, they will be discussed herein.

I. INTRODUCTION

A corporation is a legal entity created by complying with the statute governing incorporation; it is strictly a creature of statute, existing only because permitted by statute. There is no common law right to organize a corporation. The law regards it as an entity distinct from its shareholders whether it is a large public corporation with thousands of shareholders, or a small, closely held corporation with two or three shareholders. A shareholder has rights to corporate property only when a dividend is declared or when the corporation is liquidated; if his stock has voting rights, he participates in managing the corporate assets through his power to elect directors.

The major characteristics of a corporation are: (1) the power to acquire, own, and dispose of assets in the corporate name; (2) the power to sue and be sued; (3) a continuous existence, despite the death of individual shareholders; (4) limited liability of the shareholders; and (5) centralized management of assets by directors and officers.

II. FORMATION OF CORPORATIONS

The first step in the formation of a corporation under the MBCA is the filing of the articles of incorporation with the Secretary of State by the incorporator or incorporators. Any natural person or persons, or any domestic or foreign corporation may act as incorporator.

A. ARTICLES OF INCORPORATION

1. Mandatory Provisions

a. Intent to incorporate

The articles must state that the incorporators associate themselves with the intention of forming a corporation, and must also state the incorporators' names and addresses.

b. Name and address

The name of the corporation must be listed. The name must contain the word "corporation," "company," "incorporated," or "limited," or an abbreviation of one of these words. The name may not be the same as, or deceptively similar to the name of any domestic corporation or any foreign corporation authorized to transact business in

the state, unless the first corporation files a written consent with the Secretary of State. A corporate name may be reserved prior to incorporation by filing with the Secretary of State. The name and address of the initial registered agent must be given. The articles must also set forth the names and addresses of the incorporators and persons who are to serve on the initial board of directors.

c. Purpose

The purposes for which the corporation is formed must be stated. The purpose may be stated to be the transaction of any or all lawful business for which corporations may be incorporated under the Model Act.

d. Stock

The relevant information regarding stock must be set forth, including the total number of shares and the par value, if any, of each class of stock that the corporation is authorized to issue. If more than one class is authorized, the preferences, voting powers, qualifications, and special rights or privileges of each class and series must be described.

The corporation need not issue as many shares as are authorized; as few as one share may actually be issued. The articles of incorporation need not state the number and type of shares actually issued or the consideration received for the shares.

e. Period of duration

The articles must state the period of duration of the corporation, which may be perpetual.

2. Optional Provisions

The articles of incorporation may contain any other lawful provisions specified by the incorporators for the regulation of the internal affairs of the corporation. Those most commonly included are:

a. Restrictions

Any restrictions on the transfer of shares may be included in the articles. However, such restrictions may be stated in the by-laws or in a side agreement, and thus may be altered without formally amending the articles.

b. Preemptive rights

If any preemptive rights are to be granted to the stockholders, the provisions must be set out in the articles. (A preemptive right is the right of an existing shareholder to buy additional shares to maintain his proportional ownership in the corporation before the corporation sells shares to the public.)

c. Corporate repurchase of shares

The articles often provide that a corporation may or must buy back its own shares. This may be done, for example, to provide a market for close corporation stock or to preserve the "closeness" of a close corporation.

3. Filing The Articles Of Incorporation

The articles are to be submitted to the Secretary of State. If the Secretary finds, after examination, that the articles comply with the legal requirements, he endorses his approval, and issues a **certificate of incorporation** to the incorporators or their representatives.

Upon issuance of the certificate of incorporation, the corporate existence is deemed to have begun. The certificate constitutes conclusive evidence that all conditions precedent required to be performed by the incorporators have been complied with.

4. Organization Meeting

After the issuance of the certificate, the board of directors named in the articles must hold an organization meeting for the purpose of adopting bylaws, electing officers and transacting other business that comes before the board. Under the Model Act, three days notice by mail to each director is required.

B. BY-LAWS

1. In General

By-laws are internal rules and regulations enacted by the corporation to govern its actions and its relation to its shareholders, directors, and officers. By-laws may include any provisions for the regulation and management of the affairs of the corporation that are not inconsistent with law or with the articles of incorporation.

2. Power To Alter, Amend, And Repeal

The power to alter, amend or repeal the by-laws or adopt new by-laws, subject to repeal or change by the action of the shareholders, shall be vested in the board of directors unless reserved to shareholders by the articles of incorporation. The Model Act also provides that the board of directors may alter the by-laws by their own action in the event of an attack on the United States or any nuclear or atomic disaster.

3. Typical Inclusions

The by-laws often specify:

- a. the time and place for the annual shareholders' meeting;
- b. the record date for determining shareholders entitled to vote at meetings or to receive dividends;
- c. the number of shareholders necessary to constitute a quorum;
- d. the percentage of votes necessary to authorize corporate action; and
- e. any restrictions on transferability of shares.

C. DEFECTIVE INCORPORATION

A disappointed creditor of a corporation may seek to enforce a corporate liability against persons who purported to act as shareholders or agents of the corporation. The success of

such an attack depends upon the organizers' compliance with the incorporation statute and the corporation's resulting legal status.

1. De Jure Corporation

A corporation organized in compliance with the statute is a *de jure* corporation. Failure of the organizer to comply with a mandatory statutory provision will preclude *de jure* status. Use of the words "must" or "shall" in the statute usually characterizes a mandatory provision. In general, corporate existence begins when the articles of incorporation become effective (generally upon being filed with the proper state agency as prescribed by statute); a certified statement of the fact of incorporation by the state is generally considered evidence of *de jure* status.

2. De Facto Corporation

If statutory compliance is insufficient for *de jure* status, a *de facto* corporation may still have been formed if a good-faith, colorable attempt was made to comply with the incorporation statute, and if the corporate principals in good faith acted as if they were a corporation. *De facto* status insulates directors and shareholders from liability except in a direct action by the state. However, the *de facto* doctrine would rarely apply today, because the state must approve the articles before they are filed, and a statement by the state of the fact of incorporation is conclusive evidence of incorporation.

3. Corporation By Estoppel

Absent *de jure* or *de facto* status, a corporation may still exist by estoppel. If a creditor always dealt with the principals as if they were a corporation, he will be estopped to later allege the corporation is defective if that would unjustly harm the principals. Clearly, the estoppel doctrine is not a defense to a tort claim, since the claimant has not previously dealt with the principals as if they were a corporation.

4. Consequences Of Defective Incorporation

If, through a defect in incorporation, no corporation was formed, those attempting to act as a corporation may be held personally liable. However, only those that were active in managing the corporation would be held personally liable, as individual contractors, as agents of a nonexistent principal, or for fraud.

III. PREINCORPORATION TRANSACTIONS

A. PROMOTERS

A promoter is one who causes a corporation to be formed, organized, and financed. In small corporations, the promoters usually, although not necessarily, become the incorporators, the shareholders and the officers and directors of the new corporation. The promoter's function is to set up the corporation and establish it on a firm footing. Generally, he will manage the initial financing of the corporation, arrange for a meeting of the investors, negotiate and prepare the preincorporation agreements, lease office and factory space, and contract for the initial needs of the business.

1. Promoters' Relationship To The Corporation

Promoters stand in a **fiduciary relationship** to the corporation and its subscribers for stock, and to those who it is expected will afterwards buy stock from the corporation. Thus, they are under a duty to disclose fully all material facts concerning any assets they sell to the corporation.

a. Duty of disclosure

1) If an independent board of directors

If the cost and manner of acquisition of the assets by the promoter were fully disclosed to an independent board of directors and the board approved the transaction, the promoter has not breached his fiduciary duty and he can keep any profit from the sale.

2) If promoters are the only shareholders

If the only shareholders of the corporation are the promoters and no further issuance of stock is contemplated, failure to disclose their financial interest is not a violation of their fiduciary duty to the corporation. Thus, the corporation has no cause of action even if shares are later sold to the public without disclosure, since the corporation is not a party to the resale. However, the purchaser may have a cause of action against the promoters for deceit under federal statutes. And, if the corporation became insolvent, a creditor might be able to assert the corporation's rights against the promoters.

3) If additional shareholders are contemplated

If the original promotional scheme contemplates sale of stock to other investors, the corporation has an action for breach of fiduciary duty against a promoter who fails to fully disclose material facts about property transferred. However, if the new shareholders purchase their shares from the promoters and not the corporation, the corporation has no cause of action.

The promoter will not be liable to the corporation if he made full disclosure to all the original subscribers for shares and obtained their approval, or if he made full disclosure to the stockholders of the established corporation and they ratified the transaction.

b. Promoters' liability for breach of fiduciary duty

In an action for breach of the promoters' fiduciary duty, the corporation may either avoid the transaction or may hold the promoters liable for the secret profits.

Example: Where promoters were issued stock as paid in cash, but actually none had been paid (although some promotional services had been rendered), they were held to have breached their duty to the corporation and to the other shareholders. The corporation was entitled to cancel their stock to the extent that it was unpaid, but the value of the promoters' services and expenditures was credited against the amount owed for the stock. *Whaler Motor Inn, Inc. v. Parsons*, 3 Mass. App. 662, 339 N.E.2d 197 (1976), *aff'd*, 372 Mass. 620, 363 N.E.2d 493 (1977).

2. Promoter's Relationship With Other Promoters

If there is more than one promoter of a corporation, the promoters are in effect joint venturers, and owe each other a fiduciary duty. *Himoff Industries Corp. v Srybnik*, 279 N.Y.S.2d 31, 225 N.E.2d 756 (1967). As fiduciaries, they cannot make a secret profit on assets that they transfer to the promoters as a group, and must fully disclose to each other information concerning the formation of the corporation. There is a mutual agency among the promoters, so that each can bind the others on contracts within the scope of the promotion.

3. Preincorporation Contracts

Before incorporation, promoters frequently enter into consensual agreements with third parties relative to the proposed corporation. Since the corporation is not yet in existence, it cannot contract in its own name, nor can the promoters contract in its behalf as its agents. The question then arises as to who is liable on the contracts and who can enforce them.

a. Liability of the promoter

1) In general

(a) Contractual liability

As a general rule, the promoter is personally liable on any contract he entered into in behalf of the yet nonexistent corporation, whether the contract is made in his name or in the corporation's name, unless the circumstances demonstrate that the other party looked only to the corporation for performance. *Productadora e Importadora de Papel, S.A. de C.V. v. Fleming*, 376 Mass. 826, 383 N.E.2d 1129 (1978). This is especially true if the other contracting party was expected to perform before incorporation. Personal liability will continue even after the corporation is formed, unless there is a novation or an agreement to release liability.

(b) Question of fact

Whether a person is actually a promoter is a question of fact to be determined by the trier of fact. *McDaniel v. Service Feed and Supply, Inc.*, 271 Md. 371, 316 A.2d 800 (1974). In *McDaniel*, the issue was whether a party who had contracted to procure supplies for a yet-to-be formed corporation could be held liable as a promoter when the corporation was never formed. The court looked at the negotiations among the prospective venturers, including the defendant's anticipated 20% share in the business. Despite the fact that the corporation was never formed, through no fault of the defendant the court still found the defendant liable to the third-party supplier of goods because of defendant's status as a promoter in fact.

2) Promoter signs as agent

If the promoter signs as agent, he is personally liable because he cannot be an agent for a nonexistent principal.

3) For another promoter's contract

A promoter may be personally liable for obligations created by another promoter under normal agency principles, as when the promoters are joint venturers, or when ratification occurs. However, a promoter is not liable, by reason of his promoter status alone and in the absence of an agency relationship between promoters, on preincorporation contracts made by other promoters. *Productadora e Importadora de Papel, S.A. de C.V. v. Fleming, supra.*

4) Novation

Even if the promoter is personally liable on the contract, a novation will release him from that liability. A novation occurs if all parties agree to the substitution of the corporation as a party to the contract in place of the promoter. The consideration for the promoter's release is the assumption of liability by the corporation. *Restatement (Second) of Contracts* §§424 *et seq.* A novation is usually express, but might be implied from actions of the parties.

5) Indemnification

Even if the promoter is held liable on the contract, he may be entitled to reimbursement by the corporation, if he undertook the contract in good faith, at least to the extent that the corporation benefited from the contract.

b. Liability of the corporation**1) In general**

A corporation is not liable on any preincorporation agreements its promoters entered into on its behalf, unless it assumes liability by its own act after it comes into existence. If the contract was made for the corporation's benefit, concerned a matter on which the corporation could legally contract, and full disclosure was made to an independent board, the new corporation may assume liability.

2) Novation or adoption

If all the parties agree to substitute the liability of the corporation for that of the promoter, there is a novation and the promoter is discharged. Note that, in some states, the corporation cannot become a party to a preincorporation contract by simply ratifying it. In those jurisdictions, there must be a novation or a new contract. Some courts prefer to view the corporation as having adopted the contract of the promoter. When there is such an adoption, the promoter may remain liable on the contract with the third party, but will be entitled to indemnification from the newly created corporation.

3) Acceptance of benefits

A corporation may become bound to fulfill a contract made in its name and in its behalf in anticipation of its existence by afterwards accepting the benefits of the contract, at least to the extent of the fair value of the goods or services received. In essence, the corporation is deemed liable on a quantum meruit or quasi-contract rationale. *Van Duker v. Fritz*, 222 Cal.App.2d 228, 35 Cal. Rptr. 55 (1963). If,

after incorporation, it accepts an assignment of the rights and obligations of the contract with full knowledge of the terms, the corporation will be liable.

c. Liability of the third party

A third party who entered into a contract with a promoter is liable from the contract's inception. However, the corporation cannot later claim the benefits of a promoter's contract with the third party, unless the other party accepts performance by the corporation. The promoters usually can still enforce the contract. If the corporation assumes liability for the promoter's contract, it can enforce the contract.

B. SUBSCRIPTIONS FOR SHARES

1. In General

A person may become a shareholder of a corporation by agreeing to purchase shares pursuant to a subscription for shares either before or after incorporation. Under the Model Act, a preincorporation subscription for shares is irrevocable for six months unless the subscription agreement provides otherwise or all subscribers agree to revocation. Payment terms of preincorporation subscriptions for shares are set out in the subscription agreement or are determined by the board of directors in the absence of provisions in the agreement. A call for payment by the board of directors must be uniform as to all shares in a class or series.

2. Default By Subscriber

If a subscriber defaults in payment under a preincorporation subscription agreement, the Model Act provides the corporation may:

- a. treat the subscriber as a debtor of the corporation and collect from him, or
- b. rescind the agreement and sell the shares where the debt is not paid within 20 days of written demand for payment upon the subscriber.

IV. PIERCING THE CORPORATE VEIL

A. IN GENERAL

Even if a corporation is properly formed, a court may disregard its separate entity and hold shareholders or affiliated corporations liable on corporate obligations. As a general rule, a corporation will be looked upon as a separate and legal entity, unless the entity is used to commit fraud or to achieve inequitable results.

1. Common Ownership

Common ownership of the stock of two or more corporations, together with common management, will not alone render one corporation liable for the acts of the other corporation or its employees. However, liability may be imposed where:

- a. The representatives of one corporation actively and directly participate in and apparently exercise pervasive control over the activities of the other corporation, and some fraudulent or injurious consequence of the relationship results; or

- b. There is an intermingling of activity of corporations engaged in a common enterprise, with substantial disregard of the separate nature of the corporate entities, or serious ambiguity about the manner and capacity in which the corporations and their representatives are acting.

See, e.g., Washington and Old Dominion Users Ass'n. v. Washington and Old Dominion R.R., 208 Va. 1, 155 S.E.2d 322 (1967).

2. Common Control

Where there is common control of a group of separate corporations engaged in a single enterprise, failure to:

- a. make clear which corporation is taking action in a particular situation and the nature and extent of that action, or
- b. observe with care the formal barriers between the corporations with a proper segregation of their separate businesses, records, and finances

may warrant disregard of the separate entities to prevent gross inequity. *My Bread Baking Co. v. Cumberland Farms, Inc.*, 353 Mass. 614, 233 N.E.2d 753 (1968).

3. Inadequate Capitalization

Inadequate capitalization alone will not ordinarily lead to disregard of the corporate entity if the corporate formalities are carefully observed. An individual has the right to use the corporate form to shield himself from personal liability, and a corporation has the right to use a subsidiary for the same purpose. Nonetheless, adequacy of capitalization is a factor considered by the courts. Adequate capital is not precisely defined, but generally must be sufficient for the corporation's prospective needs and for meeting corporate debts as they become due. A subsidiary's capital must be sufficient to allow it financial independence from the parent corporation. In a tort suit seeking to impose personal liability on shareholders, the court will look to the amount of liability insurance available in addition to the corporate capital.

B. LIABILITY IMPOSED

If the corporate veil is pierced, liability is generally imposed only upon shareholders active in management, although it is sometimes imposed on inactive shareholders also. Liability is for the full amount of the debt, not merely for the amount that would have constituted adequate capital. Corporate officers are not liable for breach of warranty of authority because they are duly authorized agents of a valid corporation.

V. FINANCING THE CORPORATION

A. SOURCES OF FINANCE

Individuals who invest in a corporation receive "securities" as tangible evidence of their investment. These are of two general types.

1. Debt Securities

Debt securities represent money loaned to the corporation, and a person holding debt securities is a creditor of the corporation. The creditor's rights are fixed by the instrument creating the debt; usually, he is entitled to repayment of his principal at a specified time with a return on the principal in the form of interest. The terms of the instrument may also grant him the right to convert his debt security into an equity security, or the corporation may have the right to prepay the debt before the stated term expires. Holders of debt securities have priority over equity security holders upon liquidation of the corporation, but do not ordinarily have the right to vote. The three major kinds of debt securities are:

a. Debentures

Debentures are unsecured obligations of the corporation. Holders of these debt securities are general creditors.

b. Bonds

Bonds usually are secured by a mortgage or a security interest in specific assets of the corporation; thus, holders are secured creditors. Bonds may be registered on the corporate books, in which case the corporation's obligation runs to the registered owner; or they may be bearer bonds, in which case the corporation pays the interest to the holder of the coupons, and upon maturity, pays the principal to the person holding the bond.

c. Notes

Notes are long-term debt securities, which may be secured or unsecured. They are generally used when dealing with institutional lenders, and are generally not traded or transferred as bonds and debentures may be.

2. Equity Securities

Equity securities represent the capital of the corporation that is at risk in the business. Equity security holders have no right to repayment of the amount invested or to return on the investment. However, upon liquidation, once the creditors are satisfied, all the remaining corporate assets belong to the shareholders.

Shareholders usually **have dividend rights** (the right to a current return on their investment); **liquidation rights** (the right to a share of the corporate assets at the end of the corporation's existence); and **voting rights** (the right to a voice in the management of the corporation). All shares have equal rights unless otherwise provided in the articles. The articles may create several classes of shares and delineate the different rights of each.

a. Common stock

Common stock represents the residual ownership interest in the corporation; upon liquidation, the holders of the common stock divide all the assets remaining after satisfaction of creditors and payment to the preferred stockholders of their liquidation preference. Common stockholders have a potentially unlimited return on their investment, but also take the greatest risk of losing their investment. Holders of

common stock have no right to a dividend unless declared by the directors after payment of preferred stock dividends. Usually, common stockholders have the right to vote, but common stock may be divided into classes, some of which may be nonvoting or may be limited in the election of directors.

b. Preferred stock

Preferred stockholders are generally entitled to receive fixed dividends before any dividends are paid to common stockholders. While the directors ordinarily have discretion as to whether to declare a dividend, if a dividend is declared, the preferred stockholders are entitled to receive their stipulated amount before the common stockholders receive any dividends. Furthermore, the articles or by-laws or a stock contract may make a preferred stock dividend mandatory whenever there are sufficient current earnings to pay it, and such provisions will be enforced. Likewise, a reasonable provision in the articles or by-laws restricting the accumulation of surplus is enforceable.

1) Participating preferred stock

Usually, preferred shares are nonparticipating: they receive no more than their stipulated dividend. However, preferred stock may have the right to participate with the common stock in any further distributions after the stipulated preferred dividend is paid. The terms of such participation are fixed by the articles.

2) Cumulative vs. non cumulative dividends

The right of preferred stockholders to receive dividends may be cumulative or noncumulative, depending upon the provisions in the articles.

(a) Cumulative

If the dividend preference is cumulative, the shareholders have the right to receive the stated amount each year, whether or not earnings are sufficient to pay it. If not paid in a particular year, the amount must be added to the stated preference of the succeeding year, and the dividend preferences cumulate until paid. Usually, the preferred stock cannot force the directors to declare a dividend, but no dividends may be paid on the common stock until all cumulated preferred dividends are paid.

(b) Non-cumulative

If the preferred dividend right is non-cumulative, the shareholder is entitled to a dividend only if and when declared by the board. Failure to pay a dividend, even if sufficient earnings are available, does not increase the preference amount to be paid in a subsequent year. However, the preferred stockholder still has the right to receive his dividend before a dividend is paid on common stock in any year.

3) Summary of preferred stock characteristics

Although preferred stock may have a variety of privileges and limitations, certain characteristics are usual. It is usually nonvoting stock, but voting rights may

accrue if the dividend is not paid, or if an attempt is made to alter its rights by amending the articles. It is usually preferred as to a stated amount of dividends, which are ordinarily both limited and cumulative. If the articles are unclear, preferred stock is presumed to be nonparticipating and cumulative.

It is usually preferred and limited as to liquidation rights. After creditors are paid, assets are distributed to preferred stockholders according to the liquidation preference, or if none is specified, to the extent of the par or stated value of their stock; their preference also extends to any cumulative dividends unpaid as of the liquidation date.

Preferred stock is usually redeemable at a stated price at the option of the corporation, or the articles may provide that it is redeemable at the option of the shareholder.

c. Shares in series

The articles may provide that any preferred or special class is to be divided into series. This allows variations in the rights and preferences of the different series within a class. The series may differ as to the rate of dividend and whether it is to be cumulative; whether the shares are redeemable, and the terms, conditions and price of a redemption; special and relative rights on liquidation; sinking or purchase fund provisions for redemption of shares; terms and conditions for conversion of shares; and voting rights.

The articles, if they do not establish series, may vest in the directors the authority to divide classes into series and to fix the relative rights and preferences of the shares in each series. Prior to issuance, the board must file a certificate, designating the series and setting out the rights and preferences, with the Secretary of State; the certificate then constitutes an amendment of the articles.

d. Fractional shares and scrip

A corporation may issue fractional shares; usually this is not done in the initial capitalization, but is in connection with stock dividends, reverse splits, or corporate reorganizations. The holder is entitled to voting rights, dividends, and other distributions in proportion to his fractional holdings. As an alternative, the corporation may pay in cash the value of the fractional shares or may issue scrip.

Scrip is a certificate exchangeable for stock or cash; it is usually transferable. Its holder is not entitled to any rights as a shareholder, and usually, if scrip is not exchanged by a specified date, it becomes void.

e. Hybrid securities

Occasionally, hybrid securities, combining features of debt and equity securities, are issued. However, they raise difficulties as to how they should be treated for tax purposes. If they are debt securities, the corporation can deduct periodic payments to the holders as interest; however, if they are equity securities, such payments are dividends and not deductible. If a security has a fixed maturity at a reasonable future

time and a fixed rate of return, it will probably be found a debt security; if it has neither, it is probably an equity security. A third test is whether the holder ranks with the general creditors on liquidation, in which case it will be considered a debt security.

f. Equity securities under the revised Model Act

The Revised Model Business Corporation Act does away with the traditional designations of “common” and “preferred” stock. The rationale of the drafters was that the distinctions between the two are now largely historical given the recent tendency to grant certain preferential rights to common stock, and to otherwise blur the distinctions between the terms. Under the Revised Act, shares may be divided into classes of shares, and classes may be further divided into series; each class and each series is to have distinct designations, preferences, limitations, and rights.

3. Balancing Debt And Equity

a. Advantages of debt

Extensive debt financing is attractive to corporations for several reasons. For tax purposes, the interest paid on debt is deductible by the corporation. Interest payments avoid double taxation of dividends (once as corporate profits, and once as income to the dividend recipient). The repayment of the principal of debt is not a taxable event, whereas the redemption of stock is frequently taxed as a dividend. If the corporation becomes insolvent, a holder of debt securities participates with the other creditors in the assets, whereas an equity holder receives a distribution only after all the creditors are satisfied. Debt financing also is a means to obtain additional money without relinquishing control, and without risking more of the investors' own money.

b. Disadvantages of debt

However, excessive debt financing is risky. If the rate of debt to equity is too high, interest payments and even the repayment of the debt may be treated as dividends for tax purposes. In the event of insolvency, the shareholder-creditor's claim may be partially or totally subordinated to the claims of other creditors, or it may be reduced to participation with the shareholders in the assets. If the corporation is undercapitalized and has too high a ratio of shareholder debt to equity, a court may also deny the shareholders limited liability.

B. SECURITIES ISSUANCE

1. Authority

A corporation is empowered to issue the number of shares authorized by its articles of incorporation. Any unissued stock authorized under the articles may be issued by vote of the:

- a. Stockholders, or
- b. Directors, under authority of:
 - 1) a provision of the by-laws, or

- 2) a vote of the stockholders; such a provision or vote may be adopted before or after the stock is authorized.

Once issued, shares are outstanding; if the corporation redeems, i.e., buys back - the shares, they are treasury shares. Treasury shares, although no longer outstanding, are still considered issued stock, so their repurchase does not empower the directors to issue additional stock. However, treasury shares may be restored to unissued share status. As long as they are treasury shares, the shares have no voting, liquidation, or dividend rights.

2. Stock Subscriptions

A stock subscription is an agreement to purchase stock. Usually the prospective subscriber offers to buy the unissued stock of a corporation, which may be either existing or yet to be formed. Upon acceptance of the offer by the corporation or the other subscribers, an enforceable contract is formed, and, under the Model Act, is irrevocable for a period of six months.

Unless otherwise provided by the subscription agreement, subscriptions for stock must be paid in full at such times as determined by the board of directors. Any call made by the board of directors for subscription payment must be uniform as to all shares of the same class or as to all shares of the same series, whichever the case may be. In the event of default, the corporation may proceed with regard to the default as it would be entitled to proceed against any other corporate debt.

3. Consideration For Shares

a. Amount of consideration

Par value shares may not be issued for a consideration worth less than the par value. No-par shares may not be issued for a consideration less than their stated value.

Under the Revised Model Act, as in the 1980 revisions to the Model Act, there is no longer any provision relating to the concept of "par value," and therefore no minimum price at which specific shares must be issued. The drafters felt that the problems of unreasonably low prices for stock could not be dealt with by the arbitrary concept of par value. Fair and honest dealing by the directors is necessary.

b. Valid kinds of consideration

Valid consideration for shares may be:

- 1) money;
- 2) property, tangible or intangible, actually received by the corporation; or
- 3) services actually performed for the corporation.

A promise to perform future services does not furnish consideration for issuance or reissuance of shares. Likewise, a debt or note of the purchaser, whether secured or unsecured, is unacceptable as consideration. Unless there is fraud, the judgment of the board of directors or the shareholders, as the case may be, is conclusive as to the value of consideration received for shares.

c. Inadequate consideration

Stock issued for inadequate consideration falls into three categories:

1) Discount stock

If the stock is labeled “fully paid,” but the payment was in cash for less than the par or stated value, it is discount stock.

2) Bonus stock

If “fully paid” stock is issued for no consideration, it is bonus stock.

3) Watered stock

If “fully paid” stock is issued for property or services the fair value of which is less than the value of the shares, it is watered stock. (The term “watered stock” is often used to refer to all three types.)

If the cash or the property, services, or expenses for which the stock is authorized to be issued have been paid, rendered, or incurred, the stock is fully paid and not liable to any further call or assessment. If the full consideration has not been furnished, the stock is liable to a call and sale by the corporation.

4. Shareholders’ Preemptive Rights**a. In general**

Preemptive rights are the rights of existing shareholders to acquire unissued or treasury shares in the corporation, or options or rights in proportion to their holdings of the original shares. Under the Model Act, shareholders have no preemptive rights except to the extent provided in the articles of incorporation.

b. Limitations

When preemptive rights are granted, they are usually only granted to common stockholders, and are usually only granted with regard to newly authorized issues, not to authorized but unissued stock, treasury stock, or stock issued for property or services. A shareholder who does not purchase the stock at the offering price when offered has waived his rights. A shareholder whose rights are violated may enjoin the sale and recover from the purchaser shares bought knowingly in violation of the preemptive right, or cancel issuance of additional shares to himself, or can purchase the shares on the open market and recover from the corporation the difference between the offering price and the price he paid. Absent preemptive rights, a shareholder’s equity suit may still block issuance of stock that would unfairly dilute or transfer control on a theory of breach of fiduciary duty under some circumstances.

5. Share Certificates

The shares of a corporation are represented by certificates. One’s status as a shareholder is not dependent upon issuance of a certificate, which is merely tangible evidence of stock ownership.

a. Requirements

The face of each certificate must state the number of shares, and the class and series, if any, which the certificate represents. The certificate must be signed by the president or a vice president and by the treasurer or an assistant treasurer. The signatures may be facsimiles if the certificate is signed by a transfer agent, or by a registrar, other than a director, officer, or employee of the corporation. If an officer who has signed a certificate ceases to be an officer before issuance, the certificate may still be validly issued by the corporation. It must also state the par value of each share represented by the certificate, or a statement that the shares are without par value.

b. Restrictions

In most states, any restriction on the transferability of stock, whether imposed by the articles, the by-laws, or by any agreement to which the corporation is a party must be noted conspicuously on the share certificate, or it will be ineffective, except against a person with actual knowledge of it at the time he acquired the shares. The notation must either set forth the full text of the restriction or a statement of the existence of the restriction and a statement that the corporation will furnish a copy of the restriction to the shareholder upon written request and without charge. This requirement is to be construed in light of U.C.C. §8-204, which also specifies that the restriction must be noted “conspicuously.” A term or clause is conspicuous when it is so written that a reasonable person against whom it is to operate ought to have noticed it; a printed heading in capitals, or language in the body of a form in larger or contrasting type or color is conspicuous. U.C.C. §1-201(10).

C. DIVIDENDS AND DISTRIBUTIONS

1. Definition

A dividend is a distribution by a corporation to its shareholders of cash or property of the corporation. A dividend differs from a distribution in redemption of stock in that a dividend is distributed with respect to the shareholder’s stock, rather than in exchange for his stock.

2. Shareholders’ Rights To Dividends

a. In general

A shareholder has no inherent right to be paid a dividend. Generally, the board of directors has discretion to decide whether and when to declare a dividend. The directors might legitimately decide to retain corporate earnings to expand the business, to anticipate losses, or to provide for a stable dividend policy in the future, rather than to pay a current dividend. However, the directors may not declare a dividend if the corporation is insolvent or if payment of the dividend would render it insolvent, or if a declaration or payment would contravene any restrictions in the articles.

b. Contractual rights to dividends

One means of assuring dividend payment is a provision in the articles, the by-laws, or in a shareholders' agreement making dividends mandatory when earnings are available for dividends, or limiting the amount of earned surplus that may be accumulated. Such a provision offers protection to preferred shareholders or to minority shareholders, and will be enforced by the courts.

c. Bad faith refusal to declare dividends

If a shareholder can prove that the directors' refusal to declare a dividend amounted to fraud, bad faith, or an abuse of discretion, a court of equity can intervene to compel declaration. The court would look at all the circumstances surrounding the corporate policy decision in the light of the financial condition and requirements of the corporation. Factors relevant to the issue of bad faith are:

- 1) intense hostility of the controlling faction against the minority;
- 2) exclusion of the minority from employment by the corporation;
- 3) high salaries or bonuses or corporate loans made to the officers in control;
- 4) the fact that the majority group may be subject to high personal income taxes if substantial dividends are paid; and
- 5) the existence of a desire by the controlling directors to acquire the minority stock interests as cheaply as possible.

However, the plaintiff must show that such factors were the motivating causes in order to prove bad faith.

d. Remedies

Once the plaintiff shareholder has proven his contractual right to dividends or abuse of discretion of the directors, the court may issue a decree for specific performance of the contract or a mandatory injunction ordering a dividend.

3. Declaration And Payment Of Dividends

a. Procedure

Once the directors have voted to declare a dividend, they may fix a record date for determination of the shareholders entitled to receive dividends. The date is fixed in accordance with the articles or the by-laws or by resolution, but may not in any event be more than 50 days prior to payment under the Model Act. The directors may, in lieu of fixing a record date, close the transfer books for not more than 50 days before payment of the dividend. If no record date is fixed and the transfer books are not closed, the record date will be at the close of business on the day the directors vote to declare the dividend.

b. Shareholders' rights after declaration**1) Debtor-creditor relationship**

As soon as the dividend has been declared, a debtor-creditor relationship arises between the corporation and the shareholders, and the funds to pay the dividend are considered segregated from other corporate funds. A shareholder may enforce his dividend right as a creditor of the corporation.

2) Revocation requires shareholder consent

A valid declaration of a lawful dividend generally cannot be revoked without the shareholders' consent. However, if funds are not legally available to pay the dividend, the declaration may be revoked. Similarly, if the declaration was conditional (e.g., "in the discretion of the directors or officers"), it may be revoked, and a declaration not yet disclosed to shareholders may also be revoked. Finally, a dividend of stock may be rescinded at any time before the stock is actually issued.

3) Date of declaration controls

Dividends declared before a sale of stock belong to the seller, even if not paid until after transfer of the stock. Dividends on shares held in trust are disposed according to the trust's terms, or if it is silent, the ordinary cash dividends are paid to the life tenant.

c. Unclaimed dividends (abandonment)

Any dividend owed by a corporation to a shareholder is presumed abandoned if within some statutorily prescribed time after declaration it has not been claimed or the owner has not corresponded in writing with the corporation concerning the dividend. Likewise, if stock is abandoned, i.e., the holder has not claimed dividends, corresponded in writing, or otherwise indicated an interest and the corporation does not know the location of the owner, the dividends and stock are presumed abandoned. By statute in most states, the unclaimed property escheats to the state, and the corporation is relieved of any liability.

4. Liability For Improper Dividends**a. Directors**

Directors who vote to authorize a dividend that is in violation of the state corporation statute will be held jointly and severally liable for the amount of the dividend payment in excess of the amount that could legally have been paid, but only to the extent that it has not been repaid to the corporation. If the corporation is insolvent or is rendered insolvent by payment of the dividend, the directors who voted for the dividend are likewise liable to the extent that the corporation is not repaid. Directors are not liable if the dividend could properly have been paid at the time of authorization, even though circumstances later made it improper. However, there is a good-faith exception: the director will not be liable if he relied and acted reasonably and in good faith upon corporate financial records.

Any director against whom a claim is successfully asserted is entitled to contribution from the other directors who voted for the dividend, and who are not entitled to the good-faith defense.

b. Shareholders

A stockholder who receives a dividend when the corporation is insolvent or is rendered insolvent by its payment is liable to the corporation for the amount of the dividend, or for the amount of the dividend in excess of what could lawfully have been paid. In either case, he is liable only for the amount paid to him. A stockholder who pays more than his proportionate share is entitled to contribution from the other stockholders; unless the articles provide otherwise, their liability for contribution is in proportion to the amounts paid to them.

D. REDEMPTION AND REPURCHASE OF SHARES

1. Redemption

Redemption occurs when a corporation has the right to compel a shareholder to sell his shares back to it. This right must be stated in the articles. It usually applies only to preferred stock and usually must be made ratably among all the shares in the class. A redemption call forms a contract, which a shareholder can enforce by suing for the redemption price.

2. Repurchase

A repurchase is a voluntary agreement by the corporation to buy its own shares of either common or preferred. Authorization in the articles is not required, and repurchase is governed by the agreement. Repurchased shares are either retired or held as treasury stock. However, a corporation cannot repurchase shares if it is insolvent or if repurchase of common stock would impair the rights of preferred stockholders. To prevent takeover by looters, a corporation can repurchase shares, but a repurchase solely to keep management in power could be enjoined and the directors voting for it held personally liable for resulting corporate losses.

3. Allowable Purposes

Under the Model Act, a corporation may purchase or otherwise acquire its own shares for the purpose of:

- a. eliminating fractional shares;
- b. collecting or compromising indebtedness to the corporation;
- c. paying dissenting shareholders entitled to payment for their shares under the Act;
or
- d. effecting the retirement of its redeemable shares by redemption or by purchase at not to exceed the redemption price.

VI. MANAGEMENT AND CONTROL

A hierarchy of authority allocates power between the shareholders, who own the corporation, and the directors, who manage the corporation. The highest authority is the state incorporation statute which, in the event of conflict, prevails over the articles of incorporation, which in turn prevail over conflicting by-laws, which prevail over shareholder agreements. The statutory scheme is designed to effectuate the concept of centralized management by granting to a majority of the board of directors the power to manage the corporation's assets and affairs. Unless the articles or by-laws provide otherwise, the directors elect the officers of the corporation, who make the day-to-day management decisions. The directors are not mere agents of the shareholders, and need not follow the shareholders' wishes; rather, the directors owe a duty to the corporation to manage its affairs prudently.

The shareholders do, however, have an indirect power to manage the corporation through their right to elect the board of directors. In addition, shareholders must approve fundamental changes such as merger, amendment of the articles of incorporation, sale of all or most assets, and dissolution.

A. SHAREHOLDERS

Shareholders have the right to elect and remove directors, amend the by-laws, and approve fundamental changes in the corporation, such as amendment of the articles of incorporation, merger, sale of substantially all assets, or dissolution. Management may seek shareholder ratification of actions if the directors have a conflict of interest. Shareholder action on these matters is usually taken at a meeting.

1. Meetings

a. The annual meeting

A meeting of shareholders is to be held annually for the election of directors and the transaction of any other business. Shareholders' meetings need not be held within the state, but unless a by-law specifies otherwise, it is held at the corporation's registered office. If the annual meeting is not held within any 13-month period, any shareholder may apply to a court for a summary order that the meeting be held.

The by-laws normally specify the date of the annual meeting. The hour and place of the meeting and the manner of conducting it are fixed by or determined according to the by-laws.

b. Special meetings

Special meetings of the shareholders may be called by the president, by the directors, or upon the written application of the holders of a certain percentage of the shares entitled to vote. Special meetings may also be called by anyone so authorized by the articles of incorporation or the by-laws.

c. Notice of shareholders' meetings

Written notice stating the place, date, hour, and the purposes of the meeting must be given by the clerk to each shareholder entitled to vote not less than 10 nor more than 50 days prior to the meeting. Notice may be waived in writing either before or after the meeting.

d. Record date and shareholder list

A record date for determining the shareholders entitled to receive notice or to vote may be fixed by the articles, the by-laws or the board. Under the Model Act, the record date may be no more than 50 days prior to the meeting, while the Revised Act provides a 70-day time limit.

e. Quorum

Unless the articles or the by-laws provide otherwise, a majority of the shares entitled to vote at a meeting constitutes a quorum; if a transaction must be voted on by a class, a majority of the shares in that class constitutes a quorum. Some states and the Model Act provide that the articles or by-laws may not contain provisions which allow less than one-third of the shares to constitute a quorum.

2. Voting**a. Consent in lieu of meeting**

Any shareholder action that may be taken at a meeting can be taken without a meeting if all the stockholders entitled to vote on the matter consent or as otherwise provided by the articles. Under this latter procedure, each eligible shareholder must be given 10 days written notice, and this procedure may not be used to amend the articles of incorporation with regard to dissenting shareholder's statutory rights.

b. Qualification of voters

Unless a statute or the articles provide otherwise, each share is entitled to one vote, and each fractional share is entitled to a proportionate vote. The articles may deny or limit the voting rights of a class. Only the shareholders of record on the record date are eligible to vote. A transferee of shares after the record date might demand a proxy from the record holder or designate how he should vote.

1) Jointly owned stock

Jointly owned stock may be voted by either co-owner, but if co-owners disagree and each tries to vote, the vote is split 50-50. Stock owned by a partnership can be voted by any partner, but in the event of disagreement, it is voted under the terms of the partnership, or by the majority of partners. Stock owned by a corporation can be voted by the officer or agent prescribed by the by-laws, or as the board of directors determines.

2) Loss of voting rights

Stock may not be voted if any installment on the subscription has been duly demanded and is overdue and unpaid. No corporation can directly or indirectly vote any of its own stock.

c. Nonvoting shares

The articles of incorporation may deny or limit the voting rights of any designated class. Even if stock is designated as nonvoting, its holders are entitled to vote as a class on proposed amendments to the articles that would adversely affect its rights.

d. Proxy voting

The term “proxy” means the grant of authority by a shareholder to another person to vote the shareholder’s stock; it may also mean the instrument granting the authority, or the agent to whom authority is granted (also called the proxy holder). By statute, in most states, every shareholder entitled to vote may do so by proxy.

1) Revocability

Unless coupled with an interest, a proxy is freely revocable by the shareholder unless the instrument specifically states otherwise. Most states require that the proxy be in writing and that it be executed within a specified period of time before the meeting or vote at issue. Under the Model Act, a proxy is valid for 11 months from the date of its execution.

2) Coupled with an interest

Under the Revised Act, a proxy is deemed to be coupled with an interest if the proxy holder is a pledgee, a person who has purchased or agreed to purchase the shares, a creditor or employee of the corporation whose contract provides for the granting of a proxy, or a party to a voting agreement.

3) Jointly owned shares

If stock is held in the name of two or more persons, a proxy executed by any one of them is valid unless before or at the exercise of the proxy the corporation receives a specific written notice to the contrary from any of the co-owners. (Thus, one spouse or one co-trustee can execute a proxy without having to submit proof of his authority to do so.)

A proxy purporting to be executed by or on behalf of a shareholder is deemed valid unless challenged before or at its exercise; the burden of proving invalidity is on the challenger.

e. Shareholder voting agreements and voting trusts

To consolidate voting power in order to gain or strengthen control of corporate affairs, stockholders may arrange to vote their stock collectively. This can be done through either a voting agreement or a voting trust.

1) Shareholder voting agreements

Shareholder voting agreements are, in essence, contracts designed to ensure that the shareholders will vote in concert with regard to issues designated by the agreement. Absent fraud or other illegal object, they are generally considered valid. *Ringling Bros.-Barnum & Bailey Combined Shows, Inc. v. Ringling*, 29 Del. Ch. 610, 53 A.2d 441 (Sup. Ct. 1947).

(a) Legal title not transferred

A shareholder agreement does not involve a transfer of legal title to the shares; it merely binds the shareholders to vote according to its terms. The agreement may provide that the shares are to be voted in a particular way, or that the shares will be voted as the parties agree in the future, or that the shares will be voted according to an agreed procedure (e.g., by arbitration). Such agreements are often used to ensure election of certain directors, but may cover other matters as well.

(b) Contract law controls

The Model Act authorizes voting agreements either between two or more stockholders or between one or more stockholders and one or more other persons, and simply provides that the agreement will be enforceable in accordance with its terms.

(c) Stock transfer restrictions

To assure that the agreement will be enforceable against a transferee of the shares, the agreement should be accompanied by stock transfer restrictions conspicuously noted on the share certificates.

2) Voting trusts

A voting trust involves a transfer of legal title to the shares to a trustee who votes them for a specified period according to the trust terms. Voting trusts are generally subject to stricter statutory regulation than are voting agreements. Equitable ownership remains in the shareholders and they are entitled to any dividends or distributions and to all other rights except voting. To create the trust, shareholders execute a written agreement specifying the terms and conditions of the trust, and transfer their shares to the trustee. The trustee must keep a written record of the names and addresses of all participating in the trust, and must issue certificates of beneficial interest. A copy of the instrument creating the voting trust must be kept at the corporation's offices and is subject to the right of examination by shareholders.

(a) Typical use

A voting trust might be used to assure that the shareholders will not become deadlocked or that control will be exercised fairly by appointing an equal number of trustees to represent each faction of the shareholders and neutral trustees to resolve deadlocks.

(b) Limited duration

The duration of a voting trust is limited to 10 years; however, any of the parties may extend the trust (as to their shares) for one or more additional periods, each not to exceed 10 years. Otherwise, a voting trust expires at the time set by the trust instrument or when the purpose for which the trust was created has been fully accomplished. A trust may be terminated if its purpose becomes impossible to accomplish; for example, the termination of a trust established to provide a neutral trustee to break deadlocks was ordered after finding that the trustee was neither impartial nor independent. *Selig v. Wexler*, 355 Mass. 671, 247 N.E.2d 567 (1969).

f. Election of directors**1) To ensure representation**

In straight voting, each share has one vote for each director; thus, a majority stockholder can elect the entire board of directors. To ensure representation of certain shareholders on the board, stock can be classified for the purpose of electing directors under the Revised Act and by many states. For example, if X owns 25% and Y owns 75% of the common stock, X's stock can be designated Class A Common with the right to elect one-quarter of the directors, and Y's can be designated Class B Common with the right to elect three-quarters of the directors. Thus, X, although a minority shareholder, is assured representation.

2) By term of office

Under both the Model Act and the Revised Act, the articles may provide for staggered terms if there are nine or more directors. Under this provision, only one third to one half of the directors are up for election at any meeting. This plan would prevent the replacement of a majority of the board at any given annual meeting. For example, if X Corporation has nine directors, they might be divided into three classes of three directors each, and one class of three would be elected each year. Although the benefit of this type of classification is the assurance of continuity, conversely the continuity may also be its drawback, since the board is insulated from shareholder pressure for change.

3) Cumulative voting

Representation of minority shareholders can be guaranteed by cumulative voting, which grants each share as many votes as there are directors to be elected and allows the shareholder to allocate his votes as he chooses. The formula for calculating cumulation is:

Shares required =

$$\frac{(\text{Number of shares voting}) \times (\text{Directors desired to elect}) + 1}{(\text{Directors to be elected}) + 1}$$

Cumulative voting is usually permissive. The impact of cumulative voting can be reduced by staggering director's terms, reducing the number of directors, or classifying shares.

3. Shareholder's Right To Information

a. Statutory right

Shareholders of record are entitled to examine the original, or attested copies, of the articles of incorporation, the by-laws, records of all meetings of incorporators and of shareholders, and the stock and transfer records, which must contain the names and addresses of all stockholders and the amount of stock held by each.

The corporation is also required to furnish to its shareholders annual financial statements, including at least a balance sheet as of the end of each fiscal year and a statement of income for that fiscal year, which is to be prepared on the basis of generally accepted accounting principles.

In some states, the corporation may raise as a defense that the shareholder's purpose in seeking inspection is to sell the information obtained or to use it for a purpose other than in his interest as a stockholder. Enforcement of a shareholder's statutory inspection right is through an equitable proceeding.

b. Common law right

A stockholder also has a common-law right to inspect corporate records, and this may be used to examine books of account and other records unavailable under the statute. However, the common-law inspection right is an equitable remedy and thus is discretionary with the court. Some courts have held that the shareholder had the burden of proving that he sought examination in good faith and for a proper purpose. *Breswick & Co. v. Greater N.Y. Industries, Inc.*, 308 N.Y. 1041, 127 N.E.2d 871 (1955). Still other courts will weigh the reasonableness of the shareholder's request against the interests of the corporation.

B. DIRECTORS

1. In General

The minimum number of directors is set by statute, and states vary with regard to the requisite number. Both the Model Act and the Revised Act, however, require only one director, although more may be provided for. The articles of incorporation or by-laws may provide for variable range for the size of the board of directors.

2. No Residency Required

A director need not be a resident of the state of incorporation or a shareholder of the corporation, unless required by the by-laws. However, the articles or the by-laws may prescribe further qualifications.

3. Initial Directors

The initial directors are chosen by the incorporators, and hold office until their successors are elected by shareholders at their first annual meeting. Directors are usually elected at

the annual meeting for a one-year term. However, if the next annual meeting is not held or there is a deadlock so that successor directors are not elected, the directors remain in office until their successors are elected and qualify as directors.

4. Vacancies On The Board

Unless the articles provide otherwise, any vacancy on the board of directors, however occurring, is filled in the manner prescribed in the by-laws, or, in the absence of such a by-law, by the directors.

5. Removal Of Directors

The entire board of directors or any individual directors can be removed, with or without cause, by a majority of the shares entitled to vote in the election of such directors. However, a director elected by a particular class may be removed only by a majority of the shares entitled to vote in the class that elected him. If the corporation has cumulative voting and if less than the entire board is to be removed, no director can be removed if the votes against his removal would be sufficient to elect him if they cumulatively voted at an election of the entire board.

6. Meetings Of The Board

a. Time and place

Meetings of the board may be held anywhere, either within or outside the state of incorporation. The by-laws may specify the time and place for meetings, but absent such a by-law, the directors may select the time and place.

b. Notice

Unless otherwise provided by the by-laws, regular meetings of the board may be held without notice if the time and place of the meetings are fixed by the by-laws or by the board. Special meetings may be held only upon notice to the directors; the by-laws should prescribe what constitutes proper notice. A notice or waiver of notice need not specify the purpose of a special directors' meeting, unless required by the by-laws.

c. Waiver of notice

Notice of a meeting need not be given to any director who signs a waiver of notice either before or after the meeting; the waiver must be filed with the minutes of the meeting. A director's attendance at a meeting constitutes a waiver of required notice, unless the director protests the lack of notice either before or at the beginning of the meeting.

d. Quorum of directors

A quorum is the number of directors that must be present for the board to be legally competent to transact business. Unless otherwise provided in the by-laws, a majority of the directors then in office constitutes a quorum.

e. Vote of directors

Once a quorum is present, the vote of a majority of the directors present at a meeting constitutes an act of the board, unless a statute, the articles, or the by-laws require a greater margin or even a unanimous vote. Thus, a minority of the board can act for the corporation if not all directors attend the meeting.

Example: If there are five directors on the board, and only three attend a validly called meeting, the votes of two directors - a majority of those present - will constitute a valid act of the board.

f. Director participation

A directors' meeting should be a collective, deliberative proceeding at which directors listen to the ideas and arguments of other directors, and then vote in the best interests of the corporation; therefore, a director cannot vote by proxy, even if the proxyholder is another director. If he is to vote, he must be present at the meeting. However, if not prohibited by the articles or by-laws, a director may participate in a meeting by conference telephone or similar device, provided all those participating in the meeting can hear each other at the same time.

A director must be free to vote according to his best judgment. Hence any agreement by a director to vote in a certain way - even if that agreement has all the formalities of a binding contract - is void as against public policy.

g. Action of directors without a meeting

Action that may be taken at a meeting can be taken without convening if all the directors sign written consents setting forth the action to be taken. The consents must be filed with the records of directors' meetings, and will have the effect of a unanimous vote.

7. Action By Committee

The board does not ordinarily run the corporation on a day-to-day basis; it may delegate its powers to officers and to executive committees. If the articles or the by-laws so provide, the board can elect an executive or other committee of directors. The board may delegate to one or more committees all the authority of the board except the power to:

- a. change the corporation's principal office;
- b. amend the by-laws;
- c. issue stock;
- d. establish and designate series of stock and fix and determine the relative rights and preferences of any series of stock;
- e. designate candidates for the office of director, for purpose of proxy solicitation or otherwise, or fill vacancies on the board of directors or any committee thereof;
- f. authorize the payment of any dividend or distribution to shareholders;
- g. authorize the reacquisition for value of stock of the corporation;
- h. authorize a merger; or

- i. approve or recommend to shareholders actions or proposals required to be approved by shareholders.

Except as otherwise provided in the articles or the by-laws, the directors determine the manner of conducting committee business (e.g., whether at a meeting or not), and the number of members required to constitute a quorum to take specified actions. Delegation of authority to a committee does not relieve directors of any responsibility imposed on them by law.

8. Director's Objections To Actions

A director who objects to a course of action to be taken by the board of directors or a committee of the board of directors must dissent by an affirmative act at the time of the meeting at which the vote on the action is taken. A director who votes in favor of a corporate action may not dissent later. The Model Act provides three methods by which a director present at a meeting may dissent from action:

- a. objection at the beginning of the meeting to holding the meeting or transacting business at the meeting;
- b. dissent or abstention from the action entered in the minutes of the meeting; or
- c. delivery or written notice of dissent or abstention to the presiding officer of the meeting before adjournment or to the corporation immediately after adjournment.

A director who is present at a meeting and makes no objection is deemed to have assented to all corporate action taken at the meeting.

C. OFFICERS

The Model Act requires that a corporation have at least four officers: a president, one or more vice-presidents, a secretary, and a treasurer. The same person is allowed to fill two or more offices, except that the same person cannot be both secretary and treasurer. The Revised Act does away with these requirements, and provides that a corporation shall have the officers described in its by-laws or appointed by the board of directors in accordance with the by-laws. The Revised Act also provides that one person may simultaneously hold more than one office in a corporation. Under both acts, officers are elected or appointed by the board of directors in accordance with the by-laws. Because most states have provisions and requirements for officers similar to that provided for in the Model Act, this outline will discuss the law that has developed with regard to such officers.

1. Authority Of Corporate Officers

The powers of a corporate officer are, like the powers of an agent, either actual or apparent. The actual power may be either implied or expressly delegated (e.g., by the board of directors or the corporate by-laws).

a. Implied authority

1) President

Implied authority is that authority which is not made express by virtue of the by-laws or other regulations. The president has the implied authority to do any act on

behalf of the corporation that is being performed in the usual and ordinary course of business. *Lee v. Jenkins Bros.*, 156 F. Supp. 858 (D. Conn. 1957). Implied authority generally arises from either general custom or from the practice of the particular corporation. The extent of the implied power of the president varies among the jurisdictions, and any authority considered to be implied in the office of the president may be negated by provisions in the articles of incorporation or the by-laws or by a resolution of the board of directors.

2) Treasurer

Generally, the treasurer has no authority by virtue of his office to bind the corporation. The treasurer, in most jurisdictions, is charged with responsibility for the corporate treasury, receiving and keeping the revenues of the corporation, and disbursing corporate funds when authorized.

b. Apparent authority

Apparent (or ostensible authority) of an officer to perform an act is based upon a holding out by the corporation to the third party that the officer has the authority to perform the act, together with reliance by the third party on the holding out. *Restatement (Second) of Agency* §8. It is sometimes said that the corporation is, after such a holding out, estopped to deny the authority of the officer. The holding out by the corporation may be by words or action on its part; it may also be by inaction, as where the corporation fails to object to prior similar conduct by the officer. *Juergens v. Venture Capital Corporation*, 1 Mass. App. 274, 295 N.E.2d 398 (1973).

c. Ratification by the directors

A corporation may become bound on a contract made on its behalf by an officer, despite his lack of authority, if the contract is ratified by the directors. To be effective, ratification must occur after such full disclosure of the facts of the transaction as the circumstances reasonably require. Ratification requires actual knowledge by those individuals whose ratification is claimed, although it has been held that knowledge of the transaction by the corporation's president was constructive notice to the corporation for purposes of ratification. *Juergens v. Venture Capital Corporation*, *supra*.

1) Formal vote not required

Ratification need not be proved by evidence of a formal vote of the board of directors. An implied ratification usually results when there has been an acceptance of the benefits of a transaction, coupled with full knowledge of all the facts. *See-Tee Mining v. National Sales, Inc.*, 76 N.M. 677, 417 P.2d 810 (1966). It may be shown by proving that the officers who had the power to authorize the act knew of it and adopted it as a valid act of the corporation, although no formal vote was passed by them. It may be inferred from a failure to renounce a transaction of which those with power to renounce or ratify have actual knowledge.

2) Personal liability

The personal liability of a corporate officer on corporate contracts or debts is the same as that of any agent. If it is disclosed or known that the officer is acting only as an agent of the corporation, the corporation alone is liable.

If the obligation runs only against the corporation, the only action available against the officer is an action for fraud or breach of an express or implied warranty that the officer was acting within his authority.

However, if the officer expressly agrees to be personally bound on or guarantee the contract, that agreement is enforceable against the officer, even if no consideration was furnished personally to the officer. Usually the officer must sign twice - both as an agent and individually.

Also, if the corporation does not in fact exist or is defectively incorporated, the purported officer may be held personally liable.

2. Vacancies And Removal

Any vacancy in an office may be filled in the manner prescribed in the by-laws, or, absent such a by-law, by the directors.

a. With or without cause

Any officer or agent may be removed by the board of directors whenever in its judgment the best interests of the corporation will be served thereby. Under the Revised Act, it is specifically stated that such a removal may be made with or without cause by the board, which reflects the current majority rule.

b. No contract right created by election

Under both the Model Act and the Revised Act, removal from office does not impair the ex-officer's right to sue the corporation for breach of contract; however, election or appointment to an office does not of itself create contract rights.

VII. FIDUCIARY AND OTHER DUTIES OF MANAGEMENT AND CONTROLLING SHAREHOLDERS

A. DUTY OF CARE

In general, directors, officers, and incorporators of a corporation must perform their duties in good faith and in a manner reasonably believed to be in the best interests of the corporation, and with such care as an ordinarily prudent person in a like position would use under similar circumstances. Although some states have, by statute, adopted this prudent person standard, specific application of the standard is still governed largely by case law.

1. Standard Of Care

In applying the "prudent person" standard, the fact finder would consider the individual's skill and sophistication and his familiarity with the business. However, a director or officer cannot avoid liability by showing he had no knowledge of the problem, if he could have gained such knowledge in the exercise of reasonable care. A director who dissents from a course of action will not be liable if the corporation is damaged by that action. A

director or officer can be liable for negligently selecting subordinates, but is not liable for the negligence of his peers unless he participated or was negligent in not discovering it.

2. Business Judgment Qualification

Usually, a director or officer who makes a good-faith error of business judgment will not have breached his duty of care. A director or officer is entitled to rely on information, opinions, reports, or records, including financial statements, books of account, and other financial records presented by or prepared by or under the supervision of:

- a. one or more officers or employees of the corporation whom the director or officer reasonably believes to be reliable and competent in the matter, or
- b. counsel, public accountants, or other persons as to matters which the director or officer reasonably believes to be within that person's professional or expert competence, or
- c. a duly constituted committee of the board upon which he does not serve, as to matters within its delegated authority, which committee the director reasonably believes to merit confidence.

The director or officer is not considered to be acting in good faith if he has knowledge concerning the matter in question that would cause his reliance to be unwarranted.

3. Statutory Liabilities

In the absence of good-faith action or reliance on the enumerated items, directors are subject to the following liabilities under the Model Act:

a. Improper declaration of dividend

A director who votes to or assents to the declaration of any dividend or other distribution of the assets of a corporation to its shareholders contrary to statutory provisions or any restrictions contained in the articles of incorporation is liable, together with all other assenting directors, to the corporation for the amount of the distribution.

b. Purchasing corporation's shares

A director who votes for or assents to the purchase of the corporation's own shares contrary to the statutory provisions is liable, together with the other assenting directors, to the corporation for the amount of consideration paid for those shares.

c. Distributions during liquidation

A director who votes for or assents to any distribution to the shareholders during the liquidation of the corporation without payment of or adequate provision for all known debts, obligations or liabilities of the corporation will be liable, with the other assenting directors, for the value of the assets so distributed.

d. Contribution

Any director against whom such a claim is successfully asserted is entitled to contribution from the other directors who voted for, and the other officers who

participated in, the wrongful action, and who did not meet the good-faith standard. A director or officer may also be entitled to indemnification. A director may also receive contribution from the shareholders who accepted any improper dividend or distribution knowing that the dividend or distribution was wrongful.

4. Responsibility For Acts Of Others

A director or officer can be liable for negligently selecting or supervising subordinates. However, he would not be liable for the negligence of a person on the same level of responsibility, unless he participated in the negligence or was negligent in not discovering and correcting the problem.

5. Burden Of Proof

In a suit for breach of duty of care, the plaintiff has the burden of proving that the director was negligent.

B. DUTY OF LOYALTY

The fiduciary duty of officers, directors, and employees require that they be loyal to the corporation and not promote their own interests in a manner injurious to it. A conflict of interest constituting a breach of the duty of loyalty may arise where the individual has business dealings with the corporation, takes advantage of a corporate opportunity, or enters into competition with the corporation.

1. Business Dealings With The Corporation

a. In general

A conflict of interest is inherent whenever a director or officer contracts with the corporation to buy or sell goods or services. However, such transactions are not void, but at most voidable by or on behalf of the corporation. The conflict, however, should be disclosed and fully described to the board before any action is taken. The action should be approved only by a disinterested majority of the directors or shareholders.

b. Voidable by corporation

Some courts hold that such a transaction is voidable at the election of the corporation on the basis of conflicting interest alone; in other words, if the corporation desires not to recognize the transaction, the fact of conflict will be sufficient to avoid it. *Cathedral Estates, Inc. v. Taft Realty Corp.*, 228 F.2d 85 (2d. Cir. 1955).

c. Fraud or bad faith required

Other courts require an element of fraud or bad faith before the transaction may be set aside. *Sanders v. E-Z Park, Inc.*, 47 Wash.2d 474, 358 P.2d 138 (1961).

d. Fairness inquiry

The more modern view examines the fairness of the transaction and provides that the contract will stand if an independent corporate fiduciary in an arms length bargain

would have bound the corporation to the transaction. *Murphy v. Washington American League Baseball Club, Inc.*, 324 F.2d 394 (D.C. Cir. 1963).

2. Usurping A Corporate Opportunity

The fiduciary duty of loyalty prohibits directors and officers (and sometimes employees) from taking for their own benefit any business opportunity that properly belongs to the corporation, unless the corporation is first given a chance to pursue the opportunity. It is often difficult to determine what is in fact a “corporate opportunity.” The true basis of the doctrine rests fundamentally on the unfairness in particular circumstances of taking advantage of an opportunity for personal profit when the interests of the corporation justly call for protection.

a. Factors considered

Factors considered are whether the business constituting the opportunity is closely related to that of the corporation, whether the board had expressed an interest in acquiring that type of business, whether the individual became aware of the opportunity while acting in his capacity as a director or officer, and whether he used any corporate funds or facilities in discovering or developing the opportunity. If the opportunity is rejected by the corporation, by a vote of the board or otherwise, it usually ceases to be considered a corporate opportunity and may be acted upon by the officer or director. *Northwestern Terra Cotta Corp. v. Wilson*, 74 Ill. App.2d 38, 219 N.E.2d 860 (1966).

b. Refusal to deal is not a defense

When a corporate officer acts secretly with respect to a corporate opportunity, he cannot invoke “refusal to deal” as a defense for diverting a corporate opportunity for himself. *Energy Resources Corp., Inc. v. Porter*, 14 Mass. App. 296, 438 N.E.2d 391 (1982). Where managerial employees first learned in confidence of a chance to acquire certain assets in the corporation’s line of business while they were employed by the corporation, they violated their duty of loyalty and usurped a corporate opportunity by subsequently forming their own corporation and buying the assets. *BBF, Inc. v. Germanium Power Devices Corp.*, 13 Mass. App. 166, 430 N.E.2d 1221 (1982).

c. Constructive trust imposed

If a director has usurped a corporate opportunity, the court may hold the individual to be a constructive trustee for the corporation, and order him to convey any property, income or profits derived through his misappropriation to the corporation, or may assess any damages suffered by the corporation. *Equity Corp. v. Groves*, 294 N.Y. 8, 60 N.E.2d 19 (1945).

3. Competition With Corporation

Competition by a director or officer will not necessarily be a breach of fiduciary duty if he acts in good faith. As a general rule, directors and officers may engage in independent

business, but if the independent business competes with the corporation, equitable limitations will apply.

Example: Use of corporate personnel, facilities, information, or funds to develop or acquire a competing business would constitute a breach. *Guth v. Loft, Inc.*, 23 Del. Ch. 255, 5 A.2d 503 (1939).

a. Disloyal activities standard

Corporate executives were held to have breached their fiduciary duty to the corporation by engaging in “disloyal activities” as part of an effort to establish a business to compete with their employer. Because he is bound to act solely for his employer’s benefit in all matters within the scope of his employment, an executive employee is barred from actively competing with his employer during the tenure of his employment, even in the absence of an express covenant so providing. *Chelsea Industries, Inc. v. Gaffney*, 389 Mass. 1, 449 N.E.2d 320 (1983).

b. Available remedies

The remedy for such a breach would be the profits earned in competition, a constructive trust on the competitor’s property, or damages for injury to the corporation. *Bancroft-Whitney Co. v. Glen*, 64 Cal. 2d 327, 411 P.2d 921 (1966). The corporation may also be entitled to recover the salary paid to the director or officer during the time of wrongful competition, or it may be obliged to compensate him for his services, depending upon the extent and good faith of his service to the corporation.

c. Post-termination completion

In the absence of any contrary agreement or understanding, corporate officers are not precluded, upon the termination of their employment, from entering into competition with their corporate employer, or from using the intangible knowledge and skill they acquired while employed. *Berkshire Apparel Corp. v. Stogel*, 360 Mass. 863, 277 N.E.2d 310 (1971). Covenants not to compete, however, will be enforced if they are reasonable as to time and area of application.

C. DUTIES OF CONTROLLING SHAREHOLDERS

1. In General

The majority stockholders have the right to control, but in doing so they owe a fiduciary duty to the corporation and the minority. *Pepper v. Litton*, 308 U.S. 295 (1939). They must not act fraudulently or misuse their power to promote their personal interests at the expense of corporate interests. *United States v. Byrum*, 408 U.S. 125 (1971). Thus, issuance of additional shares to dilute the minority’s interest, manipulation of dividend policy to oppress the minority, unreasonable terms on a loan to or from the corporation, or unfair contracts between a controlling shareholder and the corporation would constitute a breach. If a controlling shareholder, knowing that corporate assets had greatly appreciated, caused the corporation to redeem the preferred stock and then to liquidate, rather than allowing the preferred to participate in liquidation, the majority

shareholder's fiduciary duty was violated, and the preferred shareholders were entitled to receive their proportional share of the liquidation value. *Zahn v. Transamerica Corp.*, 162 F.2d 36 (3rd Cir. 1947).

2. Shareholder's Derivative Action

A majority shareholder's fiduciary duty is usually enforceable by the corporation, by means of a shareholder's derivative action, or by an individual shareholder's action for breach of fiduciary duty to him.

3. Sale Of Control

In selling their control, controlling shareholders owe the corporation fiduciary duties and duties of due care because control is a corporate asset in which all shareholders have an interest. Thus, if a controlling shareholder sells his stock to a person who he knows or has reason to know intends to loot the corporation, he is liable. In *Perlman v. Feldman*, 219 F.2d 173 (2d Cir. 1955), a controlling shareholder sold his stock in a steel company to a syndicate of steel users who thereby gained a steady supply of steel at fixed prices in wartime. The court held that the shareholder's receipt of a price substantially in excess of market price and book value was a premium received for sale of a corporate asset, for which he was accountable to the minority shareholders.

For negligence in selling control, the shareholder will be liable for the damages suffered by the corporation. For breach of fiduciary duty, he may be liable for damages, or his profit or premium.

D. INSIDER TRADING IN SECURITIES

1. Common Law Rule

At common law, the majority rule was that a director, officer, or other corporate "insider" owed no fiduciary duty to shareholders, and therefore was under no duty to disclose inside information when trading in corporate stock. Various "special facts" exceptions to this rule arose, and some states enacted statutes to prevent fraud in insider trading.

a. Breach of fiduciary duty analysis

However, several courts have held that insider trading constitutes a breach of the fiduciary duties owed to the corporation, on the theory that inside information is a corporate asset and cannot be exploited for personal gain.

b. Constructive trust remedy

Therefore, a constructive trust can be imposed on any profits received by officers and directors in such trading. *Diamond v. Oreamuno*, 24 N.Y.2d 494, 248 N.E.2d 910 (1969); *Brophy v. Cities Services*, 31 Del. Ch. 241, 70 A.2d 5 (Ch. 1949). While insider trading is primarily regulated by federal law now, note that this common law theory has the advantage of not requiring that the suit be brought by a purchaser or seller (*Cf.* Rule 10b-5); in addition, it applies to all corporations, not just those registered under the Securities Exchange Act of 1934 (*Cf.* Section 16(b)).

2. Federal Law (Rule 10b-5)

Inside information is defined as any information that is not disclosed to the public that an investor would think is important when deciding whether to invest in a security. Any insider who uses inside information for personal benefit can be held liable under rule 10b-5 if he breaches a duty of trust and confidence owed to: (i) the issuer, (ii) shareholders of the issuer, or (iii) another person who is the source of material nonpublic information in those cases involving misappropriation.

VIII. THE SARBANES-OXLEY ACT OF 2002

The Sarbanes-Oxley Act (“SOA”) was enacted in 2002 in response to corporate financial scandals (e.x., Enron and Worldcom companies). The SOA primarily affects companies registered under the 1934 Act (i.e., those with shares traded on a national securities exchange or with at least 500 shareholders and at least \$10 million in assets).

A. PUBLIC COMPANY ACCOUNTING OVERSIGHT BOARD

The SOA provides for the creation of a Public Company Accounting Oversight Board to register public accounting firms that prepare audit reports for companies registered under the 1934 Act. The Board will establish rules for auditing, quality control, ethics, and independence relating to preparation of audit reports. Only a public accounting firm registered with the Oversight Board may prepare or issue audit reports with respect to a registered company. SOA §102(a).

B. CORPORATE RESPONSIBILITY

1. Audit Committees Required

The SOA requires the board of directors of each 1934 Act company to establish an audit committee composed of board members. The audit committee is responsible for overseeing the appointment, compensation, and work performed by the registered public accounting firm. Other than being on the board of directors, each audit committee member must be **independent from the company**. This means that the member can only receive compensation from the company for her position on the board of directors and the audit committee, and cannot accept any other compensation from the company or otherwise be affiliated with the company. However, the SEC has authority to exempt persons from these requirements. SOA §301.

a. Other duties

A company’s audit committee must establish **confidential and anonymous procedures** for receiving and handling complaints about the company’s accounting, internal accounting controls, and auditing procedures.

b. Funding and Authority

Audit committees must have authority to hire independent advisers and must be funded sufficiently to enable them to hire a registered public accounting firm and advisers.

2. Responsibility For Financial Reports

The SOA directs the SEC to adopt rules requiring companies filing reports under the 1934 Act to have their chief executive officer (“CEO”), chief financial officer (“CFO”), or similar person certify in each report, among other things, that:

- a. the officer has reviewed the report;
- b. based on the officer’s knowledge, the report is true and does not contain any material omissions;
- c. the report fairly presents the financial position of the company; and
- d. the signing officer is responsible for establishing internal controls, has designed such controls to ensure that material information is made known to the officer, and has evaluated the controls within 90 days prior to the report.

SOA §302. The SOA provides for criminal fines of up to \$5 million and imprisonment for up to 20 years for willfully certifying an untrue report.

3. Forfeiture Of Bonuses And Profits

If a company is required to restate financial papers because of misconduct with respect to the papers, the company’s CEO and CFO must reimburse the company for any bonus or other incentive-based compensation received by them during the 12-month period after the inaccurate papers were filed with the SBC or made public (whichever is earlier). The officers must also turn over to the company any profit that they made from the sale of the company’s securities during the same 12-month period. However, the SEC may exempt officers from this rule. SOA §304.

4. Insider Trade Prohibition During Pension Blackout

Directors and executive officers of 1934 Act companies may not purchase or sell the company’s stock during a blackout period if the stock was acquired in connection with the officer’s or director’s services for the company. A blackout period is a period of at least three consecutive days when at least 50% of the company’s employees who participate in the company’s retirement plan are prohibited from transferring their interests in the company’s securities in the plan. However, blackout periods that are regularly scheduled and described in the plan and disclosed to the employees before they join the plan are excluded. SOA §306(a).

If a director or officer violates this rule, the company can force the turnover of any profits, regardless of fault or intent. Any shareholder can file a derivative suit to recover the profit if the company fails to take action against the officer or director within 60 days after the shareholder requests the company to take action to recover the profits. SOA §306(a)(2).

5. No Personal Loans To Executives

A company generally may not make any new personal loans to any director or executive officer of the company except to the extent that the loans are made in the ordinary course

of the company's consumer credit business and on terms no more favorable than the company offers to the general public. SOA §402(a).

6. Senior Financial Officers Code Of Ethics

The SOA directs the SEC to issue rules to require companies to disclose whether or not they have a code of ethics for senior financial officers. If they do not have such a code, they must state their reasons why.

7. Disclosure Of Audit Committee Financial Expert

The SOA directs the SEC to issue rules requiring companies to disclose along with their filings under the 1934 Act whether or not (and if not, why) the audit committee has at least one member who is a financial expert, (i.e., one who through education and experience as a public accountant or auditor, principal financial officer, comptroller, or like position has an understanding of generally accepted accounting principles and financial statements and experience in preparing financial papers and audits). SOA §407.

C. CORPORATE AND CRIMINAL FRAUD

1. Criminal Penalties

The SOA makes it a crime punishable by fine and imprisonment for up to 20 years for anyone to knowingly alter, destroy, mutilate, falsify, etc., a document or record with intent to impede a federal investigation. SOA §802.

The SOA also makes it a crime for an accountant who conducts an audit of a 1934 Act company, punishable by fine and up to 10 years' imprisonment, to willfully fail to keep all workpapers related to the audit for at least five years. SOA §802.

2. Statute Of Limitations For Fraud

The SOA provides that the statute of limitations for private cases for securities fraud is the later of two years after discovery of the facts giving rise to the cause of action or five years after the action accrued. SOA §804.

3. Whistleblower Protection

The SOA creates a statutory cause of action for persons who are discharged because they lawfully provided information to their supervisors or the federal government regarding any conduct that they reasonably believed to be a violation of the securities laws. The SOA also protects employees who file, testify in, or participate in securities or antifraud proceedings. Remedies include reinstatement, back pay, attorneys' fees, and litigation costs. These protections also extend to contractors, subcontractors, and agents of the issuer.

4. Defrauding Shareholders And The Public

The SOA makes securities fraud crimes punishable by a fine and imprisonment of up to 25 years. SOA §807.

IX. CLOSE CORPORATIONS AND SPECIAL CONTROL DEVICES

A. IN GENERAL

1. Definition

A “close corporation” or closely held corporation is defined as one having:

- a. a small number of stockholders;
- b. no ready market for the corporate stock; and
- c. substantial majority stockholder participation in the management direction, and operations of the corporation.

Close corporations are often small businesses whose owners want to keep ownership and control in a few hands; the owners may in effect have a partnership relation, but desire incorporation to achieve limited liability and potential tax benefits. The shareholders are usually also active in management. Usually the only ready market for close corporation stock is for the controlling stock, and usually there is some limitation on the transferability of stock, such as a shareholders’ repurchase agreement.

2. Majority Rule Limitations

Majority rule is the traditional principle in corporate decision-making; those shareholders disagreeing can sell their stock. However, in a close corporation a dissident shareholder is often impeded by transfer restrictions, lack of a ready market, and difficulties in determining a fair stock price. In addition, he may be an employee as well as a stockholder, if he sells his stock, he may lose his job, besides being compelled to sell to the majority shareholders at an unrealistically low price.

Although most jurisdictions have no special close-corporation statute, close corporations may wish to avail themselves of certain general provisions of the corporations statute to alleviate the problems peculiar to them.

3. Altering Voting Requirements

To protect minority shareholders, the by-laws may provide that a quorum requires a larger percentage than a majority, and may even require unanimous attendance. Likewise, the articles or by-laws may set a voting requirement of a percentage greater than a majority, or a unanimous vote. However, such higher requirements can create a danger of deadlock by minority veto.

Shareholders may also want to avail themselves of statutory provisions permitting classification of stock, preemptive rights, and preferred stock to equitably balance ownership and voting in a close corporation.

B. SHARE TRANSFER RESTRICTIONS

Restrictions on stock transfers are often used in close corporations both to control who can become a business associate and to insure that a stockholder will be able to recover his investment if he decides to sell his stock. The restrictions may appear in the articles or the by-laws, or in an agreement to which the corporation is a party. The validity of stock transfer

restrictions are generally upheld if adopted for a lawful purpose, *Greene v. E. H. Rollins & Sons*, 22 Del. Ch. 394, 2 A.2d 249 (1938), but such restrictions may also infringe on the public policy of promoting the alienability of property and contract interests. In general, preventing outsiders from obtaining ownership and maintaining the proportionate interests of shareholders are considered valid purposes for such restrictions.

Any restriction on transfer must be set forth in the articles, the by-laws, or a separate agreement, and must be noted conspicuously on the share certificates.

C. SPECIAL AGREEMENTS ALLOCATING AUTHORITY

1. In General

Generally, it is improper for shareholders to enter into agreements determining matters usually held to be within the directors' discretion (e.g., selection and salary of officers, payment of dividends). However, this rule may not apply to close corporations where shareholders (who are often also directors and/or officers) may enter into enforceable agreements controlling such matters at least so large as:

- a. all of the shareholders are parties to the agreement,
- b. the agreement is reasonable in length and scope, and
- c. there is no harm to outsiders (e.g., creditors).

The Revised Model Business Corporations Act §8.01(b) requires that such agreements be included in the articles of incorporation.

2. Elimination Of Board Of Directors

Some states even allow a close corporation to do away with a board of directors entirely and have the shareholders run the corporation as though they were directors.

D. RESOLUTION OF DISPUTES AND DEADLOCK

Because close corporations are most likely to suffer from deadlock of shareholders or directors, the articles may provide for a remedy, such as arbitration or a buy-out agreement in the event of irreconcilable conflict. The articles may also provide for dissolution at the option of a specified percentage of the shares, or upon some other contingency. Any such option must be conspicuously noted on the shares.

When shareholders manage a close corporation and it is suffering or threatened with irreparable injury from deadlock, a court may appoint custodians. A receiver may be appointed in the event of bankruptcy. A court may also appoint a disinterested provisional director to aid a hopelessly deadlocked board.

E. OPTIONS AND BUY-SELL AGREEMENTS

1. Options

The first option obliges the stockholder to offer shares first to the corporation or other shareholders before they may be sold to outsiders. The option may be triggered by a proposed sale or transfer, by death, by bankruptcy, or by termination of employment. Options may be successive (first to corporation, then to shareholders), and may allow

some shareholders to buy more than their proportionate share if others do not exercise their options. It is important that the agreement specify whether the selling shareholder can vote his stock on the question of corporate repurchase of his shares. It is also important that the price at which the option is to be exercised is capable of ascertainment; otherwise the agreement may be held unenforceable because of lack of definiteness. *Hardin v. Rosenthal*, 213 Ga. 319, 98 S.E.2d 901 (1957).

2. Buy – Sell Agreements

A buy-sell agreement is similar to a first option, but is mandatory, requiring the offeree shareholders or corporation to buy the stock upon the triggering event (e.g., death, disability, termination of employment, or proposed sale). Such agreements, usually funded by a life insurance policy on each stockholder, have the advantage of assuring a purchaser, which is especially important for an illiquid estate. An agreement may provide for the corporation to buy the shares, or may allow the other shareholders to buy proportionally. Again, provisions should be made for fixing the value of the stock. This may be a set price or book value at the time of the buy-out or may be determined by a procedure such as capitalization of earnings, or appraisal by an outside party.

F. FIDUCIARY DUTY OF SHAREHOLDERS IN A CLOSE CORPORATION

1. In General

In recent years, a trend toward protecting minority shareholders in close corporations by imposing a broad fiduciary duty has developed. Courts in many states have held that the fiduciary duty of corporate directors, “**good faith and inherent fairness**,” was insufficient in a close corporation, and held its directors and shareholders subject to the more stringent standard applied to partners, “**the utmost good faith and loyalty**.” In one sense, the premise of the fiduciary nature of the relationship between the shareholders and the corporation is the law of agency. The managing shareholders, as agents for the corporation, owes to the principal the obligation of good faith and fair dealing; however, violation of this fiduciary duty may be found despite the absence of bad faith or dishonesty. *Robinson v. Watts Detective Agency, Inc.*, 685 F.2d 729 (1st Cir. 1982), *certiorari denied*, 459 U.S. 1105, 103 S. Ct. 728 (1983).

2. Fiduciary Duty Of Minority Shareholders

The fiduciary duty applies to all shareholders alike, and thus prohibits a minority shareholder from acting to harm the corporation. In *Smith v. Atlantic Properties, Inc.*, 12 Mass. App. 201, 422 N.E.2d 798 (1981), for example, four shareholders each owned 25% of the stock; the corporate articles required 80% approval of any resolution, so any shareholder held veto power. The defendant consistently exercised his veto power to prevent the declaration of dividends despite the likelihood of assessment of penalty taxes for excessive accumulated earnings. The court found that the minority shareholder had violated his fiduciary duty and held him liable to the corporation for the penalty taxes plus interest.

3. Duty Owed To The Corporation

Where minority shareholders in a close corporation brought a personal action against a majority shareholder alleging that the majority shareholder had caused the corporation to transfer substantial sums to her in the form of an excessive salary and payments on notes for which the corporation received no consideration, the court held that the fiduciary duty was owed to the corporation, not to individual stockholders, and thus the action could be brought only as a derivative action. *Besette v. Besette*, 385 Mass. 806, 434 N.E.2d 206 (1982).

X. CORPORATE STRUCTURE

A. AMENDMENT OF ARTICLES OF INCORPORATION

A corporation may amend its articles of incorporation in any respect if the amendment would be a legal provision in original articles filed on the date of amendment. The Model Act requires only a majority vote to effect a change; however, states often require a two-thirds vote for certain types of amendments.

1. Procedure For Amendment

a. Board resolution

The board of directors must adopt a resolution setting forth the proposed amendment and direct that it be submitted to a vote at a meeting of the shareholders. If shares have not yet been issued, the amendment is deemed adopted upon the resolution by the board.

b. Written notice

Each shareholder of record is to be given either the proposed amendment or a summary thereof. Notice must be given in the same manner as the giving of notice for a shareholder's meeting.

c. Vote

The vote is held at the meeting. There is no limitation on the number of amendments that may be submitted and voted upon at any one meeting.

2. Amendments Authorized By Majority Vote

A corporation may authorize, *inter alia*, amendments of its articles that effect:

- a. an increase or reduction of any class of stock then authorized;
- b. a change of the par value of any class of authorized shares;
- c. a change of any class of authorized par-value shares into any number of no-par shares;
- d. a change of any class of authorized no-par shares into a greater or lesser number of no-par shares;
- e. a change of any class of authorized par-value shares into a greater or lesser

number of shares with par value;

- f. a change of any class of authorized no-par shares into any number of par-value shares;
- g. a change of its corporate name.

3. Restatement Of Articles

A corporation may restate its articles as enacted or amended by a resolution adopted by the board of directors; the same verification and filing procedures apply.

4. Filing And Effect

Articles of amendment, setting forth the amendment and its due adoption, must be signed by the president or any vice president, and by the secretary or an assistant secretary, and submitted to the Secretary of State. The amendment becomes effective when the Secretary of State issues a certificate of amendment.

Restated articles must likewise be signed and submitted, and must set forth all matter that would be required or permitted to be set forth in original articles. From the effective date, the restated articles supersede the original articles.

5. Dissenter's Appraisal Rights

A stockholder who is adversely affected by an amendment of the articles and who objects to the action is entitled to an appraisal and payment for his stock.

Unless the articles provide otherwise, a stockholder's rights are deemed adversely affected only when the amendment:

- a. alters or abolishes any preferential right of his stock;
- b. creates, alters, or abolishes any right in respect of redemption of his stock;
- c. alters or abolishes any preemptive right in respect of his stock; or
- d. excludes or limits his right as a stockholder to vote on a matter, except as such rights may be limited by voting rights given to new shares then being authorized of an existing or new class.

The procedure for exercising appraisal rights is discussed elsewhere in this outline.

B. MERGERS AND CONSOLIDATIONS

In a merger, one corporation is absorbed into another corporation, which survives (A Corporation and B Corporation merge; A Corporation survives); in a consolidation, two corporations combine to form a new corporation and both old corporations cease to exist (A Corporation and B Corporation consolidate into C Corporation).

1. Procedure

a. Board resolution for merger

Two or more domestic corporations may merge into one of the corporations under a plan of merger, which must be approved in accordance with statutory procedures. The board of directors of each corporation must adopt a plan of merger that sets forth:

- 1) the names of the corporations preparing to merge and the name of the surviving corporation,
- 2) the terms and conditions of the proposed merger,
- 3) the manner and basis for converting shares, obligations, and securities into cash or other property, and
- 4) a statement of changes in the articles of incorporation of the surviving corporation.

b. Board resolution for consolidation

Likewise, when two or more domestic corporations desire to consolidate, the board of directors of each corporation must adopt resolutions setting forth:

- 1) the names of the corporations desiring to consolidate,
- 2) the name of the new corporation to be formed,
- 3) the terms and conditions,
- 4) the manner and basis of converting shares, and
- 5) the articles of incorporation for the new corporation.

c. Shareholder approval

For both mergers and consolidations, the plan must be submitted to a shareholder vote at either a special or annual meeting with written notice to all shareholders, whether or not entitled to vote at such a meeting. The notice must specify that the purpose or one of the purposes of the meeting is to consider a proposed plan of merger or consolidation and a copy or summary of the plan must be included in the notice. The Model Act requires the approval of two-thirds of the shares entitled to vote. Class voting is required if so required by the articles.

d. Filing of new articles

If the plan is approved, the articles of merger or consolidation must be executed in duplicate by each corporation by its president or vice-president and secretary or assistant secretary. Duplicate originals are to be delivered to the Secretary of State, and, if in accordance with law, a certificate of merger or consolidation will be issued.

2. Short-Form Merger

A simpler procedure is provided for merger of a subsidiary corporation into its parent. A parent owning at least 90% of the outstanding shares of each class of its subsidiary may merge the subsidiary into itself without the approval of shareholders of either the parent

or subsidiary. The board of the parent must approve a plan of merger, stating the terms and conditions of the merger and the manner of determining its effective date, and mail a copy to each shareholder of record of the subsidiary corporation. Articles of merger, signed by the president or vice president, and by the secretary or assistant secretary must be filed with the Secretary of State, and become effective upon the issuance of a certificate of merger.

3. Effect Of Merger Or Consolidation

Upon the effective date, the participating corporations become a single corporation, and the surviving or new corporation has all the rights, privileges, immunities, and powers of the former corporations. The surviving or new corporation also succeeds to the liabilities and duties of the former corporations, and is responsible for any debts, liens, or suits against its predecessor. By operation of law, title to any property is transferred to the surviving or new corporation. The surviving or new corporation is entitled to issue stock or bonds to complete the merger or consolidation.

C. SALE OF SUBSTANTIALLY ALL ASSETS

Instead of merging with another corporation, a corporation may choose to acquire the other corporation by buying all its assets. This course has fewer procedural requirements, but still provides appraisal rights in certain cases.

1. Authorization

A corporation may authorize, at a meeting duly called for that purpose, the sale, lease or exchange of all or substantially all its property and assets (including good will), upon such terms and conditions as it deems expedient. Notice of the time, place, and purpose of the meeting must be given to all shareholders, whether or not entitled to vote. Some states require that approval must be by a two-thirds vote of each class entitled to vote thereon.

Unless the articles provide otherwise, the authorization or consent of the shareholders is not required for a mortgage or pledge of, or granting a security interest in, property or assets of the corporation.

2. Dissenting Shareholders' Appraisal Rights

Shareholders dissenting from a sale, lease, or exchange of all or substantially all property and assets are entitled to the same appraisal rights as dissenters from merger or consolidation, and must follow the same procedures.

D. RECAPITALIZATION

An existing corporation may choose to change its capital structure by adjusting the amount or priority of the debt and equity securities of the corporation. Recapitalization may be accomplished, for example, by adjusting the amount of each type of security or changing the priority of different classes of stock.

E. EXCHANGES OF SECURITIES

Under the Model Act, a corporation may acquire all of the outstanding shares of one or more classes or series of another corporation in a share exchange pursuant to a plan of exchange adopted by the board of directors of each corporation. Generally, all shareholders in each corporation with voting rights must approve the plan of exchange by a majority of all votes in each voting group. The acquiring corporation may exchange shares, obligations or other securities of the acquiring corporation or another corporation, cash, other property, or a combination of any of the aforementioned for the shares to be acquired, provided the method of exchange is set out in the plan of exchange. After the plan of share exchange is adopted and approved, the acquiring corporation is required to file articles of share exchange with the secretary of state. The share exchange may be abandoned at any time prior to the filing of the articles. Upon filing, the shares of the acquired corporation are exchanged and the former holders of the shares have only such exchange rights as are provided in the articles, as well as dissenters' rights.

F. DISSOLUTION

Dissolution is the extinguishing of corporate existence; it requires affirmative action by the corporation itself or by the courts, and does not occur because of bankruptcy or inactivity. Although dissolved, a corporation may continue to exist for a limited time for limited purposes (i.e., prosecuting or defending lawsuits).

1. Voluntary Dissolution By Consent Of Shareholders

A corporation may be voluntarily dissolved by the written consent of all of its shareholders by executing and filing a statement to that effect with the Secretary of State. Upon this filing, the corporation must cease doing business except insofar as is necessary to wind up its affairs. Its corporate existence continues, however, until the Secretary of State issues a certificate of dissolution or a decree dissolving the corporation has been entered by a court of competent jurisdiction.

2. Voluntary Dissolution By Act Of Corporation

Dissolution may take place by the corporation's filing articles of dissolution with the Secretary of State pursuant to a vote of two-thirds of each class of stock outstanding and entitled to vote thereon and with the approval of the board of directors, or pursuant to provisions in the articles of incorporation. Notice must be given to the Secretary of State. The articles of dissolution must set forth the pertinent information concerning the authorization and other provisions for dissolution and the effective date. The articles take effect when filed or on a specified date within 30 days thereafter. However, at any time before filing, the corporation may authorize abandonment of the dissolution proceedings.

3. Involuntary Dissolution

If a corporation has failed to maintain a registered agent or failed to file the reports required by the state, or if the State Secretary is satisfied that a corporation has become inactive and that its dissolution would be in the public interest, the State Attorney General may, after notice and an opportunity to be heard, dissolve the corporation.

4. The Corporation After Dissolution

After dissolution or the expiration of the duration stated in the articles, the corporation's existence continues to allow the corporation to prosecute and defend suits, and to enable it gradually to settle and close its affairs, and to dispose of and convey its property and to make distributions to its stockholders of any assets remaining after the payment of its debts and obligations. However, it may not continue the business for which it was established.

The Secretary of State normally has the power to revive a corporation after dissolution for any purpose irrespective of the period of time having elapsed since dissolution and irrespective of the method of dissolution.

G. DISSENTING SHAREHOLDERS' APPRAISAL RIGHTS

1. In General

Shareholders may dissent from:

- a. an amendment of the articles which materially and adversely affects their rights,
- b. a sale of all assets, or
- c. a merger or consolidation.

Dissenting shareholders have the right to require the corporation to appraise their shares and buy them at fair market value. This effects a workable compromise between the desire of the majority to make a fundamental change in the corporation, and the desire of the dissenter not to be forced into a corporate situation radically different from that which he anticipated when he bought his stock. In addition, absent fraud, misrepresentation, or improper procedure, a shareholder entitled to appraisal rights may not challenge a completed corporate action for which appraisal rights are available. Therefore, appraisal rights serve as the shareholder's exclusive remedy for completed corporate action. RMBCA §13.02(d). However, shareholders must follow an elaborate procedure to exercise their appraisal rights.

2. Notice And Objection

The notice of the shareholders' meeting must contain a statement of the rights of existing shareholders, and must state the prerequisites for appraisal rights:

- a. A stockholder must file with the corporation, before the shareholders' vote, written objection to the proposed action, stating that he intends to demand payment for his shares if the action is taken; and
- b. He must not vote his shares in favor of the proposed action.

Failure of the stockholder to comply with these requirements results in loss of any appraisal rights.

3. Procedure

If the action is approved, the corporation must notify each shareholder who filed an objection and did not vote in favor of the action that the action has taken effect. The

notice must state where and when demand for payment must be made and supply the shareholder with a form for demanding payment. The time for demand must not be less than 30 days from the mailing of the notice. If the shareholder believes the amount remitted by the corporation for his shares is less than the fair value, he may send the corporation his own estimate of value and make a demand for the deficiency.

4. Appraisal Proceedings

If the corporation and the dissenter still fail to agree as to the value of his stock, the corporation may petition a court for a determination of value. To do so, they must file within 60 days of receiving a demand for payment from the shareholder.

All dissenting shareholders who have not agreed on a price must be made parties to the action, and the corporation must give them all notice.

The court may appoint a special master to receive evidence and recommend a fair value. The value of the shares is determined as of the day preceding the vote approving the action and excludes any value arising from an expectation of the action. The judgment should include interest from the date of the vote on the proposed action. The costs of the proceeding (except counsel and expert fees) are assessed against the parties as the court deems equitable, but the costs of giving notice are charged to the corporation.

H. PROFESSIONAL CORPORATIONS

Most states prohibit professionals from forming general corporations for the purpose of practicing their professions. This rule was based on the idea that professionals should not be able to avoid personal liability for their own malpractice by hiding behind the corporate veil. Eventually, however, states began to adopt special statutes permitting professionals to incorporate so that they could take advantage of certain federal tax provisions that were available only to corporations. The statutes generally treat professional corporations like any other corporation but **limit share ownership to licensed professionals** and make it clear that a professional practicing in the corporation will still be **personally liable for his own malpractice** despite the corporate form.

Except where the state professional corporation statute provides otherwise, a professional corporation operates in the same manner as a regular business corporation and is governed by the general corporations law.

1. Formation

A person or group of persons who are licensed to practice a profession may elect to practice as a professional corporation. The articles are basically the same as in a regular business corporation and are filed in the same manner. However, the articles must state that the corporation is a professional corporation and that its purpose is to render professional services. P.C. Supp. §10.

2. Applicable Professions

The professional corporation statute applies to all licensed professionals in a profession that is not allowed to incorporate under the state's general corporations law, e.g., doctors, lawyers, pharmacists, etc. P.C. Supp. §3(7).

3. Operation Of The Professional Corporation

a. Limited to one profession

Generally, a professional corporation may practice only one profession unless and to the extent that other state law allows a professional to practice a combination of professions. P.C. Supp. §11.

b. Limited to licensed personnel only

A professional corporation may engage in the practice of a profession only through persons who are licensed to practice that profession in the state. However, the professional corporation may employ unlicensed persons in capacities in which they are not rendering professional services to the public (e.g., secretaries, receptionists). P.C. Supp. §13.

c. Qualifications for officers and directors

Under the P.C. Supplement, at least half of the board and all of the officers of a professional corporation (except the secretary and treasurer) must be licensed to practice the profession for which the corporation is organized. P.C. Supp. §30.

d. Shareholders and proxies must be licensed professionals

Shares in a professional corporation may be issued to and held by only licensed professionals, partnerships, and other professional corporations practicing the profession for which the corporation is organized. P.C. Supp. 20. Moreover, proxies to vote shares may be issued only to licensed professionals. P.C. Supp. 31. If a shareholder dies or becomes disqualified to practice, the corporation must acquire the shareholder's shares or cause the shares to be acquired by another qualified professional. P.C. Supp. §23.

e. Transferability of shares is restricted

Shares of a professional corporation must conspicuously note that they are shares of a professional corporation and that their transferability is restricted. Such shares may be transferred only to licensed professionals, partnerships, and other professional corporations practicing the profession for which the professional corporation is organized. P.C. Supp. §21-22.

4. Liability Issues

Although the professional practice is "incorporated," the professional remains personally liable for his own malpractice or misconduct in rendering professional services along with the corporation. However, shareholders generally are not liable for the malpractice of their fellow shareholders and employees except to the extent that they were supervising or cooperating with the fellow shareholder or employee. P.C. Supp. §34.

I. LIMITED LIABILITY COMPANIES

A majority of states have adopted statutes providing for the creation of Limited Liability Companies ("LLCs"). An LLC is an entity eligible to be taxed as a partnership while offering its owners (called "members") the limited liability that shareholders of a corporation

enjoy. Under current tax laws, unless an LLC requests to be taxed as a corporation, it will receive partnership tax treatment, i.e., the LLC will not be treated as a taxable entity and profits and losses flow through the LLC to its owners.

1. Controlling Law

An LLC is treated as an entity distinct from its members for the purposes of assessing liability. Although LLCs are governed by statute, the statute generally provides that LLC members may adopt operating agreements to control most important aspects of the LLCs business and management. These agreements will control unless they are directly contrary to the law.

2. Formation

An LLC is formed by filing the articles of organization with the Secretary of State. The articles must include the following items:

- a. a **statement** that the entity is an LLC;
- b. the **name** of the LLC, which must include an indication that it is an LLC;
- c. the **street address** of the registered office and the name of its registered agent in the state; and
- d. the names of all the **members**.

3. Operation And Transfer

The members of an LLC are not personally liable for the LLC's obligations. Profits and losses are allocated on the basis of contributions. Any assignment of a member's interest in the LLC transfers only the member's right to receive profits and losses. Management rights are not transferred. One can become a member, i.e., management rights can be transferred, only with the consent of all the members.

4. Dissolution

Disassociation, for example, death, retirement, resignation, bankruptcy, incompetence, etc., of an LLC member generally causes dissolution of the LLC.

XI. TAKEOVERS AND CORPORATE CONTROL TRANSACTIONS

Individuals, groups, or corporations seeking to acquire another corporation normally attempt to do so by negotiating with the board of directors. If this fails, the would-be acquirers will often go directly to the shareholders, and make a "tender offer."

A. TENDER OFFERS

A tender offer is a public (usually published) solicitation by a "bidder" (the individual, group, or corporation) of the publicly held shares of the corporation to be acquired (the "target"). The offer is usually made at a premium over the current market price of the target's shares and is held open for a limited period of time. If the shareholders do not tender the minimum number of shares specified in the offer by then, the bidder will withdraw the tender offer.

The bidder also need not accept the tender of more shares than any maximum number of shares specified in the tender offer.

State laws have attempted to protect the interests of the minority and target management. The first generation of state anti-takeover statutes was struck down as placing an undue burden on interstate commerce. *Edgar v. MITE Corp.*, 457 U.S. 624 (1982).

B. ANTI-TAKEOVER STATUTES

The second generation of state anti-takeover statutes, however, was found to pass muster. *CTS Corp. v. Dynamics Corp.*, 95 L.Ed.2d 1 (1987). The Indiana statute upheld in *CTS Corp.* provides that an entity acquiring “control shares” does not acquire voting rights until a majority of prior shareholders votes to give those rights either (1) at the next regularly scheduled shareholders meeting, or (2) within 50 days after a call by the acquirer. Thus, these anti-takeover statutes effectively prevent the acquirer from exercising control of the shares unless the prior shareholders approve, despite the acquirer’s possession of a controlling block of shares. Under this law, if the acquirer fails to win voting rights from the prior shareholders, the target corporation may redeem the control shares.

XII. SHAREHOLDER LITIGATION

A. DISTINCTIONS BETWEEN DIRECT AND DERIVATIVE SUITS

There are two basic types of shareholder actions:

1. Direct Suit

One is a direct suit, in which a shareholder sues on his own behalf to redress an injury to his interest as a shareholder. If the harm affects many shareholders, the plaintiff may maintain his direct suit as a class action, in which he sues as the representative for the injured shareholders; a class action is governed by the provisions of Fed. R. Civ. P. 23. Many states have similar rules governing class actions.

2. Shareholder Derivative

The second type of action is a derivative suit, in which a shareholder sues on behalf of the corporation to redress a wrong to it when the corporation fails to enforce its right. Recovery in a derivative action usually goes to the corporation itself, rather than to the shareholder bringing the action. A derivative suit is an equitable action, and often involves breach of fiduciary duty. Because there are conditions precedent to derivative suits, it is important to determine if a cause of action is direct or derivative. Causes of action held to be direct include suits to compel payment of dividends, to enforce the right to inspect corporate records, to protect preemptive rights, to enforce the right to vote, and to recover for breach of a shareholders’ agreement, a preincorporation agreement or a contract with a shareholder. Shareholders’ derivative suits are governed by Fed. R. Civ. P. 23.1 in federal courts, and many states have adopted rules similar to the federal rule for use in state court practice.

B. DERIVATIVE SUITS

1. Conditions Precedent

a. Contemporaneous ownership

In a derivative suit, the plaintiff must allege in her complaint that she was a stockholder at the time of the transaction complained of or that her shares thereafter devolved upon her by operation of law (e.g., inheritance) from a person who was a stockholder at that time. Fed. R. Civ. P. 23.1. The plaintiff must also allege that the action is not a collusive one to confer jurisdiction on a court of the United States that it would not otherwise have.

The purpose of the contemporaneous ownership requirement is to prevent “strike suits” in which a person buys a few shares simply so that she may threaten to bring a shareholders’ derivative suit, seeking a private settlement with corporate management.

b. Demand upon directors

Since a derivative suit is based on a corporate cause of action, a shareholder must first attempt to persuade the board to enforce the corporation’s right. His complaint must allege “with particularity” his efforts to secure from the board of directors such action as he desires. If demand upon the directors would be futile (e.g., if a majority of the directors are the alleged wrongdoers), it will be excused, but the reasons must be alleged with particularity in the complaint. The complaint in a derivative suit must be verified under oath. Fed. R. Civ. P. 23.1.

c. Demand upon the shareholders

If the board is not disinterested, or if, after demand, the board refuses to act, some jurisdictions require the shareholder to make a demand upon the corporate shareholders, unless that would be futile because a majority of the shareholders are also involved in the wrongdoing. In other jurisdictions, no demand on shareholders is required; demand on directors is sufficient. In the jurisdictions that require a demand upon shareholders, the vote of a majority of disinterested shareholders, undominated and uncontrolled, acting reasonably and in good faith, not to bring the action bars the bringing of a derivative suit by a minority shareholder, regardless of the nature of the cause of action. There is a presumption that the majority has acted in good faith toward the corporation and all of its shareholders.

1) Vote is insufficient remedy

Other courts have held that a derivative action could be maintained despite a disinterested majority shareholder vote against it on the ground that such a vote could not ratify some wrong such as an antitrust violation. *Rogers v. American Can Co.*, 305 F.2d 297 (3d Cir. 1962).

2) Shareholder demand not a condition precedent

It has also been held that if the shareholders are so numerous and scattered that they cannot practically, as a body, decide whether or not to sue, a demand upon the shareholders may not be a condition precedent to a derivative suit. *Levitt v. Johnson*, 334 F.2d 815 (1st Cir. 1964). If, after a demand is made upon shareholders, they fail to act, the minority shareholder may proceed with his derivative suit. *Halprin v. Babbitt*, 303 F.2d 138 (1st Cir. 1962).

3) Rationale for requiring demand

Reasons for requiring a demand on shareholders include encouraging a satisfactory intracorporate resolution, to persuade the directors to have the corporation bring an action, or to have all the shareholders take over the action.

4) Plaintiff must adequately represent shareholder interests

A derivative action may not be maintained if it appears that the plaintiff does not fairly and adequately represent the interests of the shareholders similarly situated in enforcing the right of the corporation. Fed. R. Civ. P. 23.1.

2. Defenses

Since stockholders in a derivative suit stand in the shoes of the corporation, they are subject to the same defenses that could have been raised against the corporation. Some courts have held that if a shareholder consented to, acquiesced in or ratified the wrongful act with knowledge of all the material facts, he cannot later attack those acts. *Swafford v. Berry*, 152 Colo. 493, 382 P.2d 999 (1963). Other courts, however, have reasoned that shareholder misconduct should not preclude the corporation's recovery. *Atkinson v. McCabe Hanger Mfg. Co.*, 55 N.Y.S.2d 274 (Sup. Ct. 1945).

a. Equitable defenses

A transferee may be estopped to sue if his transferor would have been estopped. Since a derivative suit is an equitable action, the equitable defenses, such as laches and unclean hands, may be interposed.

b. Res judicata

Judgment on the merits is res judicata as to any subsequent action for the same claim; however, a judgment not on the merits, e.g., one based upon a personal defense against the shareholder maintaining the action, is not res judicata.

3. Intervention

Other shareholders may wish to intervene in either direct or derivative suits involving their corporation. The trend is to require that intervenors in a derivative suit be contemporaneous shareholders. A person is entitled to intervene when he claims an interest relating to the property or transaction which is the subject of the action and he is so situated that the disposition of the action may as a practical matter impair or impede his ability to protect that interest, unless the applicant's interest is adequately represented by existing parties. Fed. R. Civ. P. 24(a)(2).

4. Expenses

In its discretion, the court may order the corporation to pay expenses, including counsel fees, to a successful derivative action plaintiff. In some jurisdictions, fees and disbursements are allowable only out of the fund that resulted from the successful litigation. Other courts have awarded expenses even if no fund has been created, e.g., where the shareholder established violation of federal securities law. *Mills v. Electric Auto-Lite Co.*, U.S. 375, 90 S. Ct. 616 (1970).

5. Compromise And Dismissal

Court approval is generally required for the compromise or dismissal of any class action or derivative suit. Notice of the proposed compromise or dismissal must be given to all members of the class in such manner as the court directs. Fed. R. Civ. P. 23(c), 23.1. The purpose of the rule is to ensure that the defendants do not buy off the representatives, thus enriching them rather than the class or corporation.

XIII. LIMITED LIABILITY COMPANY

A limited liability company (LLC) is a cross between a corporation and a partnership. It is recognized by statute in a large number of states. It is a legal entity distinct from its members, and its powers are similar to those of a corporation, including the power to sue and defend in its own name. Its most important characteristic is that its members are not liable for the debts and obligations of the company, whether arising in contract, tort, or otherwise, solely because of their status as members (in the absence of a written agreement to the contrary).

A. FORMATION

One or more persons may form a limited liability company by delivering **articles of organization** to the state for filing (e.g., to the office of the secretary of state). The company's existence begins when the articles are filed, unless the articles provide for a delayed effective date. Anyone may obtain a certificate of existence from the office where the articles have been filed. This certificate may be relied upon as conclusive evidence that the LLC is in existence.

1. Name

The name must indicate that it is a LLC, either by containing the words "limited liability company" or "limited company," or an abbreviation such as LLC or LC.

2. Operating Agreement

The members of a LLC may adopt an operating agreement, which need not be in writing, that governs the affairs of the company and the relations between the members, managers, and the company. In general, provisions of a company's operating agreement apply rather than corresponding statutory provisions, with some limitations.

3. Limitations

Under the Uniform Limited Liability Company Act (ULLCA), among the various things an operating agreement may not do are the following:

- a. Unreasonably restrict a member's right to information or access to company records;
- b. Eliminate a member's or manager's duty of loyalty;
- c. Unreasonably reduce a member's or manager's duty of care; or
- d. Eliminate a member's or manager's obligation of good faith and fair dealing. ULLCA §103.

4. Amending Articles Of Organization

An amendment of the articles of organization requires the consent of all the members unless the operating agreement provides otherwise. Articles of amendment are then delivered to the state for filing. ULLCA §204. An amendment of the operating agreement requires the approval of all members unless the operating agreement provides otherwise. Comment to ULLCA §103.

B. FINANCING THE LLC

A LLC may admit a member in exchange for a capital contribution, pursuant to the provisions of the operating agreement. If the operating agreement does not provide for the admission of members, then a member may be admitted upon the written consent of all of the members. The capital contribution may be in the form of cash, other property, or other benefit to the company, including a promissory note, services performed, or other agreements to contribute cash or property, or contracts for services to be performed.

C. MANAGEMENT AND CONTROL

The company is managed by its members, unless the articles of organization provide that it will be managed by one or more managers (who need not be members). If the company is managed by managers, members who are not also managers do not have the right to participate in the management of the company, unless the operating agreement provides otherwise.

Members of a member-managed LLC are agents of the company and have the apparent authority to bind the company by their acts while apparently engaged in carrying on in the ordinary course the business of the company and business of the kind carried on by the company. Acts beyond this do not bind the company unless the member has actual authority or the act is ratified by the company. Similarly, in a manager-managed LLC, the managers are the agents of the company.

D. LIABILITY TO THIRD PERSONS

A member or manager of a LLC is not personally liable, solely by reason of being or acting as a member or manager, for the debts, obligations, and liabilities of the LLC, whether arising in contract or tort or otherwise.

E. FIDUCIARY DUTIES

1. In General

Although members of a member-managed company or managers of a manager-managed company owe fiduciary duties to the company and its members, these duties are narrowly defined by statute. For example, the Uniform Limited Liability Company Act provides that a member's or manager's duty of loyalty is limited to:

- a. Accounting for and holding as constructive trustee any benefit derived by the member in the conduct or winding up of the company's business, including the appropriation of any company opportunity;
- b. Refraining from engaging in conflict of interest transactions with the company; and
- c. Refraining from competing with the company in the conduct of the company's business.

2. Limitations

A member's or manager's duty of care is limited to refraining from engaging in grossly negligent or reckless conduct, intentional misconduct, or a knowing violation of law. Also, members or managers must act consistently with the obligation of good faith and fair dealing. ULLCA §409.

F. DISTRIBUTIONS

1. In General

The rules about when a LLC is authorized to make a distribution to its members are similar to the rules that apply in the case of corporations. Under the ULLCA, a distribution may not be made if:

- a. The company would not be able to pay its debts as they become due in the ordinary course of business; or
- b. The company's total assets would be less than the sum of its total liabilities, plus the amount that would be needed if the company were to be dissolved and terminated at the time of distribution to satisfy the preferential rights of members whose preferential rights are superior to those receiving the distribution.

ULLCA §406.

2. Personal Liability For Unauthorized Distributions

A member or manager who authorizes an unlawful distribution is personally liable to the company for the amount of the distribution which exceeds the amount that could properly have been distributed, if it is established that the member or manager failed to satisfy his or her fiduciary duties, as discussed above. ULLCA §407.

G. NATURE OF MEMBER'S INTEREST

A member is not a co-owner of the property of a limited liability company. However, a member's right to receive distributions from the company is considered personal property. The operating agreement may provide that this distributional interest may be evidenced by a certificate issued by the LLC. A member may transfer his or her distributional interest, in whole or in part. ULLCA §501. Such a transfer does not necessarily entitle the transferee to become a member. ULLCA §502. A transferee may become a member only if this is permitted by, and in accordance with the terms of, the operating agreement, or by the consent of all members. ULLCA §503.

This distributional interest may be reached by a judgment creditor to satisfy the judgment. This is accomplished by applying to a court with jurisdiction for a charging order against the interest. ULLCA §504.

H. MERGERS

Statutes often permit a limited liability company to merge with another LLC, or a corporation, partnership, limited partnership, or other entity, pursuant to a plan of merger approved by the members.

I. DISSOLUTION

1. In General

The statutes regarding dissolution and winding up of a LLC vary considerably from state to state. Furthermore, most of these provisions can be modified by the operating agreement (except for certain events, specified by statute, that require dissolution, e.g., involving judicial or administrative dissolution). Typically, statutes provide that a LLC is dissolved, and its business must be wound up, upon the happening of any of the following events:

- a. The expiration of the term of the company, if one is stated in the articles of organization, or an event specified in the operating agreement;
- b. The consent of a sufficient number or percentage of the members as specified in the operating agreement,
- c. Entry of a decree of judicial dissolution (e.g., on the ground that the economic purpose of the company is likely to be unreasonably frustrated); or
- d. Administrative dissolution (e.g., for failure to file an annual report).

2. Winding Up And Distribution Of Assets

After dissolution, the company continues for the purpose of winding up its business and distributing its assets. The company's assets must first be used to pay off its creditors. Any surplus is then distributed to the members, beginning with the return of members' capital contributions.

The company's existence terminates when it files articles of dissolution with the state.

J. MEMBER LITIGATION

A member may sue the LLC or another member, with or without an accounting as to the company's business, to enforce his or her rights, including rights arising by statute or under the operating agreement, and rights and interests arising independently of the member's relationship to the LLC. ULLCA §410.



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**MULTISTATE ESSAY EXAM REVIEW
DECEDENTS' ESTATES**

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DECEDENTS' ESTATES

I. INTRODUCTION

A. GOVERNING LAW

The law governing wills and intestate succession developed from the common law and has largely been codified in the statutes of the fifty states, the District of Columbia, and the territories. Some states have adopted the Uniform Probate Code (UPC) in whole or in part. Unless otherwise noted, all citations are to the UPC.

The UPC is used in this outline only as an example of a statutory scheme; in some subject areas, it provides valuable insight into the principles involved.

Example: UPC definitions and the UPC intestate succession scheme have been used as illustrations. The reader should understand that exact definitions and intestate laws vary considerably in detail from state to state. Prospective bar applicants should use this outline to learn the basic principles of Decedents' Estates, and then check the separate state "differences" chapter, which provides state-specific information where required.

B. DEFINITIONS

1. Intestate

A person who dies without a will dies **intestate**; one who dies leaving a will dies **testate**.

2. Issue

Issue means all of a person's descendants of all generations (e.g., child, grandchild, great-grandchild). §1-201(25). The definition of **child** includes one entitled to take from a parent who dies intestate, but excludes a stepchild, foster child, grandchild, or any more remote descendant. §1-201(5). Likewise, **parent** includes anyone who would be entitled to take if a child died intestate, but excludes a stepparent, foster parent, or grandparent. §1-201(33).

3. Disposition

A devise is a testamentary disposition of real or personal property, and a **devisee** is any person designated in a will to receive a devise. Traditionally devise was used only to refer to real property, while **bequest and legacy** were used to refer to personal property. Modern usage, however, allows devise to be used for any property received as a testamentary gift. §1-201(10), (11).

4. People

Heirs are those persons, including the surviving spouse, who are entitled under the statutes of intestate succession (*infra*) to the property of a decedent. §1-201(21). **Distributee** means any person who has received part of the estate from the decedent's personal representative, other than as creditor or purchaser. §1-201(13). **Personal representative** includes executor,

administrator, successor personal representative, special administrator, and persons who perform substantially the same function under the law governing their status. §1-201(36). **Interested person** includes heirs, devisees, children, spouses, creditors, beneficiaries, and any others having a property right in or claim against a trust estate or the estate of a decedent. §1-201(24).

5. Escheat

If there are no takers of the intestate estate, the property escheats to the state. Some states, and the UPC, call for the property to escheat if there are no takers up through and including grandparents and their issue.

6. Representation (Per Capita By Representation)

This is often incorrectly referred to as **per stirpes**. Most states, regardless of what they call it, follow this method. Under such a scheme, the estate is divided into as many equal shares as there are surviving heirs in the nearest degree of kinship and deceased persons in the same degree who left issue that survived decedent, each surviving heir in the nearest degree receiving one share, and the share of each deceased person in the same degree being divided among that person's issue in the same manner. Posthumous children are considered as living at the death of their parent.

Example: Suppose D had three children, C-1, C-2, and C-3. Before D's death, C-1 had died, leaving G-1 and G-2; C-2 had also died, leaving G-3; C-3 survived D and had no issue. If D dies intestate, under the statute, C-3 would take 1/3 (because there were three heirs in the nearest degree of kinship), G-3 takes one-third, and the remaining one-third is divided equally between G-1 and G-2 (each takes 1/6).

7. Representation (Strict Or True Per Stirpes)

Using this method, the estate is divided into shares at the first generation below the decedent, even if there are no survivors. One share is allocated to each member of that generation, alive and deceased. Children in utero are considered as living at the time of the parent's death.

Example: D had 3 children C-1, C-2, and C-3. C-1 had 2 children G-1 and G-2. C-2 had one child, G-3. C-3 had 3 children, G-4, G-5, G-6. C-1, C-2, and C-3 all predeceased D. At D's death the estate is divided into 3 equal shares. Each child's share is then distributed to that child's children. So that G-1 and G-2 each receive 1/6, G-3 receives 1/3 and G-4, G-5, and G-6 each receive 1/9 of the estate.

This method is not favored, and is used by only a few states.

8. Representation (Per Capita At Each Generation)

a. In general

In 1990 the UPC adopted per capita distribution at each generation. Section 2-106 provides that if per capita at each generation representation is used, the estate is divided into as many shares as there are surviving descendants in the nearest degree of kinship that contains any surviving descendants and deceased persons in the same degree who left issue who survived the decedent. Each surviving descendant in the nearest degree that contains any surviving

descendent is allocated one share and the remainder of the estate is divided in the same manner as if the descendants already allocated a share and their issue had predeceased the decedent.

Example: D had three children, C-1, C-2, and C-3. Before D's death, C-1 had died, leaving G-1 and G-2; C-2 had also died, leaving G-3; C-3 survived D and had no issue. If D dies intestate, under per capita at each generation representation, C-3 would take 1/3 (because there were three heirs in the nearest degree of kinship), and then the remainder (2/3) is divided equally among G-1, G-2, and G-3 (each takes 2/9).

b. Advantages

The advantage of the per capita at each generation system is that persons in the same generation never receive unequal shares, and a more remote descendant never takes a larger share than a nearer descendant.

c. Per capita at each generation presumed

In the case of distribution under a will in a UPC state, the term representation will be interpreted to mean per capita at each generation unless the governing documents specify otherwise. §2-709.

It is worth noting that there are different methods of intestate distribution. There is no single "correct" method of distribution. Each state has chosen a statutory definition

II. INTESTATE SUCCESSION

A. IN GENERAL

If a person dies without a will, or if his will is totally invalid, intestacy is complete. Intestacy is partial if the decedent made a will but not all his property is disposed of by the will (e.g., no residuary clause). A disclaimer by the residuary legatee will likewise result in partial intestacy. (See "Disclaimers," *infra*.) Any part of the estate of a decedent not effectively disposed of by will passes to the heirs as prescribed by intestacy laws.

State statutes provide for distribution of the property of decedents who die without a valid will. The UPC provides one method of prescribing the disposition of the property remaining after the payment of the debts of the decedent, the expenses of any last sickness and funeral, and of the settlement of the decedent's estate. The UPC is used here only as an example of one method. The practitioner should carefully check the appropriate state statute.

B. SHARE OF THE SURVIVING SPOUSE

1. If Spouse Survives, But No Issue Or Parent

If the decedent leaves no issue or parent, the surviving spouse takes the entire intestate estate. §2-102(1).

2. If Spouse And Parent Survive

If there is no surviving issue, but the decedent is survived by a parent or parents, the surviving spouse takes the first \$200,000, plus three-quarters of the balance of the intestate estate. §2-102(2). The UPC provides that each state sets the amount of the lump sum to be

taken by the surviving spouse; \$200,000 is the suggested figure, but states are free to adopt a different sum.

If there are surviving issue all of whom are issue of the surviving spouse only, the surviving spouse takes the first \$150,000, plus one-half of the balance of the intestate estate. §2-102(3).

However, if there are surviving issue one or more of whom are **not** issue of the surviving spouse, then the surviving spouse takes the first \$100,000 plus one-half of the intestate estate. §2-102(4).

4. Community Property

The UPC contains alternative provisions governing intestate distribution in states that have community property laws. The same distribution formula is used with respect to the surviving spouse's share of the decedent's **separate** property. With respect to **community** property, the surviving spouse takes one-half with the remainder going to other heirs (usually children) of the decedent. §2-102A.

5. Effect Of Divorce On Spouse's Share

In most states, a valid final divorce terminates the right of the surviving spouse, now the ex-spouse, to inherit a share of the intestate estate.

In most states that allow separation agreements, the parties may contract to terminate the right of the surviving spouse to inherit prior to a final divorce.

C. SHARE OF CHILDREN AND MORE REMOTE DESCENDANTS

1. Issue Of Decedent

The issue of the decedent take all of the intestate estate that does not pass to the surviving spouse, or the entire estate if there is no surviving spouse. The estate is distributed in equal shares to children, and to issue of deceased children by right of representation. §2-103(1).

2. Adopted Children

For purposes of intestate succession, an adopted child is considered the child of the adopting parent, so that the child can inherit from and through the adopting parents and their kin, and the adopting parents and their kin can inherit from and through the adopted child. §2-114(b).

Some states provide that the adopted child may not inherit through the natural parents. More commonly, a statute will provide that an adopted person is **not** the child of the natural parents for purposes of intestate succession **unless**:

- a. the adoption decree provides that the person shall inherit from the natural parents or their kin, or
- b. the child is adopted by the spouse of a natural parent.

Example: After a divorce from F, M gains custody of her son S, and marries H-2, who adopts S. The adoption has no effect on the relationship between the child and either natural parent. S may still inherit from both M and F, and may also inherit from H-2.

3. Children Born Out Of Wedlock

For purposes of intestate succession by, through, or from a person, an individual is the child of his or her natural parents regardless of their marital status. The parent-child relationship may be established under the Uniform Parentage Act or other applicable state law. §2-114(a).

Many states impose restrictions for children born out of wedlock to inherit from the biological father. The child must generally prove paternity by **clear and convincing evidence**. Some states allow such proof to be brought forth after the death of the father. There are no similar restrictions imposed for a child to inherit from the natural mother.

Inheritance from, or through, a child by either parent, or the child's kindred is precluded unless that natural parent has openly treated the child as his or hers and has not refused to support the child. §2-114(c).

4. Kindred Of The Half Blood

Under the UPC, relatives of the half blood inherit the same share they would inherit if they were of the whole blood. §2-107. States that have not adopted the UPC vary in their approach to inheritance by half-bloods. In some states, whether a half-blood inherits depends on whether the property was derived from an ancestor common to both the decedent and the half-blood, or was otherwise acquired by the decedent. If the property was derived from an ancestor not of the blood of the prospective heir, some states will deny the inheritance to the half-blood even to the extent of favoring a more distant whole-blood relative.

In most states, if the property is derived from an ancestor of the blood, the half-blood will inherit to the same extent as the whole-blood kindred. Some states, however will only allow the half-blood to take a smaller share than the whole-blood kindred.

5. After-Born Heirs

Under the UPC, and in most states, children of the decedent conceived before the decedent's death, but born after the decedent's death, inherit as if they had been born before the decedent's death. §2-108. However, states vary if the posthumous heir is more distantly related, such as a niece or nephew.

6. Persons Related Through Two Lines

A person related to the decedent through two lines of relationship is entitled to only a single share, based on the relationship that would yield the larger share. §2-113.

7. Alienage

No person is disqualified to take as an heir because the heir or a person through whom the heir claims is or has been an alien. §2-111.

8. Debts Owed To Decedent

A debt owed to the decedent is not charged against the intestate share of any person except the debtor. If the debtor fails to survive the decedent, the debt is not taken into account in computing the intestate share of the debtor's issue. §2-110.

D. SHARE OF ANCESTORS AND COLLATERALS

1. Parents Of Decedent

If there is no surviving issue, the decedent's parent or parents take equally the intestate estate that does not pass to the surviving spouse, or the entire intestate estate if there is no surviving spouse. §2-103(2).

2. Issue Of Decedent's Parents

If there is no surviving spouse, issue, or parent of the decedent, the intestate estate passes to the issue of the decedent's parents or of either of them, to be distributed by right of representation. §2-103(3).

3. Decedent's Grandparents Or Their Issue

In the absence of a surviving spouse, issue, parent, or issue of a parent, the intestate estate passes to the decedent's grandparents or their issue. Half of the intestate estate passes to the paternal grandparent(s), or to their issue, to be distributed by right of representation, and half passes to the maternal grandparent(s) or their issue. However, if there are no surviving grandparents or their issue on one side, the entire estate passes to the other side. §2-103(4).

E. ADVANCEMENTS

1. In General

Property given inter vivos to an heir, by a person without a will, may be treated as an advancement. Some states require a contemporaneous writing or acknowledgment in writing by the heir for the gift to be considered an advancement. The UPC includes as advancements gifts to any heir, not just to children or grandchildren.

2. Valuation Of Property

The value of the property advanced is determined as of the time the heir came into possession or enjoyment of the property, or as of the decedent's death, whichever occurred first.

If the recipient of the property fails to survive the decedent, the property is **not** taken into account in computing the intestate share of the recipient's issue **unless** the declaration or acknowledgment provides otherwise. §2-109.

3. Calculation Of Shares

In determining shares where there has been an advancement, the amount of the advancement is added to the probate estate and the shares are then determined. The amount of the advancement is then deducted from the share of the recipient. The accounting for the prepayment is called going into **hotchpot**.

When the value of the advancement exceeds the recipient's intestate share, the advancee receives nothing from the estate, and does **not** have to refund any of the advancement. If the advancement is less than the advancee's intestate share, the advancee is entitled to receive the difference.

If the money, or other property, given by the decedent to the heir created a debt, as opposed to an advancement, the heir would be required to repay the entire amount regardless of the size of the heir's intestate share. The debtor/heir, however, would also have defenses available to any debtor (e.g., collection is barred by the Statute of Limitations).

Suppose that Irving Intestate died, leaving an estate of \$80,000, three children, and no spouse.

Example: If Irving had made advancements of \$40,000 to son Ab (acknowledged as such in a contemporaneous writing), each child's intestate share would be \$40,000 (one-third of (\$80,000 plus \$40,000)). Thus, son Ab would receive no more because his advancement satisfied his share. Daughter Bab and son Cab would each take \$40,000 by intestacy.

Example: If Irving had advanced Ab only \$10,000, Ab can elect to go into hotchpot. His advancement is added to the estate and the total (\$80,000 plus \$10,000) is divided into three shares. Bab and Cab each take \$30,000 and Ab receives \$20,000 to complete his share.

Example: If Irving had advanced Ab \$50,000, Ab need not go into hotchpot, but he need not repay the excess over his share. Bab and Cab will each receive \$40,000.

F. SIMULTANEOUS DEATH STATUTE

1. In General

A decedent and an heir of that decedent may die either together, or very close in time. In order to minimize the number of times a particular property is administered after the death of the owner, many states have enacted statutes that require heirs to survive the decedent by a specified amount of time in order to inherit. Another purpose of the statute is to avoid forcing the family to provide disturbing evidence regarding which person died first. The UPC requires that the heir survive the decedent by 120 hours, or the heir is deemed to have predeceased the decedent. Non-UPC states may require a different amount of time.

2. Exception For Escheat

In some states the simultaneous death law will not apply if escheat of the intestate estate to the state would result.

III. WILLS

A. CAPACITY TO MAKE A WILL

1. Legal Capacity

Generally, a testator must be of a specified age (most often 18) to create a valid will. Some states allow a testator to make a will if that person is married or in the armed forces.

2. Mental Capacity

Mental capacity can be divided into two categories. The requirements of each must be met

a. Testamentary intent

The testator must intend the document to act as a will. It is ineffective if the testator intended the writing to be only a joke, or to accomplish another purpose.

Example: A letter to the deceased's attorney outlining the provisions of a proposed will not operate to distribute the property. The letter was intended as instructions to the attorney, not as a will.

b. Testamentary capacity

A person must be of sound mind in order to execute a valid will. In other words, the testator must have had testamentary capacity at the time of execution.

(1) Elements

There are five elements to testamentary capacity:

- (a) The testator must understand that the document to be signed is a will.
- (b) The testator must understand that the effect of the document is to distribute property after death. The testator need not read the will or understand all its technical provisions, but must generally know and approve the contents.
- (c) The testator must know the nature and extent of the property subject to distribution. The testator need not know exactly how much property is involved, but must know generally how much and what kind of property is involved. For example, the testator need not know exactly how many acres are attached to the family homestead, must know that there is that one parcel of real estate involved.
- (d) The testator must know the natural objects of the testator's bounty. The generally accepted natural objects of an individual's bounty are children, spouse, siblings, and other family members.
- (e) The testator must comprehend the four previously mentioned elements at the same time. It is not enough if the testator understands the nature and extent of the property one day, but does not understand the effect of a will until the next day. An individual executing a will must understand all the four previously mentioned elements at the time the will is actually executed.

(2) Classes

Generally, three classes of persons are competent to give their opinion of the testator's sanity:

- (a) witnesses to the will;

- (b) the testator's family physician; and
- (c) experts in mental diseases.

Others may testify only as to the appearance of the testator or to other facts, or to statements made by the testator, from which the fact finder may infer sanity or insanity.

(3) Burden of proof

The burden of proof as to the testator's soundness of mind is generally on the will's proponent, who is aided by a presumption that the testator was of sound mind when he executed the will. If evidence of lack of capacity is introduced, the proponent must show soundness of mind by a preponderance of the evidence. A few states place the risk of nonpersuasion on the contestant.

B. EXECUTION REQUIREMENTS

1. Formal Requirements Of Wills

a. Summary of requirements

Although requirements for proper execution vary from state to state, those adopted by the UPC are typical. §2-502. A properly executed will must be:

- (1) in writing,
- (2) signed by the testator, or in the testator's name by some other person in the testator's presence and by the testator's direction, and
- (3) signed by at least two persons each of whom witnessed either the signing or the testator's acknowledgment of the signature or of the will.

b. In writing

The entire will must be in writing. A will can also incorporate by reference any writing in existence when the will is executed, if the language of the will manifests this intent and describes the writing sufficiently to permit its identification. §2-510.

c. Signed by the testator

The will must be signed by the testator or by some person in the testator's presence and at the testator's express direction. This latter situation will often occur where the testator is too weak physically to sign the will.

In some states there is no requirement that the testator's signature be at the end of the will; thus, if the testator signs the will within the body of the will and intends it to be the testator's signature, this would satisfy the statute. Most states, however, require that the signature be at the end. The purpose for this requirement is to minimize the likelihood of fraud (e.g., someone adding provisions after execution). The testator's signing may be by mark.

The testator may sign the will outside the presence of the witnesses if the testator later acknowledges to the witnesses that the signature is the testator's or that the document is the testator's will, and they sign as witnesses. Official Comment to §2-502.

d. Witnesses**(1) Signing by witnesses**

Under the UPC, the will must be signed by at least two witnesses. Each of the persons signing as witnesses must “witness” any of the following: the signing of the will by the testator, an acknowledgment by the testator that the signature is the testator’s, or an acknowledgment by the testator that the document is the testator’s will. There is no requirement in the UPC that the testator request the witnesses to sign, or that the witnesses sign in the presence of the testator or of each other. Official Comment to §2-502. However, some states require that the witnesses sign in the testator’s conscious presence. In other words, the testator need not actually see the witness sign, but must be in a position that would allow a view of the witness signing. Some states impose additional requirements.

(2) Competence of witness

Any person generally competent to be a witness may act as a witness to a will. §2-505(a).

e. Self-proved will**(1) In general**

Any will may be simultaneously executed, attested, and made self-proved, by the testator’s acknowledgment of the will as being of a free and voluntary act, and by the witnesses’ affidavits that the testator was apparently at least eighteen years of age and of sound mind, and was acting under no constraint or undue influence. The acknowledgment and affidavits must be made before an officer authorized to administer oaths.

Some states, and the UPC, allow a will to be made self proved after the execution by the acknowledgment thereof by the testator and the affidavits of the witnesses made before an officer authorized to administer oaths.

(2) Presumption of validity

A self-proved will may be admitted to formal or informal probate (*see infra*) without the testimony of any subscribing witness to establish the will’s execution. If the will is contested, compliance with the signature requirements for execution is **conclusively** presumed. A rebuttable presumption of compliance with the other requirements of execution is raised, unless there is proof of fraud or forgery affecting the acknowledgment or affidavit. §3-406(b).

Example: A self-proved will would preclude a contest based on improper acts in the signing (e.g., in witnessing the testator’s signing, or in the acknowledgment that it was the testator’s signature or will). However, a self-proved will can still be contested on grounds such as undue influence, lack of testamentary capacity, or other requirements for execution.

2. Interested Witness

At common law, a witness who has a direct pecuniary interest under the will is not a competent witness to the will. By statute in most states, the subscribing witness is competent but loses the gift under the will unless there are two other subscribing witnesses who are not benefited thereunder; the rest of the will is still valid. Some state statutes provide that the gift

is void only to the extent that it exceeds the share that the witness would have taken if the decedent had died intestate. Some states hold that the witness's interest invalidates neither the will, nor the gift, but that it may be a factor in determining whether there was undue influence exerted on the testator.

3. Governing Law

A testator may provide in the will that the law of a particular state shall determine the meaning and legal effect of the dispositions in a will. Generally, in the absence of such a provision, real estate is governed by the law of the situs, while personal property is governed by the law of the testator's domicile at death. It is possible then that a will granting land in two or more states could be construed differently in each state.

4. Wills Complying With Law Of Domicile

The common law rule that the law of the situs controls the disposition of real estate has been modified in many states to consider a will disposing of real property in a state not the testator's domicile to be valid as long as it is valid in the state of the testator's domicile.

5. Foreign Wills

A testator may die domiciled in a state other than the state in which the will was executed. The general rule is that a will must meet the requirements of the state in which the testator was domiciled at the time of death. So that if a will had only one witness because that was the requirement in the state in which the will was signed, and the state in which the will was admitted to probate required two witnesses, the will would be held invalid.

Some states have "saving statutes," which allow a will that has been executed out of state to be admitted to probate if it complies with the law of the place of execution at the time the will was executed, or the law of the place where, at the time of the execution or of death, the testator was domiciled, had a place of abode, or was a national.

6. Holographic Wills

A holographic will is a will in the handwriting of the testator. Under the UPC, a holographic will is valid, whether or not witnessed, if the **signature** and the **material provisions** are in the handwriting of the testator. §2-502. Thus, immaterial parts such as the introductory wording or the date could be printed or stamped. A valid holograph could even be executed on a printed will form if the handwritten portion was sufficient to evidence the testator's will. Official Comment to §2-502. Many states do not recognize unwitnessed holographic wills, and in the few states that do, even immaterial parts are required to be in the testator's handwriting.

7. Writings Intended As Wills

Although a document, or writing added upon a document, was not executed with all the required formalities, the writing will be treated as if it has been properly executed if the proponent establishes by **clear and convincing evidence** that the decedent intended the document or writing to constitute:

- a. the decedent's will;

- b. a partial or complete revocation of the will;
- c. an addition or an alteration of the will; or
- d. a partial or complete revival of a formerly revoked will or portion thereof.

UPC §2-503. This is a new section of the UPC, adopted in 1990 and accepted in very few states.

In extreme cases, courts have already followed this rule without a controlling statute. *In re Snide*, 52 N.Y.2d 193, 418 N.E.2d 656, 437 N.Y.S.2d 63 (1981) (the testator and his wife executed identical mutual wills at the same time. However, they each mistakenly signed the other's will. The court remedied the error on the grounds that the mistake and intent were so clear and obvious).

8. Advance Healthcare Directives

a. In general

Advance healthcare directives are instructions concerning what to do regarding an individual's health if he becomes unable to make these decisions in the future. The two most common types are living wills and durable powers of attorney for healthcare.

(1) Living wills

A living will is one in which a person states in advance his wishes regarding the withholding or withdrawing of medical treatment at the end of his life.

(2) Durable powers of attorney for healthcare

Durable healthcare powers are used to appoint an agent to make healthcare related decisions on behalf of the principal. These powers are not effective until the principal becomes incapacitated. Unless it is expressly limited, this durable power of attorney may extend to any and all health related issues. However, the agent is required to act in the principal's best interest after weighing those factors that are likely to have been important to the principal.

b. Clear and convincing evidence

Courts will recognize such a document as a clear indication of the patient's wishes as long as it is in writing, signed by the testator or principal, and witnessed by two adults. The capacity of the testator or principal is presumed. In the absence of a living will, the court will honor the patient's wishes where there is clear and convincing evidence of his desires regarding termination of life support. *Matter of Storar*, 52 N.Y.2d 363, 438 N.Y.S.2d 266, 420 N.E.2d 64 (1981).

c. Patient's intent

However, the mentally handicapped adult in *Storar* could not consent in advance to termination of life support (transfusions), and a third party could not give consent in his stead. The court will consider the circumstances surrounding the patient's expressed intent. In *Matter of O'Connor*, 72 N.Y.2d 517, 534 N.Y.S.2d 886, 531 N.E.2d 607 (1988), the patient had verbally expressed the desire not to be maintained on a life support system, but the court permitted insertion of a feeding tube because it found no clear and convincing

evidence of a solemn declaration regarding the patient's wishes and no specific statement by the patient that she anticipated and rejected tube feeding as a treatment.



BAR EXAM ALERT

State laws regulating the distribution of a decedent's property generally put restrictions on the decedent's ability to reduce his spouse's share in his estate.

C. CODICILS

A codicil is an addition to, or alteration of, a will, and must be executed with the same formalities. Absent contrary language or inconsistency, a codicil modifies rather than replaces the will's provisions. A validly executed codicil republishes the will as of the date of the codicil; thus, the republished will is interpreted according to the law in effect at republication. A validly executed codicil validates an invalid will if the codicil refers to it with sufficient certainty to identify and incorporate it, or if the codicil is on the same paper as the invalid will.

D. DISPOSITION BY OTHER WRITINGS

1. Incorporation By Reference

Most states allow a testator to incorporate by reference a separate document into a will when certain conditions are met. The separate document need not meet the execution requirements for a will. Although not its only use, incorporation could be used to validate an improperly executed will by properly executing a short document incorporating the invalid will.

2. Specific Requirements

The will must adequately identify the separate writing and the document must meet the description in the will. In most states, the will must also refer to the separate document as one in existence at the time of the execution of the will, and the separate document must actually be in existence at the time of execution.

A few states allow the will to refer to a separate document disposing of personalty even though the document is not yet in existence at the time of execution.

E. FACTS OF INDEPENDENT SIGNIFICANCE

A will may dispose of property by reference to acts and events that have significance apart from their effect upon the dispositions made by the will, whether they occur before or after the testator's death. The execution or revocation of another person's will is such an event. However, the independent event does not have to comply with the formal requirements of a will.

Example: A will could transfer “all the contents of a safe deposit box” to a particular beneficiary. Between the time of the execution of the will and the death of the testator, the testator could change the contents of the box without complying with the statutory requirements for wills.

F. CONDITIONAL WILLS AND GIFTS

1. In General

Closely related to the facts of independent significance doctrine is the conditional will or gift allowed in most states by statute or common law. Under the concept of conditional will or gift, a testator may choose to make a particular gift, or a whole will, conditional on the occurrence of a specific event. The condition must be clear on the face of the will, and must comply with the formal requirements for a will. Extrinsic evidence will not be allowed to make a facially valid will conditional.

2. Independence Requirement

Most states also require that the condition be an event independent from the making of the will.

Example: A will might be contingent on the Yankees winning the World Series by a certain date, or upon the birth of a grandchild. But most states will not allow a will contingent on the testator orally granting authority to another to dispose of the testator's property, since the effect of such a condition would be to circumvent the execution requirements.

Since the effect of determining a will or a gift to be invalid is that the property will pass in whole or in part by intestacy, and since courts prefer that property pass by will, courts will strictly construe a provision to determine if it is truly a condition. Most courts when faced with a questionable provision will hold that it is not a condition, but rather merely a statement of the testator's motive for making a will.

Example: If the will states it is conditioned on the Red Sox winning the World Series, because if that happens the testator will drop dead of a heart attack, the court could construe the condition as merely being a statement of inducement. (*See also* “Provisions in Restraint of Marriage,” *infra*.)

G. REVOCATION

1. Revocation By Subsequent Instrument

A will, or any part thereof, is revoked by a subsequent will or other instrument that revokes the prior will, or part of the prior will, expressly or by inconsistency. To effect a revocation, the subsequent document must be properly executed with testamentary formalities. If a later will has no express revocation clause, the court must determine whether the inconsistency constitutes a partial or total revocation of the earlier will. In general, the court will give effect to the last will written since it is the most recent expression of the testator's intent.

2. Dependent Relative Revocation

a. Presumption in favor of old will

In many states, if a testator revokes or destroys an old will with the immediate intention of making a new will, but the new will is not made before the testator's death or is made and fails for some reason, a presumption arises that the testator would have preferred the old will to intestacy.

b. Dependent relative revocation distinguished from revival

Dependent relative revocation differs from **revival** (See "Revival of Revoked Will," *infra*). A question of revival arises when a **second** (or subsequent) will is revoked. In contrast, the equitable doctrine of **dependent relative revocation** applies when the second (or subsequent) will is never made, or fails for some reason.

c. Intent of testator is determinative

The doctrine of dependent relative revocation cannot be invoked in every case in which a subsequent will revokes a prior will but the subsequent will is invalid. A failure of the subsequent will does not revive the will that it revoked, unless there is an adequate showing that the testator intended to revoke the first will only if the second will was valid. The doctrine does not apply where it appears that the intention of the testator was to revoke the first will totally and absolutely or where the testator at the time of destruction of the will merely intended at some indefinite future time to make a new will.

3. Revocation Due To Changed Domestic Circumstances

States vary in their interpretation of the effect a change in the domestic circumstances of the testator will have on a will. A divorce or annulment after the will's execution will generally act as a revocation of any disposition or appointment of property to the ex-spouse of the testator, or any provision nominating the former spouse as executor, trustee or guardian, unless the will expressly provides otherwise. In some states, the death of a beneficiary may act to revoke a will. In some states, a will is completely revoked by marriage, divorce, or birth of a child.

In invoking such a rule, courts have generally reasoned that the change imposed is one the testator would have made had the testator thought about the situation.

4. Revocation By Physical Act

A will may be revoked by a physical act of the testator, or his agent, if certain requirements are met. There are four basic elements to consider when analyzing whether the physical act of a testator has revoked a will:

a. Revocation intent

The testator must intend the physical act to revoke the will. If the testator accidentally uses the will for kindling because it had fallen into the garbage can, the will is not revoked. However, if the testator takes the will out of a safe, and knowingly puts a lighted match to it, the will is revoked.

b. Mental capacity

The mental capacity to revoke a will is the same as the mental capacity to make a will. That mental capacity may be affected by fraud, undue influence, or insanity. Therefore, if the will is destroyed because someone held a gun to the testator's head and threatened to pull the trigger if the will was not burned, or if the testator was handed paper by a third person and told it was scrap paper for kindling when in reality it was the will, there was no revocation.

c. Physical act**(1) In general**

States vary regarding the specific physical acts necessary to revoke a will. Generally, however, the destruction must be sufficient to find that the testator intended the destruction, and was not attempting to modify the will without complying with the execution requirements. Most states recognize burning, tearing, obliterating, and canceling as sufficient to revoke.

The physical act must be apparent on the face of the will. In most states, the act need not destroy the will completely. So that a will burned or torn in one corner, with the appropriate intent and capacity, will be deemed revoked.

(2) Partial revocation

Canceling requires some defacement of the language of the will (e.g., scratching out). An unwitnessed notation signed by the testator declaring the will revoked usually does not suffice. In some states, a partial revocation may take place by crossing out particular clauses. However, if partial revocation by physical act is not recognized by statute, most courts will not recognize an attempted partial revocation and will probate the will in its entirety if possible.

(3) Destruction by proxy

Some states allow the physical act to be done by proxy if done in the testator's presence and at the testator's direction. However, the direction to destroy the will does not act as the revocation if the will is not actually destroyed.

d. Concurrence of elements

As with the elements required for the execution of the will, the three previously listed elements for revocation by physical act must exist at the same time. The testator must have the required intent and capacity at the time the document is revoked.

H. REVIVAL OF REVOKED WILL

A problem arises when the testator revokes a first will upon the execution of a second, and then also revokes the second will. Does the revocation of the second will revive the first?

1. Majority Rule

States differ in their interpretation of the effect on a prior will of the revocation of a subsequent will. In most jurisdictions, if the second will revoked the first will, that revocation of the first will is permanent: the first will ceases to exist. The revocation of the

second will, therefore, can have no effect on the first will. A revival of the first will could only be accomplished by another formally executed expression of testamentary intent to adopt the first will, or a republication of the first will.

2. Minority Rule

The UPC and a minority of states allow the revival of the first will **if** the second will was revoked with the intention of reviving the first will. A very few states hold that the revocation of the second will automatically revives the first will.

I. CONTRACTUAL WILLS

1. Agreement To Make A Will Or Die Intestate

a. In general

A contractual will is one executed pursuant to a separate contract to make a gift, or not to revoke a will. Generally, states require that the contract state clearly the requirements of the will, as such contracts are not favored by most courts. Most states hold that the contract takes effect in the same manner as any other contract (e.g., when there has been a meeting of the minds, consideration, etc.) Some states, by statute, require the contract be written, while others will allow oral contracts covering personal property. The requirements of the Statute of Frauds apply to a contract to make a will.

b. Consideration required

The contract to make a will must be supported by consideration. Frequently, consideration is in the form of services, e.g., a person's abandonment of that person's own home in order to live with and care for the testator, has been held to be valid consideration if bargained for and received. Similarly, an agreement by one person not to contest another's will may be sufficient consideration for the second person's promise to devise property.

c. Breach of contract

If the contract is proven and the testator breached it, an action will lie for specific performance, or for damages. If the contract cannot be proven, the plaintiff may bring an action for the return of the consideration, or, if the consideration consisted of rendering services, for the value of the services in quantum meruit.

2. Joint And Mutual Wills

A **joint will** is a document executed by two or more testators that is intended to serve as the will of each and every person who signed it.

Mutual wills are separate wills executed by two or more persons, with reciprocal provisions for the distribution of assets.

Example: H and W, both having children from previous marriages, marry each other. H executes a will giving W a life estate in his property, with the remainder distributed one-half to H's issue, and one-half to W's issue. W's will, in turn, makes similar provisions for H, with the identical disposition among the issue of H and W.

The execution of a joint or mutual will does not create a presumption of a contract not to revoke the will. Thus, such a will can be freely revoked and its provisions would not be strictly enforceable. However, if there is a contract to make a joint will or mutual wills, some states hold that the contract is irrevocable at the time of death of one of the parties to it.

3. Reciprocal Wills

Reciprocal wills, typically made by spouses, but not restricted to spouses, are wills that contain similar provisions regarding the disposition of property to the other testator. They may be reciprocal regarding the entire estate or they may involve only one gift.

J. CONSTRUCTION PROBLEMS

1. Rules Of Construction

The following UPC rules of construction are typical of various state statutes which, supplemented by case law, assist in interpretation of a will.

a. Testator's intention governs

The intention expressed by a testator in the will controls the legal effect of its provisions. However, the statutory constructional rules discussed below apply unless there is a finding of a contrary intention by the testator. §2-601.

b. After-acquired property

A will is construed to pass all property that the testator owns at death, including property acquired after the execution of the will, and property acquired after the testator's death. A devise of property conveys all the estate of a devisor unless it appears by the will that the testator intended to convey a lesser estate. §2-602.

c. Exercise of power of appointment

A general residuary clause in a will, or a will making general disposition of all of the testator's property, exercises a power of appointment held by the testator only if:

- (1) the power is a general power and the creating instrument does not contain a gift over if the power is not exercised, or
- (2) the will includes the property subject to the power. §2-608. (See "Powers of Appointment" in the MicroMash Trusts and Future Interests outline.)

d. Construction of generic terms

Half bloods, adopted persons, and persons born out of wedlock are included in terms of relationship in wills and in trust instruments in accordance with the rules for determining relationships for purposes of intestate succession. §2-705.

e. Requirement that devisee survive testator by 120 Hours

A devisee who does not survive the testator by 120 hours (five days) is deemed to have predeceased the testator, unless the decedent's will contains language dealing explicitly with simultaneous deaths or deaths in a common disaster, or requiring that the devisee survive the testator for a stated period in order to take under the will. §2-702.

2. Ambiguities

The cardinal rule of construction, embodied in §2-601, is that effect must be given to the **intent of the testator**. If a will is not ambiguous, extrinsic evidence to explain or contradict its terms is inadmissible, even if the will contains legal language that was not likely to have been understood by the testator or that was contrary to the testator's intent expressed orally. In interpretation of a will, the testator's oral statement of intention is inadmissible to prove his intentions.

a. Patent ambiguities

Patent ambiguities appear on the face of the will, and must be resolved within the four corners of the instrument or according to general rules of construction. The general rule is that **extrinsic evidence is not admissible**.

b. Latent ambiguities

Latent ambiguities arise when language of the will, otherwise clear, is applied to the thing given or the person benefited under the will, and some extrinsic fact necessitates interpretation or choice among two or more possible meanings. Where the ambiguity is latent, **extrinsic evidence is admissible** to resolve the ambiguity, e.g., to show who the testator intended should take a devise when there are two organizations with the name mentioned in the will.

3. Integration

Problems of integration arise where there is uncertainty as to precisely what papers and terms were intended to be part of the will at the time of its execution. Generally, this is not a problem, because the pages of a will are ordinarily stapled together, or the writing of the will shows an internal coherence that carries from page to page.

However, if a question of integration does arise, the proponent of the will must show that the will offered for probate is actually the will that the testator intended to make and that no insertions or removals of pages from the will have occurred.

4. Classification Of Legacies And Devises

a. In general

Classification of testamentary dispositions (as specific, demonstrative, general, or residuary) is important in order to determine which dispositions:

- (1) are adeemed by extinction,
- (2) are adeemed by satisfaction, and
- (3) abate if the estate is insufficient.

b. Specific bequests and devises

A specific devise or bequest disposes of an identified item of property owned by the testator (e.g., "Ochreacre to Neil" or "my 50 shares of Genentech to Frank N. Stein").

c. Demonstrative bequests

A demonstrative bequest is a gift (usually of an amount of money), payable primarily from a specified source and, if that is inadequate, then from the general assets of the estate. Any funds that are left over after the bequest is paid become part of the general assets of the estate (e.g., "\$10,000 to A, payable out of my account in X Bank, and if this is insufficient, then out of my other property").

d. General bequests

A general bequest is one payable out of the general assets of the estate, rather than one requiring distribution of or payment from particular assets (e.g., "\$100 to A" or "100 shares of ABC stock to B"). Note that this last example differs from a specific bequest in that the specific disposition refers to a particular 100 shares of ABC stock that are identified by the word "my" as a part of the property of the testator's estate. The general bequest does not identify the stock as property of the estate; the executor could buy any 100 shares of ABC stock (assuming that such stock is publicly traded) and so satisfy the bequest.

e. Residuary dispositions

A residuary disposition is a gift of whatever is left over in the estate after all claims against the estate and all specific, demonstrative, and general dispositions have been satisfied.

5. Ademption By Extinction

a. In general

A testamentary gift is adeemed by extinction, i.e., it fails, when property specifically bequeathed or devised is not in the testator's estate at the time of the testator's death. The ademption may occur by an intentional act on the part of the testator (e.g., a sale or gift), or by an involuntary circumstance (e.g., fire or theft). Ademption occurs even if the property has been exchanged for other property (e.g., if the testator specifically devised Blackacre to X, and then exchanged Blackacre for Whiteacre, the devise of Blackacre would be adeemed by extinction). However, if the testator transferred only a portion of the property devised, the beneficiary would be entitled to the remaining portion.

The gift is not adeemed if only the form of the testator's ownership changed.

Example: If the testator was a co-tenant when the will was executed, but later partitioned the property, the beneficiary would still receive testator's interest.

b. Limitations of ademption

Some states will allow the devisee to collect the insurance proceeds received by the testator, or the estate, if the property was destroyed. Some states allow the devisee to collect the value of the property if it was sold, not by the testator, but by the testator's conservator.

Note that the doctrine of ademption by extinction applies only to property specifically described in the will, and not to general or demonstrative dispositions.

6. Changes In Securities (Accretions)

Dispositions of stock are often troublesome because the stock may have changed in form and number through splits, dividends, mergers, and corporate name changes. While states vary in the details of the dispositions of stock, generally the beneficiary is entitled to any increase in value that is a result of actions taken by the corporate entity. The beneficiary would receive any shares acquired through a stock split, or any shares of another entity received as a result of a merger or sale of the original corporation. The beneficiary is not entitled to any income from the securities that accrued before the death of the testator, but is entitled to any income that accrues between the death of the testator and the distribution of the property. Similarly, the beneficiary suffers any loss in value, and is not entitled to look to the estate to make up the difference between the value of the security at the time of execution and the value at the time of distribution.

The beneficiary is not entitled to any increase in the value of the securities, or any additional stock received by the testator as a result of a reinvestment program.

7. Ademption By Satisfaction

The doctrine of ademption by satisfaction is analogous to the doctrine of advancement in intestate estates. Property that a testator gave inter vivos is treated as a satisfaction. Ademption by satisfaction is not an issue with specific gifts, but may become one with gifts of money. A will may specifically state that no gift made during the testator's lifetime is to be considered in satisfaction of a testamentary gift. Many states require that the will, or a separate document, state that an inter vivos gift is in satisfaction of a bequest. Generally, however, the court will look to the testator's intention to determine if there has been ademption by satisfaction. Courts will look to the circumstances surrounding the inter vivos gift, including whether the gift was made before or after the execution of the will.

When a gift is to a descendent, most courts will presume an inter vivos gift is in satisfaction of a testamentary gift. Such a presumption will not be employed when the gift is to a stranger.

Note that the doctrine of ademption by satisfaction only applies to **gifts** to the beneficiary. Payments made as a result of a legal obligation, or repayment of a debt, are not considered in determining whether a testamentary gift has adeemed.

8. Exoneration

Not infrequently, and especially with real property, the subject of a specific devise may also be the subject of liens, including mortgages. The doctrine of exoneration requires that all liens against a property be removed before distribution.

Most states will give effect to any direction stated in a will regarding the removal of encumbrances. The will may state which debts are to be paid, and can specify which property may be used to pay those debts. However, in the absence of such direction, most states will not order the liens paid.

9. Slayer Statutes

As a matter of public policy, common law prohibits individuals from profiting from murder. A beneficiary who kills the testator is prohibited from inheriting any portion of that testator's estate. In some states the prohibition extends to contractual benefits such as life insurance or annuities.

However, states vary greatly regarding the extent of the prohibition.

Example: Some states require a conviction of murder for the prohibition to be effective, while other states will allow proof of the homicide to be submitted to the probate court even after the beneficiary has been acquitted in a criminal trial. Some states will deny the beneficiary any rights for any homicide, while other states require that the killing be murder, or at least in some way voluntary.

States also vary in the manner in which they dispose of the property the killer would have received. In some states, the property will pass as if the killer had predeceased the decedent. In other states, the law provides that the title passes to the killer, but it will impose a constructive trust for the benefit of the estate.

10. Disclaimers

a. In general

The testator cannot force a beneficiary to accept a gift under the will. The beneficiary may disclaim or renounce the gift for any reason, even to prevent the beneficiary's creditors from gaining access. In most states, the beneficiary's creditors cannot require the beneficiary to accept the devise in the absence of an action on the part of the beneficiary that is inconsistent with renunciation (e.g., failing to file the renunciation within the statutory time limits, accepting the benefits before renunciation, or accepting valuable consideration in return for a promise not to renounce).

A renunciation may be filed for an incapacitated or protected person, or for the estate of a deceased person, by a person with representation authority.

b. Timing

All states and the federal government have enacted statutes that require the beneficiary to renounce the gift within a specified period. The beneficiary must give written notice of the disclaimer to the personal representative, and to the probate court, for the renunciation to be effective. The federal law requires the renunciation of a present interest subject to federal taxes to be filed within nine months after the decedent's death, or within nine months after the beneficiary has been identified or the interest has vested. Any beneficiary who is under the age of 21 has until nine months after his 21st birthday to make a disclaimer. In addition, a surviving joint tenant may only disclaim his interest within nine months after it was created.

c. Requirements

A renunciation must be **unqualified** and **irrevocable**. It must also be filed before the beneficiary has accepted the gift renounced. Once a beneficiary has received any of the benefits of the gift to be renounced, that gift is deemed accepted and cannot be disclaimed.

(1) Acceptance

The question of what constitutes acceptance has arisen frequently and states vary in their resolutions of the problems. However, states generally consider the following variables: the capacity of the beneficiary to accept or reject the gift (e.g., the age and mental stability of the beneficiary), whether the gift would be considered onerous or beneficial, and whether the beneficiary is an individual or a municipal, charitable or corporate entity. In most cases, a beneficiary not an individual will have by-laws or other procedures that must be followed before a gift can be considered accepted.

(2) Presumption for beneficial gifts

In general, courts will presume the acceptance of a beneficial gift, but place the burden of proving the acceptance of an onerous gift on those asserting acceptance. 80 Am. Jur.2d, *Wills*, §1600.

d. Effect of disclaimer

States vary in their approach to the disposition of a testamentary gift that has been renounced. The majority view is expressed in the UPC, which states that if the decedent has not provided for an alternative disposition, the renouncing person is deemed to have predeceased the decedent. Thus the property would usually pass under the residuary clause, by intestacy, or according to the provisions of the applicable anti-lapse statute. The disclaiming beneficiary may not direct who will receive the property. (Such an act would be inconsistent with the renunciation.) Any future interest that takes effect after the termination of the renounced interest will take effect as if the person renouncing had died before the event determining the taker. A renunciation relates back for all purposes to the date of the decedent's death or of the determinative event. §2-801(d)(1).

The renunciation is also binding upon all persons claiming through the renouncing party. §2-801(d)(3).

11. Simultaneous Deaths

a. Applicability of uniform simultaneous death act

Occasionally, usually as the result of a common disaster, it is not possible to determine whether a testator outlived a person mentioned in his will, and hence it cannot be determined whether a legacy has lapsed.

Example: T has named his good friend X in his will. T and X are both killed in an airplane crash and it cannot be determined if X outlived T (in which event X's estate would be entitled to the legacy), or if T outlived X (in which event the legacy would usually lapse).

The Uniform Simultaneous Death Act, which has been adopted in most states, covers this and other types of problems wherein ownership of property turns on the priority of death. The Act applies only where there is no sufficient evidence that the parties died other than simultaneously. Furthermore, the Act does not apply where a will, deed, or insurance contract provides for a different distribution.

b. Owner and beneficiary die

If the owner of property and the would-be legatee or beneficiary of such property die, and there is no sufficient evidence as to the priority of death, the property is disposed of as if the owner had survived. Thus, in the hypothetical above involving X and T, T would be deemed to have survived and the legacy to X would lapse (unless the anti-lapse statute applies; see “Lapsed Legacies,” *infra*).

c. All beneficiaries die

Where a testamentary disposition of property depends upon the priority of death of the designated beneficiaries and there is no sufficient evidence that they died other than simultaneously, the property is divided into as many shares as there were beneficiaries, and the shares are distributed equally to the beneficiaries' estates.

Example: T left property “to the survivor of my sons A, B, and C.” A, B, and C die under such circumstances that the priority of death cannot be ascertained. The property will pass equally through the estates of A, B and C.

d. Joint tenants die

Where there is no sufficient evidence that two joint tenants died otherwise than simultaneously, the property so held is distributed one-half as if one had survived and one-half as if the other had survived. If there are more than two joint tenants and all have died simultaneously, the property is distributed in as many equal shares as there were tenants.

e. Insured and beneficiary die

Where the decedents are the insured and the beneficiary in a life or accident insurance policy, and there is no sufficient evidence that they have died other than simultaneously, the proceeds of the policy are distributed as if the insured had survived the beneficiary.

12. Abatement

The problem of abatement arises where the assets of the testator's estate are insufficient to pay creditors and the devises made in the will. A testator may indicate in the will the order in which the assets of the estate are to be paid toward debts charged to the estate. If the will says nothing to the contrary, the shares of distributees abate, in the following order:

- a. Intestate property,
- b. Residuary devises,
- c. General devises,
- d. Specific devises.

(The term “devise” refers to testamentary gifts of **both** personal and real property.)

In some states, within each class, gifts of personal property will abate before gifts of real property.

13. Lapsed Legacies

a. Common-law lapse

Under the common law, a legacy or devise to a person who predeceased the testator lapsed, or failed. In the absence of an alternate beneficiary, the lapsed devise fell into the residue of the testator's estate, and if there was no residuary clause, the property passed intestate.

b. Anti-lapse statute

(1) In general

Many states have enacted anti-lapse statutes under which certain gifts that would have failed pass to the surviving descendants of the devisee.

Example: A left \$10,000 to his son X, but X died in the same plane crash that killed A. X's children will receive the \$10,000.

States vary in the extent to which the anti-lapse statute will save a gift. In some states, the gift will pass to the heirs of the deceased beneficiary only if the beneficiary was a lineal descendent of the testator, while in other states the gift will be saved if there was any lineal relationship between the deceased beneficiary and the testator. Some states have expanded the statute to include gifts to anyone. Generally, however, devisees related to the testator by affinity are not included. States also vary in their treatment of stepchildren of both the testator and the beneficiary.

In most states, whether the beneficiary has survived the testator is determined under the Simultaneous Death Act. (See "Simultaneous Death Act," *supra*.)

(2) Substitute gifts

The testator may avoid the effects of the anti-lapse statute by making a substitute gift or by specifying the gift should lapse. Courts will give effect to the testator's intent when it is discernible.

(3) Creditors' rights

The creditors of a deceased devisee cannot reach the devised property. It passes directly from testator to the substituted taker.

c. Lapse and class gifts

States vary in their approach to the effect an anti-lapse statute will have on class gifts. In some states, the death of a member of the class before the death of the testator will not affect the determination of the class, and the surviving class members will inherit a proportionately larger share. In other states, the anti-lapse statute will apply and the heirs of the deceased class member will inherit that member's share.

14. Class Gifts

a. In general

A class gift exists when a testator makes a gift to a number of persons as a group and the group may either increase or decrease in number. Traditionally, to qualify as a class, the

individuals had to be a natural group with the same relationship to the testator (e.g., “my children”). Some cases, however, have held that a gift to several named individuals even of diverse relationships may constitute a class gift if that was the testator’s intent. Existence of a class gift is a question of testamentary intent to be resolved from the whole will as well as circumstances known to the testator at execution.

(1) Immediate gifts

If the gift is an **immediate** gift (i.e., at testator’s death), the class closes at testator’s death if any members of the class are then in existence (e.g., if the will bequeaths \$10,000 to each of the testator’s children, the class closes at testator’s death).

(2) Postponed gifts

If the gift is **postponed**, the class will remain open until the time set for distribution (e.g., if testator devises property to his wife for life and then equally to his wife’s children, the class closes at the wife’s death, not testator’s). The time at which a class closes is discussed in more detail in subsection (c), *infra*. (See Trusts and Future Interests chapter for a further discussion of class gifts.)

b. Construction of terms in class gifts

Often at issue in the interpretation of class gifts is the testator’s intention to include certain individuals who, at early common law, would have been excluded.

Example: States vary in their interpretation of the terms “children” or “siblings.” Most states will include adopted children, siblings of the half-blood, and children born out of wedlock, while others will exclude some or all of those groups. UPC states will include a child born out of wedlock in a gift to “the children of X” only if the child lived while a minor as a regular member of X’s household. Courts will generally first look to the intent of the testator and apply the local rules of interpretation only in the absence of evidence of such intention.

c. Closing of class (maximum membership)

If a class gift to a general group such as children, sisters, and the like, is contained in a will, and the will does not specify when the class is to close, the following rules of construction are used to determine when the class closes, i.e., when the maximum membership has been reached.

Generally, the courts employ the “rule of convenience,” i.e., a person must be born before the period of distribution in order to share in a class gift.

- (1) If the gift is an immediate gift, the class closes at the death of the testator. (This is also the time set for distribution of an immediate gift.) Thus, if T bequeaths \$10,000 to the children of A, the class closes at T’s death; and only those children of A living, or born within the gestation period thereafter, will take. Should A have no children that so qualify, the general rule is that the closing will be postponed so that all of A’s children born after T’s death will be included; otherwise, the entire gift would fail. However, should the gift be per capita, i.e., \$1,000 to each child of A, and no children were living at T’s

death, the entire gift must fail. The reason for this is simply a practical one; to let in all the children, as was done in the preceding situation, would delay distribution of T's entire estate.

- (2) If the gift is postponed, ordinarily there will be no inconvenience involved in allowing the class to remain open until the time set for distribution. Hence, the closing is not at T's death but at the distribution date. Thus, if T devises property to A for life, remainder equally to A's children, the time for closing the class is not at T's death, but at the time for distribution, namely, the death of A.

However, where the testator devises property to the children of A, each child to receive a share upon attaining the age of 21, the class is closed when the first child reaches 21. This is necessary in order that his share may be determined and allotted at the time stated for its distribution. Again, where per capita gifts are concerned, even if the gift is postponed, the general view is that the class must close at the testator's death, whether or not there are members of the class in existence at that time.

K. WILL CONTESTS

1. In General

In a will contest, a person interested in the distribution of the estate objects to the admission of the will to probate on the ground that the will is for some reason invalid. If the contesting party is successful in preventing the will from being admitted, and there is no other will in effect, the estate is distributed as if the creator of the will died intestate.

If a valid will that has not been revoked exists, the fact that another or later will was invalid for one or more of the grounds below will not prevent the earlier valid will from being admitted to probate.

a. Grounds

The grounds for contest of a properly executed will are generally:

- (1) lack of testamentary capacity; (see "Capacity to Make a Will," *supra*)
- (2) undue influence;
- (3) fraud; and
- (4) mistake.

b. Burden of proof

In contested cases, petitioners who seek to establish intestacy usually have the burden of establishing prima facie proof of death, venue, and heirship. In most states, proponents of a will have the burden of establishing prima facie proof of due execution. States, however, vary regarding who must prove other aspects of validity. In some states, contestants of a will have the burden of establishing lack of testamentary intent or capacity, undue influence, fraud, duress, mistake or revocation. Parties usually have the ultimate burden of persuasion as to matters with respect to which they have the initial burden of proof.

2. Undue Influence

a. In general

The issue of undue influence is closely related to the requirement of testamentary capacity. As discussed earlier in this outline, a testator must understand the purpose of a will and must know the natural objects of his bounty. Undue influence is the term used to describe the actions of another person that impinge on the testator's testamentary capacity. If the will, or any portion of the will, is the result of undue influence, the will, or the affected portion of the will, is invalid.

b. Any type of coercion

Any species of coercion, whether mental, physical or moral, which subverts the sound judgment and genuine desire of the individual constitutes undue influence. The coercion must be exerted to the extent that the testator has been overpowered; mere flattery or solicitation is insufficient. The influence must be such that the testator lacks free will and has become merely an agent of the person exerting the influence.

c. Circumstantial evidence

As a general rule, direct evidence of undue influence is rare. Improper influence takes place in private, and in most cases the only witnesses are either dead, or are unscrupulous individuals whose testimony is unreliable. The court will, therefore, look to circumstantial evidence such as the relationship between the person exerting the influence and the testator, the testator's general physical and mental state, and the apparent success of the person exerting the influence: if the will does not comply with the wishes of the source of the undue influence, it is difficult to find that the testator's mental capacity was impaired. If the person who allegedly exerted the undue influence stood in a confidential or fiduciary relationship to the testator, the will is more closely scrutinized and other circumstances indicating the testator's susceptibility to influence will support a finding of undue influence.

The burden of proving undue influence rests on the contestant.

3. Fraud

a. In general

Fraud acts to deceive the testator with respect to the true state of things while allowing the testator to act freely. There are two types of fraud:

(1) In the inducement

Fraud in the inducement is established upon proof that a beneficiary knowingly made a false representation to the testator to induce the testator to draw a will in the beneficiary's favor, and that the testator did so as a result of the fraud.

Example: B, a bigamist, purports to marry A, who leaves half her estate "to my husband, B." A would not have made the bequest if she had known she was not legally married, and therefore the bequest will be void.

(2) In the execution

Fraud in the execution is fraud as to the very nature of an instrument or its contents, e.g., an attorney deceives a testator who is blind as to the contents of the will.

b. Remedies for fraud and undue influence

An heir who objects to the provisions of a will on the basis of fraud or undue influence should contest the probate of the will.

If fraud or undue influence is alleged with respect to only a part of the will, the court may reject that part and admit the rest to probate. The legacy void due to fraud or undue influence then falls into the residue, or, if there is no residuary clause, passes by intestacy. If the entire will is tainted, all the property will pass by intestacy.

However, if the fraud alleged prevented the execution of a valid will in favor of the plaintiff, two possible remedies are available. The plaintiff can:

- (1) sue the wrongdoer in tort for damages, or
- (2) can sue for the imposition of a constructive trust on the proceeds that the wrongdoer received as a result of wrongfully preventing the execution of a will in favor of the plaintiff.

4. Mistake

a. Distinguished from fraud

Mistake may be distinguished from fraud by the lack of intent to deceive the testator. Mistake may arise from an innocent misrepresentation, or from a misunderstanding on the part of the testator. The resulting will may be the same as if fraud were involved, however, the resolution in the court will be quite different.

b. In the inducement

Mistake in the inducement is a mistake as to facts outside the will which induce the testator to dispose of property in a certain manner: for example, mistake as to the value of one's property, mistake as to the amount of loans and advancements made to beneficiaries, mistake as to whether the natural object of one's bounty is living or dead. The provisions of a will are not set aside for mistake in the inducement.

c. In the factum

Mistake in the factum relates to a mistake in the will itself (e.g., an erroneous identification of a beneficiary, or the testator did not know that the document signed was a will). A will may not be reformed for mistake in the factum in the same manner as a contract. However, if the mistake goes to the testator's testamentary capacity, the will may be held invalid.

Example: If the testator mistakenly referred to the beneficiary as "my spouse," but the marriage was invalid, the will may not be reformed or declared invalid simply because the testator did not understand the legal relationship involved. Similarly, if the testator bequeathed property to an individual the testator believed was the child of the testator, in the absence of fraud or undue influence, the gift will not be invalid.

On the other hand, if the testator signed a document believing the document was something other than a will (e.g., a contract to buy peanuts) the will may be held invalid for lack of testamentary capacity. (See "Testamentary Capacity," *supra*.)

5. No Contest Clauses

A testator may include a provision requiring any beneficiary who contests the will to forfeit the gift. Many jurisdictions invalidate such "no contest" or "*in terrorem*" clauses as against public policy where the contest was made in good faith and for justifiable reasons. A petition by a beneficiary for interpretation of a will does not invoke an *in terrorem* clause.

6. Standing To Contest

a. In general

The UPC allows an interested person to contest a will. However, the statute's definition of such a person is rather vague. §1-201(24). Case law generally holds that an interested person is one who has a pecuniary interest in the matter. The party contesting the will must stand to gain financially.

Example: Someone who would take more under the intestacy statutes would be deemed to have a pecuniary interest. A party to a contract which called for the testator to make a certain testamentary disposition would also have a pecuniary interest.

If the will contest would cause the property to escheat to the state, the state may contest. However, the state may not contest in order to increase the amount of estate tax it would otherwise collect. *Page on Wills* §26.53. If the contest would cause the contestant to take less, most states will not grant standing.

The person contesting the will must have more than an expectancy interest.

Example: If a grandchild claims part of the estate through his parent (as in a gift "to my son, but if my son predeceases me to his son"), the grandchild must first prove that his parent is dead. *Page on Wills* §26.57. If the party contesting the will dies before the matter is settled, the heirs of that party inherit the right to sue. *Page on Wills* §26.58.

b. Effect of subsequent will

If a second will gives less than a prior will, and the prior will is still valid, a devisee under the first will may contest the second will. Beneficiaries under a first will, but not a second will, cannot contest the third will. A trustee may contest a later will under which those who would have been his beneficiaries under the first will are not included. *Page on Wills* §26.54.

c. Creditors' rights

States are split on whether general creditors (as distinguished from judgment creditors) can sue since their rights could be classified as an expectancy. In most states, however, a creditor of an heir who has placed a lien on the decedent's property in the expectation that the heir will receive the property, may contest the will if it devises the property away from the debtor. A creditor of the decedent may not contest the will because such an action will make no difference. The creditor will be paid regardless of the existence of the will. *Page on Wills* §26.60.

d. Estoppel

Any action that is inconsistent with the theory that the will is invalid will prevent the party taking that action from contesting the will.

Example: The party may contract away the right to sue. Actions that mislead the other parties, such as hiding a valid will, will prevent that party from bringing an action. A party who has already accepted full benefits under the will, may not then be heard to say the will is invalid. *Page on Wills* §§26.63-6.

L. WILL SUBSTITUTES

1. In General

In addition to wills and laws of intestate succession, there are numerous other methods of transferring property at death. These various methods are often known collectively as **will substitutes** or **non-probate transfers**.

There are several reasons a person might prefer to have property transferred at death in a manner other than by will or under intestacy. The process of probating a will and administering a probate estate can be costly and time-consuming. Heirs may contest the will on any of several grounds. The surviving spouse is entitled to a minimum share in most states, and if devised less, may take an elective (or "forced") share instead of the devise. Creditors of the deceased testator have the right to file claims and to have allowed claims paid before the estate is distributed to devisees. Furthermore, federal and state estate taxes may be levied on property disposed of by will.

Some of these problems may be avoided by inter vivos gifts, although in contrast to a testamentary disposition, the person making the gift loses control over the property before death. A trust, either inter vivos or testamentary, may also be used to transfer property. (See Trusts and Future Interests chapter.)

2. Inter Vivos Gifts And Gifts Causa Mortis

a. Elements of a gift

A gift is a voluntary transfer of property by one person to another without any consideration therefor. Absolute title to the property passes at completion of the gift. A valid gift generally requires three elements:

(1) Present donative intent

The intent must be to make a **present** transfer of ownership, without consideration and not under the influence of fraud or duress. A promise to make a gift in the future is unenforceable unless supported by consideration. A present transfer of a future interest is valid, however, even though the interest will not become possessory until some future time.

A gift ordinarily is absolute and irrevocable. However, three types of conditional gifts are recognized in some states. A gift given in contemplation of marriage, such as an engagement ring, may be revoked if the agreement to marry is breached by the donee or by mutual consent. The donor is entitled to recover the ring or other gift because the condition precedent to its vesting, the marriage, has not occurred. A gift by an infant is subject to a

condition subsequent in that the infant may disaffirm the gift upon attainment of the age of majority. The revocability of a gift *causa mortis* will be discussed *infra*.

(2) Delivery

(a) Actual or constructive

Delivery generally requires actual transfer of the property. Actual transfer of possession is important as an objective manifestation of the donor's intent to make a gift. However, where the subject of the gift is not present or where, due to its nature, it cannot be manually transferred, constructive delivery (e.g., a key to a locked box or a savings passbook) will suffice. The transfer of possession must be as complete as the nature of the property and the circumstances will permit.

(b) Through an agent

The delivery requirement is met if the gift is transferred to an agent of the **donee**. Delivery to the agent of the **donor** does not effectuate delivery to the donee. A third person who takes delivery is presumed to be an agent of the donor unless there is a clear showing that the third person has authority to act as agent of the donee. If effective delivery to the donee is not made by the agent of the donor before the donor's death, the agency and, therefore, the gift are revoked. If there has been a valid delivery by other means, a donor can retain possession of the property by acting merely as the donee's agent for safekeeping.

(c) By deed of gift

Many jurisdictions allow a written deed of gift to satisfy the delivery requirement. This is called "symbolic delivery" because the deed of gift, instead of the property itself, is delivered to the donee. The deed of gift must identify the donee, state the subject matter of the gift, and use present words of grant. Many courts will allow the deed of gift to meet the delivery requirement, however, only if the property was presently unavailable for transfer to the donee.

(3) Acceptance

The donee must accept the gift, but acceptance is presumed unless a clear intent to disclaim is demonstrated. Acceptance is implied where the gift would be beneficial to the donee.

b. Types of gifts

(1) Inter vivos gifts

To make a valid gift *inter vivos*, the donor must part with control of the property during the donor's life, with intent that title pass immediately and irrevocably to the donee. The burden of proving the essential elements of such a gift normally rests upon the party claiming the gift. The following types of property often give rise to questions of whether ownership has been transferred and the delivery requirement met.

(a) Stock certificates

There is a split of authority as to what constitutes a completed gift of shares of corporate stock. Some jurisdictions hold that the entry of the donee's name on the stock certificates and delivery of the certificates to the donee are sufficient to effect the transfer. Other courts

hold that the donee's name must be entered in the corporation's records as the new owner of the shares. This is true in states having statutes that provide that legal title to the shares passes when the new name is registered.

(b) Bonds

The ownership of bearer bonds may be transferred by any form of actual or constructive delivery, such as by a telephone call or note to a custodian who is authorized to deliver the bonds to the donee through such means. A United States Savings Bond, however, is not effectively transferred until the new owner's name is registered.

(c) Automobiles

Delivery of the keys to an automobile is not sufficient to effect a gift. The donor must assign and deliver the title to the donee, and the donee must be registered as the new owner with the state's title registry.

(d) Bank accounts

The donor may effect a gift by opening an account in the name of the donee. A gift may also be created by the opening of an account in the names of the donor and the donee jointly. In either case, the contractual obligation of the bank to pay the donee satisfies the delivery requirement.

The issue of donative intent in the opening of a joint account may be a difficult question for the trier of fact. The presumption may be that the transaction was arranged for the convenience of the depositor where only one of the joint tenants furnishes most or all of the deposit money and the depositor is elderly or an invalid and cannot easily manage financial matters. Circumstances that would also weigh against the finding of a gift include the depositor's keeping the bank book, making withdrawals or paying taxes on the interest. In states that have adopted the Uniform Probate Code, some of these issues are resolved by statute. (See "Joint Accounts," *infra*.)

(e) Safe deposit boxes

Control over the contents of a bank safe deposit box cannot be transferred merely by the delivery of the donor's key to the donee. Usually it is necessary for the donee to be signed in to the vault area. Until the donor arranges for the donee to be admitted by the bank into the vault, the donee does not have dominion over the contents of the safe deposit box.

If a safe deposit box is rented jointly, there is no presumption of a gift to the other joint tenant of any property placed in the box by either party.

(2) Gifts causa mortis

(a) In general

A gift causa mortis is a gift of personal property made by the donor in anticipation of imminent death from a specific cause, such as an illness from which the donor is then suffering. The gift may not be revoked by the donor's will; the gift passes outside the probate estate. Revocation of the gift is automatic if the donor does not die as anticipated.

(b) Anticipation of imminent death required

There is no gift causa mortis if the donor is acting under only a general fear of impending death but is in good health at the time. The fear that death **may** result from an operation or misadventure is not the same as the expectation that death is imminent. As long as the gift is made in anticipation of imminent death from an illness or injury from which the donor is then suffering, the gift is not defeated if the donor actually dies from a different but related cause.

The policy of the law is against encouragement of gifts causa mortis because they are essentially testamentary yet without the statutory requirements that attend the making of a testamentary gift. Therefore, all the requisites of a valid inter vivos gift must also be present and shown by clear evidence in order to prevent fraud and perjury. The donor must intend the gift to take effect immediately; a promise to pass property at death does not constitute a gift causa mortis and is subject to the statute of wills. The present donative intent must be evidenced by delivery, either actual or constructive.

Example: Dan tells his friend that he is entering the hospital for some tests and expects to be home in a week to ten days. Just to be safe, Dan tells his friend, "If anything happens to me, please make sure the money in my savings account goes to my sister." Dan dies of a sudden heart attack while in the hospital. Result: No gift because of lack of present donative intent, effective delivery, or anticipation of death.

c. Gifts to minors

Although minors may hold title to property in their own capacity, the Uniform Gifts to Minors Act, and the newer Uniform Transfers to Minors Act, now in effect in a majority of jurisdictions, recognize that a donor may not wish to allow the minor donee to have full use or control of a substantial gift of money or securities.

(1) Title, registration, and possession

Title to the property that is the subject of a gift under the Uniform Act vests in the minor at the time the gift is made. However, the donor delivers possession and control of the property to a custodian. The property, such as a bank account or registered securities, is registered in the name of the custodian as custodian for the minor. Property that cannot be registered is given to the custodian in return for a written acknowledgment that the property is held for the minor.

(2) Choice of custodian

There may be only one custodian for each gift. The custodian may be the donor, any other adult, including but not limited to an adult member of the minor's family or the guardian of the minor, or a trust company. The custodian may resign or may be removed upon petition of an adult member of the minor's family, the minor's guardian, or by the minor after the age of 14.

(3) Duties of custodian

Like a trustee, the custodian must manage and invest or reinvest the property as would a prudent investor seeking both preservation of capital and reasonable income. The custodian is not an insurer of the property and is not liable for the losses incurred in good faith, such as

by retention of securities chosen by the donor. The custodian is entitled to reasonable compensation.

(4) Payment and distribution

The custodian may pay, or may be required by the court to pay upon petition of a parent or guardian or of the minor upon reaching the age of 14, as much of the property or its income as the custodian deems advisable for the support, care, and education of the minor before the age of majority. Distribution to the minor must be made at the age of majority, age 21.

3. Joint Tenancy And Multiple-Party Accounts

a. In general

In a joint tenancy and tenancy by the entirety (discussed in the Multistate Real Property text), two parties (or more than two, except in a tenancy by the entirety), either expressly or by operation of law, have an express or implied contract in which ownership vests in the survivor(s) without the necessity for legal proceedings. The decedent's interest passes by operation of law.

Similarly, joint accounts with right of survivorship exist for accounts held by financial institutions. A multiple party account is essentially a contract with the financial institution, and is governed by the terms of the contract between the financial institution and the account holder(s). However, such accounts have led to extensive litigation with respect to whether they are testamentary in nature. An account held to be testamentary in nature will require the formalities of a will and will be accessible to creditors of the estate.

b. Joint accounts

A joint account is one that is payable to any depositor. It may also be made payable to the survivor on the death of another depositor in which case the entire proceeds of the account, regardless of which depositor originally owned the money, will pass to the survivor. The account will not be included in the estate of the deceased and will not be subject to probate.

It is important to distinguish a joint account from an account of convenience. An account of convenience is one established to allow one party to make payments from the account of another merely because it is more convenient to do so.

Example: Elderly people often establish accounts of convenience to allow others to pay the bills of the elderly person. Unless there is a specific clause in the contract with the financial institution, such an account is not a joint account and upon the death of the "real owner," the proceeds will pass to the decedent's estate for probate.

States vary on whether the creditors of the deceased have rights in the property held in a joint account.

c. Payable on death (P.O.D.) accounts

A P.O.D. (payable on death) account is an account that is payable on request to one person, and payable on the person's death to one or more payees. If the account is payable on request to two or more parties during their lifetimes, it is payable to the P.O.D. payees only on the deaths of **all** the parties.

In a typical P.O.D. account, held as "A, payable on death to B," the funds pass to B automatically at the time of A's death. As with joint accounts, P.O.D. account funds do not pass through the probate estate of the decedent party. Creditors have the same rights upon a party's death as they do in a joint account.

d. Trust accounts

The savings account trust is one type of inter vivos trust that may be used as a substitute for a will. A settlor may create a savings account trust by depositing money in a bank in the name of "A, in trust for B." This is known as a **Totten trust** and is recognized in a majority of states. Generally, the depositor must sign a statement giving the name and residence of the beneficiary. The settlor may keep the bankbook, make withdrawals, and need not give notice to the beneficiary. The trust is revocable until the settlor dies, at which time the balance vests in the beneficiary. In many states, however, the account can be reached by the decedent's creditors, or by a surviving spouse under the right of election. Some states have formulated a flexible rule based on the equities of the situation. The *Restatement (Second) of Trusts* §58, Comment e, provides that the surviving spouse of a person who creates a tentative savings account trust can include the deposit in computing the statutory share to which the surviving spouse is entitled. (See "Spouse's Forced or Elective Shares," *infra*.)

4. Other Non-Probate Transfers

Among the other non-probate transfers available are life insurance policies, inter vivos trusts, and various third party beneficiary contracts. States vary as to the regulation, availability, and tax status of each type of transfer. However, each is distinguished from a will by the fact that it is governed by a contract. There is usually a third party involved with the contract, the bank, the government, or the insurance company.

Example: A life insurance contract provides that a person or entity will be paid a sum of money upon the death of the named individual. A can enter into a contract with a life insurance company to pay to B a sum of money upon A's death. However, in some cases, B may contract with the insurance company to receive a sum of money on A's death. In that event, the contract is between B and the insurance company, and A may not vary the terms of the contract.

With each will substitute, payment is determined by the terms of a contract. That contract may be subject to regulation by the state, but generally may be defined as the parties so choose.

M. POWERS AND DUTIES OF PERSONAL REPRESENTATIVE

1. In General

A personal representative (PR) is one appointed by the court, either on the basis of the representative's relationship to the decedent or an appointment specified in the will, or by agreement of the parties to deal with the distribution of the estate. The PR is appointed to represent the interests of all who claim under the will, or by intestacy, regardless of whether or not those interests conflict. A PR is one who is appointed as executor, administrator, or successor personal representative, and persons who perform substantially the same function under the law governing their status. By accepting the appointment the PR submits to the

personal jurisdiction of the court. Some states require the personal representative to post a bond. In many states, the PR is entitled to compensation for services rendered and for reimbursement of costs incurred in the administration of the estate.

2. Termination

The appointment of the PR can terminate on the order of the court, on the death of the personal representative, or on the appointment of a conservator for the personal representative. In most states, the authority of an administrator appointed under the intestacy laws terminates when a will is found.

Upon the termination of the original PR, a successor PR will be chosen by the court. States vary on their approach to the appointment of the successor. Some states will appoint one in the same manner the original was appointed, while others leave the matter to the sound discretion of the court.

3. Powers And Duties

A personal representative's primary duty is to settle and distribute the decedent's estate in accordance with the will. The personal representative is also charged with collecting and managing the estate assets so as to preserve them for the beneficiaries. The collection process includes bringing suit against any of the decedent's debtors.

The PR must then pay the decedent's debts, including taxes, as they become due, and distribute the remaining assets to the beneficiaries or heirs.

The PR must also defend the will against contestants. Some states allow the PR to challenge a later will or codicil, which revokes the authority granted to the PR under an earlier will, or under the laws of intestacy.

4. Liability To Third Parties

Some actions, both in favor of, and against the decedent, survive the death of the decedent. Such actions must be brought by or against the PR as representative for the estate. Some actions, such as those brought under a bond required by statute or by the court, must be brought against the PR individually, even though the bond was required to protect the estate.

The PR will be individually liable for any illegal or tortious conduct that occurs during the administration of the estate.

IV. FAMILY PROTECTION

A. SPOUSE'S FORCED OR ELECTIVE SHARES

1. In General

State law restricts the decedent's ability to reduce the surviving spouse's share in the estate. The law also protects the spouse omitted from a will because the marriage took place after the execution of the will.

A surviving spouse has the right to decline to take the benefits given under the will and instead to elect to take the share given by statute (the "elective share" or "forced share"). In many states the right of election protects the surviving spouse from disinheritance by inter

vivos transfers as well as by testamentary provisions, and thus the election is available against an intestate estate as well as a testate estate. The elective share is calculated on what is generally called the "augmented estate."

2. Size Of Elective Share

The size of the elective share varies by state and by the circumstances in the individual case. Typically, the surviving spouse of a marriage with no children is entitled to an amount equal to one-third or one-half of the estate. If there are surviving children of the marriage the elective share may be smaller. Similarly, if the decedent had children from another relationship, the surviving spouse's share may be affected. In some states the number of children or the length of the marriage will effect the size of the surviving spouse's share.

3. Assets Subject To Share

The definition of the estate subject to share is very state specific. Most states will include the entire probate estate, and some states will include other assets. In some states, the expenses of the last illness and the funeral expenses are subtracted before the surviving spouse's share can be determined. Some states include in the estate subject to share, will substitutes such as joint accounts, gifts causa mortis, and Totten trusts. Some statutes also call for certain inter vivos transfers to third parties to be included in the estate when computing the surviving spouse's share.

Some states require that transfers and gifts from the decedent to the surviving spouse be deducted either from the assets subject to share or from the elective share.

4. Exercise Of Right Of Election

a. In general

The surviving spouse is required to choose between taking under the will and taking under the statute. The election is required even if some of the testator's property does not pass under the will.

b. Timing of the election

In most states the election must be made during the lifetime of the surviving spouse. Some states allow the personal representative of the surviving spouse to complete the formalities of the election after the death of the surviving spouse. Some states will allow the personal representative of the surviving spouse to make the election after the death of the surviving spouse.

c. Election made by the court for incompetent spouse

In most states the conservator, or similar representative of an incompetent surviving spouse may not exercise the right of election. Such election must be made by a court on behalf of the incompetent spouse. In making the decision, the court will follow the best interest of the incompetent test.

The right to take against the will may be waived by the surviving spouse after the death of the testator, or in a prenuptial agreement.

5. Effect Of Divorce On Right Of Election

In most states a divorce subsequent to the execution of the will voids any gift to the former spouse. However, a gift under a will executed after the final divorce is valid in the same manner as a gift to any person not a member of the decedent's family. The former spouse, however, does not retain the right of election after the divorce.

It is important in determining the date of the execution of the will to check for republication in a subsequent will or codicil.

B. SHARE OF AFTER-BORN OR PRETERMITTED CHILD

1. In General

Under the common law, the birth of a child after the execution of a will had no effect, and the child inherited nothing under the will. Today, most states have statutes that modify the common law. Such statutes usually also include posthumous children. However, the effect of an after-born or posthumous child born out of wedlock varies among the states. The after-born child born out of wedlock usually depends on the statute governing the right of the out of wedlock child to inherit under the intestate laws.

a. Treatment of the will

Most statutes regarding omitted children fall into one of two categories. Some statutes state that the entire will is revoked upon the birth of the child, while others merely hold the will inoperative as to the omitted child. The theory behind all such statutes is that had the testator considered the matter, the child would not have been omitted. The statutes are intended, therefore, to give effect to the presumed intentions of the testator.

b. Omission based on mistake

States do not agree as to the effect of the omission of a child from a will based on a mistake. Some states distinguish between an omission based on a mistake in the preparation of a will, and an omission based on an erroneously held belief (e.g., the child is dead or has committed a heinous offense). In most states that make such distinctions, the courts will give a share to a child omitted because of a mistake in the preparation of the will. However, a child omitted because of a mistaken belief is held to be intentionally omitted.

Most states that have considered the question have held that statutes that give a share of the estate to an omitted biological child also give a share to an omitted adopted child.

2. Size Of The Omitted Child's Share

Most jurisdictions call for the omitted child to receive a share of the estate equal to the share the child would have received had the testator died intestate. If the will is not declared revoked by statute, the shares of the devisees under the will abate in order to provide for the omitted child.

3. Exceptions

Generally, the statute governing the omitted child will not apply if the will was made in contemplation of the birth of the child, contains a provision for after-born children, or there is

sufficient evidence to show the omission was intentional. However, the specific circumstances required before the statute will not apply vary considerably among the states.

C. FAMILY ALLOWANCE, HOMESTEAD, AND EXEMPT PROPERTY

1. Family Allowance

a. In general

As a practical matter, probate of an estate can take a long time. Most states have made provisions for the support of the testator's family during the period of probate. In most states, the surviving spouse and children are entitled to a statutorily set payment. Depending on the statute, the payment may be periodic, or may be by lump sum. Statutes providing for periodic payments often set a time limit. The family allowance is often paid before any debts of the estate to third parties, and before any distribution is made.

States vary greatly in the details governing the family allowance.

Example: In some states the allowance is a mandatory obligation of the estate, while in others the executor has the discretion to withhold payments if the surviving spouse is self-supporting. However, in states where the payment is mandatory, the surviving spouse's creditors can often reach the assets used to pay the allowance.

b. Who may receive a family allowance

The right to receive the family allowance is based solely in the local statute. As a general rule, the spouse will be able to collect, as will any minor children who relied on the decedent for support. Many states now extend the right to children born out of wedlock. Some states also grant a family allowance to any member of the decedent's household at the time of the decedent's death, including minor stepchildren and the parents of decedent.

States vary regarding the effect a separation of the testator and the surviving spouse will have on the surviving spouse's right to receive a family allowance. In general, courts will look to the reason for the separation (e.g., was it justified), whether there is a separation agreement waiving the right to the family allowance, and the degree to which the surviving spouse depended on the testator.

In most states, the right to a family allowance for the surviving spouse may be waived in a prenuptial agreement. However, many states will not allow the family allowance for the benefit of minor children to be waived.

c. Amount of family allowance

In those states in which the amount of the family allowance is discretionary, the court or personal representative must take into account a variety of factors related to both the estate and the beneficiary. Considerations include the size of the estate, the condition and liquidity of the estate, and the needs of the beneficiary. Among the facts to be considered in determining the needs of the beneficiary are the beneficiary's income, health, and standard of living prior to the death of the testator. In the case of minor children, the court may also look to whether they have adequate alternative means of support (e.g., whether the surviving

spouse, or whether the child's other parent to whom the testator was not married at death, can support the child).

2. Homestead Allowance

A homestead allowance is that portion of the estate set aside for the benefit of the surviving spouse, and often the minor children, to protect their rights in the family home. Property so protected may not be reached by creditors of the estate.

The protection afforded to the surviving spouse and minor children is based solely on statute. The specific rights protected, and the manner in which they are protected, varies considerably among the states.

Example: In many states, the testator must have died owning real property, and the surviving spouse may not receive a cash equivalent. In some states, the surviving spouse will take a fee simple in the real estate, while in other states, the surviving spouse will only receive a life estate. When the homestead allowance is available, the right of the surviving spouse to remain in the home is superior to all third parties, which may include the new true owners under the will.

Like the family allowance, the homestead allowance is in addition to any share passing to the beneficiaries.

3. Exempt Property

Many states have statutes that protect some personal property from creditors. Unlike the non-exempt property of the decedent, the title to the exempt property does not vest on the death of the testator in the executor, but vests immediately in the surviving spouse or minor children. As a result, the property never becomes an estate asset.

The specific property protected depends on the statute. Such laws typically cover personal items such as jewelry, a car, books, clothing, and furniture. Some states set a limit on the monetary value of property that passes as exempt property.

Like the homestead and family allowances, the right to exempt property may be waived by the surviving spouse either in a prenuptial agreement, or after the death of the testator.

D. LIMITATIONS ON CHARITABLE BEQUESTS

1. Mortmain Acts

In some jurisdictions, the proportion of an estate, which a testator who leaves a spouse, parent, or child may leave to charity is statutorily limited. In some jurisdictions, a will that bequeaths property to charity may be required to have been executed more than a specified time period before the testator's death in order to be effective. These statutes are known as **Mortmain Acts**. Most states impose no limitations on charitable bequests.

2. Violation Of Equal Protection

Many Mortmain statutes have been declared violative of the Fourteenth Amendment's Equal Protection clause. Courts have found the distinction between secular and religious charities, and the distinction between testators who execute their will at different periods before death

to be irrational, and insufficiently related to the legislative purpose, and, therefore, unconstitutional.

Example: The Pennsylvania Supreme Court found such a statute overinclusive, in that it swept within its prohibition many testamentary gifts which did not perpetuate the evils it purported to minimize, and underinclusive since it left unaffected many gifts which did perpetuate such evils. *In Re Estate of Cavill*, 459 Pa. 411, 329 A.2d 503.

E. COMMUNITY PROPERTY

Another limitation on testate or intestate succession is provided in those states that have adopted community property laws. Each spouse has an undivided half-interest in all property acquired by either or both of them during the period of the marriage. Because the surviving spouse's half-interest is not affected by the decedent's will, thus giving the surviving spouse significant protection, states with community property laws are less likely to have statutes prescribing in detail protection for spouses omitted from a will.

F. PROVISIONS IN RESTRAINT OF MARRIAGE

1. In General

Provisions in a will imposing a forfeit of a gift if the beneficiary should ever marry are **invalid** as against public policy. Similarly, a requirement that the beneficiary marry only with the consent of the executors or trustees, who would profit under the terms of the will if consent is withheld, has been held invalid. *Matter of Liberman*, 279 N.Y. 458, 18 N.E.2d 658 (1939).

2. Partial Restraints On Marriage

Most provisions, however, which might initially be viewed as absolute restraints on marriage have been construed as attempts by the testator to provide for a person until marriage, and as such, have been upheld. Conditions in partial restraint of marriage may not be against public policy if they merely impose reasonable restrictions on marriage, or attempt to prevent an ill-advised marriage (e.g., to a specific individual). A provision conditioning a gift upon the beneficiary's not marrying a person outside his own religious group is **valid**.

3. Encouraging Dissolution Of A Valid Marriage

Similarly, most courts hold that a provision in a will conditioning a gift on the beneficiary obtaining a divorce are **invalid** as against public policy. The condition need not state outright that a divorce is required, but if the condition is one that would inevitably encourage the dissolution of a valid marriage, most courts will not sustain the condition. However, there are exceptions to this general rule.

Example: A gift conditioned on the beneficiary being single at the time of the testator's death could be interpreted as a provision to provide support for the beneficiary in the event of the beneficiary's spouse's death. Gifts based on the divorce of spouses already separated at the time of the execution of the will may be upheld in some courts.

In general, gifts conditioned on the beneficiary remaining married have been **upheld**.



MicroMash®

**MULTISTATE ESSAY EXAM REVIEW
FAMILY LAW**

MicroMash® BAR REVIEW
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FAMILY LAW

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FAMILY LAW

I. INTRODUCTION TO FAMILY LAW

Family law, which is also called domestic relations, has traditionally been viewed as an area of law governed exclusively by state statutes and common law. However, the principles of law tend to be similar in many states, thus allowing this topic to be treated on a “national” basis for bar examination purposes.

In the following materials, general principles of law are discussed, as well as majority and minority rules. Uniform Laws, such as the Uniform Marriage and Divorce Act, are discussed where they reflect generally accepted views on the law.

II. CONTROVERSIES ARISING IN ANTICIPATION OF MARRIAGE

A. THE CONTRACT TO MARRY

1. Abolished In Most States

The cause of action for breach of a contract to marry has been abolished in most jurisdictions. In order to preserve the policy decision abolishing this contract right, courts generally have held that tort claims for deceit or misrepresentation or to recover for emotional distress in connection with a breach of a promise to marry are likewise not actionable. Statutes abolishing the action are generally known as anti-heart balm acts.

2. Fraudulent Representations

Anti-heart balm laws do not generally bar actions to recover property that has been transferred in reliance on fraudulent representations of intention to marry.

B. PROPERTY RIGHTS IN GIFTS

1. Gifts Made In Consideration Of Marriage

When a gift is made “in consideration of marriage,” the donor may be able to recover the gift if the marriage does not take place. A gift is made in consideration of marriage when it is given by the donor under circumstances that would indicate it is given subject to a condition subsequent, namely, that the donor and donee would later get married. If the marriage does not take place due to mutual agreement or the fault of the donee, the donor will be able to compel its return.

Example: An engagement ring is ordinarily considered a gift in consideration of marriage (unless the facts indicate to the contrary), and the donor generally will be able to require that it be returned if the marriage does not take place, as long as the marriage is not cancelled due to the fault of the donor.

2. Gifts Not Made In Consideration Of Marriage

If the gift was not made subject to the condition that the donor and donee later marry, normal gift principles apply: title to the property will pass to the donee if the property is delivered by the donor, the donor intends unconditionally to make a gift to the donee at that time, and the donee accepts the property.

C. ANTENUPTIAL AGREEMENTS

1. In General

Antenuptial (or premarital) agreements are contracts made by the parties prior to marriage. The agreement may deal with such matters as rights in the other's estate in the event of the death of one of the spouses, or alimony and property division in the event of a divorce.

Although historically such agreements were viewed as against public policy and thus null and void, in recent years courts and legislatures have recognized the ability of parties to enter into such agreements.

2. Contractual Requirements

Antenuptial agreements are contracts and must meet all of the requirements for valid contracts, although some states provide that there need be no independent consideration outside of the marriage itself. The Statute of Frauds requires an antenuptial agreement to be in writing and to be signed by the party to be charged.

3. Enforceability

In addition to satisfying regular contract principles (i.e., meeting of the minds, no fraud or duress), most states will enforce an antenuptial agreement only under the following circumstances:

- a. There has been a full financial disclosure of income and assets between the parties and the parties acted in good faith;
- b. The agreement was fair and reasonable when made;
- c. Enforcement of the agreement will not result in a grave injustice (Thus, an agreement may be unenforceable where the party against whom the agreement is to be enforced is likely to become a public charge if the agreement is enforced as written.); and
- d. The terms of the agreement do not violate a statute or public policy.

With regard to the last item, an agreement that abrogates the right to spousal support during the marriage or the obligation of a parent to support his minor children during or after the marriage is against public policy and invalid. Similarly, an agreement that concerns custody of children or visitation rights will not be enforced unless the court determines that such provisions are in the best interests of the minor children.

III. RIGHTS OF UNMARRIED COHABITANTS

A. EXPRESS AND IMPLIED CONTRACTS

Some states have followed the principle of *Marvin v. Marvin*, 557 P.2d 106 (Cal. 1976), in recognizing express and implied contracts between cohabitating persons by which they agree to support each other or share property, as long as there is consideration to support the contract other than the furnishing of sexual services. Other states have refused to enforce contracts between nonmarital partners on the basis that such contracts are inconsistent with the state policy of fostering marriage.

Some states will recognize **express** contracts between cohabitating persons but will **not** enforce **implied** contracts because of the risk of fraud in proving the existence of an implied contract.

B. USE OF EQUITABLE REMEDIES

In addition to or in lieu of recognizing contract rights between cohabitating persons, some states will use equitable doctrines such as the imposition of a constructive or resulting trust to prevent fraud or undue enrichment in an appropriate case.

Example: Where A and B cohabited in a nonmarital relationship, and A purchased property and title was taken in A's name alone, but B contributed to the purchase price or to the upkeep of the property, a court may employ equitable principles and impose a trust on a portion of that property in favor of B in order to avoid unjust enrichment of A.

IV. MARRIAGE

A. DEFINITION

1. Fundamental Right Protected By Due Process

A marriage is the civil status or relationship created by the legal union of two persons as husband and wife. The relationship imposes certain duties and responsibilities toward each other and to society for their joint lives, until death or legal termination of the marital relationship. The right to marry is a fundamental individual right protected by principles of due process, and a state may not unreasonably interfere with, or restrict, a person's right to marry. *Zablocki v. Redhail*, 434 U.S. 374 (1978).

2. License And Ceremony

In most states, a marriage license and ceremony are necessary for a valid marriage. In a minority of states, parties may enter into a valid marriage through licensing and ceremony or through common law marriage.

B. PROCEDURAL REQUIREMENTS

1. Marriage License

a. Requirement of marriage license

Persons intending to marry must obtain a marriage license from a local governmental official or from a clerk of court. A license to marry will be valid for a specified number of days from the date of issuance (such as 45 or 60 days).

b. Premarital blood tests

In some states, the parties applying for a marriage license must present with their application formal evidence that they have submitted to a laboratory blood test within a specified period of time prior to the date of the application showing the absence of certain sexually transmitted diseases.

c. Waiting period

Many states impose a short waiting period between the filing of the application for a marriage license and the issuance of the license, although statutes generally permit a judge to waive the waiting period upon request for good cause shown.

d. Defects

An irregularity or an omission in the licensing process will generally not render the marriage invalid if the marriage is consummated by the parties with the full belief of either party that there has been a valid marriage. This doctrine reflects the strong state policy to support the validity of a marriage where parties cohabit following a marriage ceremony in the good faith belief that the relationship is a valid marital relationship. In fact, in some states, participation in a marriage ceremony that appears to have been legally performed creates a presumption that the marriage is valid.

2. Ceremony

a. Performance by authorized official

Once a marriage license is issued, the ceremony may be performed by an authorized official prior to the expiration of the license. State law determines who may solemnize a marriage. Judges, court clerks, justices of the peace, and clergy are generally authorized to perform a marriage ceremony. However, lack of authority on behalf of the official performing the ceremony may not render the marriage invalid if the marriage is consummated by the parties in the full belief by one of them that the official was properly authorized.

b. Proxy marriage

Most states require the physical presence of the parties at a ceremony. A few states have recognized the doctrine of proxy marriage by which one of the parties is represented at the ceremony by a person appointed for that purpose. The doctrine may apply, for example, where a party is unable to be present at the ceremony because of illness or absence from the state or country.

C. COMMON LAW MARRIAGE

1. In General

In a minority of states, a marriage may be entered into, without satisfying the licensing requirements and without a ceremony, through the doctrine of common law marriage.

Generally, a common law marriage will exist when the parties:

- a. **Intend** to enter into a “husband and wife” relationship;
- b. **Cohabit** with each other;
- c. **Represent or hold themselves out** in the community to be “husband and wife;” and
- d. **Have legal capacity** to enter into a marital relationship.

2. Intent

These relationships are sometimes referred to as “*marriages per verba de praesenti*,” because the common law requirements included some form of exchange of vows or **present intentions** to be husband and wife. *U.S. v. Dorto*, 5 F.2d 596 (1st Cir. 1925). The parties must mutually consent and contract to become husband and wife at present, not upon the happening of some future, intervening event. There must be a present assumption of the marital status rather than an agreement for a future union.

It is not necessary that the words of present intent be actually spoken. A writing or some other evidence indicating the exchange of such words, coupled with evidence of subsequent cohabitation and married reputation of the parties may be sufficient to establish a common law marriage.

3. Cohabitation

Cohabitation requires that the parties consummate the relationship.

4. Holding Out

In some states that recognize common law marriage, evidence that the parties have a reputation in the community as husband and wife will be sufficient to satisfy this requirement.

5. Legal Capacity

The parties to a common law marriage must have the requisite age and capacity and none of the restrictions to the validity of a marriage may exist (e.g., consanguinity or prior existing marriage). Legal capacity may arise subsequently, however, when an existing impediment is removed, such as by the death or divorce of the spouse of the prior marriage. Once legal capacity exists, a common law marriage may then arise if all of the other elements are present (i.e., intent, cohabitation, holding out).

6. Burden Of Proof

The burden of proving a common law marriage is on the party asserting it, and in a few states, the elements must be proven by clear and convincing evidence (as opposed to the

usual **preponderance of the evidence** standard). The burden may be especially heavy when a party claims that he was the common law spouse of a deceased person, so as to be able to share in the estate of the deceased.

If the relationship of the parties commenced in a meretricious manner, the party asserting the common law marriage may be required to prove that this relationship terminated and evolved into a legal marriage.

Example: If the parties cohabited with each other in a nonmarital relationship prior to the alleged common law marriage, the burden to show that the parties **later agreed to be married** will be a heavy one.

D. RECOGNITION OF MARRIAGE ENTERED IN ANOTHER STATE

1. In General

A marriage that is valid according to the laws of the state in which it is contracted will be recognized in every other jurisdiction unless the marriage is deemed to be violative of the public policy of the forum state. Conversely, if the parties to a purported marriage are not considered to be validly married at the place where they attempted to contract a marriage, then it will not be recognized as valid in the forum state.

2. Application To Common Law Marriage

Thus, even those states that do not recognize common law marriage **will** recognize a common law marriage if the parties satisfied the common law marriage requirements of another state.

3. Public Policy

A polygamous or incestuous marriage, even if valid in a country or jurisdiction where the marriage was contracted, will generally be deemed to be invalid as against public policy.

4. Evasion Law

A few states provide by statute that where a person residing and intending to continue to reside in that state goes into another jurisdiction and marries, the marriage will be **invalid** if the marriage would have been prohibited if entered into in the home state. The purpose of such a statute is to discourage evasion of the home state's marriage laws.

Example: A Massachusetts resident is prohibited by statute from marrying his mother-in-law after the death of his wife. If they should marry in a state where such a marriage is permitted and then return to Massachusetts to live, then this marriage is invalid in Massachusetts. However, if they were not Massachusetts domiciliaries immediately after their marriage but did return to Massachusetts later, the marriage would be valid.

E. LIMITATIONS ON WHO MAY MARRY

1. In General

There are various impediments to a valid marriage. If the parties enter into a marriage notwithstanding these impediments, the marriage will be invalid (and an annulment may be obtained). Common impediments are:

- a. Same sex marriages;
- b. Age;
- c. Consanguinity;
- d. Mental incapacity;
- e. Physical incapacity; and
- f. A prior marriage of one party still in force.

2. Same Sex Marriages

The traditional view has been that a purported marriage between two persons of the same sex is void. However, one state Supreme Court has held that its statutory prohibition against same-sex marriages may be violative of state constitutional guarantees of equal protection. *Baehr v. Lewin*, 852 P.2d 44 (Hawaii, 1993) (remanding case to trial court to allow state to present evidence that the prohibition against same-sex marriages furthers a compelling state interest which would serve to overcome the presumption that a statute creating a classification based on sex violates state constitutional provisions).

Similarly, Vermont recently enacted a statute allowing for a "civil union," where partners are entitled to the same benefits as marriage under state law, although not under federal law. Vt. Stat. Ann. tit. 15, §1201 et seq.

3. Age

At common law, a female 12 or older and a male 14 or older could validly marry. A purported marriage where either party was under the age of consent was void.

Today, by statute, states generally require parties to a marriage to be 18 years of age or over. However, parties under 18 may in some states obtain a marriage license with parental approval and/or court approval.

4. Consanguinity

A marriage license generally shall not issue for marriages between blood relatives who are ancestor and descendant, brother and sister, uncle and niece, or aunt and nephew.

Where the parties are so related only by marriage and not by blood (affinity relationship), the marriage is generally not prohibited.

5. Mental Incapacity

The inability of a party to consent to a marriage due to mental incapacity or infirmity will render the marriage invalid. If a person can understand the nature of the marriage contract, he may be able to enter into a marriage.

A person under conservatorship may have the mental capacity to marry, even though the person does not have the power to manage her own property. In some states the conservator's permission to marry must be obtained prior to issuance of the marriage license.

6. Physical Incapacity

In some states, parties who have a sexually transmitted disease lack the capacity to marry, and no marriage license may issue where blood tests so indicate.

7. Prior Marriage Still In Force

A person who has already been married is incapable of entering into another valid marriage unless the former spouse is dead or the prior marriage has been judicially terminated. A bigamous marriage is null and void without a decree of divorce or other legal process.

a. Good faith irrelevant

The fact that the second marriage was made in good faith under a reasonable belief that the former spouse was dead will not render the marriage valid.

b. Removal of impediment

In some states, by statute or case law, a subsequent marriage which is initially invalid because one of the parties had a prior marriage in force will become valid after the impediment of the prior marriage is removed (by death or dissolution of the prior marriage). The following requirements typically must be met for this to occur:

- 1) At the time of the subsequent marriage, one of the parties to it believed in good faith that the other spouse to the former marriage was dead, that there had been a divorce, or that there had been no former marriage.
- 2) After the subsequent marriage, the parties lived together as husband and wife.
- 3) They continued to live together as husband and wife after the impediment had been removed.

In a state that recognizes the doctrine of common law marriage, this doctrine may be used to validate the second marriage as soon as the impediment to the common law marriage is removed, i.e., as soon as the prior spouse has died or obtained a divorce.

F. ANNULMENT

1. In General

If the validity of a marriage is doubted, either party may institute an action to annul the marriage. In some states, the proper procedure by which a party can seek to establish the **validity** of a marriage is by an action to affirm the marriage or by a declaratory judgement.

Proceedings in annulment actions are generally the same as in divorce actions. A marriage generally may be annulled when the marriage is void or voidable, although in the latter instance, only the aggrieved party may bring the action to annul a voidable marriage.

2. Void Marriages

a. In general

A void marriage is of no legal effect. Thus, a party to a void marriage may “remarry” without fear of bigamy. Although there is no need for a court decree of annulment in the case of a void marriage, a party may request a judicial determination of invalidity by means of an annulment action. A void marriage may be collaterally attacked by any person in any proceeding, and may even be attacked after the death of either party to the purported marriage.

b. Consanguinity or bigamy

In most states, a marriage that is prohibited because of consanguinity (discussed *supra*) or bigamy (discussed *supra*) is void.

c. Mental incapacity

In some states, a marriage is void where one of the parties was incapable of consenting to the marriage due to serious mental incapacity (discussed *supra*) or lack of intent to consent to the marriage. It is the competence of the spouse on the day of the marriage only that is relevant to a determination of mental incapacity. Therefore, a marriage contracted during a lucid interval is valid.

In addition, where there has been no court adjudication of mental incapacity at the time of the ceremony, the marriage may enjoy a presumption of validity that can be overcome only by evidence that a party lacked the capacity to understand the nature of the marriage contract.

3. Voidable Marriages

a. In general

Certain impediments may cause a marriage to be **voidable**, i.e., until the aggrieved party obtains an annulment, the marriage is valid. If a voidable marriage is confirmed or ratified by the aggrieved party or if one of the parties to the marriage dies, the validity of the marriage may not be questioned or attacked by any person.

b. Nonage

A marriage is voidable if either party was under the age set by statute for marriage, unless the required parental or court approvals were obtained (*see “Age,” supra*). However, the underage party may ratify the marriage upon reaching the required age by continued cohabitation with the other spouse.

c. Impotence

In some states, incurable impotence at the time of the marriage, except if known by the other party prior to the marriage, renders the marriage voidable.

d. Intoxication

Habitual intoxication by liquor or drugs may be a ground for annulment.

e. Fraud, duress, or coercion

Fraud, duress, or coercion at the time of the marriage may render the marriage voidable. If there has been no subsequent voluntary cohabitation after knowledge of the fraud or release from the coercion or force of the other party, a marriage may be annulled at the request of the aggrieved spouse.

In most states, fraud must go to the “essence” of the marital relationship to be sufficient for annulment purposes, that is, it must be related to the essential purposes of marriage and be such as would either prevent a party from entering into a true marital relationship, or having entered it, would preclude the performance of customary and legal marital duties (cohabitation, procreation, etc.). The following are examples of fraud which constitute grounds for annulment:

- 1) A man marries a woman solely to have the status of a married person, with the intention of leaving her after the ceremony and never seeing her again.
- 2) W induces H to marry her by representing that she is chaste, when in fact she is pregnant by another man.

f. Equitable defenses to annulment

In addition to denying the existence of the defect that allegedly caused the marriage to be voidable and the defense of ratification, courts also recognize the other equitable defenses in suits to annul voidable marriages.

4. Effects Of An Annulled Marriage**a. Children**

Under the common law, children born of an annulled marriage may be considered as illegitimate. However, by statute in many states, children born to parties whose marriage is later annulled may be considered as legitimate as to both parents. Upon annulment, the court has the same power to make orders relating to the care, custody, and maintenance of minor children of the parties as in the case of a divorce.

b. Alimony and property division

In many states, alimony and property division may be ordered in annulment cases as in divorce actions. In some states, no alimony or property division may be awarded upon annulment, although the court may, under equitable principles, order conveyance of property or restitution as justice may require.

V. EFFECTS OF THE MARITAL OR FAMILY RELATIONSHIP**A. RIGHTS AND RESPONSIBILITIES OF SPOUSES****1. Property Rights****a. Married women's property rights**

At common law, a married woman surrendered her property rights to her husband. Under modern statutes, a married woman retains her rights to her separate property

held before or acquired after her marriage. Her separate earnings are her sole property, and she has the power to contract with her husband or with third parties, to grant or receive conveyances of real or personal property, and to sue and be sued in her own right.

b. Co-ownership

At common law, a conveyance to husband and wife was presumed to create a tenancy by the entirety. Many states have abolished this form of ownership by statutes that convert a conveyance in the form of a tenancy by the entirety into a joint tenancy with rights of survivorship.

In states which recognize tenancy by the entirety, a tenancy by the entirety is converted into a tenancy in common by a judgment terminating a marriage, unless the court orders otherwise through an order of equitable distribution.

c. Transfers between spouses

Transfers of real and personal property between husband and wife are generally valid to the same extent as if they were unmarried. When one spouse transfers money or other property to the other without consideration, there is a rebuttable presumption that it is a gift. Likewise, if one spouse pays the consideration for property to a third person who conveys it to the other spouse, it is presumed to be a gift. A resulting trust does not arise in such a transfer, unless there is clear proof that a gift was not intended at the time of the conveyance.

2. Contract Rights And Obligations

Under modern law, married persons may contract with each other, although a court may give a contract between spouses particular scrutiny because of their special relationship.

a. Concurrent general obligation of each spouse

Traditionally, a husband was liable to third persons for necessities furnished to his wife and minor children, but a wife was not liable for necessities furnished to the family. Traditionally, the definition of necessities could vary with the mode of living of the parties and the means of the husband. However, such distinctions between the husband's and wife's obligations have been eliminated in most states (and in any case are arguably unconstitutional) and have been replaced with a general obligation on the part of each spouse to provide for necessities furnished to the other spouse based on the respective spouse's needs and financial ability. Once there is a separate support decree in most states, a spouse's legal obligation is set by the decree and the spouse would no longer be liable to third persons for necessities furnished to the other spouse.

b. No implied agency

An agency relationship is not established merely due to the existence of a marital relationship. Thus, one spouse is not empowered to bind the other to a contract such as a lease simply because they are married.

3. Torts

a. Interspousal immunity

A growing number of states have abolished interspousal immunity for tort actions between spouses, particularly in negligence actions, reasoning that such immunity can no longer be sustained on the basis of law, logic, or public policy. In states where immunity for negligence has been abolished by case law, some courts have recognized that there still may be situations where conduct, tortious between strangers, may not be tortious between spouses because of the mutual concessions implied in the marital relationship. Such situations may be assessed on a case-by-case basis with due regard to whether abolition of immunity would tend to disrupt the peace and harmony of the marital home.

b. Remedies for tortious interference with the marital relationship

Most states have abolished the common law tort of alienation of affections against a third party who causes separation from the plaintiff's spouse resulting in loss of consortium, and the common law tort of criminal conversation against a third party who has sexual intercourse with the plaintiff's spouse.

c. Consequential damages against third persons

A spouse may recover for medical and other expenses which she is required to pay as a result of a tort committed against the other spouse. Medical expenses to be incurred after trial, loss of earning capacity, and loss of consortium are elements of the spouse's tort recovery.

4. Evidentiary Privileges

Generally, a husband and wife are not competent to testify as to any confidential communications made by one to the other during the marriage, except as otherwise provided by statute.

Matters concerning evidentiary privileges are fully discussed in the notes on Evidence.

5. Spousal Abuse

a. In general

Many states provide statutory remedies for a family or household member who has been threatened by, or been the victim of, physical abuse by another family or household member. The relief available may include damages; a court order enjoining that person from restraining or assaulting the applicant or from entering the applicant's dwelling, including the family home; or whatever relief the court may find appropriate.

b. Ex parte order

For cause shown, a court may enter an ex parte temporary order without notice to the other spouse, who would then be entitled to be heard on a date certain after entry of the original temporary order.

6. Rights Upon Death

a. Intestate inheritance

State statutes provide that a surviving spouse inherits a portion of the probate estate of a deceased spouse. The amount or percentage may depend on whether there are surviving issue or other kin. Thus, where there are issue, a surviving spouse may be entitled to one-half of the estate, with the balance going to issue.

b. Right to waive the will

State statutes generally provide that a surviving spouse may, within a specified period of time after the filing of the will of a deceased spouse, waive the provisions in the will (if any) and take, in lieu of those provisions, a set statutory amount or percentage of the estate.

c. Dower or curtesy

Some states still retain the concept of dower or curtesy rights in the estate of a deceased spouse. Common law dower consisted of a life estate in any real estate acquired by the deceased spouse during the course of the marriage.

7. Reproductive Choices

Constitutional issues arising in a marital relationship regarding privacy, reproductive choices, and abortion are discussed in the Multistate outline of Constitutional Law.

B. PARENTS AND CHILDREN

1. Legitimacy And Paternity

a. In general

In most states, a child whose parents have married each other is deemed legitimate, regardless of whether the birth occurred before or during the marriage. Although at common law children born to parents whose marriage was invalid were considered illegitimate, in most states there are statutes that make such children legitimate. In some states, a child born out of wedlock may be made legitimate by court decree or by written acknowledgment of the natural father filed in a court or other office.

Under the Uniform Parentage Act (§2), as adopted in some states, every child is deemed to be the legitimate child of both natural parents, regardless of the parents' marital status.

b. Presumption of legitimacy

Statutes or case law in many states serve to make children legitimate. For example, children born to or conceived by a woman while she is married are presumed to be the legitimate children of the woman and her husband. The presumption that a child born in wedlock is legitimate may generally not be rebutted except on facts, which prove by **clear and convincing evidence** that the mother's husband was not the father.

c. Establishing paternity**1) In general**

The issue of paternity may become the subject of litigation in a variety of circumstances, including actions involving visitation rights, adoption, distribution of decedents' estates, and most commonly, the duty of child support.

2) Who may institute action

Proceedings to establish paternity of a child born out of wedlock may be brought by the mother or a state social service agency, acting on behalf of the mother. In some states, the child, as well as the natural father of a child born out of wedlock, may also be authorized to file a paternity action.

3) Time limitations

Many states require that a paternity action be instituted prior to the death of the putative father.

The constitutionality of statutes of limitations on actions to determine the parentage of a child has been addressed by the United States Supreme Court in a case striking down a one-year period of limitation on the ability of an infant to determine paternity and thereby obtain parental support (*Mills v. Habluetzel*, 456 U.S. 91 (1982)), and in a case striking down a two-year period of limitation (*Pickett v. Brown*, 462 U.S. 1 (1983)). The Court indicated that although the right of illegitimate children to obtain support need not be coterminous with the right of legitimate children, any limitation on their right to obtain such support must be substantially related to the state's interest in avoiding the litigation of stale or fraudulent claims.

Most states now allow paternity actions to be brought at any time prior to the child reaching the age of 18.

4) Acknowledgment

States permit the establishment of paternity by the filing of an acknowledgment of paternity executed by both parents and filed with a court or other office.

5) Evidence of paternity

Evidence to establish paternity may include the following (Uniform Parentage Act, §12):

- (a) Evidence that there was sexual intercourse between the mother and the defendant at or near the time of conception and that a child was born as a result;
- (b) The opinion of an expert "concerning the statistical probability of the alleged father's paternity based upon the duration of the mother's pregnancy";
- (c) Blood test results (see below);

(d) Medical evidence regarding the defendant's paternity based upon tests performed by experts; and

In some states, the common law ("Lord Mansfield's Rule") does not permit testimony of nonaccess by either spouse if a child would thereby be rendered illegitimate. Proof must be by some other evidence, such as the husband's absence during the relevant time period, or blood test results.

Where relevant, the court may require the child, the mother, and the defendant to submit to blood grouping tests performed by qualified experts to determine whether the defendant may be **excluded** as being a parent. The test results are admissible only where they definitely exclude the defendant as the father.

In recent years, states have allowed the results of HLA (human leucocyte antigen, or tissue typing) tests to be admitted, because HLA testing has been accepted as a reliable method of affirmatively proving the defendant's paternity.

6) Burden of proof

Many states permit a finding of paternity to be made by a **preponderance of the evidence**, although some require a higher standard of "**clear and convincing evidence**." The Supreme Court has held that the Due Process Clause of the Fourteenth Amendment does **not** require a state to adopt a standard of proof more rigorous than a preponderance of the evidence. *Rivera v. Minnich*, 483 U.S. 574 (1987).

Where a married woman is seeking to prove that someone other than her husband is the father of her child, a higher standard of proof must be met because of the **presumption of legitimacy** (see "Presumption of Legitimacy," *supra*). This presumption can only be overcome by clear and convincing evidence that someone other than her husband is the child's father.

d. Statutory and constitutional protection against discrimination

1) Right to support

Where a judicially enforceable right to support is created in favor of legitimate children, the Equal Protection Clause of the Fourteenth Amendment mandates that such support must also be available to illegitimate children. *Gomez v. Perez*, 409 U.S. 535 (1973).

2) Inheritance rights

By statute in many states, an illegitimate child is given the same rights to inherit from the intestate estate of the father as in the case of a legitimate child, if the decedent's paternity of the illegitimate child is properly shown. Equality of treatment is generally also demanded as a matter of equal protection. *Trimble v. Gordon*, 430 U.S. 762 (1977).

3) Unfavorable treatment of unmarried parents

Although equal protection may preclude a state from treating the **children** of unmarried parents differently from the children of married parents, the Supreme Court has allowed disparate treatment of **unmarried parents**.

(a) Suit for wrongful death

In *Parham v. Hughes*, 441 U.S. 347 (1979), the Supreme Court upheld a statute that allowed an unmarried mother to sue for the wrongful death of her child, but denied that right to the unmarried father.

(b) Citizenship of children born abroad

When an unmarried American woman gives birth abroad, her child is automatically granted U.S. citizenship. However, an unmarried American man must take specific steps to establish paternity before a child of his born abroad would be granted U.S. citizenship. The court found this type of gender-based discrimination permissible because it promotes the significant governmental interest of avoiding problems with proof of paternity. *Nguyen v. Immigration & Naturalization Service*, 533 U.S. 53 (2001).

2. Right To Custody During Marriage

The right to conceive and raise a child is one of the most stringently protected rights known to law. *Stanley v. Illinois*, 405 U.S. 645 (1971). However, these rights are not unconditional, and may be regulated by government where necessary to protect the rights and best interests of the child.

Example: States provide a mechanism to remove the child from the parent's custody temporarily due to neglect of the child's welfare. As in any other custody matter, the judicial standard is the **best interests of the child**, and the custodial parent need not be found unfit before custody may be temporarily transferred. The court must weigh the parents' interest in family integrity, the state's interest in protecting minor children, and the child's interest in his own safety and in having a stable family environment.

3. Termination Of Parental Rights

a. Involuntary termination

The United States Supreme Court held in *Santosky v. Kramer*, 455 U.S. 745 (1982), that involuntary termination of parental rights must be based upon a finding of parental unfitness proved by **clear and convincing** evidence. However, temporary removal of the child from parental custody may be allowed upon a finding by a preponderance of the evidence that the child's welfare so requires.

States generally allow a court to terminate permanently all parental rights to a child if it would be in the best interests of the child and if the court finds at least one of the following:

- 1) The child has been abandoned by the parent in that the parent has failed to maintain a reasonable degree of interest, concern or responsibility for the

child's welfare for a substantial period of time (for example, more than one year); or

- 2) The child has been denied the care, guidance or control necessary for his physical, educational, moral or emotional well-being (neglect). Non-accidental or inadequately explained serious physical injury to a child may constitute evidence sufficient for the termination of parental rights; or
- 3) There is no ongoing parent-child relationship and to allow further time for the establishment or reestablishment of the relationship would be detrimental to the best interests of the child.

In determining whether to terminate parental rights, a court considers the child's positive emotional ties to her parents and to anyone else who has had custody of the child; the parent's efforts to adjust her circumstances or conduct to make it in the child's best interests to remain in, or return to, the parent's home, including regular contact with the child and with the child's custodian; and the extent to which a parent has been prevented from maintaining a meaningful relationship with the child by the unreasonable actions of the other parent or any other person or by the economic circumstances of the parent.

b. Voluntary relinquishment

Parental rights may also be lost by the voluntary relinquishment of parental rights by the parents (consent of the parents). In the case of unmarried parents, the consent of the father is required (in addition to the consent of the mother) as a matter of equal protection where the father has an established parent-child relationship with the child. *Stanley v. Illinois*, 405 U.S. 645 (1973); *Caban v. Mohammed*, 441 U.S. 380 (1979).

4. Adoption

a. In general

Adoption is the legal procedure by which the status of parent and child is conferred upon persons who are not naturally so related. Where a child has living parents, the rights of the natural parents must first be terminated, either voluntarily or involuntarily, prior to adoption. In some states, termination of the rights of the natural parents and the approval of the adoption may be accomplished in one judicial proceeding.

b. Jurisdiction

1) Subject matter

Subject matter jurisdiction for adoption is determined by state statute. Adoption petitions may be heard in a general trial court, in a specialized family or domestic relations court, or in a juvenile court. Some states also require the party petitioning for adoption to have been a resident of the state for a set period of time (for example, one year).

2) Jurisdiction over parties

Although there is disagreement over whether adoption proceedings are to be viewed as “in rem” actions or “in personam” actions, some states require that either the adopted child or the adopting parents be domiciled in the state. Where the rights of the natural parents have already been terminated in a separate proceeding (*see supra*), there is no requirement of notice to or jurisdiction over them with regard to a subsequent adoption.

3) Uniform Adoption Act of 1994

The Uniform Adoption Act of 1994 (“UAA”) covers all aspects of an adoption, and has been adopted only by Vermont. The jurisdictional requirements are similar to those of the UCCJEA, including that the prospective adoptive parents must have lived in the state for at least six months, and that the child’s best interests must be considered. Although records are to remain confidential, the UAA requires states to create and maintain a registry system for mutually consenting children and biological parents to be reunited.

c. Agency or independent placements

1) Agency placements

In many states, statutory provisions govern the procedure by which adopting parents are located. This may be done through a state social service agency or a private, but state-licensed, adoption agency. The agency conducts an investigation concerning the proposed adopting party, may make recommendations to the court, and may supervise the placement for a period of time after the adoption. A fee may be paid to the adoption agency by the adopting parents.

2) Independent placements

Another method that exists allows natural parents to enter into private contracts directly with prospective adopting parents, who then petition the court for permission to adopt. One criticism of this method is that there may be far less investigation into the suitability of the adopting parents where there is no state agency or state-licensed adoption agency involved, and thus less information may be available to a court in determining whether the petitioners are suitable adopting parents. Fees to be paid by the adopting parents may include medical expenses associated with pregnancy and legal fees with regard to the adoption. Any additional fees may be prohibited by statutes that make the “sale” of children illegal.

d. Parental consent

1) In general

Consent of the natural parents is generally required for adoption, unless their rights have been terminated in a prior proceeding (*see* “Termination of Parental Rights,” *supra*). In the case of a child born to unmarried parents, the consent of

the father may be required (in addition to the consent of the mother) as a matter of equal protection where the father has established an ongoing parent-child relationship with the child. *Caban v. Mohammed*, 441 U.S. 380 (1979).

2) Revocation of consent

The consent of a parent may be revoked upon proof of fraud or duress prior to the adoption decree. After the decree has been entered, revocation is generally limited to instances where there has been some substantial defect in the adoption process (such as a lack of the required notices or consents).

e. Who may adopt

In order to adopt another, the adopting person must be of the age of majority. In most states, a married person may not adopt a child unless both spouses join in the adoption petition, unless the court excuses this requirement (or unless the other spouse is already the parent of the child). Statutes in many states today allow a single person to adopt.

f. Who may be adopted

An adult may adopt a child. In addition, in many states, an adult may adopt another adult who is younger. However, an adult generally may not adopt his spouse, sibling, or other close relative.

A minor child is considered free for adoption if the child has no living parents or the rights of the parents have been terminated. Many states require the consent of the minor where the minor is above a particular age, such as 12, although a court may override a minor's refusal to consent upon a finding of good cause.

g. Standard to allow adoption

A court will decide whether to grant a petition for adoption based on a determination of the child's best interests.

Example: Where the same-sex partner of the biological mother of a child sought to adopt the child (so that she and the mother would be "co-parents" of the child), it was held that such adoption should be permitted if found to be in the **best interests of the child**. *Adoptions of B.L.V.B. and E.L.B.V.*, 628 A.2d 1271 (Vt., 1993) (also ruling that the statutory provision that adoption terminates the rights of the natural parents, except where the adopting person is the stepparent of the child, was inapplicable; mother's lesbian partner treated as a "stepparent" under the statute with the result that both mother and her partner would be parents after the adoption).

h. Consequences of adoption

A decree of adoption generally has the following effects:

- 1) It creates the relationship of parent and child between the adopting parent or parents and the adopted person, as if the adopted person were the natural child of such adopting parent or parents for all purposes, including inheritance.

- 2) It ends all legal relationships between the adopted person and the natural parents for all purposes, including inheritance, except for prohibitions against marriage, incest, and cohabitation.
- 3) The adopting parents or their relatives inherit the estate of an adopted child if she dies intestate. The natural parents inherit nothing.
- 4) The adopted child's name will be changed and a new birth certificate will issue, including the names of the adopting parents and deleting the names of the natural parents.

i. Confidentiality of records

Adoption records are generally confidential and may not be opened unless leave of court, for cause shown, is obtained. Many states, however, allow an adopted person and the adopting parents access to certain types of information concerning the natural parents (such as medical information) without revealing the identity of the parties.

5. Alternatives To Adoption

a. In general

In recent years, advances in science have required the consideration of emerging legal issues concerning surrogate parenthood, in vitro fertilization, and embryonic transplantation. These techniques, together with artificial insemination, are now used in addition to adoption as alternative methods to create a parent-child relationship.

b. Artificial insemination

1) In general

Artificial insemination is a technique by which semen is artificially transferred to the body of a woman in order to make her pregnant. Historically, the technique was used where a husband was sterile and the wife, desirous of having a child, would receive semen from a third party donor ("artificial insemination by donor"). It is this type of artificial insemination that may create the legal issues, described below.

Where artificial insemination occurs by means of the husband's semen ("artificial insemination by husband"), few legal issues should develop, as the husband would be the biological father of any child conceived and subject to all rights and obligations of a father.

2) Rights of third party donor

A third party donor who provides semen to a licensed physician for use by a married woman is treated as if he were **not** the natural father of a child conceived thereby. Uniform Parentage Act, §5.

Where the semen is given to an unmarried woman, the legal status of the donor may be unclear. Thus, the donor, if his identity is established, may be able to bring an action for custody or visitation, or he may be held liable for child support.

3) Rights of mother

Few legal issues should arise with regard to the mother. The mother would be obligated to contribute to the support of the child, and would have the same rights of custody, as in other cases.

c. Surrogate parenthood

1) In general

The term “surrogate mother” generally refers to a woman who is artificially inseminated with the semen of a person with whom she has agreed to relinquish the child after birth. Thus, used in this context, the surrogate mother is the biological parent of the child. The surrogate mother may receive in return a sum of money, as well as payment of medical expenses associated with pregnancy and childbirth. The terms of the contract often specify that the surrogate mother will not assert any parental rights to the child, and that parental rights will inure to the person who has supplied the semen.

Note: The term surrogate mother may also be used to describe the situation where an egg is taken from party A, fertilized outside of the body, and then implanted into party B. This is discussed below under the topic of in vitro fertilization.

2) Legal effect of contract

Issues surrounding the legal enforceability of a surrogacy contract are at best unclear in most states.

Example: The contract may be viewed as a contract to sell a child in connection with an adoption and thus may be held against public policy and illegal. In one well-known case, a state supreme court refused to enforce the surrogacy contract on grounds of public policy; however, the state supreme court upheld the trial court order giving custody of the child to the donor of the semen (based on the best interests of the child) but allowed the surrogate mother to seek visitation rights. *Matter of Baby M*, 537 A.2d 1227 (N.J., 1988).

The terms of the contract may also be viewed as a “consent” by the surrogate mother to adoption by the third person, and hence may be governed by the laws of the state regarding private adoption (see “Independent Placements,” *supra*). The surrogate mother may also attempt to revoke her consent prior to a decree of adoption and assert her rights to the child.

The California Supreme Court has upheld the validity of a surrogacy contract, rejecting the surrogate mother’s claims that the agreement was violative of state policy and constituted an invalid waiver of her parental rights under the adoption laws, and ruled that the “genetic” mother (who supplied her egg to the surrogate) was the natural mother of the child. *Johnson v. Calvert*, 851 P.2d 776 (Cal., 1993).

3) Uniform Act

Although only adopted in a few states, the Uniform Status of Children of Assisted Conception Act attempts to bring some order to these emerging legal issues. One alternative in the act provides for court approval of a surrogate contract and a preconception adoption proceeding; a second alternative makes surrogacy contracts void.

d. In vitro fertilization

1) In general

In vitro fertilization refers to the medical procedure by which a woman's egg is removed from her body, fertilized outside of her body in a test tube by means of a man's semen, and then implanted into a woman. It should be noted that the recipient of the fertilized egg may be the same woman whose egg was originally removed for fertilization purposes or the recipient may be a different woman (the latter situation sometimes is referred to as "gestational surrogacy"). Alternatively, the fertilized egg may even be frozen for future use.

2) Legal issues

Once again, the law in this area is developing and the legal issues are cloudy. The following possibilities arise:

- (a) Where the process occurs with the egg and semen of a wife and husband, and the fertilized egg is implanted into the wife, the child ought to be viewed as the legitimate child of the wife and husband.
- (b) Where the semen is that of a third party donor and the egg is implanted into the woman from whom it was taken, the process ought to be treated in the same way as artificial insemination by donor (see "Artificial Insemination," *supra*).
- (c) Where an egg of one woman is fertilized and then implanted into a different woman ("gestational surrogacy"), problems similar to those involved with surrogacy contracts may arise (see "Surrogate Parenthood," *supra*). Thus, if the parties have agreed that the recipient will bear the child and then relinquish the child in return for receipt of a fee, the contract may be unenforceable as a contract for the sale of a child in connection with an adoption.

3) Frozen embryos

Where in vitro fertilization has occurred using the eggs of a wife and the semen of her husband, and the fertilized eggs were frozen for future use ("frozen embryos"), a subsequent divorce between the parties resulted in a dispute over "rights" to the frozen fertilized eggs. One court has held that the disposition of the embryos should be governed by any prior agreement of both parties. Where the parties had no agreement concerning the disposition of the embryos, and where the "father" opposed the mother's request to have them transplanted into a

third person, his interest in avoiding procreation (an interest of constitutional dimension regarding procreational autonomy) was held to prevail. *Davis v. Davis*, 842 S.W.2d 588 (Tenn., 1992).

6. Torts Involving Children

a. Torts committed by a child

1) Child's liability

Except where the age of a child prevents the child from forming the state of mind necessary for the commission of the tort, a child generally is liable for her torts. A child is liable for negligence where the child has failed to exercise the degree of care expected of the ordinary child of comparable age, knowledge, and experience.

2) Parent's liability

At common law, parents were not vicariously liable for the torts of their children; they were liable only if their own negligence was the proximate cause of the harm that occurred. Thus, a parent could be held liable for damages caused by a child where the parent entrusted the child with a dangerous instrument or where the parent failed to restrain a child when the parent knew or should have known of the child's propensity for harmful conduct.

Some states by statute impose strict liability on the parents for willful damage to property of another by an unemancipated minor, up to a specified dollar amount.

b. Torts committed against a child

1) Parent-child immunity

Historically, a parent was immune from suit in tort for negligence in an action brought by the parent's minor unemancipated child. Some states have abolished parent-child immunity for all negligently caused injuries and some have done so only with regard to motor vehicle negligence actions. Other states retain the doctrine of immunity.

2) Injury to child

An action by a minor who is injured by the negligence of another may typically be commenced by a parent or next friend or guardian who brings suit on behalf of the minor.

In addition, a second cause of action may arise in favor of the parent to recover for consequential damages as result of the injury to the child. Thus, a parent may sue for loss of the services of the child, loss of consortium, medical expenses paid by the parent, and for other related matters.

7. Contracts Of Children

a. Voidable by a minor

Under the common law, a contract entered into by a minor was in general voidable at the option of the minor. This rule of law was designed to protect minors from improvident bargains and injustice, but the contract may be avoided even if the contract is highly beneficial to the minor.

b. Exception for necessary goods

Although contracts for necessities may not be avoided by the minor, the minor is liable for the reasonable value of the necessities, rather than the contract price. Where the minor has in his possession the consideration transferred under the contract, the minor may be required to return it as a condition of the minor's ability to disaffirm.

c. Ratification after attaining majority

A minor has until a reasonable time after reaching the age of majority (generally 18) to disaffirm the contract. Failure to disaffirm the contract during this time period may constitute a ratification of the contract.

In some states, a minor who has legally married thereby acquires the legal capacity to enter into binding contracts. Some states have enacted statutes that permit a minor under certain circumstances to enter into binding contracts (such as for the purchase of an automobile).

8. Other Rights And Liabilities Of Minors

The age of majority in most states is 18 years. Persons over 18 thus have full legal rights (with some exceptions, such as the purchase of alcoholic beverages, where a higher age may be set by statute). Thus, persons over 18 have the capacity to marry without parental consent, to make a will, to contract, and to select their own domicile apart from their parents.

9. Parental Rights Regarding Upbringing Of Child

a. Education, religion, and medical decisions

The parents of a child are entitled to the custody of a child and are entitled to determine the education, religion, medical care, and other customary matters regarding the upbringing of the child. These rights are grounded in tradition and have a constitutional basis as a fundamental due process right of parenthood. As long as parent adequately cares for his or her children, there is no reason for the state to inject itself into private realm of the family, in order to further question ability of that parent to make best decisions as to rearing of that parent's children.

Example: Parents are constitutionally protected when deciding whether third parties (i.e., grandparents) will be involved in their children's lives. *Troxel v. Granville*, 530 U.S. 57 (2000).

b. Overriding state interest

A state's interest in the well-being of children, however, may be sufficiently strong to override the parental prerogative. Hence, a state law mandating schooling for all children (public, private, or in the home) may survive constitutional attack. Likewise, a state may require certain medical procedures, even if a parent has refused to consent, or if the child's health or life may otherwise be endangered.

Similarly, a state may remove a child from the custody of a parent where necessary to protect the child from harm or neglect.

c. Abortion

A state may not require parental consent where a minor is seeking an abortion unless there is a statutory method by which parental consent requirements can be by-passed by court approval in lieu of parental consent. *See Bellotti v. Baird*, 443 U.S. 662 (1979).

A statutory requirement that a minor's parents be notified once a petition to obtain judicial approval of an abortion has been filed is unconstitutional in the case of a mature, independent minor seeking an abortion; there must be a case-by-case evaluation of the ability of the minor to make a mature and informed decision on her own. *Akron v. Akron Center for Reproductive Health*, 462 U.S. 416 (1983).

d. Conspiracy to conceal information

Because parents have the right to establish a relationship with their children, conspiracy to conceal information regarding an infant's location or birth could result in liability for the conspirators, including punitive damages.

Example: Adjudicated biological father of newborn child placed for private adoption could maintain cause of action for fraud against biological mother, her attorney, her parents, and her brother, for their alleged concealment of information regarding location and adoption of child. *Kessel v. Leavitt*, 511 S.E.2d 720 (W.Va. 1998).

C. SUPPORT**1. In General**

Traditionally, the obligation of support has been phrased in terms of the husband's duty to provide support to his wife and the father's duty to provide support to his children. Today, however, it is appropriate first to ascertain which of the spouses or parents is able to provide support, and then place the obligation on that person without regard to gender-based distinctions. This approach has been adopted by statute or case law in many states, and may be mandated by equal protection principles.

2. Duty To Support Spouse And Family

It is the duty of each spouse to support his family, and both spouses are generally liable for:

- a. Medical expenses;
- b. Housing expenses;
- c. Food and clothing; and
- d. Other necessary articles used for the support of the family.

3. Liability For Debts And Necessaries Contracted For By Needy Spouse

A spouse's liability for obligations incurred by the other spouse arises in two situations:

- a. where the debtor-spouse has express or apparent authority to pledge the other's credit; and
- b. where the non-needy spouse neglects, fails, or refuses to furnish the needy spouse with necessities which are then supplied to that spouse nongratuitously by a third person.

"Necessaries" has been described as "not limited merely to articles necessary to sustain life or preserve decency but extend[s] to things which would be desirable and suitable in view of the rank, fortune, [and] earning capacity of the spouse and the mode of living of the couple." *Ewell v. State*, 114 A.2d 66 (Md. 1955). Thus, not only are food, clothing, and shelter necessities, but so too are medical expenses, furniture and, in some situations, legal fees.

4. Termination Of Support Obligation

a. Support of spouse

The existence of a valid marital relationship is a condition precedent to the obligation to provide support for a spouse. The support obligation also ceases upon the death of either spouse. Support of a spouse after the termination of the marital relationship is discussed *infra*.

b. Support of children

1) In general

As a general rule, a parent's obligation to support a child is terminated when the child reaches the age of majority. However, in some states, a court may upon divorce order child support to extend beyond the age of majority where a child is dependent and is attending high school or even college. In addition, some states will recognize the parents' agreement to provide for support beyond the age of majority (for example, by antenuptial agreement or separation agreement).

One state supreme court has enunciated the view, however, that courts in that state lack the power to require child support beyond the age of majority while a child is in college; any change in the common law rule must come by means of legislation extending the support obligation beyond the age of majority for such purpose. *Blue v. Blue*, 616 A.2d 628 (Penn., 1992) (holding that the child support obligation terminates at age 18 (the age of majority) or when the child graduates from high school, whichever occurs later; the rationale for extending the

obligation through high school graduation, even if the child is 18, resting on the guarantee of a “basic” education as set forth in the Pennsylvania Constitution). This would not be an issue in any state with a statute that grants a court the power to extend support, as many do.

2) Mental or physical disability

Some states require parents to continue to support a child beyond the age of majority where the child is incapable of self-support by reason of mental or physical disability.

3) Emancipation

Since the amount of support to which a child is entitled may depend not only on the parent’s ability to pay but also on the child’s needs, a child who is emancipated, i.e., not reliant upon the parent for support, need not be supported by the parent. In determining whether a child is emancipated, the reasonable likelihood that the child’s means of financial independence will continue until the child reaches the age of majority is an important consideration.

4) Termination of parental rights

A parent’s duty to support is terminated when the parent-child relationship is terminated, e.g., through an adoption proceeding.

c. Support of parents

Some state statutes impose a duty on adults to support their parents or other close relatives who are in danger of becoming a public charge.

d. Action for nonsupport

Statutes generally provide civil remedies and criminal penalties for nonsupport.

VI. ALTERING THE MARRIAGE RELATIONSHIP

A. IN GENERAL

Various legal remedies are available to alter the husband-wife relationship. These include annulment (discussed above), legal separation, and divorce. At the end of this section, the use of separation agreements to alter the marital relationship is discussed.

B. LEGAL SEPARATION

1. In General

An action for legal separation serves to suspend the marital relationship at least temporarily and to provide a mechanism by which court orders for support and child custody may be entered. In some states, the action is referred to as one for separate support.

2. Jurisdiction

a. Subject matter jurisdiction

Actions for legal separation are family-related matters that are typically heard in the same court in which divorce actions are heard.

b. Parties

Most states require that at least one of the parties to the separation action be a domiciliary of the state. In addition, in order to enter an order for support, the defendant spouse must have sufficient minimum contacts with the state such that entry of such an order is consistent with the principles of due process.

c. Valid marriage

Another requirement that is phrased in jurisdictional terms in some states is that of a validly existing marriage. Thus, if the purported marriage is invalid, or if the marriage has already been terminated by a valid divorce decree, the separation action must be dismissed. Conversely, since a valid marriage is a jurisdictional prerequisite to a decree of legal separation, a decree of legal separation serves as an adjudication that a valid marriage is in existence between the parties.

In states where the requirement of a valid marriage is not phrased in terms of jurisdiction, the party seeking a decree of legal separation must prove the existence of a valid marriage as part of her prima facie case.

3. Grounds

Grounds for legal separation usually include the same grounds that exist for divorce (discussed *infra*), and in some states also include conduct not sufficient to constitute a ground for divorce but nonetheless constituting “good cause” for ordering a legal separation.

4. Defenses

Defenses to an action for legal separation may include condonation, that is, forgiveness by the injured spouse of the marital wrong. A separation agreement that is fair, reasonable, and free from fraud or coercion may be a bar to a legal separation where there has been compliance with the agreement.

5. Effect Of Decree

a. In General

A decree of legal separation does not terminate the marriage; hence, neither party is free to marry another.

A decree of legal separation is designed to make temporary adjustments to the marital relationship and does not create a permanent status of separation. Thus, if the parties to a legal separation resume marital relations, or the party whose wrong caused the separation removes that cause, the decree may be revoked by the court.

b. Preliminary, interlocutory, and final orders

The decree (and any temporary orders in connection therewith) may include such matters as the following:

- 1) restraining either party from interfering with the personal liberty of the other;
- 2) requiring one party to vacate the marital home and to remain away from the home;
- 3) awarding custody and visitation regarding minor children;
- 4) awarding a spouse support, based on need and financial ability (similar to an award of alimony); and
- 5) awarding child support to be paid by the noncustodial parent.

c. Collateral estoppel effect

A decree in a separation action is binding upon the parties in later litigation between them in regard to all matters shown to have been put in issue, or to have been necessarily involved in the proceedings and actually determined in it.

Example: If W obtains a decree of separation from H on grounds sufficient to obtain a divorce, she may later sue for divorce without having to relitigate that issue.

d. Effect on rights of surviving spouse

In some states, the spouse against whom a decree of separation has been entered loses the right to an intestate share, the right to take an elective share, and the right to dower or curtesy.

e. Liability for spouse's debts

In most states, as long as a spouse complies with the terms of the decree, he is not liable to third persons for the debts of the other spouse.

f. Modification and termination

A decree of separation may be modified by the court and is terminated by a subsequent valid divorce between the parties.

g. Conversion to divorce decree

Some statutory schemes provide that where there has been no resumption of marital relations, at any time after the entry of a decree of legal separation, either party may petition the court for a decree dissolving the marriage.

C. DIVORCE**1. In General**

The marriage relationship exists from the time a valid marriage is contracted until it is terminated by death of one of the parties or by a valid divorce. In some states, the term "dissolution of marriage" is used instead of divorce.

2. Jurisdiction, Venue, And Related Procedural Matters

a. Subject matter jurisdiction

Actions to dissolve a marriage are heard either in the general trial court or in specialized family or probate courts.

b. Domicile and residency requirements

1) Domicile

The United States Constitution is generally understood to require domicile of one of the parties as a basis for a state court to exercise divorce jurisdiction. *Williams v. North Carolina*, 217 U.S. 287 (1942). Domicile of one of the parties in the state is also often required by state statute. In rem jurisdiction is established over the marital status by virtue of the domicile of one of the parties within the state. Domicile generally requires both physical presence in the state plus the intent to make the state a permanent home.

Example: The fact that a party may have moved into a state solely to take advantage of its more favorable divorce laws has been held not to affect the existence of divorce jurisdiction, as long as the party was domiciled in that state. *Fletcher v. Fletcher*, 95 Md. App. 114, 619 A.2d 561 (Ct. Spec. App., 1993).

2) Durational requirements

In addition, some states impose a requirement that one of the parties must have resided in the state for a specified period of time prior to the filing of the divorce action. A one-year durational requirement was upheld as constitutional in *Sosna v. Iowa*, 419 U.S. 393 (1975).

c. Service of process

Personal service on the defendant is not a jurisdictional prerequisite to a divorce action. Substituted service (such as service by publication in cases where the whereabouts of the defendant is unknown), where necessary, may be sufficient.

d. Personal jurisdiction

Although domicile establishes in rem jurisdiction for purposes of granting the divorce, personal jurisdiction over the defendant is also necessary for the court to enter or enforce any decrees in personam, including the entry of orders imposing support obligations or the institution of contempt proceedings to enforce such orders. Use of a long-arm statute may be sufficient to allow a court to enter an order in personam against a nonresident defendant spouse.

Example: In *Kulko v. Superior Court of California*, 436 U.S. 84 (1978), the Supreme Court held that the purported exercise of personal jurisdiction over a New York resident by a California court violated the Due Process Clause where the action concerned modification of the financial portions of a New York divorce decree. Although the divorced wife was a resident of California and the two children of the marriage had chosen after the divorce to live with their mother in California, the

marital domicile had been New York, and the defendant husband had no significant contact with California to justify the exercise of personal jurisdiction over him in California.

e. Valid marriage

As in the case of legal separation, there must be a validly existing marriage as a prerequisite to a divorce action.

f. Venue

Proper venue is set by statute.

Example: The action may be required to be brought in the county or judicial district where either party lives or where the parties last lived together as husband and wife.

g. Financial disclosure

Where a spouse seeks alimony, child support, property division, counsel fees, or expenses, generally a statement of income, expenses, assets, and liabilities must be filed by both parties with the court.

h. Appointment of hearing officer

In many states, a court may appoint a master or hearing officer to hear all claims (excluding custody). The master's findings and recommendations are submitted to the court for examination and possible adoption into a subsequent court order.

i. Default or summary judgment

Generally, no judgment may be entered by default or on the pleadings in a marital action. The moving party must generally testify as to the grounds for dissolution of the marriage.

3. Grounds For Divorce

States recognize both fault and no-fault grounds for divorce. Fault grounds include desertion, adultery, impotence, cruelty, imprisonment, nonsupport, and intoxication. No-fault grounds include irretrievable breakdown, separation for a statutory period of time, and serious mental disorder.

a. Desertion

1) In general

An innocent and injured spouse may obtain a divorce when the other spouse without reasonable cause, abandons marital cohabitation with the intent to desert and willfully persists for a continuous and set period of time, often one year. Voluntary or consensual separation negates the requisite intent.

2) Constructive desertion

Abandonment of the marital abode is generally not necessary to prove desertion; constructive desertion may be established where one spouse forcibly and without consent puts the other out of the house, or the latter leaves because of justifiable

fear of immediate bodily harm, and the separation continues for the requisite period of time. The statutory period generally does not include the time during which a divorce action is pending.

b. Adultery

Because there is a natural secrecy to the act of adultery, circumstantial rather than direct evidence is usually used. Evidence of an adulterous disposition plus an opportunity to commit adultery may be sufficient. However, the uncorroborated testimony of either party is generally not sufficient to prove adultery without further evidence.

c. Impotence

Impotence is the inability of one party to perform the act of sexual intercourse. It may also be a ground for annulment if the fact was concealed before the marriage. Sterility, the inability to conceive or to father children, is **not** a fault ground for divorce.

d. Cruelty

Most commonly, this ground consists of a deliberate battery committed by one spouse upon the other, which causes physical injury. However, an activity carried on by one spouse (such as harsh words), which is designed to hurt the other spouse's health and does in fact impair health, may warrant a finding of cruelty even though no physical abuse is involved.

e. Imprisonment

Imprisonment of a spouse for specified crimes, or for a specified length of incarceration, may be a ground for divorce.

f. Nonsupport

A ground for divorce is present if a spouse, being of sufficient ability, refuses or neglects to provide support and maintenance for the other spouse.

g. Intoxication

Habitual intoxication by means of liquor or drugs may constitute a ground for divorce.

h. Irretrievable breakdown of the marriage

A court may be able to grant a divorce upon proof that the marriage has been irretrievably broken down for a set statutory period of time (such as six months or one year). This may encompass both a mutual consent situation where the parties have both filed requisite affidavits so stating, or a unilateral situation where only one spouse files the requisite affidavit. Where only one spouse files the requisite affidavit, some states impose a longer period of time for proof of irretrievable breakdown.

The standard for determining the existence of an irretrievable breakdown is broad, and the court should examine all evidence which bears on the viability of the marriage. Generally, irretrievable breakdown is defined as estrangement due to marital differences with no reasonable prospect of reconciliation.

i. Separation

In some states, a lengthy period of voluntary separation (such as one year or longer) may be sufficient for a court to grant a no-fault divorce.

j. Serious mental disorder

In some states, proof of serious mental disorder resulting in the defendant's confinement in a mental institution may be grounds for a divorce.

4. Defenses To Divorce

Some affirmative defenses may be used in certain states to defeat a plaintiff's divorce action. These defenses must be affirmatively pleaded by the defendant in order to be used at trial, and generally do **not** apply if the divorce is for a no-fault ground:

a. Innocent and injured spouse

Proof that the plaintiff is not an innocent and injured spouse may be a valid defense to a fault-based divorce action.

b. Collusion

Collusion is an agreement between the spouses, express or implied, whereby one of them wrongfully asserts that the other has committed a breach of marital duty in order to obtain a divorce. It implies an agreement whereby evidence is fabricated or suppressed in an attempt to deceive the court and obtain a dissolution of the marriage in the absence of any legitimate legal grounds.

c. Condonation

Where one spouse knowingly forgives the other's marital wrong (usually adultery), by words or conduct, so that the marital relationship, i.e., cohabitation, is continued, such forgiveness may bar an action founded upon that marital wrong. Condonation is a question of fact that must be determined by an examination of all the evidence.

Condonation can be either conditional or unconditional. It is conditional if made contingent on the erring spouse not resuming the misconduct. A conditional condonation does not preclude the injured spouse from raising the initial misconduct as a ground for divorce where the conditions imposed on forgiveness have been violated.

d. Connivance

Connivance is conduct by the plaintiff facilitating the commission of a marital wrong, usually adultery, by the defendant. Unlike collusion, the marital wrong is actually committed in the case of connivance.

e. Recrimination

Recrimination requires proof that the plaintiff committed a marital wrong, such as adultery, thus barring the plaintiff from obtaining a divorce even though proof has been presented that the defendant also committed a marital wrong such as adultery. Because both parties have committed marital wrongs, a divorce is denied to both of them. In some states, the defense has been abolished and where both parties prove a marital wrong, a divorce is granted to **both** husband and wife.

5. Mediation And Alternative Dispute Resolution

Many states encourage the use of mediation and alternative dispute resolution procedures in order to avoid a trial. These may be especially useful for such matters as custody and visitation disputes.

a. Mediation

Mediation generally entails the referral of the matter to a third person who has been trained in marital dispute mediation techniques and who will attempt to have the parties reach a resolution of their dispute.

b. Alternative dispute resolution (ADR)

Alternative dispute resolution procedures may also involve court-annexed arbitration, or referral of the case to masters or court hearing officers.

c. Separation agreements

The use of separation agreements, discussed below, also represents an alternative to litigation.

6. Rights During Pendency Of Divorce Proceeding

While a marital action is pending, the court can make temporary orders for custody or support and has general equity powers to issue injunctions or other orders necessary to protect the parties' interests. For example, the court may order alimony, counsel fees and expenses pending final decision, or it may order the seizure or attachment of property. The court may also order one party to vacate the marital residence.

D. SEPARATION AGREEMENTS**1. Validity**

The use of separation agreements to settle the affairs of spouses who have decided to change or end their marital relationship is encouraged by the law. The parties are regarded as generally being in a better position than the court to determine what is a fair and reasonable settlement. Further, it is expected that they will be able to conform more readily and willingly to an agreement worked out between themselves than they would to one imposed by the court.

a. Execution

A separation agreement is generally executed after the cause for separation has occurred and while the parties are separated. Separation agreements must be fairly

and voluntarily made and will be upheld in the absence of fraud, duress, concealment, or overreaching. That the agreement was ill-advised or that a more favorable agreement could have been made is generally no defense. In addition, there must be a full and fair financial disclosure between the parties.

b. Court authority

The agreement may be used to settle all property rights and claims of the spouses, including child support and custody. However, the court retains the authority to make appropriate orders contrary to the agreement where necessary to protect the best interests of the children affected.

c. Burden of proof

The burden of proof ordinarily is on the party who asserts the invalidity of the agreement. However, where the agreement on its face appears so unfair and unreasonable as to raise a presumption of invalidity, the party relying on the agreement will have the burden of rebutting the presumption.

2. Contract Principles Govern Agreement

The agreement is a contract between the parties and is governed by ordinary contract principles. If intended as a complete and final settlement (i.e., fully integrated) it will bar all further claims by either party. It must be supported by consideration, and each party's waiver of rights in the property or estate of the other spouse is sufficient consideration.

The agreement must also set forth the rights and obligations of the parties in a clear and definite manner. Enforcement of the agreement is accomplished by an action for breach of contract, or for specific performance of its terms.

3. Modification Of Agreement

The agreement may only be modified by the mutual consent of the parties. Without mutual consent, the court may not modify the agreement unless the best interests of the children call for modification or the agreement is merged into a decree of the court. This is discussed below at "Separation and Support Agreements."

4. Revocation Of Agreement

The parties may expressly or impliedly agree to terminate or revoke the agreement. If both parties act in a manner inconsistent with the terms of the agreement, mutual consent to terminate the agreement may be found. Subsequent cohabitation by the parties after a reconciliation will have the effect of voiding the agreement only if such intent is manifested by the parties.

VII. THE DIVORCE DECREE

A. IN GENERAL

In addition to terminating the marital relationship and related legal effects, the divorce decree may determine the respective rights of the parties with regard to: (1) division of property; (2)

alimony; and (3) child support, custody, and visitation. The divorce decree may incorporate a separation agreement reached by the parties on these matters.

B. LEGAL EFFECTS OF FINAL DECREE

1. Right To Marry And Inherit

Once a divorce has been decreed, either party may generally marry again as if the party had never been married. Each divorced party loses the right to intestate inheritance and to take an elective share from the estate of the other party.

2. Effect On Property

Property held by the parties as tenants by the entirety and not otherwise disposed of by the court decree is generally converted by operation of law into a tenancy in common.

3. Revocation Of Provisions In Will

Unless a will expressly provides otherwise, a divorce or annulment revokes any disposition or appointment of property made by the will to a former spouse and any provision naming the former spouse as executor or trustee. Property that is prevented from passing to the former spouse will pass as if the former spouse predeceased the testator.

Divorce generally does not affect designations of beneficiaries on life insurance or pension plans, unless the court decree so provides.

C. SEPARATION AND SUPPORT AGREEMENTS

1. Agreements Incorporated Into The Judgment

As discussed above, husbands and wives contemplating divorce frequently reach agreement on such matters as the division of property, future alimony and child support payments, and custody and visitation rights. At the time when the divorce is actually granted, such agreements are many times presented to the court and merged into the judgment. The agreement is thereafter not enforceable as a contract obligation, but can be enforced only by contempt proceedings. However, if the agreement is merged into the decree, the terms of the agreement can be modified in the event that circumstances have changed by modifying the decree.

2. Where The Contract Survives The Decree

The parties to a divorce action can provide that the separation agreement will survive the judgment of divorce as an independent agreement, and will not be merged into the decree. In such a case, the terms may be enforced by an action on the contract **or** through contempt proceedings with regard to the decree. Generally, though, such agreement cannot be modified except for provisions fixing child support and custody, where the court has an inherent power of modification in cases of changed circumstances.

D. DIVISION OF PROPERTY

1. In General

a. Community property

Community property states (such as California) generally provide for equal (or sometimes equitable) division of community, or marital, property at the time of divorce.

b. Common law

The noncommunity property states reach a similar result through the theory of equitable distribution of property at divorce. Thus, the court will determine and dispose of existing property rights and, upon request of either party, will equitably distribute the property between the parties.

c. Equitable distribution statutes

The equitable distribution statutes of some states, such as New York and Pennsylvania, classify property of the spouses as marital or separate (or marital or nonmarital) and exempt separate (or nonmarital) property from equitable distribution. Thus, in these states, separate property is **not** subject to equitable distribution. Rather, the court must set aside separate property to the spouse who holds legal title thereto and then equitably distribute marital property between the spouses. However, a court can consider the spouses' separate property in equitably distributing the marital property.

d. No classification

Other states, such as Massachusetts, do not classify property as marital or separate but allow the court to divide **any** property of either of the parties, including property acquired before the marriage or during the marriage by inheritance.

2. Marital And Separate Property

In states that classify property as marital or separate and allow for equitable distribution of **only** marital property, the classification is determined generally as follows. Marital property is all property acquired by either husband or wife, individually or jointly, during the marriage, except property:

- a. **acquired prior to marriage** or property acquired in exchange for property acquired prior to the marriage, except for the increase in value of separate property during the marriage (which is marital property);
- b. **excluded by valid agreement** of the parties;
- c. **acquired by gift** (except between spouses), bequest, or inheritance; or
- d. **acquired after the final separation** of the parties (or in some states, after the commencement of the divorce action).

3. Valuation

The value of the property involved must be either determined on the basis of admitted evidence or stipulated by the parties, with the consent of the court. The time for valuation may be the date of the hearing or the time of distribution.

4. Particular Property Interests

a. Pensions and retirement benefits

Many states allow both vested and nonvested pension and retirement benefits to be equitably divided. These would include deferred compensation agreements, profit sharing benefits, and military retirement benefits, to the extent allowed by federal law.

b. Professional goodwill

Some states allow the equitable distribution of a spouse's goodwill in a professional practice. Thus, a spouse's goodwill in a medical practice, as distinct from tangible assets of the practice, has been held to be property subject to equitable distribution. The value of such goodwill is to be determined in light of the price which a willing buyer would pay for the practice in excess of the tangible assets.

However, one court has held that where "the goodwill of the practice cannot be detached from the personal reputation and ability of the practitioner through a sale, it cannot be said to have any significant market value, even though it may enhance the earning power of the practitioner so long as he continues to work in the same community." *Eslami v. Eslami*, 218 Conn. 801, 591 A.2d 411 (1991).

c. Fraudulently transferred property

Property owned by a party during the marriage, but fraudulently transferred in contemplation of the divorce, can also be included as a marital asset.

d. Personal injury claims

In some states, an unliquidated claim to recover damages for personal injury is not considered marital property on the basis that the interest is personal to the spouse who was injured. Similarly, in some states, personal injury damages that have been awarded to a spouse are likewise not considered marital property.

e. Professional degrees and licenses

Most states have held that a professional degree or license is not a property interest subject to equitable distribution. Even if a degree is not considered divisible marital property, however, it may be considered in an alimony award.

f. Expectancies

Although a future interest in property is a current property interest subject to equitable distribution, an **expected** inheritance from a parent (where the parent is still alive at the time of the divorce) is not subject to distribution.

Stock options earned during marriage are marital property even if not exercised until after divorce. *MacAleer v. MacAleer*, 725 A.2d 829 (Pa.Super.Ct.1999).

5. Division Of Debts

In many states, the court is also authorized to assign marital debts and liabilities to one or other of the spouses as equity demands.

6. Factors In Making Order For Equitable Distribution

a. Relevant factors

The court should divide property in such proportions as may be just and equitable after considering such factors as the following:

- 1) the length of the marriage;
- 2) any prior marriage of either party;
- 3) the age, health, station, amount and sources of income, vocational skills, employability, estate, liabilities and needs of each of the parties;
- 4) the contribution by one party to the education, training, or increased earning power of the other party;
- 5) the opportunities of each party for future acquisitions of capital assets and income;
- 6) the sources of income of both parties, including but not limited to medical, retirement, insurance or other benefits;
- 7) the contribution of each party in the acquisition, preservation, depreciation or appreciation of the marital property, including the contribution of a party as homemaker;
- 8) the dissipation of the marital property by wrongful conduct;
- 9) the value of the property set apart to each party;
- 10) the standard of living of the parties established during the marriage;
- 11) the economic circumstances of each party, including all tax ramifications, at the time the division of property is to become effective, and
- 12) whether the party will be the custodian of any dependent minor children.

b. Role of marital misconduct

Marital misconduct is generally an irrelevant factor in dividing property in most states, although in some states, fault may be considered, particularly where the fault is extreme.

7. Type Of Order

In fashioning an order that will effectuate the purposes of equitable distribution, courts are given broad equitable powers and may make an in-kind distribution, order the sale of property, or impose liens on property as security.

8. Reasons For Order

Most statutes require the court to set forth its reasons for the order of equitable distribution.

9. Final Order

Once the property division order is made, it is a final order and not subject to future modification.

E. ALIMONY OR MAINTENANCE

1. In General

Alimony, also referred to as maintenance or spousal support, may also be awarded to one of the spouses as part of a divorce decree. Alimony may be awarded to a husband or to a wife, after consideration of all relevant factors set forth below. *Orr v. Orr*, 440 U.S. 268 (1979).

Under the Uniform Marriage and Divorce Act (§308), an alimony order may be made only if the court finds that the spouse who is seeking alimony:

- a. Lacks sufficient property to provide for his reasonable needs; and
- b. Is unable to support himself or herself through appropriate employment or is the custodian of a child whose condition or circumstances make it appropriate that the custodian not be required to seek employment outside the home.

2. Nature Of Alimony

a. Periodic alimony

A periodic alimony order requires a certain amount of money to be paid at set intervals, and the obligation will generally continue until the recipient dies, remarries, or the court modifies the order.

b. Lump sum alimony

Under appropriate circumstances, the court may make an award of lump-sum alimony. Lump-sum alimony is distinguished from the normal alimony award in that it is for a fixed amount, rather than a periodic obligation with no aggregate limitations. Unlike a periodic alimony order, an award of lump-sum alimony is a final order, which may not be modified even if the lump sum is payable in installments.

c. Rehabilitative alimony

Rehabilitative alimony may be awarded to a spouse for a limited period of time for the purpose of support until the recipient spouse is able to become self-supporting by entering the work force.

3. Factors For Alimony

a. Standard under uniform act

The Uniform Marriage and Divorce Act (§308) provides for the following to be considered in making an alimony (maintenance) order:

The maintenance order shall be in amounts and for periods of time the court deems just, without regard to marital misconduct, and after considering all relevant factors including the:

- 1) **financial resources** of the party seeking maintenance, including marital property apportioned to him, his ability to meet his needs independently, and the extent to which a provision for support of a child living with the party includes a sum for that party as custodian;
- 2) **time necessary** to acquire sufficient education or training to enable the party seeking maintenance to find appropriate employment;
- 3) **standard of living** established during the marriage;
- 4) **duration of the marriage**;
- 5) **age and the physical and emotional condition** of the spouse seeking maintenance; and
- 6) **ability of the spouse** from whom maintenance is sought to meet his needs while meeting those of the spouse seeking maintenance.

b. Role of marital misconduct

Although the Uniform Act provides that alimony shall be determined “without regard to marital misconduct,” some states do allow a court to take into account the marital misconduct of either of the parties during the marriage.

c. Earning capacity

In appropriate circumstances, the court may consider each spouse’s earning capacity, rather than the spouse’s actual earned income, in making its award.

Example: Where a husband voluntarily decreases his income in an attempt to deprive his wife of an adequate level of support upon dissolution, the court’s award may be based upon his earning capacity rather than his current earnings.

4. Reasons For Order

As in the case of property division orders, most statutes require the court to set forth the reasons for its denial or award of alimony and the amount thereof.

5. Modification And Termination Of Alimony

a. Changed circumstances

An award of alimony (except for lump-sum alimony) may be modified by the court on a showing of a change in circumstances of either party of a substantial and continuing nature. In some states, modification may be explicitly precluded by the

decree that made the original award. A voluntary or self-imposed change in need or ability to pay will not be a ground for modification, unless that party can make a substantial showing that the change was not brought about for the purpose of achieving a modification of the award. Alimony is not owed for periods of reconciliation.

b. Death

The death of the payor spouse usually will terminate the obligation for alimony, unless the court has required the alimony to be an obligation of the deceased spouse's estate. Death of the payee spouse will terminate alimony.

c. Remarriage

Remarriage of the recipient spouse may constitute a change in circumstances warranting modification. In some states, alimony will terminate automatically upon remarriage; in others, the alimony must be judicially modified or terminated.

d. Cohabitation

Cohabitation of the recipient spouse with another person who is not a member of the recipient spouse's family may constitute a change in circumstances warranting modification where there is evidence that the living arrangement has altered the financial needs of the recipient spouse.

6. Enforcement And Security For Alimony Award

a. In general

The court can require that either spouse provide security for the payment of alimony, or can permit attachment or sequestration of the property of the obligor spouse.

b. Contempt

Failure to make payments may also be punishable through civil contempt proceedings. A judgment of civil contempt may result in fines or incarceration against the obligated party.

c. Prosecution for nonsupport

Willful failure to comply with an alimony order may lead to prosecution for nonsupport under a state criminal law.

d. Income withholding orders

An alimony order may also be enforced by an income withholding order directing the employer of the obligor to withhold a portion of the earnings of the obligor and to pay them over to a person designated by the court.

e. Costs and attorney's fees

States generally provide that a court may award costs and expenses to either party or to her counsel.

F. EQUITABLE REIMBURSEMENT

Some states recognize a right of a spouse to be reimbursed under specified circumstances for contributions made during the marriage to the education, training, or increased earning capacity of the other spouse. This remedy, which is called “reimbursement alimony” in some states and “equitable reimbursement” in others, exists in addition to any right to alimony or equitable distribution.

An award of equitable reimbursement may be appropriate as a matter of fairness to the spouse who made such contributions, to the extent that the contributions exceed the minimum amount which a spouse is legally obligated to spend for the support of the other spouse. *Bold v. Bold*, 574 A.2d 552 (Penn., 1990).

G. CHILD SUPPORT

1. Establishing Support

a. In general

A parent has an absolute legal duty to support her minor children. As an incident to a divorce judgment and the entry of a custody order, the court may require a parent to pay periodic sums for the support of her minor children during the period of their minority. A child support order is generally entered only against the noncustodial parent. In making a support award, the court is required to consider the age, health, station, occupation, earning capacity, amount and sources of income, estate, vocational skills and employability of each of the parents, and the age, health, station, occupation, educational status and expectation, amount and sources of income, vocational skills, employability, estate and needs of the child.

b. State child support guidelines

Child support orders are issued after consideration of the state child support guidelines. These guidelines are generally a mathematical formula based on the income of the parents. There is a rebuttable presumption in most states that the amount of child support, if computed consistent with the guidelines, is the proper amount of support to be ordered.

c. Independent of visitation rights

The obligation to support is independent of any visitation rights in the payor spouse. Interference with the visitation rights by the custodial spouse does not discharge the noncustodial spouse’s obligation to provide support.

2. Modification Of Support Order

Pursuant to its continuing jurisdiction over matters of support and custody, the court has the ability to modify an earlier order where the proponent of the change successfully establishes that there has been a material change in the needs of the child or the ability of the parents to pay.

3. Termination Of Child Support

a. In general

Generally, a parent's duty of support is presumed to end at the child's majority. However, in some jurisdictions (or where the parties so agree in a valid agreement), the parent may have a legal duty to continue support while the child is attending college and to contribute toward the cost of the education, to the extent that the parent is financially able to do so.

However, as previously noted, one state supreme court has enunciated the view that courts in that state lack the power to require child support beyond the age of majority while a child is in college; any change in the common law rules must come by means of legislation extending the support obligation beyond the age of majority for such purpose. *Blue v. Blue*, 616 A.2d 628 (Penn., 1992).

b. Forfeiture of right to child support

A child who voluntarily leaves the custodial parent's home, or who willfully fails to abide by the reasonable rules of the custodial parent, may be held to have forfeited the right to child support.

Example: Where a 17-year-old daughter refused to live with her father and stepmother after her mother moved out of state and the daughter moved into her own apartment, the father's obligation to contribute to her support was terminated in light of the fact that the daughter was unable to present any "justifiable reason" for not residing with her father and where it was found not to be in her best interest to reside alone. *Oeler by Gross v. Oeler*, 594 A.2d 649 (Penn., 1991).

4. Enforcement And Security For Child Support

a. In general

A child support order can be enforced exactly as an alimony award, i.e., through a civil contempt proceeding, a criminal nonsupport prosecution, and/or income withholding order. The court may also require security, permit sequestration or attachment of property, and award costs and attorney's fees just as with alimony. See "Enforcement and Security for Alimony Award," *supra*.

b. Remedies available under federal law

Federal law also provides remedies for the enforcement of child support orders, including interstate income withholding orders against obligated parents; interception of federal income tax refunds owed to obligated parents; use of federal agencies and records for the purpose of locating absent parents in order to establish and enforce child support orders; and reporting of deficiencies to credit reporting agencies.

c. Uniform Reciprocal Enforcement of Support Act

Most states have adopted the Uniform Reciprocal Enforcement of Support Act in order to facilitate the interstate enforcement of child support orders.

H. CUSTODY OF CHILDREN

1. In General

A decree granting a divorce or an annulment will also include an order determining custody of minor children and visitation rights.

2. Jurisdiction To Decide Custody

a. Subject matter

Custody matters are generally heard in the same state court that has jurisdiction over family and divorce matters. In some states, juvenile courts also may be able to determine issues regarding custody.

b. Uniform Child Custody Jurisdiction and Enforcement Act (UCCJEA)

1) Purpose of the act

The purposes of the Act are to avoid jurisdictional disputes with courts of other states in matters of child custody and visitation, to promote interstate cooperation, and to facilitate the interstate enforcement of custody and visitation orders.

2) Home state jurisdiction test

A child's home state is the state in which the child lived with a parent (or the person acting as a parent for at least six consecutive months prior to commencement of the proceeding. In determining whether the six-month test has been met, temporary absences are disregarded. A court has jurisdiction to initially enter or modify a child custody or visitation order if the state meets this definition as the child's home state.

(a) Exclusive continuing jurisdiction

The court that makes the initial child custody or visitation determination has exclusive continuing jurisdiction over the matter until the court determines that 1) neither the child nor the child and one parent have a significant connection with the state, and substantial evidence relating to the matter is no longer available in the state, or 2) neither the child nor the child's parents continue to reside in the state. UCCJEA §202.

(b) Exceptions to the home state jurisdiction test

A court has jurisdiction to enter or modify a child custody or visitation order if no other state has home state jurisdiction (or if any court of the home state has declined to exercise jurisdiction based on the grounds of an inconvenient forum). In addition, 1) the child and at least one parent must have a significant connection with the new state, and 2) substantial evidence pertaining to the child's care, protection, training, and personal relationships is available in the new state. This is known as the "significant connection" test.

3) When a court may decline jurisdiction

(a) Inconvenient forum

A court meeting either the “home state” test or the “significant connection” test may decline to exercise jurisdiction if it determines that under the circumstances a court in another state is a more appropriate forum. UCCJEA §207.

(b) Unjustifiable party conduct

If the party seeking to invoke the court’s jurisdiction has engaged in unjustifiable conduct, e.g., wrongful removal of the child from another state, then a court may decline to exercise jurisdiction. UCCJEA §208.

4) Temporary Emergency Jurisdiction

A court will have temporary emergency jurisdiction if either 1) the child has been abandoned, or 2) it is necessary in an emergency to protect the child because the child or her sibling or parent has been subjected to or threatened with mistreatment or abuse. UCCJEA §204.

5) Enforcement of another state’s order

A court may use any remedy that is available to enforce one of its own orders, when enforcing a custody or visitation order from another state. In addition, the following remedies are expressly provided for by the UCCJEA:

(a) Order registration

A custody or visitation order can be registered with the state, without requiring a simultaneous request for enforcement. If the registration is not challenged, the court is empowered to grant any relief deemed available for enforcement of the registered child custody determination. UCCJEA §305.

(b) Expedited enforcement

The UCCJEA also establishes a procedure similar to a habeas corpus proceeding for enforcing a child custody or visitation order. Once the petition has been filed, the court orders the respondent to appear at a hearing held the next judicial day after service of the order. The order states that the court will award the petitioner immediate physical possession of the child unless the respondent establishes that 1) the custody or visitation order was not registered, and the issuing court did not have jurisdiction; the order had been stayed or vacated; the respondent was entitled to notice; and that notice was not given before the court issued the order by which enforcement is sought, or 2) the order was registered and confirmed, but the order has been stayed or vacated. UCCJEA §308.

(c) Warrant to obtain physical custody

The petitioner may also file a verified application for the issuance of a warrant to take physical possession of the child. The court will issue the warrant if it

finds that the child is imminently likely to suffer serious physical harm or to be removed from the state. UCCJEA §311.

(d) Scope of authority for law enforcement officials

A public official, a law enforcement officer, or a prosecutor may take any lawful action to locate a child, obtain the return of a child, or enforce a custody or visitation order 1) when requested by the court, or 2) if there is a reasonable belief that the person holding the child has violated a criminal statute. UCCJEA §315.

c. The Uniform Child Custody Jurisdiction Act (UCCJA)

Some states still operate under the old version of the uniform law called the UCCJA, which recognizes the same jurisdictional basis as the UCCJEA but does not prioritize between “home state” and “significant connections” jurisdiction. In addition, the UCCJA fails to make emergency jurisdiction temporary in nature, thereby, often resulting in competing claims of jurisdiction from multiple states.

3. Counsel For Child; Investigators

Some states allow the trial judge to appoint legal counsel to represent the child in contested custody cases in order to advocate for the child. In addition, the court may appoint an investigator, professional personnel, or guardian ad litem to advise the court on issues of custody and visitation.

4. Child’s Preference

Many states provide that the judge may interview the child in chambers to determine the child’s wishes regarding custody. *See* Uniform Marriage and Divorce Act, §404. However, the child’s wishes are only one of many factors that must be considered by the judge in determining the best interests of the child, as discussed below.

5. Mediation And Other Alternatives

a. In general

In an effort to lessen disruption to the lives of children that adversary court proceedings regarding custody and visitation may create, some states encourage the use of family mediation and other forms of alternative dispute resolution.

b. Purpose

The purpose of mediation is to aid the family in reaching an informed and consensual resolution of the custody dispute by referral of the matter to a trained mediator who may suggest methods by which the parties may voluntarily settle the problems which divide them.

Other methods of alternative dispute resolution may involve referral of the matter to trained employees of the court system for settlement discussions or use of conciliators or arbitrators.

6. Best Interests Standard

a. Determination

In custody determinations between the father and mother of a minor child, the court must exercise its sound discretion to decide as to which parent, if either, the custody of such child should be committed. Regard is had to the best interests and welfare of the child and the fitness of the parent.

b. Equality between parents

Today, custody is awarded on a sex-neutral basis between the parents. The doctrine that children of “tender years” should be committed to the care of the mother unless there were compelling reasons to the contrary has been rejected in modern times.

c. Shared or joint custody

Some states have statutes that embody a policy that both parents participate as much as possible in the rights and responsibilities of child rearing. Thus, there is in some states a preference in favor of shared or joint **legal** custody (in particular, where the parties have agreed to such an award). Shared legal custody means mutual responsibility and involvement in the major decisions regarding a child’s education, medical care, and emotional, moral and religious development. Where the court determines that it is in the child’s best interest, however, the court can order that only one parent shall have legal custody.

There is generally no presumption or preference in favor of shared or joint **physical** custody. Shared physical custody means that the child will reside for set periods of time with each of the parents.

d. Custody factors

In making a custody order, the court may consider which parent will allow the most contact between the child and the noncustodial parent. The desires of a child of sufficient age and understanding are considered, but are not controlling. The policy against separating siblings is also a factor to be considered in determining the best interests of the child.

1) Primary caretaker

In order to provide continuity and stability to the child, many states will give consideration to the parent who served as the “primary caretaker” of the child prior to the separation of the parties.

2) Parental misconduct

The fact that a parent was guilty of misconduct in connection with the divorce action will be relevant only insofar as the parent’s moral fitness affects the child’s welfare. Likewise, a parent’s nonmarital relationships may not be relevant to a determination of child custody, unless they are shown to negatively affect the child.

3) Best interests of the child

Under §402 of the Uniform Marriage and Divorce Act, the **best interest of the child** is determined by examination of all relevant factors, including the following:

- (a) the wishes of the child's parent or parents as to his custody;
- (b) the wishes of the child as to his custodian;
- (c) the interaction and interrelationship of the child with his parent or parents, his siblings, and any other person who may significantly affect the child's best interest;
- (d) the child's adjustment to his home, school, and community; and
- (e) the mental and physical health of all individuals involved.

e. Presumption in favor of parents

In any dispute as to the custody of minor children involving a parent and a nonparent, there is a presumption that it is in the best interests of the child to be in the custody of one of the parents. Thus, a third person such as a grandparent or other relative will generally be able to obtain custody against the parents only upon a showing that the parents are not fit for custody.

f. Conditions to award

A court may attach reasonable conditions on the custodial rights of the parties to ensure that the child's best interests and welfare are protected.

Example: The court may order parents to attend counseling sessions or to submit periodic reports or plans regarding custody to the court. Similarly, a court may order a custodial parent not to remove a child from the state without prior court approval.

7. Visitation

a. Noncustodial parent

The noncustodial parent will generally be granted reasonable visitation rights, unless the court finds that visitation is detrimental to the best interests of the child. The Uniform Marriage and Divorce Act, §407, provides for reasonable visitation unless it "would endanger seriously the child's physical, mental, moral, or emotional health."

b. Third persons

In many states today, a court may grant visitation rights upon divorce or annulment to grandparents, stepparents, or other adults who have established a substantial relationship with the child, if such an order is in the best interests of the child. Generally, such visitation rights will terminate if the child is adopted by someone outside the family. Note that when considering third-party visitation, the best interest standard may be overridden by the constitutional rights of parents to make decisions based on the care and control of their children. *Troxel v. Granville, supra*.

8. Modification And Termination Of Custody

a. Jurisdiction to modify

Because custody orders are not viewed as final orders, a court may later exercise jurisdiction to reconsider an earlier custody order for purposes of modification. Jurisdiction to modify a custody order is determined by the provisions of the Uniform Child Custody Jurisdiction Act, discussed above.

b. Standard for modification

The prevailing view is that a court may modify a custody order upon proof of a material and substantial change in circumstances such that a change in custody will be conducive to the best interests of the child. The burden of proving change in circumstances is upon the party seeking modification of the custody order. However, stability of the child's existing placement is a factor to be considered in favor of the custodial parent.

In a few states, however, a court need **not** identify a material or substantial change in circumstances to modify a custody order. Rather, the court must find that a change in the custody order is consistent with the best interests of the child. *McMillen v. McMillen*, 529 Pa. 198, 602 A.2d 845 (1992).

c. Violation of visitation order

The disobedience of a court order for visitation or otherwise by the custodial parent will generally not automatically disqualify that parent from continuing to have custody.

d. Termination of custody order

A custody order in a divorce proceeding is terminated by the death of the custodial parent, and the surviving parent is usually entitled to custody unless the latter is determined to be unfit. A custody order also will terminate when a child attains the age of majority or otherwise becomes emancipated.

9. Enforcement Of Custody And Visitation Orders

Various methods exist by which courts may enforce valid custody and visitation orders.

a. Contempt

Violation of a custody or visitation order may constitute civil contempt, and a party found in contempt may be fined or incarcerated until she complies with the order.

b. Counsel fees and expenses

Counsel fees, costs, and other expenses may be assessed against a party found to have violated an order.

c. Interstate enforcement

A custody or visitation order from state A may be enforced in state B by registration of the state A decree in the courts of state B, thus making the order enforceable in the

same manner as a custody decree rendered by state B. Uniform Child Custody Jurisdiction Act, §15.

d. Federal Kidnapping law

1) Parental Kidnapping Prevention Act

The federal Parental Kidnapping Prevention Act of 1980 provides for use of federal records to locate a parent who has engaged in interstate kidnapping of a child in violation of a custody order and provides for federal criminal penalties.

2) International abduction

The primary purpose of the Hague Convention on the Civil Aspects of International Child Abduction (“Hague Convention”) is to preserve the status quo custody arrangement of the parties and to deter a parent from crossing international boundaries in search of a more sympathetic court. Under the Hague Convention, the court’s role is to ascertain which contracting state has jurisdiction to determine the custody rights of children who have been wrongfully removed. International Child Abduction Remedies Act, § 2 et seq., 42 U.S.C.A. §11601 et seq. The parent who has removed the parties’ children may allege as a defense that the parent petitioning for return failed to exercise his or her rights of custody.

Example: Former husband was exercising his rights to custody of parties’ children at time former wife wrongfully removed children from Israel to United States, and thus former wife would be ordered to return children to Israel, where, even though children resided with their maternal grandmother, former husband had been sole source of financial support for children, and former husband regularly visited children while they resided with grandmother. *Sampson v. Sampson*, 975 P.2d 1211 (1999).

e. Modification of order

A court may modify an existing custody or visitation order to facilitate compliance where doing so will promote the best interests of the child.

VIII. EXTRATERRITORIAL RECOGNITION OF FOREIGN DIVORCE DECREES AND ORDERS

A. FULL FAITH AND CREDIT FOR FOREIGN DIVORCES

1. Divorce Decree From Sister State

a. When only one spouse participates

The domicile of one of the parties to a marriage is a sufficient basis for a state to render a divorce even if there was no personal jurisdiction over the nondomiciled spouse. *Williams v. North Carolina*, 317 U.S. 287 (1942). Thus, if one spouse leaves home, establishes a genuine new domicile in another state, and then secures a divorce, the stay-at-home spouse’s state must give full faith and credit to the divorce, as long as reasonable notice of the action was given to the stay-at-home spouse.

However, where only one spouse participates in a divorce proceeding, (e.g., the stay-at-home spouse is served with notice but allows a default to be entered), the stay-at-home spouse has the right to attack the finding of the domicile of the procuring spouse because there has been no contested hearing on the issue of domicile in the rendering state. When the procuring spouse returns to his original domicile soon after the divorce or, more conclusively, buys a round-trip ticket originally, the stay-at-home spouse will probably be able to attack the out-of-state decree successfully in the state of original domicile. *Williams v. North Carolina*, 325 U.S. 226 (1945).

The decree is presumptively valid, however, until attacked. *Cook v. Cook*, 342 U.S. 126 (1951). Moreover, the spouse who procured the out-of-state divorce may be estopped from attacking its validity. *McCarthy v. McCarthy*, 361 Mass. 359, 280 N.E.2d 151 (1972). There is an additional argument that the stay-at-home spouse who has taken advantage of the out-of-state divorce by remarrying should likewise be estopped from attacking it.

b. When both spouses participate

The underlying principles concerning the validity of an out-of-state divorce do not change when both spouses participate in the proceeding. Jurisdiction must still be based upon the domicile of one of the parties. However, by participating in the out-of-state divorce, through the entry of an appearance, the stay-at-home spouse is barred by the doctrine of res judicata from attacking the validity of the divorce, because the question of domicile has actually been, or could have been, litigated in the rendering state. *Sherrer v. Sherrer*, 334 U.S. 343 (1948).

The Court extended this doctrine in *Coe v. Coe*, 334 U.S. 378 (1948), barring a later attack where the defendant merely entered an appearance in the rendering state and admitted jurisdiction. Consent jurisdiction not only binds the parties, but also protects the decree from collateral attack to the extent that it is protected in the rendering state. If a nonparty would not be permitted to attack collaterally a divorce in the rendering state, the Full Faith and Credit Clause prevents its attack in any other state by a nonparty. *Johnson v. Muelberger*, 340 U.S. 581 (1951). Despite the fact that the parties and their privies cannot attack a consensual, out-of-state divorce, it does not necessarily bind the state in a bigamy prosecution. Furthermore, if the defendant's consent were obtained by fraud, the rule of the *Sherrer* case would be inapplicable.

2. Divorce Decree From Foreign Nation

A state need not recognize the validity of foreign country divorce decrees, but some states will generally recognize such decrees on the basis of comity if both spouses were represented and there was a court hearing in the court of the foreign country.

B. ENFORCEMENT OF FOREIGN SUPPORT DECREES

1. Divisible Divorce - Support Orders After An Out-of-State Divorce

A divorce court that has in rem jurisdiction over the marriage through the domicile of one spouse but has no personal jurisdiction over the absent spouse can **only** grant a divorce

and cannot affect the absent spouse's economic interests. The United States Supreme Court in *Estin v. Estin*, 334 U.S. 541 (1948), upheld the right of a state to continue in effect a support order after there had been an ex parte out-of-state divorce which purportedly terminated it.

2. Enforcement Or Modification Of Foreign Support Decrees

a. Full faith and credit

A state must give full faith and credit to a final alimony or spousal support order of another state. In other words, a state must enforce past due installments not subject to retroactive modification in the granting state. *Barber v. Barber*, 323 U.S. 77 (1944). As to future installments, which are subject to modification in the state issuing the order, a sister state may choose to enforce the issuing state's decree as it stands or to modify it.

By statute in most states, any payment due under a child support order issued by any court or agency of competent jurisdiction of another state, is a judgment entitled to full faith and credit under the Full Faith and Credit for Child Support Orders Act ("FFCCSOA"). The statute simply requires that (i) the court had jurisdiction over the matter and the parties and (ii) the parties had reasonable notice and an opportunity to be heard. 28 U.S.C. §1738B.

b. Uniform Reciprocal Enforcement Of Support Act

1) In general

The Uniform Reciprocal Enforcement of Support Act (URESA) provides a method by which any duty of support ordered to be fulfilled by any court order may be enforced in a jurisdiction other than the jurisdiction in which the order originated. The use of this procedure requires the participating states each to have adopted reciprocal legislation on this subject. The duty to support which is sought to be satisfied can arise from any support duty, whether imposed by common law or court order pursuant to a decree of divorce, legal separation, separate maintenance or otherwise.

2) Prima facie case

The initiating jurisdiction merely determines whether a prima facie case for support exists. If a prima facie case has been proven, it then transfers the papers associated with the proceeding to the responding jurisdiction in which it believes the defendant to be present. The responding jurisdiction then has the duty to make an independent determination of whether a duty to support in fact exists, and if the duty exists, to fix the amount of support required and to enforce it.

c. Uniform Interstate Family Support Act

A new uniform law addressing issues of interstate enforcement of support, the Uniform Interstate Family Support Act (UIFSA), was approved by the Commissioners on Uniform State Laws in 1992 and is intended to replace the

Uniform Reciprocal Enforcement of Support Act (URESA), if it is adopted by a particular state (see (b), above).

One significant provision of UIFSA creates expanded “long-arm” jurisdiction in an attempt to consolidate all proceedings in one state, the “home” state of the supported family. The home state is the state where the child has lived with a parent for at least the preceding six months. The new act provides that courts of the home state shall have personal jurisdiction over a nonresident in order to establish, enforce, or modify a support order (or determine parentage) if:

- 1) the nonresident is personally served in the home state;
- 2) the nonresident submits to personal jurisdiction;
- 3) the nonresident resided in the home state with the child;
- 4) the nonresident resided in the home state and provided support for the child;
- 5) the child resides in the home state as a result of “acts or directives” of the nonresident;
- 6) the nonresident engaged in sexual intercourse in the state and the child “may have been conceived” by that act;
- 7) the nonresident claimed parentage under the home state’s law; or
- 8) there is any other basis to assert personal jurisdiction under state and federal constitutional provisions.

Once the home state has asserted jurisdiction consistent with the act, UIFSA provides that the courts of the home state will have continuing, exclusive jurisdiction over the order as long as one of the parties remains a resident of that state. Unlike URESA, which involves proceedings in two states (the initiating state and the responding state), expanded personal jurisdiction under UIFSA may result in consolidation of all proceedings in the home state.

In instances where there is no basis for assertion of personal jurisdiction over the nonresident, UIFSA provides for the filing of a proceeding in the initiating state and the forwarding of that proceeding to the responding state in order to assert personal jurisdiction over its resident for the enforcement or establishment of a support order.

The new act also provides a mechanism for the registration of a support order in another state, a procedure that serves to make the support order enforceable in the same manner as if it had been originally issued by the state of registration. In addition, generally under UIFSA, the power to modify an existing order is limited to the state that issued the order, unless both parties no longer are residents of the issuing state.

C. MODIFICATION OF FOREIGN CHILD CUSTODY ORDERS

1. In General

Although a court taking jurisdiction of a custody matter need not, except as a matter of comity, give full faith and credit to the decree of a sister state because such a decree is almost always modifiable, and therefore not a final judgment, *May v. Anderson*, 345 U.S. 528 (1953), all states have adopted the Uniform Child Custody Jurisdiction Act (UCCJA) (also discussed above with regard to custody jurisdiction) requiring courts to give effect to the custody orders of sister states. The Act is intended to discourage jurisdictional competition among state courts by deferring to the continuing jurisdiction of another state court despite the temporary presence of the child in a second state.

2. Physical Presence Not Required

Under the UCCJA, the physical presence of the child in the state, while desirable, is not a prerequisite for jurisdiction, nor is physical presence of the child, or of the child and one of the contestants, sufficient in itself to confer jurisdiction on a court unless the child has been abandoned or it is necessary in an emergency to protect the child from abuse or neglect or for other good cause shown.

3. Proper Jurisdiction

A state properly exercises jurisdiction to make an initial custody determination or to modify a sister-state order if the state is the home state of the child at the commencement of the custody proceeding or if the child is absent from the state but the state had been the child's home state within six months before and a parent or custodian continues to reside in that state. A state may also exercise jurisdiction if it appears that no other state is the home state of the child and that the child and at least one contestant have a significant connection with the state and there is substantial evidence in that state concerning the child.



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FEDERAL JURISDICTION**

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FEDERAL JURISDICTION

I. THE FEDERAL COURTS

Article III, §1, of the United States Constitution provides: "The judicial power of the United States shall be vested in one Supreme Court and in such inferior courts as the Congress may, from time to time, ordain and establish." U.S. Const. art. III, §1. Thus, the Supreme Court is established by the Constitution itself, but the lower federal courts are created by legislation. Congress has established two sets of lower courts (district courts and courts of appeal) as well as several specialized courts.

A. DISTRICT COURTS

1. Jurisdiction

The United States District Court is the court of original jurisdiction in the federal system. Each state constitutes at least one district, and many states have two or more districts.

2. Judges

Although some districts have only one judge, most have two or more judges. Usually, a single judge will sit in a case, but all the judges in a district may sit *en banc* in important cases. In addition, a three-judge court (made up of one circuit judge and two district court judges) is required "when an action is filed challenging the constitutionality of the apportionment of congressional districts or the apportionment of any statewide legislative body" and "when otherwise required by Act of Congress" (*i.e.*, under certain provisions of the Civil Rights Act of 1964 and the Voting Rights Act of 1965). 28 U.S.C. §2284(a).

B. COURTS OF APPEALS

The Courts of Appeals review cases from the district courts. There are thirteen courts of appeals -- one for the federal circuit, one for the District of Columbia, and one for each of eleven circuits, which are comprised of various states and territories. Courts of Appeals have from four to twenty-three judges, and sit in a location designated by statute. Cases usually are heard by a division of the court consisting of three judges. However, a majority of the judges of the circuit who are in regular active service may order a hearing or rehearing before the court *en banc*. 28 U.S.C. §46(c).

C. SUPREME COURT

1. Jurisdiction

The Supreme Court was created by the Constitution, and has original jurisdiction as provided by such in all other instances its jurisdiction is appellate.

2. Justices

The Supreme Court has eight associate justices and one chief justice, although the number of Supreme Court justices is not specified in the Constitution and Congress has provided for different numbers from time to time. Six justices constitute a quorum.

D. SPECIALIZED COURTS

Although the Supreme Court, the Courts of Appeals, and the District Courts are the basic courts in the federal system, a number of specialized courts have been created by an act of Congress.

1. Claims Court

The Claims Court has jurisdiction, where authorized by statute, to hear claims against the United States.

2. Tax Court

The Tax Court has jurisdiction over appeals by taxpayers from income, estate and gift tax deficiency assessments.

3. Court Of International Trade

The Court of International Trade has exclusive jurisdiction over trade matters.

4. Court Of Appeals For The Federal Circuit

The Court of Appeals for the Federal Circuit has jurisdiction over appeals from the Claims Court, from the Court of International Trade, and from the district courts in certain cases.

5. Court Of Military Appeals

The Court of Military Appeals is not a constitutional court, but a part of the executive branch; it reviews courts-martial.

II. JURISDICTION OF FEDERAL COURTS IN GENERAL

A. CONTROL BY CONGRESS OF JURISDICTION

1. Original Jurisdiction

“In all cases affecting ambassadors, other public ministers and consuls, and those in which a state shall be a party, the Supreme Court shall have original jurisdiction.” U.S. Const. art. III, §2. The constitutional provisions delineating the original jurisdiction of the Supreme Court are self-executing. Thus, Congress can neither add to the original jurisdiction of the Supreme Court, *Marbury v. Madison*, 5 U.S. 137 (1803), nor take away any of that jurisdiction, *Chisholm v. Georgia*, 2 Dall. 419 (1793).

However, Congress can make such jurisdiction concurrent with that of the district courts, and may also confer appellate jurisdiction over cases that are otherwise within the original jurisdiction of the Supreme Court (e.g., where it has appellate jurisdiction of a federal question case, but original jurisdiction because a state is a party).

2. Appellate Jurisdiction

a. Congressional power to regulate

The Constitution provides that in all other cases within the judicial power of the United States, “the Supreme Court shall have appellate jurisdiction, both as to law and fact, with such exceptions, and under such regulations as the Congress shall make.” U.S. Const. art. III, §2. In *Ex parte McCardle*, 74 U.S. 506 (1868), the Supreme Court held that under this provision Congress could deprive the Supreme Court of its appellate jurisdiction to review a denial of habeas corpus, even though the Act limiting the Court’s jurisdiction was passed after the Court had taken jurisdiction of the case.

b. Possible limitations

The extent of Congress’s power to limit Supreme Court review is still uncertain. However, the congressional power is probably restricted by the Court’s responsibility for upholding the supremacy of federal law, and for providing a check on any congressional attempt to exceed its constitutional powers. Furthermore, total denial of Supreme Court review might violate litigants’ rights to due process or equal protection.

3. Concurrent And Exclusive Jurisdiction

Congress has broad powers over the jurisdiction of the lower federal courts. It can provide that a particular court shall hear certain types of cases, and can deny to all other courts the power to hear such cases. It can also deny the courts the power to grant certain remedies. Generally, absent express limitation or implication, federal jurisdiction is concurrent with that of the state courts – *i.e.*, the suit may be brought in either a federal or a state court. However, Congress has made certain areas of jurisdiction exclusive in the federal courts. (*See infra.*)

4. How Much Of The Judicial Power Must Congress Vest In The Federal Courts?

Considerable question has arisen as to how much of the judicial power of the United States the Congress must vest in the federal courts. Article III, §1, of the Constitution provides: “The judicial power of the United States, shall be vested in one Supreme Court, and in such inferior courts as the Congress may from time to time ordain and establish.” While several interpretations of this provision have been proposed, the Supreme Court has intimated that investing federal courts with jurisdiction is a matter entirely within the discretion of Congress. *Sheldon v. Sill*, 8 How. 441 (1850); *Kline v. Burke Const. Co.*, 260 U.S. 226 (1922); *Lockerty v. Phillips*, 319 U.S. 182 (1943).

B. CASES AND CONTROVERSIES

1. Definition

Under Article III, §2, of the Constitution, the judicial power extends to “cases” and “controversies.” The courts thus cannot decide abstract questions, but only those presented in an actual case or controversy. Decision of matters that are not strictly raised

by a case or controversy violates the doctrine of separation of powers, and would permit the courts to intrude on questions entrusted to other branches of the government.

A justiciable case or controversy “must be definite and concrete, touching the legal relations of parties having adverse legal interests. It must be a real and substantial controversy admitting of specific relief through a decree of conclusive character, as distinguished from an opinion advising what the law would be upon a hypothetical state of facts.” *Aetna Life Ins. Co. v. Haworth*, 300 U.S. 229 (1937).

2. Factors To Consider

Factors considered in determining when a case or controversy exists include:

- a. Mootness;
- b. Standing;
- c. Ripeness;
- d. Whether the case involves a political or administrative question;
- e. Whether a case is collusive; and
- f. Whether the parties are seeking a merely advisory opinion.

The case or controversy requirement is treated more thoroughly in the MicroMash® Multistate Bar Review Reference Volume I.

C. SUBJECT MATTER JURISDICTION

1. Definition

The first issue in federal jurisdiction is to determine whether the court has jurisdiction to decide the particular controversy brought before it. This power of adjudication is known as “subject matter jurisdiction.”

2. Jurisdiction

Federal courts have subject matter jurisdiction in:

- a. Suits between **citizens of different states**;
- b. Suits involving a **federal question**;
- c. Cases involving **ambassadors, admiralty and maritime jurisdiction**; and
- d. Cases where the **United States is a party**.

3. Litigation Rules

Subject matter jurisdiction may not be conferred by agreement or consent of the litigants. The defense of lack of subject matter jurisdiction may be raised at any point in the trial, and may even be raised for the first time on appeal. However, if the jurisdictional issue was actually litigated and expressly decided, the court’s finding of subject matter jurisdiction is *res judicata*; similarly, if the jurisdictional issue was not contested, the judgment is *res judicata* unless the suit was “plainly outside the rendering Court’s

jurisdiction.” *Chicot County Drainage District v. Baxter State Bank*, 308 U.S. 371 (1940).

D. DOCTRINES OF ABSTENTION

1. The General Abstention Doctrine

a. Duty to adjudicate

A federal court may decline to exercise its jurisdiction under the doctrine of abstention. A federal court is bound to the general duty to adjudicate a controversy properly before it unless it is relieved of that duty by established principles of federal law. The doctrine of abstention is, therefore, only justifiably invoked where extraordinary circumstances necessitate remitting the parties to the state court. *Allegheny County v. Frank Mashuda Co.*, 360 U.S. 185, 79 S.Ct. 1060 (1959).

b. When may the court abstain?

A federal court may in its discretion properly withhold the exercise of its jurisdiction where

- 1) an important countervailing interest would be served,
- 2) where another suitable forum is available, and
- 3) where the case involves a matter of purely local or state interest and the state court affords an adequate remedy.

Further, a federal court may validly decline jurisdiction upon such considerations as the maintenance of federal-state relationships, the unnecessary impairment of state functions, and the premature or needless determination of constitutional questions. *Martin v. Creasy*, 360 U.S. 219, 79 S.Ct. 1034 (1959).

c. No effect on discovery

Significantly, the abstention doctrine does not operate to relieve the parties of their obligations of discovery, and it is not so intended. *Jeter v. Kerr*, 429 F.Supp. 435 (1977).

2. Stay Of Exercise Of Jurisdiction

a. Question of state law

Absent recognized public policy or some defined principle, the federal courts are empowered to decide questions of state law whenever necessary to the rendition of a judgment. However, pursuant to a recently developed doctrine, the federal courts may under certain circumstances stay or postpone the exercise of jurisdiction pending the determination by the state courts of a question of state law involved in the litigation. *Louisiana Power & Light Co. v. City of Thibodaux, La.*, 360 U.S. 25, 79 S.Ct. 1070 (1959).

1) Postponement only

This doctrine involves only the postponement of the exercise of federal jurisdiction, not the abdication of jurisdiction, and is applicable even though no action is pending in the state courts. *Government and Civil Emp. Organizing Committee, CIO v. Windsor*, 347 U.S. 901, 74 S.Ct. 429 (1954).

2) When appropriate

Such stay of exercise of jurisdiction is deemed appropriate where a constitutional question turns on the construction of unsettled state law, provided there is an adequate remedy in the state courts for the determination of that question and that such remedy does not impair the right to a subsequent determination of the federal claim. *Railroad Commission of Texas v. Pullman Co.*, 312 U.S. 496, 61 S.Ct. 643 (1941).

b. State law enforcement proceeding

Another recognized abstention doctrine declares that a federal court should not ordinarily intervene by injunctive or declaratory relief in a pending state law enforcement proceeding. *Younger v. Harris*, 401 U.S. 37, 91 S.Ct. 746 (1971).

Note: For further discussion of abstention in cases involving state criminal statutes, see the Constitutional Law Outline of the MicroMash® Multistate Bar Review Reference Volume I.

III. FEDERAL QUESTION JURISDICTION**A. THE MEANING OF “ARISING UNDER”**

The Constitution allows federal courts to be given jurisdiction over cases “arising under this Constitution, the laws of the United States, and treaties made, or which shall be made, under their authority.” Article III, §2. The statutory basis for federal question jurisdiction is 28 U.S.C. §1331, which provides that district courts have original jurisdiction in all civil actions where the matter in controversy “arises under the Constitution, laws, or treaties of the United States.”

1. Federal Right Or Immunity Must Be Essential Element

There is no definitive test of when a case “arises under” federal law. However, a right or immunity created by the Constitution or federal law must be an essential element of the plaintiff’s cause of action, and the right or immunity must be such that it will be supported if the Constitution or laws are given one construction or effect, and defeated if they receive another. *Gully v. First Nat’l Bank in Meridian*, 299 U.S. 109 (1936).

a. Federal common law

Federal “common law” (*i.e.*, judicial interpretation of statutes) can serve as the basis for federal question jurisdiction. *Illinois v. City of Milwaukee*, 406 U.S. 91 (1972).

b. Corporations

Federal question jurisdiction does not arise merely because a corporation was incorporated by Congress; it exists only if the United States owns **more than half** of the corporation's capital stock. 28 U.S.C. §1349.

2. Federal Right May Be Implied

The right of action may be either express or implied.

a. No express right of action

Federal question jurisdiction existed where plaintiff sued for damages, claiming that his arrest violated his Fourth and Fifth Amendment rights, even though the Constitution does not provide a right to sue for damages. *Bell v. Hood*, 327 U.S. 678 (1946). Likewise, a right of action was implied from the Securities Exchange Act of 1934, even though the Act did not expressly create a remedy for the violation alleged. *J.I. Case v. Borak Co.*, 377 U.S. 426 (1964).¹

b. Must be a federal right

If the right infringed upon is not protected by the Constitution or a federal statute, the cause of action will not raise a federal question merely because the federal government was somehow involved. *Wheeldin v. Wheeler*, 373 U.S. 647 (1963) (claim for damages based on alleged abuse of federal subpoena power).

B. FEDERAL QUESTION MUST APPEAR IN THE COMPLAINT**1. Must Appear On The Face**

The federal question must appear on the face of the well-pleaded complaint. Anticipation of a defense based on federal law is insufficient to constitute a federal question. *Louisville & Nashville R.R. v. Mottley*, 211 U.S. 149 (1908). Likewise, an answer that raises a defense based on federal law is insufficient to grant federal question jurisdiction.

If a complaint states a plausible claim that arises under federal law, federal jurisdiction exists even if the court later determines that the plaintiff, on the merits, has no federal right. In that instance, the complaint is dismissed for failure to state a claim on which relief may be granted, rather than for lack of subject matter jurisdiction. *Bell v. Hood*, 327 U.S. 678 (1946).

2. Dismissal

Dismissal for lack of jurisdiction is proper only if the allegations are immaterial and are made solely for the purpose of creating federal jurisdiction, or if the claim is wholly insubstantial and frivolous.

C. EXCLUSIVE FEDERAL JURISDICTION**1. Statutory Grants**

Congress has granted the federal courts exclusive jurisdiction in the following actions:

a. Bankruptcy proceedings (28 U.S.C. §1334).

- b. **Patent and copyright cases** (28 U.S.C. §1338).
- c. **Actions against foreign consuls and vice-consuls** (28 U.S.C. §1351).
- d. **Admiralty and maritime cases** (28 U.S.C. §1333). However, federal jurisdiction is exclusive only in limitation of liability proceedings and in maritime actions in rem.
- e. **Antitrust cases** (15 U.S.C. §§15, 26). Here, exclusive jurisdiction is not expressly granted by statute; rather, the antitrust statutes have been judicially interpreted to allow exclusive jurisdiction. *Freeman v. Bee Machine Co., Inc.*, 319 U.S. 448 (1943).
- f. Cases under the **Securities Exchange Act of 1934** (15 U.S.C. §78aa).
- g. **Foreign state.** 28 U.S.C. §1441(d) permits a foreign state, or agency thereof, which is sued in a state court, to remove the action to federal court.
- h. **Actions where the United States is involved.** This includes cases involving fines, penalties, or forfeitures under the laws of the United States, crimes and tort suits against the United States, and customs decisions review.

2. Sovereign Immunity

The doctrine of sovereign immunity prevents the United States from being sued without its consent. However, in the Federal Torts Claims Act the United States has consented to suits based on the negligence of government employees, if a private person would be liable under the same circumstances. Likewise, suits for tax refunds and for contract claims of \$10,000 or less may be brought in federal district court. 28 U.S.C. §1346.

IV. DIVERSITY JURISDICTION

A. IN GENERAL

1. Requirements

Article III, §2, of the Constitution allows Congress to confer jurisdiction on the federal courts over controversies “between citizens of different states . . . and between a state, or the citizens thereof, and foreign states, citizens or subjects.” Congress has implemented this provision in 28 U.S.C. §1332(a), which grants federal district courts original jurisdiction of all civil actions where the matter in controversy exceeds the sum or value of \$75,000 (exclusive of interest and costs), **and** is between:

- a. Citizens of different states;
- b. Citizens of a state, and foreign states, or citizens or subjects thereof; and
- c. Citizens of different states and in which foreign states or citizens or subjects thereof are additional parties.

2. When Inapplicable

However, the U.S. Supreme Court has held that diversity jurisdiction does **not** extend to domestic relations cases seeking the issuance or modification of divorce, alimony, or

child custody decrees, but **does** include jurisdiction over related matters (such as the enforcement of such decrees validly entered by state courts, and tort actions involving family members). *Ankenbrandt v. Richards*, 112 S.Ct. 2206 (1992).

B. REQUIREMENT OF COMPLETE DIVERSITY

1. General Rule

Complete diversity between the parties on each side of the controversy is required, *i.e.*, each plaintiff must be from a state that is different from that of each defendant. If one defendant and one plaintiff are co-citizens of the same state, there is no diversity jurisdiction.

Example: If A, a Pennsylvania citizen, and B, a New York citizen, sue X, a Florida citizen, and Y, a Massachusetts citizen, complete diversity exists. However, if A and B sue X, Y, and Z, another New York citizen, *diversity jurisdiction is destroyed*.

2. Exception

The one exception to the complete diversity requirement is the Federal Interpleader Act, 28 U.S.C. §1335, which requires only “minimal diversity.” The statute permits one who is holding property claimed by two or more persons to deposit the property with the court and let the claimants litigate ownership. If there is diversity between any two of the claimants, the other claimants can all be citizens of the same state.

Example: An insurance company brings a statutory interpleader action to determine ownership of insurance benefits; four of the claimants are Virginia citizens, and one is a New York citizen. *Minimal diversity is achieved because at least one claimant has state citizenship different from that of the others*.

3. Time For Determination Of Diversity

Diversity is determined as of the date the action is commenced. Diversity need not have existed when the cause of action arose. Neither a subsequent change in citizenship nor a subsequent change in the parties (*e.g.*, by intervention or substitution) will divest the court of diversity jurisdiction.

4. Complaint Must Plead Diversity

The complaint must plead the existence of the diversity jurisdiction. If the plaintiff fails to allege the citizenship grounding diversity jurisdiction, the defendant may bring a Fed. R. Civ. P. 12(b) motion to dismiss, or the court may dismiss on its own motion, unless the plaintiff amends.

5. Citizenship Of Natural Persons

a. Definition

Citizenship means:

- 1) United States citizenship (or permanent resident alien status); and
- 2) Domicile in a state.

Thus, an American citizen who is domiciled in Mexico can neither sue nor be sued in the federal courts under diversity jurisdiction.

b. Domicile

Mere residence in a state is insufficient for diversity purposes. Domicile is defined as the place where a person has his fixed and permanent residence and to which he has the intention of returning whenever he is absent therefrom. Change of domicile may be effected by physical presence in the new domicile with the intent to remain there. If these requirements are met, it is immaterial that the change of domicile was made solely to create diversity jurisdiction.

6. Citizenship Of Corporations

a. General rule

For purposes of diversity jurisdiction, a corporation is deemed a citizen of:

- 1) Any state in which it has been incorporated; and
- 2) The state in which it has its principal place of business.

28 U.S.C. §1332(c).

b. Principal place of business

The principal place of business is usually the place where the bulk of the corporate activity takes place; however, if no one state is clearly predominant, then the state of the home office will be deemed the principal place of business.

Example: If P, a citizen of New York, sues D Corp., which is incorporated in Delaware but has the bulk of its manufacturing facilities in New Jersey, and only a small sales office in New York, diversity will exist. However, if D Corp.'s manufacturing facilities are in four different states and their activities are directed from a corporate headquarters in New York, diversity will not exist.

c. Destruction of diversity

Diversity is destroyed if an opposing party is a citizen of any of the states of which the corporation is a citizen.

Example: If Bert, a citizen of Pennsylvania, and Ernie, a citizen of Delaware, sue Sesame Corp., which has its principal place of business in New York, but is incorporated in Delaware, Ernie's citizenship destroys diversity.

d. Insurer's citizenship

In any direct action against a liability insurer, to which the insured is not a party, the company is deemed to be a citizen of the same state as the insured, as well as of the state of its incorporation and its principal place of business. 28 U.S.C. §1332(c). This provision prevents cases that are purely in-state disputes from entering federal court under diversity jurisdiction solely because the defendant is an out-of-state insurer.

7. Citizenship Of Unincorporated Associations

Where a partnership, labor union, or other unincorporated association is a party, the citizenship of **each member** must be considered in determining diversity.

Example: P, a citizen of Massachusetts, sues the ABC Partnership, which is located in New York; A and B are New York citizens, but C is a Massachusetts citizen. *No diversity exists because of C's citizenship.*

If membership of the association is large enough, a class action can be brought, naming as representatives only those members whose citizenship satisfies the diversity requirement.

8. Citizenship Of Legal Representatives

a. Estate

The legal representative of an estate (e.g., an executor or administrator) is deemed to be a citizen of the decedent's state only; the actual citizenship of the representative is irrelevant.

Example: If B, a citizen of State X, dies and C, a citizen of State Y, is appointed executor, diversity jurisdiction exists between C acting as executor of B's estate and any citizen of State Y, but not between C (as executor) and any citizen of State X.

b. Infant or incompetent

Likewise, the legal representative of an infant or incompetent is deemed to be a citizen of the infant or incompetent's state. This rule prevents the appointment of a legal representative solely to create diversity.

c. Trust

Where an action is brought on behalf of a trust, the citizenship of the **trustee** (not that of the beneficiary) controls, as long as the trustee has actual powers with regard to the litigated matter. If the trustee is merely a nominal party, the court will look to the citizenship of the aggrieved persons. The citizenship of receivers and subrogees is likewise controlling.

9. Citizenship Of Substituted Parties

If an original party dies, becomes incompetent or transfers his interest, or if a public officer has been succeeded, a successor party may be substituted under Fed. R. Civ. P. 25. The citizenship of the substituted party is irrelevant. For diversity purposes, the citizenship of the **original party** is governing.

10. Citizenship In Class Actions

In class actions, the court looks only to the citizenship of the named representatives of the class. *Snyder v. Harris*, 394 U.S. 332 (1969). Likewise, diversity can be created in a stockholders' derivative suit by making the plaintiff a stockholder who is not a citizen of any of the states of the corporation's citizenship.

11. Devices To Create Or Destroy Diversity

a. Assignment or subrogation of claim

If a claim is assigned to an out-of-state assignee for collection only and the assignment was motivated by desire to obtain diversity jurisdiction, the assignment is collusive under 28 U.S.C. §1359 and diversity does not exist. *Kramer v. Caribbean Mills, Inc.*, 394 U.S. 823 (1969). (Section 1359 provides that a district court shall not have jurisdiction of a civil action in which any party “by assignment or otherwise, has been improperly or collusively made or joined to invoke jurisdiction.”) Likewise, a sham subrogation will not create diversity. However, if substantial consideration was paid, or if the assignor has no further interest in the claim, diversity will be upheld.

b. Change of domicile

If a person moves to a new domicile before bringing suit, diversity will be achieved, as long as the change of domicile is bona fide. A corporation cannot create diversity by transferring a claim to an out-of-state subsidiary.

c. Collusive joinder to prevent removal

Conversely, a plaintiff may sue in state court and try to prevent the defendant from removing to federal court under diversity jurisdiction. She might appoint an administrator from the same state as the defendant, or name another defendant who is from her own state to destroy diversity. Section 1359 does not prohibit a collusive action to defeat jurisdiction, but a federal court will strike down fraudulent joinder. Likewise, plaintiff’s reduction of the amount claimed after removal in order to violate the amount-in-controversy requirement will not defeat jurisdiction. *St. Paul Mercury Indemnity Co. v. Red Cab Co.*, 303 U.S. 283 (1938).

12. Realignment Of Parties

The court need not adhere to the plaintiff’s alignment of parties. It “will look beyond the pleadings and arrange the parties according to their sides in the dispute.” *Dawson v. Columbia Ave. Savings Fund*, 197 U.S. 178 (1905). This may create or destroy diversity. Thus, if the plaintiff in a stockholder’s derivative action alleges that the corporation is controlled by antagonistic directors, the court will align the corporation as a defendant, even though the recovery will belong to the corporation so that its ultimate interest coincides with that of the plaintiff.

13. Alienage Jurisdiction

In addition to traditional diversity cases, Section 1332(a)(2) also grants subject matter jurisdiction over “alienage” cases, in which the dispute is between a citizen of a state and an “alien,” i.e., a citizen or subject of a foreign country. Occasionally, bar examiners will test on this less common form of subject matter jurisdiction.

C. AMOUNT-IN-CONTROVERSY REQUIREMENT

1. In General

a. Diversity

In diversity jurisdiction, the amount in controversy must **exceed the sum or value of \$75,000, exclusive of interest and costs**. 28 U.S.C. §1332(a). One exception to this is federal statutory interpleader actions, in which the amount in controversy need only be \$500. 28 U.S.C. §1335.

b. Federal question

The amount-in-controversy requirement in federal question jurisdiction was eliminated in December, 1980, except in suits under the Consumer Product Safety Act §23(a) against defendants other than the United States, its agencies or employees.

c. Purpose

The purpose of the \$75,000 amount is to reduce congestion in the federal courts by excluding “insubstantial” controversies.

2. Plaintiff's Complaint Determines Amount

a. Rule

The amount in controversy is determined from the plaintiff's viewpoint. The court looks to the prayer in the complaint or the allegations of damage. The amount is measured at the time suit is commenced; thus, a subsequent reduction in the amount sought does not defeat jurisdiction if the original claim was made in good faith. *St. Paul Mercury Indemnity Co. v. Red Cab Co.*, 303 U.S. 283 (1938).

b. Good-faith requirement

If the plaintiff's allegation of an amount more than \$75,000 is made in good faith, a motion to dismiss for lack of jurisdiction will be denied. It must appear to a legal certainty that the claim is really for less than the jurisdictional amount to justify dismissal. *Id.* The plaintiff need not itemize his damages; an allegation that the matter in controversy exceeds \$75,000 is sufficient.

c. Actual recovery

If the plaintiff actually recovers less than \$75,000, jurisdiction is not thereby retroactively destroyed. *Rosado v. Wyman*, 397 U.S. 397 (1970). However, to discourage the filing of exaggerated claims, the court has discretion to deny costs to, or to impose costs on, the plaintiff, if the plaintiff's recovery (without regard to any set-off or counterclaim) is \$75,000 or less. 28 U.S.C. §1332(b).

3. Measure Of Amount In Controversy

a. Non-monetary damages (equitable relief)

If the plaintiff seeks something other than damages, determination of the amount in controversy is more difficult. Where the plaintiff seeks an injunction, the amount in

controversy is the value of the right to be protected or the extent of the injury to be prevented. Suits to protect a civil or constitutional right are generally presumed to involve an inherent value of more than \$75,000.

In certain instances, the court may look to the monetary value to the plaintiff or the defendant to determine the amount in controversy.

Example: In a suit to quiet title to water rights, it was stipulated that the rights were worth less than the jurisdictional amount to the plaintiff, but worth far more to the defendant. The court held that the test for the amount in controversy was “the pecuniary result to either party which the judgment would directly produce.” *Ronzio v. Denver & R. G. W. R. R.*, 116 F.2d 604 (10th Cir. 1940).

b. Effects of decision

The stare decisis or collateral estoppel effects of the decision cannot be used to determine the amount in controversy.

Example: In an action on bond coupons, the amount in controversy is only the amount of the coupons, not the value of the bonds, even though the decision will conclusively determine the value of the bonds. *Elgin v. Marshall*, 106 U.S. 578 (1882).

Similarly, in an action to enjoin a regulatory statute that will harm a business, the amount in controversy is the difference between the value of the unregulated business and the value of the regulated business. However, if the statute would prohibit conduct of the business, the value of the entire business would be the measure.

4. Interest And Costs

Interest and costs are specifically excluded by §1332 in calculating the amount in controversy. However, attorneys’ fees may be included if they are authorized by contract or by state statute, provided the fee is reasonable. Furthermore, interest is not excluded if it is part of the basis of the suit (e.g., an action to collect on bond coupons), rather than interest that has accrued after the cause of action arose (e.g., after the maturity of the coupon).

5. Aggregation Of Claims

a. Single plaintiffs and defendants

When a single plaintiff sues a single defendant, the plaintiff may join as many claims as he has against an opposing party, regardless of the nature of the claim. Fed. R. Civ. P. 18. The plaintiff may likewise aggregate his claims to achieve the jurisdictional amount. Thus, if A has one claim against B for \$70,000, and another unrelated claim against B for \$6,000, A may join both claims and sue in federal court, provided there is the requisite diversity.

b. Multiple plaintiffs or defendants**1) Aggregation not permitted**

The claims of several plaintiffs against a single defendant cannot be aggregated, even though the parties join under the rule relating to the joinder of parties.

Example: If A has a claim against C for \$70,000, and B has a claim against C for \$6,000, they cannot aggregate their claims and sue in federal court if the claims are separate and distinct. Likewise, if a single plaintiff has claims against several defendants, she can aggregate her claims only if the defendants are jointly liable; if they are separately liable, each of her claims must satisfy the \$75,000 requirement.

If one plaintiff has a claim for an amount exceeding \$75,000, and another plaintiff has a similar claim for \$75,000 or less, the second plaintiff cannot join in the original action; she must satisfy the amount individually.

2) Exception

However, aggregation is permitted where several plaintiffs have an undivided right, title or interest, *e.g.*, an action on bonds by joint owners, a suit by holders of two notes to enforce a vendor's lien securing both notes, or a suit by joint owners of realty to quiet title.

c. Class actions

A class action will not meet the amount in controversy requirement if no individual member has a claim for that amount. This rule was extended by *Zahn v. International Paper Co.*, 414 U.S. 291 (1974), which held that even if each of the named class representatives has an individual claim for more than the required amount, they cannot represent a class in which the members have claims for less than that amount. Note that in a shareholders' derivative action, the measure would be the amount by which the corporation would benefit from a recovery, rather than the amount by which individual stockholders would benefit.

6. Jurisdictional Amount In Counterclaims

The amount of a counterclaim cannot be aggregated with the plaintiff's claim to satisfy the \$75,000 requirement.

a. Compulsory counterclaims

A counterclaim that arises out of the same transaction or occurrence is compulsory. Fed. R. Civ. P. 13(a). A compulsory counterclaim need not meet the jurisdictional amount requirement, because the federal court has supplemental jurisdiction over it. (*Infra.*)

b. Permissive counterclaims

A counterclaim that does not arise out of the same transaction or occurrence is permissive. Fed. R. Civ. P. 13(b). A permissive counterclaim must have an independent jurisdictional basis.

c. Removal of counterclaims

If P sues in state court for \$75,000 or less, and D counterclaims for more than \$75,000, P cannot remove the case to federal court, because removal is allowed only by defendants. 28 U.S.C. §1441. If, in this situation, D asserts a counterclaim that is permissive under state law, he too will be unable to remove, since P's claim does not meet the requirement. Where D asserts a counterclaim that is compulsory under state law, the courts are divided as to whether D can remove, but the majority hold that he cannot.

V. SUPPLEMENTAL JURISDICTION

A. IN GENERAL

1. Pendent And Ancillary Jurisdiction

Congress enacted a statute, 28 U.S.C. §1367, that codified (and to some degree extended) the prior practice of pendent and ancillary jurisdiction for actions filed on or after December 1, 1990.

a. Pendent jurisdiction

Pendent jurisdiction allows a federal court to take jurisdiction of a state law claim between the parties if it derives from the same "common nucleus of operative fact" as the federal question properly before the court. *United Mine Workers v. Gibbs*, 383 U.S. 715 (1966).

b. Ancillary jurisdiction

Ancillary jurisdiction allows a federal court in diversity cases to join **parties** over which it has no independent jurisdiction (*i.e.*, nondiverse parties or parties with claims of \$75,000 or less) under essentially the same standard as pendent jurisdiction.

2. Modern Rule

Under the statute, a district court generally has supplemental jurisdiction over any claims so related to the claim upon which federal jurisdiction is founded that "they form part of the same case or controversy." 28 U.S.C. §1367(a). (This statute reinstates the doctrine of pendent party jurisdiction over state law claims in federal question cases as promulgated prior to *Finley v. U.S.*, 109 S.Ct. 2003 (1989). *Finley* held that federal courts could assert pendent party jurisdiction only where expressly authorized by Congress.)

3. Refusal To Exercise Supplemental Jurisdiction

The district court may refuse to exercise supplemental jurisdiction if:

- a.** The claim raises a **novel or complex issue of state law**;
- b.** The state law claim **substantially predominates** over any claim(s) over which the court has original jurisdiction;

- c. The district court has **dismissed all claims over which it had original jurisdiction**; or
- d. **Exceptional circumstances** and compelling reasons exist for the court to decline jurisdiction.

4. Disposition Based On State Law

Of course, the court may decide a state law claim without deciding the federal question on which jurisdiction is based. If the federal claim raises a significant constitutional issue, courts generally prefer to dispose of the case by deciding the state law claim, if by doing so, they can avoid the constitutional question.

5. Tolling Statutes Of Limitations

Filing the claim in federal court tolls all applicable statutes of limitations (including state statutes) while the claim is pending and for 30 days after dismissal (unless state law provides for a longer tolling period). 28 U.S.C. §1367(d).

B. APPLICATION

Supplemental jurisdiction usually extends to the joinder or intervention of additional parties. 28 U.S.C. §1367(a). However, it does **not** extend to plaintiffs that would destroy the required diversity in cases based solely on diversity jurisdiction. 28 U.S.C. §1367(b).

1. Counterclaims

a. Compulsion

Supplemental jurisdiction extends to **compulsory counterclaims**, *i.e.*, a counterclaim that must be brought because it arises out of the same transaction or occurrence as the main claim as defined in Fed. R. Civ. P. 13(a).

b. Permissive

However, **permissive counterclaims** (any counterclaim that does not arise out of the same transaction or occurrence, Fed. R. Civ. P. 13(b)) requires an independent jurisdictional ground. The one exception is that a permissive counterclaim in the nature of a set-off used only to reduce the plaintiff's judgment does not require an independent jurisdictional ground.

2. Cross-Claims

A cross-claim (*i.e.*, a claim against a co-defendant) also probably falls within the court's supplemental jurisdiction.

Example: P, a citizen of Maine, sues D-1 and D-2, both citizens of Massachusetts; D-1 cross-claims against D-2 for indemnification. *The court has supplemental jurisdiction, and diversity between D-1 and D-2 is not required.*

Rule 13(g) allows a party to assert a claim in a pending case against a co-party, but only if the claim arises from the same transaction or occurrence as the underlying dispute. Therefore, a few cases have held that if D-1's suit against D-2 is for D-1's own injury

(i.e., an issue different from that in the main claim), the court may refuse to exercise jurisdiction.

3. Impleader

a. By defendant

Through impleader (also known as a third-party action) a defendant can bring in as a third-party defendant someone whom the defendant asserts will be liable to him for all or part of the defendant's liability to plaintiff. A court has supplemental jurisdiction of the third-party action and neither the diversity requirement nor the jurisdictional amount requirement need be met where the defendant (or third-party plaintiff) and the third-party defendant are citizens of the same state.

Example: P, a citizen of New York, sues D, a citizen of Pennsylvania; D impleads T, a citizen of Pennsylvania, for indemnification. *The third-party action is supplemental to the main claim, and the federal court has jurisdiction.*

b. By plaintiff

However, if the plaintiff in the main action amends his complaint to sue the third-party defendant, diversity between them is required. *Owen Equipment & Erection Co. v. Kroger*, 437 U.S. 365 (1978).

Example: P, a citizen of Massachusetts, sues D, a citizen of New York, and D impleads T, a citizen of Massachusetts. *Since P could not originally have sued T in federal court (due to lack of diversity), P cannot now use supplemental jurisdiction to evade the diversity requirement.*

4. Intervention

a. By right

A person may intervene as of right in an action if she claims an interest relating to the subject property or transaction, and the disposition of the action may impair or impede her ability to protect that interest, unless her interest is adequately represented by existing parties. Fed. R. Civ. P. 24(a). However, supplemental jurisdiction extends only to a **defendant** intervenor's claim. A party seeking to intervene as a plaintiff must show independent grounds for jurisdiction.

b. By permission

Permissive intervention may be allowed in the court's discretion when an applicant's claim or defense and the main action have a question of law or fact in common. Fed. R. Civ. P. 24(b). Independent jurisdictional grounds are required where intervention is permissive.

5. Joinder Of Claims

Supplemental jurisdiction does not extend to joinder of claims under Fed. R. Civ. P. 18, unless the federal and nonfederal claims are so closely related as to constitute separate grounds in support of a single cause of action.

6. Joinder Of Parties

Supplemental jurisdiction does not apply to an absent “indispensable” party under Fed. R. Civ. P. 19 (*i.e.*, a party needed for just adjudication) or to parties permissively joined under Rule 20. Therefore, the diversity and jurisdictional amount requirements must be met.

C. PROCESS AND VENUE UNDER SUPPLEMENTAL JURISDICTION

1. Service Of Process

The party to be brought in under supplemental jurisdiction must be served in accordance with Fed. R. Civ. P. 4, which permits service:

- a. Within the state where the federal court is located, and
- b. As to third-party defendants or necessary parties under Fed. R. Civ. P. 19, outside the state if the place of service is within 100 miles from the place the action is commenced.

2. Venue

If the federal court has supplemental jurisdiction, the venue statutes with regard to the additional claim or party need not be satisfied.

VI. REMOVAL JURISDICTION

A civil action brought in a state court may be removed by the defendant to the federal district court if the plaintiff could have brought the action in federal court originally. 28 U.S.C. §1441(a). This statutory right of removal protects the defendant from any local prejudice in a diversity case, and allows the defendant to avail himself of a hearing in federal court when a federal question is at issue.

A. PREREQUISITES TO REMOVAL

1. Federal Subject Matter Jurisdiction

a. Plaintiff's claim governs

Since only a civil action that could have been brought in federal court originally is removable, the ground for removal must appear in the plaintiff's claim. 28 U.S.C. §1441(b). A federal question raised in a defense or counterclaim is not a basis for removal. Thus, a plaintiff can prevent a defendant from removing by simply failing to assert a federal claim, or by joining a nondiverse party. However, after removal, the plaintiff cannot defeat jurisdiction by reducing the amount claimed or by joining a nondiverse party.

b. Time of determining removability

1) General rule

Generally, the right to remove is determined by the pleadings as of the time of filing the petition for removal.

2) Exception

However, there is an exception to this rule: where diversity of citizenship is the basis for federal jurisdiction, the diversity must have existed at the time the original action was filed in state court, **and** at the time the petition for removal was filed.

3) Purpose

This restriction prevents the defendant from changing his citizenship after the suit is filed, and then petitioning for removal on the ground of diversity. On the other hand, if a case was not initially removable, but the plaintiff then drops a nondiverse party, the defendant may remove, because that change was not within the defendant's control.

2. Only The Defendant Can Remove

Only a defendant can remove an action from state to federal court. 28 U.S.C. §1441(b). A plaintiff cannot remove on the basis that a counterclaim could have been brought originally in federal court.

a. Limitation in diversity cases

A diversity case is removable “only if none of the parties in interest properly joined and served as defendants is a citizen of the state in which such action is brought.” 28 U.S.C. §1441(b).

Example: P, a resident of Massachusetts, sues D, a resident of New York, in a New York state court; *D cannot remove to federal court if the only basis for federal jurisdiction is diversity.* However, if P had sued D in a Massachusetts state court, D could have removed.

A suit involving a federal question is removable even by a resident defendant.

b. Multiple defendants

All defendants who have been properly joined and served must join in the petition for removal.

3. State Court Jurisdiction No Longer A Prerequisite

Under former practice, a federal court could exercise jurisdiction over a case removed from state court only if the state court had proper subject matter jurisdiction. Therefore, if the action was one within the exclusive jurisdiction of the federal courts (*e.g.*, an antitrust suit), the case could not be removed; the case would have to be dismissed in the state court so that it could be re-filed in federal court. This cumbersome process is no longer necessary because of the passage of 28 U.S.C. §1441(e), which expressly permits the federal court to take jurisdiction of the removed claim, even though the state court did not have proper subject matter jurisdiction.

4. Waiver Of Right To Remove

a. Courts reluctant to find waiver

The defendant may waive his right to remove. However, the courts are reluctant to find a waiver; even where defendants have appeared, answered, and taken depositions in the state court action, federal courts have held that defendants did not thereby waive their right to remove.

b. Contractual waiver is valid

A contract stipulating that the parties would not remove cases to federal court is a valid waiver of the right to remove unless the contract is unreasonable or procured by duress.

c. State may not require waiver

A state may not require a foreign corporation to waive its right to remove as a condition to doing business within the state.

B. SEPARATE AND INDEPENDENT CLAIM

1. Removal Permitted

Whenever a separate and independent federal question claim, which would be removable if sued upon alone, is joined with one or more otherwise nonremovable claims or causes of action, the entire case may be removed and the district court may determine all issues therein. The court may, however, remand the nonremovable claims if state law predominates. 28 U.S.C. §1441(c). This provision prevents a plaintiff from defeating a defendant's right to remove by simply joining a nonremovable claim. The rationale for allowing the court discretion to hear and decide the otherwise nonremovable claim is to promote judicial economy and protect the defendant from having to defend in two suits in different forums (and from therefore not exercising his removal right).

2. *Finn* Test

Where there is a single wrong to the plaintiff, for which relief is sought, arising from an interlocked series of transactions, there is no separate and independent claim or cause of action under 28 U.S.C. §1441(c).

Example: A Texas plaintiff brought an action in Texas state court against two foreign insurance companies and their Texas agent, claiming in the alternative recovery for his fire loss under one of their policies, or that their agent was liable for failure to keep the property insured. The insurers removed to federal court, but the Supreme Court held the removal improper, because the plaintiff's allegations involved substantially the same facts and transactions and showed a single incident resulting in a single wrong for which relief was sought. *American Fire & Casualty Co. v. Finn*, 341 U.S. 6 (1951). Hence, the claim against the agent was not separate and independent, and because diversity was lacking between the plaintiff and the agent, jurisdiction was lacking. Few cases meet the *Finn* test.

C. VENUE IN REMOVED ACTIONS

The proper venue for a removed action is the federal district or division embracing the place where the state action is pending. 28 U.S.C. §1441(a). The general venue statutes (*infra*) are irrelevant in removed actions. Thus, it does not matter that the federal court to which an action is properly removed would not have been a place of proper venue under the general venue statutes if the action had been filed there initially.

D. SPECIFIC STATUTORY PROVISIONS

1. Removable Actions

In addition to the general removal statute, other statutes authorize removal in particular cases, including:

- a. A suit against, or prosecution of, a federal officer in state court for any act under color of office (28 U.S.C. §1442);
- b. A suit against a federal employee for injury caused by his operation of a motor vehicle within the scope of his employment (28 U.S.C. §2679(d)); and
- c. Certain actions arising out of international or foreign banking (12 U.S.C. §632).

Either a civil suit or a criminal prosecution can be removed by a defendant who cannot secure in state court the civil rights guaranteed him by the federal Constitution (28 U.S.C. §1443); however, this is permitted only if those rights will inevitably be denied by the very act of bringing the defendant to trial in the state court. *City of Greenwood, Miss. v. Peacock*, 384 U.S. 808 (1966). These special authorizations of removal do not thereby allow commencement of these suits in federal court originally.

2. Nonremovable Actions

Statutes prohibit removal in the following cases:

- a. Actions under the Federal Employers' Liability Act and under the Jones Act (28 U.S.C. §1445(a));
- b. Actions against carriers for delay, loss or damage in shipments, where the matter in controversy is \$10,000 or less (§1445(b)); and
- c. Workmen's compensation proceedings (§1445(c)).

Similarly, courts have held nonremovable actions under the Fair Labor Standards Act, or under the Securities Act for recovery for misrepresentation.

E. PROCEDURE FOR REMOVAL

The procedure for removal is specified in 28 U.S.C. §1446.

1. Petition

A defendant wishing to remove an action must file a verified petition in the federal district court for the district and division within which the action is pending. The petition must contain a short and plain statement of the facts that entitle her to removal. She must also file:

- a. A copy of all process, pleadings and orders served upon her; and

- b. A bond sufficient to cover costs and disbursements occasioned by removal in

Promptly after filing the petition and bond, the defendant must give written notice to all adverse parties, and must file a copy of the petition with the clerk of the state court. Removal is then effective, and the state court no longer has jurisdiction.

2. Timing

Defendant must file for removal of a civil action within **30 days** after:

- a. Receipt of the initial pleading setting forth the claim upon which the action is based, or
- b. Service of the summons if the initial pleading has then been filed in court and is not required to be served, **whichever period is shorter.**

If the case was not initially removable, defendant must file within 30 days after his receipt of the amended pleading, motion or other paper from which it first appears that the case has become removable. Note that the time runs from the **receipt of the pleading** by defendant (or his authorized agent), not from the time of its filing in court.

F. REMAND

1. General Rule

If, at any time before final judgment, it appears that the case was removed improvidently and without subject matter jurisdiction, the federal court must remand the case to the state court, and may order the payment of just costs as well as any actual expenses (including attorney's fees) incurred as a result of the removal. 28 U.S.C. §1447(c). Remand may be upon the motion of either party, or the motion of the court. The removing party bears the burden of proof upon any challenge.

A certified copy of the order of remand must be sent to the clerk of the state court. Upon its receipt, the state court again takes jurisdiction. 28 U.S.C. §1447(c).

2. Not Reviewable

An order remanding a case to state court is generally not reviewable on appeal or otherwise. (The one statutory exception is if a civil rights action removed under §1443 is remanded.) 28 U.S.C. §1447(d). However, if the district court remanded a case on grounds not specified in the statute (e.g., federal docket is overcrowded), mandamus will lie to set aside the remand. *Thermtron Products, Inc. v. Hermansdorfer*, 423 U.S. 336 (1976).

VII. JURISDICTION OVER PERSONS AND PROPERTY

A. PERSONAL JURISDICTION

1. In General

In addition to jurisdiction over the subject matter, a federal court must have jurisdiction over the persons or property involved in the suit. This is sometimes referred to as territorial jurisdiction or personal jurisdiction.

Traditionally, such jurisdiction was based upon the presence of the person or property within the state where the court was located; currently, the existence of such jurisdiction turns upon whether there is a constitutionally sufficient connection between the defendant and the forum and whether notice sufficient to satisfy due process has been given to the persons whose interests are at stake in the suit. Generally, the federal courts are subject to the same limitations on service of process that apply to the state courts.

2. Jurisdiction In Rem And In Personam

a. Jurisdiction over the parties

In addition to jurisdiction over the subject matter, it is necessary for the court to acquire jurisdiction over the parties in order to render a valid judgment. There is never any problem as to jurisdiction over the plaintiff, since by bringing the action he consents to the court's jurisdiction over his claim, as well as over all set-offs, cross-actions, and counterclaims that the forum provides as permissible for the defendant to raise in the same suit. Thus, the problem is whether or not the court has acquired jurisdiction over the defendant, since if it has not there is no legal power to affect him. In this respect, the distinction between jurisdiction in rem and in personam must be kept in mind.

b. In personam jurisdiction

1) In personam action

In an ordinary lawsuit, the proceeding against the defendant is an **in personam action**. This means that it affects the defendant personally and generally, i.e., it is binding on him personally (by way of res judicata, collateral estoppel, merger by judgment, etc.), and it binds his entire estate generally (rather than being limited to his right in some particular thing, such as specific property). In order for a court to have power to proceed in an in personam action against a defendant, the court must have jurisdiction in personam over the defendant. (This is the usual type of lawsuit.)

2) In personam judgment

An "in personam judgment or decree," on the other hand, means that the judgment or decree personally orders the defendant to do a certain thing. In personam actions need not necessarily result in in personam judgments or decrees even though they succeed. In order for a court to grant an in personam judgment or

decree, the court must have jurisdiction in personam over the defendant. (This is the usual type of equity suit.)

For example, an action at law for money to be recovered out of the defendant's entire estate is an in personam action, but does not result in an in personam judgment or decree.

Hence, in most suits at law or in equity, jurisdiction in personam over the defendant is required, in order for the court to be able to render a judgment that is not absolutely void.

c. In rem jurisdiction

In some cases at law or in equity, the object is of a much narrower type. Instead of being directed personally against the defendant in either of the above senses, it is in legal contemplation directed against a thing or res. An example of this occurs in admiralty cases, in which the defendant is not "John Jones," but his boat or ship. Of course, the actual result is to affect John Jones, but only with respect to his rights in the boat. An action of such a type is in rem. Other examples include proceedings to establish title to realty under a title registration system, probate proceedings, escheat, and federal bankruptcy proceedings.

1) Jurisdiction based on situs of property

Actions in rem may also involve the determination or modification of the rights of specific persons in specific property, without affecting the rights of others not joined as parties.

(a) Examples

Examples of this type of proceeding include:

- (i) Actions to quiet title or remove a cloud on title (where others not joined are not bound);
- (ii) Actions to foreclose a mortgage or lien; and
- (iii) Specific performance of a contract to convey land within the jurisdiction (where the court transfers the title itself).

(b) Jurisdiction in personam not required

It is a fundamental principle of law that a state may, through courts authorized to do so, act in rem on property within the state, regardless of whether or not the court acquires jurisdiction in personam over the defendant. (This does not mean, however, that the defendant need not be given fair notice of the hearing, in accordance with due process.) Thus, if the proper procedures are instituted to vest jurisdiction over specific property in a specific court in an action in rem against a defendant who has been given appropriate notice thereof, a valid judgment may be rendered that will affect the legal rights of the defendant in the specific property. However, he is not personally bound unless the court has also acquired jurisdiction in personam over him.

Example: If the plaintiff institutes an attachment suit against specific property of the defendant and obtains an in rem judgment without the court having acquired jurisdiction in personam over the defendant, plaintiff cannot subsequently levy execution on other property of the defendant on the strength of this judgment, since defendant's entire estate was not affected by the in rem judgment.

2) Quasi in rem

(a) Definition

Some authorities use the term “**jurisdiction quasi in rem**” in cases where the plaintiff's original right was personally against the defendant (e.g. as in the case of suit on a note), rather than being specifically against particular property of the defendant, but he brings an action such as attachment or garnishment against specific property of the defendant.

(b) Minimum contacts requirement

The U.S. Supreme Court has held, in *Shaffer v. Heitner*, 433 U.S. 186, 97 S.Ct. 2569 (1977), that a state court's exercise of in rem or quasi-in-rem jurisdiction, if based solely on the presence of defendant's property within the state, must satisfy the same “minimum contacts” test applicable to in personam long-arm statutes, i.e. it must be fair and just to require defendant to defend in the state of the forum.

3. Jurisdiction Over Property

a. How acquired

Jurisdiction over property is based on the situs of the property. If the situs of the property is within the territorial jurisdiction of the court, jurisdiction in rem can be acquired by constructive service on the defendant, provided the necessary “minimum contacts” between defendant and the state exist. Statutes of the state provide the methods by which this may be accomplished. Constructive service may in some cases be by publication of notice in a newspaper of general circulation within the territorial jurisdiction of the court (generally a designated number of times over a designated period of time). Similarly, notice by mail, or by delivery to the last known address, or by personal service outside the territorial jurisdiction of the court, are other common types of constructive service.

1) Due process requirement of reasonable notice

The mere fact that constructive service has been given in accordance with a statute is not necessarily sufficient to satisfy the constitutional requirements of due process of law under the Fifth or Fourteenth Amendment. The notice must be reasonably calculated under all the circumstances, to inform the defendant of the pending action and afford him the opportunity to present any objections. *Dusenbery v. United States*, 534 U.S. 161 (2002), quoting *Mullane v. Central Hanover Bank & Trust Co.*, 339 U.S. 306 (1950). If there is no knowledge of

who (or where) the defendant is, notice by publication will satisfy due process, since it is the best notice which can be given under the circumstances. There is no general requirement, however, that the best possible notice be given. Reasonable notice is fair notice of the type that a person desirous of informing the defendant might reasonably use. If the defendant's address is known or can easily be obtained, however, service by publication is insufficient.

2) Examples

Some examples of cases involving jurisdiction in rem over property include:

- (a) attachment of realty or personalty;
- (b) partition of realty;
- (c) reformation of a deed;
- (d) foreclosure of a mortgage;
- (e) enforcement of a lien; and
- (f) condemnation of land by eminent domain.

3) Garnishment

Garnishment cases are also regarded as in rem or quasi-in rem actions insofar as the principal defendant is concerned, since the object is to reach only a particular asset of his, i.e. a debt owed him by the garnishee defendant or tangible property of the principal defendant in the possession of the garnishee defendant. Insofar as the garnishee defendant is concerned, he must be subjected to in personam jurisdiction, since he must be ordered not to deliver the property or pay the debt to the principal defendant. If it is tangible property he holds, it must also have a situs within the state. However, there is no need, insofar as due process of law is concerned, to obtain in personam jurisdiction over the principal defendant (unless it is desired to obtain a judgment that binds him further than with respect to this particular asset). Suitable constructive service will thus suffice, insofar as the principal defendant is concerned.

b. Intangible property

In addition to garnishment, it is also possible to reach intangible property of an absent debtor by equitable means (e.g. a creditor's bill, or a receiver).

Certain kinds of intangibles are treated as tangibles because they are represented by instruments having the characteristics of tangible property. This is the case with negotiable notes and drafts, negotiable corporate securities (stocks and bonds), and negotiable documents (such as negotiable bills of lading and warehouse receipts), all of which are held to have their situs where the instruments are.

4. Personal Jurisdiction Over Individuals

a. Means of acquisition

As a general rule, in personam jurisdiction is acquired over an individual by personal property within the jurisdiction does not make him amenable to in personam jurisdiction—except as to actions related to such property—even though it makes it possible to acquire in rem or quasi-in rem jurisdiction.) However, there are numerous exceptions to the rule requiring personal service within the state. Generally, these involve the following types of situations:

- 1) Consent;
- 2) General appearance;
- 3) Domicile; and
- 4) Acts within or contact with the state.

b. Consent

While jurisdiction over the subject matter cannot be acquired by consent, in personam jurisdiction **can** be acquired by consent, either given prior to or subsequent to the service of process.

1) Adhesion contracts

Adhesion contracts including consent to in personam jurisdiction (e.g. power of attorney to confess judgment) are, however, subject to restrictive interpretation by the courts and by statutes in many states.

2) Revocation of consent

Consent cannot be revoked after the action has been brought; it can be revoked earlier unless there is a contract not to revoke. Consent binds the plaintiff, as well as the defendant; that is to say, he is subject to in personam jurisdiction with respect to cross-actions, upon service of the appropriate pleadings on his attorney of record.

c. General appearance

1) Equivalent of consent

General appearance is also held to be equivalent to consent, and this is so even if the purpose of the appearance is to defend against an in rem action, such as attachment. Special appearance, limited solely to contesting in personam jurisdiction over the defendant, is permitted in virtually every state, and this does not amount to consent.

2) Definition of appearance

“Appearance” does not mean physical presence in court – this is neither sufficient nor necessary. What is required is filing or serving a paper called an

“appearance” (if the suit is started by issuance of a summons), or more commonly filing or serving a responsive pleading or motion. Whether an appearance is general or special does not depend on the party’s intention, but depends on whether he limits himself to objecting to the court’s purported exercise of in personam jurisdiction over him. Thus, it is not relevant that he insists that he is appearing specially, if the fact is otherwise.

3) Traditional rule

Under the traditional rule, defendant was not permitted to join any other defense with his objection to in personam jurisdiction; if he made such a joinder it was held to be a general appearance. However, the rule is contrary now under the Fed. R. Civ. P. 12 and in most states.

4) Modern rule

Under the present rule, there is no general appearance merely by joining other objections with that of lack of in personam jurisdiction; but there is a general appearance if lack of in personam jurisdiction is not included in the first objection made.

d. Domicile

In most jurisdictions, but not all, statutes provide that in personam jurisdiction may be acquired over a domiciliary by a specified type of substituted or constructive service on the defendant, e.g. by leaving the summons with his family, at his home, or by mailing to him. In some states, this is permissible only if he cannot be found.

e. Contact with the state

A further exception to the general rule requiring personal service permits substituted service on an agent who operates a business on behalf of the defendant within the state. While this rule has been applied primarily to corporations (as discussed below), on the ground that a state has power to exclude foreign corporations from entering the state to do business therein, it has also been applied to individuals engaged in a business that is otherwise subject to state control (e.g. the business of selling securities or insurance).

1) Non-resident motorists

Non-resident motorists are also subject by statute generally to in personam jurisdiction by substituted service on a designated state officer (coupled with notice on defendant satisfying due process), as to actions arising out of accidents on a highway. The standard explanation is that the state has the power to exclude anyone from using the highways except upon satisfying reasonable conditions, and that by driving on the highway the defendant “impliedly consents” to the conditions set forth in the statute for service of process, e.g. to the appointment of the designated official as defendant’s agent for service of process regarding actions arising out of his driving on the highway.

2) Long-arm statutes

In most states this approach has been broadened under various types of long-arm statutes to cover acts that occur within or affect the state, in which case the statutes provide methods of acquiring in personam jurisdiction of absent non-domiciliaries by constructive or substituted service.

In some states, the ownership of property may give rise to such in personam jurisdiction with respect to causes of action incident to such ownership of property. Torts arising out of acts done in the state, or done outside the state, but having effect inside the state, are also included in such statutes.

If a non-resident does business in the state in a continuous way, he may also be covered by the statute. And, if he enters into isolated contracts of specific highly regulated types (such as relate to insurance or sale of securities), the statute may also cover him. In all of these cases, if the standards of fairness are exceeded (e.g. where the nexus with the state is slight) the assertion of jurisdiction will be invalid as a denial of due process.

f. Personal service within the state

1) General rule

According to the general rule, personal service on anyone voluntarily present in the state of the forum is sufficient to acquire in personam jurisdiction over him, even though he is only temporarily there, and even though the cause of action did not arise in the state of the forum (at least if it is a transitory action, rather than a local action).

2) Transitory actions

Even if it is a local action (e.g. involving realty outside the state), it is not beyond the power of the state to enact a statute giving a court power to proceed in personam in such a case against a defendant personally served within the state. Personal service within the state on an alien present there is always deemed sufficient for in personam jurisdiction in a transitory action, because it may be the only real chance for the plaintiff to recover a judgment against the defendant.

However, where neither of the parties has any significant contact with the state (such as residence or domicile) and the cause of action arose outside the state, the court has discretion (unless a statute prevents it) to decline to take jurisdiction even over a transitory action, on the ground of *forum non conveniens*.

B. SERVICE OF PROCESS

1. General Rule

Process from federal courts can be served:

- a. Within the state where the district court is located; or
- b. Outside the state, if the state in which it is sitting has a long-arm statute.

In addition, persons who are impleaded under Rule 14, or who are parties to compulsory counterclaims under Rule 19 may be served outside the state if they live within 100 miles from the place in which the action is commenced or to which it is transferred for trial. Fed. R. Civ. P. 4(k).

2. Nationwide Service

Nationwide service of process is available in a few instances, e.g., under the Federal Interpleader Act, 28 U.S.C. §2361, and in securities fraud actions, 15 U.S.C. §78a.

C. JURISDICTION OVER THE SUBJECT MATTER

1. Jurisdiction Of The Particular Court

Assuming the state has jurisdiction over a particular subject matter and over the person, property, or status of the defendant, and that a justiciable controversy exists, it still does not necessarily follow that the particular court selected is the one that is competent to act. It may be a court of limited, rather than general jurisdiction (e.g. it may be a probate court). Even if it is a court of “general jurisdiction,” certain types of subject matter or remedies may have been removed from its jurisdiction by statute or the state constitution (e.g. probate of wills and administration of decedents’ estates). Thus, the first requirement of jurisdiction is that the court in question must have jurisdiction over the subject matter.

2. Necessity Of Jurisdiction Over The Subject Matter

If jurisdiction over the subject matter does not exist, it cannot be waived. Jurisdiction over the subject matter cannot be “consented to” by the parties. Lack of such jurisdiction makes any action of the court void – a legal nullity. Hence, such actions are in general subject to collateral attack anywhere and at any time, even though the time for appeal has passed. (For example, an action may be brought in equity to enjoin execution on the void judgment, or a declaratory judgment may be obtained, stating the invalidity of the void judgment.) However, while lack of jurisdiction over the subject matter may be raised at any time before the case is finally decided, the judgment can’t be attacked collaterally if the issue was decided by the court, as it is then *res judicata*.

3. Dependent On Plaintiff’s Pleading

Jurisdiction over the subject matter depends on what is alleged by the plaintiff’s pleading, rather than on what he is ultimately able to prove. He is in general entitled to litigate the matter of his complaint, and this means that the court has jurisdiction to determine whether or not his action is maintainable. However, if it appears on the face of the plaintiff’s complaint that his request for relief is, in whole or in part, fictitious or merely colorable, and is not made in good faith but is made simply to make it appear that there is jurisdiction, such request for relief must to this extent be disregarded in determining whether or not there is jurisdiction over the subject matter.

4. Presumptions As To Jurisdiction

In state courts of general jurisdiction there is a presumption of jurisdiction over the subject matter. Therefore, failure of the record affirmatively to show jurisdiction over the subject matter does not make the judgment void. This is not true of courts of limited jurisdiction, including inferior state courts (as well as U.S. District Courts), i.e., the existence of subject matter jurisdiction must be affirmatively shown in order to make the judgment valid in such courts.

a. Exclusions from jurisdiction of “general trial courts”

Even “general trial courts” usually have certain types of cases excluded from their jurisdiction. For example, jurisdiction over the administration of the estates of decedents and incompetents is placed in probate courts, and this jurisdiction is exclusive. Jurisdiction over certain matters is left exclusively to federal courts (e.g. admiralty and bankruptcy cases), and the state courts of general jurisdiction therefore have no jurisdiction in these cases. There are also “jurisdictional amount” requirements that must be satisfied in order to vest jurisdiction in a court of “general jurisdiction.”

b. Inferior courts

The jurisdiction of inferior courts is limited. There is, for example, a maximum limit to the amount in controversy in inferior courts. Inferior courts are frequently also subject to additional limitations on jurisdiction. For example, probate courts generally have narrowly defined jurisdiction over specific subject matter such as administration of the estates of decedents and incompetents. Generally, inferior courts have no equity jurisdiction. Municipal courts also have territorial limitations on their jurisdiction, limited to causes of action arising within a city.

5. Effect Of Lack of Jurisdiction Over Subject Matter

If a state lacks jurisdiction, the rendition of any order or judgment by its court is not only void but is also a violation of due process of law under the Fourteenth Amendment. Hence it is reviewable in the United States Supreme Court, as well as being subject to collateral attack elsewhere. On the other hand, if the state has jurisdiction, the question of which court of the state is competent is not a federal question, although the judgment will still be void and subject to collateral attack if the court is not competent.

VIII. VENUE

A. IN GENERAL

1. Definition And Purpose

a. Definition

Venue refers to the proper place for trial of an action over which several courts could exercise jurisdiction. In federal courts, the question is in which federal district should the trial be held. The general federal venue statute is 28 U.S.C. §1391.

b. Purpose

The purposes of venue requirements are:

- 1) To distribute cases within the court system; and
- 2) To promote convenience, by ensuring that the place of trial has some relationship with the parties or the cause of action, and it is thus not an undue burden on the parties to try the case there.

2. Jurisdiction Distinguished From Venue**a. Jurisdiction**

Subject matter jurisdiction is the power of the court to adjudicate the controversy presented; it is a question of constitutional dimension, and thus jurisdiction cannot be conferred by consent. A challenge to jurisdiction can be raised at any stage of the proceedings, and if jurisdiction is lacking, an action must be dismissed.

b. Venue

Venue, however, deals with the appropriate place for the exercise of judicial power; it is a question of convenience and is governed by statute. A venue objection can be waived, and thus venue can be conferred by consent. An objection to venue is waived if not timely raised. If venue is improper, the action need not be dismissed, but may be transferred to the proper court if justice would be served thereby.

3. Waiver Of Venue

If the defendant fails to object to improper venue at his earliest opportunity, the defense is waived. He must object in a pre-answer motion, or, if none is made, in the answer; otherwise, he has waived. Fed. R. Civ. P. 12(h).

B. VENUE RULES**1. Diversity Or Federal Question**

Under the current statute, venue in **either a diversity or federal question case** is proper in any district in which either:

- a. A defendant resides, if all of the defendants reside in the same state, or
- b. A “substantial” part of the events or property that are the basis of the claim took place or can be found, respectively.

2. Diversity

In **diversity** cases, venue is **also** proper in any district in which “the defendants are subject to personal jurisdiction at the time the action is commenced,” **but only** “if there is no district in which the action may be otherwise brought” (*i.e.*, the defendants do not reside in the same state and there is no state in which a “substantial” part of the claim arose).

3. Federal Question

Similarly, in **federal question** cases, venue is **also** proper in any district “in which any defendant may be **found**” (emphasis added), **but only** “if there is no district in which the action may be otherwise brought.” 28 U.S.C. §1391.

Keep in mind the distinction between venue and jurisdiction. Although venue may be proper in the district where a substantial part of the cause of action arose, the court will lack jurisdiction if the defendant is not subject to service of process in that state. An alien may be sued in any district.

Example: If P, a resident of New York, wants to sue D, a resident of Pennsylvania, in federal court for injuries to P’s land in Virginia, venue would be proper in Virginia because the land can be found there, but if D is not doing business in Virginia or is not otherwise subject to the jurisdiction of a Virginia court under its long-arm statute, the federal court sitting in Virginia would lack personal jurisdiction. Venue would be proper only in Pennsylvania, as D would be subject to jurisdiction in his domicile.

C. RESIDENCE FOR VENUE PURPOSES

1. Individuals

The venue statute speaks of the residence of the plaintiff and defendant. Are residence and citizenship synonymous? The cases are divided; however, the majority view is that they are synonymous. Thus, if P is domiciled in New York, but has a summer home in Massachusetts, only New York is his residence for venue purposes.

2. Aliens

An alien may be sued in any district. 28 U.S.C. §1391(d). Where an alien is the plaintiff, suit must be in the district in which all defendants reside, or in which the claim arose, regardless of the basis of jurisdiction.

3. Corporations

A corporation may be sued in any judicial district in which it is subject to personal jurisdiction. 28 U.S.C. §1391(c). A corporation is subject to personal jurisdiction not only in the states in which it is incorporated and licensed to do business, but also in any district with which it has sufficient minimum contacts to satisfy the constitutional requirements and the requirements of the state’s long-arm statute.

Note that 28 U.S.C. §1391(c) applies only to corporate **defendants**. For venue purposes, a corporate plaintiff is a resident only of the state and district of its incorporation.

4. Unincorporated Associations

For venue purposes, an unincorporated association (e.g., a partnership or labor union) is treated as if it were a corporation, and it may be sued wherever it is doing business.

D. SPECIAL VENUE STATUTES

1. Federal Statutes

Many federal statutes specify the proper venue in particular actions, such as patent or copyright cases, or suits against national banks. A statutory interpleader action must be brought in a district where a claimant resides. 28 U.S.C. §1397. A stockholder's derivative action may be brought in any district where the corporation could have sued the same defendants. 28 U.S.C. §1401.

2. Suit Against Federal Employee

A suit against a federal employee acting under color of legal authority may be brought where:

- a. The **defendant resides**;
- b. The cause of **action arose**;
- c. Any **real property** involved is situated; or
- d. The **plaintiff resides** if no real property is involved.

28 U.S.C. §1391(e).

However, this expanded venue provision does not apply to civil actions for money damages brought against federal officials in their individual capacities. *Stafford v. Briggs*, 444 U.S. 527 (1980). A federal tort claim action may be brought only in the district where the plaintiff resides or where the act or omission occurred. 28 U.S.C. §1402(b).

E. TRANSFER

1. Where Venue Is Improper

a. Dismissal

If an action is commenced in the wrong district, the court shall dismiss, or if it is in the interest of justice, the court may transfer the case to any district in which it could have been brought. 28 U.S.C. §1406(a). Dismissal would be fatal to the cause of action if the statute of limitations had run and would bar any new suit; in that instance, transfer is especially useful.

b. Transfer

Transfer can be ordered only if the court in which the action was brought has subject matter jurisdiction; however, a court can transfer an action where it lacks in personam jurisdiction over the defendant. *Goldlawr, Inc. v. Heiman*, 369 U.S. 463 (1962). The case must be transferred to a district in which venue is proper, and in which the defendant is amenable to process.

2. Where Venue Is Proper

a. Convenience of parties

Even though venue is proper in the district where an action is brought, the court may, in its discretion, transfer the suit to any district “where it might have been brought,” “for the convenience of parties and witnesses, in the interest of justice.” 28 U.S.C. §1404(a). The policy underlying the statute is the promotion of the convenience of the parties and witnesses.

b. Defendant cannot consent to improper transfer

The phrase “where it might have been brought” limits transfer to a district where the plaintiff could have brought the action at the time the suit was initiated. Thus, consent by the defendant will **not** permit transfer to a forum where suit could not have been commenced. *Hoffman v. Blaski*, 363 U.S. 355 (1960).

Example: D, a citizen of New York, moves under §1404(a) to transfer a suit from a federal court in New York to a federal court in Virginia; however, D would not be amenable to process in an action originally brought in a Virginia district court. *Transfer is not available.*

c. Motion for transfer

A motion for transfer may be made by any party at any time. The movant must bring forth evidence that a transfer would promote the convenience of the parties or the witnesses and would be in the interest of justice. When the motion is granted, the papers are transferred to the new forum, and the original forum loses all jurisdiction. The transferee court must apply the law that would have been applied in the original court. *Van Dusen v. Barrack*, 376 U.S. 612 (1964). An order granting or denying a §1404(a) motion is not appealable as a final judgment.

F. FORUM NON CONVENIENS

The doctrine of forum non conveniens allows dismissal by a court if it would be an unfair or inconvenient forum. Forum non conveniens has largely been superseded by 28 U.S.C. §1404(a), which permits transfer on a lesser showing of inconvenience; however, an action will be dismissed for forum non conveniens if the appropriate forum is a state court or a court in a foreign country.

Dismissal will usually be appropriate where trial in the plaintiff’s chosen forum imposes a heavy burden on the defendant or the court, and where the plaintiff is unable to offer any specific reasons of convenience supporting her choice. However, dismissal is not appropriate if the alternative forum does not permit litigation of the subject matter of the dispute. A plaintiff cannot defeat a motion to dismiss by merely showing that the substantive law that would be applied in the alternative forum is less favorable to the plaintiffs than that of the chosen forum. *Piper Aircraft Co. v. Reyno*, 454 U.S. 235 (1981).

IX. THE LAW APPLIED BY FEDERAL COURTS

A. THE *ERIE* DOCTRINE

1. Development Of The Doctrine

a. *Erie*'s holding

Erie Railroad Co. v. Tompkins, 304 U.S. 64 (1938) held that except in matters governed by the federal Constitution or acts of Congress, the law of the state, whether statute or case law, must be applied by the federal courts. The policies underlying *Erie* are twofold:

- 1) To discourage forum-shopping; and
- 2) To avoid inequitable administration of laws.

b. Outcome-determinative test

Erie dealt with an application of state substantive law. In *Guaranty Trust Co. of New York v. York*, 326 U.S. 99 (1945), the issue was whether in a diversity suit in equity the federal court should apply a state statute of limitations or the rule of laches traditionally applied by federal courts in equitable actions. The Court announced an "outcome-determinative" test: if the state statute would make a substantial difference in the outcome, state law must be followed; the court must look to the impact of the choice on the outcome. The most obvious example of such outcome-determinative factors is the statute of limitations; another example is the placement of the burden of proof.

c. *Byrd* balancing test

However, *Byrd v. Blue Ridge Rural Electric Cooperative, Inc.*, 356 U.S. 525 (1958) modified *York*, declaring that impact alone is not the test; instead, the general policy of ensuring the same outcome in state and federal courts must be balanced against any countervailing strong federal policy involved (e.g., federal right to have jury, not judge, pass on a defense). In applying the *Byrd* balancing test, a court must weigh:

- 1) The state policy underlying its rule;
- 2) The federal policy underlying its rule; and
- 3) The likelihood that applying the federal rule will cause a difference in the outcome (e.g., a different outcome will not necessarily result from trying the defense before a jury rather than a judge).

2. *Erie* And The Federal Rules

a. Federal rule applicable

The doctrine was further limited by *Hanna v. Plumer*, 380 U.S. 460 (1965), which held that *Erie* is not the appropriate test if an issue is covered by one of the Rules of Civil Procedure. The court must decide initially whether the Rule is sufficiently broad to cover the disputed issue. If the Rule does cover the issue, and it is

sanctioned by the Rules Enabling Act (none has ever been held invalid), it should be applied, regardless of contrary state law. Likewise, if a Federal Rule of Evidence is valid and applicable, it will be applied rather than contrary state law. If there is a federal directive on point, then federal law will apply, provided that the federal law is valid.

b. No applicable federal rule

However, when no Rule is directly in point, the court must make “the typical, relatively unguided *Erie* choice,” it must decide on the applicable law in light of the twin goals of *Erie*: discouragement of forum-shopping and avoidance of inequitable administration of laws. If there is no Rule but there is a strong federal policy (e.g., jury trial), the court must weigh the federal policy against any state policy and the probability of outcome-determination. If there is no Rule and no strong federal policy, even if the matter is “procedural”, the *York* outcome-determination test would apply. If the matter is clearly substantive, *Erie* governs and state law will be applied.

3. Substantive Vs. Procedural

The line between state substantive law and federal procedural rules is not always distinct; for example, should a statute of limitations be deemed substantive or procedural? Does Fed. R. Civ. P. 3, which provides that an action is commenced by filing a complaint with the court, measure the running of the state statute of limitations?

a. In general

In some instances, the characterization as substance or procedure is well established. Statutes of limitations and the rules for tolling statutes of limitations are substantive for *Erie* purposes. In addition, the choice of law rules and the elements of a claim or defense are all considered substantive in nature. Therefore, a federal judge in a diversity case must follow state law on these issues.

Example: The Supreme Court has construed Rule 3 narrowly, holding that it was not intended to measure the running of a statute of limitations in a diversity action. Thus, where a state statute provides that an action is commenced upon service of the summons, state law, rather than federal Rule, governs as to when and whether the statute has been tolled. *Ragan v. Merchants Transfer & Warehouse Co.*, 337 U.S. 530 (1949); *Walker v. Armco Steel Corp.*, 446 U.S. 740 (1980).

b. Shareholders’ derivative actions

Similarly, a shareholders’ derivative action brought in federal court under diversity jurisdiction is governed procedurally by Fed. R. Civ. P. 23.1. However, the Supreme Court held that a state statute requiring a security-for-expenses bond had to be enforced in federal court because it was an integral part of the state substantive law authorizing derivative actions. *Cohen v. Beneficial Industrial Loan Corp.*, 337 U.S. 541 (1949).

c. Law is unclear in other situations

Outside these specific areas, it is often difficult to determine whether an issue is substantive or procedural for *Erie* purposes. In these situations, the court will consider the issue to be substantive if it substantially affects the outcome of the case and will also consider the policy implications by balancing the interests of the state and the federal government. Finally, the federal judge will tend to prefer state law in those situations where failing to do so would cause litigants to flock to federal court, thereby attempting to discourage forum shopping.

B. WHICH STATE'S LAW APPLIES?

1. State In Which Federal Court Sits

A federal court must apply the substantive law that would be applied by a state court in the state where the federal court is sitting. Thus, the federal court must also apply that state's conflict-of-laws rules. *Klaxon v. Stentor Elec. Mfg. Co., Inc.*, 313 U.S. 487 (1941). For example, if a New Yorker is injured in a collision with a Pennsylvanian in Connecticut, and an action is brought in New York, the federal court in New York will apply New York's choice-of-law rules, whereas if the action is brought in Pennsylvania, the federal court there will apply Pennsylvania's choice-of-law rules.

2. Effect Of Transfer

If an action is transferred upon either party's motion under 28 U.S.C. §1404, the transferee court must apply the law that **would have been applied** in the transferor court. *Van Dusen v. Barrack*, 376 U.S. 612 (1964) (defendant's motion).

C. DETERMINING THE APPLICABLE STATE LAW

A federal court is bound by the substantive rulings of the state's highest court. Even if a state decision is handed down after the federal trial court decision, a court of appeals must apply the state ruling. *Vandenbark v. Owens-Illinois Glass Co.*, 311 U.S. 538 (1941).

If there is no decision on point by the highest state court, the federal court should look to the decisions of lower state courts or, if there are none, to relevant dicta and analogous decisions in that state, and to decisions in other influential or neighboring jurisdictions. The federal court must adopt the rule that it believes the state court would adopt. Alternatively, in some states, the federal court may certify questions of state law to the highest state court for decision.

D. FEDERAL COMMON LAW

1. Applicable Federal Common Law

Although Justice Brandeis declared in *Erie* that "there is no federal general common law," there is federal common law: decisions that interpret or fill in gaps in federal statutes, treaties or constitutional provisions. In these areas, the *Erie* doctrine does not control, because the application of state law would subject the rights and duties of the United States to "exceptional uncertainty." Areas in which federal common law has been developed include foreign relations, labor law, disputes between states, suits where the

United States or its employee is a party, and suits upon federal commercial paper or pollution of interstate waterways.

2. Inapplicable Federal Common Law

In instances when federal common law is applicable, it preempts state statutes and case law and must be applied by state courts as well as federal courts. A case “arising under” federal common law is a federal question case.

3. Incorporated State Law

Sometimes a federal statute will incorporate state law, *e.g.*, the Federal Torts Claims Act adopts the measure of damages specified by state law. Federal decisions may also incorporate state law, rather than develop federal common law -- thus, for example, if a federal statute fails to include a time limitation on actions, the federal court will adopt the statute of limitations for analogous state actions.

X. RELATION OF STATE AND FEDERAL COURTS

A. STATE COURT ENFORCEMENT OF FEDERAL LAW

1. Concurrent Jurisdiction

Unless Congress has expressly made jurisdiction in the federal courts exclusive, federal and state courts have concurrent jurisdiction over cases arising under federal law. Certain federal statutory rights (*e.g.*, under the Federal Employers’ Liability Act (FELA)) can be asserted in either federal or state court; when asserted in state court, the Supremacy Clause requires that federal law be applied. Unless a state has a valid excuse (*e.g.*, hearing the action would violate the state court’s *forum non conveniens* doctrine), a state must enforce both federal remedial statutes and federal penal statutes.

2. Conflicting Federal And State Laws

The Supreme Court held in *Minneapolis & St. L. R. Co. v. Bombolis*, 241 U.S. 211 (1916), that when a federal claim is asserted in state court the litigant has the benefit of federal substantive law but must accept the state procedural law. However, this holding has been substantially narrowed.

Example: In a FELA case, a state cannot apply its own requirement that pleadings be construed against the pleader because such strict local rules of pleading cannot be used to impose unnecessary burdens on federal rights. *Brown v. Western Ry. of Alabama*, 338 U.S. 294 (1949).

Similarly, in an FELA case, the state court cannot follow its practice of allowing the judge to decide whether a release is invalid because of fraud, because trial by jury is a fundamental part of the remedy afforded by the federal statute. *Dice v. Akron, C. & Y. R. Co.*, 342 U.S. 359 (1952).

A state cannot limit federal jurisdiction. Under the Supremacy Clause of the federal Constitution, state courts are prohibited from enjoining federal actions.

B. SUIT AGAINST A STATE IN FEDERAL COURT

Under the Eleventh Amendment, a state is immune from suit brought without the state's consent by her own citizens as well as by citizens of another state, regardless of the nature of the relief sought. U.S. Const. amend. XI. The Eleventh Amendment also bars a suit against state officials when the state is the real party in interest, regardless of whether it seeks damages or injunctive relief. *Cory v. White*, 457 U.S. 85 (1982). However, a suit challenging the constitutionality of a state official's action is not a suit against the state, and an injunction may issue against him. *Ex parte Young*, 209 U.S. 123 (1908). The illegality of the official's act must be based on federal law; the fact that his act is in violation of state law does not warrant federal court intervention. *Pennhurst State School & Hospital v. Halderman*, 465 U.S. 89 (1984).

C. FEDERAL INJUNCTIONS AGAINST STATE PROCEEDINGS

A federal court may not enjoin pending state court proceedings except as expressly authorized by Act of Congress, or where necessary in aid of its jurisdiction, or to protect or effectuate its judgments. 28 U.S.C. §2283. Thus, injunctions may be available under the Bankruptcy Act, the federal interpleader act, the civil rights act, and the removal statute. The second exception codifies the rule that in an action in rem the court that first obtains jurisdiction over the res can enjoin later suits in other courts. Finally, a federal court may issue an injunction to prevent re-litigation of a matter already adjudged in federal court. A federal court may issue a temporary stay against the state court proceedings until it is determined whether 28 U.S.C. §2283 is applicable.

XI. CHALLENGES TO JURISDICTION

A complaint must contain "a short and plain statement of the grounds upon which the court's jurisdiction depends." Fed. R. Civ. P. 8(a). The defense that there is no federal jurisdiction may be raised by motion or by answer. Fed. R. Civ. P. 12(b). If the record fails to disclose a basis for federal jurisdiction, the claim must be dismissed, whether the case is at the trial stage or at the appellate stage. The whole record may be looked to for the purpose of curing a defective averment of jurisdiction, however. Defective allegations of jurisdiction may be amended upon terms in the trial or appellate courts. 28 U.S.C. §1653. Note that the defect of lack of jurisdiction is not waived and the court is required to dismiss the action "whenever it appears by suggestion of the parties or otherwise that the court lacks jurisdiction of the subject matter." Fed. R. Civ. P. 12(h).

STATE JURISDICTION

XII. SUBJECT MATTER JURISDICTION

In state courts, as in federal courts, a court must have jurisdiction over the subject matter of the litigation. Subject matter jurisdiction is the authority to hear and decide a general type of suit; it is granted by the constitution or statutes of the state, and cannot be waived by the parties. The lack of subject matter jurisdiction may be raised at any time by the parties or by

the court on its own motion. If a court lacks subject matter jurisdiction, its judgment is void and can be collaterally attacked.

A state court's jurisdiction may be either general or limited, and either exclusive or concurrent. A court of general jurisdiction is authorized to hear and decide all suits, regardless of the nature of the case or the amount involved, **unless** exclusive jurisdiction has been conferred on another court by constitution or statute. A court of limited jurisdiction has only that jurisdiction expressly granted it by the state constitution or statute (e.g., a probate court may be limited to jurisdiction over probate, adoption and divorce). If a suit may be brought only in one court, that court has exclusive jurisdiction over it; if a suit might be brought in either of two courts, those courts have concurrent jurisdiction over it. Besides courts of original jurisdiction (those in which cases are commenced and tried), there is always at least one state court of appellate jurisdiction which reviews the decisions of the lower courts.

XIII. JURISDICTION OVER PERSONS AND PROPERTY

A. IN GENERAL

In addition to subject matter jurisdiction, i.e., the competence to hear a type of suit, a court must also have the power to bind the parties to the suit (or the property at issue) by its judgment; this jurisdiction over the persons and property is sometimes called personal jurisdiction or territorial jurisdiction.

1. Historical Basis

Historically, the basis for a court's jurisdiction was its power to take custody of persons or property within its own borders. Thus, the traditional bases for jurisdiction included the presence of the person or property in the state. *Pennoyer v. Neff*, 95 U.S. 714 (1877). Domicile of the defendant in the state was an adequate ground for jurisdiction. Consent - express or implied - by the defendant also conferred jurisdiction over him. Property within the state owned by the defendant could provide jurisdiction if attached at the outset of the suit, but the judgment extended only to the defendant's rights and interests in that property. (See "Quasi in Rem Jurisdiction," *infra*.)

2. Current Focus

The current personal jurisdiction analysis focuses more upon Due Process limitations than territorial limits: (1) Is it fair to require the defendant to defend in the state? (2) Does the state have a reasonable nexus with the dispute? (3) Has the defendant received adequate notice of the action and an opportunity to be heard? Long-arm statutes can extend a state's jurisdiction beyond its own territory if the due process requirements are satisfied.

B. BASES FOR IN PERSONAM JURISDICTION

In personam jurisdiction gives the court power to award a judgment imposing personal liability on the defendant. It is usually the most desirable form of jurisdiction, since, in effect, the judgment attaches to the person of the defendant and follows wherever he goes. Thus, the plaintiff, as a judgment creditor, can execute against any of the defendant's

property within the state, and, if that is insufficient, can sue on the state court judgment in other states and execute against property located there.



BAR EXAM ALERT

Know the current bases for in personam jurisdiction:

- Personal service within the state;
- Domicile of the defendant in the state;
- Consent of the defendant to be sued in the state (by contract, intentional waiver of objection, or failure to raise the objection in timely fashion);
- Fictional presence of a corporation in the state ("doing business");
- Long-arm jurisdiction.

1. Personal Service Within The State

Personal service upon a natural person within the state subjects him to in personam jurisdiction. In the past, the nature of the plaintiff's cause of action was irrelevant - it need not be related to the state. Thus, in *Grace v. MacArthur*, 170 F. Supp. (E.D. Ark. 1959), in personam jurisdiction was obtained by serving an airline passenger while the plane was flying over the forum state. *Shaffer v. Heitner*, *infra*) cast doubt on this particular theory; it required a connection among the defendant, the forum state and the litigation. However, *Shaffer v. Heitner* does not overrule the traditional rule of *Pennoyer v. Neff*; personal service within the state is still sufficient to justify personal jurisdiction over a party. In *Burnham v. Superior Court of California*, 495 U.S. 604, 109 L.Ed.2d 631 (1990), the Court held that a party's temporary but voluntary presence in the state constituted sufficient purposeful availment of the benefits of the state (fire and police protection, for example) so that personal service therein would satisfy the requirements of due process.

NOTE: Many states provide immunity from service of process for a nonresident who is in the state voluntarily to participate in a legal proceeding. Similarly, service may be invalidated if a nonresident is lured into a state under false pretenses.

2. Domicile

Domicile is a basis for jurisdiction even if the service is made outside the state. *Milliken v. Meyer*, 311 U.S. 457 (1940). Domicile requires the maintenance of a residence or physical presence in the state, **and** the mental intent to make the state one's permanent residence. Residence, on the other hand, means mere physical presence in the state

without that intent. A person may be a resident of more than one state, but can be a domiciliary of only one. The defendant must be a domiciliary when process is served for jurisdiction to be acquired; prior or subsequent domicile is ineffective.

A corporation is subject to in personam jurisdiction in the state where it is incorporated. (Its place of incorporation is analogous to a person's domicile.)

3. Consent

Unlike subject matter jurisdiction, personal jurisdiction may be conferred by the consent of the defendant.

a. Express Consent

If, prior to the action, the defendant has designated an agent in the state to accept process on his behalf (e.g., in a contract), valid service may be made on the agent. *National Equipment Rental, Ltd. v. Szukhent*, 375 U.S. 311 (1964). However, this rule may not apply if the court is an inappropriate forum or if one party to the contract had disproportionate bargaining power or perpetrated a fraud.

In a cognovit note, a debtor confesses judgment in the event he defaults on his payments, and usually also consents to in personam jurisdiction in a specified court. Most states reject such notes as an express consent to jurisdiction.

A defendant can also consent to jurisdiction after a suit has begun by expressly waiving his challenge to personal jurisdiction.

b. Implied Consent

1) Filing suit

By filing suit, the plaintiff consents to personal jurisdiction; thus, a defendant may counterclaim and serve the plaintiff's attorney. *Adam v. Saenger*, 303 U.S. 59 (1938).

However, this rule is somewhat modified in regard to class action suits. A plaintiff is held to have consented to the forum state's jurisdiction if she is notified of her option to "opt out" of the class action and fails to do so. *Phillips Petroleum Co. v. Shutts*, 472 U.S. 797 (1985).

2) Making a general appearance

If the defendant appears and defends on the merits without raising a timely objection to jurisdiction, he has waived his jurisdictional objection, and thus has consented. Usually, waiver occurs unless the defendant raises his jurisdictional objection in either his answer or a pre-answer motion to dismiss for lack of jurisdiction, whichever is filed first. (*infra*.)

3) Nonresident motorist statute

Most states have a nonresident motorist statute, which provides that a nonresident motorist using the state's highways impliedly appoints the secretary of state or some other designated state official as his agent for accepting process in suits

arising from his use of the roads. Such statutes are based on the dubious fiction that a state may exclude a nonresident if he does not consent. The statutes have been upheld on the basis of a state's police power to regulate its roads and its desire to provide an adequate forum for its injured citizens. *Hess v. Pawloski*, 274 U.S. 352 (1927). However, the statute must expressly require the state official to give notice of the commencement of the suit to the nonresident. *Wuchter v. Pizzutti*, 276 U.S. 13 (1928). In most states, the nonresident motorist statute has been conceptually superseded by the long-arm statute (*infra*).

4) Foreign corporations

In many states, a foreign corporation is required as a condition of its engaging in business in the state to appoint an agent within the state for receipt of process. Furthermore, a corporation that failed to appoint an agent was deemed to have impliedly designated the secretary of state as its agent for receipt of process; this approach raised questions of restraint on interstate commerce, and the implied consent doctrine was superseded by the "corporate presence" theory.

4. Corporate Presence

a. In general

The doctrine of corporate "presence" developed through case law to justify exercising jurisdiction over a foreign corporation. A corporation was deemed to be "present" in the state through the presence of its office, employees and bank accounts there; hence, service could be effected upon its employees or upon the secretary of state. However, if the corporation ceased to have such a "presence" in the state, it could no longer be sued, even for its prior acts. The "presence" theory thus developed into the "doing business" theory: the corporation's transactions within the state were in fact a "presence", so that a corporation could be sued upon its acts within the state even after the corporation had left the state.

b. "Doing business"

The "doing business" basis is still useful if the claim is unrelated to the forum state, i.e., if the event giving rise to the claim occurred outside the state, and the defendant is a foreign corporation "doing business" in the state.

Example: Where a Massachusetts plaintiff was injured in Maine by a defective product manufactured in North Dakota by the defendant, defendant's business activities in Massachusetts were sufficient to satisfy the minimum contacts and fairness requirements of due process, and jurisdiction could be obtained by service upon the Massachusetts secretary of state.

c. Extent of business

The key factor is the extent of business; the corporation must do business in the state not occasionally or casually, but with a fair measure of permanence and continuity. If several corporations function as basically a single economic unit, having common ownership or interlocking corporate structures, and only one is doing business in the

state, jurisdiction probably will be sustained over a sister corporation. However, as long as there is a genuine separation between subsidiary and parent, the subsidiary's activities in the state will not be imputed to the parent.

5. Long-Arm Jurisdiction

a. Background

International Shoe Co. v. Washington, 326 U.S. 310 (1945) removed the need for the fictions of "consent" and "presence", and laid the basis for long-arm jurisdiction. It declared: "Due process requires only that in order to subject a defendant to a judgment in personam, if he be not present within the territory of the forum, he have certain minimum contacts with it such that the maintenance of the suit does not offend 'traditional notions of fair play and substantial justice.'"

Note that under the minimum contacts doctrine there are two bases for the assumption of jurisdiction:

- 1) if the cause of action arose from the **defendant's activities within the state**, jurisdiction would be proper;
- 2) if the cause of action arose from **conduct outside the forum state**, jurisdiction would be proper if the out-of-state defendant engaged in continuous and systematic business within the state (e.g., a permanent office or regular sales representatives).

b. Two types of long-arm statutes

After *International Shoe*, most states enacted long-arm statutes, which are basically of two types.

1) Broad scope

Some states (California and Rhode Island) drafted broad long-arm statutes; their reach is coextensive with the Constitution, so that they automatically adjust to new interpretations of the Due Process Clause. Such statutes typically provide that "Persons that shall have the necessary minimum contacts with the state shall be subject to the jurisdiction of the state, and the courts shall hold such foreign corporations and nonresident individuals amenable to suit in every case not contrary to the provisions of the constitution or laws of the United States." In suits under such statutes, the only inquiry is whether the statute as read and applied is constitutional.

2) Limited scope

Statutes of a limited scope specify the categories of contacts that will confer jurisdiction, e.g., "a tortious act within the state." Typically, these categories will include defendant's

- (a) transaction of business in the state;
- (b) contracting anywhere to supply goods or services in the state;
- (c) causing tortious injury by an act or omission in the state;
- (d) causing tortious injury in the state by an act or omission outside the state if he:
 - (i) regularly does or solicits business or engages in any other persistent course of conduct, or derives substantial revenue from goods used or consumed, or services rendered, in the state, or
 - (ii) expects or reasonably should expect the act to have consequences in the state and derives substantial revenue from interstate or international commerce;
- (e) having an interest in, using or possessing real property in the state;
- (f) contracting to insure any person, property or risk within the state; and
- (g) living as one of the parties to a marriage or former marriage, if the marital domicile of both parties was in the state for at least one year within the two years immediately preceding the commencement of the action, notwithstanding the defendant's subsequent departure from the state.

In suits under these statutes, a two-step inquiry is necessary:

- Is this case within the statute?
- Is the statute as read and applied constitutional?

c. Long-arm analysis: is this case within the statute?

Under a long-arm statute of limited scope, the first question is “Is this case within the statute?”

1) Tortious act within the state

Many long-arm statutes extend jurisdiction over one who commits a “tortious act within the state.” Thus, “tortious act” must be defined; not all states have defined it in the same way.

Example: In *Gray v. American Radiator & Standard Sanitary Corp.*, 22 Ill.2d 432 (1961), a valve, manufactured in Ohio by the defendant, was sold and incorporated into a water heater manufactured in Pennsylvania; the water heater was sold and installed in Illinois where it exploded - allegedly due to a defect in the valve - and injured the plaintiff. The Illinois court held that it had jurisdiction over the defendant because “the place of a wrong is where the last event takes place which is necessary to render the actor liable” - thus, the tortious act was committed in Illinois and the case was within the Illinois statute. Most courts have followed the Illinois interpretation.

However, in *Feathers v. McLucas*, 15 N.Y.2d 443 (1965), the New York Court of Appeals interpreted a similar statute more narrowly, holding that a tort and a “tortious act” do not necessarily occur in the same place, and that if the injury occurred within the state, but the negligent act occurred outside the state, New York would not have jurisdiction.

2) Tortious act outside the state causing injury within the state

In response to *Feathers v. McLucas*, New York, and other states with such limited scope long-arm statutes, added a new section to the statute to extend jurisdiction to a nondomiciliary who commits a tortious act outside the state causing injury to a person or property within the state.

(a) Determining applicability

To satisfy the “minimum contacts” standard, such provisions apply only if the defendant (a) regularly does or solicits business, or engages in any other persistent course of conduct, or derives substantial revenue from goods used or consumed or services rendered in the state; or (b) expects or reasonably should expect the act to have consequences in the state and derives substantial revenue from interstate or international commerce.

(b) Limited to location of loss

However, a plaintiff who is hurt outside the state by a defective product manufactured outside the state cannot satisfy the injury-within-the-state requirement by showing that his medical expenses, loss of earnings, pain and suffering all occurred or were incurred within the state. This provision can also cover commercial injury, which is more difficult to locate. An injury will not be found to have occurred in a state merely because the plaintiff is domiciled or incorporated there; the loss must actually have occurred there.

(c) Substantial revenue

“Substantial revenue” may be either a large percentage of the defendant’s overall revenues, or a large sum of money. The substantial revenue need not be from the product giving rise to the claim, but may be from other products the defendant sells in the state.



BAR EXAM ALERT

Thus, to determine whether a case is within this section of the statute, you must first be certain that injury occurred within the state. Next, you must look to the extent of the defendant’s business.

3) Transaction of any business within the state

Most long-arm statutes specify that if the defendant transacts any business within the state or contracts anywhere to supply goods or services in the state, and the claim arises from this, he is amenable to jurisdiction.



BAR EXAM ALERT

The test for a "transaction" is not quantitative, but qualitative; the defendant need not be doing a substantial amount of business in the state, and a single transaction may be sufficient if it is the basis for the claim.

Example: In *Burger King Corp. v. Rudzewicz*, 471 U.S. 462 (1985), the Court determined that a Florida statute which purported to establish personal jurisdiction over any person who "[b]reach[ed] a contract in this state by failing to perform acts required by the contract to be performed in this state" was constitutional and conferred jurisdiction over a Michigan resident who had sought and obtained a franchise from a Florida corporation and then failed to make payments to the Florida corporation.

(a) Negotiation

Negotiation and execution in the state of a contract that contemplates an ongoing relationship between a domiciliary and a nondomiciliary constitutes a transaction, even if the nondomiciliary works under the contract outside the state. However, the mere execution of a contract in the state does not necessarily constitute a transaction, if it was negotiated outside the state and was for the sale of property outside the state.

(b) Contract

A contract to supply goods in the state will ground jurisdiction even if it is negotiated and executed outside the state, **provided** the claim arises out of the contract. Jurisdiction would not be conferred if the contract provided for delivery of the goods in another state; similarly, supplying goods to others in the state is not enough to grant jurisdiction.

(c) Mail order

Mail orders probably do not confer jurisdiction, because the contact is so minimal and defense by the buyer in the home state of the mail-order seller would be unduly burdensome.

(d) Agency

An agent who transacts business in the state may provide jurisdiction. In *Parke-Bernet v. Franklyn*, 26 N.Y.2d 13 (1970), a California defendant participated in an auction in New York by telephone, using plaintiff's employee as intermediary. Under the "borrowed servant" doctrine, the employee was held to be the defendant's agent and jurisdiction was sustained.

(e) Transaction of business

If a tort arises out of the transaction of business in the state, long-arm jurisdiction is available.

Example: In *Singer v. Walker*, 15 N.Y.2d 443 (1965), a geologist's hammer was manufactured in Illinois and shipped to a retailer in New York, where it was purchased by the plaintiff, who was injured in Connecticut when it broke. Although the New York court held that no tortious act had been committed in New York, it upheld jurisdiction on the basis that the defendant had transacted business within the state by soliciting business, printing advertisements and shipping substantial quantities of its products into the state.

(f) Contracting to insure

Contracting to insure any person, property or risk within the state is a sufficient contact to confer jurisdiction.

Example: In *McGee v. International Life Ins. Co.*, 355 U.S. 220 (1957), a Texas insurance company doing business solely by mail, solicited and sold a policy to a California citizen. The Court held that the company could be sued under the California long-arm statute, even if the defendant sold only one policy in the state. An important consideration here is the forum state's interest in protecting its citizens against insurance companies, which is demonstrated by the state's pervasive regulation of the field.

4) Real property actions

In many states, a defendant is subject to long-arm jurisdiction on a **claim arising out of his ownership, use or possession of real property in the state**. This section would cover a case where a state citizen was injured on the property of a nondomiciliary, or where a nondomiciliary reneged on a contract to sell realty in the state.

d. Long-arm analysis: is the statute constitutional as applied?

Under a long-arm statute of limited scope, the second step (the first step under a statute of broad scope) is to determine whether the statute as read and applied in this case satisfies due process requirements. The meaning of due process is still evolving, but clearly minimum contacts and some element of purposeful activity by the defendant are necessary to meet its requirements.

1) Minimum contacts**(a) Fairness standard**

In *International Shoe*, the Supreme Court declared that due process requires that the defendant have certain “minimum contacts” with the forum state “such that the maintenance of the suit does not offend ‘traditional notions of fair play and substantial justice.’” *International Shoe* introduced the notion of “fairness” as the standard for jurisdiction rather than merely territorial concerns. Furthermore, the case declared that “continuous corporate operations within a state” may be sufficiently substantial to justify an exercise of jurisdiction over the firm on matters unrelated to its contacts with the state.

(b) Systematic and continuous activity

Occasional visits or indirect activities within the forum state will not suffice.

Example: In *Helicopteros Nacionales de Colombia, S.A. v. Hall*, 466 U.S. 408 (1984), the Supreme Court held that a Texas court could not exercise in personam jurisdiction over a Colombian corporation in a wrongful death action arising out of the crash in Peru of a helicopter operated by the corporation. The action did not arise out of the corporation’s activities in Texas, and its contacts with Texas were held insufficient to justify general jurisdiction over it there. The single trip of its chief executive officer to Texas to negotiate the contract under which the corporation provided helicopter transportation to the Peruvian alter ego of a Texas joint venture was not a contact of a “continuous and systematic” nature. Nor did the acceptance of checks drawn on a Texas bank or the purchase of helicopters, parts and training for personnel in Texas satisfy the contact requirements. Mere purchases, even if occurring at regular intervals, are insufficient to ground an assertion of in personam jurisdiction over a nonresident corporation in a cause of action not related to those purchase transactions.

(c) Cause arising from activity within state

The court will have specific jurisdiction over causes of action arising from that in-state activity, even if that activity is not systematic and continuous.

Example: In *Burger King Corp. v. Rudzewicz*, 471 U.S. 462 (1985), the Court held that Florida had personal jurisdiction over the defendant, a Michigan resident, where the defendant had initiated contact and signed a long-term contract with the plaintiff, a Florida corporation, and the contract had provided that Florida law would apply. Despite the facts that the defendant had only minimal physical contact with Florida (a brief training course) and that most of the defendant’s contact with the Florida corporation was through its Michigan branch office, the Court found that the defendant’s knowledgeable and purposeful contacts with a Florida corporation were enough to establish personal jurisdiction in Florida.

2) Purposeful availment

Minimum contacts alone will not suffice. There must be “some act by which the defendant purposely avails itself of the privilege of conducting activities within the forum state, thus invoking the benefits and protections of its laws.” *Hanson v. Denckla*, 357 U.S. 235 (1958).

Example: In *Keeton v. Hustler Magazine, Inc.*, 465 U.S. 770 (1984), a New York plaintiff sued a magazine publisher, an Ohio corporation with its principal place of business in California, in a libel action filed in New Hampshire, the only state where the suit was not time-barred. The Supreme Court upheld the New Hampshire court’s jurisdiction, emphasizing that the plaintiff is not required to have minimum contacts with the forum state. Since the defendant continuously and systematically distributed its magazine in the forum state and the claim arose from that activity, due process was satisfied. The plaintiff could properly seek damages resulting from publication in all states in her action in New Hampshire.

(a) Reasonable anticipation

The defendant’s conduct and connection with the forum state must be such “that he could reasonably anticipate being haled into court there.” *World-Wide Volkswagen Corp. v. Woodson*, 444 U.S. 286 (1980). In *Woodson*, the plaintiffs purchased a car in New York and later had an accident in Oklahoma; they sued in Oklahoma, basing jurisdiction on the Oklahoma long-arm statute. The defendants (the retailer and the distributor) were both New York corporations that did no business in Oklahoma and did not ship any products there, or advertise or have agents for service of process in the state. The Supreme Court rejected the argument that a car’s mobility made injury in Oklahoma foreseeable, and declared that “foreseeability alone has never been a sufficient benchmark for personal jurisdiction under the Due Process Clause.”

Example: In *Kulko v. Superior Court of California*, 436 U.S. 84 (1978), a husband and wife domiciled in New York separated after negotiating and signing a separation agreement in New York. The wife moved to California and later obtained a divorce, which incorporated the separation agreement. At the child’s request, the father permitted his daughter to move to California to live with her mother; the mother then brought an action in California to modify the separation agreement’s provisions for custody and child support. The Court held that the mere presence of the child in a state that was not the marital domicile was not an adequate jurisdictional basis for the action; the defendant had no significant contacts with the forum state and could hardly be said to have “purposely availed himself of” the benefits and protections of California law. Application of the so-called “effects” test to this situation was declared unreasonable and unfair, because the child, unlike a projectile or commercial papers, had not been purposefully or beneficially sent to California by the defendant. California’s strong interest in assuring the

support of children within the state was protected by the Uniform Reciprocal Enforcement of Support Act, which would permit the wife to obtain a New York judgment on the support petition without her having to leave California.

(b) Limitation on expanding long-arm jurisdiction

Recent Supreme Court cases evince an apparent desire to curb the trend in lower courts toward expanding long-arm jurisdiction. Emphasis on territorial limitations, on fairness to the defendant, and on the importance of “purposefulness” indicate that the long arm may not be infinitely extended.

Example: *Asahi Metal Industry Co. v. Superior Court*, 480 U.S. 102 (1987), is a representative example of these cases. When a Taiwanese tire manufacturer, Cheng Shin, was sued in California for manufacturing a defective tire tube that had caused a fatal accident, Cheng Shin sought indemnification by filing a cross-claim against the Japanese manufacturer of the tire’s valve assembly, Asahi. The Supreme Court unanimously agreed that California did not have jurisdiction over Asahi, emphasizing that the contacts Asahi did have with the forum did not evince sufficient purposefulness. While Asahi sold the assemblies on a regular basis to Cheng Shin, those sales constituted only a small part of Asahi’s business; the Court noted that Asahi had not hired a sales agent, purchased advertising, provided advice to customers nor had it designed the product to target the California market. Since Asahi was an alien corporation whose rights could have been as properly adjudicated in Taiwan as in California and the primary defendant Cheng Shin was also not a California resident, the plurality for the Court concluded that Asahi would face too heavy a burden to have to defend itself in California. Therefore, California could not exercise jurisdiction under its long-arm statute over Asahi.

C. IN REM JURISDICTION

In rem jurisdiction is based upon the physical presence of property in the state. An action in rem is not against any one party, but seeks to settle some question as to the res “against all the world”; by its judgment, the court establishes rights in the property against all potential claimants. However, no personal liability is imposed. The court can dispose of the property or can affect a person’s interest in it, but it cannot bind a person beyond that (e.g., it cannot impose damages or an injunction against one not subject to in personam jurisdiction). Examples of in rem actions are those to quiet title against all claimants, to determine ownership of corporate shares, and actions for an accounting of trust assets, for forfeiture of contraband, escheat, and probate actions.

Sometimes, the status of a person domiciled in the state is a res. For example, as long as one spouse is a domiciliary, the marriage itself is deemed a res which is present in the state, and a matrimonial action such as divorce or separation is in rem.

Two things are necessary for a state to have in rem jurisdiction: (1) the presence of the res in the state, and (2) adequate notice to persons with an interest in the res, so that they can participate in any determination.

D. QUASI IN REM JURISDICTION

1. Definition

Quasi in rem jurisdiction is of two types:

- a. jurisdiction against **specific persons to determine rights in property** before the court; and
- b. jurisdiction **over a claim not concerning the property, obtained by the attachment of local assets.**

The first type resembles in rem jurisdiction because it concerns title to particular property, but differs from in rem because it determines the interest in the property of only particular persons, not of all the world. The second type of quasi in rem resembles in personam jurisdiction because it deals with a claim not related to property - for example, a claim for damages arising from a personal injury - but differs from in personam because the defendant is not personally liable upon the judgment; only the assets attached in the state could be used to satisfy the judgment.

2. Quasi in Rem: Against Particular Persons

The court has jurisdiction over an action to determine the title to or interest in property of particular persons if the property is located in the state, even if the court does not have in personam jurisdiction over those persons. Examples of such actions are mortgage foreclosures or quiet title actions. Any person whose interest will be affected by exercise of quasi in rem jurisdiction must be named as a defendant and must have notice and an opportunity to be heard. The court's decree determines the defendant's interest - e.g., a foreclosure extinguishes the mortgagor's interest - but cannot impose personal liability on the defendant - e.g., the court could not hold a nonresident mortgagor liable for the balance of the mortgage debt.

3. Quasi in Rem: Attachment

a. Development

Traditionally, a plaintiff who sought money damages from a defendant over whom he could not obtain in personam jurisdiction could attach the defendant's property in the state and use the attachment as a basis for jurisdiction. The judgment in such a quasi in rem case is limited to the value of the property attached; the defendant is not personally liable.

When jurisdiction was based upon attaching property other than realty, the situs of the property was problematic. In *Harris v. Balk*, 198 U.S. 215 (1905), the situs of a debt was deemed to be the state where the debtor was located. Thus, if Deb owed Cred money, and Plain had a claim against Cred, Plain could attach the debt wherever Deb happened to be and thus obtain quasi in rem jurisdiction over Cred.

This principle was taken one step further in *Seider v. Roth*, 17 N.Y.2d 111 (1966). *Seider* permitted New York plaintiffs, who were injured in a collision with the Canadian defendant in Vermont, to assert quasi in rem jurisdiction in New York by

attaching the insurance company's obligation to defend and indemnify the defendant. The insurer did business in New York, and the duty to defend was considered a "debt" that followed the insurer into the state.

b. Application of the minimum contacts standard to quasi in rem jurisdiction

The due process requirement of "minimum contacts" applies also to quasi in rem jurisdiction. *Shaffer v. Heitner*, 433 U.S. 186 (1977). To sustain such jurisdiction, there must be a connection among the defendant, the forum and the claim. If the only connection between the defendant and the forum is that his property is in the state, and the claim is unrelated to the property, no jurisdiction exists.

Example: In *Shaffer*, the plaintiff brought a shareholder's derivative suit against a Delaware corporation's nonresident officers and directors. Quasi in rem jurisdiction was obtained over the defendants, who had no business contacts with Delaware, by sequestering their stock in the corporation, pursuant to a Delaware statute. The cause of action, which arose in Oregon, was unrelated to the stock. The Supreme Court held that the presence of the property alone would not support jurisdiction in Delaware.

Shaffer explicitly overruled *Harris v. Balk*, and thus left the constitutionality of *Seider* attachments in doubt. In *Rush v. Savchuk*, 444 U.S. 320 (1980), the Court finally invalidated *Seider* attachments. In *Savchuk*, the tort occurred in Indiana, and the defendant's only connection with the forum state, Minnesota, was that his insurer happened to be doing business there. The Court rejected the plaintiff's jurisdictional argument, which it characterized as shifting "the focus of the inquiry from the relationship among the defendant, the forum, the insurer and the litigation to that among the plaintiff, the forum and the litigation." The plaintiff's contacts cannot be determinative of the defendant's due process rights, so the plaintiff's connections, and other questions of fairness and convenience, can only be examined after the defendant has been shown to have "certain judicially cognizable ties" with the forum.

c. Current requirements

The requirements for quasi in rem jurisdiction are now practically identical to those for in personam jurisdiction. Quasi in rem jurisdiction may still be useful if the defendant has some contacts with the state and yet does not come within a provision of the long-arm statute, but its utility remains to be seen.

Attachment can still be used as a security, for example, if an accident occurred in New York, the defendant would be subject to in personam jurisdiction there and the policy could be attached as a debt to satisfy judgment.

XIV. NOTICE AND AN OPPORTUNITY TO BE HEARD

Due process requires that before jurisdiction can be exercised over a person or his property, he must be given notice and an opportunity to be heard.

A. NOTICE

1. Reasonableness

The notice must be “reasonably calculated, under all the circumstances, to apprise interested parties of the pendency of the action and afford them an opportunity to present their objections . . . [it] must be of such nature as reasonably to convey the required information . . . and it must afford a reasonable time for those interested to make their appearance.” *Mullane v. Central Hanover Bank & Trust Co.*, 339 U.S. 306 (1950).

a. Means of service

The means of giving notice must be “such as one desirous of actually informing the absentee might reasonably adopt to accomplish it.” *Id.* The proper means of service are spelled out in the Rules of Civil Procedure of each state (and in the Federal Rules for federal courts). Delivery of the process in person satisfies the due process requirement; other appropriate means generally include service by registered or certified mail, delivery to the agent of a corporation or delivery to the secretary of state if a statute permits (e.g., a nonresident motorist statute.)

b. Diligence

However, if reasonably diligent investigation fails to disclose the address of an interested party, notice may be given by publication in a newspaper of general circulation. Notice by publication, where proper, is binding on the parties, even if they do not actually see the notice or learn of the action until after it has been concluded. Notice by publication is not proper if the names and addresses of interested parties are available from public records. *Walker v. City of Hutchinson*, 352 U.S. 112 (1956). Generally, the test for whether notice is adequate is its reasonableness under the circumstances.

c. Special cases

A mortgagee has a legally protected property interest and is entitled to notice reasonably calculated to apprise him of a pending tax sale; personal service or notice by mail is required where the mortgagee is identified in the public record. *Mennonite Board of Missions v. Adams*, 462 U.S. 791 (1983). Posting a summons on the door of a tenant’s apartment is an inadequate means of giving notice of a forcible entry and detainer action. *Greene v. Lindsey*, 456 U.S. 444 (1982).

2. Class Actions

In certain class actions, due process does not require that notice be given individually to class members. (See “Class Actions,” *infra*). However, in a class action brought under Fed. R. Civ. P. 23(b)(3) (i.e., one where common questions of law or fact predominate over questions affecting only individual members), individual notice must be provided to

those members of the class who are identifiable through reasonable effort. Notice by publication in such actions is not permitted even if the cost of individual notice is prohibitive. *Eisen v. Carlisle & Jacquelin*, 417 U.S. 156 (1974) (individual notice required for 2,250,000 class members).

B. OPPORTUNITY TO BE HEARD

Due process requires that a defendant be given an opportunity to be heard before state action deprives him of a property interest.

1. Prior Notice Required

Notice and an opportunity to be heard must be afforded before a wage earner's income may be subjected to prejudgment garnishment. *Sniadach v. Family Finance Corp.*, 395 U.S. 337 (1969). Similarly, a statute that permitted prejudgment replevin upon a writ issued ex parte by a court clerk was held invalid. *Fuentes v. Shevin*, 407 U.S. 67 (1972).

2. Prior Notice Not Required

The issuance of a sequestration writ without notice and a hearing does not violate due process, since the state did allow a prompt hearing after the seizure where the debtor could test its validity. *Mitchell v. W.T. Grant Co.*, 416 U.S. 600 (1974). However, in *North Georgia Finishing, Inc. v. Di-Chem, Inc.*, 419 U.S. 601 (1975), the Court invalidated a garnishment proceeding that provided neither prior notice nor a hearing, because it also lacked any opportunity to challenge the garnishment prior to final judgment.

Although it is difficult to reconcile all these cases, it appears that prior notice and prior hearing are **not** required as long as notice and hearing are provided promptly after the taking of property. Factors which have led the court to strike down statutes as violative of due process include the amount of specific detail required to support issuance of the writ; whether the writ is issued by a court clerk, rather than a judge; the time permitted to elapse before a hearing is required; and the complexity of the statute, which may cast doubt on the party's right to take the property.

C. SERVICE OF PROCESS

A defendant is given notice that an action has been brought against him by the service of process (unless service by publication is appropriate).

Process from federal courts can be served (1) within the state where the district court is located, Fed. R. Civ. P. 4(k); or (2) outside the state, if the state in which it is sitting has a long-arm statute, Fed. R. Civ. P. 4(k). In addition, persons who are impleaded under Rule 14, or who are parties to compulsory counterclaims under Rule 19 may be served outside the state if they live within 100 miles from the place in which the action is commenced or to which it is transferred for trial. Fed. R. Civ. P. 4(k).

(For a fuller discussion of **Service of Process**, see notes in *Federal Rules of Civil Procedure* chapter.)

XV. CHALLENGES TO THE COURT'S JURISDICTION

A challenge to subject matter jurisdiction may be raised at any time. However, a challenge to jurisdiction over the parties or the property may be waived if not timely raised.

A. FEDERAL PRACTICE

Under the Federal Rules and state rules modeled on the Federal Rules, a defense of lack of jurisdiction over the person may be raised in a pre-answer motion or in the answer. Rule 12(b). If the jurisdictional objection is not raised in the pre-answer motion or the answer, it is waived. Rule 12(h). If the defendant files a motion to dismiss under Rule 12(b), he must include in it all Rule 12 defenses and objections then available to him. For example, if he makes a 12(b) motion asserting that the complaint should be dismissed for failure to state a claim upon which relief can be granted, he cannot raise the defense of lack of personal jurisdiction in a later motion or the answer. Rule 12(g).

In a class action suit, the defendant may raise the court's lack of personal jurisdiction over the plaintiffs, since a failure of the court's jurisdiction over the plaintiffs might subject the defendant to multiple or inconsistent judgments. *Phillips Petroleum Co. v. Shutts*, 472 U.S. 797 (1985).

If the jurisdictional objection is sustained, the action will be dismissed. If the objection is overruled, the defendant must respond on the merits; however, a properly raised objection will preserve the jurisdictional question for appeal.

B. STATE PRACTICE

1. Special Appearance

a. In general

Most states that do not follow the Federal Rules model do allow the defendant to make a special appearance in which she may object to the lack of personal jurisdiction without thereby submitting to the court's jurisdiction. However, if the defendant raises matters going to the merits (e.g., failure to state a cause of action) the special appearance is converted to a general appearance and the jurisdictional objection is waived.

If the defendant's objection is overruled, some states permit immediate appellate review. Most states allow a defendant who has lost in a special appearance to defend on the merits and still preserve her jurisdictional objection for appeal.

b. Inability to preserve appeal

However, some states do not permit a defendant to preserve her appeal and the defendant is then faced with a difficult choice:

- 1) she may defend on the merits and thereby waive the jurisdictional objection;
or
- 2) she may not defend on the merits and allow a default judgment to be entered, and then collaterally attack the lack of jurisdiction.

The latter course is dangerous, for if the defendant loses in the collateral attack, she has no opportunity to contest on the merits because the default judgment will be res judicata and entitled to full faith and credit.

2. Limited Appearance

In a quasi in rem action, a defendant may face a dilemma: if he makes a general appearance to defend in the action, he is subject to personal jurisdiction and thus may be liable beyond the value of the contested property. However, if he does not defend, he will be subject to a default judgment and will lose the contested property but will not be personally liable.

To mitigate this harsh choice, many states allow a defendant to make a limited appearance - the defendant can defend on the merits without thereby being subjected to personal liability.

C. FULL FAITH AND CREDIT

Under the “full faith and credit” clause of the Constitution (Article IV, Section 1), a foreign judgment must be given the same effect that it is entitled to in its home state.

Example: If Pennyfeather obtains a judgment against Digby in State X, and then attempts to enforce the judgment in State Y, State Y must give full faith and credit to X’s judgment.

A judgment rendered without jurisdiction is void, but it is not a nullity; thus, it is enforceable until challenged. If Digby did not appear in State X to challenge jurisdiction, State Y may permit him to collaterally attack the State X judgment for lack of jurisdiction when Y is asked to enforce the State X judgment. However, if Digby did contest jurisdiction in State X and lost, he may not collaterally attack in State Y. Once litigated, the issue is res judicata, and even if State X was wrong in finding that it had jurisdiction, State Y should give X’s determination full faith and credit.

XVI. VENUE AND FORUM NON CONVENIENS

A. VENUE IN STATE COURTS

In state courts as in federal courts, venue must be properly laid. State statutes specify the proper county or judicial district for suit. Usually, the venue is proper where the defendant resides, where the plaintiff resides, where the claim arose, or where the subject realty is located. If venue is improper, a state court can transfer the case to the proper county or district within the state, but cannot transfer a case to a court outside the state.

B. FORUM NON CONVENIENS

The doctrine of forum non conveniens in state courts is analogous to 28 U.S.C. §1404(a) in the federal courts, which permits an action to be transferred for the convenience of parties and witnesses. Thus, even if a state court has jurisdiction, it may refuse to exercise its jurisdiction if a more convenient forum exists. Factors considered include the relative ease of access to sources of proof, availability of compulsory process for attendance of unwilling witnesses, the cost of obtaining attendance of willing witnesses, the possibility of a view of the premises, proximity to the home states of the plaintiff and defendant, and ease of

determining and applying the appropriate law. Another factor is whether an alternative forum exists; if no other forum is more convenient, or if no other forum could take jurisdiction of the entire case, the doctrine will not be applied. If the plaintiff is a resident of the state where he brought the action, the doctrine usually is not applied since he has a right to the judicial services of his state and since his convenience is an important factor.

If the convenient forum is in another state, a state court must dismiss the suit; it cannot transfer it to another state. However, the court may condition its dismissal on the defendant's stipulation that he will submit to jurisdiction in another forum; alternatively, the court may stay proceedings until the defendant has submitted to jurisdiction in the other forum.



MicroMash®

**MULTISTATE ESSAY EXAM REVIEW
FEDERAL RULES OF CIVIL PROCEDURE**

MicroMash® BAR REVIEW
MULTISTATE ESSAY EXAM
FEDERAL RULES OF CIVIL PROCEDURE

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FEDERAL RULES OF CIVIL PROCEDURE

The Federal Rules of Civil Procedure, which took effect in 1938, govern the procedural aspects of civil actions in federal courts. The Federal Rules have also served as a model for state procedural rules, and most states now have Rules of Civil Procedure identical to, or similar to, the Federal Rules. Because many states have modeled their rules of civil procedure upon the Federal Rules, the Federal Rules will be cited here as typical examples; unless otherwise indicated, cites will be to the Federal Rules ("Fed. R. Civ. P." or "Rule").

One of the principal accomplishments of the Rules was the merger of law and equity, with the right to jury trial preserved in actions formerly "at law." The Rules also simplified and liberalized pleadings, motions and procedures for joining additional parties or claims, and broadened discovery procedures.

I. PLEADINGS

A. GENERAL RULES OF PLEADING

1. Purpose

The primary purpose of pleadings is to give fair notice to the parties of the claims and defenses in the action. Under this theory of notice pleading adopted by the Federal Rules, liberal discovery procedures, rather than the detailed pleadings of common law, are used to narrow the issues for trial.

2. Permissible Pleadings

The types of pleadings permitted by the Federal Rules are:

- a. Plaintiff's **complaint**,
- b. Defendant's **answer**,
- c. Defendant's **counterclaim** (against the plaintiff),
- d. Defendant's **cross-claim** (against a co-defendant), and
- e. Defendant's **third-party claim** (against a third party who may be liable to defendant if defendant is liable to plaintiff). The additional party can also file an answer. In a few instances, a reply may be permissible.

3. Liberally Construed

There are no technical forms of pleading, and the underlying philosophy of the Rules is that "all pleadings shall be so construed as to do substantial justice." Rule 8(f). Thus, pleadings are not construed against the pleader, but are to be construed liberally. A plaintiff may base his claim on alternative or even inconsistent theories; likewise, the defendant may raise as many defenses as he has, regardless of consistency. Rule 8(e). In federal court, the plaintiff need not elect between alternative theories at trial.

4. Service

Generally, unless the court orders otherwise, all pleadings, motions, orders, notices and other papers must be served upon a party. However, service (other than of original process) is made upon the party's attorney unless service upon the party himself is ordered, and service can be made by mail or delivery. Rule 5.

5. Computation Of Time

In computing any period of time prescribed or allowed by the Rules, the day of the act, event, or default from which the designated period of time begins to run is **not** included. The last day of the period is included, **unless** it is a Saturday, Sunday, or legal holiday, or, when the act to be done is the filing of a paper in court, a day on which weather or other conditions have made the court clerk's office inaccessible, in which case the period runs until the end of the next nonholiday weekday. If the period is **less than 11 days**, intermediate Saturdays, Sundays, and legal holidays are **not** included. Rule 6(a).

Whenever a party must do some act within a prescribed period after service of a notice upon him and the notice is served by mail, three days are added to the prescribed period. Rule 6(e).

B. SERVICE OF PROCESS AND NOTICE

1. Service of Process

a. In general

A defendant is given notice that an action has been brought against him by the service of process (unless service by publication is appropriate).

Process from federal courts can be served:

- 1) Within the state where the district court is located, Fed. R. Civ. P. 4(k); or
- 2) Outside the state, if the state in which it is sitting has a long-arm statute, Fed. R. Civ. P. 4(k).

In addition, persons who are impleaded under Rule 14, or who are parties to compulsory counterclaims under Rule 19 may be served outside the state if they live within 100 miles from the place in which the action is commenced or to which it is transferred for trial. Fed. R. Civ. P. 4(k).

b. Summons

Upon the filing of the complaint, the plaintiff may present a summons to the clerk and the clerk shall sign, seal, and issue it to the plaintiff for service on the defendant. Fed. R. Civ. P. 4(b). A summons contains the name of the court, the names of the parties, and the name and address of the plaintiff's attorney (or of the plaintiff if he has no attorney). The summons also states the time within which the defendant must appear and that, if he fails to do so, a default judgment will be rendered against the defendant. Fed. R. Civ. P. 4(a).

Under the Federal Rules and most state rules, the summons and complaint must be served together. Rule 4(c).

c. By whom served

In federal courts, a summons and complaint may be served by any person who is not a party and is not less than 18 years of age. Rule 4(c)(2). However, a party may request that service be made by a United States marshal or a person specially appointed by the court for that purpose, only in:

- 1) in forma pauperis and seamen's suits; or
- 2) where the court in its discretion orders service by a marshal or special appointee. Rule 4(c)(2).

All forms of process other than a summons and complaint or a subpoena (e.g., attachments) must be served by a federal marshal, his deputy, or some person specially appointed by the court. Rule 4.1.

In some state courts, service is made by a sheriff or his deputy. Most states permit service to be made by any person over 18 who is not a party to the suit.

d. Methods of service

1) Duty to waive service

(a) Affirmative duty

By amendment to Federal Rule 4, there is an affirmative duty on the part of competent individuals, corporations, and associations (but not upon governmental entities) who are named as defendants to cooperate in avoiding unnecessary costs of formal service of process by waiving service of process.

(b) Request for waiver

The plaintiff may request such defendants to waive service of process by a written request sent by first-class mail (or other reliable means) together with a copy of the summons and complaint, a waiver form, and a prepaid means for the defendant to comply with the request for waiver. The request for waiver must allow at least 30 days from the date of sending for the defendant to return the form. If a person does not comply with a request for waiver of service of process, the court will order the person to pay the costs incurred in effecting service unless the defendant can show good cause for the failure. Rule 4(d).

(c) Additional time to answer

By waiving service of process, a defendant may obtain additional time to answer the plaintiff's complaint. A defendant who waives service is not required to serve an answer until 60 days after the date on which the request for waiver was sent. Rule 4(d)(3).

(d) No waiver obtained

Where a waiver of service has not been obtained pursuant to the above provisions, service of the summons and complaint must be made in the usual fashion by a nonparty over 18 or a marshal or special process server (i.e., by service in hand, service on an adult at the last and usual abode, or service on an authorized agent). Rule 4(e).

2) Service upon an individual

Service may be made upon an individual by:

- (a) Delivering the summons and complaint to him personally;
- (b) Leaving the summons and complaint at his dwelling house or usual place of abode with a person of suitable age and discretion residing there; or
- (c) Delivering the summons and complaint to an agent authorized to receive service.

Rule 4(e). Service that complies with either (b) or (c) is valid even if the defendant never personally receives the papers.

An infant or incompetent person is served by complying with the law of the state in which service is made. Rule 4(g). State law usually requires service upon a parent, guardian, or other person having legal custody, and may also require service upon the child or incompetent.

3) Service upon a corporation

A domestic or foreign corporation may be served by delivering the summons and complaint to an officer, a managing or general agent, or to any other agent authorized to receive process. Some statutes that authorize an agent to receive process also require that a copy be mailed to the defendant. Rule 4(h).

4) Service by other means

Service upon a competent individual or a corporation in a suit in federal court is also valid if it is made in the manner prescribed by the law of the state in which the court is located. Rule 4(e)(1).

Service by publication may be used **only** if the defendant cannot reasonably be served by any other method.

e. Scope of service

Rule 4(e) provides for service of process anywhere in the United States (where a waiver of service has not been obtained, see above), subject only to restraints imposed by statutes and the Constitution.

Example: A defendant who resides outside of the state in which the federal court sits may be served anywhere in the United States either pursuant to state law or by the methods specifically contained in Rule 4(e) (service in hand, service on an adult at the last and usual abode, or service on an authorized agent).

Service under Rule 4(e) “does not conclusively establish the jurisdiction of the court over the person of the defendant.” Committee Notes to 1993 amendments to Rule 4.

f. Proof of service

1) Return of service

Where service of process is not waived, the process server must file a return of service with the court. If service is made by anyone other than a marshal, an affidavit must be filed, stating the basic facts as to service to prove that the defendant actually has been served properly. If service was by mail, the sender must file with the court the required acknowledgment receipt. Rule 4(l).

2) Failure to prove service

Failure to make proof of service does not affect the validity of the service. Rule 4(l). On the other hand, the return is merely presumptive, rather than conclusive, evidence that proper service was made.

g. Time limit for service

If service of the summons and complaint is not made upon a defendant within 120 days after the filing of the complaint, the court, upon motion or on its own initiative after notice to the plaintiff, must dismiss the action without prejudice as to that defendant or direct that service be effected within a specified time; provided that if the plaintiff shows good cause for the failure, the court must extend the time for service for an appropriate period. Rule 4(m). Thus, the court must grant an extension when good cause for the failure is shown. Even if good cause has not been shown, the court has discretion to grant an extension of the time for service.

h. Immunity from process

Parties, witnesses, and attorneys who enter a state in order to attend court or to represent a party in connection with one suit are immune from service of process in another suit. The purpose of the rule is to encourage voluntary participation. However, if in personam jurisdiction could be obtained over the nonresident without service in that state (e.g., by service pursuant to the long-arm statute), the purpose of the immunity fails and service may be made in the state.

i. Enticement

Service made after a nonresident is lured into the state under false pretenses can be invalidated. However, if a defendant is already in the state, deception may be used to deliver process (e.g., process server uses false identity to coax defendant out of hotel room).

2. Notice And An Opportunity To Be Heard

Due process requires that before jurisdiction can be exercised over a person or his property, he must be given notice and an opportunity to be heard.

a. Notice**1) Reasonableness**

The notice must be “reasonably calculated, under all the circumstances, to apprise interested parties of the pendency of the action and afford them an opportunity to present their objections ..., [it] must be of such nature as reasonably to convey the required information ..., and it must afford a reasonable time for those interested to make their appearance.” *Mullane v. Central Hanover Bank & Trust Co.*, 339 U.S. 306 (1950). Generally, the test for whether notice is adequate is its reasonableness under the circumstances.

2) Means

The means of giving notice must be “such as one desirous of actually informing the absentee might reasonably adopt to accomplish it.” *Id.* The proper means of service are spelled out in the rules of civil procedure of each state (and in the Federal Rules for federal courts).

(a) Usual methods

Delivery of the process in person satisfies the due process requirement; other appropriate means generally include service by registered or certified mail, delivery to the agent of a corporation or delivery to the secretary of state if a statute permits (e.g., a nonresident motorist statute.)

(b) Notice by publication

However, if reasonably diligent investigation fails to disclose the address of an interested party, notice may be given by publication in a newspaper of general circulation. Notice by publication, where proper, is binding on the parties, even if they do not actually see the notice or learn of the action until after it has been concluded. Notice by publication is not proper if the names and addresses of interested parties are available from public records. *Walker v. City of Hutchinson*, 352 U.S. 112 (1956).

Example: A mortgagee has a legally protected property interest and is entitled to notice reasonably calculated to apprise him of a pending tax sale; personal service or notice by mail is required where the mortgagee is identified in the public record. *Mennonite Board of Missions v. Adams*, 462 U.S. 791 (1983).

Example: Posting a summons on the door of a tenant’s apartment is an inadequate means of giving notice of a forcible entry and detainer action. *Greene v. Lindsey*, 456 U.S. 444 (1982).

3) Class actions

In certain class actions, due process does not require that notice be given individually to class members. (See, discussion of class actions, *infra*). However, in a class action brought under Fed. R. Civ. P. 23(b)(3) (i.e., one where common questions of law or fact predominate over questions affecting only individual

members), individual notice must be provided to those members of the class who are identifiable through reasonable effort. Notice by publication in such actions is not permitted even if the cost of individual notice is prohibitive. *Eisen v. Carlisle & Jacquelin*, 417 U.S. 156 (1974) (individual notice required for 2,250,000 class members).

b. Opportunity to be heard

Due process requires that a defendant be given an opportunity to be heard before state action deprives him of a property interest.

1) Prior notice required

Notice and an opportunity to be heard must be afforded before a wage earner's income may be subjected to prejudgment garnishment. *Sniadach v. Family Finance Corp.*, 395 U.S. 337 (1969). Similarly, a statute that permitted prejudgment replevin upon a writ issued ex parte by a court clerk was held invalid. *Fuentes v. Shevin*, 407 U.S. 67 (1972).

2) Prior notice not required

In *Mitchell v. W.T. Grant Co.*, 416 U.S. 600 (1974), the Supreme Court held that the issuance of a sequestration writ without notice and a hearing did not violate due process, since the state did allow a prompt hearing after the seizure where the debtor could test its validity. However, in *North Georgia Finishing, Inc. v. Di-Chem, Inc.*, 419 U.S. 601 (1975), the Court invalidated a garnishment proceeding that provided neither prior notice nor a hearing, because it also lacked any opportunity to challenge the garnishment prior to final judgment.

3) General rule

Although it is difficult to reconcile all these cases, it appears that prior notice and prior hearing are **not** required as long as notice and hearing are provided promptly after the taking of property. Factors that have led the court to strike down statutes as violative of due process include:

- (a) The amount of specific detail required to support issuance of the writ;
- (b) Whether the writ is issued by a court clerk, rather than a judge;
- (c) The time permitted to elapse before a hearing is required; and
- (d) The complexity of the statute, which may cast doubt on the party's right to take the property.

C. THE COMPLAINT

1. Claim For Relief

a. Requirements

Each complaint (or other claim for relief, e.g., a counterclaim) must contain:

- 1) A short and plain statement of the grounds upon which the court's jurisdiction depends;
- 2) A short and plain statement of the claim showing that the pleader is entitled to relief; and
- 3) A demand for judgment for the relief to which he deems himself entitled.

Rule 8(a).

b. Relief not limited by demand

A party can seek both equitable relief and damages in the same action. The plaintiff is not limited by his demand for judgment; except in default judgments, every final judgment shall grant the relief to which the party is entitled, even if he has not demanded such relief in his pleadings. Rule 54(c).

c. Statement of claim

The complaint should give the defendant "fair notice of what the plaintiff's claim is and the grounds upon which it rests." A complaint should not be dismissed for failure to state a claim "unless it appears beyond doubt that the plaintiff can prove no set of facts in support of his claim which would entitle him to relief." *Conley v. Gibson*, 355 U.S. 41 (1957).

d. Burden to plead

The burden of pleading an issue is usually on the party who has the burden of producing evidence on that issue at trial. Thus, the plaintiff must plead the matters basic to the action.

Example: In a slander action, the plaintiff must allege that defamatory remarks were published and injured the plaintiff. Generally, the plaintiff need not plead matters on which the defendant must introduce proof. However, if a defense goes to the heart of the action, the plaintiff must plead that it does not exist.

Example: In a suit on an overdue note, payment is considered a defense, but the plaintiff must allege nonpayment in the complaint.

2. Form Of Complaint

a. Caption

The complaint (and all other pleadings) must contain a caption setting forth:

- 1) The **name** of the court;
- 2) The **title** of the action (e.g., *Smith v. Jones*);
- 3) The **file number** (assigned by the court clerk); and
- 4) A **designation** of the pleading (e.g., Complaint, or Counterclaim).

Rule 10(a).

b. Averments

The averments of a claim (or defense) are made in numbered paragraphs, each paragraph limited as far as practicable to the statement of a single set of circumstances. Claims founded upon separate transactions or occurrences should be stated in separate counts. Rule 10(b). A party asserting a claim may join with it, either as independent or alternative claims, as many claims – legal or equitable – as he has against an opposing party. Rule 18(a). Each averment should be simple, concise, and direct. Rule 8(e).

3. Allegations On Information And Belief

Because a party may not be sure of all the underlying facts when he files his pleading, he may make his allegations on “information and belief.” Likewise, the defendant may deny on the grounds that she is without knowledge or information sufficient to form a belief as to the truth of the averment. Rule 8(b). However, a pleading cannot be based on information and belief if the party knows or has reason to know the facts or if she has constructive knowledge of the facts because they are a matter of public record.

4. Signature And Verification**a. Purpose**

All pleadings, motions, and other papers must be signed by the party’s attorney, or by the party himself if he has no attorney. The signature certifies that the attorney has read the pleading and that to the best of his knowledge, information, or belief formed after reasonable inquiry it is well grounded in fact and is warranted by existing law or a good-faith argument for the extension, modification or reversal of existing law; and that it is not interposed for any improper purpose, such as to harass or to cause unnecessary delay or needless increase in the cost of litigation. If not signed, the pleading or motion will be stricken unless it is signed promptly after the omission is called to the attention of the pleader or movant.

b. Rule 11 sanctions

If a pleading, motion, or other paper is signed in violation of the Rule, the court, upon motion or its own initiative, **may** impose upon the attorney, law firm, or parties, an appropriate sanction. Under Rule 11, the purpose of sanctions is generally to deter offending conduct rather than to compensate a party. Thus, sanctions may include directives of a nonmonetary nature (such as reprimanding counsel or requiring attendance at seminars) or fines to be paid into court. An order to pay the expenses incurred because of the filing of the pleading or motion, including attorney’s fees, may be entered only where requested by motion and only when it is “warranted for effective deterrence.” Where a party by motion seeks to have sanctions under Rule 11 imposed upon another party, the offending party may avoid sanctions by withdrawing or correcting the challenged paper. Rule 11.

c. Verification

A verified pleading is one that is sworn under oath to be true. In federal courts, pleadings need not be verified unless a rule or statute so provides. Rule 11. Verification is required in shareholders' derivative suits, Rule 23.1; suits for injunctive relief, Rule 65; and suits for appointment of a receiver, Rule 66.

5. Pleading Special Matters

Although the general rule is that the pleadings need only give fair notice of the claim, in certain circumstances more detailed allegations are required. These situations requiring greater specificity are narrowly construed and the Supreme Court has emphasized that courts have no power to impose more rigorous pleading requirements outside the areas specifically addressed by Federal Rule or statute. *Swierkiewicz v. Sorema N.A.*, 534 U.S. 506 (2002).

a. Fraud or mistake

The circumstances underlying a claim of fraud or mistake must be stated "with particularity." Rule 9(b). However, most courts interpret this requirement liberally, ruling that the appropriate remedy if allegations are not sufficiently detailed is a Rule 12(e) motion for a more definite statement, or discovery.

Malice, intent, knowledge, and other condition of mind of a person may be averred generally. Rule 9(b).

b. Conditions precedent

In a contract action, the plaintiff must plead the performance or occurrence of all conditions precedent; general averments are sufficient. However, a denial of performance or occurrence must be made specifically and with particularity. Rule 9(c). This rule narrows the issues in dispute, by eliminating the plaintiff's need to prove the performance of any conditions that the defendant admits were met.

c. Special damages

Items of special damage must be specifically stated. Rule 9(g). Special damages are those that do not normally or necessarily flow from the defendant's acts. This rule prevents the defendant from being surprised at trial by the introduction of proof of damages that he had no reason to anticipate.

D. THE ANSWER

The defendant's answer responds to the plaintiff's complaint by denying its allegations and/or by raising affirmative defenses to the allegations. The requirements as to the form of a complaint, *supra*, also apply to the answer.

1. Time For Filing

The answer must be served within 20 days after service of the summons and complaint on the defendant. However, if the defendant files a Rule 12 motion, the time for answering is extended.

- a. If the court denies the motion or postpones its disposition until trial, the answer must be served within 10 days after notice of the court's action.
- b. If the court grants a Rule 12(e) motion for a more definite statement, the answer must be served within 10 days after service of the more definite statement.

Rule 12(a). If the defendant fails to answer in timely fashion, a default judgment may be entered.

2. Denials

a. General denials

A general denial controverts all allegations in the complaint, e.g., "Defendant denies each and every allegation in Plaintiff's complaint." In federal court, a general denial is improper unless the defendant intends in good faith to contest every allegation, including jurisdictional allegations. Rule 8(b).

b. Specific denials

In a specific denial, the defendant admits or denies the plaintiff's allegations paragraph by paragraph. If only a part of a paragraph is true, the defendant admits what is true and denies the remainder. Rule 8(b).

If the defendant is without knowledge or information sufficient to form a belief as to the truth of an averment, she may so state in her answer, and this has the effect of a denial. Rule 8(b). However, defendant cannot deny on information and belief if she has knowledge or constructive knowledge of the facts; if a fact is within her knowledge, it will be taken as admitted.

c. Effect of failure to deny

An allegation that is not denied, or that is improperly denied, is deemed to have been admitted, and is binding on the parties. However, allegations of the amount of damages are deemed controverted even if not effectively denied. If no responsive pleading is required or allowed, the allegation is automatically deemed denied. Rule 8(d).

3. Affirmative Defenses

a. Definition

Even if the defendant admits the allegations of the complaint, there may be additional facts which, if established, would bar the plaintiff's recovery. These are called affirmative defenses and **must be raised by the defendant in the answer**.

Rule 8(c) lists as affirmative defenses that must be pleaded:

- 1) Accord and satisfaction,
- 2) Arbitration and award,
- 3) Assumption of risk,
- 4) Contributory negligence,

- 5) Discharge in bankruptcy,
- 6) Duress,
- 7) Estoppel,
- 8) Failure of consideration,
- 9) Fraud,
- 10) Illegality,
- 11) Injury by fellow servant,
- 12) Laches,
- 13) License,
- 14) Payment,
- 15) Release,
- 16) Res judicata,
- 17) Statute of frauds,
- 18) Statute of limitations,
- 19) Waiver, and
- 20) Any other matter constituting an avoidance or affirmative defense.

b. Failure to plead

An affirmative defense is waived if not raised in the answer. However, an inadvertent omission of a defense may be rectified by amendment if no prejudice would result. Furthermore, if an affirmative defense, although not pleaded, is actually tried, the pleadings may later be amended to conform to the evidence. (*See*, “Amendment to Conform to the Evidence,” *infra*.)

E. THE REPLY

A reply is permitted in only two situations.

1. Counterclaim

A reply must be made if the answer contains “a counterclaim denominated as such.” Rule 7(a). If no reply is made, the allegations of the counterclaim are deemed admitted. Rule 8(d).

2. Answer

The court may order a reply to an answer or a third-party answer, either on its own motion or on motion of a party. Rule 7(a). This rarely occurs. No responsive pleadings beyond the reply are permitted in federal court. The allegations in the reply are taken as denied.

F. MOTIONS ATTACKING THE PLEADINGS

Instead of filing an answer, a defendant may file a Rule 12 motion, challenging the sufficiency of the pleadings.

a. Grounds

The defendant may raise the following seven defenses either in the answer, or at his option, in a pre-answer motion to dismiss under Rule 12(b):

- 1) Lack of jurisdiction over the subject matter;
- 2) Lack of jurisdiction over the person;
- 3) Improper venue;
- 4) Insufficiency of process;
- 5) Insufficiency of service of process;
- 6) Failure to state a claim upon which relief can be granted;
- 7) Failure to join an indispensable party under Rule 19.

b. Standard

Upon a motion to dismiss for failure to state a claim upon which relief can be granted, the court must construe the complaint in the light most favorable to the plaintiff. A 12(b)(6) motion shall be denied **unless** “it appears beyond doubt that the plaintiff can prove no set of facts in support of his claim which would entitle him to relief.” *Conley v. Gibson*, 355 U.S. 41 (1957). Hence, 12(b)(6) motions are rarely granted.

c. What the court considers

Generally, upon a 12(b) motion only the pleading itself is considered. However, there are two exceptions.

- 1) The court may take judicial notice of facts universally known and accepted (e.g., matters of public record, historical events, geography, and scientific principles).
- 2) The court may consider whether the movant’s own allegations cure any defect in the challenged pleading.

If the movant also presents affidavits or other evidence going to the merits, the court may treat the motion as one for summary judgment under Rule 56 (*infra*). Rule 12(b).

d. Consequences of the ruling on the motion**1) Granted****(a) Amendment**

If the motion to dismiss is granted, the plaintiff usually can amend her complaint, either by filing an amendment to the original complaint or by filing a new amended pleading. If the plaintiff amends, she waives any right to appeal the dismissal of the original pleading.

(b) Appeal

If the plaintiff wishes to appeal the grant of a motion to dismiss, she must allow a judgment of dismissal to be entered against her, because interlocutory appeal is not available on such orders. If she wins her appeal, the complaint is reinstated and the case proceeds. However, if she loses her appeal, the appellate court still may exercise its discretion to remand to allow her to amend her pleading.

2) Denied

If the motion to dismiss is denied, the defendant must either answer or allow a default judgment to be entered against him.

2. Motion For Judgment On The Pleadings (Rule 12(c))

A motion for judgment on the pleadings is analogous to a motion to dismiss under Rule 12(b)(6); however, it is made **after** the pleadings are closed but within such time as not to delay the trial. Again, if supporting affidavits or other material are presented, the court may treat the motion as one for summary judgment. Rule 12(c).

3. Motion For More Definite Statement (Rule 12(e))

If a pleading is “so vague and ambiguous that a party cannot reasonably be required to frame a responsive pleading,” that party may move for a more definite statement before filing his responsive pleading. However, if the pleading is definite enough so that an answer can be made, the court will deny the motion and rely on discovery to alleviate the vagueness. Rule 12(e) motions are rarely granted. A 12(e) motion may not be made if no responsive pleading is permitted. If an order for a more definite statement is entered and it is not obeyed within 10 days after notice, the court may strike the pleading. Rule 12(e).

4. Motion To Strike (Rule 12(f))

A party may move to strike from a pleading “any insufficient defense” or “any redundant, immaterial, impertinent, or scandalous material.” Rule 12(f). A motion to strike must be made before responding to a pleading, or if no responsive pleading is permitted, within 20 days after service of the pleading upon the movant. Motions to strike are not favored and will be granted only if the allegations attacked have no possible relation to the controversy and may prejudice the other party.

5. Procedure

A Rule 12 motion must be in writing (unless made during a hearing or trial), must state with particularity the grounds therefor, and must set forth the relief or order sought. Rule 7(b)(1).

A pre-answer motion must be filed within the time allowed for serving the answer (i.e., 20 days after service of the summons and complaint). Service of a motion extends the time for answering until 10 days after notice of the court's action upon the motion. Rule 12(a).

Usually, Rule 12(b) and 12(c) motions are heard and determined before trial. However, the court may defer hearing and determination until the trial. Rule 12(d).

6. Waiver Of Defenses

If a party makes a motion to dismiss based on one of the Rule 12(b) grounds, he must include **all the 12(b) grounds then available to him**, because certain defenses, if omitted, will thereby be waived. Rule 12(g).

a. Defenses waived if not raised in pre-answer motion or answer

Under Rule 12(h)(1), the following defenses are waived if not raised in a pre-answer motion, or, where no pre-answer motion is made, if not raised in the answer or any amendment as of right to the answer.

- 1) Lack of jurisdiction over the person;
- 2) Improper venue;
- 3) Insufficiency of process; and
- 4) Insufficiency of service of process.

Example: If the defendant, before answering, moves to dismiss because of insufficiency of process (12(b)(4)), he will have waived an objection to improper venue (12(b)(3)) unless he raises it in the same motion. Or, if the defendant makes no pre-answer motion, but fails to raise improper venue in the answer, he has waived that objection unless he adds it to his answer within the 20-day period for amendment as of right.

b. Defenses that may be raised before or at trial

The following defenses are not waived in the above circumstances:

- 1) Failure to state a claim upon which relief can be granted,
- 2) Failure to join an indispensable party under Rule 19, and
- 3) An objection of failure to state a legal defense.

They may be raised in any pleading, in a motion for judgment on the pleadings, or at the trial. However, the right to raise these defenses at trial is not absolute, but is in the discretion of the judge. These defenses cannot be raised for the first time on appeal. Rule 12(h)(2).

c. Nonwaivable defense

The defense of lack of subject matter jurisdiction is **never** waived. It may be raised at any time by any party or by the court, and may be raised for the first time on appeal. Rule 12(h)(3).

G. COUNTERCLAIMS, CROSS-CLAIMS, AND THIRD-PARTY CLAIMS**1. Counterclaims**

A counterclaim is a claim for relief against the plaintiff asserted by the defendant in her answer to the complaint. A counterclaim may seek relief exceeding in amount, or different in kind from, that sought by the plaintiff. Rule 13(c).

a. Compulsory counterclaims**1) Rule**

A defendant must assert any claim that he has against the plaintiff at the time of serving the pleading “if it arises out of the transaction or occurrence that is the subject matter of the opposing party’s claim and does not require for its adjudication the presence of third parties of whom the court cannot acquire jurisdiction.” Rule 13(a).

2) “Logical relationship” test

No precise definition of what constitutes a “transaction or occurrence” has been formulated. The most common test is the logical relationship test. If the counterclaim is logically related to the initial claim, it is compulsory. A counterclaim is logically related to the claim if separate trials on each of the claims would involve substantial duplication of effort and time by the parties and the courts.

b. Permissive counterclaims

Any claim that does not arise out of the same transaction or occurrence as the original claim may be pleaded as a permissive counterclaim. Rule 13(b). However, the court may, for convenience, order separate trials for unrelated actions. Rule 42(b).

c. Jurisdiction of counterclaims

A federal court has ancillary jurisdiction of a compulsory counterclaim. However, if the counterclaim is permissive, there must be an independent ground of federal jurisdiction.

The plaintiff is deemed to submit to personal jurisdiction by bringing an action; thus, a court will have personal jurisdiction over the plaintiff as to the counterclaim, even if the plaintiff would not have been subject to jurisdiction in an independent action. Similarly, if venue was proper as to the original claim, the defendant may assert his counterclaims even if the venue would not be proper if they were asserted in an independent action.

d. Statute of limitations

If the plaintiff files her claim immediately before the statute of limitations runs out, and the defendant attempts to assert a counterclaim after the statute has run, is the doctrine determined by state law. The majority view is that the counterclaim will be allowed even if the statutory period expires between the filing of the claim and the assertion of the counterclaim.

An unrelated (permissive) counterclaim is barred if the statute of limitations has already run on defendant's claim when plaintiff files his action.

2. Cross-Claims**a. Definition**

A cross-claim is a claim asserted by one party against a co-party. Thus, if P sues D1 and D2 for injuries suffered in a collision, D1 may cross-claim against D2 for her own injuries in the collision.

b. Filing requirements

A cross-claim, like a counterclaim, should be pleaded in the answer, but is not compulsory. The co-party against whom a cross-claim is asserted must file an answer to the cross-claim. Rule 7(a).

c. Logical relationship test

A cross-claim must "arise out of the transaction or occurrence that is the subject matter either of the original action or of a counterclaim therein, or relate to any property that is the subject matter of the original action." Rule 13(g). In determining the extent of a "transaction or occurrence," the same logical relationship test as is applied in counterclaims is used. A claim against a co-party on an unrelated matter may not be raised as a cross-claim. Unlike a permissive counterclaim, where the plaintiff is interested, an unrelated claim against a co-party would raise a matter in which the plaintiff had no interest and which might prejudice the plaintiff.

d. Cross-claims between co-plaintiffs

Only parties against whom a claim has been made can cross-claim against each other. Thus, co-plaintiffs can cross-claim against each other only if a defendant has counterclaimed.

e. Jurisdiction of cross-claims

Because cross-claims are related to the transaction or occurrence involved in the main claim, they fall within the ancillary jurisdiction of the court; independent jurisdictional grounds are not required. Likewise, since the parties to the cross-claim are already before the court, personal jurisdiction is satisfied. If the venue of the original action is proper, no venue objection can be raised, even if venue would not exist if the cross-claim were sued upon independently.

3. Joinder Of Additional Parties To Counterclaims And Cross-Claims

Persons other than those who are parties to the original action may be added as parties to a counterclaim or cross-claim if their joinder is required by Rule 19 or permitted by Rule 20, i.e., they are “indispensable,” “necessary,” or “proper” parties. (See, “Joinder of Parties,” *infra*.)

Whether in a compulsory or permissive counterclaim or a cross-claim, additional parties may be joined only if the court can obtain personal jurisdiction over them.

The statute of limitations runs until an action is commenced against an additional party; it is not tolled by the filing of the original action.

4. Third-Party Practice (Impleader)

Third-party practice (or impleader) allows a defendant to assert a claim against a third person not a party to the original action who is or may be liable to the defendant for all or part of the plaintiff’s claim against the defendant. Rule 14. Impleader is not mandatory; the defendant may choose to assert his claim in a separate action.

a. When impleader is proper

The claim must be that the third party is or may be liable over to the defendant on the plaintiff’s claim. Impleader is improper if the third party’s liability to the defendant is direct rather than derivative. Impleader can be used to assert claims for indemnity, subrogation, contribution, or breach of warranty.

b. Jurisdiction of impleader

Ancillary jurisdiction extends over third-party claims that arise out of the same “operative core of facts” as the main claim. Neither the diversity requirement nor the jurisdictional amount need be met. Thus, if P, of New York, sues D, of Massachusetts, and D impleads T, also of Massachusetts for indemnification, the third-party action is ancillary and the lack of diversity between D and T does not matter.

However, ancillary jurisdiction does **not** apply if the plaintiff asserts a claim against the third-party defendant. Independent subject matter jurisdiction is required.

Example: If P, of New York, brings a diversity action against D of Massachusetts, and D impleads T of New York, P may not assert a claim against T because diversity is lacking. Since P could not originally have sued T in federal court, he cannot now use ancillary jurisdiction to evade the diversity requirement. *Owen Equipment & Erection Co. v. Kroger*, 437 U.S. 365 (1978).

H. AMENDED AND SUPPLEMENTAL PLEADINGS

Amendment of the pleadings is liberally allowed under the Federal Rules. Amendment may be necessary if the other party has successfully challenged the sufficiency of a pleading, or if the party wishes to add claims or defenses that he had not known or had overlooked at the time of filing the original pleading.

1. Amendment As Of Right

A party may amend his pleading once as a matter of course:

- a. at any time before a responsive pleading has been served, or
- b. if no responsive pleading is required and the action has not been placed on the trial calendar, within 20 days after service of his pleading.

Rule 15(a). A motion is not a “responsive pleading” within Rule 15(a), so the right to amend is not lost if a Rule 12 motion is filed.

2. Amendment By Leave Of Court

After expiration of the period for amendment as of right, a party may amend his pleading only by leave of court or by written consent of the adverse party. Rule 15(a). Generally, leave to amend will be denied only if amendment would cause actual prejudice to the opposing party. Prejudice does not result merely because the amended pleading raises a new theory of the case or a new claim.

3. Effect Of Amendment

An amended pleading supersedes the original pleading. If a response to the original pleading was required, then a response to the amended pleading is also required, unless the amendment was very minor. The Federal Rules are meant to provide an opportunity for an added defendant to respond to a claim, and must satisfy due process requirements. *Nelson v. Adams U.S.A., Inc.*, 529 U.S. 460 (2000).

4. Amendment To Conform To The Evidence

When issues not raised by the pleadings are actually tried by the express or implied consent of the parties, they are treated as if they had been raised in the pleadings. A party may amend his pleadings upon motion at any time (even after judgment) to conform them to the issues and evidence presented. However, this is not necessary and failure to amend does not affect the result of the trial on those issues. Rule 15(b).

5. Relation Back Of Amendments

If a party seeks to assert a new claim in her amended pleading, a problem arises if the statute of limitations has run before the amendment. Where the limitations period had run on the claim **before** the **original** pleading was filed, the claim is barred. Amendment cannot be used to circumvent the statute. In some instances, however, the doctrine of relation back will save the claim.

a. New claim

If the applicable limitations law allows, or if the new claim arose out of the conduct, transaction, or occurrence set forth in the original pleading, the amendment relates back to the date of original pleading, i.e., it is deemed to have been filed on the date of the original pleading. Rule 15(c). Thus, the claim would not be barred even though the statute had run between the filing of the original pleading and the filing of the amendment.

probably compel joinder. *United States v. Aetna Casualty & Surety Co.*, 338 U.S. 366 (1949).

B. CAPACITY TO SUE OR BE SUED

Capacity is the ability of a party to participate in a lawsuit.

1. Determination

The capacity of an individual to sue or be sued is determined by the law of her domicile. The capacity of a corporation is determined by the law under which it was organized. The capacity of a representative is determined by the law of the state where the district court is held. The capacity of a partnership or unincorporated association is determined by the law of the state where the district court is held, **except** that it may sue or be sued in its common name - even though it would lack capacity under state law - if the suit is to enforce a federal right. Rule 17(b).

The burden of proving capacity is on the party whose capacity is challenged. If lack of capacity is not raised early in the action, the objection will be waived.

2. Infants Or Incompetent Persons

When an infant or an incompetent person has a representative (e.g., a guardian), the representative may sue or defend on behalf of the infant or incompetent person. If there is no duly appointed representative, suit may be brought by the next friend or a guardian ad litem. The court can appoint a guardian ad litem or take other steps to protect an unrepresented infant or incompetent person. Rule 17(c).

C. JOINDER OF PARTIES

To prevent a multiplicity of suits as to the same matter, the Rules provide for bringing in other persons who have claims or who may be liable. If the connection of such a person is so close that the action should be dismissed unless he is joined, he is an "indispensable" party. If he ought to be joined if possible, he is a "necessary" party. If he can be joined or not at the plaintiff's option, he is a "proper" party.

1. Compulsory Joinder (Rule 19)

a. Determinations

In determining a compulsory joinder question, the court must decide:

- 1) Whether a person is needed for a just adjudication,
- 2) Whether it is feasible to join that person, and
- 3) If he cannot be joined, whether the action can proceed in his absence.

b. Persons to be joined if feasible

A person is needed for a just adjudication if:

- 1) In his absence, complete relief cannot be accorded to the existing parties, or

b. New party

An amendment changing the party against whom a claim is asserted will relate back if the new defendant:

- 1) Had notice of the institution of the action within the period of time allowed by the Federal Rules for service of process after filing the complaint (within 120 days after filing the complaint),
- 2) Will not be prejudiced by the delay in maintaining a defense on the merits, and
- 3) Knew or should have known that, but for a mistake concerning the identity of the proper party, the action would have been brought against him.

Rule 15(c). Therefore, the action must be filed within the statutory limitations period, but a new party may later be brought in if the party had notice of the action within 120 days after the complaint was filed (and the requirements of elements (2) and (3), discussed above, are also satisfied).

6. Supplemental Pleadings

A supplemental pleading deals with events that have occurred **after** the filing of the original pleading. (Compare an amended pleading, which deals with events that occurred before the filing of the original pleading but that were unknown or overlooked then.) The court has discretion to permit the filing of a supplemental pleading upon motion and reasonable notice. Rule 15(d). Unlike an amended pleading, a supplemental pleading merely adds to, rather than supersedes, the original pleading. However, under Rule 15(d), a supplemental pleading may cure a defective original pleading, in the court's discretion.

II. PARTIES**A. REAL PARTY IN INTEREST****1. In General**

Every action must be brought in the name of the real party in interest, i.e., the person who, under the substantive law, possesses the right sought to be enforced. Thus, the real party in interest is not necessarily the person who will ultimately benefit from any recovery. If the real party in interest did not bring suit, a reasonable time will be allowed for his joinder or substitution; if he is not joined, the action will be dismissed. The joinder or substitution relates back to the filing of the original complaint. Rule 17(a).

2. Assignment Or Subrogation

An assignee is the real party in interest and may sue in her own name. However, if the assignment is only partial, both the assignee and the assignor are real parties in interest, and defendant can probably compel joinder of the missing party. Unless state law provides otherwise, subrogation leads to the same result.

Example: If the insurer has paid for a loss, it is the real party in interest. If the insurer has paid only part of the loss, either the insurer or insured may sue, but defendant can

2) There is a question of law or fact common to all the parties to the action.

Rule 20(a). What constitutes the same transaction or occurrence is determined on a case-by-case basis, but the approach is very similar to the “logical relationship” test applied in the context of a compulsory counterclaim. Note, however, that a joint tortfeasor subject to joint and several liability is not needed for “just adjudication.” *Temple v. Synthes Corp.*, 498 U.S. 5 (1990).

b. Jurisdiction

Ancillary jurisdiction does not extend to permissive joinder; the diversity and amount-in-controversy requirements must be satisfied as to all plaintiffs and all defendants. Likewise, the venue requirements must be met.

3. Misjoinder And Nonjoinder

If a party has been improperly joined, the action will not be dismissed, but the party may be dropped upon motion or upon the court’s initiative at any stage of the action and on such terms as are just. If a party has not been joined who should have been, he may be added. However, if he is an indispensable party who cannot be joined, the suit will be dismissed. Rule 21.

D. JOINDER OF CLAIMS

1. In General

A party asserting a claim (whether an original claim, counterclaim, cross-claim, or third-party claim) may join with it as many claims as he has against an opposing party. Legal, equitable, and maritime claims may all be joined. Rule 18(a).

2. Splitting Claims Prohibited

Joinder of claims is never required. However, the res judicata doctrine (*infra*) prohibits splitting a cause of action and will mandate the assertion of all grounds upon which a single cause of action is based.

3. Jurisdiction

Each claim must have an independent basis for subject matter jurisdiction.

Example: If P has a federal question claim against D, she may not join with it a separate nonfederal claim unless diversity exists. However, if the claims are closely related, pendent or ancillary jurisdiction may apply. Aggregation of claims to achieve the required \$75,000 jurisdictional amount is allowed in suits by one plaintiff against one defendant, but not among multiple parties. Personal jurisdiction and venue must be proper as to each claim.

E. CLASS ACTIONS

A class action allows suit to be brought by or against a large number of people similarly situated who are represented by one or more class members.

- 2) He claims an interest in the controversy and is so situated that disposition of the action in his absence may:
 - (a) As a practical matter, impair or impede his ability to protect that interest, or
 - (b) Create inconsistent obligations by reason of his claimed interest.

If a person meets this test, **and** he is subject to service of process and his joinder will not destroy diversity, he **must** be joined. Rule 19(a).

c. If joinder is not feasible

If a person is needed for a just adjudication, but is not subject to process or his joinder would destroy diversity, the court must determine “whether in equity and good conscience the action should proceed” without him, or whether the action should be dismissed. In this determination, the court must consider:

- 1) To what extent a judgment rendered in his absence would prejudice him or the existing parties;
- 2) Whether protective provisions in the judgment decree could lessen or avoid that prejudice;
- 3) Whether a judgment rendered in his absence would be adequate; and
- 4) Whether the plaintiff will have a satisfactory remedy if the action is dismissed for nonjoinder.

Rule 19(b). If the court determines that the action must be dismissed in the absence of a party, he is called an “indispensable” party. If a party should be joined but the action can continue without him, he is a “necessary” party.

d. Procedure for compulsory joinder

The complaint must state the names of all parties who should be joined and the reasons they were not joined. Rule 19(c). The court then determines whether they are necessary or indispensable parties. A defendant should raise an objection to nonjoinder early, since it may be waived if the delay is too long. However, nonjoinder of an **indispensable** party can be raised at any time by pleading or motion, or even at the trial. Rule 12(h)(2).

2. Permissive Joinder (Rule 20)

a. Requirements

A party who has some relation to the suit, although not close enough to make him necessary for “just adjudication” is a “proper” party and may be joined at the option of one of the existing parties. Two tests must be satisfied:

- 1) The right to relief arises out of the same transaction, occurrence, or series of transactions or occurrences, and

Rule 23(b)(3).

3. Certification Of Class

As soon as practicable after a suit has been commenced as a class action, the court must determine whether it should proceed as a class action. If the requirements are met and the class action is superior to other available methods, the court will certify the suit as a class action. Rule 23(c)(1). Alternatively, the court may order that the action be treated as a class action with respect only to particular issues, or that the class be divided into subclasses with their own representatives. Rule 23(c)(4).

Filing of a class action tolls the statute of limitations on each potential member's claim until the decision on certification.

4. Notice

a. Discretionary notice

In a 23(b)(1) or (b)(2) class action, the court may in its discretion determine the notice to be given class members. Rule 23(d)(2). Individual notice to members is not required by due process if representation is adequate. *Mattern v. Weinberger*, 519 F.2d 150 (3d Cir. 1975). **Note:** Notice of dismissal or compromise is a separate notice and must be given to class members of all types of class actions if the case is dismissed or settled.

b. Mandatory notice

In a 23(b)(3) (common-question) class action, the court must direct to class members "the best notice practicable under the circumstances, including individual notice of the pendency of the class action to all members who can be identified through reasonable effort." Rule 23(c)(2). The cost of **notifying** the class members must be borne by the plaintiffs. *Eisen v. Carlisle & Jacquelin*, 417 U.S. 156 (1974).

The cost of **identifying** the class members must also be borne by the plaintiffs; however, in special circumstances, e.g., if the cost were insubstantial or if the information had to be compiled in the ordinary course of the defendant's business, the defendant might be required to identify the class members. *Oppenheimer Fund, Inc. v. Sanders*, 437 U.S. 340 (1978).

c. Contents of mandatory notice

The notice will describe the suit and the relief sought. The notice must advise each class member that:

- 1) The court will exclude him from the class if he so requests by a specified date;
- 2) The judgment will bind all members who do not request exclusion; and
- 3) Any member who does not request exclusion may enter an appearance through his counsel.

Rule 23(c)(2).

1. Prerequisites To A Class Action

One or more members of the class may sue or be sued as class representatives if **all** of the following prerequisites of Rule 23(a) are satisfied:

- a. The class is so **numerous** that joinder of all members is impracticable;
- b. There are questions of law or fact **common** to the class;
- c. The claims or defenses of the representatives are **typical** of those of the class; and
- d. The representatives will **fairly and adequately** protect the interests of the class.

2. When Class Actions Are Appropriate

Under Rule 23(b), a class action may be based on any of three grounds, if the prerequisites of 23(a) (*supra*) have been satisfied.

a. To avoid adverse effects from separate actions

A class action may be maintained if the prosecution of **separate actions** would create a risk of:

- 1) **Inconsistent or varying adjudications** that would establish incompatible standards of conduct for the party opposing the class; or
- 2) Judgments that would be dispositive of the interests of nonparty class members or that would **substantially impair or impede** their ability to protect their interests.

Rule 23(b)(1)(A), (B).

b. Actions for injunctive or declaratory relief

A class action is authorized where the party opposing the class has acted or refused to act on grounds generally applicable to the class. However, in this type of action the class may seek only final injunctive relief or declaratory judgment. Rule 23(b)(2).

c. Common Questions Predominate

Finally, a class action is appropriate if the court finds that “the questions of law or fact common to the members of the class predominate over any questions affecting only individual members, and that a class action is superior to other available methods for the fair and efficient adjudication of the controversy.” Rule 23(b)(3). In determining whether a class action is superior to individual suits, the court is to consider, among others, the following factors:

- 1) The interest of class members in individually controlling the prosecution or defense of separate actions;
- 2) The extent and nature of any litigation concerning the controversy already commenced by or against class members;
- 3) The desirability of concentrating all the litigation in one forum; and
- 4) Any probable difficulties in managing a class action.

2) Complaint

The complaint in a derivative action must be verified and must allege that:

- (a) The plaintiff was a shareholder at the time of the alleged wrongdoing;
- (b) The action is not collusive; and
- (c) A demand for action was made upon the directors, and, if necessary, upon the shareholders, or why such a demand was futile or excused.

3) Corporation as named defendant

The corporation must be made a defendant, along with those against whom the corporation has a claim. Any recovery belongs to the corporation, so the damage alleged to the corporation is the measure of the jurisdictional amount. A derivative suit may be prosecuted by a shareholder in any district where the corporation could have sued the same defendants. 28 U.S.C. §1401.

4) Court approval

A derivative action cannot be maintained if it appears that the plaintiff does not fairly and adequately represent the interests of similarly situated shareholders. Compromise or dismissal must be approved by the court, and notice of a proposed compromise or dismissal must be given to all shareholders. Rule 23.1.

b. Unincorporated associations

Suit by or against members of an unincorporated association as a class is governed by Rule 23.2. The representatives must fairly and adequately represent the class, and the protective provisions of Rule 23(d) and (e) are specifically incorporated, e.g., court approval of dismissal, notice, etc.

F. INTERPLEADER**1. In General****a. Purpose**

Interpleader allows a person who does not know to which of several claimants he is liable (if he is liable at all) to join all the claimants in one action, and require them to litigate among themselves to determine which claim is valid. Interpleader protects the stakeholder from multiple lawsuits and possible multiple liability. Interpleader may be used, for example, where an insurer is uncertain to which of the claimants insurance benefits should be paid.

b. Stakeholder's rights

The stakeholder may initiate an interpleader action, naming all the claimants as defendants, or may interplead in an existing action between the claimants. If he has already been sued, he may interplead by a counterclaim or cross-claim. The stakeholder deposits the disputed property with the court or posts a bond sufficient to insure his compliance with the judgment. If he is disinterested, the court can then

dismiss him from the action. If he denies liability or if he has a claim to the property, he remains a party.

2. Statutory vs. Rule 22 Interpleader

Interpleader is available either under Rule 22 or under 28 U.S.C. §1335; the principal difference is as to jurisdiction.

a. Statutory interpleader

Statutory interpleader may be used where the amount involved exceeds \$500, and there are “two or more adverse claimants of diverse citizenship.” Thus, only minimal diversity is required: at least one claimant must be a citizen of a state different from that of the other claimants; the citizenship of the stakeholder is immaterial. Nationwide service of process is available in a statutory interpleader action. Venue is proper in the district in which any claimant resides.

b. Rule 22 Interpleader

Rule 22 interpleader requires either complete diversity of citizenship between the stakeholder on the one hand and all the claimants on the other, plus more than \$75,000 in controversy, or federal question jurisdiction. Thus, Rule 22 interpleader is available where all the claimants are citizens of the same state, as long as the stakeholder is a citizen of another state. Process under Rule 22 interpleader must be served in accord with Rule 4, i.e., within the state where the court sits or pursuant to that state’s long-arm statute. Venue lies in the district in which the plaintiff resides, in which all the defendants reside, or in which the claim arose.

G. INTERVENTION

Intervention provides a procedure whereby a nonparty can enter a lawsuit upon her own initiative to protect her interests. Intervention may be either as a matter of right or permissive.

1. Intervention Of Right (Rule 24(a))

a. Rule

Intervention of right is granted when:

- 1) A federal statute confers an unconditional right to intervene, or
- 2) The applicant claims an interest relating to the property or transaction that is the subject of the action, and he is so situated that the disposition of the action may as a practical matter impair or impede his ability to protect that interest, unless the applicant’s interest is adequately represented by existing parties.

Rule 24(a).

b. Standard

No definite standard as to the extent of the potential intervenor’s interest has been developed; some courts have required “a direct, substantial, legally protectable interest” while others have allowed intervention on a lesser showing. The

requirement of “impairment” has been interpreted broadly; even the stare decisis effect of the judgment in the present action may be sufficient impairment to require intervention of right. Lack of adequate representation “is satisfied if the applicant shows that representation of his interest ‘may be’ inadequate; and the burden of making that showing should be treated as minimal.” *Trbovich v. United Mine Workers of America*, 404 U.S. 528 (1972).

c. Jurisdiction and venue

Ancillary jurisdiction extends to intervention as of right, and venue is ancillary as well. However, if the intervenor is a person who would be “indispensable” under Rule 19(a), an independent ground of subject matter jurisdiction must exist to prevent the danger of an evasion of jurisdictional requirements.

2. Permissive Intervention (Rule 24(b))

a. Rule

If intervention of right is not available a party may still be permitted to intervene in the court’s discretion. Permissive intervention may be granted if:

- 1) A federal statute confers a conditional right to intervene, or
- 2) An applicant’s claim or defense and the main action have a question of law or fact in common.

Rule 24(b). The common question of law or fact need not arise from the same transaction, and the intervenor need not have a direct personal interest in the subject of the litigation.

Example: Neighbors have been allowed to intervene in an action to set aside a zoning order. In exercising its discretion, the court must consider whether the intervention will unduly delay or prejudice the adjudication of the original parties’ rights. Rule 24(b).

b. Jurisdiction and venue

Independent jurisdictional grounds must exist for permissive intervention. Likewise, if intervention will create a venue problem, it should not be permitted.

3. Timeliness

All applications to intervene must be “timely.” The court must weigh the possibility of delay and prejudice for the original parties against the harm to the potential intervenor from denial. Particularly in intervention of right, an application should not be denied as untimely.

III. DISCOVERY

A. IN GENERAL

1. Definition

Discovery procedures are methods by which a party can gather information from his opponent and from witnesses to aid in the preparation of his case.

2. Purposes

One purpose of discovery is to allow a party to obtain and preserve evidence in a form that can be introduced at trial in the witnesses' absence. Discovery also narrows the issues in dispute prior to trial, thus simplifying both the pleadings and the trial. The use of discovery reduces surprise and delay at trial by apprising the parties of additional evidence, and may substantially aid in establishing claims and defenses through evidence in the other party's possession.

B. SCOPE OF DISCOVERY

Rule 26(b) governs the scope of discovery and provides in general that parties may obtain discovery regarding any matter that is not privileged and is relevant to the subject matter involved in the pending action.

1. Relevance And Admissibility

"Relevance" is given a very broad interpretation. It does not matter that the information will be inadmissible at trial as long as the information sought **"appears reasonably calculated to lead to the discovery of admissible evidence."** Rule 26(b)(1). Discovery may relate to the party's own defense or claim or may extend to the claim or defense of the other party. A party may seek the identity and location of witnesses, and information as to the existence, description, custody, and location of any books, documents, or other tangible things. Rule 26(b)(1). District courts can modify disclosure requirements on stipulation. Even if the party already knows the facts as to which he seeks discovery, his opponent may not object because a party is allowed to discover the position of his opponent on the controverted issues.

2. Privilege

Discovery extends only to matter "not privileged." Matter is privileged from discovery if it would be privileged at trial under the applicable rules of evidence. *United States v. Reynolds*, 345 U.S. 1 (1953). The most important privileges are the privilege against self-incrimination, the attorney-client privilege, the physician-patient privilege, and the privileges protecting a confidential communication between spouses and exempting one spouse from testifying against the other.

3. Insurance Agreements

A party can discover the existence and contents of a liability insurance agreement. However, information concerning the insurance is not thereby made admissible. Information on the application for insurance is not discoverable. Rule 26(b)(2).

4. Trial Preparation Materials

a. Qualified immunity

Materials prepared for litigation are protected from discovery by a qualified immunity. Rule 26(b)(3) states:

A party may obtain discovery of **documents and tangible things** otherwise discoverable . . . and **prepared in anticipation of litigation or for trial** by or for another party or by or for that other party's representative (including his attorney, consultant, surety, indemnitor, insurer, or agent) only upon a showing that the party seeking discovery has **substantial need** of the materials in the preparation of his case and that he is **unable without undue hardship to obtain the substantial equivalent of the materials by other means**.

The policy underlying the “work product” immunity is the necessity for the lawyer to investigate all facets of the case and develop his theories without fear of having to disclose his strategies or information that is unfavorable to his client. *Hickman v. Taylor*, 329 U.S. 425 (1947).

b. Extent of protection

The work-product immunity extends to persons other than the attorney who are representing a party, e.g., investigators or insurers. However, the document must have been prepared in anticipation of litigation; documents prepared in the regular course of business are not within the work-product immunity. The immunity protects only the documents or things themselves; an adversary can use interrogatories or depositions to discover the existence or nonexistence of the documents. Material prepared in anticipation of one suit should also have qualified immunity in a later suit.

c. Undue hardship

Discovery of work product information may be allowed if it is otherwise unobtainable, e.g., if a witness is dead or his memory is faulty. In determining whether “undue hardship” exists, the court will consider:

- 1) The **cost** of otherwise obtaining the material,
- 2) The **financial resources** of the party seeking it, and
- 3) The likelihood that a “**substantial equivalent**” **cannot be obtained** (For example, a witness who is an employee of the defendant may be hostile toward a discovering party who seeks a statement, and a “substantial equivalent” may therefore be unobtainable. Thus, a transcript of his original statement to his employer's attorney might not be immune).

d. Absolute immunity

Absolute immunity from discovery protects “the mental impressions, conclusions, opinions, or legal theories of an attorney or other representative of a party concerning the litigation.” Rule 26(b)(3).

e. Statements of a party or a witness

A party can obtain a copy of any statement that he had previously made concerning the action or its subject matter. No showing of need is required. Likewise, a nonparty can obtain automatically a copy of any statement that she has made. Rule 26(b)(3). However, a party cannot obtain the statement of a witness except by a showing of necessity sufficient to overcome the qualified immunity.

5. Expert Information

a. Experts who will testify

A party may through interrogatories discover the identity of each expert witness his opponent expects to call at trial, the subject matter on which the expert is expected to testify, and the substance of the facts and opinions to which the expert is expected to testify and a summary of the grounds for each opinion. Rule 26(b)(4)(A). Further discovery by other means (e.g., depositions) may be ordered by the court if necessary, but the party seeking discovery generally must pay the expert a reasonable fee for his time. Rule 26(b)(4)(C).

b. Experts not expected to testify

However, if an expert has been retained by the opponent in anticipation of or in preparation for litigation and is **not expected to testify at trial**, facts known or opinions held by the expert are discoverable **only** upon a showing of exceptional circumstances under which it is impracticable for the party seeking discovery to obtain facts or opinions on the same subject by other means. Rule 26(b)(4)(B).

6. Limits On Use Of Discovery Methods

The frequency or extent of use of the discovery methods shall be limited by the court if it determines that:

- a.** The discovery sought is **unreasonably cumulative or duplicative**, or is obtainable from some other source that is more convenient, less burdensome, or less expensive;
- b.** The party seeking discovery has had **ample opportunity** by discovery in the action **to obtain the information sought**; or
- c.** The discovery is **unduly burdensome or expensive**, taking into account the needs of the case, the amount in controversy, limitations on the parties’ resources, and the importance of the issues at stake in the litigation.

The court may act upon its own initiative after reasonable notice or pursuant to a motion. Rule 26(b)(1).

C. PROTECTIVE ORDERS

Because of the wide scope of discovery, the potential exists for abuse of discovery devices in order to harass or oppress the opposing party. Rule 26(c) authorizes the court to “make any order which justice requires to protect a party or person from annoyance, embarrassment, oppression, or undue burden or expense.” Such an order may issue upon motion of a party or of the person from whom discovery is sought upon good cause shown. The order will be issued either from the court in which the action is pending, or from the court in the district where a deposition is to be taken.

D. SEQUENCE OF DISCOVERY, DUTY TO SUPPLEMENT, AND SIGNING REQUIREMENTS

1. Sequence Of Discovery

Unless the court orders otherwise, methods of discovery may be used in any sequence. Both sides may proceed with discovery simultaneously. Rule 26(d).

2. Duty To Supplement

A party has a duty to supplement (or amend) required disclosures (*infra*) or responses if:

- a. The party learns that the information disclosed was materially incomplete or incorrect; and
- b. The new information has not otherwise been made known to the other party.

Rule 26(e). The duty to supplement also applies to information obtained by an expert’s report or in the deposition of an expert. Fed. R. Civ. P. 26(e).

3. Signature Requirement

Every discovery request, response, or objection thereto must be signed by an attorney or an unrepresented party. The signature constitutes a certification that she has read the paper and that, to the best of her knowledge, information, and belief formed after a reasonable inquiry, it is:

- a. Consistent with the Rules and warranted by the law or a good-faith argument for changing the law;
- b. Not interposed for any improper purpose; and
- c. Not, in the circumstances, unreasonable or unduly burdensome or expensive.

An unsigned discovery paper shall be stricken unless it is signed promptly after the omission is called to his attention. For violation of the Rule, sanctions may be imposed, including the expenses incurred and reasonable attorney’s fees. Rule 26(g).

E. MANDATORY DISCLOSURE

1. Initial Disclosures

Under the Federal Rules, certain information must be disclosed to the other parties without awaiting a discovery request (except if otherwise stipulated or directed by order or local rule). Unless by court order or stipulation to the contrary, at the meeting of the

parties to plan for discovery, or **within 10 days** thereafter, a party must disclose to other parties:

- a. Each individual **likely to have discoverable information** relevant to disputed facts alleged with particularity in the pleadings, identifying the subjects of the information;
- b. A copy of, or description of, **all documents and tangible things** in the party's possession, custody, or control that are relevant to disputed facts alleged with particularity in the pleadings;
- c. A **computation of damages** claimed by the disclosing party, making available for inspection and copying the evidentiary material on which the computation is based (unless privileged or protected from disclosure); and
- d. Any **insurance agreement**, for inspection and copying, under which the insurer may be liable to satisfy all or part of a judgment that may be entered in the action, or to indemnify or reimburse for any payment made to satisfy the judgment.

A party must make its initial disclosures based on the information then reasonably available and is not excused from making its disclosures because it has not fully completed its investigation of the case, because it challenges the sufficiency of another party's disclosures, or because another party has not made its disclosures. Rule 26(a)(1).

2. Disclosure Of Expert Testimony:

Under the Federal Rules, a party must disclose the identity of any person expected to present expert testimony at trial. The disclosure must be accompanied by a written report prepared and signed by the expert witness. This report must contain:

- a. A complete statement of all opinions to be expressed and the basis and reasons therefor;
- b. The data or other information considered by the witness in forming the opinions;
- c. Any exhibits to be used as a summary of or support for the opinions;
- d. The qualifications of the witness, including a list of all publications authored by the witness within the preceding 10 years;
- e. The compensation to be paid for the study and testimony; and
- f. A listing of any other cases in which the witness has testified as an expert within the last four years.

These disclosures are made at the times and in the sequence directed by the court. Rule 26(a)(2).

3. Pretrial Disclosures

Under the Federal Rules, a party must provide the following information regarding the evidence it may present at trial, other than solely for impeachment purposes:

- a. The names, addresses, and telephone numbers of each witness, separately identifying those whom the party expects to present and those whom the party may call if the need arises;
- b. The designation of those witnesses whose testimony is expected to be presented by means of a deposition and, if not taken stenographically, a transcript of the pertinent portions of the deposition testimony; and
- c. Identification of each document or other exhibit, including summaries of other evidence, separately identifying those which the party expects to offer and those which the party may offer if the need arises.

Unless otherwise directed by the court, these disclosures must be made at least 30 days before trial. Rule 26(a)(3).

4. Form Of Disclosures

Unless otherwise directed by order or local rule, all disclosures under Rule 26(a)(1) through (3) must be made in writing, signed, served, and promptly filed with the court. Rule 26(a)(4).

5. Methods to Discover Additional Matter

Under the Federal Rules, the parties are required to disclose automatically certain information to the other parties. The parties may obtain discovery of additional matters by one or more of the following methods:

- a. Depositions upon oral examination or written questions;
- b. Written interrogatories;
- c. Production of documents or things or permission to enter upon land or other property for inspection and other purposes;
- d. Physical and mental examinations; and
- e. Requests for admission.

Rule 26(a)(5).

F. DISCOVERY MEETING

Rule 26 mandates a meeting of the attorneys of record and each unrepresented party to discuss the nature of the claims and the possibilities of settlement, and to make or arrange for mandatory disclosures and develop a proposed discovery plan.

1. Proposed plan

The proposed plan must be submitted as soon as practicable, and no later than 21 days before the meeting, and should indicate:

- a. The parties' **views and proposals concerning changes** that should be made to the ordinary rules for discovery and a statement as to when the mandatory disclosures were or will be made;
- b. The **subjects on which discovery is needed**, when it should be completed, and whether it should be limited to certain issues; and
- c. **Recommendations for scheduling** and other orders to be issued.

2. Conference

Within 90 days after the appearance of a defendant (and within after service of the complaint), the court must enter a scheduling order limiting the time for joinder, motions, and discovery. The schedule cannot be modified except by leave of court upon a showing of good cause. Fed. R. Civ. P. 16 (b). *See also* Pretrial Conference And Scheduling, *infra*.

G. METHODS OF DISCOVERY

1. Oral Depositions (Rule 30)

Oral depositions are the most valuable of the discovery tools because they can be taken from **any person, whether or not a party**, and because they provide for examination and cross-examination of a person face-to-face without time to deliberate carefully and fashion a response. The Rules impose a "presumptive numerical limit" on depositions; each party is limited to **10 depositions**, unless leave of court is otherwise granted or the parties otherwise stipulate. As of December 1, 2000, absent court order or stipulation to the contrary, a deposition may not exceed "*one day of seven hours*."

a. Timing

Generally, leave of court is not necessary to take a deposition, but leave must be obtained if a plaintiff seeks to take a deposition **within 30 days** after service of a summons and complaint upon a defendant. Rule 30(a). This 30-day period allows the defendant time to retain counsel. However, leave is not required during the 30-day period if:

- 1) The defendant has served a deposition notice or otherwise sought discovery, or
- 2) The plaintiff's attorney certifies that the deponent is about to go away and will be unavailable after the 30-day period.

In the latter case, a deposition cannot be used against a party if he can show that, despite his diligence, he was unable to obtain counsel to represent him at the taking of the deposition. Rule 30(a), (b).

b. Notice and subpoena**1) Notice**

The deposing party must give reasonable notice in writing to all other parties, stating the time and place for the taking of the deposition, and the name and address of the deponent. Rule 30(b)(1).

2) Subpoena

The notice alone is sufficient to compel attendance by a **party**. A subpoena must be served on a **nonparty**, unless he agrees voluntarily to be deposed. The subpoena may also designate documents to be brought to the deposition (subpoena duces tecum). A witness who fails to respond to a subpoena may be cited for contempt. If a deposing party fails to attend, or did not subpoena a witness who then fails to attend, he may be ordered to pay the opposing party's reasonable expenses. Rule 30(g).

3) Organizations

Notice and a subpoena may name a corporation or association, describing with reasonable particularity the matters to be examined. The organization must then designate one or more officers, directors, or agents to testify on its behalf as to matters "known or reasonably available to the organization." Rule 30(b)(6).

c. Use of deposition at trial

A statement in a deposition is generally inadmissible as hearsay. However, it may be admitted in limited circumstances.

- 1) Any deposition may be used by any party for **contradicting or impeaching the deponent's testimony** as a witness or for any other purpose permitted by the Federal Rules of Evidence (e.g., prior inconsistent statement in a deposition can be used as substantive evidence).
- 2) The deposition of an **adverse party** or of an officer, director, or other agent of an adverse corporate party may be admitted for **any purpose**.
- 3) The deposition of any witness (party or nonparty) may be used for **any purpose** if the deponent is:
 - (a) Dead;
 - (b) More than 100 miles from the trial;
 - (c) Infirm or imprisoned and unable to testify;
 - (d) Not obtainable by subpoena; or
 - (e) If special circumstances make it desirable in the interests of justice to use the deposition.

Rule 32(a). If one party puts into evidence only part of a deposition, an adverse party may require him to introduce any other part that in fairness should be considered with it, and any party may introduce any other parts. Rule 32(a)(4).

2. Depositions Upon Written Questions (Rule 31)

Depositions can also be taken upon written questions. The advantage of this method is that counsel need not spend the time and money to travel to a distant place for the deposition. Instead, a party's lawyer serves upon every party written questions she wishes to ask, the opposing party serves cross-questions upon all the parties, and redirect and recross questions may also be served. All the written questions are then sent to the officer who will take the deposition. He puts the questions to the witness, records the oral responses, and transcribes and files the deposition. Rule 31. Because the questioner cannot effectively follow up the answers, this type of deposition is really useful only in establishing formal matters that are not complex.

3. Interrogatories To Parties (Rule 33)

Interrogatories are written questions to another party, which must be answered in writing and under oath. Note that while a deposition may be taken from a party or a nonparty, interrogatories can be addressed only to a party. The Rules impose a "presumptive numerical limit" on interrogatories; each party is limited to 25 interrogatories, unless leave of court is otherwise granted or the parties otherwise stipulate.

a. Timing

Interrogatories may be served at any time, even with the complaint. A party must answer or object to the interrogatories within 30 days after they are served upon him or within 45 days after service if they are served with the complaint. Rule 33(a).

b. Scope

Interrogatories may relate to any matters within the scope of discovery defined by Rule 26(b), *supra*. An interrogatory "is not necessarily objectionable merely because an answer to the interrogatory involves an opinion or contention that relates to fact or the application of law to fact." Rule 33(b). Thus, an opinion or contention is not automatically protected by work-product immunity.

Interrogatories may not be used to obtain copies of documents.

c. Duty to respond

Generally, a party must answer based upon all the information that is within its possession and that can be reasonably obtained without undue labor and cost. Each interrogatory must be answered separately and fully, unless it is objected to, in which case the reasons for objection must be stated. If answers are incomplete or evasive, a party may move to compel further answers.

d. Use of interrogatories at trial

Answers to interrogatories can be used by an adverse party for any purpose. A party is not irrevocably bound by his answers, but the answers may be used to contradict contrary statements or evidence that he introduces at trial.

4. Production Of Documents Or Things And Entry Upon Land (Rule 34)

A party may serve on any other **party** a request to produce and permit inspection and copying of any designated documents (e.g., writings, photographs, recordings or data compilations) or things, or to permit entry upon his land or property for the purpose of inspecting, testing, or sampling any tangible things. Rule 34(a).

a. Request

A request for production or entry can be served at any time without leave of court. It must set forth by item or category the things to be inspected and must describe each item and category with reasonable particularity. The request must also specify a reasonable time, place, and manner for the inspection. Rule 34(b).

b. Response

The party upon whom the request was served must serve a written response within 30 days after service of the request (or within 45 days after service if the request was served with the summons and complaint). A party can be forced to produce the documents or things in his “possession, custody or control.” Rule 34(a). If the party has a legal right to the document, he must produce it even though it is not currently in his custody. The requesting party may seek an order for production if no response is made or if objections are raised. Rule 34(b).

c. Persons not parties

A person who is not a party may be compelled to produce documents or things or submit to an inspection by a subpoena issued under Rule 45. Rule 45’s reach as to nonparties is intended to be coextensive with Rule 34’s reach regarding parties. Thus, the right to obtain this type of discovery from a nonparty is subject only to the additional technical requirement of a subpoena.

5. Physical Or Mental Examination (Rule 35)

Whenever the physical or mental condition of a party is in controversy, the court may require him to submit to an examination by a physician, psychologist, or other appropriate licensed professional. Rule 35(a).

a. Court order required

Unlike other forms of discovery, a physical or mental examination is available only by court order upon motion by a party. A showing of “good cause” is necessary for the granting of the motion. Rule 35(a).

b. Condition must be in controversy

The party's mental or physical condition must be "in controversy." If a plaintiff alleges mental or physical injury or if the defendant asserts his condition as a defense, the condition is clearly in controversy. *Schlagenhauf v. Holder*, 379 U.S. 104 (1964).

c. Procedure

Only parties or persons in the custody or under the legal control of a party are subject to examination. Rule 35(a). The court usually will appoint the physician or psychologist proposed by the examining party, or an impartial examiner. Its order will specify time, place, manner and scope of the examination; the examination is limited to the matter in controversy.

d. Right to report and waiver of privilege

The party examined has an absolute right to a copy of a detailed written report of the physician or psychologist. After delivery, the examining party is entitled, upon request, to any reports of previous or subsequent examinations of the same condition by the examinee's own doctors. Rule 35(b)(1). By requesting and obtaining a report of the ordered examination, the examinee waives the physician-patient privilege as to any testimony in regard to the same mental or physical condition. Rule 35(b).

6. Requests For Admission (Rule 36)

One party may serve upon another party written requests for the admission of the truth of any discoverable matter. The request may relate to statements or opinions of fact or of the application of law to fact, including the genuineness of any documents described in the request. Each matter must be separately set forth. Rule 36(a).

a. Response

A matter is deemed admitted unless within 30 days after service of the request the party serves an answer or objection signed by the party or by his attorney. (A defendant has 45 days after service of the summons and complaint in which to respond.)

Each matter about which an admission is requested must be squarely met by either:

- 1) An admission;
- 2) A denial;
- 3) A statement of why the party cannot truthfully admit or deny the matter; or
- 4) An objection, stating the reasons therefor.

A party may not give lack of information or knowledge as a reason for failure to admit or deny unless he states that he has made reasonable inquiry and that the information known or readily obtainable by him is insufficient to enable him to admit or deny. Rule 36(a).

b. Effect of admission or denial

Any matter admitted is conclusively established at trial. However, the court may permit withdrawal or amendment if “presentation of the merits of the action will be subserved thereby and the party who obtained the admission fails to show the court that withdrawal or amendment will prejudice him in maintaining his action or defense on the merits.” Rule 36(b).

If a party fails to admit the truth of the matter and the requesting party later proves its truth, the court, on application, will order the party who failed to admit to pay the reasonable expenses incurred in proving the matter, including reasonable attorneys’ fees, **unless**:

- 1) The request had been held objectionable;
- 2) The admission sought was not of substantial importance;
- 3) The party failing to admit had reasonable ground to believe he might prevail on the matter; or
- 4) There was good reason for the failure to admit.

Rule 37(c). An admission is for the purpose of the pending action only and cannot be used against the party in any other proceeding. Rule 36(b).

H. SANCTIONS FOR FAILURE TO MAKE DISCLOSURES OR COOPERATE IN DISCOVERY

Rule 37 sets forth the sanctions through which the means of discovery are enforced. Generally, application for sanctions is made by motion to the court where the action is pending (or in the district where a deposition is to be taken).

1. Motion To Compel A Response And Award Of Expenses

Upon motion, a court can order a party or witness to answer a question at a deposition or on interrogatories, or to produce a requested document or allow a requested inspection, or to admit or deny a request to admit.

a. Granted

If the motion is granted and the court finds that the refusal was without sufficient justification, it will require the refusing party, or the attorney advising the refusal, to pay the reasonable expenses incurred in obtaining the order, including reasonable attorney’s fees.

b. Denied

If the motion is denied, and the court finds that the motion was made without substantial justification, the court will require the moving party, or the attorney advising the motion, to pay the reasonable expenses incurred in opposing the motion, including reasonable attorney’s fees. Rule 37(a), (c).

2. Failure To Comply With Order

Failure to comply with a court order or subpoena may be punished by:

- a. An order that the matters dealt with in the original order or other designated facts will be taken as established;
- b. An order striking designated claims or defenses, or prohibiting introduction of designated evidence;
- c. Dismissal of an action or claims or defenses, or entering of a default judgment; or
- d. A contempt order, including a fine or imprisonment until a proper response is made. (Refusal to submit to a physical examination cannot be treated as contempt).

A party can also be required to pay the expenses incurred in obtaining the sanctions, including reasonable attorney's fees. Rule 37(b).

3. Immediate Sanction

A party may move for immediate sanctions (as opposed to moving to compel discovery) if a party fails to attend his own deposition or fails to provide any answers to interrogatories. The court may make such orders as are just, including:

- a. Ordering the matters to be treated as admitted;
- b. Prohibiting the party from supporting or opposing designated claims or defenses; and
- c. Striking pleadings, staying or dismissing the action, or rendering a default judgment.

Rule 37(b).

4. Automatic Sanction

Rule 37 provides for an automatic sanction against a party who fails to disclose information required by Rule 26. The party who fails to make required disclosures will not be permitted to use the withheld information as evidence at trial, at a hearing, or on a motion unless the failure was harmless. The court may also impose other sanctions, including:

- a. Ordering the matters to be treated as admitted;
- b. Prohibiting the party from supporting or opposing designated claims or defenses;
- c. Striking pleadings, staying or dismissing the action, or rendering a default judgment; or
- d. Informing the jury of the failure to make the disclosure.

Rule 37(c). The failure to make required disclosures under Rule 26 may result in either a motion to compel or automatic sanctions.

IV. PRE-TRIAL PROCEDURE AND DISPOSITION OF CASE

Most cases are disposed of before trial, either by dismissal, pre-trial judgment, or settlement. The pre-trial conference, which is required in many federal district courts, is often instrumental in helping parties arrive at a settlement before trial.

A. VOLUNTARY DISMISSAL

1. By Plaintiff Or By Stipulation

A plaintiff can voluntarily dismiss her action by filing a notice of dismissal at any time before the defendant serves his answer or a motion for summary judgment. Thereafter, the plaintiff can dismiss without leave of court only by filing a stipulation of dismissal signed by all parties who have appeared. Rule 41(a)(1). Likewise, a party may voluntarily dismiss his counterclaim, cross-claim, or third-party claim before a responsive pleading is served, or, if there is none allowed, before introduction of evidence at the trial or hearing. Rule 41(c).

2. By Leave Of Court

After the defendant has answered or moved for summary judgment, the plaintiff can dismiss, without a stipulation, only by leave of court and upon such terms and conditions as are just. If a counterclaim has been pleaded before service of the motion to dismiss and defendant objects to dismissal, the court can dismiss only if the counterclaim can remain for independent adjudication. Rule 41(a)(2). Dismissal will be denied only if the defendant would suffer some prejudice other than the prospect of a second lawsuit.

3. Effect Of Voluntary Dismissal

Unless otherwise stated in the dismissal notice, the first voluntary dismissal is **without prejudice**, i.e., the plaintiff can sue again. However, if a plaintiff who has once dismissed again brings suit on the same claim against the same defendant, the court can order the plaintiff to pay the costs of the first action before the second action may proceed. Rule 41(d).

A party's second voluntary dismissal operates as an adjudication on the merits. Rule 41(a)(1). Thus, the plaintiff cannot again bring suit on those claims. This prevents harassment of the defendant and waste of judicial resources.

B. INVOLUNTARY DISMISSAL

The court may order the involuntary dismissal of plaintiff's action for failure to prosecute or for failure to comply with the Rules or court orders. Rule 41(b). However, dismissal is a severe sanction and is not favored.

Generally, an involuntary dismissal is with prejudice and operates as an adjudication on the merits. However, this is not true of a dismissal for lack of jurisdiction, improper venue, or failure to join a Rule 19 indispensable party, or where the court orders that dismissal be without prejudice. Rule 41(b).

C. DEFAULT JUDGMENT

1. Entry

If a party against whom a claim has been asserted fails to plead or otherwise to defend, the clerk, upon affidavit or other showing, enters a default. Rule 55(a). When the plaintiff's claim is for a sum certain, the clerk can enter a default judgment for that amount plus costs, if the plaintiff presents a request and an affidavit of the amount due. No notice to the defendant is necessary. Rule 55(b)(1). In all other cases, the plaintiff must apply to the court for entry of a default judgment and proof is required as to the damages or other relief sought. If the defaulting party had appeared in the action, he must be given written notice three days before the hearing on entry of a default judgment. Rule 55(b)(2). A default judgment cannot give relief different in kind or exceeding in amount that prayed for in the complaint. Rule 54(c).

2. Set Aside

For good cause shown, the court may set aside a default judgment. Usually, the defendant must show not only that he had a valid excuse for his default but also that he has a meritorious defense to the action. A motion to set aside a default judgment should be made within one year after entry of the judgment. Rules 55(c), 60(b).

D. JUDGMENT ON THE PLEADINGS

After the pleadings have closed, any party may move for judgment on the pleadings. Rule 12(c). (This motion is analogous to a motion to dismiss for failure to state a claim.) The motion challenges the legal sufficiency of the adversary's pleadings. If matters outside the pleadings are presented, the motion is treated as a motion for summary judgment (*infra*).

E. SUMMARY JUDGMENT

The Rule 56 motion for summary judgment allows the court to "look behind" the pleadings to determine whether any genuine issue of fact exists for trial. If not, the movant is entitled to a final judgment as a matter of law without trial.

1. Timing

A plaintiff may move for summary judgment 20 days after the commencement of the action or after service of the defendant's motion for summary judgment. Rule 56(a). The defendant may move for summary judgment at any time. Rule 56(b). However, parties will often wait until the completion of discovery has allowed them to collect the most information to support the motion.

2. Materials Considered

To support or oppose the motion, the parties submit affidavits, which must set forth facts admissible in evidence, must be made on personal knowledge, and must show affirmatively that the affiant is competent to testify on these matters. The parties may also submit depositions and answers to interrogatories and other papers. Supporting documents must be sworn to or certified. Rule 56(e). The court may also allow oral testimony. Rule 43(e).

3. Standard

Summary judgment will be granted only if there is no genuine issue as to any material fact and the moving party is entitled to judgment as a matter of law. Rule 56(c). Thus, if the only issue at trial would be the legal effect of the facts, summary judgment can be granted. However, if there are disputed material facts, they must be resolved by a trial. On a summary judgment motion, the court cannot consider whose witness is more believable; it can only decide whether there are issues to be tried.

4. Burden Of Proof

The burden is on the moving party to show that there is no genuine issue of fact. *Adickes v. S.H. Kress & Co.*, 398 U.S. 144 (1970). The opposing party, to defeat summary judgment, must introduce affidavits or other proof to show there is a genuine issue for trial; he cannot rely merely upon his pleadings. If he is unable for some stated reason to present affidavits sufficient to justify his opposition, the court may grant him a continuance or may deny the summary judgment motion. Rule 56(f).

However, the moving party is not required to support its motion with affidavits negating the opponent's claim. *Celotex Corp. v. Catrett*, 91 L. Ed.2d 265 (1986). Under Rule 56(c), a summary judgment may properly be made in reliance solely on the "pleadings, depositions, answers to interrogatories, and admissions on file." Summary judgment will be denied if the movant failed to establish the absence of a genuine issue. All doubts will be resolved **against** the moving party.

If the moving party meets her burden, the burden then shifts to the opposing party to establish that a genuine issue exists. If he fails to do so, summary judgment will be granted.

5. Partial Summary Judgment

If there is controversy as to some material facts but not as to others, the court may enter an order that the uncontroverted facts will be deemed established at the trial. Rule 56(d). Furthermore, if a separate claim has been fully determined, judgment may be entered on that claim "if there is no just reason for delay," leaving the other claims to be tried. Rule 54(b).

6. Appeal

Denial of a motion for summary judgment is an interlocutory order and is not immediately reviewable. The grant of a summary judgment is a disposition on the merits and can be appealed.

F. PRE-TRIAL CONFERENCE AND SCHEDULING

1. Scheduling Order

Except in cases exempted by local rule, the judge **must** enter a scheduling order no later than 120 days after filing of the complaint, and within 90 days after the appearance of a defendant. The order limits the time to join other parties and to amend the pleadings, to

file and hear motions, and to complete discovery, and may also deal with any other appropriate matters. Rule 16(b).

2. Pre-Trial Conference

The court in its discretion may order counsel to participate in a pre-trial conference. (In some districts, pre-trial conferences are mandatory.) The conference is usually held shortly before trial, when parties have made discovery and planned their cases. However, in a complex case, several conferences may be held at various stages. Judges often use the conference to encourage the settlement of the case, once the issues are clearly defined. At the conference, the parties may:

- a. **Clarify** the issues;
- b. **Amend** the pleadings;
- c. **Eliminate** matters to be proved by agreeing to admissions or stipulations;
- d. **Identify** the witnesses;
- e. **Determine** whether issues should be referred to a master for findings; and
- f. **Consider** the possibility of settlement or use of extrajudicial procedures to resolve the dispute.

The judge prepares a pre-trial order reciting the action taken at the conference, including the amendments to the pleadings, matters agreed upon, and the issues to be tried. The order then **controls** the subsequent course of the action, unless it is later modified by the judge to prevent manifest injustice.

3. Sanctions

If a party or his attorney fails to appear at a pre-trial conference, is substantially unprepared to participate, fails to participate in good faith, or fails to obey a pre-trial order, the judge may exclude designated claims or evidence, strike pleadings, treat the act as a contempt, or assess the expenses, including attorney's fees, caused by the noncompliance. Rule 16.

G. SETTLEMENT

Most cases are settled out of court. Such settlements are often embodied in consent judgments, which are entered on the record and are enforceable like any other judgment.

To encourage settlement, Rule 68 allows a defendant, at any time more than 10 days before trial, to make an offer to the plaintiff to allow judgment against himself for a specified sum or property. If the plaintiff accepts within 10 days, the court is notified and judgment is entered. If the plaintiff rejects the offer and fails to receive a more favorable judgment at trial, the plaintiff must pay the costs of the trial from the time of the offer.

V. TRIAL

A. RIGHT TO JURY TRIAL

1. Source Of Right To Jury Trial

The Seventh Amendment to the United States Constitution provides:

In suits at common law, where the value in controversy shall exceed twenty dollars, the right of trial by jury shall be preserved, and no fact tried by a jury shall be otherwise re-examined in any Court of the United States, than according to the rules of the common law.

Rule 38(a) states: “The right of trial by jury as declared by the Seventh Amendment to the Constitution or as given by a statute of the United States shall be preserved to the parties inviolate.”

2. Availability Of Jury Trial

a. In “suits at common law”

The Seventh Amendment guarantee creates a historical test for the right to a jury trial: an action that was “at law” in 1791, when the Seventh Amendment took effect, will be tried to a jury, upon demand; an action that was equitable is not entitled to jury trial.

Example: There would be a right to jury trial in an action seeking damages only, but not in an action seeking specific performance only.

Although the Rules of Civil Procedure abolished the procedural distinction between actions at law or in equity, the distinction remains important as to the right to jury trial.

b. New causes of action

When new causes of action, which were unknown at common law, are created, the right to jury trial applies if the new actions are analogous to actions triable to a jury in 1791. The court will look to the remedy sought in order to characterize the action.

Example: A claim of housing discrimination under the fair housing provisions of the Civil Rights Act of 1968 gives rise to a right to jury trial, because the statute authorizes damages, as well as injunctive relief, and the claim is in the nature of a tort action. *Curtis v. Loether*, 415 U.S. 189 (1974). However, bankruptcy actions have been held to be “inherently proceedings in equity,” and hence not entitled to jury trial. *Katchen v. Landy*, 382 U.S. 323 (1966).

c. Statutory and administrative proceedings

Statutes may explicitly grant a right to jury trial or may explicitly deny it. Any action against the United States (except for a suit to recover excess taxes paid) shall be tried without a jury. 28 U.S.C. §2402. An action for a declaratory judgment will be triable

to a jury if raised in a lawsuit. *Beacon Theatres v. Westover*, 359 U.S. 500 (1959). The right to jury trial does not extend to administrative proceedings. *Atlas Roofing Co. v. Occupational Safety and Health Review Commission*, 430 U.S. 442 (1977).

d. At judge's discretion

If there is no right to jury trial, the court has discretion to summon an advisory jury. However, its verdict is merely advisory and the judge still must make the findings of fact. In an action not triable of right by a jury, the court, with the consent of both parties, may order a trial with a jury whose verdict has the same effect as if trial by jury had been a matter of right. Rule 39(c).

3. Jury Trial When Both Legal And Equitable Claims Are Involved

Where, through joinder of claims and interposition of counterclaims, the parties are asserting various claims for relief or are seeking various remedies based on the same claim, legal and equitable claims may be intertwined, with issues of fact common to both. In such a case, the order of trying the claims is important, because if the judge rules first on the common fact issue in the equitable claim, his ruling will estop a re-determination of the fact issue in the legal claim, and thus will effectively destroy the right to jury trial on this issue in the legal claim. Therefore, in all such cases, **the legal claim should be tried first** in order to preserve the right to jury trial. However, if a party would be **irreparably harmed** by delaying a trial of the equitable claims until after trial of the legal claims, the court can hear the equitable claims first. *Beacon Theatres v. Westover*, 359 U.S. 500 (1959).

a. Where plaintiff joins legal and equitable claims

Where the plaintiff has joined a legal claim with an equitable claim (e.g., a claim for damages with a claim for an injunction), he has not thereby waived his right to jury trial on the legal claim. Thus, any issues common to both claims must first be resolved in a jury trial of the legal claim. *Dairy Queen, Inc. v. Wood*, 369 U.S. 469 (1962).

b. Where defendant raises a legal counterclaim to an equitable claim

If the plaintiff brings an equitable action and the defendant asserts a legal counterclaim involving a common issue, the jury must try the issue in the counterclaim first. A typical example is a suit by an insurance company to rescind a policy for fraud in applying for it - an equitable action. If the insured counterclaims to collect the policy benefits, the insured is entitled to a jury trial first as to her right to the benefits, which will necessarily determine the validity of the contract.

c. Where legal claim is raised in an equitable proceeding

Proceedings such as class actions, shareholders' derivative actions, and interpleader actions are equitable in origin and historically could be tried only in equity regardless of the type of relief sought. However, in *Ross v. Bernhard*, 396 U.S. 531 (1970), the Supreme Court declared that if a legal claim is raised in an historically equitable proceeding, the legal claim must be tried to a jury. The court must look to the

underlying cause of action to determine the jury trial right. Thus, in a shareholders' derivative action, there will be a right to jury trial on all the issues that would have been triable to the jury if the corporation had brought the action.

4. Effect Of State Law On Right To Jury Trial

The right to jury trial in the federal court is determined by federal law. Thus, if in a diversity case, state law would deny a jury trial, but the Seventh Amendment would require a jury trial, the federal court **must** hold a jury trial. *Simler v. Conner*, 372 U.S. 221 (1963). Likewise, if state law would deny a jury trial, but federal courts customarily grant jury trial although not constitutionally required to do so, the federal practice will prevail in a diversity case. *Byrd v. Blue Ridge Rural Electric Cooperative*, 356 U.S. 525 (1958). In addition, federal law is always used in determining the sufficiency of the evidence to sustain a directed verdict. Finally, if state law would grant a jury trial as to an issue that in federal court would be decided by the judge, the federal practice will be followed in a diversity suit. *Herron v. Southern Pacific Co.*, 283 U.S. 91 (1931).

When a state court adjudicates a federally created cause of action, it must grant a jury trial if there is a strong federal policy favoring jury trial in that type of action (e.g., federal policy of granting jury trial in FELA actions).

5. Motion For A New Trial (Excessiveness Of The Verdict)

Under the Seventh Amendment, federal appellate review of a trial court's decision to deny a motion to set aside a verdict as excessive is limited to an abuse of discretion standard. However, a punitive damage determination made by a jury is reviewed de novo. *Cooper Industries, Inc. v. Leatherman Tool Group, Inc.*, 532 U.S. 424 (2001).

6. Demand For Jury Trial

The right to jury trial is not self-executing; a timely demand must be made.

a. Timing

A written demand for jury trial must be served upon all other parties not later than 10 days after the service of the last pleading directed to the issue on which jury trial is sought. Rule 38(b). The demand can be made in the pleadings or in a separate motion.

If a party has demanded jury trial for only some of the issues, any other party may serve a demand for jury trial as to any other or all fact issues, within 10 days after service of the original demand. Rule 38(c).

b. Effect

Once a demand for jury trial has been served, other parties can rely upon it and need not individually make demand. However, the plaintiff in an original action may not rely on a demand in a third-party action; he must make a separate demand for jury trial in the main action. If a general demand is made, all issues will be tried to the jury; if the demand specifies only certain issues, the jury will try only those issues, unless another party demands, or the judge orders, jury trial upon other or all issues. Rule 38(c).

A demand cannot be withdrawn without the consent of all parties. Rule 38(d).

If a jury trial was demanded in an action brought in state court, the demand survives its removal to federal court.

c. Waiver

The right to jury trial is waived by failure to serve a timely demand. Rule 38(d). However, despite the waiver, a court in its discretion may order jury trial upon motion. Rule 39(b). Parties may also agree to waive jury trial, and such an agreement will usually be honored by the court.

B. CONSOLIDATION OR SEPARATE TRIALS

When actions involving a common question of law or fact are pending before the court, it may order consolidation of the actions. Rule 42(a). Consolidation may be proposed either by motion or on the court's initiative; however, the decision is within the judge's discretion, and the parties' consent is not required. If delay or prejudice would result, or if the common question is not a key issue, consolidation usually should not be ordered.

Separate trials may be ordered to further convenience, to avoid prejudice or to promote expedition and economy. The court can order a separate trial of a counterclaim, cross-claim or third-party claim, or of separate issues. Ordering separate trials cannot defeat a party's right to jury trial on any of the issues, and if issues are common to legal and equitable claims separated for trial, the legal issues must be first tried to a jury. Rule 42(b).

C. TRIAL TO THE COURT

A case will be tried to the judge if no right to jury trial exists or if the right was waived.

1. Judgment On Partial Findings

In a nonjury trial, a party may move for a judgment on partial findings at any time that it is apparent that the opposing party cannot sustain its burden of proof on a material element. Rule 52(c). (This is the equivalent of a motion for a judgment as a matter of law in a jury trial, *infra*.) In this capacity, the judge is acting as the trier of fact, therefore, he may consider the credibility of witnesses and decide issues of disputed fact. The court may weigh the evidence and enter judgment against the other party then or may allow the trial to proceed. However, all final judgments must be supported by findings of fact and conclusions of law.

2. Findings Of Fact

When the judge allows a motion for a judgment on partial findings, she must find the facts specially and state separately her conclusions of law; they may be stated orally and recorded in open court or may be included in an opinion or memorandum of decision. (Separate findings are also required in a hearing on interlocutory injunctions.) Rule 52(a). Upon motion of a party not later than 10 days after entry of judgment, the court may amend its findings or make additional findings and may amend its judgment accordingly. Rule 52(b).

3. Appellate Review

On appellate review, the judge's findings of fact will be set aside only if "clearly erroneous, and due regard shall be given to the opportunity of the trial court to judge of the credibility of the witnesses." Rule 52(a). However, the "clearly erroneous" standard applies whether the judge's finding was based on testimony or documentary evidence. A finding is "clearly erroneous" when "although there is evidence to support it, the reviewing court on the entire evidence is left with the definite and firm conviction that a mistake has been committed." *United States v. United States Gypsum Co.*, 333 U.S. 364 (1948). The trial judge's findings are also entitled to deference because she, unlike the appellate judges, has had an opportunity to assess the witnesses' credibility by observing their demeanor at trial. The appellate court considers the questions of law de novo.

D. TRIAL TO A JURY

1. Number Of Jurors

Although at common law, 12 jurors were required, the Seventh Amendment guarantees only the right to jury trial "as at common law," not the "incidents" of common-law jury trial. *Colgrove v. Battin*, 413 U.S. 149 (1973). Thus, the court may seat a jury of six to 12 persons. Rule 48.

2. Selection Of Jurors

a. Jury pool

Jurors are selected from an array, representing a cross-section of the community without systematic exclusion of any racial, economic, political, or religious group. A juror must be a United States citizen, at least 18 years of age, literate and fluent in English, and without a criminal record.

b. Voir dire

Prospective jurors are questioned at the voir dire to determine if they have any personal interest or opinion in the case or any prejudice that would prevent their exercising impartial judgment. The court may question the prospective jurors or may allow counsel to conduct the questioning. Rule 47(a).

c. Challenges

A party may challenge a prospective juror for cause if he has some relationship to a litigant or if he is otherwise biased; each party has an unlimited number of challenges for cause. In addition, each party has three peremptory challenges, which may be exercised to dismiss qualified jurors because a party fears that their occupational or social attitudes may be unfavorable to the party. 28 U.S.C. §1870.

3. Excuse Of Jurors

The court may excuse a juror from service during the trial or deliberations for good cause (e.g., illness or misconduct by the juror that might otherwise result in a mistrial) without resulting in a mistrial. Rule 47(c). However, no verdict can be taken from a jury that

numbers less than six persons, unless the parties stipulate to the contrary. Rule 48. Therefore, it is good practice for the court to seat more than six jurors.

4. Unanimity Of Jury

Ordinarily, a jury verdict must be unanimous. However, the parties may stipulate that a verdict of a certain majority of the jurors will be binding. Rule 48.

5. Conduct Of Trial

a. In general

Typically, a jury trial begins with the plaintiff's opening statement and then the defendant's opening statement, in which each side presents its version of the facts. Then each side introduces its testimony and documentary evidence, with a chance to cross-examine the other party's witnesses and to present rebuttal evidence. Admissibility of evidence is determined by the Federal Rules of Evidence.

After presentation of the evidence, closing arguments are made to the jury first by the plaintiff, then the defendant. The plaintiff then has the opportunity to present a final rebuttal argument. The judge then gives his instructions to the jury and they retire to deliberate and reach a verdict.

b. Evidentiary burdens

1) Burden of production

The party who has the **burden of production** must introduce evidence sufficient to support a verdict in his favor. If the plaintiff does not meet the burden of production on an issue essential to his case, the court will direct a verdict against him.

2) Burden of persuasion

The party who has the **burden of persuasion** must convince the finder of fact that, in the light of all the evidence, it is more probable than not that the facts are as that party contends. In a civil trial, the standard of proof required is usually a "preponderance of the evidence." In civil cases relying on a theory disfavored on policy grounds (e.g., libel action by a public figure) the stricter standard of "clear and convincing evidence" applies. Usually, the burden of both production and persuasion is on the plaintiff, but the defendant has the burden as to his affirmative defenses, and the burden may sometimes be placed on the party having the best access to the evidence.

E. JUDGMENT AS A MATTER OF LAW (RULE 50)

A trial judge enters judgment as a matter of law when a party convinces the judge that there is no evidence upon which the other party can prevail on a given issue or claim. In essence, the court removes either the whole case or a particular issue from consideration by the jury and determines the outcome or the issue as a matter of law. (In prior practice, this was called a directed verdict when granted during the trial.)

1. Timing

A party may move for judgment as a matter of law anytime after the opposing party has been fully heard with respect to the issue or claim, but before the case has been submitted to the jury. Rule 50(a). Thus, the motion may be made anytime during the trial, but should not be allowed by the court until the opposing party has been apprised of the materiality of the issue and it becomes apparent to the court that the opponent cannot produce any substantial evidence upon which the jury could find for the opponent as to that issue.

A motion for judgment as a matter of law **must** be made at the close of all the evidence for the party to preserve its right to renew the motion after the jury returns a verdict (discussed, *infra*).

2. Standard

The motion must state the law and facts that entitle the party to judgment as a matter of law. Rule 50(a)(2). The court must consider the evidence in the light most favorable to the party against whom the motion is made; all legitimate inferences are drawn in the opponent's favor. The court takes into account not only the evidence favorable to the party opposing the motion but also any unfavorable evidence that the jury is required to believe, i.e., uncontradicted and unimpeached evidence supporting the moving party. *Simblest v. Maynard*, 427 F.2d 1 (2d Cir. 1970). The motion must be denied if reasonable men might differ as to the result.

3. Renewal Of The Motion After The Verdict

A judgment as a matter of law may either be granted during the trial or, if renewed, after the jury returns its verdict. If the case is decided by the jury, the judge can then overturn an unsupportable jury verdict by granting a judgment as a matter of law after the verdict. If the judge is then reversed on appeal, the appellate court can simply reinstate the jury verdict and a second trial is unnecessary.

A motion for a judgment as a matter of law **must be made at the close of all the evidence** for the motion to be renewed and granted after the verdict. Rule 50(b). If no motion for judgment as a matter of law was made at the close of the evidence, the motion cannot later be renewed, and neither the trial nor the appellate court can then order a judgment as a matter of law. Judgment as a matter of law granted after a jury verdict was called a judgment notwithstanding the verdict (J.N.O.V.) in prior practice and may continue to be so called by some practitioners. Judgment as a matter of law after a jury verdict will be discussed further, *infra*, at "Attacks on a Verdict or Judgment."

4. Comparison to Summary Judgment

A judgment as a matter of law or a judgment on partial findings differs from a summary judgment under Rule 56 in that a judgment as a matter of law or on partial findings:

- a. Is made only after the court has heard the opposing party's evidence at trial; and
- b. Can be overturned only if "clearly erroneous."

A summary judgment is granted before trial, can be granted on the basis of presumptions and the failure to produce contrary evidence, and is more easily overturned on appeal.

F. JURY INSTRUCTIONS

1. In General

After the closing arguments, the judge will orally instruct the jury. He explains to them the substantive law they must apply to the facts and explains which party has the burden of proof on each issue. Federal judges retain the common-law power to comment on the evidence: the judge may impartially summarize and discuss the facts and evidence, but must caution the jury that it is not bound by his discussion of the evidence.

In a diversity case, the substance of the instructions is based on the state substantive law creating the rights and duties. However, the form of instructions and objections is a procedural matter governed by federal law.

2. Proposed Instructions

The parties may file written requests for proposed instructions at the close of the evidence or at such earlier time as the judge reasonably directs. The judge informs counsel of its proposed action on their requests before the final arguments, and then instructs the jury after the final arguments. Unless counsel objects to the giving or failing to give any instruction **before the jury retires to consider its verdict, he has waived the objection.** Counsel must state distinctly the matter to which he objects and the grounds of his objection. Rule 51.

3. Erroneous Instructions

An error in a jury instruction will be deemed harmless and will not result in a reversal on review if it was not misleading when the instructions are considered as a whole. Rule 61. However, if an instruction was plainly erroneous and prejudicial, an appellate court may reverse even if timely objection was not made.

G. VERDICTS

1. General Verdict

The general verdict is the most commonly used. The jury merely finds for one party or the other and determines the relief to be awarded. This method is simple, but may conceal the jurors' misunderstanding of complex facts or law, or their decision of a case on its emotional appeal rather than on its merits.

2. General Verdict With Interrogatories

To ensure that jurors correctly considered key elements in a complex case, the judge, in his discretion, may instruct the jury to return a general verdict and may also submit to the jury written interrogatories upon specific facts the decision of which is necessary to a verdict. Rule 49(b).

If the general verdict and the answers to the interrogatories are harmonious, the court enters judgment. If the **answers are consistent with each other but one or more is inconsistent with the general verdict**, the court may:

- a. Enter judgment in accordance with the answers, notwithstanding the general verdict;
- b. Order further jury deliberation; or
- c. Order a new trial.

Rule 49(b). The court cannot enter judgment on the general verdict since that would conflict with the facts found. If he enters judgment based on the answers, he must make every reasonable attempt to reconcile the answers with the general verdict to avoid undercutting the right to a jury determination.

If the answers are inconsistent with each other and one or more is likewise inconsistent with the general verdict, the court must either order further jury deliberation or a new trial. Rule 49(b).

3. Special Verdict

a. In general

In a special verdict, the judge submits to the jury written questions susceptible of brief answers on specific factual issues. The jury writes answers to the questions, but renders no general verdict; the court renders the verdict on the basis of the answers. This is a useful device in complex or highly emotional cases, but is still not entirely satisfactory because thorough, unambiguous questions are difficult to draft and because the jury still may render inconsistent answers.

b. Waiver

If the judge fails to submit a question on a factual issue raised by the pleadings or the evidence, a party waives his right to trial by jury on that issue unless he objects before the jury retires. If waiver occurs, the judge may make a finding or, if he fails to do so, he is deemed to have made a finding in accord with the judgment on the special verdict. Rule 49(a).

H. JUDGMENTS

A judgment is the decree or order of the court that finally adjudicates the rights of the parties. Usually, appeal is allowed only from a final judgment.

1. Judgments Involving Multiple Claims Or Parties

When more than one claim is presented in an action, or when multiple parties are involved, the court may enter final judgment as to fewer than all of the parties or the claims if it expressly determines that there is no just reason for delay and it expressly directs entry of judgment. Rule 54(b).

Example: P sues D-1 and D-2 and D-1 successfully moves for summary judgment. Unless the express determination is made, D-1's summary judgment is interlocutory and thus not ripe for appellate review until the issues concerning D-2 are resolved at trial.

2. Entry Of Judgment

a. Date

The date of entry of judgment is significant for several reasons; most importantly, it marks the starting point of the time in which to make post-trial motions or to appeal.

b. Entry by clerk

Where there has been a general verdict by a jury, a decision by the court to grant recovery of a sum certain, or a denial of all relief, the clerk forthwith prepares, signs, and enters the judgment on the court docket. Rule 58.

c. Court approval

However, where the court grants some other relief, or where there is a special verdict or a general verdict accompanied by answers to interrogatories, the court must approve the form of the judgment, and the clerk will then enter it. The court must act "promptly" and must set forth the judgment on a separate document. Rule 58.

d. Relief granted

Except as to default judgments, every final judgment shall grant the relief to which the party is entitled, even if the party has not demanded such relief in his pleadings. Rule 54(c). Thus, the court may award damages in excess of those sought, or may order a different type of relief, for example, damages instead of an injunction.

I. ATTACKS ON A VERDICT OR JUDGMENT

A verdict may be attacked for insufficiency of the evidence (motion for judgment as a matter of law), or for irregularities and errors in conduct of the trial (motion for new trial). Relief from a judgment may also be sought under Rule 60(b) for mistakes, inadvertence, fraud, newly discovered evidence, and other specified reasons.

1. Renewed Motion For Judgment As A Matter of Law

A motion for judgment as a matter of law may be granted during a trial (as discussed *supra*), but is more likely to be granted after the jury returns an unsupportable verdict.

a. Previous motion required

A motion for judgment as a matter of law must be made at the close of all the evidence to be renewed after the verdict. Rule 50(b). If the original motion for judgment as a matter of law is not granted, the case is deemed to have been submitted to the jury subject to a later determination of those legal questions. Thus, if the jury returns a verdict contrary to the law, the court can later enter a judgment as a matter of law without violating the Seventh Amendment guarantee of jury trial.

A renewal of the motion after the verdict is also required; neither the trial court nor the appellate court may enter a judgment as a matter of law on its own initiative.

b. Timing

Not later than 10 days after entry of judgment, a party who moved for a judgment as a matter of law at the close of the evidence may move to have the verdict and judgment set aside and to have the court enter a judgment as a matter of law. Rule 50(b).

c. Standard

The motion for judgment as a matter of law raises the question of the legal sufficiency of the evidence, as discussed *supra*. The court must determine whether, when the evidence is considered in the light most favorable to the party against whom the motion is made, reasonable men could have differed as to the verdict. The court must consider all the evidence favorable to the party opposing the motion as well as any unfavorable evidence that the jury is required to believe, i.e., uncontradicted and unimpeached evidence supporting the moving party. *Simblest v. Maynard*, 427 F.2d 1 (2d Cir. 1970). If there was any substantial evidence supporting the verdict, the motion must be denied.

d. Joinder With Motion For A New Trial

The renewed motion for judgment as a matter of law may be joined with a motion, in the alternative, for a new trial. If the motion for judgment as a matter of law is granted, the trial court must still make a conditional ruling on the motion for a new trial, specifying the grounds for granting or denying the motion, so that remand is not required if the judgment is reversed on appeal.

2. Motion For A New Trial

A judge has broad discretion to order a new trial as to all or part of the issues “for any of the reasons for which new trials have heretofore (i.e., before the 1938 adoption of the Rules) been granted in actions at law” (or in a nonjury action, for the reasons an equity court would have granted a rehearing). Rule 59(a).

a. Timing

A motion for a new trial must be filed not later than **10 days** after entry of the judgment. Rule 59(b). If the motion is based upon affidavits, the affidavits must be filed with the motion. Within 10 days after service of the motion, the opposing party must serve any opposing affidavits, unless this response period is extended for not more than 20 days either by the court for good cause shown or by written stipulation of the parties. The court may further allow reply affidavits. Rule 59(c).

b. Order for new trial on initiative of court

Not later than 10 days after entry of judgment, the court on its own initiative may order a new trial for any reason for which it might have granted a new trial upon motion. Furthermore, the court may grant a timely motion for a new trial for a reason not stated in the motion, after giving the parties notice and opportunity to be heard on the matter. In either case, the court must specify in its order the grounds for granting the new trial. Rule 60(d).

c. Grounds for new trial**1) In general**

In an action tried to a jury, a new trial can be granted as to all or any of the parties on all or some of the issues of fact or law. Rule 59 does not enumerate the grounds for grant of a new trial, but sets as the standard “any of the grounds for which new trials have heretofore been granted in actions at law.”

2) Harmless error

No error is ground for granting a new trial unless refusal to do so “appears to the court inconsistent with substantial justice.” Thus, any error or defect in the proceeding that does not affect substantial rights of the parties is deemed harmless. Rule 61.

3) Verdict is against the weight of the evidence

The judge may grant a new trial if the verdict is against the weight of the evidence. The fact that he would have decided the case differently himself is insufficient: he must be convinced that the jury was seriously in error. He must order a new trial if “the verdict is against the clear weight of the evidence, or is based upon evidence which is false, or will result in a miscarriage of justice, even though there may be substantial evidence which would prevent the direction of a verdict.” *Aetna Casualty & Surety Co. v. Yeatts*, 122 F.2d 350 (4th Cir. 1941).

4) Prejudicial misconduct**(a) In general**

Improper conduct by jurors (e.g., taking a private view of the accident scene, falsely answering a question at voir dire, talking to or accepting a bribe from a party or counsel for a party) is sufficient to require a new trial. Likewise, misconduct by counsel (e.g., improper argument to the jury or inflammatory questions or statements at trial) may necessitate another trial. If the judge acts improperly or prejudicially (e.g., delaying the trial for his own convenience, coercing counsel, witnesses or jurors or making prejudicial comments), he should order a new trial.

(b) Juror bias

To obtain a new trial on the basis of juror bias, a party must first demonstrate that a juror failed to answer honestly a material question on voir dire, and then further show that a correct response would have provided a valid basis for a challenge for cause. Only those reasons for a juror’s concealing information that affect his impartiality are sufficient to constitute error affecting the fairness of the trial. *McDonough Power Equipment, Inc. v. Greenwood*, 464 U.S. 548 (1984).

5) Excusable lack of preparation

If a party is unfairly surprised at trial by the introduction of evidence that had a material effect on the outcome, a new trial may be granted. However, this is usually available only if the party was diligent in preparation, but was deceived by the opposing party.

6) Newly discovered evidence

If evidence is discovered after the trial that is of such a nature as to be likely to affect the result, the motion for a new trial should be granted to avoid injustice. However, the evidence must pertain to facts existing at the time of trial, and the proponent must show that, despite due diligence, he could not have obtained the evidence before trial.

7) Errors at law

If the trial judge is convinced that he made a prejudicial legal error at trial (e.g., in an evidentiary ruling or jury instructions), he can order a new trial.

8) Excessive or inadequate damages

If the judge finds that the jury's award was excessive or inadequate, he may simply grant a new trial. Alternatively, he may order a new trial subject to a condition: if the plaintiff agrees to reduction in damages to a specified sum, the new trial will not be held (*remittitur*). Some state courts allow additur - conditional grant of a new trial unless the defendant agrees to a specified increase in damages; however, in federal courts, additur is prohibited by the Seventh Amendment. *Dimick v. Schiedt*, 293 U.S. 274 (1935).

d. Partial new trial

If the error or misconduct taints only one claim or issue, a partial new trial may be ordered.

Example: If the court concludes that the jury was reasonable in finding the defendant liable, but that the damages are inadequate, it can order a new trial on damages. The issue must be distinct and separable. *Gasoline Products Co., Inc. v. Champlin Refining Co.*, 283 U.S. 494 (1931).

e. Nonjury trial

A new trial may be granted after a nonjury trial "for any of the reasons for which rehearings have heretofore been granted in suits in equity." Rule 59(a)(2). On a motion for a new trial, the court may simply reopen the judgment, take additional testimony, amend or make new findings of fact and conclusions of law, and direct the entry of a new judgment.

3. Motion To Amend Judgment

A motion to amend or alter any judgment (including a default judgment) must be served within 10 days after entry of judgment. Rule 59(e). Thereafter, the judgment may be attacked only by a motion for relief from judgment under Rule 60, or by appeal.

4. Motion For Relief From Judgment

a. For clerical mistakes

If, through oversight or omission, a clerical mistake is made in entering a judgment, the mistake may be corrected by the court at any time, either upon motion or on its own initiative. If a judgment will be appealed, such mistakes may be corrected before the appeal is docketed in the appellate court, but thereafter may be corrected only with leave of the appellate court. Rule 60(a).

b. Upon specified grounds

On motion the court may relieve a party from judgment on the following grounds:

- 1) Mistake, inadvertence, surprise, or excusable neglect; [negligence of a party or counsel is not sufficient]
- 2) Newly discovered evidence which by due diligence could not have been discovered in time to move for a new trial under Rule 59(b); [i.e., within 10 days after entry of judgment]
- 3) Fraud (intrinsic or extrinsic), misrepresentation, or other misconduct of an adverse party;
- 4) The judgment is void;
- 5) The judgment has been satisfied, released, or discharged, or a prior judgment on which it is based has been reversed or otherwise vacated, or it is no longer equitable that the judgment should have prospective application; or
- 6) Any other reason justifying relief from the operation of the judgment.

A motion for relief from judgment must be made “within a reasonable time” after the entry of judgment, and a motion on ground (1), (2), or (3) must be made within one year. Rule 60(b).

The judge will not grant a Rule 60(b) motion unless the error complained of affects a substantial right of a party. Rule 61.

5. Independent Suit To Set Aside Judgment

Traditionally, an independent suit could be brought in equity, in certain circumstances, to set aside a judgment; Rule 60 specifically preserves this relief. Generally, equitable relief is available only where a judgment is void (e.g., for a jurisdictional defect), or where it was obtained through fraud (e.g., default or dismissal was obtained by promising not to bring suit in defendant’s absence, or by promising plaintiff a settlement). However, an equity court may refuse to act if direct relief is still available in the trial court (e.g., through Rule 60(b) motion).

VI. APPELLATE REVIEW

A. REVIEW OF FINAL DECISIONS

1. In General

The federal courts of appeals have “jurisdiction of appeals from all final decisions of the district courts.” 28 U.S.C. §1291. A final decision “generally is one which ends the litigation on the merits and leaves nothing for the court to do but execute the judgment.” *Catlin v. United States*, 324 U.S. 229 (1945). This rule minimizes delay and expense because all alleged errors are appealed after the trial rather than in succession during the trial, and because appeal may be unnecessary if the aggrieved party wins a favorable judgment despite the errors.

During trial, most orders are not directly appealable. After trial, an order granting a new trial is not appealable. Although an order denying a new trial is not appealable, the judgment itself can be appealed. Although an order may not be appealable in itself, an appeal from the final judgment may raise the erroneous order and it may then be reviewed.

2. Final Decision Of Part Of Case

Under Rule 54(b), when there is no just reason for delay, the trial court can enter final judgment as to some of the claims or parties in a suit involving multiple claims or parties. Such a final decision of part of a case is immediately appealable and the statutory period for filing an appeal runs from the date of entry of the partial final judgment, **not** from the date when final judgment is entered as to the remainder of the suit. If there is a court order or decision but no express direction for entry of judgment as to part of a case, there is no immediate right to appeal, and the court may revise the order or decision until there is an entry of judgment.

3. Exceptions

a. Collateral orders

Orders as to certain collateral matters that are unrelated to the merits of the underlying claims may be immediately appealed even though no final decision has been made in the main case. Only if the issues raised present “a serious and unsettled question” and if some danger of irreparable harm is shown will interlocutory appeal be available.

Example: An order denying a motion to require a plaintiff to post security for defendant’s costs in a shareholder’s suit is immediately appealable. *Cohen v. Beneficial Loan Corp.*, 337 U.S. 541 (1949). However, an order denying the certification of a suit as a class action is not immediately appealable. *Coopers & Lybrand v. Livesay*, 437 U.S. 463 (1978).

b. Irreparable injury

Interlocutory appeal will also be granted of “an order, otherwise nonappealable, determining substantial rights of the parties which will be irreparably lost if delayed until final judgment.” *United States v. Wood*, 295 F.2d 772 (1961).

B. REVIEW OF INTERLOCUTORY ORDERS

1. Statutory Authorization Of Interlocutory Appeal

In equity, the final decision rule did not apply. Therefore, by statute certain “equitable” orders can be reviewed prior to a final decision.

- a. Interlocutory orders granting, continuing, modifying, refusing or dissolving injunctions;
- b. Interlocutory orders appointing receivers;
- c. Interlocutory decrees in certain admiralty cases;
- d. Judgments in civil actions which are final except for an accounting.

28 U.S.C. §1292(a). A district judge also has discretion to permit an interlocutory appeal where he certifies that the order “involves a controlling question of law as to which there is substantial ground for difference of opinion and that an immediate appeal from the order may materially advance the ultimate termination of the litigation.” An appeal thereupon must be taken within 10 days after the order. 28 U.S.C. §1292(b).

By statute, the Supreme Court may prescribe rules providing for appeals of interlocutory decisions from a District Court to the Court of Appeals that are not otherwise allowed by statute. 28 U.S.C. §1292(e).

2. Extraordinary Writs

Interlocutory review may also be available by means of the extraordinary writs of mandamus and prohibition. 28 U.S.C. §1651(a). Issuance of these writs is discretionary and they are used very sparingly; the writs will not issue if adequate review by appeal is available. Mandamus requires a judge to perform an action, while prohibition forbids his taking some action. Mandamus has been used to require jury trial where it had been denied improperly, *Beacon Theatres, Inc. v. Westover*, 359 U.S. 500 (1959); to review a discovery order alleged to constitute “usurpation of judicial power,” *Schlagenhauf v. Holder*, 379 U.S. 104 (1964); and to prevent an improper remand of an action removed from state court. *Thermtron Products, Inc. v. Hermansdorfer*, 423 U.S. 336 (1976).

C. PROCEDURE FOR APPEAL

1. Notice

a. Requirements

To take an appeal, a party files a notice of appeal with the clerk of the district court. The notice need only specify the party appealing, the judgment, order or part appealed from, and the court to which the appeal is taken. Fed. R. App. P. 3. An appeal will not be dismissed for informality of the notice; the court should be liberal in construing the sufficiency of the notice. *Foman v. Davis*, 371 U.S. 178 (1962).

b. Timing

The notice of appeal must be filed within 30 days after entry of judgment (or within 60 days if the United States is a party). However, the time for filing an appeal may be

extended an additional 30 days by the court for “excusable neglect or good cause.” Fed. R. App. P. 4(a).

The time for filing a notice of appeal will be suspended by the timely filing of any of the following post-trial motions:

- 1) A renewed motion for judgment as a matter of law (Rule 50(b));
- 2) A motion to amend the findings (Rule 52(b));
- 3) A motion for a new trial (Rule 59); or
- 4) A motion to alter or amend the judgment (Rule 59(e)).

The 30-day period for filing notice runs from the grant or denial of the motion. A notice of appeal filed before the disposition of the motion has no effect, and a new notice must be filed within the period after decision on the motion. Fed. R. App. P. 4(a).

If one party files a timely notice of appeal, any other party may file a notice of appeal within 14 days after the date on which the first notice was filed, or within the remainder of the 30-day period, whichever is longer. Fed. R. App. P. 4(a).

2. Other Requirements

Usually, the appellant must also file a bond to ensure the payment of his adversary’s costs if the judgment is upheld. Fed. R. App. P. 7. He must also file the record on appeal (i.e., the pleadings, motions, orders, verdict, and judgment), and any transcript of testimony he wishes to include. The appellant must serve and file his brief within 40 days after the record is filed, and the appellee must serve and file his brief within 30 days after the appellant serves his brief. The appellant may serve and file a reply brief within 14 days after service of the appellee’s brief. Oral argument is usually allowed.

D. SCOPE OF REVIEW

The appellate court reviews only matters that appear on the trial record. Evidence not introduced at trial cannot be presented on appeal. Generally, a party may not appeal from an error at trial unless he made a timely objection at trial (e.g., party cannot appeal erroneous jury instruction unless he objected before the jury retired. Rule 51).

1. Jury Trial

Review of factual determinations at trial is very limited, because the findings of the jury or judge are entitled to deference. An appellate court reviewing a jury verdict will uphold the verdict as long as it is supported by “substantial evidence.” If the judge granted a judgment as a matter of law, the appellate court will reverse him only where there was substantial evidence to support a verdict contrary to the judge’s.

2. Trial Without Jury

Where the case was tried without a jury, the judge’s findings of fact, whether based on oral or documentary evidence, will be set aside only if they were “clearly erroneous” and due regard must be given to the opportunity of the trial court to judge the credibility of

the witnesses. Rule 52(a). In areas where a judge has broad discretion, e.g., scope of discovery, the appellate court will overturn his decision only if he was clearly wrong. If the judge has made an error of law, either in instructing a jury or in stating his conclusions in a nonjury trial, the judgment will be reversed, unless the error was harmless.

VII. RES JUDICATA AND COLLATERAL ESTOPPEL

To assure the finality of judicial determinations, to conserve the time of the court and to prevent wasteful relitigation, the doctrines of res judicata and collateral estoppel have evolved. Res judicata, or claim preclusion, prevents a litigant from reasserting a **claim** that has already been decided on the merits. Collateral estoppel, or issue preclusion, prevents a party from relitigating an **issue** that has been determined in a prior suit.

A. RES JUDICATA (CLAIM PRECLUSION)

1. Merger And Bar

If a final, valid judgment has been rendered on the merits of a claim, the claim cannot be relitigated. If judgment is rendered for the plaintiff, his claim is merged into the judgment and he cannot sue on it again. Similarly, if judgment is rendered for the defendant, the judgment serves as a bar to the plaintiff suing on the claim again.

For merger or bar to apply, the prior judgment must have been based on the **same claim** or cause of action that is raised in the second suit, **and** the judgment must have been **valid, final and on the merits**. However, the claim (or defense) need **not** actually have been litigated in the first action: **res judicata applies to all claims and defenses that could have been raised as to the cause of action in the original suit.**

2. Scope Of A Claim

a. Transactional test

The first problem in determining whether res judicata applies is to define the scope of a “claim” or “cause of action.” Although no single, definitive test is used, perhaps the most influential is the transactional test: “the claim extinguished includes all rights of the plaintiff to remedies against the defendant with respect to all or any part of the transaction, or series of connected transactions, out of which the action arose.”

b. Factors for consideration

What constitutes a “transaction” or “series” is “to be determined pragmatically, giving weight to such considerations as whether the facts are related in time, space, origin, or motivation, whether they form a convenient trial unit, and whether their treatment as a unit conforms to the parties’ expectations or business understanding or usage.” *Restatement (Second) of Judgments* §24.

Example: If P first sues for negligence and later for breach of contract, but each time she is complaining of the same faulty workmanship, the judgment in the first action will bar the second action. Similarly, if D pleaded a counterclaim on which he lost in

the first action, he is barred from raising that same cause of action in a second, independent suit.

3. Final Judgment

a. Determination of the claim

Res judicata applies only if the prior judgment was a final determination of the claim. Hence, res judicata does not apply to interlocutory orders. Summary judgment is entitled to res judicata effect.

b. Appeal

A judgment is deemed final even though an appeal is taken; only when the judgment is reversed or modified does its res judicata effect cease.

c. Valid judgment

A judgment must be valid to have res judicata effect, i.e., the rendering court must have had subject matter and personal jurisdiction, and the defendant must have had notice and an opportunity to be heard. If the question of jurisdiction is actually litigated, the court's decision on the matter is res judicata. Whether a judgment is final for these purposes is generally the same as whether it is final for the purpose of taking an appeal.

4. Judgment Must Be On The Merits

The final judgment must also be on the merits.

a. Judgments on the merits

A default judgment is deemed to be on the merits. An involuntary dismissal (e.g., for failure to prosecute, or to comply with a court order) is generally with prejudice and is on the merits. A second voluntary dismissal is with prejudice and acts as a bar. A dismissal for failure to state a claim under Rule 12(b)(6) is a judgment on the merits unless the court specifies otherwise. However, usually the court grants leave to amend the complaint. A consent judgment is given res judicata effect. A settlement will also be treated like a judgment on the merits (although collateral attack may be allowed if fraud in obtaining the settlement is alleged).

b. Judgments not on the merits

Generally, a dismissal for lack of jurisdiction, improper venue, or failure to join an indispensable party is **not** considered to be on the merits. Rule 41(b). However, the Supreme Court recently held that Rule 41(b) does not ultimately govern whether a judgment is on the merits for res judicata purposes. *Semtek, Inc. v. Lockheed Martin Corp.*, 531 U.S. 497 (2001). Thus, jurisdictions may take different viewpoints of whether a particular dismissal is deemed to be "on the merits" for res judicata purposes.

5. Counterclaims

Failure to raise a compulsory counterclaim bars the defendant from raising it in a later action. However, permissive counterclaims, cross-claims, and third-party claims are not required to be raised in the original action and so are not barred.

6. Same Claimant Versus Same Defendant

Res judicata applies only if the earlier case and the latter case are brought by the same claimant against the same defendant. The fact that the same litigants were also parties in the previous case is insufficient; they must have been in the same configuration of one asserting a claim against the other.

7. Change In The Law

If a final judgment has been rendered, no appeal has been taken, and the time for appeal has elapsed, res judicata applies even if the law on which the judgment was based changes. Parties who do not appeal cannot benefit from a reversal simply because their position is “closely interwoven with that of appealing parties.”

Example: P-1 and P-2 bring an antitrust suit, which is dismissed on a technical ground. P-1 appeals, but P-2 instead files a different complaint, which merely raises the same claim and is therefore barred. While P-1’s appeal is pending, the Supreme Court reverses the law on the antitrust technical ground and P-1 reinstitutes his suit. P-2 is still barred from suing again by res judicata. *Federated Department Stores, Inc. v. Moitie*, 452 U.S. 394 (1981).

B. COLLATERAL ESTOPPEL (ISSUE PRECLUSION)

1. In General

a. Rule

If an issue was **actually litigated** and **necessarily determined** in an action, the parties to the first action (and nonparties who are in privity with parties) are estopped from relitigating that **issue** in a later action.

b. Differentiated from res judicata

Note an important distinction between res judicata and collateral estoppel: res judicata bars relitigation of an entire **cause of action** whether or not all its inherent issues were determined in the first suit. Collateral estoppel precludes relitigation only of **specific issues** that actually were litigated and necessarily determined; the cause of action that raises these issues will be different in the second suit. Therefore, collateral estoppel is much narrower than res judicata.

Example: If Prof sues Duncie for damage to Prof’s car in an automobile collision case, Prof must prove that Duncie was negligent in order to win. Later, if a passenger in Prof’s car sues Duncie for injuries received in the collision, Duncie cannot raise *res judicata* because the passenger’s **cause of action** is separate from that of Prof. However, if Duncie lost the case brought by Prof, that means that the issue of Duncie’s

negligence was litigated and decided against Duncie. *Thus, the issue of Duncie's negligence may be taken as proven in any subsequent case brought by the passenger.*

2. Same Issue

Collateral estoppel applies only if the issue raised in the second action is identical to that decided in the first action. However, if the issue arose in two different contexts, estoppel will not apply.

3. Actually Litigated

An issue must have been actually litigated for collateral estoppel to apply to it. In addition, the first case must have ended in a valid, final judgment on the merits.

Example: L successfully sues T for rent due under a lease, and later sues again for subsequent installments due. In the second suit, D claims that his signature on the lease was forged. Since the validity of the lease was not litigated in the first action, T is not collaterally estopped to raise that issue later.

Admissions pursuant to Rule 36 are expressly limited to use in the “pending action only.” Likewise, consent judgments usually cannot be used collaterally. Default judgments are not fully litigated and therefore usually have no collateral effect.

4. Necessary To The Determination

To be binding, the issue must have been necessary to the determination in the first suit.

Example: Pansy sues Daisy for Pansy's personal injury caused by Daisy's negligence. The court finds Pansy contributorily negligent and therefore judgment is awarded to Daisy, although Daisy is also found negligent. Daisy then sues Pansy. *Collateral estoppel does not apply because the finding as to Daisy's negligence was not necessary to the determination in the first action (i.e., because Pansy's claim was barred by her own negligence).*

If two or more issues could have been the basis for the general verdict rendered, none of the issues will have collateral estoppel effect because there is no certainty as to which was necessary to the jury's determination.

5. Offensive And Defensive Uses Of Collateral Estoppel

Offensive use of collateral estoppel occurs when a plaintiff seeks to foreclose a defendant from relitigating an issue the defendant has previously litigated unsuccessfully in another action against the same or a different party. **Defensive** use of collateral estoppel occurs when a defendant seeks to prevent a plaintiff from relitigating an issue the plaintiff has previously litigated unsuccessfully in another action against the same or a different party.

C. PERSONS BOUND BY RES JUDICATA AND COLLATERAL ESTOPPEL

1. Parties And Persons In Privity

The parties to a judgment are bound by res judicata and collateral estoppel. A person in privity with a party is also bound. A successor in interest to property is bound by a judgment binding his predecessor. A beneficiary of a trust or an heir to an estate is bound

by a judgment binding his representative. A member of the class is bound by the judgment in a class action suit.

2. Mutuality Of Estoppel

a. Traditional rule

Due process dictates that a nonparty cannot be bound by a judgment. Traditionally, courts held that a stranger who could not be bound by the judgment should not be allowed to benefit by it either. This rule eroded to a prohibition of using collateral estoppel offensively. However, the Supreme Court has held that, in some instances, offensive use of estoppel by a nonparty is permissible.

b. *Parklane Hosiery Case*

In *Parklane Hosiery Co. v. Shore*, 439 U.S. 322 (1979), shareholders brought suit against the corporate defendant seeking damages resulting from their reliance on an allegedly false proxy statement issued by the corporation in connection with a proposed merger. After commencement of the shareholders' suit but before its trial, the SEC brought suit against the corporation for the same false statements in the same proxy solicitation. The trial court entered a judgment against the corporation in the SEC suit. The Supreme Court allowed the shareholders to use the SEC's judgment offensively to preclude the corporation from relitigating the issue of the falsity of the solicitation.

However, the Court declared that such offensive use will not be allowed if it would be unjust in the circumstances. Factors that would be considered as to its justice include whether the person to be estopped had a reasonable incentive to litigate in the first suit, whether the consequences in the second suit are much more serious than those in the first suit, and whether the nonparty could have joined in the first suit, but "sat out" to gain a tactical advantage.

c. Modern rule

The doctrine of **nonmutual offensive** collateral estoppel (under which a nonparty to a prior lawsuit may make offensive use of collateral estoppel against a party to the prior suit) is limited to private litigants and does not apply against the United States government. *United States v. Mendoza*, 464 U.S. 154 (1984). However, the doctrine of **mutual defensive** collateral estoppel is applicable against the United States government to preclude relitigation of the same issue already litigated against the same party in another case involving virtually identical facts. *United States v. Stauffer Chemical Co.*, 464 U.S. 165 (1984).

D. CHOICE OF LAW FOR RES JUDICATA AND COLLATERAL ESTOPPEL

Choice of law issues may arise when the existing judgment on the merits from the first case is being raised to preclude litigation of certain matters in a pending case that has been brought in a different jurisdiction. There are two possible scenarios:

1. Existing Judgment Decided In State Court

When the first case has been decided in state court, the current court (both state and federal) will usually apply the preclusion law of the jurisdiction that decided the first

Example: A judgment is entered in Colorado state court. A second case is brought in Utah. In the pending Utah court case, the judge should generally apply Colorado law on claim or issue preclusion.

2. Existing Judgment Decided in Federal Court Under Diversity Jurisdiction

When the first case was decided in federal court under diversity jurisdiction, the Supreme Court has held that the court in the pending case should apply federal preclusion law. The rationale for this outcome is the fact that a federal court decided the first case. However, this distinction is usually not critical because the federal law in such an instance would be the law of the state in which the federal court sat, unless state law is deemed to be incompatible with federal interests.



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SALES**

MicroMash® BAR REVIEW
MULTISTATE ESSAY EXAM
SALES

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SALES

I. GENERAL PRINCIPLES

A. FREEDOM OF CONTRACT

Article 2 of the Uniform Commercial Code (“UCC” or “the Code”) is intended to “fill in the gaps” left by the agreement of the parties. Freedom of contract pervades this article, and most of its provisions take effect only if the parties fail to agree.

B. SCOPE OF ARTICLE 2

1. In General

Article 2 of the UCC governs any transaction in goods that contains provisions in conflict with the common law of contract. Article 2 states that it applies to “transactions in goods,” except secured transactions. UCC §2-102. Clearly, **Article 2 applies whenever there is a sale of goods, even if the sale is between nonmerchants.** Thus, if A, a lawyer, sells her watch to B, a physician, the transaction is covered by Article 2. As will be developed, some of the rules of Article 2 change depending upon whether the parties (or at least one of the parties) are merchants, but all sales of goods are covered.

2. Definition Of “Sale”

A sale is basically a transaction wherein the seller transfers ownership of goods to the buyer for a price.

a. Seller’s obligations

The primary obligations of the seller are:

- (1) to **transfer title** to the goods, and
- (2) to **deliver possession** of the goods.

b. Buyer’s obligations

The primary obligations of the buyer are:

- (1) to **accept ownership** of the goods, and
- (2) to **pay the price.**

3. Questionable Application

a. Lease of goods

In a few areas, there is some lack of certainty as to whether Article 2 is applicable. One of these is where there is a lease of goods. For example, there is a question of whether Article 2 applies to the lease of an automobile from a car leasing company, or to a lease of equipment. Article 2 should be applied when it appears that the “lease” was merely a means of financing

a sale, but not if the transaction is a “true lease.” *Dillman & Assoc. v. Capitol Leasing*, 110 Ill. App.3d 335, 442 N.E.2d 311 (1982).

b. Service contract

Another troublesome situation is where the transaction is primarily a service contract, for example, a treatment provided by a beauty shop or by a barber. In many of these cases there is a transfer of some good (e.g., hair shampoo), and the question is whether the Code applies to all or part of the transactions.

The Code specifically provides that the service of food by a restaurant is a contract for the sale of goods under Article 2, at least for the purpose of the implied warranty of merchantability. UCC §2-314.

c. Sale of goodwill

A third questionable type of transaction is that which involves a sale of goods along with the sale of the goodwill of a business.

d. General trend

In all of these cases, it appears that the trend is to apply the UCC either directly or by analogy, but there is no uniformity among the decisions. See, *Dazien's, Inc. v. Hodgman Rubber Co.*, 7 Mass. App. 901, 387 N.E.2d 1173 (1979); *Barco Auto Leasing Corp. v. PSI Cosmetics, Inc.*, 125 Misc.2d 68, 478 N.Y.S.2d 505 (1984).

C. CONFLICT OF LAWS

1. In General

Section 1-105 provides that the law of the forum is to be applied to a transaction involving more than one jurisdiction whenever the transaction bears **an appropriate relationship** to the law of the forum. The relationship need not be the **most** appropriate. Often, the transaction bears an appropriate relationship to more than one jurisdiction. In such cases, the law of the forum will govern.

2. Selection Of Governing Law By Parties

Parties are free under the Code to choose the law that will govern their rights and obligations by a provision in the contract. They must, however, choose the law of a jurisdiction that bears a **reasonable** relationship to the transaction. Thus, if the transaction is between Virginia and New Jersey, the parties could not agree that the law of New Mexico should govern.

II. CONTRACT FORMATION AND ENFORCEABILITY

A. FORMATION IN GENERAL

1. Agreement

Article 2 makes contracts somewhat easier to form. Under §2-204(1), a contract for the sale of goods may be made in any manner sufficient to show agreement, including conduct by both parties that recognizes the existence of a contract.

2. Open Terms

Section 2-204(3) specifically permits the parties to a contract for the sale of goods to postpone agreement on certain terms until some time after the contract is formed. Thus, the parties can leave “open” terms that have not been agreed upon, and the contract will not fail for indefiniteness.

Where one or more terms are left open, then, under §2-204, a contract is formed if:

- a. the parties **intended** to make a contract, and
- b. there is a **reasonably certain basis** for giving an appropriate remedy.

3. Omitted Terms

If the term is simply omitted from the contract, the Code will often fill the gap. For example, if no price term is stated in the contract, the Code states that the price is a “reasonable price.” UCC §2-305.

B. FIRM OFFER RULE

Section 2-205 provides that offers to buy or sell goods become irrevocable under the following circumstances:

- when there is an **assurance** that the offer to buy or sell goods will not be revoked;
- the assurance is in a **writing** signed by the offeror; and
- the offeror is a **merchant**.

The period of irrevocability cannot exceed 90 days under this section. **No consideration is necessary** to support the promise or assurance that the offer will be kept open.

C. ACCEPTANCE UNDER ARTICLE 2

1. Mode Of Acceptance

a. Any reasonable manner

Under §2-206 of the Uniform Commercial Code, **an offer to buy or sell goods may be accepted in any reasonable manner**; thus, the Code has rejected the bilateral-unilateral distinction. The section specifically states that an order for goods may be accepted either by shipping the goods, or by promising to ship them. Under the section, the shipment of defective, nonconforming goods is an acceptance, and a contract is formed unless the seller

notifies the buyer that they are not meant to fill the order. The buyer's remedies for delivery of nonconforming goods will be discussed *infra*.

b. Conduct of the parties

Subsection (3) of §2-207 provides for the formation of a contract by virtue of the conduct of the parties. If the conduct includes some written expression of the parties' agreement, then the terms of the contract include whatever terms the parties agreed to in writing. As to other terms, those implied by the Code in the absence of agreement apply. For example, if the writings of the parties agreed only to the description and quantity of the goods, the Code would supply the price term, the place of delivery, warranties, and so on.

2. Counteroffers

a. Rule

Section 2-207 of the UCC significantly changes the counteroffer rule in regard to contracts for the sale of goods. The common law held that an acceptance had to be a "mirror image" of the offer or it would act as a rejection. Section 2-207 provides:

- (1) A definite and seasonable expression of acceptance or a written confirmation that is sent within a reasonable time operates as an acceptance even though it states terms additional to or different from those offered or agreed upon, unless acceptance is expressly made conditional on assent to the additional or different terms.
- (2) The additional terms are to be construed as proposals for addition to the contract. Between merchants, such terms become part of the contract unless:
 - (a) the offer expressly limits acceptance to the terms of the offer;
 - (b) they materially alter it; or
 - (c) notification of objection to them has already been given within a reasonable time after notice of them is received.

b. Problems

This section raises two separate problems:

- (1) When is a contract formed even though the purported acceptance varies the terms of the offer?
- (2) When a contract is formed as a result of a varying acceptance, what are the terms of that contract?

3. Contract Formation Despite Varying Terms In The Acceptance

a. General rule

From a reading of §2-207(1), it appears that a contract is formed whenever there is a **"definite and seasonable expression of acceptance"** or a **"written confirmation,"** unless acceptance is expressly made conditional on assent to the additional or different terms. The extent to which the terms of the acceptance vary or add to the offer does not seem to be

relevant, except that the changes may bear upon whether the writing can be construed to be a “**definite**” acceptance or confirmation. It is only where the acceptance is **expressly** conditioned upon the offeror’s assent to the new or different terms that a contract is not formed. The Code thus attempts to resolve the “battle of the forms” by finding a contract despite variations between the forms used by sellers and buyers.

b. Substantial deviation from offer

However, where the “expression of acceptance” deviates substantially from the offer, courts have indicated a reluctance to find that a contract is formed. *See, e.g., Roto-Lith, Ltd. v. F.P. Bartlett & Co.*, 297 F.2d 497 (1st Cir. 1962); *Construction Aggregates Corp. v. Hewitt Robbins, Inc.*, 404 F.2d 505 (7th Cir. 1969). These cases indicate a tendency to treat the response of the offeree as something other than an “acceptance,” and to hold that the response is a counteroffer. Whether a contract ultimately results depends on whether the original offeror accepts the counteroffer. This approach is, of course, a throwback to pre-Code law.

4. When Additional Terms Become Part Of The Contract

Assuming that a contract has been formed even though the acceptance contains terms additional to or different from the offer, the question arises whether these additional or different terms become a part of the contract.

a. Different terms

Different terms (those that specifically change a term in the offer) **never** become a part of the contract, since it is assumed that they are objected to in advance by the mere inclusion of the original item in the offer.

b. Additional terms

If **both parties are merchants**, additional terms do become a part of the contract, **unless**:

- (1) they **materially alter** the offer, or
- (2) they are objected to by the offeror **in advance of the acceptance**, or
- (3) they are objected to by the offeror **within a reasonable time after the offeror obtains notice of them**.

D. CONSIDERATION

1. Seal

Under §2-203, a seal is inoperative when affixed to a contract for the sale of goods, so it cannot substitute for consideration where consideration is required.

2. Modification

a. Good faith test

Section 2-209 eliminates the requirement of consideration for modifications of sale of goods contracts. However, it imposes a test of **good faith**. Comment 2 to the section states:

[M]odifications ... must meet the test of good faith imposed by this Act. The effective use of bad faith to escape performance on the original contract terms is barred, and the extortion of a "modification" without legitimate commercial reason is ineffective as a violation of the duty of good faith. Nor can a mere technical consideration support a modification made in bad faith.

b. Standard

The test of "good faith" is defined as "honesty in fact" and between merchants or as against merchants includes the "observance of reasonable commercial standards of fair dealing in the trade." §2-103. In addition, in some situations "good faith" may require an objectively demonstrable reason for seeking a modification. But such matters as a market shift which makes performance come to involve a loss may provide such a reason even though there is no such unforeseen difficulty as would make out a legal excuse from performance under §§ 2-615 and 2-616.

3. Waivers

Section 1-107 of the Uniform Commercial Code provides that: "Any claim or right arising out of an alleged breach can be discharged in whole or in part without consideration by a written waiver or renunciation signed and delivered by the aggrieved party." This section, which abrogates the necessity of consideration, applies only to commercial contracts within the scope of the Code.

E. UNCONSCIONABILITY

1. In General

Section 2-302 states:

(1) If the court as a matter of law finds the contract or any clause of the contract to have been unconscionable at the time it was made, the court may refuse to enforce the contract, or it may enforce the remainder of the contract without the unconscionable clause, or it may so limit the application of any unconscionable clause as to avoid any unconscionable result.

(2) When it is claimed or appears to the court that the contract or any clause thereof may be unconscionable, the parties shall be afforded a reasonable opportunity to present evidence as to its commercial setting, purpose, and effect to aid the court in making the determination.

This section may be broken down into its important provisions as follows.

2. Question Of Law

The section requires that the court find “as a matter of law” that the provision is unconscionable. Courts of equity, at least, have given specific recognition to the concept of “unconscionable” contracts to prevent oppression and unfair surprise. In addition, many cases have given a strained interpretation to contract language in order to avoid harsh results. This section gives express approval to the equitable doctrine, and extends its application to cases at law involving contracts for the sale of goods.

3. Time Factor

The clause must be offensive “at the time it was made,” and facts subsequent to the moment of agreement have no bearing on the applicability of the section.

4. Commercial Setting

Parties are permitted to introduce evidence of the “commercial setting, purpose, and effect” of the clause as relevant to its unconscionability.

5. Examples

Comment 1 to §2-302 cites the following examples of unconscionability and limitations imposed by courts on the application of such clauses:

- a. The arbitrary right of a buyer to reject farm produce offered by seller, a farmer, under an entire output contract, coupled with the right to refuse seller permission to sell the rejected goods elsewhere, would be unconscionable.
- b. A clause limiting time for complaints would be held inapplicable to latent defects that could be discovered only by microscopic analysis.
- c. A general disclaimer of warranty clause would be held applicable only to express warranties, thus letting in an implied warranty.
- d. A clause permitting the seller, upon the buyer’s failure to supply shipping instructions, to postpone the delivery date indefinitely 30 days at a time, would be held not to postpone indefinitely the date of measuring damages for the buyer’s breach.
- e. Under a similar clause in a rising market, the court would permit the buyer to measure his damages for nondelivery at the end of only one 30-day postponement.
- f. A clause limiting the buyer’s remedy to return would be held to be applicable only if the seller had delivered a machine that reasonably met the contract description.
- g. An express warranty by description would override a clause reading “with all faults and defects” where adulterated meat below the contract description was delivered.

Whether inadequacy of consideration is sufficient to make a contract unconscionable is not clear. The official comments to the section indicate that it is not, but several cases have given the doctrine of unconscionability as a reason for holding a contract for sale invalid

where the buyer had agreed to pay an unreasonable sum. *American Home Improvement, Inc. v. MacIver*, 105 N.H. 435, 201 A.2d 886 (1964); *Jones v. Star Credit Corp.*, 59 Misc.2d 189, 298 N.Y.S.2d 264 (1969).

6. Divisibility

Under §2-302, the court may invalidate all or part of the contract.

7. Procedural And Substantive Unconscionability

Unconscionability can take two forms: procedural or substantive. Procedural unconscionability occurs when a clause of a contract is so worded as to make it confusing to the other party, or when the clause is hidden in a maze of other terms, on the back of the document, in small print, etc. Substantive unconscionability occurs where the provision is so one-sided as to give an unfair (unconscionable) advantage to one party.

8. Unequal Bargaining Position Of Parties

Although unconscionability is not confined by §2-302 to situations where one of the parties is in a superior bargaining position, e.g., large corporation selling to individual consumer, it is far more likely to be applied in such situations.

F. STATUTE OF FRAUDS

1. Generally

A contract for the sale of goods where the price is \$500 or more is not enforceable unless there is a written memorandum of the transaction signed by the party to be charged, or unless one of the stated exceptions applies. UCC §2-201.

a. Sufficiency of memorandum

The Code has “liberalized” the requirements for a memorandum. A writing is sufficient as a memo if:

- (1) it indicates that a contract has been made between the parties;
- (2) it contains the **quantity of goods sold**, and
- (3) it is **signed by the party to be charged**.

Even though the memo has incorrect terms, or omits terms, it is sufficient if it meets the tests above. A signature includes any symbol executed or adopted with a present intention to adopt or accept. Where the quantity term is incorrect, however, the contract can be enforced only up to the quantity mentioned in the memo.

b. Failure to respond to memo

Where both of the parties are merchants, and a memo, sufficient against the sender, is sent to the other party to the contract, and the party receiving it has reason to know its contents, then the memo is sufficient not only against the person who signed and sent it, but also against the recipient, unless the recipient gives written notice of objection within 10 days.

2. Exceptions

Section 2-201(3) makes the following exceptions to the Statute of Frauds provision (no writing is needed in the following cases):

- a. Where the goods are specifically manufactured for the buyer and are not suitable for sale to others in the ordinary course of the seller's business, and the seller has begun to perform or made a commitment for procurement of the goods.
- b. Where the goods have been **received and accepted**, or where **payment has been made and accepted** for the goods.

Note: This exception applies only if the goods are actually received and accepted or paid for, and not to the part of the contract which is still executory.

- c. Where the **party to be charged admits** in his pleadings, testimony, or otherwise in court that a contract for sale has been made; but here again the exception goes only to the quantity admitted.

3. Modifications

Subsections 2-209(2) and (3) deal with the question of whether a modification must be in writing.

a. Statute of frauds

Subsection (3) makes the Statute of Frauds (§2-201) applicable to modifications. Hence, if the price of the goods under the contract **as modified** equals or exceeds \$500, there must be a writing evidencing the contract. However, the writing may consist of a mere "memorandum" of the contract, which, under §2-201, may be incomplete. Also, the exceptions to the Statute of Frauds are applicable to modifications.

b. Writing requirement

Subsection (2) permits inclusion in the original sales agreement of a provision that modifications must be in writing. However, if at least one of the parties is not a merchant, and a form contract is used, a provision requiring a modification to be in writing is ineffective against the nonmerchant unless it is separately signed by him.

G. PAROL EVIDENCE RULE

Section 2-202 of the Code provides a parol evidence rule applicable to contracts for sale. The following rules, which are incorporated in the section, do not significantly change the law.

1. Intent

In order for the parol evidence rule to operate, the parties must have **intended** the writing to be a final expression of their agreement.

a. Partial integration

There can be a partial integration under the Code, where the parties intend that the agreement be their final expression of the items contained in the writing, but some items of their agreement are left out or not covered by the writing.

b. Determining intent

There is no “test” by which the parties’ intent can be absolutely ascertained. Evidence of intent would include the formality of the writing, its completeness, and any merger clauses whereby the parties in the writing agree that the writing contains all of their agreement.

2. Explanation Or Supplementation Of Terms

The Code distinguishes between parol evidence that **contradicts** the writing, and parol evidence that **explains or supplements** the writing.

a. Contradicts the writing

If the intent of the parties is for the writing to be the final expression of their agreement, then no evidence to contradict the writing is admissible.

b. Explains or supplements the writing

However, even where there is intent to make the writing final, the writing may be explained or supplemented by:

- (1) course of dealing, trade usage, or course of performance; and
- (2) evidence of **consistent additional terms** unless the court finds that the writing is intended as a complete and exclusive statement of the terms of the agreement.

H. ASSIGNMENT

Under the Uniform Commercial Code, **prohibitions against assignment** in contracts for the sale or lease of goods **are totally ineffective**. Unless otherwise agreed, all rights of either seller or buyer can be assigned except where the assignment would materially change the duty of the other party, materially increase the burdens or risks imposed on him, or materially impair his chance of obtaining return performance. UCC §2-210.

I. REVIEW OF CONTRACT FORMATION UNDER ARTICLE 2

The following brief outline is presented as a reminder of the UCC provisions covering contract formation.

1. Generally

General principles of contract law apply unless changed.

2. Offers

Under the Code’s firm offer rule, an offer to buy or sell goods is not revocable if:

- a. There is an assurance that the offer will be kept open;
- b. Made by a merchant;
- c. In writing; and
- d. Signed.

There is a three-month limit on the period of irrevocability.

3. Acceptance

An offer can be accepted in any reasonable manner (by doing the requested act or by a return promise), and by any reasonable medium (telephone, letter, etc.).

4. Counteroffers

Acceptance is effective even though it changes the terms or adds terms if there is a definite expression of acceptance. However, case law says that a purported acceptance that adds material terms is still a counteroffer.

If a contract is formed, additional terms become part of the contract unless objected to or unless they are material. Different terms never become part of the contract unless there is subsequent assent to them.

5. Seals

The seal is totally inoperative in sale of goods contracts.

6. Unconscionability

If the contract, or a term of the contract, is unconscionable, the court may refuse to enforce the contract or part of it.

7. Open Terms

A contract may be formed although some terms are left open. For a contract to exist, there must be intent to contract and a reasonably certain basis for granting relief by the court.

8. Statute Of Frauds

The Article 2 Statute of Frauds

- a. Applies where the price is \$500 or more, and
- b. Requires a memo that:
 - (1) Is in writing;
 - (2) Is signed by the party to be charged;
 - (3) Indicates a contract has been made; and
 - (4) Identifies the parties.
- c. Exceptions (no memorandum is required):
 - (1) Admission in the pleadings;
 - (2) Specially manufactured goods;
 - (3) Payment;
 - (4) Receipt and acceptance;
 - (5) A memo sent by one merchant is good against another merchant unless objection is made within 10 days.

9. Parol Evidence

Intent to integrate is necessary or the parol evidence rule does not apply.

a. Total integration

“Total integration” exists where the writing contains all promises made by the parties. Here, the writing cannot be varied even by consistent additional statements, but evidence of trade usage, prior dealings, and course of performance is admissible.

b. Partial integration

“Partial integration” exists where the writing is final only on those matters it contains. Here, consistent, additional terms can be proved.

10. Modification Of Contracts

Modification presents no parol evidence problem.

No consideration needed for modification, but the modification must be in good faith.

There must be a writing if the contract as modified is for a price of \$500 or more, but exceptions to the Statute of Frauds apply.

III. EVENTS OCCURRING BETWEEN TIME CONTRACT IS MADE AND TIME FOR PERFORMANCE

A. IMPRACTICABILITY OF PERFORMANCE

1. Destruction Of The Goods

a. In general

It was held in numerous cases decided prior to the adoption of the Code that the seller was excused from performing where the contract for sale called for specific goods, and the goods were destroyed before the risk of loss had passed to the buyer. This exception to the normal risk of loss rules is carried over in the Code. Section 2-613 provides for casualty to identified goods in some detail:

Where the contract requires for its performance goods identified when the contract is made, and the goods suffer casualty without fault of either party before the risk of loss passes to the buyer, ... then:

(1) if the loss is total, the contract is avoided; and

(2) if the loss is partial or the goods have so deteriorated as no longer to conform to the contract, the buyer may nevertheless demand inspection and at his option either treat the contract as avoided or accept the goods with due allowance from the contract price for the deterioration or the deficiency in quantity but without further right against the seller.

b. Fault

This section only applies when the loss is without the fault of either party. Comment 1 to the section indicates that “fault” is intended to include negligence as well as willful wrongdoing.

c. Identified goods

The seller is excused from performance only if the goods were identified when the contract for sale was made. Identification, as used in this section, occurs when the parties agree that particular goods are the subject of the sale. For example, if the contract is for 10 specific chairs that the seller has shown the buyer, then the goods were identified when the contract was made. On the other hand, if the contract were simply for 10 chairs of a specific description, and the seller could tender any 10 chairs meeting the description, they would not be identified at the time of the contract. Even if they had been identified subsequent to the contract and prior to the loss, the section would not apply.

d. Partial loss

If the loss is less than total, the buyer has the option of avoiding the contract totally, or of taking those goods still conforming to the contract at the pro rata price.

2. Impracticability Caused By Other Events**a. Performance illegal**

It has been generally held that when performance by a seller is rendered illegal by state action, e.g., legislation or administrative regulations, the seller is excused. Section 2-615 adopts this position.

b. Performance extremely difficult

There is less agreement in decisional law over whether other occurrences that render performance extremely difficult should operate to terminate a party's obligations. The Code, in §2-615, provides that the seller shall be excused for delay in delivery or nondelivery, if performance “has been made impracticable by the occurrence of a contingency, the non-occurrence of which was a basic assumption on which the contract was made.” Although the section speaks only of excusing the seller, the comments to the section indicate that a buyer's obligations may be excused as well.

c. Apportionment of performance

As when the goods are destroyed, if the impracticability goes only to a part of the party's ability to perform, there must be an apportionment of the performance that can be rendered among those with whom the seller has contracts. Thus, if the seller's operation can produce only half of its normal output, each of the persons with whom the seller has a contract must be tendered half of what was called for under the particular buyer's contract. The buyer may then take what is offered or decide to cancel the contract.

3. Substituted Performance

In two instances, the Code requires that a party make substitute performance in the event that the agreed method of performance becomes impracticable. In these cases, the other party to the contract must accept the substituted performance.

a. Method of transportation

Section 2-614 provides that when an agreed-upon method of transportation fails or becomes commercially impracticable, the seller must use any **commercially reasonable substitute** that is available. Thus, if a particular carrier is unavailable because of a strike or a flood, and there is another carrier who can transport the goods satisfactorily and for a reasonable price, the goods must be sent by the available carrier and must be accepted by the buyer.

b. Method of payment

Similarly, if an agreed-upon method of payment fails, the buyer must use a commercially reasonable substitute method of payment if one is available, and the seller must accept the substituted method of payment.

B. PROSPECTIVE INABILITY TO PERFORM

1. In General

Between the time a contract is made and the time for performance, each party should enjoy a reasonable expectation that performance will be forthcoming when due. A party's expectations of performance may be diminished by the occurrence of some event after the contract was made. A common example of this is a credit sale, when the buyer becomes insolvent prior to the time the goods are delivered. Such cases have generally been classified as examples of prospective inability to perform. The law is less settled in the area of prospective inability to perform than it is in cases of anticipatory repudiation, and in general there is a reluctance to excuse a party from performing solely on the ground that he does not expect counter-performance to be given.

2. Code Provisions

a. Buyer's insolvency

Section 2-702(1) allows the seller in a credit sale to demand cash before delivery if she discovers that the buyer is insolvent. If the goods are in the possession of a carrier, the seller may exercise her right of stoppage in transit. *See, infra*. Under §1-201, a person is insolvent in any one of three separate situations:

- (1) He cannot pay his debts as they become due;
- (2) He has ceased to pay his debts in the ordinary course of his business; or
- (3) His liabilities exceed his assets.

b. Other situations

Other instances of a party's inability to perform are not delineated by the Code. Instead, §2-609 provides that whenever a party has **reasonable grounds for insecurity**, he may demand, in writing, "assurance" from the other party. If the assurance is not given, he may suspend any performance for which he has not received the agreed return.

c. Insecurity

What constitutes reasonable grounds for insecurity is vague. Commercial standards are to apply, and Comment 3 to the section indicates that the grounds for insecurity need not

necessarily be directly related to the contract for sale. Several examples are given in the same Comment:

- (1) A buyer falls behind in his account;
- (2) A seller of precision parts delivers defective goods to a customer other than the buyer; and
- (3) A manufacturer breaches an exclusive dealing provision in a franchise agreement, although not defaulting in orders.

d. Assurances

Section 2-609(2) provides that the adequacy of any assurance is to be determined according to commercial standards. Comment 4 to the section states that:

What constitutes “adequate” assurance of due performance is subject to the same test of factual conditions [as the question of when they may be demanded]. For example, where the buyer can make use of a defective delivery, a mere promise by a seller of good repute that he is giving the matter his attention and that the defect will not be repeated, is normally sufficient. Under the same circumstances, however, a similar statement by a known corner-cutter might well be considered insufficient without the posting of a guaranty or, if so demanded by the buyer, a speedy replacement of the delivery involved. By the same token, where a delivery has defects, even though easily curable, which interfere with easy use by the buyer, no verbal assurance can be deemed adequate which is not accompanied by replacement, repair, money-allowance, or other commercially reasonable cure.

No assurance is required unless demanded in writing by the party having reasonable grounds for assurances. When demand is made, the other party has a **reasonable time, not exceeding 30 days**, in which to provide the assurance. If no assurance is given, the contract is breached and the party demanding the assurance has all of the usual remedies under the Code.

C. ANTICIPATORY REPUDIATION

1. Repudiation Described

Under §2-610, repudiation occurs when a party unequivocally states his unwillingness to perform his obligations under the contract. If there is a repudiation of only part of his duty, whether this constitutes an actionable breach depends upon whether the prospective loss to the aggrieved party will substantially impair the value of the contract to him.

2. Effect Of Repudiation

When repudiation occurs, the aggrieved party may await performance for a commercially reasonable time, or he may immediately resort to any remedy given by the Code or the contract for breach. The aggrieved party is excused from his own performance in either case, but he may proceed to identify goods to the contract or to salvage unfinished goods.

3. Retraction

Under §2-611, the repudiating party may retract his repudiation until the aggrieved party has cancelled the contract, materially changed his position, or otherwise indicated that he considers the repudiation final. If there is a retraction, the repudiatee may demand assurances under §2-609.

D. STOPPAGE IN TRANSIT

1. In General

When the seller has shipped goods to the buyer under the contract and the goods are in transit, the Code gives the seller the right to order the carrier not to deliver the goods to the buyer in two instances:

- a. When the buyer is **insolvent**; and
- b. When, if the goods are shipped in carload lots, the buyer **breaches the contract**; as, for example, by refusing to make a payment of the price.

2. Loss Of Right To Stop In Transit

A seller loses her right to stop goods in transit when any one of the following occurs:

- a. The buyer has **received the goods**;
- b. A carrier has **acknowledged the buyer's rights to the goods**;
- c. The goods have been **reshipped** by the carrier; or
- d. A negotiable **document of title** has been negotiated to the buyer.

3. Procedure For Stopping Goods In Transit

Section 2-705(3) provides the procedure for effectuating stoppage in transit. It states:

- (a) To stop delivery, the seller must so notify as to enable the bailee by reasonable diligence to prevent delivery of the goods.
- (b) After such notification, the bailee must hold and deliver the goods according to the directions of the seller, but the seller is liable to the bailee for any ensuing charges or damages.
- (c) If a negotiable document of title has been issued for goods, the bailee is not obligated to obey a notification to stop until surrender of the document.
- (d) A carrier who has issued a nonnegotiable bill of lading is not obliged to obey a notification to stop received from a person other than the consignor.

It should also be noted that a carrier is not obligated to stop delivery of less than carload lots, except where the seller's right to stoppage is predicated upon the buyer's insolvency.

E. REVIEW OF EVENTS OCCURRING BETWEEN TIME CONTRACT IS FORMED AND TIME FOR PERFORMANCE

1. Impracticability Of Performance

a. Total impracticability

Impracticability of performance provides an excuse (defense) for nonperformance of the

- (1) Goods identified at the time of contracting are **destroyed**;
- (2) Performance becomes **illegal**; or
- (3) Performance has been made **“impracticable.”**

The excuse applies only when the event was not foreseeable and when non-occurrence of the event was a basic assumption of the contract.

b. Partial impracticability

When impracticability affects only part of the seller’s ability to perform, the goods actually produced must be apportioned. The buyer, however, may refuse to accept and may cancel the contract.

When the agreed method of transportation or payment becomes impracticable:

- (1) The performing party must use a **commercially reasonable substitute** if available, and
- (2) The substitute performance must be accepted.

2. Prospective Inability To Perform

The seller can cancel credit terms or stop goods in transit if the buyer becomes insolvent before delivery of the goods.

Either party can demand assurance of performance if he has reasonable grounds for insecurity about the other party’s ability or willingness to perform. Assurances must be in writing.

3. Anticipatory Repudiation

Anticipatory repudiation occurs only when there has been an unequivocal refusal to perform.

The repudiation can be retracted if the other party has not cancelled the contract or materially changed position.

Repudiation allows the nonrepudiating party to resort to any remedy given by the contract or Code.

4. Stoppage in Transit

Available when the goods are in transit and the buyer either becomes insolvent or breaches the contract. If the ground is insolvency, then stoppage is available even if the goods were sent in less than carload lots; otherwise, only if shipped in carload lots.

Right to stop in transit terminates where:

- a. Buyer has **received** the goods;
- b. Carrier has **acknowledged** buyer's rights;
- c. Goods have been **reshipped** by carrier; or
- d. A negotiable **document of title** has been given or negotiated to the buyer.

IV. SELLER'S OBLIGATIONS

Assuming that none of the excuses for nonperformance (e.g., impracticability) have occurred, at some point in time the seller must make a proper tender of goods conforming to the warranties. The seller will usually have to act first in a contract for sale; i.e., the seller must make a tender of the goods to the buyer before the buyer's obligations arise.

A. OBLIGATIONS OF SELLER IN GENERAL

The primary obligations of the seller are to **transfer ownership** and **deliver the goods**. UCC §2-301. The seller may also undertake other substantial obligations in the contract for sale. For example, he may promise that the goods will be packed in a particular manner, that they will be labeled in accordance with the buyer's instructions, or that he will service the goods for a specified period of time. Such undertakings are, in a sense, collateral to the contract for sale. They are enforceable nonetheless as promises.

B. OBLIGATION TO TRANSFER OWNERSHIP

1. Warranty Of Title

The seller's obligation to transfer ownership raises relatively few problems. The Code expresses this obligation as a **warranty of title**, and provides for the seller's warranty of title in the following manner:

... [T]here is in a contract for sale a warranty by the seller that:

- (a) the title conveyed shall be good, and its transfer rightful; and
- (b) the goods shall be delivered free from any security interest or other lien or encumbrance of which the buyer at the time of contracting has no knowledge.

§2-312(1).

2. Quiet Possession

Under the Code, there is no specific warranty of quiet possession, but Comment 1 to §2-312 states that "disturbance of quiet possession . . . is one way, among many, in which the breach of the warranty of title may be established." It should be noted, however, that the four-year statute of limitations provided in §2-725 will begin to run, even as to a disturbance of quiet possession, from the time tender of delivery is made.

3. Knowledge By Buyer Of Encumbrances

Under subsection (1)(b), *supra*, knowledge by the buyer of a security interest or encumbrance on the property will nullify any warranty that there is no lien on the goods. **Actual knowledge of encumbrances is required**, however, and constructive knowledge imposed by the recording requirements of Article 9 of the Code is not sufficient.

4. Disclaimer Of Warranty Of Title

A general disclaimer of “all warranties, express and implied,” is not sufficient under the Code to negate the existence of the implied warranty of title. Subsection (2) to §2-312 provides the requirements of a disclaimer:

A warranty [of title] will be excluded or modified only by specific language or by circumstances which give the buyer reason to know that the person selling does not claim title in himself or that he is purporting to sell only such right or title as he or a third person may have.

5. Forced Sale

There is no warranty of title where the sale is by “sheriffs, executors, foreclosing lienors, and persons similarly situated.” Comment 5 to §2-312.

C. DELIVERY OBLIGATIONS

1. Fundamental Elements

An agreement for sale may contain no reference to delivery, or the provisions on delivery may be highly complicated. When the agreement is silent on one or more of the delivery terms, the UCC supplies these terms.

Three elements in relation to delivery are fundamental:

- a. **Where** is delivery to be made?
- b. **When** is it to be accomplished?
- c. **How** is the tender to be made?

2. Effect Of Omitting Delivery Term

The omission of a provision in the contract governing delivery of the goods does not render the agreement too indefinite to be enforceable. If no mention is made of delivery, the Code specifies the duties of the seller as follows.

a. Time of delivery

Absent a contrary provision in the contract for sale, the goods must be delivered within a **reasonable time after the contract is made**. UCC §2-309. Comment 3 to this section indicates that “surprise is to be avoided, good faith judgment is to be protected, and notice or negotiation to reduce the uncertainty to certainty is to be favored.” The reasonableness of the time depends upon the circumstances of the individual case.

b. Manner of delivery

If the contract does not provide whether the goods are to be delivered in one shipment or a number of shipments, §2-307 provides that they are to be tendered in a **single delivery** unless the circumstances give either party the right to make or demand delivery in lots. Comment 3 gives as an example of circumstances which would compel delivery in lots the case of bricks being ordered for construction of a building, where there is obviously insufficient space to store all of the bricks at the site. In addition, under an installment contract, i.e., one that requires or authorizes delivery in separate installments, the seller may demand payment for each installment if the price can be so apportioned, unless a contrary intent appears.

c. Place of delivery

Under §2-308, if no mention is made of where delivery is to be made, the place for delivery is the **seller's place of business**, or if he has none, his residence, unless the goods are identified and both parties know that they are in some other place. If the parties do know that the goods are not at the seller's place of business, the location of the goods is the place of delivery.

3. Importance Of Place Of Delivery And Tender

a. Determinations

It is important to know whether the seller has completed his delivery obligation in order to determine:

- (1) Whether the buyer's obligations are due;
- (2) Whether the seller has breached;
- (3) Whether the risk of loss has passed to the buyer.

b. Delivery point

Since the seller's delivery obligations vary in accordance with the place of delivery, the delivery point specified by the contract becomes important. The Code distinguishes among four situations:

- (1) Where the seller's place of business is the delivery point;
- (2) Where the goods are in the hands of a bailee;
- (3) Where the seller is obligated to ship the goods to the buyer (**shipment contract**);
- (4) Where the seller is obligated to deliver the goods to the buyer at a particular place other than the seller's place of business (**destination contract**).

The seller must make a valid tender at the delivery point, in accordance with the rules in the following paragraphs, in order to perform his delivery obligations.

4. Method Of Tender

a. Seller's place of business

If the goods are to be delivered at the seller's place of business, the seller must place and hold conforming goods at the buyer's disposition for a sufficient time to allow the buyer to take possession of them, and the seller must give the buyer notification of this fact where notice is necessary to enable him to take delivery. The tender must be at a reasonable hour of the day. The buyer must furnish facilities reasonably suited to the receipt of the goods.

b. Goods in the hands of bailee

If the goods are in the possession of a bailee at the time the contract is made and both parties know this, §2-503 provides that the seller must negotiate a negotiable document of title covering the goods, or procure an acknowledgment by the bailee of the buyer's right to possession. However, a nonnegotiable document of title or a written direction to the bailee to deliver will suffice if the buyer does not object.

c. Goods to be transported

If the goods are to be transported, the Code differentiates between "shipment contracts" and "destination contracts."

(1) Definitions

(a) Shipment contract

Basically, under a shipment contract, the seller has the duty of arranging for transportation, and her performance is complete as soon as this is properly done and the goods have been **delivered to the carrier**.

(b) Destination contract

In the destination contract, however, the seller's obligation is to **deliver the goods to the buyer** at the selected point specified in the contract. Her obligations are therefore not fulfilled until delivery has been accomplished.

(2) Code preference

Under the Code, the shipment contract is the "normal" one, and the destination contract is the "variant" one. There is, in effect, a **presumption in favor of shipment contracts**. The distinction is not as to who is to pay the transportation, but rather whether the contract requires the seller to deliver the goods at a particular destination. Thus, a shipment contract arises where the seller is required or authorized to send the goods to the buyer, and the contract does not require him to deliver them at a particular destination. **A destination contract exists only where the seller is required to deliver at a particular destination.**

d. Shipment contracts

If the contract is a shipment contract, the seller must make tender in the following manner:

- (1) She must put the goods in the possession of the carrier and make such a contract for their transportation as may be reasonable, having regard for the nature of the goods and other circumstances of the case;
- (2) Obtain and promptly deliver or tender in due form any document necessary to enable the buyer to obtain possession of the goods; and

(3) Promptly notify the buyer of the shipment.

e. Destination contracts

(1) Rule

Under §2-503, the seller must put and hold the goods at the buyer's disposition at the destination point, and give the buyer notice that they are ready for his receipt. The tender must be at a reasonable hour, and the goods must be kept available for a period reasonably necessary to allow the buyer to take them. The buyer is obligated to furnish any facilities needed to receive the goods.

(2) Point of delivery

Under a destination contract, the exact point of delivery will depend on the contract. If the goods are to be delivered "in New York City," tender can be made while the goods are still in the hands of the carrier, and the buyer would be obligated to pick them up at the carrier's terminal. If, however, the goods are to be delivered "to 40 Riverdale Avenue, New York City," then tender can be made only at that point. Unloading is the obligation of the buyer, and any storage charges incurred after a tender has been made are also the buyer's responsibility.

5. Mercantile Symbols

a. In general

The use of the mercantile symbols - F.O.B., F.A.S., C.I.F., and C.&F. - is common in signifying obligations of the parties to a contract for sale. Under the Code, the symbols are specifically defined, and the obligations imposed are carefully delineated.

b. F.O.B.

Section 2-319(1) specifies the rights and obligations imposed under an F.O.B. (free on board) contract. This section makes three distinctions in regard to the term F.O.B.: (1) F.O.B. shipment point; (2) F.O.B. destination point; and (3) F.O.B. vessel, car, or other vehicle.

(1) F.O.B. shipment point

If the symbol is followed by the name of the place from which the goods are to be shipped, the seller is obligated only to put them into the possession of the carrier. All expenses incurred up until that point must be borne by him, and absent a contrary provision in the contract, the seller does not bear the cost of loading them on the carrier, any cost of storage after delivery to the carrier, or the cost of transportation to the buyer. As noted previously, a contract for sale is ordinarily a shipment contract.

(2) F.O.B. destination point

When the symbol is followed by some place other than the point of shipment, the rules as to F.O.B. destination point apply. Here, the parties have entered into a destination contract, and the seller must, at her own expense and risk, transport the goods to the specified place and tender delivery of them there. If only the name of a city follows the symbol, shipment to that city, with instructions that the buyer will pick up the goods at the carrier's terminal, is sufficient. If, however, a street address is given as the place of delivery, then delivery to that

representations the seller has made as to the goods she is offering for sale (express warranties), and upon any implied warranties imposed by the Code.

b. Types of warranties

(1) Express warranties

The initial source of evidence of kind and quality is the description of the goods in the contract. Such evidence also comes from all the representations and affirmations by word or conduct made by the seller to induce the buyer to enter into the transaction. These are classified by the Code as express warranties.

(2) Implied warranties

In addition to the objective manifestations of kind and quality made by the seller, the law imposes upon her the obligation to tender goods meeting a minimum standard. This is called the implied warranty of merchantability. The Code also imposes a further duty on the seller whenever she has reason to know the particular purpose for which the goods were purchased. This is termed the implied warranty of fitness for a particular purpose.

2. Express Warranties

a. In general

Express warranties consist of all affirmations of fact and promises made by the seller that relate to the goods, and are a part of the basis of the bargain. This may include, among other things:

- (1) Oral representations;
- (2) Written representations - in the written contract, or in advertisements and brochures;
- (3) Description of the goods;
- (4) Any sample or model shown;
- (5) Plans or blueprints of the item;
- (6) Technical specifications;
- (7) Reference to a market or official standard;
- (8) Quality of goods sent to the buyer in the past.

Thus, practically any objective manifestation made by the seller that relates to the goods may constitute an express warranty.

b. Basis of the bargain

An essential requirement is that the representation became a part of the basis of the bargain. In other words, did it become a reason for the buyer's assent to the contract? No showing of reliance is required; rather, it is assumed that the statement became a part of the basis of the bargain unless there is clear, affirmative proof to the contrary. The Code does not, however, destroy the principle that some statements made by a seller are mere seller's talk or

“puffing.” A statement purporting to be simply the seller’s opinion is not an express warranty, nor is a simple affirmation of the value of the goods.

c. Subsequent affirmations

Express warranties can be made subsequent to the contract for sale. The subsequent promise or representation operates as a modification of the agreement, and under §2-209, no consideration is necessary to make it enforceable.

d. Disclaimers

Under §2-316(1), affirmations tending to establish an express warranty and disclaimer clauses are to be construed as consistent wherever possible. But if it is impossible to construe them as consistent, then the disclaimer clause falls. In effect, the section says that when there is a positive affirmation, by word or conduct, which constitutes a warranty, a clause in the contract stating that there are no express warranties has no effect. Since the description of the goods constitutes a warranty, as does the use of any model or sample, §2-316(1) makes it difficult to imagine a contract in which no warranties are given.

3. Implied Warranty Of Merchantability

a. When given

A warranty of merchantability is given by all sellers who are merchants. Section 2-314(2) sets out the substance of the warranty of merchantability. It states:

Goods to be merchantable must be at least such as:

- (a) pass without objection in the trade under the contract description; and
- (b) in the case of fungible goods, are of fair average quality within the description; and
- (c) are fit for the ordinary purposes for which such goods are used; and
- (d) run, within the variations permitted by the agreement, of even kind, quality, and quantity within each unit and among all units involved; and
- (e) are adequately contained, packaged, and labeled as the agreement may require; and
- (f) conform to the promises or affirmations of fact made on the container or label if any.

b. Basic test

The basic test is whether the goods would pass without objection in the trade under the contract description, and whether they are fit for the ordinary purpose for which such goods are used, but each of the other requirements of the section must be met.

Plaintiff must not only show a breach, but also that it was present at the time of the sale. This may be proved by inference.

c. Disclaimers

Under §2-316, the warranty of merchantability can be disclaimed:

- (1) if the disclaimer uses the word “**merchantability**,” and
- (2) if in writing, the language of the disclaimer is “**conspicuous**.”

An oral disclaimer of the warranty of merchantability is effective, but the word “merchantability” must be used.

“Conspicuous” is defined in §1-201(10) in the following way:

A term or clause is “conspicuous” when it is so written that a reasonable person against whom it is to operate ought to have noticed it. A printed heading in capitals (as: NONNEGOTIABLE BILL OF LADING) is conspicuous. Language in the body of a form is “conspicuous” if it is in larger or other contrasting type or color. But in a telegram, any stated term is “conspicuous.” Whether a term or clause is “conspicuous” or not is for decision by the court.

4. Warranty Of Fitness For A Particular Purpose

a. When given

Under §2-315, a warranty of fitness for a particular purpose arises whenever the seller has reason to know:

- (1) of any **particular purpose** for which the goods are required, and
- (2) that the buyer is **relying upon the seller’s skill** to select suitable goods.

There is no specific requirement that the buyer make the purpose known to the seller. It is enough if the seller has reason to know of the purpose and of the buyer’s reliance, no matter what the source of this knowledge. Comment 5 to the section indicates that if the buyer asks for a trade name or patented product, this may indicate that he is not relying upon the seller’s skill. Comment 4 to the section makes it clear that any seller, whether merchant or not, producer or not, makes this warranty under the proper circumstances.

b. Requirements of warranty

When the warranty of fitness for a particular purpose is given, the goods must be fit for whatever the particular purpose is.

c. Disclaimer

Unlike a disclaimer of the warranty of merchantability, the warranty of fitness **cannot be excluded orally**. No specific language is required, however, and the section explicitly states that a clause reading “there are no warranties which extend beyond the description on the face hereof,” is sufficient. The language must be “conspicuous.”

5. Disclaimer Of All Implied Warranties

Section 2-316(3) provides that:

- (a) Unless the circumstances indicate otherwise, all implied warranties are excluded by expressions like “as is,” “with all faults,” or other language which in common understanding calls the buyer’s attention to the exclusion of warranties and makes plain that there is no implied warranty; and
- (b) When the buyer, before entering into the contract, has examined the goods or the sample or model as fully as he desired, or has refused to examine the goods, there is no implied warranty with regard to defects which an examination ought in the circumstances to have revealed to him; and
- (c) An implied warranty can also be excluded or modified by course of dealing or course of performance or usage of trade.

a. “As is,” etc.

From subsection (a) it appears that a simple way in which to disclaim all implied warranties of quality is to state in the contract that the goods are sold “as is” or “with all faults.” The catch is that the subsection begins with the words “unless the circumstances indicate otherwise.” Comments 6 and 7 to the section indicate that an “as is” disclaimer may be effective only if it is reasonable to expect that the buyer will understand that there are no warranties under the circumstances of the transaction. Under the wording of the section and the Comments, it would not be difficult for a court to refuse enforcement of the “as is” disclaimer where a form contract is used and the buyer is not a merchant.

b. Inspection

Although subsection (b) provides that inspection of a sample by the buyer will exclude certain warranties, it must be noted that it operates only as to defects that should have been revealed by a careful inspection. Also, the exclusion of warranties only applies where there has been an actual inspection, or a refusal to inspect. “Refusal” means something more than simply an opportunity to inspect which was not taken. There must be a demand by the seller that is refused by the buyer.

6. Limitations On Right To Modify Warranties As To Consumers

There is a trend, both through legislative enactment and court decision, to prohibit limitation of warranty liability in consumer transactions. Thus, Alternative C of §2-318 (see “Privity of Contract and Warranty,” *infra*) and some states prohibit the disclaimer of warranties in consumer sales. Also, cases have relied heavily upon the unconscionability section of the Code (§2-302) to hold disclaimers invalid where there is unequal bargaining power between the parties, or where the disclaimer is in fine print.

7. Applicability Of Parol Evidence Rule

Section 2-316 specifically makes the provisions of the parol evidence rule applicable to warranties. Thus, a provision in the contract indicating that the writing is a complete integration of the parties' agreement should have the effect of barring proof of any express warranties made before or at the time the writing was signed, unless they are stated in the written contract. A merger clause would not affect implied warranties, because the implied warranties arise by operation of law.

8. Accumulation And Conflict Of Warranties

Under §2-317, warranties, whether express or implied, are cumulative. Thus, if an express warranty is made, this does not negate any implied warranty unless the implied warranty is inconsistent therewith. Comment 2 to the section states that the seller may be estopped from denying any inconsistency that in fact exists if she has led the buyer to believe that all of the warranties could be performed.

If the warranties do in fact conflict, then the intention of the parties determines which is dominant. The section provides three rules for ascertaining this intent.

- a. Exact or technical specifications displace an inconsistent sample or model or general language of description;
- b. A sample from an existing bulk displaces inconsistent general language of description;
- c. Express warranties displace inconsistent, implied warranties other than an implied warranty of fitness for a particular purpose.

9. Privity Of Contract And Warranty

The Official Text of the Uniform Commercial Code §2-318 has three alternative sections regarding the necessity of privity in a warranty action, with no recommendation as to which one a particular state should select. These alternatives are as follows:

ALTERNATIVE A

A seller's warranty whether express or implied extends to any natural person who is in the family or household of his buyer or who is a guest in his home if it is reasonable to expect that such person may use, consume, or be affected by the goods and who is injured in person by breach of the warranty. A seller may not exclude or limit the operation of this section.

ALTERNATIVE B

A seller's warranty whether express or implied extends to any natural person who may reasonably be expected to use, consume, or be affected by the goods and who is injured in person by breach of the warranty. A seller may not exclude or limit the operation of this section.

ALTERNATIVE C

A seller's warranty whether express or implied extends to any person who may reasonably be expected to use, consume, or be affected by the goods and who is injured by breach of the

warranty. A seller may not exclude or limit the operation of this section with respect to injury to the person of an individual to whom the warranty extends.

Most states have accepted the position of Alternative B by case decision, or by a separate, non-Code statute. Thus, there is a clear trend toward abolition of the privity requirement.

E. REVIEW OF SELLER'S OBLIGATIONS

The basic obligations of a seller are:

- to transfer ownership of the goods to the buyer; and
- to tender goods conforming to the warranty obligations.

1. Transfer Of Ownership

Unless the contract provides otherwise, the seller must convey clear title to the goods; otherwise, there is a breach of the warranty of title.

2. Tender Of The Goods

a. Methods

Seller must tender the goods in accordance with the contract if there are specific provisions on tender; otherwise, she must tender them in accordance with the Code provisions. There are basically four methods of tender stated by the Code, the correct one in a particular transaction depending upon the place of tender:

(1) Seller's place of business

The seller must place the goods at the disposition of the buyer and give the buyer notice.

(2) Shipment contract

The seller has a duty to ship the goods, but no duty to deliver them to a particular place. Seller must deliver to the carrier, make a proper contract for their shipment, and give the buyer notice that the goods have been shipped.

(3) Destination contract

The seller must deliver the goods to a particular place, and there tender them by holding at the buyer's disposition and giving the buyer notice.

(4) Where goods in hands of bailee

The seller must negotiate a negotiable document of title or obtain acknowledgment of the buyer's rights in the goods from the bailee.

b. Mercantile terms

Mercantile terms, F.O.B., etc., do not change the seller's obligations basically. F.O.B. is the most common term. If it is F.O.B. seller's place of business or city, it is a shipment contract. If it is F.O.B. buyer's place of business or some point other than seller's place of business, it is a destination contract.

3. Seller's Warranty Obligations

There are three basic warranties of quality:

- express
- merchantability

The trend is to allow a warranty action to lie even though there is no privity between the parties.

a. Express

All statements and promises made by the seller that form a part of the basis of the bargain are express warranties unless merely the seller's opinion or commendation of the value of the goods. An express warranty is very difficult to disclaim.

b. Merchantability

An implied warranty of merchantability is given whenever the seller is a merchant. Goods must be fit for their ordinary purpose and pass without objection in the trade under the contract description. Disclaimer may be oral, but must use the term "merchantability" and must be conspicuous if in writing. The warranty can be disclaimed in some instances by use of "as is" or similar language.

c. Fitness for a particular purpose

This implied warranty is given whenever the seller has reason to know:

- (1) the buyer has a **particular use** for the goods, and
- (2) the buyer is **relying upon the seller's skill** to select the goods.

This warranty can be disclaimed by general language, but the disclaimer must be in writing.

V. BUYER'S REMEDIES

A. BREACH BY THE SELLER

When the time for the seller's tender of goods arrives, there are only three possibilities unless her performance has been excused:

- The seller may breach the contract by not making any tender at all.
- The seller may make a tender, but still breach the contract, either because the tender is improper (e.g., at the wrong place), or because the goods fail to conform to the warranties. In both of these cases, it is said that the seller has made a "nonconforming tender," and the rules are the same whether the tender itself is nonconforming or the goods are nonconforming.
- The seller may make a conforming tender, thereby performing her obligations under the contract, and bringing into play the buyer's obligations.

The first two situations (breaches by the seller) will be discussed in this section of the outline, while the third situation will be discussed *infra* (“Buyer’s Obligations And Seller’s Remedies”).

B. BUYER’S REMEDIES WHEN SELLER FAILS TO MAKE A TENDER

1. In General

If the seller fails to make any tender at all, the buyer has three remedies:

- a. He can attempt to force the seller to perform by seeking a decree of specific performance or by bringing an action for replevin. As will be seen, the situations in which these remedies may be obtained are limited.
- b. He may seek damages.
- c. He may “cover” by purchasing similar goods elsewhere and then recover damages.

2. Specific Performance And Replevin

a. Buyer’s right to specific performance

Section 2-716 gives the buyer a right to specific performance where “the goods are unique” and “in other proper circumstances.” The section also provides that a decree for specific performance may give complete relief by including whatever terms and conditions regarding payment of the price, damages, or otherwise the court may deem just.

b. Buyer’s right to replevin

Section 2-716(3) gives the buyer a right to replevin “for goods identified to the contract if after reasonable effort he is unable to effect cover” or if “the circumstances reasonably indicate” that efforts to cover will be unavailing. Goods are “identified to the contract” for purposes of this section just as in determining impracticability, discussed *supra*.

3. Damages For Nondelivery

A second remedy of the buyer is to sue for damages. Damages are measured by the difference between the market price and the contract price (market price minus contract price). The applicable market price is that existing at the **place tender was to be made** under the contract, and as of the **time the buyer learned of the breach**. Reports of market quotations in official publications, trade journals, newspapers, and periodicals of general circulation may be introduced as evidence of the market price under §2-724.

In the absence of a contrary provision in the contract, this remedy is always available to the buyer. Hence, it is available whether or not the buyer actually repurchases the goods from another.

4. Cover

Essentially, the right to cover means that the buyer may go into the marketplace and **purchase substitute goods**. The difference between what he pays and the contract price then becomes the absolute measure of his damages. Under §2-712(1), the repurchase must be

made in good faith, and without unreasonable delay or upon unreasonable terms. The measure of damages is **cover price minus contract price**.

5. Incidental And Consequential Damages

a. Rule

Whether the buyer elects damages after he has effectuated “cover” or damages for nondelivery, the Code also allows him to recover incidental and consequential damages. The Code defines these terms in §2-715:

- (1) Incidental damages resulting from the seller’s breach include expenses reasonably incurred in inspection, receipt, transportation, and care and custody of goods rightfully rejected, any commercially reasonable charges, expenses, or commissions in connection with effectuating cover and any other reasonable expense incident to the delay or other breach.
- (2) Consequential damages resulting from the seller’s breach include
 - (a) any loss resulting from general or particular requirements and needs of which the seller at the time of contracting had reason to know and which could not reasonably be prevented by cover or otherwise; and
 - (b) injury to person or property proximately resulting from any breach of warranty.

b. Variation

This section may be varied by agreement, with the following limitation imposed by §2-719(3):

Consequential damages may be limited or excluded unless the limitation or exclusion is unconscionable. Limitation of consequential damages for injury to the person in the case of consumer goods is prima facie unconscionable, but limitation of damages where the loss is commercial is not.

“Consumer goods” are defined in §9-109 as goods used or bought for use primarily for personal, family, or household purposes.

6. Buyer’s Right To Cancel And Recover Payments Made

An additional remedy of the buyer is to cancel the contract. If this is done, the buyer retains the right to recover any damages caused by the seller’s breach under the above theories, and the buyer has the right to recover any payments made in advance to the seller.

7. Buyer's Right To Goods

Generally, where the buyer has a right to damages, his right to reach the goods covered by the contract for sale to satisfy a judgment will be equal to that of all general creditors of the seller. The buyer will have to obtain judgment and execute on the goods or attach them prior to judgment. However, if the seller becomes insolvent within 10 days after the buyer has paid the first installment of the price, the buyer may, upon making and keeping good a tender of any unpaid portion of the price, recover the goods if they have been identified to the contract.

8. Liquidated Damages

A clause in the contract fixing damages at a certain amount (a liquidated damages clause) is valid under the Code if the amount stated as damages bears a reasonable relationship to either the amount of actual damages suffered, or an amount that could have been anticipated by the parties when they entered into the contract.

C. BUYER'S REMEDIES WHEN TENDER OR GOODS ARE NONCONFORMING

1. Requirement Of Strict Performance

The common-law contract doctrine of substantial performance does not apply in contracts for the sale of goods, and the seller is required to perform her obligations under the contract in all respects. Thus, if the delivery is a day late, if the quantity is different from that called for by the contract, or if the goods have even a minor defect, the tender is nonconforming, and the seller has breached. However, this “**perfect tender**” rule actually is of little import since it is not applicable in installment contracts (see Part VII, *infra*), and the seller generally has a right to cure a defective tender (see below).

2. Remedies In General

When the seller makes a tender but the tender itself or the goods are nonconforming, the seller has breached the contract just as though she had made no tender at all. However, when the nonconforming tender is made, the buyer can, if he wishes, accept the goods despite the nonconformity. UCC §2-601. Since the buyer's remedies will differ considerably depending upon whether he accepts or rejects, it must first be determined which course of action the buyer has in fact pursued.

3. Acceptance

a. Inspection

The buyer's duty to accept the goods is influenced by his right to inspect the goods. Under §2-513, the buyer always has a right to inspect before he accepts. In the absence of a contrary provision in the contract for sale, the buyer may inspect the goods at any reasonable time and place. Generally, inspection will be made when the goods are tendered. It may, however, be made before shipment, or it may be postponed until a reasonable time after the goods have been received. Under §2-513, the buyer has a right to inspect the goods in any reasonable manner. It is not incumbent upon the buyer to choose the most convenient place.

and the reasonableness of the time and place will be determined by trade usage, past practices between the parties, and the circumstances of the case.

Section 2-513(2) provides that the buyer must pay the costs of inspection, but that these costs may be recovered from the seller if the goods are rightfully rejected for nonconformity.

b. What constitutes acceptance

In some cases, the buyer will expressly acknowledge his assent to become owner of the goods, but in many cases acceptance is inferred from the actions of the buyer. Thus, a resale of the goods after they have been received from the seller is clearly an acceptance unless they are being sold for the benefit of the seller.

Section 2-606 defines the acts that constitute acceptance. It states:

(1) Acceptance of the goods occurs when the buyer:

(a) after a reasonable opportunity to inspect the goods signifies to the seller that the goods are conforming or that he will take or retain them in spite of their nonconformity; or

(b) fails to make an effective rejection (subsection (1) of Section 2-602), but such acceptance does not occur until the buyer has had a reasonable opportunity to inspect them; or

(c) does any act inconsistent with the seller's ownership; but if such act is wrongful as against the seller, it is an acceptance only if ratified by him.

(2) Acceptance of a part of any commercial unit is acceptance of that entire unit.

c. Acceptance of part of shipment

Section 2-601 permits the buyer to accept "any commercial unit or units and reject the rest." Partial acceptance is thereby sanctioned. The use of the term "commercial unit" is designed to require that good faith and commercial reasonableness be used by the buyer to avoid undue impairment of the value of the portion rejected. Thus, if the goods have greater value as a whole than the total value of the individual components, they must be accepted as a whole or rejected entirely.

d. Revocation of acceptance

The buyer may, in some situations, elect to revoke his acceptance. If the buyer has the right to revoke acceptance and does so, it is just as though he had rejected in the first place.

(1) When

Under §2-608, the buyer may revoke his acceptance of goods, if the nonconformity:

- (a) Substantially impairs** the value of the goods, and
- (b)** If he has accepted either:
 - (i)** on the reasonable assumption that its nonconformity would be cured, and it **has not been seasonably cured**; or
 - (ii) without discovery of such nonconformity**, if his acceptance was reasonably induced either by the difficulty of discovery before acceptance or by the seller's assurances.

(2) Manner of revocation

If revocation is permitted, it must be made within a reasonable time after the defect or nonconformity has been or should have been discovered. The goods must be returned in substantially the same shape in which they were tendered, except for damage caused by the defect. Notice must be given to the seller, and the revocation is not effective until such notice has been given. When the buyer properly revokes, he has all the rights and obligations of one who has not accepted the goods.

4. Buyer's Rights And Remedies When Nonconforming Tender Is Accepted**a. In general**

When there is a nonconforming tender by the seller, the buyer has a right to reject the goods. He may, however, intentionally agree to accept them despite the nonconformity, or he may unintentionally accept them by failing to make a proper rejection. If the buyer does in fact accept them, he still has a right to recover from the seller any damages caused by the seller's breach.

b. Notice requirement

Although acceptance does not impair any remedy that the buyer has other than his right to reject the goods, the buyer must give notice to the seller of any breach within a reasonable time after he discovers or should have discovered the breach. Failure to give notice bars the buyer from all remedies. UCC §2-607(2).

c. Damages recoverable**(1) Breach of warranty**

When the goods are nonconforming, this amounts to a breach of warranty by the seller. The measure of damages in such cases is the difference between the value the goods would have had if they had been as warranted, and their actual value with the defect.

(2) Breach of tender obligations

When the nonconformity results from the seller's failure to perform one of her tender obligations (e.g., where the delivery is late), the buyer may recover all loss that results from

the breach in the ordinary course of events, as determined in any manner that is reasonable. In effect, all damages that are proximately occasioned by the breach are recoverable.

(3) Incidental and consequential damages

Incidental and consequential damages are also recoverable by the buyer in either instance.

5. Rejection

a. Manner of rejection

Section 2-606(1)(b), *supra*, on acceptance by failure to reject, requires reference to §2-602(1), which states:

Rejection of goods must be within a reasonable time after their delivery or tender. It is ineffective unless the buyer seasonably notifies the seller.

Thus, when a tender of goods is made by the seller, **positive action is required by the buyer in order to avoid acceptance.** He must act within a reasonable time, which time will depend upon the facts of the individual case, especially upon the contract terms relating to inspection and the physical ease or difficulty of making an inspection of the goods. If the contract permits him to inspect within a definite time after receipt of the goods, this determines the period during which a rejection can be made.

b. Notice of rejection

(1) Definition

Section 2-602(1) requires the buyer to notify the seller that he has rejected the goods. What constitutes notice is defined in §1-201(26):

A person “notifies” or “gives” a notice or notification to another by taking such steps as may be reasonably required to inform the other in ordinary course, whether or not such other actually comes to know of it.

(2) Particular defect

Section 2-602(1) does not prescribe the form of notice to be given. It does not require the buyer to state the grounds of his objection. However, note should be taken of §2-605(1), which does require particularization of the grounds in certain instances. Section 2-605(1) provides:

The buyer’s failure to state in connection with rejection a particular defect which is ascertainable by reasonable inspection precludes him from relying on the unstated defect to justify rejection or to establish breach:

(a) where the seller could have cured it if stated seasonably; or

- (b) between merchants when the seller has after rejection made a request in writing for a full and final written statement of all defects on which the buyer proposes to rely.

c. Buyer's obligations regarding goods upon rejection

If the buyer has received the goods prior to his rejection, or if he has revoked his acceptance, he will have possession of the goods. The Code imposes certain obligations upon the buyer with respect to the goods in such cases.

(1) No exercise of ownership

In the first place, he cannot exercise any ownership over the goods. If he does, this is wrongful against the seller and may be treated by the seller as an acceptance.

(2) Duty to hold goods

The buyer also has the positive obligation to hold the goods for a reasonable time to permit the seller to remove them. If the seller has no agent at the place of business or market of rejection, the buyer must await instructions from the seller and follow any reasonable instructions given by him.

(a) Perishable goods

Where the goods are **perishable** and the seller has no local agent, the buyer must sell the goods for the account of the seller if no instructions are forthcoming.

(b) Non-perishable goods

If the goods are **not perishable** and the seller has no agent at the place of rejection, in the absence of instructions from the seller, the buyer may either store the rejected goods for the seller's account, reship them to the seller, or sell them for the seller's account. Such action is neither acceptance nor conversion.

(3) Seller's instructions

If the seller who has no agent in the place of rejection gives **instructions** to the buyer, the instructions are deemed unreasonable if the seller refuses to give indemnity for the buyer's expenses incurred in carrying out the instructions.

(4) Reimbursement

If the buyer sells the goods for the seller, he is entitled to reimbursement out of the proceeds for reasonable expenses for caring for the goods and for selling them, including a seller's commission equal to that which is usual in the trade, or to a reasonable sum not to exceed 10 percent.

(5) Right to retain possession

The buyer may alternatively retain possession of the goods as security for any payments made on the price, and any expenses incurred in their inspection, care, or transportation. UCC §2-711(3).

6. Buyer's Remedies When Buyer Rejects Nonconforming Tender

When the goods are rejected by the buyer because they (or the tender) were nonconforming, the buyer's remedies are the same as though no tender was made at all. Thus, the buyer has a right to damages (**market price minus contract price**), or to cover and cover damages (**cover price minus contract price**), or, in some instances, the right to specific performance or replevin. However, the seller may have the right to cure the defect.

7. Seller's Right To Cure

a. Generally

If the seller makes a nonconforming tender before his time for performance has expired, §2-508(1) provides that upon rejection of the tender by the buyer, the seller may give seasonable notice of his intent to cure the shipment. If he does give notice, he has a right to make a conforming delivery under the contract. The "cure" must be completed by the last date for delivery under the contract, unless the time for cure is extended.

b. Extension of time to cure

Section 2-508(2) provides that:

Where the buyer rejects a nonconforming tender which the seller had reasonable grounds to believe would be acceptable with or without money allowance the seller may if he seasonably notifies the buyer have a further reasonable time to substitute a conforming tender.

This subsection assumes that the seller's time for performance has expired, and it therefore extends the seller's right to cure. Section 2-508(2) is sharply limited, however, by the requirement that the seller have "reasonable grounds to believe" that the tender would be accepted despite the nonconformity. If time of delivery is specifically made essential in the contract, or the contract expressly provides that no replacements will be allowed, the seller cannot have grounds to believe that a nonconforming tender will be accepted, and the subsection is inapplicable.

c. Effect of cure

When a cure is properly made under these provisions, it is just as if the seller had properly performed in the first place. Thus, when a buyer rightfully rejects a nonconforming tender, he has the same remedies that are available where no tender is made, unless there is a cure by the seller. In the event of cure, the seller has fully performed and the buyer has no right or remedies because he got what he bargained for.

D. REVIEW OF BUYER'S REMEDIES

1. Generally

When the seller's time for performance arises, the seller may do one of three things:

a. Nothing (breach by seller);

- b. Make a **nonconforming tender** (breach by seller);
- c. Make a **conforming tender** (performance by seller).

The seller must strictly perform all obligations under the contract. There is no doctrine of substantial performance, except in installment contracts.

2. If Seller Makes No Tender

If the seller does not tender the goods when the time for performance arises, there is a breach by the seller. The buyer has three basic remedies:

- a. **Damages:** market price minus contract price.
- b. **Cover:** purchase similar goods elsewhere and sue for cover price minus contract price.
- c. **Specific Performance** (unique goods) or **Replevin** (identified goods where similar goods are available in the marketplace).

Buyer also can obtain incidental and consequential damages where damages or the cover remedy is sought.

Buyer can obtain the goods from the seller if partial payment is made and the seller becomes insolvent within 10 days of payment. Buyer must tender the rest of the price.

3. If Seller Makes Nonconforming Tender

If either the tender or the goods are nonconforming, the buyer has the right to reject all, accept all, or reject some and accept some. Buyer has the right to inspect the goods before deciding whether to accept or reject. Inspection can be at or in any reasonable time, place, and manner.

a. Rejection

Rejection requires the buyer to give the seller notice that he is rejecting.

If the buyer rejects, the buyer has the same basic remedies as if no tender was made by the seller:

- (1) Damages,
- (2) Cover,
- (3) Specific performance or replevin.

Incidental and consequential damages can also be recovered.

b. Acceptance

(1) Requirements

Acceptance occurs when:

- (a) The buyer says he is accepting,
- (b) The buyer uses goods, or
- (c) The buyer fails to reject.

(2) Damages

If the buyer accepts a nonconforming tender, the buyer can still recover for any damages resulting from the defect, provided notice of defect is given within a reasonable time. If the nonconformity is in the goods (breach of warranty) then the measure of damages is the value the goods would have had if as warranted, minus the actual value with the defect. If the breach was in the tender obligation (e.g., delivered late), then the buyer may recover all losses resulting in the ordinary course of events.

(3) Revocation

Buyer can revoke acceptance (thus putting himself in the same position as if he had rejected), if he:

- (a) Accepted with a reasonable expectation that the seller would cure and the seller did not, or
- (b) The defect was hidden.

c. Right to cure

The seller has a right to cure a defective tender if:

- (1) There is still **time to perform** under the contract; or
- (2) The seller had reasonable grounds to believe the **buyer would accept despite the nonconformity**.

If the seller cures, it is just as though she had made proper a tender in the first place.

VI. BUYER'S OBLIGATIONS AND SELLER'S REMEDIES

A. IN GENERAL

When the seller performs by making a conforming tender, the basic obligations of the buyer are:

- To accept the goods; and
- To pay the price.

The obligation to accept the goods arises when the goods are tendered to the buyer by the seller. As discussed *supra*, the buyer has a right to inspect before he decides whether to accept or reject. This section discusses the buyer's obligation to accept when conforming goods are tendered and the seller's remedies when the buyer fails to perform this duty.

B. REMEDIES FOR WRONGFUL REJECTION

1. Buyer's Obligation When Conforming Goods Tendered

When the seller makes a tender of goods that conform to the contract, the buyer is obligated to accept. In reality, however, the buyer may accept or reject. If the buyer does accept, then he has performed one of his obligations under the contract. If the buyer rejects, the rejection is wrongful and the buyer has breached the contract.

2. Seller's Remedies When Buyer Wrongfully Rejects

If the buyer breaches the contract by wrongfully rejecting the goods, the seller has three possible remedies:

- Sue for damages (normally, contract price minus market price);
- Resell the goods to a third party and sue for the difference between the contract price and the resale price (contract price minus resale price); or
- Sue for the price if the goods are not salable in the seller's ordinary course of business.

a. Seller's suit for damages for non-acceptance

(1) Measure of damages

Section 2-708 provides two alternative measures of damages for a wrongful rejection by the buyer. It states:

- (1) Subject to subsection (2) and to the provisions of this Article with respect to proof of market price [Section 2-723], the measure of damages for non-acceptance or repudiation by the buyer is the difference between the market price at the time and place for tender and the unpaid contract price, together with any incidental damages provided in this Article [Section 2-710], but less expenses saved in consequence of the buyer's breach.
- (2) If the measure of damages provided in subsection (1) is inadequate to put the seller in as good a position as performance would have done, the measure of damages is the profit [including reasonable overhead] which the seller would have made from full performance by the buyer, together with any incidental damages provided in this Article [Section 2-710], due allowance for costs reasonably incurred and due credit for payments or proceeds of resale.

(2) Incidental damages

The seller's incidental damages are described in §2-710 as including:

[A]ny commercially reasonable charges, expenses or commissions incurred in stopping delivery, in the transportation, care, and custody of goods after the buyer's breach, in connection with return or resale of the goods or otherwise resulting from the breach.

b. Resale of the goods

(1) Right to resell

A second remedy of the seller, which is really an alternate method of measuring damages, is to resell goods that have been identified to the contract. Section 2-706 of the Code provides for the seller's right to resell and recover damages. Under this section, when a resale is made for less than the contract price, the difference between the resale price and the original price is the actual measure of damages, and not just evidence thereof. If the seller makes a resale for more than the contract price, she is not accountable to the buyer for any profit she makes on the new transaction. In addition, the seller has a right to any incidental damages caused by the breach.

(2) Method of resale

UCC §§ 2-706(2), (3), and (4) govern the manner in which a resale must be made. Unless otherwise agreed upon, the sale may be public or private. One or more contracts may be made, and the seller is allowed to use the goods to fulfill a contract already made with another customer. The method, manner, time, place, and terms of the sale must be commercially reasonable, and the sale may be of all the goods as a unit or of portions thereof. There must be some identification of the transaction as a resale of goods originally sold under the broken contract.

(a) Private sale

If the resale is to be a private sale, the seller must give the buyer reasonable notification of his intent to resell.

(b) Public sale

If the sale is a public sale, there are several additional rules:

- (i) Only **identified goods** can be sold unless there is a recognized market for a public sale of futures in goods of the kind; and
- (ii) The sale must be made at a **usual place or market for public sale** if one is reasonably available, and except in the case of goods which are perishable or threaten to decline in value speedily, the seller must give the buyer **reasonable notice of the time and place** of the resale; and
- (iii) If the goods are not to be within the view of those attending the sale, the notification of sale must state **the place where the goods are**

located and provide for their reasonable inspection by prospective bidders; and

(iv) The seller may buy.

(3) Goods must be identified

Unless there is a recognized futures market in the goods, only goods that have been identified to the contract may be resold under §2-706. However, under §2-704(1)(a), a seller may proceed to identify conforming goods to the contract if the goods were in her possession or control at the time she learned of the breach. This section is important because it allows the seller to identify so that she may resell under §2-706, or in some cases, to sue for the price under §2-709 (see *infra*). Section 2-704(1)(b) allows the seller to resell goods that have been demonstrably intended for the contract even though the goods are not finished.

Unfinished goods are covered in §2-704(2), which states:

Where the goods are unfinished, an aggrieved seller may in the exercise of reasonable commercial judgment, for the purpose of avoiding loss and of effective realization, either complete the manufacture and wholly identify the goods to the contract, or cease manufacture and resell for scrap or salvage value or proceed in any other reasonable manner.

c. Seller's right to the price after the buyer has wrongfully rejected

The third possible remedy of the seller is to recover the price. This remedy, which is similar to the buyer's right of specific performance, is allowed only where the goods have been identified to the contract and the seller is unable to sell them at a reasonable price after a reasonable effort, or if the circumstances reasonably indicate that such effort will be unavailing.

If the seller sues for the price, she must tender the goods to the buyer. If the court refuses to allow recovery of the price, judgment is still to be given for damages as discussed above.

3. Cancellation

Another right given to the seller is to cancel the contract. When a seller "cancels," she retains her right to sue for any damages resulting from breach of the entire contract or for any unperformed balance. "Cancellation" therefore does not put an end to the buyer's obligation to pay damages. Comment 1 to §2-703 rejects any idea that election of remedies is to be a fundamental policy of the Code, and states that the remedies set forth in the section are cumulative.

4. Right To Retain Deposits

If the seller has possession of the goods and the buyer has paid a deposit, one of the easiest ways to settle damages upon the buyer's breach or default is for the seller to retain the deposit and forego suing. However, if the deposit far exceeds the actual or expected damages, retention can be tantamount to a penalty. Section 2-718(2) provides for the return of the deposit to the buyer in the following manner:

Where the seller justifiably withholds delivery of goods because of the buyer's breach, the buyer is entitled to restitution of any amount by which the sum of his payments exceeds:

- (a) the amount to which the seller is entitled by virtue of terms liquidating the seller's damages in accordance with subsection (1), or
- (b) in the absence of such terms, 20% of the value of the total performance for which the buyer is obligated under the contract or \$500, whichever is smaller.

If the buyer brings suit for restitution under this section, the actual damages resulting from his breach may be offset by the seller.

5. Liquidated Damages

A liquidated damages clause in a contract for sale is enforceable if the amount of damages bears a reasonable relationship either to actual damages or to those which could have been anticipated at the time the contract was made.

C. PRICE

The second obligation of the buyer is to pay the price for the goods. This is a distinct obligation from the duty to accept the goods.

1. Seller's Right To Price When Buyer Has Accepted

When the buyer accepts a tender of the goods, the seller is entitled to recover the price as established by the contract and the UCC

2. Amount Of Price

a. In general

In the vast majority of contracts for sale, the price is set by the parties in the contract itself. In some cases, however, the parties may leave the price open. Section 2-204(3) expressly permits the parties to contract even though some of the terms of the contract are not yet settled. Section 2-305 augments this principle in connection with the price term. It states:

- (1) The parties if they so intend can conclude a contract for sale even though the price is not settled. In such a case the price is a reasonable price at the time for delivery if:
 - (a) nothing is said as to price; or
 - (b) the price is left to be agreed by the parties and they fail to agree; or
 - (c) the price is to be fixed in terms of some agreed market or other standard as set or recorded by a third person or agency, and it is not so set or recorded.

- (2) A price to be fixed by the seller or by the buyer means a price for him to fix in good faith.
- (3) When a price left to be fixed otherwise than by agreement of the parties fails to be fixed through fault of one party, the other may at his option treat the contract as cancelled or himself fix a reasonable price.
- (4) Where, however, the parties intend not to be bound unless the price is fixed or agreed and it is not fixed or agreed, there is no contract. In such a case the buyer must return any goods already received or if unable to do so must pay their reasonable value at the time of delivery and the seller must return any portion of the price paid on account.

The section is basically the same as what might be expected under general contract principles, but three points should be emphasized:

- (1) The parties may “agree to agree” in the future to a price;
- (2) The parties may agree that one of them will unilaterally set the price; and
- (3) If the price depends upon an external market standard or is to be decided by a third party and the price is not so set, then the contract remains enforceable and the price is a reasonable one unless the parties intend otherwise.

b. Price term omitted

If there is no mention of price in the contract for sale and the parties do not agree upon the price, the Code provides that the sale is valid and that the buyer must pay a reasonable price. The Code gives no hint of how a reasonable price is to be determined, but it would seem that the market price would normally be accepted as a reasonable price. Where there is no market price, an independent appraisal might establish a reasonable price. If there is no way of ascertaining a reasonable price, then the contract would necessarily fail under §2-204(3) as it would be impossible to give adequate relief to the seller.

c. Price to be agreed upon by parties

If the contract provides that the parties will agree to a price in the future, then it is clearly enforceable if they do in fact agree. If they cannot agree, then a reasonable price is supplied by the Code if they intended that a reasonable price should govern in absence of agreement. This is clearly a question of fact, and may often be difficult to resolve in the absence of some expression of intent by the parties.

3. Payment By Check

Under §2-511, the buyer has a right to pay in any manner current in the ordinary course of business unless the seller demands payment in legal tender. If the seller does demand legal tender, the buyer must be given additional time to procure it.

4. Price Payable In Goods, Realty, Or Otherwise

Section 2-304 provides that the price may be payable in money, goods, realty, services, or otherwise. Where the goods are paid for in part or entirely by an exchange of other goods, each party is a seller as to those goods he transfers, and each is a buyer as to those he receives. Where realty is all or part of the price, then the Code applies to the transfer of the goods but not to the transfer of the realty.

5. Time And Place Of Payment In General

a. Delivery

Section 2-310 restates the general rule that if the parties do not provide a definite time for payment in the contract for sale, payment is due when the goods are delivered to the buyer. Thus, generally the time for payment is when the buyer receives the goods. If the seller is to transport the goods to the buyer, no right to payment exists until they are tendered at the place of destination, whether the contract is one of "shipment" or "destination."

b. Right to inspect before payment

In most cases, the buyer's obligation to pay does not arise immediately upon receipt of the goods because the buyer has a right to inspect the goods before paying, and inspections are usually made after receipt of the goods. Thus, the payment obligation generally arises after the time for inspection has passed. The contract may provide that payment is to be made before inspection, however, and in three cases the Code specifically requires **payment before inspection**:

- (1) Where the delivery is **C.O.D.** (cash on delivery) or on like terms;
- (2) Where the contract is **C.I.F. or C. & F.**;
- (3) Where the contract provides for **payment against documents of title** and does not state that such payment is due only after the goods are made available for inspection.

6. Seller's Right To Reclaim The Goods

a. In general

When the buyer refuses to pay the price, the seller's remedy is to sue for the price. In two instances, the seller also has some rights in the goods.

b. Right to reach goods upon buyer's insolvency

(1) In general

Once a buyer accepts goods, he becomes their owner and they become assets of his estate. They can be reached by all creditors of the buyer for the purpose of realizing on debts owed by the buyer, unless they are subject to a lien or security interest in favor of a particular creditor. Absent a right to the goods created either by the law or by a consensual agreement, the seller of the goods stands in no better position than the other general creditors of the buyer.

Section 2-702(2) creates a limited security interest in favor of the seller:

Where the seller discovers that the buyer has received goods on credit while insolvent, he may reclaim the goods upon a demand made within ten days after the receipt; but if misrepresentation of solvency has been made to the particular seller in writing within three months before delivery, the ten-day limitation does not apply. Except as provided in this subsection, the seller may not base a right to reclaim the goods on the buyer's fraudulent or innocent misrepresentation of solvency or of intent to pay.

(2) Rights of good faith purchaser from buyer

Section 2-702(3) makes the seller's right subject to those of a good faith purchaser from the buyer:

The seller's right to reclaim under subsection (2) is subject to the rights of a buyer in ordinary course or other good faith purchaser under this Article [Section 2-403]. Successful reclamation of goods excludes all other remedies with respect to them.

c. Right to reach goods when delivery made under C.O.D. contract

Subsection 2-507(2) provides that:

Where payment is due and demanded on the delivery to the buyer of goods or documents of title, his right as against the seller to retain or dispose of them is conditional upon his making the payment due.

Thus, where a C.O.D. sale has been made, and the seller accepts a check upon delivery, the seller is entitled to reclaim the goods if the check is not paid when presented.

D. REVIEW OF BUYER'S OBLIGATIONS AND SELLER'S REMEDIES

1. Conforming Tender - Obligation To Accept

When a conforming tender is made, buyer is obligated to accept. If buyer accepts, this amounts to performance of one of buyer's obligations. If buyer rejects, buyer has breached the contract.

2. Means Of Acceptance Or Rejection

Acceptance may be by asserting acceptance, by use of the goods, or by failure to reject.

Rejection must be accompanied by notice within a reasonable time.

3. Right To Price Upon Acceptance

a. General rule

If the buyer has accepted the goods, the seller has a right to the price. The seller's remedy when the buyer refuses to pay the price is to sue for the price.

b. Amount

The amount is generally set by contract but if not, the buyer must pay a reasonable price. The parties can postpone agreement about the price when they enter the contract.

c. Form of payment

Payment by check is permitted unless the seller demands cash. If the seller demands cash, the buyer is entitled to a reasonable time to obtain it.

d. Time of payment

The price is due after the goods are physically delivered to the buyer and the buyer has an opportunity to inspect unless the contract provides otherwise. The buyer has no right to inspect before paying where:

- (1) C.O.D. contract;
- (2) C.I.F. or C. & F. contract;
- (3) Payment is against documents.

In these cases, the buyer still has the right to inspect before accepting.

4. Right To Reclaim Goods

If the buyer was insolvent when the goods were delivered and the price is not paid, the seller can recover the goods if demand is made in 10 days, provided no good faith subpurchaser has bought the goods from the buyer.

In a C.O.D. sale, if the buyer has given a worthless check, the seller can reclaim the goods.

5. Remedies Upon Wrongful Rejection

If the buyer wrongfully rejects, the seller has three basic remedies: damages, resale, or recovery of the price. The seller may also recover incidental damages along with contract damages or resale.

a. Damages for wrongful rejection

The measure of damages is generally **contract price minus market price**. However, if Contract Price minus Market Price does not fully compensate seller, seller can sue for lost profits as an alternate measure of damages.

b. Resale

If the seller elects to resell and sue for **contract price minus resale price**, the resale must be:

- (1) only of **identified goods**, and
- (2) **commercially reasonable**.

c. Price

Seller can recover the price after rejection only if the goods are not salable in the seller's ordinary course of business.

Seller can retain deposits paid by the buyer up to:

- (1) \$500;
- (2) 20% of the value of performance; or
- (3) The amount stated in a liquidated damages clause, whichever of the three is greatest.

VII. INSTALLMENT CONTRACTS

A. INSTALLMENT CONTRACTS IN GENERAL

1. Definition

If the contract for sale does not contain an express provision specifying whether the goods are to be delivered in one lot or in multiple lots, the seller is obligated to deliver in one lot unless circumstances show that the intent of the parties was to provide for multiple deliveries. When the parties do intend that the goods be delivered in separate installments, the contract is an “installment contract.” Section 2-612 defines an installment contract as follows:

An “installment contract” is one which requires or authorizes the delivery of goods in separate lots to be separately accepted, even though the contract contains a clause, “each delivery is a separate contract” or its equivalent.

2. Questions

If the parties have an installment contract, two questions may arise:

- a. Is **payment** to be made upon each delivery of a part of the goods, or in a lump sum?
- b. What are to be the **consequences of a breach** as to one installment?

B. PAYMENT

Section 2-307 provides that payment is due upon each tender of a part of the goods if the price can be apportioned.

C. BREACH OF ONE INSTALLMENT: EFFECT ON THAT INSTALLMENT

Under §2-612(2), the buyer may reject any installment that is nonconforming only if it substantially impairs the value of that installment and cannot be cured. But if the nonconformity can be cured and the seller gives adequate assurances of its cure, the shipment must be accepted by the buyer. In effect, this means that when the nonconformity is not substantial and can be cured, the buyer must accept the goods and his only right is to sue for damages.

D. BREACH OF ONE INSTALLMENT AS A TOTAL BREACH

Under §2-612(3), there is a breach of the whole contract - a total breach - only when the nonconformity or default with respect to a particular delivery “substantially impairs the value of the whole contract.” Comment 6 to the section provides, in part, that:

Whether the nonconformity in any given installment justifies cancellation as to the future depends, not on whether such nonconformity indicates an intent or likelihood that the future deliveries will also be defective, but whether the nonconformity substantially impairs the value of the whole contract. If only the seller’s security in regard to future installments is impaired, he has the right to demand adequate assurances of proper future performance but has not an immediate right to cancel the entire contract. It is clear under this Article, however, that defects in prior installments are cumulative in effect, so that acceptance does not wash out the defect “waived.”

Thus, only when the breach or cumulative breaches substantially impair the value of the whole contract can the nonbreaching party cancel as to subsequent installments.

VIII. RISK OF LOSS AND INSURABLE INTEREST

A. RISK OF LOSS

1. In General

Before a contract for the sale of goods is made, a person must bear any loss of goods or damage to goods that she owns. The owner may have a cause of action against another if the loss or damage was occasioned by the other’s fault, or the owner may have a right to recover insurance, but initially the loss is hers. At some point after a contract of sale is signed (or conceivably at the time of its signing), the risk of loss will shift from the seller to the buyer. This time may be determined by agreement of the parties, but if it is not, the Code provides rules establishing when the shift occurs.

2. Basic Rules

a. Delivery to seller’s place of business

When the seller’s place of business is the delivery point, the risk of loss passes a reasonable time after the seller has offered the goods to the buyer if the seller is not a merchant, or at the time the buyer receives the goods if the seller is a merchant.

b. Shipment contract

In a shipment contract, the risk of loss passes when the seller gives possession to the carrier and makes a proper contract for their shipment. UCC §2-509.

c. Destination contract

In a destination contract, risk of loss passes when the seller makes a tender at the destination point. UCC §2-509.

3. Exceptions

When there has been a breach of the contract, the Code provides different and additional rules. Three distinct situations are covered:

- Where a tender is sufficiently nonconforming to give the buyer a right of rejection.
- Where the buyer has properly revoked his acceptance.
- Where the goods have been identified to the contract and the buyer repudiates or breaches.

a. Tender of nonconforming goods

Section 2-510(1) prevents the seller from shifting to the buyer the risk of loss of goods that do not conform to the contract for sale unless the buyer accepts. Therefore, if the seller ships nonconforming goods and they are destroyed in transit, the risk of loss does not pass to the buyer, even though a “shipment” contract was involved.

b. Revocation of acceptance

When the buyer rightfully revokes his acceptance, he may treat the risk of loss as being on the seller to the extent that the buyer’s effective insurance does not cover the goods. Thus, if the buyer revokes his acceptance, and the goods are not covered by his insurance when destroyed, the seller must bear the loss.

c. Repudiation or breach by buyer

If the goods have been identified to the contract, and the buyer repudiates or breaches the contract for sale before the risk of loss has passed to him, the seller may treat the risk of loss as being on the buyer for a commercially reasonable time, to the extent that the seller’s effective insurance does not cover the goods.

B. INSURABLE INTEREST

1. In General

In order to insure goods, a person must have an insurable interest in them. For example, A cannot insure B’s automobile or other property. In a contract for the sale of goods, the question can arise (if there is a suit against an insurance company based upon a policy covering the goods that are the subject matter of the sale) whether the seller or the buyer, or both, have an insurable interest in the goods that are covered by the policy.

2. Seller’s Insurable Interest

The seller has an insurable interest in the goods so long as she has either title to them or a security interest in them. UCC §2-501(2). The security interest can be one that arises automatically under Article 2, or one that is given to the seller under Article 9.

3. Buyer's Insurable Interest

The buyer has an insurable interest as soon as the goods are identified to the contract. If the goods are in existence at the time the contract is made, the identification occurs at that time if the specific items that are the subject matter of the sale are designated by the parties.

Otherwise, it occurs as soon as the seller decides which goods will be allocated to the buyer under the contract. UCC §2-501(1). The buyer's insurable interest will at times overlap with the seller's, and in such cases, both will have an insurable interest.

IX. TITLE AND GOOD FAITH PURCHASERS

A. TITLE

The parties to a contract for the sale of goods may determine by agreement when title to the goods will pass from the seller to the buyer. Absent a specific agreement, the Code provides that title passes at the time the seller completes her delivery obligations. UCC §2-401.

The passage of title is important because it determines whether the seller still has an insurable interest. It is also important because it will determine, at least initially, whether creditors of the seller or creditors of the buyer can reach the goods to satisfy a judgement.

B. ENTRUSTMENT PROVISIONS

If the owner of goods gives possession of them to a person in the business of selling goods of the same kind, the person receiving possession has the power to transfer good title to a buyer in the ordinary course of business. UCC §2-403. A buyer in ordinary course is defined in §1-201(9) as:

... a person who in good faith and without knowledge that the sale to him is in violation of the ownership rights or security interest of a third party in the goods buys in ordinary course from a person in the business of selling goods of that kind, but does not include a pawnbroker. ... "Buying" may be for cash or by exchange of other property or on secured or unsecured credit and includes receiving goods or documents of title under a pre-existing contract for sale but does not include a transfer in bulk or as security for or in total or partial satisfaction of a money debt.

A typical example of the application of the entrusting provision is where the owner of a watch takes it to a jewelry store to have it repaired and the jewelry store sells it to a third person. Assuming the jewelry store ordinarily sells used watches, the third person will get good title even against the true owner if the third person meets the definition of a buyer in ordinary course.

C. VOIDABLE TITLE

A general rule of property law provides that when title to property passes, the transferee has the power to transfer good title to a subpurchaser even if the original transaction is voidable

by the original transferor. For example, if A transfers title to B based upon B's fraudulent representations, the contract is voidable by A and so is B's title. B, however, has the power to transfer good title to C. Section 2-403(1) adopts this position:

A purchaser of goods acquires all title that his transferor had or had power to transfer except that a purchaser of a limited interest acquires rights only to the extent of the interest purchased. A person with voidable title has power to transfer a good title to a good faith purchaser for value. When goods have been delivered under a transaction of purchase, the purchaser has such power even though:

- (a) the transferor was deceived as to the identity of the purchaser; or
- (b) the delivery was in exchange for a check which is later dishonored; or
- (c) it was agreed that the transaction was to be a "cash sale;" or
- (d) the delivery was procured through fraud punishable as larcenous under the criminal law.



MicroMash®

**MULTISTATE ESSAY EXAM REVIEW
SECURED TRANSACTIONS**

MicroMash® BAR REVIEW
MULTISTATE ESSAY EXAM
SECURED TRANSACTIONS

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SECURED TRANSACTIONS

I. NATURE OF SECURED TRANSACTIONS

A secured transaction under Article 9 involves a debtor-creditor relationship between the debtor and the secured party (creditor) wherein the debtor has given to the secured party a security interest in certain *personal property* collateral for the purpose of securing the debt.

A. PURPOSES OF SECURED CREDIT

1. In General

The purpose of the security interest is twofold:

- a. To make the debt more easily collectable if the debtor cannot, or refuses to, pay when it is due; and
- b. To give the secured party (creditor) a position superior to other creditors of the debtor who might attempt to reach the collateral to satisfy their debts, and to retain the secured party's rights to reach the collateral if it is sold to a third party by the debtor.

2. Collectability Of Debt

The rights and duties existing between the debtor and the secured party are largely left to the agreement between the parties, however, the Code does provide certain limitations on freedom of contract. The Code also is important in determining the rights of the parties when the agreement is silent on a matter in dispute. The right to claim specific property of the debtor is a "property right."

3. Secured Party's Rights

The second purpose of the secured transaction requires a consideration of the rights of the secured party against general creditors, lien creditors, the trustee in bankruptcy, other secured parties, and purchasers of the collateral. These rights are established by the Code and involve the concept of perfection of the security interest. The right of the secured creditor to claim his property right despite competing claims is a "priority right." Obtaining such a priority right generally requires that the secured party solve the "ostensible ownership" problem. Pre-Code law was hostile to secured credit other than the pledge because it was considered fraudulent for the collateral to remain in the possession of the debtor yet be subject to a "secret lien." *See, Clow v. Woods*, 9 Am. Dec. 346 (Pa. 1819). The concern was that third parties might extend credit to the debtor based on his apparent ownership of those assets free and clear.

B. DEFINITION OF SECURITY INTEREST

1. In General

A “**security interest**” is defined as an interest in personal property or fixtures that secures payment or performance of an obligation. U.C.C. §1-201(35) (all statutory citations are to the Uniform Commercial Code unless otherwise indicated). A security interest may be given to secure any extension of credit by the secured party to the debtor. It may secure a loan from a bank when the money is to be used by the borrower (debtor) as he sees fit. It may also secure an extension of credit given by a seller to a buyer, or a loan to a retailer, a manufacturer, or other business.

2. Purchase Money Security Interests

An important distinction is made where the loan or extension of credit is for the purpose of allowing the debtor to purchase the particular property in which he gives the security interest. Such a transaction gives rise to a “**purchase money security interest.**” §9-103.

C. SCOPE OF ARTICLE NINE

1. Types Of Collateral

a. Personal property and fixtures

Article 9 applies to any transaction, regardless of its form, that creates a security interest in personal property or fixtures. §9-109(a)(1).

b. Agricultural liens

Although statutory liens were not governed by the prior version of Article 9, agricultural liens are now governed by revised Article 9. §9-109(a)(2). An agricultural lien is an interest, other than a security interest, in farm products that:

- 1) secures payment or performance of an obligation for goods or services furnished in connection with a debtor’s farming operation, or rent on real property leased by a debtor in connection with its farming operation; and
- 2) is created by statute in favor of a person that:
 - (a) in the ordinary course of business furnished goods or services to a debtor in connection with a debtor’s farming operation; or
 - (b) leased real property to a debtor in connection with the debtor’s farming operation; and
 - (c) whose effectiveness does not depend on the person’s possession of the personal property.

§§9-102(a)(5), (34). Farm products include crops (other than standing timber), livestock, supplies used or produced in farming operations, and products of crops or livestock in their unmanufactured states.

c. Accounts, chattel paper, payment intangibles, and promissory notes

Revised Article 9 also governs the sale of accounts, chattel paper, payment intangibles, and promissory notes. §9-109(a)(3). (The prior version of Article 9 applied only to accounts and chattel paper.) This is because the commercial motive behind either a secured transaction with such collateral or its outright sale is the same: quick realization upon liquid assets. The buyer of accounts, chattel paper, payment intangibles, or promissory notes must file in order to warn other creditors of the seller not to extend credit against such assets. Although a true sale of other types of collateral is not a secured transaction, a “purchaser” and “seller” of accounts, chattel paper, payment intangibles, or promissory notes are within the meaning of “secured party” and “debtor.” §§9-102(a)(72), (28); 1-201(35).

d. Consignments

Although not intended to create a security interest, a consignment of goods is deemed within the scope of Revised Article 9 if it fits within the definition of a consignment. §1-201(a)(37). Under Revised Article 9, a consignment means a transaction, regardless of its form, in which a person (the consignor) delivers goods to a merchant (the consignee) for the purpose of sale and:

- 1) The merchant:
 - (a) Deals in goods of that kind under a name other than the name of the person making delivery;
 - (b) Is not an auctioneer; and
 - (c) Is not generally known by its creditors to be substantially engaged in the selling the goods of others.
- 2) With respect to each delivery, the aggregate value of the goods is \$1,000 or more at the time of delivery;
- 3) The goods are not consumer goods immediately before delivery; and
- 4) The transaction does not create a security interest that secures an obligation.

§9-102(a)(20). If a consignment is intended to create a security interest, it is not within the definition of consignment, but instead is covered by Article 9 as an ordinary secured transaction.

e. Ownership of the collateral

Under the provisions of Article 9, a security interest may be created in collateral **presently owned** by the debtor (such as manufacturing equipment), **acquired by the debtor** by virtue of the secured transaction (e.g., a conditional sale of goods), or **to be acquired** by the debtor subsequent to the security agreement (e.g., after-acquired inventory). §9-204.

2. Exclusions From Article 9

In deference to other governing state or federal statutes, or for commercial practicality, the following transactions are excluded from Article 9 under §9-109:

- a. security interests subject to federal statutes, to the extent that they govern the rights of parties to, and third parties affected by, the transaction;
- b. landlord's liens, other than an agricultural lien;
- c. statutory or common law liens for services or materials, other than agricultural liens;
- d. transfers of claims of an employee for wages;
- e. sales of accounts, chattel paper, payment intangibles, or promissory notes as part of a sale of the business out of which they arose or for the purpose of collection, or a transfer to an assignee who assumes performance under the contract, or the assignment of a single account, payment intangible, or promissory note in payment of an existing indebtedness;
- f. interests in or claims in or under insurance policies, except with respect to proceeds;
- g. rights represented by a judgment and rights of set-off, except for a judgment taken on a right to payment that was collateral;
- h. liens on or interests in real estate (except as to fixtures);
- i. claims arising out of tort; and
- j. transfers of bank deposit accounts, including savings and checking accounts (note that transfers of certificates of deposits are within the scope of Article 9), except with respect to proceeds.

With respect to real estate, while a mortgage or sale of a mortgage does not fall under the purview of Article 9, if a mortgagee uses the note and mortgage as collateral to secure his own obligation to another person, this creates a new security interest in the secured note, and this does come within Article 9, as it is a consensual security interest in personal property, i.e., in the note and mortgage. §9-109(d)(1), §9-203(g)(3).

The effect of exclusion from Article 9 is generally that the claimant prevails over the secured party as at common law, but the cases are in conflict; some still apply the basic priority rules of Article 9 to these claimants, looking for the "first in time." See, *Peterson v. Ziegler*, 39 Ill. App.3d 379, 350 N.E.2d 356 (1976).

3. Form Of Transaction

It may be necessary to distinguish a security interest from a bailment, a lease, or a sale. A "conditional sale" in which the seller retains title after shipment or delivery to the buyer is treated as a security interest. §1-203.

a. Leases

A lease may be subject to the provisions of Article 9 if it is “intended as security.” In other words, if the transaction is not a true lease but actually a disguised installment sale with the “lessor” retaining title only until the “lessee” pays for the goods, Article 9 is applicable. An option to purchase does not of itself make the lease one intended as security, unless the option may be exercised for no additional consideration or for nominal consideration. §1-203. Under the “economic realities” test, the transaction is not a secured sale if the amount the lessee must pay to exercise the option is close to the fair market value of the property at that time. *See, In re Brookside Drug Store, Inc.*, 3 B.R. 120 (Bankr. D.Conn. 1980). If the transaction is a “true lease,” the lessor’s reversionary interest as the owner of the property prevails over claims of the lessee’s creditors.

b. Precautionary filings

In distinguishing a security interest from one of these other types of transactions, courts look for the true “owner” of the goods by noting how the parties have allocated the incidents of ownership, such as risk allocation and residual value. *See, In re Medomak Canning Co.*, 588 F.2d 818 (1st Cir. 1978). Because of uncertainties in this area, the parties may make a precautionary filing which will not of itself be a factor in determining whether the lease or consignment is intended as security. §9-505.

D. TRANSITION RULES

These transition rules govern the effectiveness of security interests that were created before the effective date of revised Article 9 (July 1, 2001).

1. Perfected Security Interests**a. Enforceable under revised Article 9**

In most cases, a perfected security interest that was enforceable under the prior version of Article 9 will also be enforceable under revised Article 9, as the rules are similar. In those cases, the security interest continues to be effective without further action. §9-703(a).

b. Unenforceable under revised Article 9

If the perfected security interest was enforceable under prior Article 9 but it does not satisfy the requirements for enforceability under revised Article 9, it does not become immediately unenforceable. Rather, it continues to be enforceable until July 1, 2002. It remains enforceable and perfected thereafter only if the applicable requirements under revised U.C.C. Article 9 for both enforcement and perfection are met within the one-year grace period. §9-703(b).

2. Unperfected Security Interests**a. Enforceability**

Like a perfected security interest, an unperfected security interest that is enforceable immediately before revised Article 9 takes effect remains enforceable until July 1,

2002. It remains enforceable thereafter only if it meets the applicable requirements for enforcement under revised Article 9 within the one-year grace period.

b. Perfection

Additionally, the unperfected security interest becomes perfected (1) without further action when the revision takes effect if the applicable requirements for perfection under revised Article 9 are satisfied before or at that time; or (2) when the applicable requirements for perfection are satisfied if the requirements are satisfied after the revision takes effect. §9-704.

3. Financing Statements

Section 9-703(b), as discussed above, is subject to special transition rules that govern the validity of perfection by filing a financing statement.

a. Properly filed under prior Article 9

A financing statement that was properly filed and that satisfied the requirements for perfection under the prior version of Article 9 is not rendered ineffective by revised Article 9. §9-705(c). However, the financing statement ceases to be effective at the earlier of:

- 1) the time the financing statement would have ceased to be effective under the law of the jurisdiction in which it is filed; or
- 2) June 30, 2006.

§9-705(c).

To continue the effectiveness beyond this period of a financing statement that was (1) filed in the proper place under the prior version of Article 9, but (2) is filed in the wrong place under revised Article 9, a new financing statement (rather than a continuation statement) must be filed in the proper place under revised Article 9 before the original financing statement lapses. Also, to validly continue the effectiveness of the original financing statement, the new financing statement must identify the prior financing statement by indicating the office in which it was filed, the date of filing and file number, if any, and indicate that the prior financing statement remains effective. §9-706.

b. Improperly filed under prior Article 9

If a financing statement is filed before the effective date of revised U.C.C. Article 9, in the wrong place under the prior version of U.C.C. Article 9, but the correct place under revised Article 9, it takes effect on the effective date of revised Article 9. §9-706, Comment 1.

4. Priority

Ordinarily, revised U.C.C. Article 9 determines the priority of conflicting claims to collateral. However, if the relative priorities of the claims were established before revised Article 9 took effect, the prior version of Article 9 determines priority. §9-709.

NOTE: Because the priority rules have essentially remained the same, in most situations the answer to a priority question will be the same whether based on the revised version of Article 9 or the prior version of this Article.



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Remember, the general rule is that if a security interest was enforceable immediately before July 1, 2001, it remains enforceable immediately thereafter, even if the requirements for enforceability under revised U.C.C. Article 9 have not been met.

II. EFFECTUATING A SECURITY INTEREST

A. CREATION OF THE SECURITY INTEREST: THE “SECURITY AGREEMENT”

1. In General

A security interest can be created in two ways:

- a. by a written **security agreement**; or
- b. by the secured party's **taking possession** of the debtor's property with the intent to secure a debt.

2. Security Agreement

A security agreement is an agreement wherein the debtor gives to the secured party a security interest in certain collateral. It must:

- a. indicate an **intent** to create a security interest in certain collateral;
- b. contain a **description** of the collateral; and
- c. be **authenticated**. §9-203.

In the vast majority of transactions there is no question that a valid security agreement has been executed. Usually, the agreement is somewhat lengthy, containing not only the necessary elements required by the Code, but also many other terms. For example, the debtor often agrees to insure the goods, to keep them in a certain place, to keep them in repair, etc. The question of whether a security agreement exists generally arises only where the parties have neglected to sign a formal agreement, but some writing exists that may contain all the elements required by the Code.

3. Specific Requirements

a. Description of collateral

A description is sufficient “if it reasonably identifies what is described.” §9-108(a). Even if a description is objectively inadequate, this is immaterial if the person challenging its adequacy had actual knowledge of all the material facts.

1) Reasonable identification

A description of collateral is reasonable if it identifies the collateral by:

- (a) Specific listing;
- (b) Category;
- (c) A type of collateral defined in the U.C.C.;
- (d) Quantity;
- (e) Computational or allocational formula or procedure; or
- (f) Any other method, if the identity of the collateral is objectively determinable. §9-108(b).

(2) Generic description

A description of collateral as “all the debtor’s assets” or “all the debtor’s personal property” (or by using words of similar consequence) does not reasonably identify the collateral. §9-108(c).

b. Signature of debtor

1) Authentication

In general, a security interest is not enforceable against the debtor or third parties unless the debtor has “authenticated a security agreement that provides a description of the collateral and, if the security interest covers timber to be cut, a description of the land concerned.” §9-203(b)(3)(A). A signed writing is the usual method of authentication. However, a security agreement may be recorded in electronic or other non-written media if it is retrievable in perceivable form. §9-102(a)(69). In that case, the record may be authenticated by executing or otherwise adopting a symbol, or encrypting or similarly processing the record with the present intent of the authenticating person to identify the person and adopt or accept the record. §9-102(a)(7).

2) “Debtor” vs. “obligor”

“Debtor” means:

- (a) a person having an interest, other than a security interest or other lien, in the collateral, whether or not the person is an “obligor;” or
- (b) a seller of accounts, chattel paper, payment intangibles, or promissory notes; or

(c) a consignee. §9-102(a)(28).

An “obligor” is a person that is accountable in whole or in part for payment or other performance of an obligation secured by a security interest in the collateral. Normally, the “debtor” is the person obligated on the debt, and he is normally the owner of the collateral that stands as security for the debt. However, if a third party makes collateral available as security for the debt of another, the owner of the collateral is the “debtor” with respect to provisions of Article 9 dealing with the collateral, even though someone else is the “obligor”. Comment 2 to §9-102.

4. Possession Exception

If the secured party **has possession of the collateral**, all that is needed is an agreement, which can be oral, that the secured party is to have a security interest. Such possessory security interests are frequently referred to as “**pledges**.”

B. ATTACHMENT OF A SECURITY INTEREST

Section 9-203 provides that a secured party has no security interest **in any specific property** until it “attaches” to the collateral. Attachment is the process of creating a security interest, i.e., those steps necessary for a security interest to be **enforceable** between the debtor and the secured party. In the usual case, this simply means that if the debtor does not own the collateral, he cannot give a security interest in it. The best example is a security agreement providing for a security interest in the debtor’s after-acquired inventory. Recall that after-acquired inventory is collateral that the debtor does not yet own. Until the debtor has an interest in the inventory, no security interest can attach. **Attachment** makes the security interest enforceable against the debtor, whereas **perfection** makes it enforceable against third parties.

Three events must occur for the security interest to attach: (1) there must be a valid agreement that it attach; (2) value must be given by the secured party; and (3) the debtor must have rights in the collateral. **These events may occur in any order**. The security interest will attach when the last event takes place. §9-203.

1. Agreement

The agreement that the security interest attach will usually be found in the security agreement, but it is also present in a possessory security interest (pledge), in which no security agreement is required. The definition of “agreement” includes not just language, but “implication from other circumstances.” §1-201(3).

2. Value

“Value” is given no special meaning beyond the definition in §1-201(44):

- a. a binding commitment to extend credit or for the extension of immediately available credit whether or not drawn upon and whether or not a charge-back is provided for in the event of difficulties in collection; or
- b. as security for or in total or partial satisfaction of a preexisting claim; or
- c. accepting delivery pursuant to a preexisting contract for purchase; or
- d. any consideration sufficient to support a simple contract.

Thus, an executory or conditional promise constitutes “value” under Article 9, as does antecedent debt. There is no requirement of “fair” consideration, i.e., equal to the value of the property interest received, unless the claim comes under attack by the trustee in bankruptcy as a fraudulent conveyance.



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In general, priority problems usually turn on **when** value has been given rather than **whether** it has been given.

3. Rights In Collateral

The term “debtor’s rights in the collateral” is not defined in the Code. If the debtor is the present owner of the collateral, there is no problem. However, the debtor may have less substantial rights in the collateral and still meet this requirement.

a. Special property

For example, he may have a “special property” interest in goods identified to a contract for sale in which he is the buyer under §2-401. The “special property” only entitles him to obtain identified goods for which he has made at least partial payment upon the seller’s insolvency, and gives him certain rights to specific performance, as well as an insurable interest in identified goods. §§2-501, 2-502. This is probably a sufficient interest to meet the requirement for attachment. Mere possession of the collateral by the debtor does not give him sufficient rights in the collateral.

b. Derivation principle

Under the “derivation principle,” with certain exceptions, the debtor cannot grant a security interest in what he does not own, i.e., he can grant an interest in only those rights he has in the collateral. There are exceptions, however, such as the “entrustment” provision of §2-403(2); any entrusting of possession of goods to a merchant who deals in goods of that kind gives him power to transfer all rights of the entruster to a buyer in the ordinary course of business.

III. REMEDIES OF THE SECURED PARTY UPON DEBTOR'S DEFAULT

A. PURPOSE OF SECURITY INTEREST

1. In General

The first purpose of a security interest is to facilitate the secured party's collection of the debt owed him if the debtor defaults. The basic remedy given by the Code is akin to foreclosure in real property mortgage cases: **Upon default by the debtor, the secured party may obtain possession of the collateral, sell it, and use the proceeds of the sale to satisfy the obligation.** Under certain circumstances, the secured party may utilize "strict foreclosure," i.e., keeping the collateral in full satisfaction of the debt.

2. Limitations On Freedom Of Contract

Generally, the parties are free to specify in the security agreement the rights and remedies of the secured party upon default. However, the parties **cannot** alter the following obligations:

- a. The secured party must **account to the debtor for any surplus** obtained from a sale of the collateral over and above the amount necessary to pay off the obligation, interest, and allowable expenses such as the cost of the sale. (Note, however, that if the underlying transaction was a sale of accounts, chattel paper, payment intangibles, or promissory notes, the debtor is entitled to any surplus **only if** so provided in the security agreement.)
- b. When the collateral is sold, **the sale must be in a commercially reasonable manner**, and the provisions regarding notice cannot be varied.
- c. When the collateral is **consumer goods**, the collateral in certain cases **must be sold** unless the debtor agrees, **after default**, that the secured party may keep it in satisfaction of the debt.
- d. When the secured party elects to keep the collateral in satisfaction of the obligation, the debtor is entitled to notice and may require a sale. **This right to force a sale cannot be waived** in the security agreement or in any manner **before default**.
- e. The debtor's right to redeem the collateral may not be contracted away.
- f. A seller **cannot disclaim warranties** in a security agreement. §9-602.

B. DEFAULT (NOT SPECIFIED BY THE CODE)

Until there has been a default by the debtor, the secured party can take no action under the security agreement. The Code does not specify what constitutes a default. It is generally up to the security agreement to specify those acts that will be considered as an act of default that will give rise to the secured party's enforcement rights. Clearly, a default occurs whenever the debtor fails to tender a payment that is due. Thus, if a debtor fails to meet an installment payment, there is a default. The parties may agree that other acts, e.g., taking the collateral out of the state, constitute a default.

C. MEANS OF OBTAINING POSSESSION

Upon default, the secured party has an immediate right to possession of the collateral. The secured party may obtain possession by self-help in many states if this can be done without a breach of the peace. If the secured party cannot obtain the collateral, the party has a right to bring an action in replevin to obtain possession. §9-609(b).

1. Self-Help Remedy

In the past, constitutional questions have been raised in connection with the attempts of secured parties to obtain possession of the goods. In a number of cases, it has been claimed that the secured party's statutory right to repossess the goods peacefully (the right of self-help) is unconstitutional, on the ground that it deprives the debtor of his or her property without due process of law. The primary question in such cases is whether any state action is involved.



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Because no judicial or other state proceeding is involved, it is generally held that the mere enactment of the statute giving the right to peaceful repossession is not sufficient state action to bring the deprivation within the protection of the Federal Constitution.

2. Action In Replevin

When the repossession is by replevin, there is state action, because a court, or at least a court clerk, is involved. Since there is state action, the debtor is entitled to a hearing before the property is taken, unless there are extraordinary circumstances, such as a showing that the property may be destroyed or removed from the jurisdiction. *Fuentes v. Shevin*, 407 U.S. 67 (1972). Prior notice and hearing are not required so long as the statute requires notice and hearing promptly after the taking of the property. *Mitchell v. W.T. Grant Co.*, 416 U.S. 600 (1974).

D. SECURED PARTY'S RIGHT TO RETAIN COLLATERAL IN SATISFACTION OF OBLIGATION

1. In General

After the secured party obtains possession of the collateral, there are two possible paths that he may follow:

- a. he may sell the collateral and use the proceeds to satisfy the obligation (§9-610), or
- b. within limits, he may keep the collateral in satisfaction of the obligation (§9-620).

2. Notice Requirements

If he elects to keep the collateral, the secured party must give notice of his intention to the debtor, unless the debtor **after default** has waived notice.

a. Nonconsumer goods

If the collateral is nonconsumer goods, the creditor must also send notice to:

- 1) Other secured parties from whom the repossessing creditor has received written notice of claim;
- 2) Other secured parties or lien holders that, 10 days before the notification date, held a security interest in or lien on the collateral perfected by filing a financing statement; and
- 3) Any other secured party that, 10 days before the notification date, held a security interest in the collateral perfected by compliance with a certificate of title statute. §9-611.

b. Objection deadline

The debtor and any other such secured parties have **20 days** after the notification is sent in which to object to the secured party's retention of the collateral. If any of the parties entitled to notice objects to the secured party's retention in satisfaction, then the secured party must sell the collateral. If they do not object, then the secured party may keep the collateral and the debt of the debtor to him is discharged. §§9-620, 621.

3. Consumer Goods

a. PMSI

If the goods are **consumer goods** and the security interest is a **purchase money security** interest and the debtor has paid **60 percent of the cash price**, then the secured party has no right to keep the goods in satisfaction of the debt: they **must** be sold.

b. Non-PMSI

If the goods are consumer goods and the security interest is **not** a purchase money security interest, the secured party has no right to keep the goods in satisfaction if **60 percent of the loan** has been paid. Not only must there be a sale in these circumstances, but the sale must be made within **90 days** from the time of **repossession**.

4. Waiver

As noted before, this right of the debtor cannot be waived or contracted away *before* default, but may be waived in writing *after* default. §9-624(a).

5. Effect Of Retention

A secured party's acceptance of collateral in satisfaction of the obligation:

- a. discharges the obligation to the extent consented to by the debtor;
- b. transfers to the secured party all of a debtor's rights in the collateral;
- c. discharges the security interest or agricultural lien that is the subject of the debtor's consent and any subordinate security interest or other subordinate lien; and
- d. terminates any other subordinate interest.

§9-622(a). A subordinate interest is discharged or terminated under this section even if the secured party fails to comply with U.C.C. Article 9 (e.g., by failing to send a proposal to retain the collateral in satisfaction of the obligation). §9-622(b), Comment 2.

E. SALE OF THE COLLATERAL BY THE SECURED PARTY

If the secured party elects to sell the collateral and to use so much of the proceeds as are necessary to satisfy the obligation of the debtor, or if he is required to sell the collateral, Article 9 specifies a number of procedures that must be followed in effecting a sale.

1. Notice Of Sale

Unless the collateral is perishable or threatens to decline in value quickly or is of a type customarily sold on a recognized market, written notice of the sale must be sent to the debtor and any secondary obligor (surety).

a. Nonconsumer goods

Also, if the collateral is not consumer goods, the notification of disposition must be sent to:

- 1) any other person from which the secured party has received, before the notification date, an authenticated notification of a claim of an interest in the collateral;
- 2) any other secured party or lien holder that, 10 days before the notification date, held a security interest in or other lien on the collateral perfected by the filing of a financing statement; and
- 3) any other secured party that, 10 days before the notification date, held a security interest in the collateral perfected by compliance with a certificate of title statute. §9-611.

b. Timeliness

A notification of disposition must be sent within a reasonable time before the disposition. This is a question of fact in most situations, except that in a non-consumer transaction, a notification sent after default and 10 days or more before the earliest time of disposition (as indicated in the notification) is deemed to have been sent within a reasonable time. §9-612.

A “consumer transaction” is one in which an individual incurs an obligation primarily for personal, family, or household purposes; a security interest secures the obligation; and the collateral is held or acquired primarily for personal, family, or household purposes. §9-102(a)(26).

c. Contents

The contents of a notification must be reasonable.

1) Non-consumer goods transaction

The contents of a notification are sufficient in a non-consumer goods transaction if the notification:

- (a) describes the debtor and the secured party;
- (b) describes the collateral that is the subject of the intended disposition;
- (c) states the method of intended disposition;
- (d) states that the debtor is entitled to an accounting of the unpaid indebtedness and states the charge, if any, for an accounting; and
- (e) states the date, time and place of a public disposition or the time after which any other disposition is to be made.

Whether the contents of a notification that lacks any of this information are nevertheless sufficient is a question of fact. §9-613.

2) Consumer goods transaction

In a consumer goods transaction, the notification of disposition must include:

- (a) the information listed in U.C.C. §9-613, above;
- (b) a description of any liability for a deficiency of the person to which the notification is sent;
- (c) a telephone number from which the amount that must be paid to the secured party to redeem the collateral is available; and
- (d) a telephone number or mailing address from which additional information concerning the disposition and the obligation secured is available.

In a consumer-goods transaction, if any of this information is missing, the notification is insufficient as a matter of law. §9-614, Comment 2.

d. Waiver

A debtor or secondary obligor may waive the right to notification of disposition of collateral only by an agreement to that effect entered into and authenticated (e.g., signed) after default. §9-624(a).

2. Debtor's Right To Redeem

The debtor always has a right to redeem the collateral by tendering to the secured party the amount of the obligation, including interest, together with any costs caused by the

default (unless he has agreed otherwise in writing **after** default). §9-623(b). If the default obligates the debtor to pay “collection costs,” these must be tendered before he can redeem. Redemption must be effected before:

- a. the collateral has been sold;
- b. a contract for the sale of the collateral has been made; or
- c. the secured party has accepted the collateral in satisfaction of the obligation.

3. Type Of Sale

The touchstone of the type of sale that the secured party must make is **commercial reasonableness**. It may be a public sale (auction) or a private sale; a sale in one unit or in parcels; for cash or credit; at any time and place, **but it must be reasonable**. §9-610(b). Although judicial approval need not be obtained, if it is obtained the sale is conclusively presumed reasonable. If the sale is “in the usual manner in any recognized market” **or** if the collateral is sold at the price current in a recognized market **or** in conformity with reasonable commercial practices among dealers in the type of property sold, then it is prima facie reasonable. The fact that a better price could have been obtained does not in itself mean that the sale is not commercially reasonable, but closer scrutiny will be given to sales in which there is a **substantial** difference between the sale price and the fair market value. *Hall v. Owen County State Bank*, 175 Ind. App. 150, 370 N.E.2d 918 (1977).

4. Right Of Secured Party To Purchase

The secured party may purchase the collateral at any **public** sale. He may not buy at a **private** sale unless the collateral “is of a type customarily sold in a recognized market or is of a type which is the subject of widely distributed standard price quotations.” §9-610(c).

5. Title Of Transferee At The Sale

A sale of the collateral gives to the transferee at the sale all of the debtor’s rights in the collateral, and discharges the security interest under which it is made and all subordinate security interests. (If there are superior security interests, the property is sold subject to them.) A transferee who acts in good faith takes free of such rights and interests even if the secured party fails to follow the provisions of the Code. §9-617.

6. Proceeds Of The Sale

The proceeds of the sale are to be distributed as follows:

- a. expenses of the retaking, sale, etc.;
- b. satisfaction of the indebtedness;
- c. satisfaction of subordinate security interests if demanded in writing by the junior secured party. §9-615(a).

The remainder, if any, goes to the debtor. §9-615(d).

7. Deficiency Judgments

In the event that the sale of the goods does not produce sufficient revenue to satisfy the secured party's obligation, he may bring an action on the debt against the debtor or against any sureties on the obligation.

8. Action To Contest Amount Of Deficiency Or Surplus

In an action arising from a transaction, other than a consumer transaction, in which the amount of a deficiency or surplus is in issue, the following rules apply:

a. Proof of compliance

A secured party need not prove compliance with the provisions of U.C.C. Article 9, Part 6 relating to collection, enforcement, disposition, or acceptance unless the debtor or a secondary party places the secured party's compliance in issue.

b. Limitation on liability

If the secured party's compliance is placed in issue, and the secured party fails to prove compliance with these provisions, the liability of a debtor or a secondary obligor for a deficiency is limited to an amount by which the sum of the secured obligation, expenses, and attorney's fees exceeds the greater of:

- 1) The proceeds of the collection, enforcement, disposition, or acceptance; or
- 2) The amount of proceeds that would have been realized had the noncomplying secured party proceeded in accordance with these provisions (which amount is deemed to be equal to the sum of the secured obligation, expenses, and attorney's fees unless the secured party proves that the amount is less than that sum). §9-626(a).

The determination of the proper rules in consumer transactions has been left to the courts. §9-626(b).

F. SECURED PARTY'S RIGHT TO COLLECT ACCOUNTS

If the collateral is accounts, the secured party has the right, after default, to collect the accounts from the account debtors. He may also have this right by virtue of the security agreement, even before default, but he has it automatically after default. §9-607. When the amount collected exceeds the obligation, the creditor must account to the debtor, and the obligor is liable for any deficiency. §9-608(a)(4). If there has been a **sale** of accounts, chattel paper, payment intangibles, or promissory notes, the secured party takes all that he collects even though such a transaction is a secured transaction; the seller is not entitled to any surplus and is not liable for any deficiency. §9-608(b).

G. WAIVER OF DEFENSES CLAUSE

1. In General

A security agreement may contain a clause whereby the debtor waives defenses that he would have against the original secured party **if the security interest is transferred** to a third party. §9-206. Thus, a clause in the security agreement to the effect that "debtor

hereby agrees not to assert as against an assignee of this security interest any claim or defense that he has against the secured party” is valid. In order to gain the benefit of the clause, the assignee must take the assignment:

- a. for value,
- b. in good faith, and
- c. without notice of a claim or defense.

Conversely, unless an account debtor has made an enforceable agreement not to assert defenses or claims, the rights of an assignee are subject to all the terms of the contract between the account debtor and the assignor, and any defenses or claims arising therefrom. §9-404(a).

2. Negotiable Note Constitutes Automatic Waiver

Where, in conjunction with the security agreement, the debtor gives a note that is negotiable under Article 3 (see §3.104 and the MicroMash Bar Review Commercial Paper outline), this automatically operates as a waiver clause.

H. REVIEW OF SECURED PARTY - DEBTOR PROBLEMS

This section of the notes has discussed the rights and obligations of the secured party and the debtor. In approaching a problem in this area, the following outline may be helpful. It contains most of the important issues that may arise in such a problem.

1. Is There A Valid Security Interest That Has Attached To The Collateral In Question?

- a. Is there an authenticated security agreement?
 - 1) Does the security agreement describe the collateral?
 - 2) Is the security agreement properly authenticated (i.e., in writing and signed by the debtor)?
 - 3) Is there a clause indicating that the writing is intended to create a security interest?
- b. If there is no authenticated security agreement, is the security interest created by virtue of the secured party's having possession or control of the collateral?

2. Has There Been A Default By The Debtor?

3. If The Property Has Been Repossessed, Was The Method Of Repossession Proper?

- a. Was it peaceful?
- b. Was it by judicial process?

4. If The Secured Party Elected To Keep The Collateral In Satisfaction Of The Debt, Was This Proper?

- a. Was it a consumer transaction where 60% of the loan was repaid?
- b. Was notice given to debtors and secured parties of record?
- c. Did anyone object?

5. If There Was A Sale Of The Property, Was It Proper?

- a. Was it commercially reasonable in all aspects?
- b. Was proper notice given?
- c. Were the proceeds properly distributed?

IV. TYPES OF COLLATERAL

A. NATURE OF COLLATERAL

1. In General

The Code provides for three broad types of collateral and then breaks down each general type into more familiar components:

a. Goods

- 1) Consumer goods
- 2) Inventory
- 3) Farm products
- 4) Equipment

b. Intangibles

- 1) Instruments
- 2) Documents
- 3) Chattel paper
- 4) Accounts
- 5) Deposit accounts
- 6) Investment property
- 7) Letters of credit
- 8) Commercial tort claims
- 9) General intangibles

c. Proceeds

2. Importance Of Correct Classification

The collateral of any given secured transaction must fit into one and only one of these classifications. Careless pigeonholing is hazardous, because the different rules governing enforcement, perfection, and priority often turn upon this characterization.

B. GOODS

1. In General

a. Definition

“Goods” includes all things that are movable at the time the security interest attaches, or that are fixtures, as well as standing timber that is to be cut and removed under a conveyance for sale, the unborn young of animals, crops grown, growing, or to be grown, and manufactured homes that meet certain specifications. Excluded are money, minerals before extraction, and the other categories of intangible collateral.

1) Computer programs

The term includes a computer program embedded in goods and any supporting information provided in connection with a transaction relating to the program, but does not include a computer program embedded in goods that consist solely of the medium in which the program is embedded. §9-102(a)(44).

2) Minerals

Until minerals have been extracted from the ground, they are not governed by Article 9. However, once they have been extracted, they become goods that can be used as collateral. There are special rules regarding the perfection of a security interest in minerals that attaches upon extraction and in accounts that result from the sale of minerals at the wellhead or minehead. The minerals and accounts to which these special rules apply are called “**as-extracted collateral.**” §9-102(a)(6), Comment 4c.

b. Debtor’s primary use is determinative

From this generic definition, “goods” is broken down into four groups according to how the debtor **primarily uses** them. A key word in this connection is “**primarily.**” A debtor may use the same goods in more than one capacity, but it is the primary use that determines the characterization.

c. Good faith

A buyer may represent to a secured party that goods will be for personal use, while really intending to use them in a business. In this case, a good-faith belief by the secured party that the goods are consumer goods should protect the secured party, even though the goods are used in some other capacity.

2. Consumer Goods

“Consumer goods” are those “used or bought for use primarily for **personal, family, or household purposes.**” §9-102(a)(23). Thus, a washing machine in debtor’s household is consumer goods; in debtor’s appliance store for resale, it is inventory; in debtor’s automatic laundry, it is equipment.

3. Inventory

“Inventory” is defined as:

- a. Goods sold, leased, or furnished under contracts of service. This includes merchandise held by a dealer, merchant, or wholesaler for resale, and the appliances of the local rent-all shop.
- b. Raw materials to be processed or those being processed, such as cotton or wool being made into yarn and the yarn into cloth.
- c. Materials used or consumed in a business, such as envelopes and pens, by-products of the manufacturing process, and fuels. §9-102(a)(48).

4. Farm Products

“Farm products” are crops, livestock, or supplies **used or produced** in farming operations, and products of crops or livestock in their **unmanufactured** states if they are in the possession of a debtor engaged in raising, fattening, grazing, or other farming operations. §9-102(a)(34).

5. Equipment

“Equipment” is goods that are not inventory, farm products, or consumer goods. §9-102(a)(33).

If goods do not fit in any of the other three categories, this is their pigeonhole. Usually, equipment will be easy to identify: machinery used in farming operations or manufacturing, tools of a mechanic or repairman, delivery trucks. The fact that the debtor periodically sells and replaces his equipment does not convert it to inventory, which involves goods held primarily for sale for a short period, rather than fixed assets held for a longer time.

6. Fixtures And Accessions

a. In general

In addition to pigeonholing the goods in one of the above categories, it is important to determine if any of the goods are, or will become, fixtures (parts of real estate) or accessions (identifiable parts of larger whole goods). These possibilities arise most often with consumer goods and equipment. Special rules apply to determine priority between interests in the fixtures and in the real estate, and between interests in accessions and in the goods as a whole.

b. Fixtures defined

“Fixtures” is defined to include any goods that become so related to particular real estate that an interest in them arises under real estate law. §9-102(a)(41). In general, whether a chattel has become a fixture depends on the objective intent of the owner of the property. Undisclosed intent is not important; rather, it is the intent manifested by objective acts and inferred from what is external and visible. **When the chattel is so affixed to the realty that its identity is lost, or when it cannot be removed without material injury to the realty itself, the intent to make it a fixture may be established as a matter of law.** Ordinarily, however, whether a chattel has become a fixture is a jury question. The courts consider the nature of the chattel and the apparent object, effect, and mode of its annexation.

c. Accessions defined

“Accessions” are “goods” installed in or affixed to other goods, such as a motor in a truck. §9-102(a)(1). If accessories and attachments can easily be identified and removed, they do not become part of the larger goods by accession.

C. INTANGIBLES

1. Instruments

“Instruments” means negotiable instruments or any other writing evidencing a right to the payment of a monetary obligation, which is not itself a security agreement or a lease, and which is of a type that in the ordinary course of business is transferred by delivery with any necessary indorsement or assignment.

The term does not include investment property, letters of credit, or writings that evidence a right to payment arising out of the use of a credit card or charge card or information contained on or for use with the card. §9-102(a)(47).

2. Documents

“Documents” are documents of title, such as negotiable or nonnegotiable bills of lading, warehouse receipts, dock warrants, and dock receipts. §9-102(a)(30).

3. Chattel Paper

“Chattel paper” means a record or records evidencing both a monetary obligation and a security interest in or a lease of:

- a. Specific goods;
- b. Specific goods and software used in the goods; or
- c. Specific goods and license of software used in the goods.

§9-102(a)(11). A “monetary obligation” as used in this definition means a monetary obligation secured by the goods or owed under a lease of the goods and includes a monetary obligation with respect to software used in the goods.

If a transaction is evidenced by “records” that include an instrument or series of instruments, the group of records taken together constitutes chattel paper. §9-102(a)(11). For purposes of revised U.C.C. Article 9, the term “record” means **information that is inscribed on a tangible medium or which is stored in an electronic or other medium and is retrievable in perceivable form.** §9-102(a)(69).

4. Accounts

a. Definition

“Accounts” are rights to payment of a monetary obligation, whether or not earned by performance:

- 1) for property that has been or is to be sold, leased, licensed, assigned, or otherwise disposed of,
- 2) for services rendered or to be rendered,

- 3) for a policy of insurance issued or to be issued,
- 4) for a secondary (i.e., suretyship) obligation incurred or to be incurred,
- 5) for energy provided or to be provided,
- 6) for the use or hire of a vessel under a charter or other contract,
- 7) arising out of the use of a credit or charge card or information contained on or for use with the card, or
- 8) as winnings in a lottery or other game of chance operated or sponsored by a State, governmental unit of a State, or person licensed or authorized to operate the game by a State or governmental unit of a State.

The term includes health-care insurance receivables (i.e., a right to payment of a monetary obligation for health-care goods or services provided). §9-102(a)(2).

b. Exclusions

The term does not include:

- 1) rights to payment evidenced by chattel paper or an instrument,
- 2) commercial tort claims,
- 3) deposit accounts,
- 4) investment property,
- 5) letter-of-credit rights or letters of credit, or
- 6) rights to payment for money or funds advanced or sold, other than rights arising out of the use of a credit or charge card or information contained on or for use with the card. §9-102(a)(2).

c. Former U.C.C. 9 distinguished

Under the prior version of U.C.C. Article 9, the meaning of “accounts” was limited to rights to payment for goods sold or leased or for services rendered that are not evidenced by an instrument or chattel paper, whether or not earned by performance. Former U.C.C. §9-106. Thus, various categories of rights to payment that were formerly classified as general intangibles under prior Article 9 are now classified as accounts. As a result, if they are sold, they are now treated as secured transactions. Therefore, the buyer must file a financing statement to perfect its security interest in them. §9-102, Comment 5a.

5. Deposit Accounts

a. Definition

“Deposit accounts” are demand, time, savings, passbook, or similar accounts maintained with a bank. The term does not include investment property, such as securities. Also, the term does not include an account evidenced by an instrument, as such an account is subject to the rules applicable to instruments. §9-102(a)(29) and Comment 12.

A “bank” means an organization that is engaged in the business of banking, including savings banks, savings and loan associations, credit unions, and trust companies. §9-102(a)(26).

b. Exclusions

An assignment of a deposit account in a consumer transaction is excluded from the scope of revised Article 9, except with respect to the provisions regarding proceeds and priorities in proceeds. §9-109(d)(13).

c. Former U.C.C. 9 distinguished

Under the prior version of Article 9, a transfer of an interest in a deposit account could not be used as original collateral, with an exception for an account evidenced by a certificate of deposit, which is an instrument. Deposit accounts were covered only as proceeds of other collateral. Comment 4a to revised §9-101.

6. Investment Property

“Investment property” is defined as a security (whether certificated or uncertificated), security entitlement, securities account, commodity contract, or commodity account. §9-102(a)(49).

When a purchaser’s interest in the corporation is evidenced by a securities account maintained on his behalf by his broker, rather than by a security certificate, the purchaser is said to have acquired a “securities entitlement.” Acquiring a security certificate or security entitlement are simply different ways of acquiring an interest in the underlying security. §8-104.

7. Letters Of Credit

A letter of credit is issued by a bank or other person, at the request of an applicant. The applicant uses the letter of credit in a manner similar to a credit card, to make purchases from a “beneficiary” who, under the terms of the letter of credit, is then entitled to be reimbursed by the issuer (or by a “nominated person” who is designated or authorized by the issuer to pay under the letter of credit). §5-102(a).

A letter-of-credit right means a right to payment or performance under a letter of credit, whether or not the beneficiary has demanded or is at the time entitled to demand payment or performance. However, the term does not include the right of a beneficiary to demand payment or performance under a letter of credit. §9-102(a)(51).

8. Commercial Tort Claims

A commercial tort claim means a claim arising in tort with respect to which: (1) the claimant is an organization; or (2) the claimant is an individual whose claim arose in the course of the claimant’s business or profession and the claim does not include damages arising out of personal injury to or the death of an individual. §9-102(a)(13).

Revised Article 9 does not apply to an assignment of a claim arising in tort other than a commercial tort claim. §9-109(d)(12). The prior version of Article 9 excluded any claim arising out of tort. Former §9-104(k).

9. General Intangibles

“General intangibles” is the name given to intangible collateral that fails to fit into any other category. §9-102, Comment 5d. Examples of general intangibles are goodwill, literary rights, rights to performance, expectancies, copyrights, trademarks, and patents to the extent that federal statutes do not govern.

a. Payment intangible

A payment intangible is a general intangible under which an account debtor’s principal obligation is a monetary obligation. §9-102(a)(61). An account debtor is a person obligated on an account, chattel paper, or general intangible. It is not, however, a person obligated to pay a negotiable instrument, even if the negotiable instrument is part of chattel paper. §9-102(a)(3).

Example: Assume a business organization has a commercial tort claim for the negligent destruction of its inventory. If that claim is settled and reduced to a contractual obligation to pay, the right to payment becomes a payment intangible and ceases to be a claim arising in tort. Comment 15 to U.C.C. §9-109.

When a payment intangible is used as collateral, two “debtors” are involved. First, there is an account debtor who is under an obligation (primarily monetary) on the general intangible. The second debtor is the person entitled to receive the payment(s) from the account debtor and who uses this right as collateral in a secured transaction. In the example above, the alleged tortfeasor is the account debtor. The business organization may use its contractual right to receive payment(s) from the alleged tortfeasor (payment intangible) as collateral in a secured transaction the business organization enters into with its creditor.

b. Software

The term general intangible also includes software. This means a computer program and any supporting information provided in connection with a transaction relating to the program (unless the software is embedded in the goods and thus included within the definition of goods). §9-102(a)(75).

D. PROCEEDS

1. In General

“Proceeds,” by definition, includes:

- a. Whatever is received upon the sale, lease, license, exchange, or other disposition of collateral;
- b. Whatever is collected on, or distributed on account of, collateral;
- c. Rights arising out of collateral;
- d. To the extent of the value of the collateral, claims arising out of the loss, nonconformity, or interference with the use of, defects or infringement of rights in, or damage to, the collateral; or

- e. To the extent of the value of the collateral and to the extent payable to the debtor or the secured party, insurance payable by reason of the loss or nonconformity of, defects or infringement of rights in, or damage to, the collateral. §9-102(a)(64).

There are two kinds of proceeds: **cash**, such as money, checks, and deposit accounts, and **noncash**, which includes all other proceeds. §§9-102(a)(9), (58).

Example: A security interest covers new automobiles held by a dealer for resale. He sells one car on a conditional sales contract, which is noncash proceeds in the form of chattel paper. Money paid by the buyer as down payment is cash proceeds, an automobile traded in is noncash proceeds in the form of goods, and monthly payments by the buyer are more cash proceeds that are received when the chattel paper (proceeds) is collected. If the dealer sells the trade-in, the cash received becomes proceeds of proceeds (the trade-in).

2. Proceeds Covered Automatically

A security interest in proceeds of any collateral covered by the agreement is provided by the Code **automatically**, unless the security agreement specifically provides that proceeds are not covered. This means that the security interest continues as between the parties despite disposition of the original collateral, but to be valid as against third parties, there must also be perfection as to the proceeds. §9-315.

V. PRIORITY PROBLEMS IN GENERAL

The remaining sections of this outline deal with problems of the priority of claims that parties may have in specific property.

Example: Debtor may have given a security interest in his automobile to a bank. Later he may have given a second security interest to a finance company, not telling them that he had already given the bank a security interest. Still later, he may have sold the car to a good faith purchaser without telling him of the encumbrances. When Debtor fails to meet his obligations, the Bank, the Finance Company, and the Good Faith Purchaser all claim that they have rights in the automobile.

There are three basic steps in answering a priority question:

1. Is There A Secured Party Or More Than One Secured Party?

- a. Is the security interest of the secured party valid? Is there proper record of the security agreement, such as a writing, a description of the collateral that will meet the Code requirements, and is it signed by the debtor?
- b. Have the various security interests attached? Was there an agreement that they attach, has value been given, and does the debtor have an interest in the collateral? When did attachment occur?
- c. How would the collateral be classified under the Code? Is it consumer goods, equipment, accounts, etc.?
- d. Is the security interest a purchase money security interest? (Basically, did the secured party advance credit to permit the debtor to obtain the collateral?)

- e. Has the security interest been perfected? If so, how was it perfected? When was it perfected?

2. What Is The Status Of The Other Types Of Parties Who Claim An Interest In The Property?

Are there lien creditors, good faith purchasers, a trustee in bankruptcy, etc.? What rights do they derive from their status?

3. What Priority Rules Apply?

Once the status of the secured parties and other claimants is determined, the next and final step is to take any two of the parties and apply the correct priority rule to determine who between the two has superior or prior rights. If more than two parties are involved, then the winner of the first priority battle is pitted against the third party, the winner of that contest is pitted against the fourth, etc.

VI. PURCHASE MONEY SECURITY INTERESTS

The Code gives special priority to purchase money security interests and provides automatic perfection in some instances. Priorities regarding purchase money security interests will be dealt with later in this outline. This section of the outline will merely describe a purchase money security interest (PMSI).

A. DEFINITION

1. Types Of Transactions

A security interest is a “purchase money security interest” to the extent that it is:

- a. taken or retained by the seller of the collateral to secure all or part of its price; or
- b. taken by a person (e.g., a financing agency), who by making advances or incurring an obligation gives value to enable the debtor to acquire rights in or the use of the collateral, if such value is in fact so used.

A purchase-money security interest may only be obtained in goods, including fixtures, and computer software. §9-103; Comment 5.

2. Parties Who May Take A PMSI

As stated above, there are two kinds of persons who can take a purchase money security interest: a seller or a financial agency. If a lender lends money to the purchaser after he has bought the collateral and takes a security interest in the collateral, this is not a purchase money security interest since the loan did not “enable” the purchaser to buy the collateral. But if a lender has in fact loaned money to enable the purchaser to buy the collateral, and after the purchase has been made takes a security interest in the collateral, this is a purchase money security interest since it has been taken by a person who has made advances to enable the debtor to acquire the collateral.

B. CROSS-COLLATERALIZATION OF PMSI IN INVENTORY

There is a special, expanded definition of what constitutes a PMSI that applies to cross-collateralized PMSIs in inventory. This is best illustrated by the following example, found in Comment 4 to §9-103.

Example: Seller is a manufacturer of appliances. Debtor owns a retail appliance store. Seller sells a stove it has manufactured to Debtor. Seller retains a security interest in the stove (inventory collateral) to secure the purchase price of the stove and “all other obligations of Debtor, existing and future.” Seller then sells a refrigerator it has manufactured to Debtor, retaining a security interest in the refrigerator to secure the purchase price of the refrigerator as well as “all other obligations of Debtor, existing and future.” Debtor then pays Seller for the stove. Debtor then sells the refrigerator to a buyer in the ordinary course of business, who, as indicated below, takes free of Seller’s security interest in the refrigerator.

Under the definition of purchase money security interest, the situation would be as follows: To the extent that Seller retained a security interest in the stove to secure the purchase price of the stove, Seller had a PMSI in the stove. However, to the extent Seller retained a security interest in the stove to secure the purchase price of the refrigerator (under the cross-collateralization clause), Seller’s security interest in the stove is not a PMSI. This is so because Seller’s first advance of credit to Debtor was used to purchase the stove, not the refrigerator. When Seller sold the refrigerator to Debtor, it retained a PMSI in the refrigerator, because Seller’s second advance of credit was used by Debtor to buy the refrigerator. In this situation, Article 9 contains a special rule that elevates Seller’s non-PMSI in the stove with respect to Debtor’s obligation to pay for the refrigerator to purchase-money status.

Using the example above, the rule states that in addition to the usual definition of a PMSI, a security interest in goods is a PMSI if the security interest is in inventory that is or was purchase-money collateral (the stove), also to the extent that the security interest (in the stove) secures a purchase-money obligation (Debtor’s obligation to pay for the refrigerator) incurred with respect to other inventory in which the secured party holds or held a purchase-money security interest (the refrigerator). §9-103(b)(2).

C. PMSI IN SOFTWARE

A purchase-money security interest in goods may be accompanied by a purchase-money security interest in “software” if the debtor acquired the software in an integrated transaction in which it acquired an interest in the goods, and the debtor acquired the software for the principal purpose of using the software in the goods. §9-103(c). “Software” means a computer program and any supporting information provided in connection with a transaction relating to the program. The term does not include a computer program that is included in the definition of goods. §9-102(a)(75). Thus, “software” is a type of general intangible for purposes of Article 9, except to the extent that it is included in the definition of goods. Comment 25 to U.C.C. §9-102.

D. SPECIAL RULES APPLICABLE ONLY TO NON-CONSUMER GOODS TRANSACTIONS

The following rules apply only to non-consumer goods transactions. It is left to the courts to determine whether these rules will be applied to consumer goods transactions. §9-103(h).

1. Dual Status Rule

Revised Article 9 adopts the “dual status” rule, under which a security interest in goods, other than consumer goods, may be a PMSI to some extent and a non-PMSI to some extent. Comment 7 to §9-103. Article 9 provides that a purchase-money security interest does not lose its status as such, even if:

- a. The purchase-money collateral also secures an obligation that is not a purchase-money obligation;
- b. Collateral that is not purchase-money collateral also secures the purchase-money obligation; or
- c. The purchase-money obligation has been renewed, refinanced, consolidated, or restructured. §9-103(f).

Example: A debtor obtains a \$5,000 loan, which is secured by a purchase-money security interest. Subsequently, the loan is refinanced by the original lender and as part of this transaction the debtor borrows an additional \$1,000 which is secured by the same collateral. Has this refinancing caused the security interest to lose its status as a purchase-money security interest? No. The lender retains its PMSI in the purchase-money collateral, but only to the extent of \$5,000.

2. Allocation Of Payments

When a debtor makes a payment against a loan that is secured by two security interests and only one of these security interests is a PMSI, or when a debtor makes a payment against a loan that is secured by a security interest which is only partly a PMSI, how should that payment be allocated? Should that payment be applied to the purchase-money obligation or to the non-purchase money obligation? In the Example above, if, after the loan has been refinanced, the debtor makes a \$1,000 payment, does that reduce the lender’s purchase-money security interest to \$4,000? Or, should that payment be applied to the \$1,000 non-purchase-money security interest?

Article 9 provides that in a transaction other than a consumer-goods transaction, if the extent to which a security interest is a PMSI depends on the application of a payment to a particular obligation, the payment must be applied:

- a. In accordance with any reasonable method of application to which the parties agree;
- b. In the absence of the parties' agreement to a reasonable method, in accordance with any intention of the obligor manifested at or before the time of payment; or
- c. In the absence of an agreement to a reasonable method and a timely manifestation of the obligor's intention, in the following order:
 - 1) to obligations that are not secured; and
 - 2) if more than one obligation is secured, to obligations secured by purchase-money security interests in the order in which those obligations were incurred. §9-103(e).

3. Burden Of Proof

In a transaction other than a consumer goods transaction, a secured party claiming a PMSI has the burden of establishing the extent to which the security interest is a purchase-money security interest. §9-103(g).

E. GRACE PERIOD

Perfection generally takes place the moment of filing or of possession; however, the Code provides what is equivalent to a **limited, 20-day grace period** for purchase money security interests. Thus, if the secured party files within 20 days after the debtor receives delivery of the collateral, his priority relates back to the time of possession and his security interest takes priority over the rights of a buyer, lessee, or lien creditor that arise between the time the security interest attaches and the time of filing. §9-317(e). However, this grace period does not protect the secured party against a buyer or lessee of goods in the ordinary course of business, even if the buyer or lessee knows of the existence of the security interest. §9-321(a), (c).



BAR EXAM ALERT

PMSIs are favorites of bar examiners because of the "grace period" and because there are different rules that apply if the competitor is a lien creditor or another person having a perfected security interest.

VII. PERFECTION

A. IN GENERAL

Later in this outline, we will consider priority problems that require a determination of a secured party's rights vis-a-vis others who claim an interest in the collateral, e.g., lien creditors, other secured parties, subsequent purchasers, etc. To understand the secured party's rights in such circumstances, one must be familiar with the Code's provisions on perfection.

Perfection is the primary method by which the secured party protects his security interest against third parties by obtaining *superior rights* on the collateral versus other creditors who may make a claim on the same collateral. It is akin to the filing of a real property mortgage and has the general purpose of giving notice to the world of the secured party's interest and of giving other parties an opportunity to avoid dealing with the collateral if they do not want to subject themselves to the secured party's rights.

B. METHODS OF PERFECTION

1. In General

There are three basic methods by which the secured party may perfect:

- a. By taking **possession** of the collateral;
- b. By taking **control** of the collateral; or
- c. By **filing** a financing statement.

2. Automatic Perfection

In addition, Article 9 provides that perfection occurs **automatically** in certain cases. However, perfection cannot occur unless and until the security interest has attached. Thus, **attachment is a necessary prerequisite for perfection.**

C. PERFECTION BY POSSESSION

A security interest in the types of collateral specified below may be perfected by filing or possession. While either filing or possession can be used for perfection in these cases, it should be kept in mind that if the perfection is by filing, in some cases a buyer who takes possession can take free of the security interest (see below).

1. Goods

In general, security interests in goods may be perfected either by filing or by taking possession. Because of the fact that **fixtures** are a sort of cross between personal property and real property, there are special rules for perfection of security interests in them. As indicated below, the perfection of security interests in fixtures requires "fixture filing" in some cases, while in others it may be by any method permitted by the U.C.C. See below for a discussion of security interests in **motor vehicles** requiring title certificates and "automatic perfection" of security interests in **consumer goods**.

2. Chattel Paper

A security interest in chattel paper (tangible or electronic) may be perfected by filing. §9-312. It is also possible to perfect a security interest in tangible chattel paper by possession. §9-313). Electronic chattel paper may be perfected by filing or control. §§9-312, 9-314. **It should be kept in mind that Article 9 of the U.C.C. applies to both the assignment for security and the sale of chattel paper**, a sale of chattel paper also being considered as creating a “security” interest in the purchaser.

3. Negotiable Documents Of Title

In general, security interests in negotiable documents of title may be perfected by filing or possession. §§9-312, 9-313. As to **temporary automatic possession (for 20 days) of new-value security interests in negotiable documents**, see below.

4. Instruments

A security interest in instruments may be perfected by filing or possession. §§9-312, 9-313. However, see below re **temporary “automatic perfection” (for 20 days) of new-value security interests in instruments**.

5. Investment Property

A security interest in investment property may be perfected by filing. §9-312. Also, a secured party may perfect a security interest in a certificated security (e.g., a stock certificate) by taking delivery (possession) of it. §9-313. However, see below re **temporary “automatic perfection” (for 20 days) of new-value security interests in certificated securities**. Also, all types of investment property may be perfected by taking control. §9-314. Taking delivery of a certificated security in bearer form also constitutes control. However, to take control of a certificated security in registered form requires more than delivery. It must be indorsed in blank, or indorsed to the secured party, or it must be registered in the name of the secured party by the issuer. §8-106.

D. PERFECTION BY CONTROL

1. Investment Property

A security interest in investment property may be perfected by filing or taking control. §§9-312, 9-314. A secured party has control of investment property if the security is delivered to the secured party. Also, as indicated above, one type of investment property (a certificated security) may also be perfected by taking delivery (possession). §9-313. However, see below re **temporary “automatic perfection” (for 20 days) of new-value security interests in certificated securities**.

2. Electronic Chattel Paper

Chattel paper (whether tangible or stored in an electronic medium) may be perfected by filing. §9-312. Also, electronic chattel paper may be perfected by taking control of it. §9-314. A secured party has control of electronic chattel paper if the electronic record or records comprising the chattel paper are created, stored, and assigned in such a manner that:

- a. a single authoritative copy of the record or records exists which is unique, identifiable and (except as provided in subparts d, e, and f, of this paragraph) unalterable;
- b. the authoritative copy identifies the secured party as the assignee of the record or records;
- c. the authoritative copy is communicated to and maintained by the secured party or its designated custodian,
- d. copies or revisions that add or change an identified assignee of the authoritative copy can be made only with the participation of the secured party;
- e. each copy of the authoritative copy and any copy of a copy is readily identifiable as a copy that is not the authoritative copy; and
- f. any revision of the authoritative copy is readily identifiable as an authorized or unauthorized revision. §9-105.

3. Nonconsumer Deposit Accounts

A security interest in a deposit account may be perfected only by taking control, except if the deposit account consists of proceeds of a perfected security interest in other collateral, in which case these proceeds are also perfected. §§9-312, 9-314, 9-315.

A secured party has control of a nonconsumer deposit account if:

- a. the secured party is the bank with which the deposit account is maintained;
- b. the debtor, secured party, and bank have agreed in an authenticated record that the bank will comply with instructions originated by the secured party directing disposition of the funds in the deposit account without further consent by the debtor; or
- c. the secured party becomes the bank's customer with respect to the deposit account (i.e., the account is placed in the name of the secured party alone or jointly with the debtor, so that the secured party has the right, but not necessarily the exclusive right, to withdraw funds from, or close, the deposit account. §9-104(a), Comment 3.

4. Letter-of-Credit Rights

Ordinarily, letter-of-credit rights are "supporting obligations" (i.e., they are suretyship obligations that support the payment or performance of an account, chattel paper, a document, a general intangible, an instrument, or investment property). §9-102(a)(77). In those cases, perfection of the related account, chattel paper, etc., automatically perfects the letter-of-credit rights. §9-308(d). However, in other cases, a letter-of-credit right may be perfected only by control. §§9-312, 9-314. A secured party has control of a letter-of-credit right to the extent of any right to payment or performance by the issuer or any nominated person if the issuer or nominated person has consented to an assignment of proceeds of the letter of credit. §9-107.

E. PERFECTION BY FILING

The most common method of perfection is by filing. Two primary questions must be answered: (1) **where** to file and (2) **what** to file.

1. Where To File

U.C.C. Article 9 provides for the proper place within a State to file a financing statement in order to perfect a security interest or agricultural lien. §9-501.

a. Real property related collateral

If the collateral is “as-extracted collateral” (e.g., oil, gas, or other minerals that are subject to a security interest that is created by a debtor having an interest in the minerals before extraction and which attaches to the minerals when they are extracted from the land), or timber to be cut, or if the financing statement is filed as a fixture filing and the collateral is goods that are or are to become fixtures, **the proper place to file a financing statement is the office designated for the filing or recording of a record of a mortgage on the related real property.** §9-501(a).

In the case of collateral that is “timber to be cut,” the filing in the real-property mortgage office ceases to be effective once the timber has been cut. Once cut, the timber becomes ordinary goods and a financing statement must be filed in the central filing office designated by the State for all types of collateral other than real property related collateral. Comment 2 to U.C.C. §9-501.

b. All other cases

In all other cases, U.C.C. Article 9 requires each state to designate an office (such as the office of the Secretary of State, or the office of a private party that maintains the State’s filing system) in which to file a financing statement (except that a State may designate a different office in which to file a financing statement to perfect a security interest in collateral, including fixtures, of a transmitting utility). §9-501(a), (b).

New York has designated the office of the secretary of state as the place of filing for all such instances, including perfecting a security interest in collateral, including fixtures, of a transmitting utility.

c. As between states

Revised Article 9 contains a number of choice of law rules regarding perfection and priority of security interests when more than one state is involved. These rules will become largely irrelevant once all states have adopted this Article (since the law of each state will be the same). Therefore, the most important rules are those that determine **the State where perfection by filing a financing statement must occur**, since those rules will continue to matter even after all States have adopted this Article.

1) General rule

In general, **the local law of the debtor’s location governs perfection, the effect of perfection or nonperfection, and the priority of a security interest in**

collateral. §9-301(1). As to negotiable documents of title, goods, instruments, or tangible chattel paper, this general rule is slightly modified. Perfection of a security interest in such collateral is governed by the local law of the debtor's location, but the local law where such collateral is located governs the effect of perfection or nonperfection and the priority of a nonpossessory security interest in such collateral. Thus, subject to some exceptions stated below, **the proper place to perfect by filing is the State where the debtor is located.**

2) Exceptions

Perfection, the effect of perfection or nonperfection, and priority of a security interest in fixtures, timber to be cut, and as-extracted collateral (e.g. oil and gas) is governed by the local law of the jurisdiction where the fixtures, timber, wellhead, or minehead are located. §9-301(3). The financing statement must be filed in the office designated for the filing or recording of a mortgage on the related real property. §9-501(a).

2. What To File

The Code adopts the concept of "notice filing," which means that the primary object of the filing is to give those interested notice that the security interest **exists**, but not notice of its terms. The interested third party has a duty to inquire further to obtain protection.

The secured party may file **either the security agreement itself or a financing statement.**

3. Requirements

a. Contents

To be valid, the document filed, whether the security agreement or a financing statement, must contain the following:

- 1) Names of debtor and secured party; and
- 2) Description of the collateral. §9-502(a).

(Under the prior version of Article 9, it was necessary for the debtor to sign the financing statement. Former §9-402(1).)

b. Sufficiency of description

The description of the collateral is sufficient if "it reasonably identifies what is described." §9-504. It is also sufficient if the financing statement indicates that it covers something less than "all assets" or "all personal property." For example, it would be sufficient for a financing statement to indicate that it covers "all personal property other than automobiles." Comment 2 to U.C.C. §9-504.

Thus, a description in a financing statement may be less specific than in the security agreement since it is intended merely to put a third person on notice and inquiry, whereas the security agreement actually identifies what the collateral is. But if the description in the financing statement is narrower than in the security agreement (e.g., it covers only all equipment, instead of all equipment and inventory), the perfection is

only as to the collateral described in both the financing statement and the security agreement. If the description in the security agreement is sufficient, but it is inadequate in the financing statement to cover any collateral at all, there is a security interest but it is not perfected (assuming filing was necessary for perfection).

c. Errors or omissions

Minor errors (not seriously misleading) will not affect the validity of the filing. §9-506(a). A financing statement that fails to sufficiently provide the name of the debtor is seriously misleading as a matter of law, unless the financing statement would be discovered in a search under the debtor's correct name, using the filing office's standard search logic, if any. §9-506(b). The failure of the filing office to index a record correctly does not affect the effectiveness of the filed record. §9-517.

4. Changes And Amendments

In general, a financing statement is not rendered ineffective even if, after it is filed, the information contained in it becomes seriously misleading. §9-507(b).

a. Change in debtor's name

If the debtor's name or corporate identity or structure so changes that the financing statement becomes seriously misleading, perfection lapses **four months** after the change only with respect to new collateral the debtor acquires, unless a corrected filing statement is filed within that time. The original financing statement is effective as to collateral acquired before the name change and as to collateral acquired within the four month period. §9-507, Comment 4, §9-508.

b. Amendment

An amendment to a financing statement may be filed (e.g., to add or delete collateral covered by the financing statement). An amendment that adds collateral is effective as to the added collateral only from the date of the filing of the amendment. Similarly, an amendment that adds a debtor is effective as to the added debtor only from the date of the filing of the amendment. An amendment is ineffective to the extent it purports to delete all debtors and fails to provide the name of a debtor to be covered by the financing statement, or purports to delete all secured parties of record and fails to provide the name of a new secured party of record. §9-512.

5. Renewal Or Lapse

A filed financing statement is effective for **five years** from the date of filing. The financing statement lapses (as does the security interest, unless also perfected by possession) on the expiration of the five-year period, unless a **continuation statement** is filed within **six months prior to the expiration date**. §9-515.

6. Termination Statement

If there is no outstanding secured obligation and no commitment to make advances, incur obligations, or otherwise give value, the secured party must, upon receipt of an authenticated demand from a debtor (e.g., a signed writing), file a termination statement. However, if the financing statement covers consumer goods, the secured party's

obligation to file a termination statement it is not contingent upon receipt of a demand from the debtor. §9-513.

F. AUTOMATIC PERFECTION

In the following cases there is a type of “automatic perfection” of security interests upon attachment, without filing or taking possession or control:

- **A purchase money security interest in consumer goods** (except fixtures, in those cases in which “fixture filing” is indispensable, and except goods such as vehicles subject to registration requirements);
- **A casual or isolated assignment of accounts or payment intangibles** (i.e., which does not alone or in conjunction with other assignments to the same assignee transfer a significant part of the assignor’s outstanding accounts or payment intangibles);
- **A sale of a payment intangible;**
- **A sale of a promissory note;**
- **A security interest created by the assignment of a health-care insurance receivable to the provider of the health-care goods or services** (e.g., where a patient assigns his right to payment under his health-care insurance policy to the doctor who treated him);
- **A security interest of a collecting bank;**
- **A security interest arising in the delivery of a financial asset** under §9-206(c) (i.e., the security interest that arises in favor of persons who deliver certificated securities or other financial assets in physical form, such as money market instruments, if the agreed payment is not received, Comment 3 to §9-206(5));
- **A security interest in investment property created by a broker or securities intermediary;**
- **An assignment for the benefit of all creditors of the transferor and subsequent transfers by the assignee thereunder;**
- **A security interest created by an assignment of a beneficial interest in a decedent’s estate; and**
- **A security interest in certificated securities, negotiable documents of title, or instruments is perfected without filing or the taking of possession for a period of 20 days from the time it attaches to the extent that it arises for new value given under an authenticated security agreement.** §§9-309, 9-312(e).



BAR EXAM ALERT

By far, the most important example of “automatic perfection” is in the case of a purchase money security interest in consumer goods. It is a big favorite on exams, since the Examiner expects you to overlook the perfection altogether in such cases, and since it requires knowledge of what a purchase money security interest is, as well as what consumer goods are.

G. PERFECTION OF SECURITY INTEREST IN PROCEEDS

1. Rule

A security interest in proceeds is a perfected security interest if the security interest in the original collateral was perfected. §9-315(c).

A perfected security interest in proceeds becomes unperfected on the 21st day after the security interest attaches to the proceeds unless:

- a. The following conditions are satisfied:
 - 1) A filed financing statement covers the original collateral;
 - 2) the proceeds are collateral of the type which could also be perfected by filing in the same place; and
 - 3) the proceeds have not themselves been acquired with previously received cash proceeds (§9-315(d)(1)); or
- b. The proceeds are identifiable “**cash proceeds**” (i.e., money, checks, deposit accounts, or the like), (§9-315(d)(2)); or
- c. The security interest in the proceeds is perfected (other than under the automatic perfection in proceeds rule of §9-315(c)) when the security interest attaches to the proceeds or within 20 days thereafter (§9-315(d)(3)).

2. Examples

Example 1: A borrowed money from B and gave B a security interest on certain equipment he used in his business. B filed a financing statement that described the equipment. The equipment was later destroyed in a fire. A collected insurance covering this loss and deposited it in a new bank account. Does B have a perfected security interest in this bank account? Yes. The insurance money received is considered proceeds. And since the money was deposited in a bank account, it is identifiable cash proceeds. §9-102(9). A security interest in identifiable cash proceeds is automatically

perfected if a filed financing statement covers the original collateral (the equipment, in this case).

Example 2: D borrowed money from S and gave S a security interest in a computer he owned and used in his business. There was no mention of “proceeds” in the security agreement or in the financing statement S filed. Later, D traded the computer in for a different one, paying cash for the difference in value. Does S have a perfected security interest in the new computer? Yes. The security interest attached to the new computer as proceeds even though there was no mention of proceeds in the security agreement. §9-315(a). It is perfected since there is a filed financing statement covering the original collateral and the proceeds are collateral of a type (equipment) that could also be perfected by filing in the same place (which is clearly so in the present case, since the proceeds happen to be the same type of collateral as the original collateral). §9-315(d)(1).

Example 3: D borrowed money from S and gave S a security interest in a computer he owned and used in his business. There was no mention of “proceeds” in the security agreement or in the financing statement S filed. Later, D sold the computer, and with the cash he bought an air-conditioning unit for use in his business, paying for the difference in value with other cash. S filed a financing statement covering the new equipment 5 days after it was received by D. Was there any break in S’s perfection during the interim period before this new filing? No. Even if none of the other rules governing continuous perfection of proceeds applies (as is the case here), the perfection of the proceeds is nevertheless continuous if it was perfected within 20 days after receipt of the proceeds by the debtor. §9-315(d)(3).

H. CERTIFICATE OF TITLE FOR MOTOR VEHICLES

1. In General

Filing is ineffective to perfect a security interest in property subject to another state statute that requires central filing of security interests, or which requires an indication on a certificate of title (e.g., motor vehicles). §9-311(a). In such cases, perfection generally requires compliance with the state statute. However, during any period in which collateral subject to a certificate of title statute covering motor vehicles and the like is inventory held for sale or lease by a person or leased by that person as lessor and that person is in the business of selling goods of that kind, perfection of a security interest in the inventory is governed by the normal perfection rules. §9-311(d).

2. Interstate Transfer

A perfected security interest in goods covered by a certificate of title (e.g., a vehicle) generally remains perfected even though the goods are moved to another state that issues a new certificate of title. This is so even if the certificate of title statute of the first state provides that a security interest becomes unperfected upon the issuance of a certificate of title by another state. Thus, the security interest remains perfected until it would have become unperfected under the law of the first state had the goods not become covered by a certificate of title in the second state.

However, there is an exception to this rule. The security interest becomes unperfected as against a purchaser of the goods for value if the requirements for perfection in the second state are not satisfied before the earlier of:

- a. the time the security interest would have become unperfected under the law of the first State had the goods not become covered by a certificate of title from the second State; or
- b. the expiration of four months after the goods had become covered by a certificate of title by the second State. §9-316(d), (e), Comment 5.

VIII. CHARACTERIZING THE STATUS OF CONTESTING THIRD PARTIES

A. IN GENERAL

Third persons about whom a secured party or his counsel must be concerned fall roughly into four groups:

- Lien creditors;
- Other secured parties;
- Transferees of the collateral; and
- Trustee in bankruptcy of the debtor.

Most third persons must, among other qualifications, have no notice or knowledge of the security interest in order to have status to contest the priority of the security interest. For some third persons, such as holders in due course, “bona fide purchasers” of securities and buyers in ordinary course, the Code specifies in greater detail what constitutes the disqualifying notice or knowledge. In any case, the general definitions of §1-201 must be used in connection with or in the absence of more specific requirements. The Code consistently maintains a distinction between “notice” and “knowledge.” In the latter case, nothing less than “actual knowledge” will suffice. “Notice” includes actual knowledge, receipt of a notice or notification, or reason to know that a fact exists “from all the facts and circumstances known . . . at the time in question.” §1-201(25).

B. LIEN CREDITORS

1. Lien Creditor Defined

Lien creditors are those who acquire a lien on the collateral by attachment, levy, or the like. Lien creditor also includes an assignee for the benefit of creditors from the time of appointment, and a trustee in bankruptcy from the date of filing the petition. §9-301(3). The representative’s knowledge is not enough, even though he is probably counsel for one or more creditors whose knowledge of the security interest was a precipitating factor in instituting the proceedings.

2. General Creditor Defined

A “**general creditor**” is a creditor who does not have a lien on the property. Thus, if D owes C money for any reason, C is a creditor. Until C obtains a lien on some property of D, he remains a general creditor. Generally, C will obtain his lien either by attaching property of D at the time he commences an action, or by issuing a writ of execution against the property of D when he (C) has obtained a judgment. In either case, the lien attaches at the time a levy is made under the writ.

C. OTHER SECURED PARTIES

Other secured parties are those with security interests created under Article 9.

D. TRANSFEREES

Transferees of the collateral are those who ostensibly obtain full title to the goods as a result of purchasing the collateral from the debtor. Essentially, the question in priority problems is whether the transferee takes title subject to the security interest. There are various types of transferees under Article 9.

1. Buyer In Ordinary Course Of Business

a. In general

This is the most important and favored third person in the entire Commercial Code. Section 1-201(9) defines the buyer in ordinary course of business as:

[A] person who in good faith and without knowledge that the sale to him is in violation of the ownership rights or security interest of a third party in the goods buys in ordinary course from a person in the business of selling goods of that kind but does not include a pawnbroker. Thus, a buyer must be a qualified buyer in the ordinary course of business. “Buying” may be for cash or by exchange of other property or on secured or unsecured credit and includes receiving goods or documents of title under a preexisting contract for sale but does not include a transfer in bulk or as security for or in total or partial satisfaction of a money debt.

To be a “qualified buyer” there must be a purchase of goods in the ordinary course (i.e., usually a sale from seller/debtor’s inventory), the buyer must purchase in good faith, the buyer must be without knowledge that the sale is in violation of a creditor’s security interest; and for new value.

b. Important terminology

“Good faith” means honesty in fact and “knowledge” means actual knowledge, not mere notice or reason to know. The knowledge that disqualifies the buyer from this favored status is not merely that the third party has an interest, but that the sale is in **violation of** that interest. §§1-201(9), (25); 9-307(1).

c. Knowledge of violation required

Thus, a person can be a buyer in ordinary course even with knowledge that there is a security interest in the goods. However, if the buyer knows that the sale is **in violation** of the ownership rights or security interest of someone other than the seller, then she cannot be a buyer in ordinary course. For example, if B purchases goods from the ABC Appliance Store knowing that the store had given a security interest on the goods to the bank, B can be a buyer in ordinary course. However, if B knows that the security agreement that ABC Appliance Store gave to the bank contains a provision prohibiting the store from selling any goods without prior permission of the bank, and that the store did not obtain permission before making the sale to her, then she cannot be a buyer in ordinary course.

Buyers of appliances, automobiles, or other inventory from a dealer are typical buyers in ordinary course.

2. Bulk Transferees

“Bulk transferees” are those receiving a “transfer in bulk and not in the ordinary course of the transferor’s business of a major part of the materials, supplies, merchandise, or other inventory . . . of an enterprise subject to [Article 6].” §6-102.

3. Buyers Of Consumer Goods

These are persons who buy **consumer goods** for **value** and for **their own personal, family, or household use** if they buy **without knowledge** of a security interest. §9-320(b). It is important to note that a person must purchase from one holding goods as consumer goods in order to be a consumer buyer. For example, one who purchases a television from an appliance store for use in his or her home will hold the goods as consumer goods, but is not entitled to the protection given to consumer buyers.

4. Holders In Due Course Of Negotiable Instruments

A “holder in due course” of a negotiable instrument is one who takes the instrument for value, in good faith, and without notice that it is overdue or has been dishonored or of any defense against or claim to it on the part of any person.

5. Bona Fide Purchasers Of Securities

A “bona fide purchaser” of a security (an Article 9 “instrument”) is a purchaser “for value in good faith and without notice of any adverse claim who takes delivery of a certified security in bearer form or in registered form, issued or indorsed to him or in blank.” §8-302.

6. Holders Of Duly Negotiated Documents Of Title

These are persons to whom documents of title are negotiated and who purchase them in good faith without notice of any defense against or claim to them on the part of any person and for value, unless it is established that the negotiation is not in the regular course of business or financing or involves receiving the documents in settlement or payment of a money obligation. §7-501(4).

7. Purchasers Of Instruments And Chattel Paper

These are persons who give **new value** and take possession of the instrument in the ordinary course of business and without knowledge that the specific paper or instrument is subject to a security interest.

The “new value” requirement means that the purchaser of the instrument or paper must give something akin to fresh consideration, such as cash or credit, to the transferor in exchange. This automatically excludes a secured party who took the instruments or chattel paper as collateral for an antecedent debt, or as proceeds of other collateral. Such a transferee must take such writings as part of his business, and the specific writings must be so taken.

8. Other Good Faith Transferees

These are persons who fit in none of the above categories and who give value and who receive delivery of the collateral without knowledge of the security interest.

E. TRUSTEE IN BANKRUPTCY

The trustee in bankruptcy of the debtor is in a category by himself. His rights and interests are conferred by the federal Bankruptcy Code as well as by the U.C.C.

1. Trustee As A Hypothetical Ideal Lien Creditor

Under §544 of the federal Bankruptcy Code, the trustee is a lien creditor of the bankrupt. He is given similar status under §9-102(a)(52) of the U.C.C. Under the Bankruptcy Code, he is a **hypothetical ideal lien creditor**. This means that he takes without notice or knowledge of security interests or other dispositions of the property made by the debtor prior to the time that the debtor filed a petition in bankruptcy. Even though the trustee personally had notice of the security interest, he does not have notice in his official capacity unless **all** of the creditors in bankruptcy had knowledge of it (U.C.C. §9-301). **Thus, the trustee is to be treated as one who, without knowledge of any outstanding security interests, has a lien on the property of the bankrupt as of the date that the petition in bankruptcy is filed.**

2. Trustee’s Right To Avoid Preferential Transfers

a. In general

Section 547 of the Bankruptcy Code allows the trustee in bankruptcy to avoid “preferential transfers.” The following are the elements of a preferential transfer:

- 1) Transfer of debtor’s property to a creditor
- 2) For an antecedent debt
- 3) While the debtor is insolvent (Note: There is a presumption that the debtor is insolvent during the 90-day period preceding the date on which the petition in bankruptcy is filed.)

- 4) Within 90 days of the filing of the petition in bankruptcy (Note: This time period is extended to one year if the transfer is to an “insider” who had reason to know that the debtor was insolvent at the time of the transfer.)
- 5) The effect of which is to enable the creditor to receive a greater proportion of his claim than he would have received had the transfer not been made.

b. Preference

The last element, (5), means that a transfer is not a preference if made to a secured creditor in satisfaction of his claim. Thus, a payment made toward the claim of a fully secured creditor, i.e., when the value of the collateral equals or exceeds the debt, is not a voidable preference, while a payment to a partially secured or undersecured creditor will be apportioned, with the portion allocated to unsecured debt being voidable as a preference. *Barash v. Public Finance Corp.*, 658 F.2d 504 (7th Cir. 1981).

c. Transfer

1) Broad scope

The definition of transfer is very broad. **It clearly includes the giving of a security interest** under Article 9. Thus, every time a debtor gives a security interest in his property, he makes a transfer within the definition of §547.

2) Filing must occur within 90 days

The time of the transfer is critical for it must be within 90 days of the filing of the petition in bankruptcy. Also, it must be after the debt was incurred. Under §547, **the transfer is accomplished when the security interest is perfected.** Thus, if the security interest is given on May 1st, but there is no perfection until October 1st, the transfer, for the purposes of §547, was made on October 1st. However, the Bankruptcy Code provides for a 10-day grace period, so perfection within 10 days after the security interest is given relates back for the purposes of §547. In the example above, for instance, the transfer occurs on May 1st so long as the security interest is perfected on or before May 11th.

3) Late filings

Generally, when there is a late filing, a preferential transfer results if the debtor is insolvent at the time of the filing.

Example: Debtor gives Secured Party a nonpurchase money security interest in his car on May 1st in return for a loan of \$500. The security interest is not perfected until October 1st. If Debtor files a petition in bankruptcy within 90 days after October 1st, this is a preferential transfer.

d. Antecedent Debt

The federal Bankruptcy Code does not define what is meant by an antecedent debt. Ordinarily, there would be no need for a definition, as it is quite clear what is meant giving the words their ordinary meaning: It is a debt that was incurred sometime in

the past. In one situation, at least, the Code drafters did not think that it should have its ordinary meaning, namely, where a security interest is given in **after-acquired** property. Consider the following:

Example: Retailer gives Bank a security interest in all of his inventory presently on hand **and to be acquired in the future**. The security agreement is signed and a filing accomplished on May 1st. On June 1st, Retailer obtains a new shipment of inventory and the security interest of the Bank attaches to it. This is a perfected security interest since the original security interest was perfected. However, the Code says that there can be no perfection until the security interest has attached, and that there can be no attachment until the debtor has an interest in the collateral. Since the Retailer did not obtain an interest in the collateral until June 1st, there could be no attachment until that date and hence no perfection until that date. If this is the result, there is a gap between the time the debt was incurred (May 1st) and the date that the transfer was completed (June 1st, as that is when perfection took place), and a possible preferential transfer.

The Code drafters attempted to avoid this result through the enactment of §9-108. That section states that the security interest in the after-acquired property described in the example “shall be deemed to be taken for new value and **not as security for an antecedent debt** if the debtor acquires his rights in the collateral in the ordinary course of his business.”

F. OTHER THIRD PARTIES

Other third parties not to be ignored are those with interests in the real estate, such as mortgages (when the collateral is fixtures), collecting banks, and the holders of statutory and common-law liens.

IX. PRIORITY RULES

A. IN GENERAL

Priority problems occur in situations where two or more parties are claiming rights in the same property, at least one of whom is claiming a security interest under Article 9. The other parties may be other creditors, other secured parties, purchasers of the property from the debtor, or a trustee in bankruptcy.



BAR EXAM ALERT

Priority issues are one of the most frequently tested Article 9 topics on the Bar Exam. In "setting up" a solution, you should determine the nature of the collateral, of the security interest as purchase money or nonpurchase money, and of the other parties' interests. You should determine whether each claimant has perfected a security interest, created a lien, or otherwise established a valid interest in the collateral and on what date. Once these steps have been followed, all that remains is to apply the appropriate priority rule of Article 9.

1. First In Time, First In Right

The priority rules of Article 9 do not lend themselves to easy generalization. The approach of the drafters has been to look at particular situations and to draft rules that are limited in their application. There is a basic rule that can be used as a starting place, but it is subject to **many** variations and exceptions. The basic rule is this: ***First in time, first in right***. In other words, you look to see whose rights were perfected first, and that person prevails.

2. Priority Determination

In the final step of your analysis you will take two of the parties who are claiming rights in the collateral and see which of these two has better rights, i.e., which has priority. If there are more than two parties, you can start with any two and then take the winner and pair him or her with the third party, etc. It makes no difference which pair is selected first.

3. Overview Of Priority Rules

There are three sets of priority rules under Article 9, each of which compares the rights of the secured party with the rights of some other type of party:

- a. the rights of a secured party versus creditors who do not have a secured interest;
- b. the secured party versus another secured party; and
- c. rights of secured parties versus transferees from the debtor.

B. SECURED PARTIES VS. UNSECURED CREDITORS

1. Types Of Creditors

See *supra* for definitions of lien creditors and general creditors.

2. Priority Rules

a. In general

1) Lien creditors

The priority rules in cases involving a lien creditor and a secured party are relatively simple. **An application of the *first in time, first in right* principle applies.** The critical time for the vesting of the rights of the **secured party** is the time that his security interest is **perfected**, while the critical time for the **creditor** is the time that his lien has **attached**. If the secured party perfected first, he prevails. If the lien attached first, the creditor prevails. If the secured party did not perfect (e.g., the secured party filed a financing statement but did not extend funds or the debtor did not yet acquire rights in the collateral) before the creditor obtained a lien, the creditor prevails. If the secured party perfected and the creditor did not obtain a lien, the secured party prevails. This is an example of the basic rule of **first in time, first in right**. Thus, if a petition in bankruptcy is filed before the secured party perfects, the trustee in bankruptcy as a lien creditor wins.

2) General creditors

If the creditor has not obtained a lien and the secured party has not perfected, the **secured party prevails** because of the general validity of a security agreement after attachment as between the parties and against purchasers of the collateral and creditors unless there is a conflicting rule under the Code, other statutes, or the common law. §9-201.

b. Purchase money security interests

There is one **exception** to this rule. If the security interest is a **purchase money security interest**, and if the secured party **perfects by filing** within **20 days** after the debtor **receives delivery** of the collateral, the perfection reverts back to the date that the debtor received possession, and the secured party will prevail over creditors who obtained liens during the intervening 20 days. §9-317(e).

c. Statutory liens

With regard to **statutory liens**, the rule is quite simple. If the statutory lien (e.g., warehouse person's lien, mechanic's lien) is a **possessory** lien (requires that the lienholder be in physical possession of the property), then the lienholder prevails unless the statute providing for the lien specifically gives priority to the secured party. Otherwise, the secured party wins. §9-333. The rationale is that the statutory lienholder has usually added value to the collateral, or helped to preserve its value, and can take the value of his services without in theory diminishing the secured party's interest.

C. SECURED PARTY VS. SECURED PARTIES

1. General Rule

When there are two or more secured parties contesting rights in the same collateral, the basic rule is again first in time, first in right. There are three sub-rules that apply under §9-322(a):

a. Both security interests perfected

First in time, first in right, with the critical time being either the time of perfection or filing, **whichever is earlier**. Thus, if attachment comes after filing, that secured party's priority relates back to the time of filing as against another secured party (in contrast to the general rule vis-a-vis an intervening lien creditor, discussed above).

b. One security interest perfected, but the other is not.

Perfected takes over unperfected.

c. Neither security interest perfected

First in time, first in right, with the critical time being the time of attachment.

2. Preference Given To Purchase Money Security Interests

Article 9 has two special rules applicable when a purchase money secured party is claiming rights against a non-purchase money secured party. The rules generally prefer the purchase money security interest (i.e., second in time, first in right). The two rules are as follows:

a. Where the collateral is anything other than inventory

The purchase money secured party prevails over all other security interests in the collateral (even though they are previously perfected) if he perfects **within 20 days after the debtor receives possession** of the collateral. §9-324(a).

b. Where the collateral is inventory

A purchase money security interest in inventory prevails over **all other** security interests in the same collateral, even if the others were perfected first, **provided** that the party claiming under the purchase money security interest:

- 1) **perfects before** the debtor receives possession, and
- 2) gives **notice** in writing to all other secured parties who filed a financing statement covering the same types of inventory before the purchase money secured party filed.

§9-324. The usual priority conflict is between purchase money security interests and after-acquired property clauses.

A purchase money security interest in inventory extends to proceeds only to the extent that they are identifiable cash proceeds. Accounts or chattel paper resulting from a credit sale of inventory are thus not covered by the inventory lender's security interest.

3. Future Advances

A future advance is a loan of money or a grant of credit that is to be secured by collateral in which the advancing party already has a security interest.

a. General rule

In general, the above rule (first to file or perfect) protect the future advances the same as the first advance. §9-323(a).

b. Exceptions

1) Temporary or automatic perfection

If perfection was (at the time of the future advance) only a **temporary perfection**, or **was based on automatic perfection**, the future advance is protected by the first to file or perfect rule only if it was made under a contractual commitment to do so; otherwise, the future advance has priority only from the date the advance was made. §9-323(a).

2) Lien creditors

A perfected security interest is subordinate to the rights of a person that becomes a **lien creditor** to the extent that the security interest secures an advance made more than 45 days after the person becomes a lien creditor unless the advance is made:

- (a) without knowledge of the lien; or
- (b) pursuant to a commitment entered into without knowledge of the lien. §9-323(b).

3) Buyer of goods

A **buyer of goods (other than a buyer in the ordinary course of business)** takes free of a perfected security interest to the extent that it secures advances made after the earlier of:

- (a) the time the secured party acquires knowledge of the buyer's purchase; or
- (b) 45 days after the purchase. §9-323(d).

However, this rule does not apply if the advance is made pursuant to a commitment entered into without knowledge of the buyer's purchase and before the expiration of the 45-day period. §9-323(e). Similar rules apply to lessee's of goods. §9-323(f), (g).

4) Buyer in the ordinary course of business

A **buyer or lessee of goods in the ordinary course of business generally takes free of a security interest created by his seller or lessor and thus is not subject to any future advances.** Comment 6 to U.C.C. §9-323.

4. Commingled Goods

a. Definition

Commingled goods are goods that are physically united with other goods in such a manner that their identity is lost in a product or mass. §9-336(a).

b. Attachment

While a security interest does not exist in commingled goods as such, a security interest may attach to a product or mass when goods become commingled. §9-336. If collateral becomes commingled goods, a security interest attaches to the product or mass. §9-336(c). Thus, once collateral becomes commingled goods, the security interest that existed in that collateral is transferred to the product or mass. Comment 3 to U.C.C. §9-336.

c. Perfection

If a security interest in collateral is perfected before the collateral becomes commingled goods, the security interest that attaches to the product or mass is perfected. §9-336(d).

d. Priority

In general, the usual rules that determine priority of a security interest determine the priority of a security interest that attaches in this manner to a product or mass. §9-336(e). However, if more than one security interest attaches to the product or mass in this manner, the following rules determine priority:

- 1) If a security interest in a product or mass is perfected because the secured party had a perfected security interest in collateral before it became commingled goods, that security interest has priority over a security interest that was unperfected at the time the collateral became commingled goods.
- 2) When more than one perfected security interest attaches to the product or mass because each secured party had a perfected security interest in collateral before it became commingled goods, the security interests rank equally in proportion to the value of the collateral at the time it became commingled goods. §9-336(f).

5. Fixtures

In general, a security interest under the U.C.C. can be created in goods that are fixtures, or may continue in goods that become fixtures. However, no security interest can exist under the U.C.C. in ordinary building materials incorporated into an improvement on land. §9-334(a). Also, the U.C.C. does not prevent the creation of an encumbrance on fixtures pursuant to real property law. §9-334(b).

a. Fixture filing

“Fixture filing” is the filing (in the office where a mortgage on the real property would be recorded) of a financing statement covering goods that are or are to become fixtures. §9-102(a)(40).

As with other financing statements, a fixture filing must include the name of the debtor and the name of the secured party and a description of the collateral covered. A fixture filing, however, must also indicate that the goods covered are, or are to become, fixtures. Additionally, it must:

- 1) recite that it is to be filed in the real property records;
- 2) contain a description of the real estate; and
- 3) if the debtor does not have an interest of record in the real property, the financing statement must show the name of a record owner. §9-502 (a), (b).

b. Priority

1) Perfected interest

A perfected security interest in fixtures has priority over the conflicting interest of an encumbrancer or owner of the real property in the following cases:

(a) The security interest is a **purchase money security interest, and:**

- (i) the security interest is perfected by fixture filing before the goods become fixtures or within 20 days thereafter and
- (ii) the debtor has an interest of record in the real estate or is in possession of the real estate. This priority of the perfected fixture security interest exists even if the interest of the owner or encumbrancer (e.g., a real estate mortgagee) arose before the goods became fixtures and was properly recorded. §9-334(d).

(b) The security interest is **perfected by a fixture filing before the interest of the encumbrancer is of record, provided:**

- (i) the security interest has priority over any conflicting interest of a predecessor in title of the encumbrancer or owner (who could otherwise “shelter” the later encumbrancer or owner); and
- (ii) the debtor has an interest of record in the real property or is in possession of it. §9-334(e)(1).

(c) The fixtures are readily removable factory or office machines, or equipment that is not primarily used or leased for use in the operation of the real property, or readily removable replacements of domestic appliances which are consumer goods, provided before the goods become fixtures the security interest is perfected by any method permitted by the U.C.C. §9-334(e)(2). In these cases, it should be noted that “fixture filing” is not necessary, since the property is - even if technically a “fixture” - not likely to be thought of as part of the realty, particularly before it is installed.

2) Unperfected interest

A security interest in fixtures, even if not perfected, has priority over the conflicting interest of an encumbrancer or owner of the real property in the following cases:

- (a) The encumbrancer or owner has, in an authenticated record (e.g., in a signed writing) consented to the security interest or has disclaimed an interest in the goods as fixtures. §9-334(f)(1).
- (b) The debtor has a right to remove the goods as against the encumbrancer or owner, in which case so does the secured party. §9-334(f)(2). If the debtor's right terminates, the priority of the security interest continues for a reasonable time. §9-334(g).

D. SECURED PARTY VS. TRANSFEREES OF THE COLLATERAL

1. General Rule

a. Purchase before perfection

Again, the first in time, first in right rule is a good starting point when there is a conflict between one who has a security interest and one who has purchased the goods from the debtor. A purchaser **who gives value and takes delivery without knowledge** of an outstanding **unperfected** security interest prevails over the secured party. Putting it another way, if one purchases (gives value and takes delivery) without knowledge of the security interest, he prevails over the secured party **if he purchases before the secured party has perfected**. §9-317.

b. Purchase after perfection

On the other hand, a person who purchases **after** the secured party has perfected takes subject to the security interest unless one of the following special rules applies. The security interest continues in collateral notwithstanding its sale, exchange, or other disposition, unless the disposition was authorized by the secured party; and it also continues in any identifiable proceeds.

2. When Debtor Has Permission To Sell Collateral

If the secured party gives the debtor permission to sell the collateral, the security interest is extinguished upon its sale, and the buyer and all subsequent purchasers take free and clear of it.

3. Consumer Buyers

a. In general

Consumer buyers take free and clear of all **unfiled** security interests. When perfection was discussed, it was noted that a purchase money security interest in consumer goods (other than motor vehicles) is perfected automatically. No filing is required. However, if the debtor sells the goods to another "consumer buyer" who takes without knowledge of the security interest, the security interest is not good against him. §9-317(b).

b. Filing offers greater protection

Although a purchase money security interest in consumer goods of any value (except motor vehicles) is automatically perfected without filing, the secured party **can** file if he desires. If the secured party does in fact file, then his security interest is good even as against a subsequent consumer buyer.

Example: Debtor gives Bank a purchase money security interest in his television set which is used for his own personal and family use. Debtor then sells the television to Consumer Buyer. Bank wants to take possession of the television under its security agreement given by Debtor because Debtor has defaulted. If Bank had filed its security interest before Consumer Buyer purchased, then it can recover the television. If Bank had not filed its security interest, then Consumer Buyer took free and clear of the security interest.

4. Purchasers Of Chattel Paper And Instruments

A purchaser of chattel paper or an instrument who **gives new value and takes possession** of it in the ordinary course of business generally has priority over a security interest in the paper merely as proceeds. §9-330.

5. Buyers In Ordinary Course

A “buyer in ordinary course” is one who buys, in good faith and without knowledge that the sale to him is in violation of the interests of others, in the ordinary course of business from a person in the business of selling goods of that kind. §1-201(9). A buyer in ordinary course takes free of **all security interests created by his seller** even though the security interests are filed or otherwise perfected, and **even though the buyer in ordinary course knew of the security interest**, unless the secured party has perfected his security interest by possession. §9-320(a).

Thus, if Retailer gives Bank a security interest in all of its inventory and Buyer purchases goods from Retailer’s stock, Buyer takes free and clear of the Bank’s security interest even though the Bank has filed and perfected, if Buyer meets all the requirements of a buyer in ordinary course.

6. Buyers Not In Ordinary Course

Good faith bulk purchasers and other buyers not in ordinary course take priority over **unperfected** secured creditors, to the extent such buyers give value and receive delivery of the collateral without knowledge of the security interest. §9-317(b). Also, a buyer “other than a buyer in the ordinary course of business” takes free of a security interest where an advance is made after the secured party acquires knowledge of the purchase, or more than 45 days after the purchase, whichever occurs first, unless the advance is made pursuant to a commitment entered into without knowledge of the purchase, and before the expiration of the 45-day period. §9-323(d), (e).

X. REVIEW OF PRIORITY RULES

A. AMONG SECURED PARTIES

1. Basic Rule: First in Time

- a. Both perfected
- b. Only one perfected
- c. Neither perfected

2. Purchase Money Security Interests Have Priority

- a. Inventory
 - 1) Perfection before possession
 - 2) Notice
- b. Other collateral, perfection within 20 days of possession

Example: Ron Retailer gives a security interest in all his inventory “present and hereafter acquired” to the Big Bank. Subsequently, Ron purchases inventory from Sam Supplier and gives Sam a security interest in it. Who prevails as between the Big Bank and Sam? Here, one of the special rules concerning a purchase money secured party claiming against a nonpurchase money secured party is applicable. Sam’s purchase money security interest in inventory will prevail over Big Bank provided that Sam: (1) perfects before the debtor receives possession; and (2) gives notice in writing to all other secured parties who filed a financing statement covering the same types of inventory.

3. Chattel Paper Rule

Purchaser of chattel paper has a priority over one who has a security interest only as proceeds if he:

- a. gives new value, and
- b. takes possession in ordinary course of business

Example: Retailer gives a security interest in all his inventory to Big Bank. Retailer sells an item of inventory to Purchaser and takes back a security interest from Purchaser. Retailer then sells to Finance Co. the security interest given it by Purchaser. Retailer defaults on obligations to Big Bank. Big Bank has a security interest in the security interest given Retailer by Purchaser because it is proceeds, but Finance has priority if it meets requirement of rule.

B. SECURED PARTY VS. PURCHASERS

1. Basic Rule: First In Time

Time of Perfection vs. Time of Purchase.

2. Debtor Has Permission To Sell

When Debtor has permission to sell, security interest is extinguished upon sale.

3. Buyers In Ordinary Course

BIOC take free of all security interests **created by seller**.

Example: Retailer gives Security Interest to Bank on all of its inventory. Retailer sells an item of inventory to a BIOC. Buyer takes free of the security interest.

Consumer Purchasers take free of all **unfiled** (even though perfected) security interests.

Example: Buyer gives a PMSI on a stereo set, to be used as consumer goods, purchased from Seller. Seller does not file, although Seller has a perfected security interest (automatic perfection). If Buyer sells to Subpurchaser who takes as a consumer buyer, Subpurchaser takes free of security interest.

5. Commercial Paper And Securities

Holders in Due Course of Commercial Paper and Protected Purchasers of Securities take free of all security interests on paper or securities

C. SECURED PARTY VS. CREDITORS

1. In General

Secured Party takes over unsecured creditor

2. Lien Creditors

First in time prevails. Time of perfection vs. time lien attached. But 20-day grace period for purchase money security interests

3. Statutory Liens

Liens granted by statute take priority over security interests if property is in possession of lienor, unless statute subordinates lien

D. SECURED PARTY VS. TRUSTEE IN BANKRUPTCY

1. In General

Trustee is a lien creditor as of date petition is filed.

2. Preferential Transfers

Trustee's right to avoid preferential transfers

- a. Transfer by debtor to creditor (When?)
- b. While debtor insolvent (remember presumption of insolvency)
- c. Within 90 days of filing of petition
- d. Creditor obtains greater share

Example: Debtor owes Creditor \$1,000. The loan is unsecured. On January 15, Debtor gives Creditor a security interest on her car. Creditor files on March 15. Debtor files a

petition in bankruptcy on June 5. This is a preferential transfer and the trustee can avoid the security interest.



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**MULTISTATE ESSAY EXAM REVIEW
TRUSTS**

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TRUSTS AND FUTURE INTERESTS

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TRUSTS AND FUTURE INTERESTS

I. INTRODUCTION TO TRUSTS

A. GOVERNING LAW

As with wills and estates, the law of trusts developed from the common law. Most states have statutes governing the administration of trusts, however, the Uniform Probate Code ("UPC") has been less influential regarding trusts than it has been regarding wills. As a result, most citations in these notes are to the *Restatement (Second) and (Third) of Trusts* with occasional references to the UPC and the series Scott and Fratcher, Scott on Trusts (Little, Brown and Co., 4th edition 1987) ("Scott on Trusts"). There are also references to the *Restatement (Second) of Property 2d, Donative Transfers* in the sections dealing with the interpretation of testamentary gifts to classes.

B. DEFINITION OF A TRUST

A trust is a **fiduciary relationship** in which a trustee holds legal title to property subject to an equitable obligation to protect or use the property for the benefit of a beneficiary, who holds equitable title. The **separation of legal and equitable title** is an essential element of a trust, and a merger of the two terminates the trust. Thus the sole trustee cannot be the sole beneficiary. Since multiple trustees hold as joint tenants and multiple beneficiaries take as tenants in common, the legal and equitable interests will not merge even if the same persons are joint trustees and the only beneficiaries. *Restatement (Second) of Trusts*, §115.

C. TRUST DISTINGUISHED FROM OTHER RELATIONSHIPS

1. Agency

A trust is not an agency relationship. Unlike an agent, a trustee holds title to the property and is not subject to continuing supervision.

2. Debtor-Creditor

A trust is not a debtor-creditor relationship. A creditor has a personal claim against the debtor only for the amount of the debt, while a trust beneficiary has an equitable interest in specific trust property and may trace the trust corpus.

3. Bailment

A trust is not a bailment. A trustee has legal title to, not merely possession of, the property and has greater powers over the property, as well as a higher level of fiduciary duty than does a bailee.

II. TRUSTS

A. CLASSIFICATION OF TRUSTS

Trusts may be classified as express trusts or trusts created by operation of law.

1. Express Trusts

Express trusts are created by the expressed intention of the owner of the property and are further classified by the identity of the beneficiaries into **private express trusts** and **public or charitable trusts**. They are also classified by the time at which they take effect, as **inter vivos** (or **living**) or **testamentary** trusts.

2. Operation Of Law

Trusts created by operation of law are of two types: **resulting trusts**, where intent to create a trust is implied in law, and **constructive trusts**, which are not really trusts but are an equitable device to remedy fraud or unjust enrichment.

B. CREATION OF EXPRESS TRUSTS

1. In General

The question of whether an express trust has been created must be examined in the light of various factors: whether the attempted creation was by declaration or transfer, voluntary or contractual, testamentary or inter vivos.

a. Declaration or transfer

A settlor may become trustee of property held for the benefit of another, retaining legal title and transferring only equitable title. Such an action is called a **declaration in trust**. When the settlor transfers legal title to another person as trustee for a specified beneficiary, a trust is created by a **conveyance in trust**.

b. Voluntary or contractual

1) Voluntary

A voluntary trust is one created without consideration, either by declaration or transfer. For a **voluntary conveyance** in trust, there must be a completed transfer of legal title, as by execution and delivery of a deed to land or a delivery of personal property to the trustee.

A **voluntary declaration** in trust requires a clear showing of intent to create a trust. By case law in some states, if the declaration of trust is oral, there must be notice to and acceptance by the beneficiary, but no notice is required if the trust is in writing. In most states, intent may be shown by notice to the beneficiary that a trust has been created for the beneficiary, or by segregation and labeling of the trust property, but lack of notice does not necessarily defeat the declaration of trust. *Restatement (Second) of Trusts*, §36, *DeLeuil's Exec's v. DeLeuil*, 255 Ky. 406, 74 S.W.2d 474 (1934) (evidence that father rented a safe deposit box in the name of his daughter and placed stocks and bonds therein sufficient to show declaration of trust).

2) Contractual

A promise to create a trust in the future requires consideration for enforceability. *Restatement (Second) of Trusts*, §30. If there is a valid contract to make a trust and the owner of property attempts but fails to create a present trust, a court will enforce the promise to make a trust once the required elements of a trust are present.

Example: A trust that fails for lack of a present trust res will spring into existence when the settlor later acquires such property if there was a contract to create a trust, but not if the trust was voluntary.

c. Testamentary or inter vivos

The classification of a trust as **testamentary** (taking effect at the settlor's death) or **inter vivos** (taking effect during the settlor's life) affects not only the formalities required for creation, but also the settlor's ability to amend the trust. (See, "Capacity of Settlor" and "Necessity for Writing," *infra*.)

2. Required Elements

a. In general

The elements required for the present creation of a private express trust are:

- 1) a settlor with **capacity**,
- 2) **intent** to create a trust expressed with appropriate formalities,
- 3) specific trust **property** (the trust res),
- 4) a sufficiently identifiable **beneficiary**, and
- 5) a proper trust **purpose**.

A trust will not fail for lack of a trustee, unless the settlor specifies that the existence of the trust is dependent on acceptance by the named trustee.

b. Capacity of the settlor

The creation of a **testamentary** trust requires testamentary capacity and freedom from fraud, undue influence, or mistake that would vitiate all or part of the will. Creation of an **inter vivos** trust requires a present capacity to convey the trust property. *Restatement (Second) of Trusts* §§18, 19.

c. Intent to create a trust

It is essential that the settlor have intent to create a trust relationship and that such intent be clearly stated and the terms of the trust specified, but no particular form of words is necessary and the word "trust" need not be used. *Restatement (Second) of Trusts*, §§23, 24.

1) Nature of intent

The settlor must intend to create a trust at the present time; the creation of a trust cannot be conditioned on some future event, and there must be a present trust res

and present ascertainable beneficiaries. *Restatement (Second) of Trusts*, §26. The settlor must intend to separate legal and equitable title and to impose enforceable duties upon the trustee.

2) Precatory language

Language transferring property upon a “wish,” “hope,” “request,” or “desire” that the transferee use the property for the benefit of another does not ordinarily create a trust since it does not clearly express intent to impose enforceable duties upon the transferee. *Farmers Bank of Clinch Valley v. Kinser*, 169 Va. 69, 192 S.E. 745 (1937); *Restatement (Second) of Trusts*, §25. A court may find that a trust has been created despite such precatory language, however, where the circumstances show that the settlor did intend to impose mandatory duties and otherwise described the property, beneficiaries, and terms of the trust with certainty. The court may consider the settlor’s relationship to the trustee and to the proposed beneficiaries, including whether such beneficiaries had a natural claim on the settlor’s property or had been promised support. *Spencer v. Childs*, 1 N.Y.2d 103, 134 N.E.2d 60 (1956).

d. Necessity for writing

1) In general

A **testamentary** trust must be created by a formally executed writing that satisfies the Statute of Wills. *Restatement (Second) of Trusts*, §53. An **inter vivos** trust may be created orally if it involves only personal property. *Restatement (Second) of Trusts*, §52.

2) Estates in land

An express trust in land, under the Statute of Frauds in most states, must be manifested or proved by a writing signed by the settlor while the settlor holds title, or by the trustee if legal title has been conveyed to a trustee. *Restatement (Second) of Trusts*, §41. Some states have no equivalent of Section 7 of the English Statute of Frauds expressly covering the creation of trusts in land. Some of these states hold that a trust in land is covered by a Statute of Frauds provision on contracts involving land or on a conveyance of an interest in land. These states may distinguish between a conveyance in trust and a declaration in trust, holding that the latter is not within the Statute. *Restatement (Second) of Trusts*, §39, comment a. A few states impose no Statute of Frauds requirement on trusts in land. Where a writing is required, a separate letter signed by a grantor of land stating that the grantee holds the land for the benefit of others satisfies the writing requirement if written before or at the time the grantee took title. Only a few jurisdictions require that the writing actually create or declare the trust. A memorandum will satisfy the Statute of Frauds only if it states with reasonable definiteness the trust property, beneficiaries, and trust purpose. *Restatement (Second) of Trusts*, §46.

3) Oral trusts in voidable

An oral trust in land is voidable only by the trustee. *Restatement (Second) of Trusts*, §51. A trustee is not required to perform the oral trust, but may choose to do so. *Restatement (Second) of Trusts*, §43. The oral trust may be taken out of the Statute of Frauds by part performance, by the beneficiary's taking possession with consent of the trustee and making substantial improvements or repairs or paying taxes. *Restatement (Second) of Trusts*, §50. An oral promise to hold proceeds from the sale of land in trust is not within the Statute of Frauds and will be enforced when the trustee sells the property. A trust created by operation of law need not satisfy the Statute of Frauds. (See, "Gifts by Implication," *infra*.)

4) Parole evidence rule

If there is a writing evidencing the trust, the parole evidence rule prevents the admission of extrinsic evidence to contradict the terms of the instrument, but the parole evidence rule does not bar proof of fraud, duress, or mistake. *Restatement (Second) of Trusts*, §38.

5) Minority rule

A minority of states has adopted the rule that where an express trust cannot be proven for failure to comply with the Statute of Frauds, the grantor may be able to recover the value of the land conveyed.

e. Trust res

A trust must have specific identifiable property that the settlor has a present right to convey at the creation of the trust. The property must be clearly described or be capable of being ascertained with certainty and must be an alienable interest. Thus, a trust cannot be created in a nontransferable tort claim.

The property must be in existence. It may be a contingent interest but not a mere expectancy. *Restatement (Second) of Trusts*, §§85, 86. However, the trust property may consist of a patent, a debt, or contract right to life insurance proceeds.

f. Valid trust purpose

A private express trust can be created for any purpose that is not illegal or contrary to public policy. A trust will not be enforced if it was given for illegal consideration (e.g., agreement to suppress prosecution for crime, *Bettinger v. Bridenbecker*, 63 Barb. 395 (N.Y. 1865)), if it would involve the commission of a criminal or tortious act, or if it was created to defraud creditors. *Restatement (Second) of Trusts*, §§59-64. Trust provisions that encourage divorce or significant disruptions of family relationships are against public policy. Furthermore, gifts to individuals that attempt to limit the beneficiary's freedom to marry will be scrutinized as to their reasonableness. The entire trust will fail for illegality only if the illegal provision cannot be separated from the other provisions without defeating the purpose of the settlor in creating the trust. *Restatement (Second) of Trusts*, §65.

g. Beneficiary**1) In general**

A private trust is not valid without an ascertainable beneficiary capable of enforcing the trust. The actual individual need not be named at the time the trust is created, but the trust must set forth a sufficient description to allow the beneficiary's identity to be ascertained within the period of the Rule Against Perpetuities. *Restatement (Second) of Trusts*, §112. An inter vivos trust will fail if the beneficiary dies before the creation of the trust. In the case of a testamentary trust, the disposition of a gift to a beneficiary who predeceases the settlor will be according to the anti-lapse statutes. (See also, "Anti-Lapse Statute" in the MicroMash Decedents' Estates chapter.) There is no limit on the number of beneficiaries of a trust, and the settlor may also be a beneficiary. *Restatement (Second) of Trusts*, §§113, 114.

2) Exception for charitable trusts

The requirement of an ascertainable beneficiary does not apply to charitable trusts. (See, "Settlor as Sole Beneficiary," *infra*.)

3) Duty of loyalty owed to co-beneficiary

Co-beneficiaries and successive beneficiaries owe a duty of loyalty to each other in much the same way that the trustee owes a duty of loyalty to the trust. (See, "Powers and Duties of Trustees," *infra*.) A beneficiary who consents to a breach by the trustee of the trustee's duty, but does not profit from the trustee's breach, is not liable to the other beneficiaries for any loss. However, if the beneficiary consents, and profits from the breach, or participates in the breach, the beneficiary will be liable to the other beneficiaries for any loss. *Restatement (Second) of Trusts*, §256.

C. REVOCATION OF EXPRESS TRUSTS

An inter vivos trust may be revoked, in whole or in part, by the settlor, without affecting its validity. However, revocation will be allowed only according to the terms of the trust. *Restatement (Second) of Trusts*, §330 defines "terms of the trust" as the manifestation of the intention of the settlor "expressed in a manner that admits of itself proof in judicial proceedings."

1. Presumed Irrevocable

In the absence of any terms of the trust indicating whether or not the trust is revocable, most states will presume that the trust is irrevocable.

2. Trust Created By Writing

In the case of a written trust document, the court will look to the writing to see if the settlor has reserved the power to revoke. Parol evidence will be admitted to interpret any ambiguities in the document.

3. Unwritten Trust

A trust created by other than a written document is presumed to be irrevocable. *Restatement (Second) of Trusts*, §330. However, evidence may be introduced to show that the settlor intended to reserve the power to revoke. Such circumstances are similar to those necessary to modify or terminate a trust. (See, “Modification of Trusts,” *infra*.)

4. Method Of Revocation

The settlor must follow the method of revocation, if any, specified in the trust instrument. Therefore, if the trust requires the beneficiaries’ consent before it can be revoked, the settlor cannot revoke without their consent. Where the settlor fails to set forth a specific manner of revocation, any action that manifests the settlor’s intent to revoke is acceptable. *Restatement (Second) of Trusts*, §330, comment i. The revocation takes place when the settlor indicates an intent to revoke, not when the trustee learns of the revocation.

5. Effect On Creditors

Unless otherwise provided by statute, a settlor’s creditors cannot compel the settlor to exercise a power of revocation. Statutes that change this rule include those governing bankruptcy and taxes.

6. Settlor As Sole Beneficiary

The settlor as sole beneficiary may compel the termination of the trust even though there was no reservation of the power to revoke and the instrument specifically stated that the trust was irrevocable. This rule does not apply if the settlor becomes incapacitated after the creation of the trust. The settlor must have the same capacity to revoke the trust as was needed to create it in the first place. *Restatement (Second) of Trusts*, §339.

D. TYPES OF TRUSTS

1. Testamentary Trusts

a. In general

A testamentary trust is one created by will or other document in which the death of the settlor is a condition precedent to the creation of any interest under the trust. A trust is testamentary whether made by will or by a transaction inter vivos such as a deed, unsealed writing, or parol declaration. The trust must be ascertainable from the will or other documents properly incorporated, or from facts that have significance apart from their effect upon the disposition of the property. *Restatement (Second) of Trusts*, §54. (See also, “Facts of Independent Significance” in the MicroMash® Decedents’ Estates outline.) In the event the trust fails, but the intention to create a trust appears in the will, the devisee or legatee may be compelled to hold the property upon a resulting trust from the estate of the testator. *Restatement (Second) of Trusts*, §54, comment a. (See, “Resulting Trusts,” *infra*).

b. Distinguished from inter vivos trust

Because an inter vivos trust does not require the same formalities as the execution of a will, the trust must be effectively created during the lifetime of the settlor rather than at the settlor's death. However, under the modern rule, a trust is not considered testamentary merely because the settlor acts as trustee, or retains administrative control over the trustees and retains a life estate in the beneficial interest of the property as well as power to amend or revoke the trust. *Restatement (Second) of Trusts*, §57; *National Shawmut Bank of Boston v. Joy*, 315 Mass. 457, 53 N.E.2d 113 (1944). Such a transfer may be found "illusory," however, to the extent the settlor in effect defeated the elective share of the surviving spouse by removing such property from the estate. *Newman v. Dore*, 275 N.Y. 371, 9 N.E.2d 966 (1937); *Sullivan v. Burkin*, 390 Mass. 864, 460 N.E.2d 572 (1984). Some states look at the settlor's intention; others apply a per se rule of invalidity as to the spouse's claims. (See, "Trust Accounts" in the MicroMash Decedents' Estates chapter.)

2. Pour-Over Trusts

A will may add property to an existing trust; this includes a funded or unfunded life insurance trust, even though the settlor has reserved any or all rights of ownership of the insurance contracts. The trust **must be identified in the will**, and the terms of the trust must be set forth in a written instrument **executed before or concurrently with the execution of the testator's will**, or in the valid last will of a person who predeceased the testator, regardless of the existence, size, or character of the corpus of the trust. The devise or bequest is not invalid because the trust is amendable or revocable, or because the trust was amended after the execution of the will or after the death of the testator. Unless the will provides otherwise, the property so devised or bequeathed:

- a. becomes a part of the trust to which it is given (i.e., it is not deemed to be held under a testamentary trust of the testator), and
- b. is administered and disposed of in accordance with the terms of the trust as the trust exists on the date of the testator's death.

In most states, a revocation or termination of the trust before the death of the testator causes the devise or bequest to lapse. UPC §2-511.

3. Charitable Trusts

a. Creation

Charitable trusts are favored by the law, are liberally construed, and are exempt from some of the restrictions that apply to private express trusts. A charitable trust may be created by any of the methods for creation of an express trust, and there must be a settlor with capacity to convey, properly expressed intent, and a specific trust res. The differences concern the beneficiaries, the trust purpose, time period restrictions, and power of enforcement.

1) Beneficiaries

In order for a trust to qualify as charitable, there must be a **public benefit** so the persons to be benefited must be members of an **indefinite class**.

2) Time restrictions

The Rule Against Perpetuities applies to contingent gifts to a charity, except where a valid gift to a charity is followed by a possible remote gift over to a second charity. However, once created, a charitable trust **may be perpetual**. The Rule Against Accumulations also does not restrict charitable trusts, unless the accumulation is found to be unreasonable.

3) Purpose

A charitable trust must have a **purpose that is recognized in the law as charitable**, such as the furtherance of health, religion, education, governmental establishments such as parks or museums, and the relief of poverty or discrimination. However, private charitable trusts may be enforced by the state even though the settlor's purpose was discriminatory, so long as the state is not involved in the administration of the trust. *In re Wilson*, 59 N.Y.2d 461, 452 N.E.2d 1228, 465 N.Y.S.2d 900 (1983) (beneficiaries of trust providing college scholarships were to be men only). A gift in trust for such **charitable** purposes as the trustees may select is a valid charitable trust. *Restatement (Second) of Trusts*, §396. On the other hand, a gift to such persons, societies, etc., as the trustees may consider most "deserving," without further limitation, does not create a charitable trust. Where a gift results merely in financial enrichment of the beneficiaries, a charitable trust will be found only if the recipients are poor or needy.

Example: A trust in which payments of income were to be made to each child enrolled in a certain public school twice a year, before Christmas and Easter, was found to be a private trust subject to the Rule Against Perpetuities rather than a charitable trust. Language that the money was to be "used by [each] child in the furtherance of his or her obtainment of an education" was found to be irrelevant in determining the purpose of the trust since it imposed no enforceable duty on the trustee. *Shenandoah Valley Nat'l Bank of Winchester v. Taylor*, 192 Va. 135, 63 S.E.2d 786 (1951).

4) Revocation and modification

A charitable trust may not be revoked or modified by the settlor unless the settlor has reserved a power to do so. However, a charitable trust may be rescinded or reformed on the same grounds as those upon which a private trust may be rescinded or revoked. *Restatement (Second) of Trusts*, §§366-7.

b. Enforcement

Another difference between private and charitable trusts is that the duty of enforcing charitable trusts generally rests with the state Attorney General, and neither the settlor nor any member of the community who might benefit from the charitable trust may

bring suit to enforce it. A charitable trust may be enforced by an individual only if that individual has a special interest not shared by the general public.

c. Cy pres

1) In general

The cy pres doctrine is applicable in situations in which the specific charitable purpose intended by the settlor has been accomplished, can no longer be accomplished, or some other change in circumstances renders it impracticable to administer the trust as provided by the settlor, and the settlor has manifested a more general intention to devote the property to charitable purposes. A court may apply the gift to another charitable purpose as near as possible to the settlor's original intent (within the settlor's general charitable intention). *Restatement (Second) of Trusts*, §399. Courts have tended to continue enforcing the settlor's original charitable gift even though the trust is no longer in fact making much contribution to the community. Statutes in some states now allow termination when the value of the trust's assets falls below a specified dollar amount and the court finds the continuation of the trust to be uneconomic. The trust assets can then be distributed outright to the charitable beneficiary.

2) Alternate beneficiaries

The cy pres doctrine is not applicable when the trust instrument specifies an alternate beneficiary. It is also inapplicable when the settlor fails to manifest a general charitable intent. In such cases, the trust will pass to either the alternate beneficiary, or will revert to the settlor, or the settlor's estate.

3) Contrary to public policy

A court may also decline to enforce a charitable trust that promotes an illegal activity, or is contrary to the public interest. Where a trust failed for excessive involvement of the city of Macon, Georgia, in the settlor's discriminatory scheme (the city was named trustee of a trust in which real property was to be operated as a public park for the exclusive use of white persons), the Georgia courts could allow the trust to fail rather than reform the trust to allow nonwhites to benefit contrary to the settlor's wishes. *Evans v. Abney*, 396 U.S. 435 (1970).

E. ALIENABILITY OF TRUST INTERESTS

1. Voluntary Transfer

A beneficiary may, under certain circumstances, transfer an interest in a trust to another person. The settlor, however, may restrict transfers in any way that does not violate statute or public policy. The rules set forth here are general rules that apply in the absence of proof the settlor intended to prevent or limit transfers.

a. Capacity required

The transfer may be by either inter vivos transaction or by will. The recipient may be any entity capable of possessing the interest. For example, the beneficiary may give

the interest to another individual, may transfer the interest to another trust with the beneficiary either as trustee or as beneficiary, or may sell the interest for valuable consideration. Unless forbidden by the terms of the trust, a beneficiary with the capacity to transfer may transfer the interest to the same extent the beneficiary can transfer any other property. So that an infant cannot transfer her share of the income from a trust for lack of legal capacity to enter into an enforceable contract, but her father may be able to transfer his share. Jurisdictions are split on whether notice to the trustee is necessary.

b. Intent to make a present transfer

To effectuate a voluntary inter vivos transfer, the beneficiary must manifest an intention to make a present transfer. Notice to and acceptance by the transferee of a present transfer is not necessary. Nor does a present transfer require consideration. However, promises by the beneficiary to transfer in the future are enforceable only to the extent any other contract is enforceable: there must be consideration, a meeting of the minds, etc. A transfer need not be in writing, except to the extent required by the Statute of Frauds. A transfer of an equitable interest in a trust can be rescinded or reformed to the same extent that a transfer of a legal interest can be reformed or rescinded.

2. Involuntary Transfer

a. In general

If a beneficiary dies intestate, the beneficiary's interest will pass to the beneficiary's heirs according to the applicable distribution statute. The trust cannot change the rules of distribution, but can call for the trust to terminate upon the death of the beneficiary. A beneficiary's share may be included in the augmented estate for the purpose of determining the surviving spouse's share, depending on the local statute. Upon the death of the beneficiary, creditors may reach the beneficiary's interest to the same extent that they could reach a corresponding legal interest.

b. Co-beneficiaries

When a co-beneficiary dies, the terms of the trust control. If a trust is created under which the income is payable to two or more beneficiaries, and the principal is payable to another on the death of the survivor of the income beneficiaries, and one of the original beneficiaries dies, the survivor or survivors are entitled to the deceased beneficiary's portion of the income until the death of the last survivor, unless the settlor manifested a different intention. *Restatement (Second) of Trusts*, §3143. For example, if the trust calls for Miriam and Josh to share the income of the trust for their lives, and upon their deaths the principal is to be paid to Brian, upon Miriam's death, Josh will begin to receive her share of the income. Later, on Josh's death, Brian will receive the principal.

3. Restrictions On Alienation

In general, creditors cannot reach more of the trust than can the debtor beneficiary. The trust may provide that the beneficiary's interest will terminate if he tries to alienate it,

including if the beneficiary files for bankruptcy. (See, "Spendthrift Trusts," *infra*.) A provision for the postponement of enjoyment of the trust does not prevent alienation.

F. PROTECTIVE TRUSTS

1. Discretionary Trusts

Generally, unless the terms of the trust provide otherwise, a beneficiary's equitable interest in income or principal may be voluntarily assigned and may be subjected to the claims of judgment creditors of the beneficiary. However, a settlor may protect the beneficiary's interest through a **discretionary trust**, in which the beneficiary has no right to income until the trustee decides to pay it. *Restatement (Second) of Trusts*, §155. The trustee may be given the discretionary power to pay income at any time, or to accumulate it, and the power to distribute income as the trustee sees fit among several beneficiaries. Neither the beneficiary nor the beneficiary's creditors can compel payment, but creditors can reach any interest paid by the trustee. *Hamilton v. Drogo*, 241 N.Y. 401, 150 N.E. 496 (1926).

2. Support Trusts

A **support trust** is one containing a provision that only so much of the income as is necessary for the beneficiary's support may be paid out. *Restatement (Second) of Trusts*, §154.

3. Spendthrift Trusts

In most states, the settlor may create a "**spendthrift trust**," thereby prohibiting anticipatory transfer of the beneficiary's interest in income or principal as well as making the trust fund unreachable by creditors. *Restatement (Second) of Trusts*, §153. When a spendthrift trust is created, by statute or by the terms of the trust itself, the beneficiary is rendered unable to voluntarily or involuntarily transfer his interest in the trust. It is against public policy for the settlor to prohibit only involuntary alienation of the beneficiary's interest. However, once a beneficiary receives a distribution from the trust, the beneficiary's creditors may reach that distribution. The spendthrift trust beneficiary may also make a revocable assignment of income ordering the trustee to make payments to the assignee as each installment accrues. *In re Keeler's Estate*, 334 Pa. 225, 3 A.2d 413 (1939). In most states, a spendthrift provision will not bar the claims of the beneficiary's spouse or children for support, nor of creditors for necessities supplied to the beneficiary or the beneficiary's family. *Restatement (Second) of Trusts*, §157. This type of trust is usually created to provide income for the maintenance of a beneficiary that will be protected from his errors in judgment. **To prevent frauds on creditors, the law does not allow a person to create a spendthrift trust for the person's own benefit.** *Ware v. Gulda*, 331 Mass. 68, 117 N.E.2d 137 (1954).

G. POWERS OF INVASION

1. In General

Often a trust instrument will grant a trustee power to invade principal if the income from the trust is insufficient for the comfort, maintenance, and support of the income

beneficiary. Where the provision in the trust instrument authorizes invasion of principal where “necessary” or when the beneficiary is in “need,” the trustee must consider other sources of income of the beneficiary to determine whether he or she is in need. *Peckham v. Newton*, 15 R.I. 321, 4 A. 758 (1886). If the trust instrument does not phrase the power in those terms, the trustee is not required to consider income that the beneficiary has from other sources. Where the trustee has power to invade principal, a decision regarding the need to do so will not be disturbed unless plainly wrong.

2. Express Or Implied Power Required

Without some express or implied power in the trust instrument, a court will not invade the trust principal for a life income beneficiary where there are other remaindermen to be protected. An income beneficiary who is also the sole remainderman may request acceleration of the corpus before the time stated for its distribution if the beneficiary can show some real need which was unforeseen by the settlor. *Whittingham v. California Trust Co.*, 214 Cal. 128, 4 P.2d 142 (1931). Some states will allow invasion to aid a needy income beneficiary even though there are other nonconsenting beneficiaries. *E.g.*, *In re Wolcott*, 95 N.H. 23, 56 A.2d 641 (1948). However, under the *Restatement (Second) of Trusts*, §168, the principal may not be invaded for a needy beneficiary if such invasion would impair the interests of other beneficiaries, even though not yet ascertained or in being.

H. MODIFICATION OF TRUSTS

1. By The Settlor

Once a valid trust has been created, the settlor may modify or revoke the trust only to the extent allowed by the terms of the trust. *Restatement (Second) of Trusts*, §331. If a trust is created by a written instrument and the settlor mistakenly omits a power to modify or revoke, the settlor may petition the court for reformation. *Restatement (Second) of Trusts*, §332. Where no consideration is paid for the creation of the trust, it can be rescinded or reformed upon the same grounds as the transfer of property not in the trust, i.e., fraud, duress, undue influence, or mistake. *Restatement (Second) of Trusts*, §333, comment a.

There is no presumption of mistake. A settlor must prove the absence of a clause retaining the power to revoke was unintentional in order to obtain reformation. A court may consider factors such as:

- a. that a lack of a reservation of the power to revoke would be an improvident act;
- b. the settlor had no legal advice when the trust was created;
- c. the relationship between the settlor and the beneficiary; and
- d. the settlor’s reasons for creating the trust.

Restatement (Second) of Trusts, §332, comment a.

2. By The Beneficiaries

Since a trust may be terminated by the agreement of the settlor and all the beneficiaries, it follows that the trust may also be modified by an agreement between the same parties. In theory, they must first terminate the trust by directing the trustee to convey the property to them and then reconvey the property into a new trust with different terms. *Scott on Trusts* §338.

Example: If, by the terms of the trust, or by statute, the interest of a beneficiary is inalienable, if the settlor agrees, the beneficiary may convey the interest regardless of the wishes of the other beneficiaries as long as they are not prejudiced by the action. *Restatement (Second) of Trusts*, §338, comment h.

I. TERMINATION OF TRUSTS

1. Termination By Execution Of Passive Uses

If the owner of property attempts to create a trust in which the trustee has no duty or purpose other than holding title to the property subject to the present and total use by the beneficiary, such a “passive” trust terminates automatically and title vests in the beneficiary. It is said that the Statute of Uses “executes” a passive trust or “use.” While the Statute of Uses by its terms applies only to realty, courts apply an analogous doctrine to execute passive trusts of personal property, on the ground that there can be no trust without a purpose or enforceable duties. *Bellows v. Page*, 88 N.H. 283, 188 A. 12 (1936).

2. Termination By The Settlor

a. Power to revoke retained

Once a valid trust has been created, it terminates according to its own terms and in most jurisdictions cannot be terminated before that by the settlor unless the power to revoke was expressly retained. A trust may be set aside if its execution was induced by fraud or undue influence, but generally not for a mistaken understanding of the terms. *Pernod v. American Nat'l Bank & Trust*, 8 Ill.2d 16, 132 N.E.2d 540 (1956) (settlor claimed she did not understand the trust was irrevocable). *Restatement (Second) of Trusts*, §332 does allow reformation and revocation of the trust on such grounds, however.

b. Consent of all beneficiaries

A settlor who has not reserved the right to revoke may still revoke or amend the trust if the settlor obtains the consent of all the beneficiaries, who must be of legal age and not under guardianship. *Restatement (Second) of Trusts*, §338. The settlor as sole beneficiary can compel termination of the trust. *Restatement (Second) of Trusts*, §339. A settlor who attempts to revoke pursuant to a clause in the trust instrument must conform strictly to the terms of the power reserved to the settlor, as where notice must be given to the trustee. Where the power to revoke is “during the settlor’s lifetime,” the settlor cannot revoke the trust by will.

3. Termination By Beneficiaries

a. After settlor's death

After the settlor has died, courts are reluctant to terminate an active trust if that would interfere with the settlor's intent. The rule of *Claflin v. Claflin*, 149 Mass. 19, 20 N.E. 454 (1889) is that after the settlor's death, the trust will not be terminated before the period specified by the settlor has expired and the purposes of the trust have been accomplished, even though all of the beneficiaries approve of such termination. A material purpose of the trust may be to require the trustee to hold and manage the trust property until the beneficiary reaches an age beyond 21, such as 25 or 30. However, where no material purpose of the settlor remains, the court may allow termination upon request of the beneficiaries, if all have vested interests, are before the court to grant approval, and are of legal age and not under guardianship. If the trust creates the possibility of interests in unborn beneficiaries, the trust may be impossible to terminate, unless a statute permits the appointment of a guardian ad litem for an unconceived child. *Underhill v. United States Trust Co.*, 227 Ky. 444, 13 S.W.2d 502 (1929). Some states by statute permit a trust to be terminated with the consent of all living beneficiaries. See, N.Y. Est. Powers & Trusts Law §7-1.9; *Matter of Peabody*, 5 N.Y.2d 541 (1959). If the trust is a spendthrift or discretionary trust, courts are likely to find that the settlor's purpose of protecting the beneficiary continues and the trust cannot be terminated by consent. *In re Bosler's Estate*, 378 Pa. 333, 107 A.2d 443 (1954).

b. With consent of the trustee

While the trustee alone has no power to terminate the trust unless such power was expressly granted, the trustee and beneficiaries acting together can effect a termination without court order by a conveyance of legal title from the trustee to the beneficiaries, or by other conveyance that merges legal and equitable title thereby automatically terminating the trust. *Hagerty v. Clement*, 195 La. 230, 196 So. 330 (1940). A spendthrift trust cannot be terminated by a conveyance of the beneficiary's interest to the trustee because the interest is inalienable.

c. During settlor's lifetime

A trust may be terminated by consent of the settlor and all of the beneficiaries as long as none of them is under an incapacity. A partial termination may occur where only some of the beneficiaries consent, so long as the interests of the nonconsenting beneficiaries are not prejudiced. *Restatement (Second) of Trusts*, §338.

4. Termination By The Court

In an emergency, or other circumstances unforeseen by the settlor and causing the trust purpose to be impaired or frustrated, a court may terminate or modify the trust even though a material purpose of the settlor still exists or the beneficiaries do not or cannot all consent. *Restatement (Second) of Trusts*, §336. This is called "deviation."

J. POWERS AND DUTIES OF TRUSTEES

1. In General

a. Powers of trustee

The powers and duties of the trustee are established by the trust instrument and by statutes that generally confer certain powers upon trustees, unless the trust instrument specifically limits such powers. In addition to statutory powers and those granted by the trust instrument, the trustee may have implied powers that are necessary to administration of the trust and are not prohibited by law or the terms of the trust. Some powers may be personal to the trustee named by the settlor if the settlor clearly intended them to be exercised only by that individual. States vary on whether co-trustees must act unanimously unless the trust instrument otherwise provides. Most states require only a majority of the trustees to agree to an action.

b. Appointment

If a person named as trustee refuses to serve or fails to qualify, the court has wide discretion in naming a trustee or successor trustee to fill a vacancy. A foreign trustee may be required to take out letters in the county where any land that is subject to the trust lies. A foreign testamentary trustee must file copies of the will and proof of its probate and the appointment as trustee.

c. Resignation or removal

Once a trustee has accepted the office, the trustee may resign only by virtue of the trust instrument, permission of the court, or consent of all the beneficiaries. A petition for removal will not be granted if it is not in the best interests of the beneficiaries.

d. Compensation

A trustee is entitled to receive reasonable compensation for the services rendered, as well as reimbursement of expenses incurred. Furthermore, there is nothing improper, absent a contrary provision in the trust, in allowing extra compensation to a trustee who is also an attorney, for the performance of legal services necessary on behalf of the trust and not comprehended within the usual duties of a trustee. The reasonableness of the trustee's compensation and its apportionment between principal and income are determined by the court.

2. Duty Of Reasonable Care And Skill

a. In general

The trustee is required to exercise reasonable care and skill in managing the trust, unless the trust instrument imposes a lesser duty. A trustee who has special skills is under a duty to exercise them and will be held to a higher standard of care than the ordinary person. As long as the trustee exercises the required standard of care, the trustee is not strictly liable for mistakes in judgment. Provisions in the trust

instrument purporting to lower the trustee's standard of care are valid if not a result of overreaching by the trustee, but may not excuse breaches of trust made in bad faith.

b. Only purely administrative duties may be delegated

Without permission granted in the trust instrument, a trustee may not delegate the performance of duties to others, except duties that are purely administrative. While the trustee may employ agents or attorneys to perform proper services, or may seek expert advice on matters such as investment, the trustee is responsible for continuing supervision of any agents employed for the benefit of the trust and for making the final decision on any courses of action suggested by attorneys or other experts or professionals.

c. Duty to collect, preserve, and segregate trust property

The trustee has a primary duty to hold and preserve trust property against loss or waste. Trust property should be labeled as such and not be commingled with the trustee's own property or with funds from other trusts. A constructive trust will follow trust property commingled or wrongly used by the trustee, at least where any creditor or purchaser has actual or constructive notice of the breach of trust involved in the transaction. Where the trustee has commingled assets, the burden is on the trustee to show that any losses were not attributable to the trustee's own property and any gains were not attributable to trust property.

d. Duty to make property productive; prudent person rule

The trustee has a duty to invest or otherwise make trust property productive. Unless otherwise specified in the trust instrument, the trustee is required to observe the "prudent person" rule in managing trust investments. In general, a prudent trustee is obligated to refrain from putting too much of the trust fund into one investment. However, the duty to diversify investment of trust assets is less if the investment was made by the settlor and delivered to the trustee. Many jurisdictions statutorily allow the investment to remain in the form in which it was delivered and relieve the trustee of the attendant duties of care and skill of the prudent investor. Further, the trustee is not required to sell trust assets delivered by the settlor if there is a direction in the trust instrument to the contrary, there is no reason to fear for the safety of the investment, and there is no change in circumstances as known to the settlor.

A minority of jurisdictions specify a "legal list" of permissible investments rather than following the more flexible prudent person rule. Only in recent years have some "legal list" states begun to allow investment in stock of private corporations.

e. Duty to account

The trustee has a duty to account for trust property. While no particular form or method must be followed in accounting, provisions in a trust instrument purporting to relieve the trustee of the duty to account are invalid as against public policy. Once approved, an account will not be reopened or impeached except for fraud or manifest error, as where an important fact was susceptible of exact knowledge but the trustee did not make reasonable efforts to determine the true fact.

3. Duty Of Loyalty

The trustee is a fiduciary who owes a duty of loyalty and utmost good faith in all matters pertaining to the trust. The trustee must avoid conflicts between the trustee's own interests and those of the trust and must not enter into transactions with the trust in an individual capacity unless the trust instrument authorizes such action, the court grants permission, or all the beneficiaries, who must be of age, competent, and fully informed, consent to the transaction.

Example: In *In re Rothko*, 43 N.Y.2d 305, 372 N.E.2d 291 (1977), a conflict of interest was found when the executors of the painter Mark Rothko's estate consigned approximately 700 of the decedent's paintings to a gallery of which one executor was a director and with which another executor, an artist, hoped to curry favor. The gallery was to earn a commission of 50% on each painting sold. The trustee's duty of loyalty extends equally to life tenants and remaindermen; the trustee may not favor either over the other.

If the trustee purchases, in an individual capacity, property that should have been purchased for the trust, the beneficiaries can compel the trustee to hold such property subject to a constructive trust.

4. Duty To Act Impartially

A trustee has a duty to deal impartially with all beneficiaries of a trust regardless of whether the beneficiaries are entitled to interests in the property simultaneously or successively. *Restatement (Second) of Trusts*, §§182, 232. By the terms of the trust, however, the trustee may have discretion to favor one or more beneficiaries over others. The court will not control the exercise of such discretion, except to prevent the trustee from abusing it. Generally, in the case of successive or remainder beneficiaries a trustee must exercise care not merely to preserve the trust property, but to make it productive of trust income so that a reasonable amount of income will be available for the later beneficiary. *Restatement (Third) of Trusts*, §232, comment c.

5. Allocation Of Receipts And Expenses Between Income And Principal

a. Power of sale or contract

A trustee may sell and transfer trust property unless the trust instrument or the purposes of the trust indicate otherwise. In some states, the trustee may sell and convey realty only if such power is granted in the trust instrument; otherwise, the trustee must obtain court approval.

A trustee generally has the power to enter contracts on behalf of the trust and to execute all instruments that will accomplish or facilitate the exercise of the trustee's other powers.

b. Power to invest and manage trust property

A trustee has the power to invest trust property and generally must not leave trust funds uninvested. The trustee has corresponding duties to make the property productive and to use reasonable care and skill in choosing and managing investments.

The power to manage realty may imply the power to lease or improve the property, and possibly also to borrow against, or mortgage the property if necessary.

c. Uniform Principal and Income Act

1) In general

The majority of states have enacted the Uniform Prudent Investor Act, which enables a trustee to make prudent investment decisions without having to realize a particular portion of the portfolio's total return as traditional trust accounting income. To implement the adoption of this new set of rules, the majority of states have also enacted the Uniform Principal and Income Act, which applies to all trusts and estates unless the governing instrument provides otherwise. Basically, it gives the trustee an adjustment power to reallocate investment portfolio return, thereby empowering him to re-characterize items as income if the trustee deems it is appropriate or necessary to carry out the expressly stated purpose of the trust.

(a) Duty of fairness

The trustee is under a duty to administer the trust impartially based on what is fair and reasonable to all of the beneficiaries, except to the extent that the trust expressly or impliedly manifests an intent to favor one or more beneficiaries to the detriment of the others.

(b) Allocation power

If a specific amount to be distributed to the beneficiary as income is stated in the trust, then this must be treated as a baseline amount and the trustee must follow traditional trust accounting rules by distributing interest and dividend income to the beneficiary. If, however, the trustee subsequently determines that he is unable to comply with the duty of fairness, then the trustee may use his allocation power to adjust between principal and income to the extent that he considers necessary.

(c) Important factors

In deciding whether to exercise the allocation power, and to what extent, the trustee must consider the following factors:

- (1) the intent of the settler;
- (2) the nature, expected duration, and purpose of the trust;
- (3) the identity and circumstances of the beneficiaries;
- (4) the need for liquidity, regularity of income, and preservation and appreciation of capital;
- (5) the nature of the trust's assets;
- (6) the net amount allocated to income under the other sections of the Act and the increase and decrease in the value of the principal assets;

- (7) whether the trust gives or denies the trustee the power to invade the principal or accumulate income;
- (8) the actual and anticipated effect of economic conditions on principal and income and the effects of inflation and deflation; and
- (9) the anticipated tax consequences of the adjustment.

2) Allocation of receipts

The Act sets out specific rules as to how certain receipts and expenses are to be allocated between the income and principal accounts (subject to the allocation power of the trustee). In general, traditional accounting rules are followed.

(a) Corporate receipts

Money received from any business entity is characterized as income unless the money would be characterized as a capital gain for federal income tax purposes, or is received in partial or total liquidation of the entity itself. All other property received from an entity would be characterized as principal.

(b) Insurance proceeds

Life insurance proceeds are allocated to principal. Dividends on an insurance policy must be allocated to the account from which the premiums are paid. If the contract insures the trustee against a specific type of loss, then the proceeds are allocated to income.

(c) Ten percent rule for intellectual property

Proceeds from royalties and other assets whose value will diminish or terminate over time are allocated 10% to income and 90% to principal.

(d) Ten percent rule for deferred compensation

Periodic receipts from a deferred compensation plan are classified as income to the extent that they are characterized by the payor as income. The balance is principal. If no part of the payment is characterized as income, then 10% of the payment will be characterized as income and 90% is treated as principal.

(e) Unproductive property abolished

The unproductive property rule that required an income beneficiary to receive a portion of the sale proceeds from an unproductive asset as “delayed income” has been repealed.

3) Allocation of expenses

(a) To income

One-half of the regular compensation of the trustee; one-half of all expenses for accounting, judicial proceedings, and other matters affecting both income and remainder interests; the entire cost of ordinary expenses; and insurance premiums covering the loss of a principal asset are all charged against income.

(b) To principal

The remaining one-half of the compensation of the trustee and any advisors to the trustee; the remaining one-half of all expenses for accounting, judicial proceedings, and other matters affecting both income and remainder interests; payments on the principal of a trust debt; expenses of a proceeding that concerns primarily an interest in principal; estate taxes, and disbursements related to environmental matters are all charged against principal.

6. Liability To Third Parties

In the majority of states, a trustee is personally liable to third parties for torts, contract claims and claims arising from ownership of property. If not at fault, the trustee is entitled to indemnity from the trust assets. However, the trustee will not be indemnified if the actions were not to benefit the trust and amounted to a breach of the trustee's duties.

Under the Uniform Probate Code, a trustee is not personally liable on contracts, or for torts arising in the course of administration of the trust, unless the trustee fails to reveal the trustee's representative capacity and the identity of the trust, or unless the trustee was personally at fault. In these states, a creditor may impose liability directly on the trust assets without having first to impose liability on the trustee.

III. FUTURE INTERESTS**A. POWERS OF APPOINTMENT****1. In General**

A **power of appointment** is a power created by the donor of property, which enables another individual (the donee of the power) to designate transferees of the property and the shares they are to receive. The donor may limit the donee's power by specifying in what manner or upon what conditions the power may be exercised. For example, the donee may be given the right to exercise the power during the donee's lifetime, or may only be able to exercise the power in a will. The donee may be given the power to designate anyone in the world, including the donee's estate, or may be limited to choosing among individuals selected by the donor.

a. Estate planning flexibility

Powers of appointment are commonly used in trusts and wills because of the flexibility that they provide in an estate plan.

Example: H, a married man with young children, may wish to ensure that his wife and children are effectively provided for upon his death, but he may wish to give his wife (W) the flexibility to determine how much money is spent on each child. He might choose either a testamentary trust or a will that gives W (the donee) the power to choose how much of his estate should be distributed to each child at the time of W's death. H, therefore, might leave his entire estate "to W for life, and at her death to such of our children as she shall appoint by will." Because it is possible that W will fail to exercise her power of appointment in her will, H's will may further

provide “If W fails to make such an appointment, then to our children in equal shares.”

In this typical example H is the **donor**, W the **donee**, and the children the **objects** of the power, or **appointees**. The property to be disposed of by appointment is the **subject matter** of the power, and the provision for disposition if the power is not exercised is the **gift in default of appointment**.

b. Classification of powers of appointment

Powers of appointment are classified in several ways, including on the basis of the manner in which they may be exercised (by inter vivos deed, by will, or by either deed or will), and the permissible objects (appointees) specified.

1) General power

Where the donee of the power may appoint to anyone, including the donee or the donee's estate, the donee is said to have a **general power**. A general power exercisable by inter vivos deed is considered the equivalent of outright ownership of the property. The power to convey only by will is, of course, somewhat more restrictive.

2) Special power

Under a **special power**, the donee is limited by the donor's selection of the ultimate takers. Thus, the donor may have given the power to appoint certain property to “such one or more of my children as the donee may believe are in need,” or “to such of my descendants as the donee may select,” or “to such of the following charities as the donee may believe most deserving.” The examples above with H and W involve special powers of appointment.

2. Intent To Create Power Of Appointment

A power of appointment may be created in a trust, will, or other document, and no specific language is required. What is essential is that the donor's intention to create a power be discernible from the document. The New York statute specifying the rules for creation of a power of appointment is typical.

The donor of a power of appointment must:

- a.** Be a person capable of transferring the appointive property;
- b.** Have created or reserved the power by a written instrument executed by him in the manner prescribed by law; and
- c.** Manifest his intention to confer the property on a person capable of holding the appointive property.

N.Y. Est. Powers & Trusts Law §10-4.1.

3. Exercise Of Power

a. In general

Powers of appointment may be classified not only as general or special, but by the time at which the power may be exercised. A power exercisable only by will is a **testamentary** power. A power that may be exercised at any time by deed is a **presently exercisable** (or inter vivos) power.

The power must be exercised in the manner specified by the donor. Thus, a testamentary power whereby the donee purports to exercise by inter vivos conveyance will be ineffective. In the absence of restrictions by the donor, the donee effectively exercises the power whenever the donee's intent to exercise the power is evident. The majority view is that the donee may not delegate to others a power of appointment, but may circumvent this restriction by exercising the general power to create a partial estate (e.g., a life estate) and creating in a new donee a power of appointment to take effect when the partial estate has terminated. *Lamkin v. Safe Deposit & Trust Co.*, 192 Md. 472, 64 A.2d 704 (1949).

b. Exercise by residuary clause in donee's will

If a donee elects to exercise the power of appointment in the donee's will, most states require that there be a reference in the will to the exercise of the power. A gift of the donee's "remaining estate" or of the residue of the donee's estate is ineffective in most states to exercise the power of appointment. E.g., *Faulkner v. Faulkner*, 93 N.H. 451, 44 A.2d 429 (1945). The Uniform Probate Code, §2-704, phrases the matter differently:

If a governing instrument creating a power of appointment expressly requires that the power be exercised by a reference, an express reference, or a specific reference, to the power or its source, it is presumed that the donor's intention, in requiring that the donee exercise the power by making reference to the particular power or to the creating instrument, was to prevent an inadvertent exercise of power.

c. Exercise of special powers

Although a general power may be exercised by the donee to benefit the donee, the donee of a special power must exercise it in compliance with the expressed intention of the donor. If the instrument creating the special power enables the donee to distribute the subject matter to any one or more of the designated objects (appointees), the power is called **exclusive**. If the donee is required to distribute at least part of the subject matter to each object, it is a **nonexclusive** power. With a nonexclusive power, the donee determines the amount that each object, or appointee, will receive, but the donee may not refuse to distribute some part of the subject matter to each object. An extremely small share could be challenged by the object as an "illusory" exercise of the donee's power.

4. Failure To Exercise Power

When the donor has failed to provide for a gift in default of appointment, courts have reached different conclusions when a donee dies without having exercised the appointment. With a general power the donee's interest was tantamount to ownership (because the donee could have exercised the appointment in favor of the donee's own estate), and courts are much more likely to award the subject matter to the donee's estate than if the appointment was a special power.

A special power of appointment, whether exclusive or nonexclusive, designates the class of persons whom the donor wishes to benefit. It is likely, therefore, that when the donee fails to exercise the power, the court will distribute the subject matter equally to those named as permissive appointees by the donor. To reach this conclusion, courts have used several different rationales:

- a. that there is an implied gift in default of appointment to the objects of the power;
- b. that the donee holds the subject matter in trust, with a duty to exercise the appointment, and the court remedies the breach of duty by distributing the property to the objects; and
- c. that the donee's heirs or those who would otherwise take the property hold the subject matter in constructive trust for the objects.

5. Release Of Power

A donee may release, or destroy, a power of appointment in most circumstances. This differs from failure to exercise a power in that a donee who releases a power takes action to effect the release. A donee often releases a power for tax reasons, but may also do so to transfer the subject matter in a manner not necessarily intended by the testator.

Example: A donee of a special testamentary power can transfer property during the donee's lifetime to the person named as the taker in default, by releasing the power. A release of the power, which is normally made by written inter vivos instrument, is distinguishable from a disclaimer, or renunciation, where the proposed donee refuses to accept the power.

6. Creditors' Rights

a. In general

Creditors of the donee may seek to reach the assets of the power of appointment. Creditors will be unsuccessful in attempting to reach the subject matter of special power, because the donee serves in a capacity analogous to that of a trustee. Whether the donee's creditors can reach the subject matter of a general power varies by jurisdiction, and often depends upon whether the power has been exercised.

b. Reserved power

If the donor of the power reserves to the donor as donee the general power of appointment, creditors will be able to reach the assets. (The result is the same as if a person creates a spendthrift trust for the settlor's own benefit.)

c. Creditors have equitable right after power is exercised

If a general power has been exercised by will, the majority rule is that creditors have an equitable right to the subject matter to the extent the donee's estate is insufficient to pay their claims, regardless of the persons in whose favor the donee exercised the right. Where the donee has not exercised the power, however, the majority view would deny creditors any right to the subject matter. If the donee files for bankruptcy, however, the bankruptcy trustee would be able to reach these assets.

7. Rule Against Perpetuities Applied To Powers Of Appointment

All special powers of appointment and general testamentary powers are subject to the Rule Against Perpetuities. General inter vivos (or presently exercisable) powers are not subject to the rule because the donee of a general presently exercisable power has an interest that is tantamount to ownership.

A special power of appointment and a general testamentary power, since they both relate back to the time of the creation of the power, are void if the power is capable of being exercised beyond the period of perpetuities.

B. RULE AGAINST PERPETUITIES

1. Common Law

The common-law Rule Against Perpetuities holds that a beneficiary's interest in a trust is void unless it must vest, if at all, within 21 years after some life in being at the creation of the trust.

2. Wait-And-See (Second Look Doctrine)

There has been a modern trend toward reform of the Rule Against Perpetuities. One reform adopted by some states has been the "wait-and-see," or "second look" doctrine for contingent future interests. Under this doctrine, the court's determination of whether the rule has been violated depends upon what actually happened rather than what might have happened.

a. Wait and see doctrine codified

Many states have adopted the Uniform Statutory Rule Against Perpetuities, which codifies the "wait and see" rule. Under this rule, a nonvested property interest is valid if it is either certain to vest within the common-law rule period **or actually does vest or terminate** within 90 years after its creation. Thus, a nonvested property interest, which would be invalid under the common-law Rule, is allowed a grace period of 90 years within which to vest. This means that, in general, a future interest cannot be declared invalid until 90 years after its creation.

b. Modification of disposition

Moreover, the statute has a reformation provision that allows a court, on the petition of "an interested person," to modify any disposition that does not vest within the 90-year period so that it follows the grantor's intent as nearly as possible, but does in fact vest within 90 years. This provision is very similar to the cy pres doctrine applicable

to charitable trusts. Thus, a court can modify a disposition so that it can be saved by the “wait and see” rule. UPC §2-903.

3. Other Reforms

Other reforms adopted or proposed by courts and legislatures include:

- a. providing that where the Rule would be violated because the interest is contingent upon a person attaining an age in excess of 21, the age contingency will be reduced to 21;
- b. stating that a fee simple determinable or a fee simple subject to right of entry for condition broken will become an absolute fee if the specified contingency does not occur within a specified period (e.g., 30 years), regardless of whether the bequest or devise would have violated the Rule Against Perpetuities and regardless of whether the succeeding interest is a reversionary type or an executory interest.
- c. providing that where the Rule would be violated because a person who might take is referred to as the spouse of another, without other identification, it will be presumed that the reference is to a person in being on the effective date of the instrument;
- d. providing that if the validity of a disposition depends on the ability of a person to have a child in the future, it will be presumed that a male cannot have a child under the age of 14, and a woman can have a child only between the ages of 12 and 55, but evidence may be given to establish whether he or she is actually able to have a child at the time in question; or
- e. providing that if the duration or vesting of an interest is contingent upon the probate of a will, appointment of a fiduciary, location of distributees, or settlement of an estate, it will be presumed that the creator of the interest intended the contingency to occur within 21 years from the effective date of the instrument creating the interest.

C. RULE AGAINST ACCUMULATIONS

A private trust may accumulate income only for the period of the Rule Against Perpetuities, unless a different period is set by statute. While the Rule Against Perpetuities is concerned with restraint on alienation of property as a result of the creation of uncertain and remote future interests, the Rule Against Accumulations is concerned with the tying up of wealth as the result of unreasonable accumulation requirements. A gift that vests within the period of the Rule Against Perpetuities will be valid although a provision as to the same gift requiring accumulation beyond the period of the Rule will be stricken.

IV. CONSTRUCTION PROBLEMS

A. GIFTS TO CLASSES

1. Definite Class

The members of a definite class of persons can be the beneficiaries of a single trust. *Restatement (Second) of Trusts*, §120. The members of the class do not have to be treated equally. A trust may authorize a trustee to determine which members of the class shall take and in what proportion. The trust must, however, set forth standards to guide the trustee. *Moss v. Axford*, 264 Mich. 288, 224 N.W. (1925) (testatrix gave power to trustee to hold the residue of her estate in trust for the “person who has given me the best care in my declining years and who in his opinion is the most worthy of my said property”).

2. Indefinite Class

A class is indefinite if the identity of the individual members is not ascertainable. A transfer in trust to members of an indefinite class does not create a trust simply because there will be no beneficiary to enforce it. (See, “Beneficiary,” *supra*.) Therefore, the trust will fail completely if none of the members are ascertainable. So, for example, if the class of beneficiaries of a testamentary trust is described in a document that fails to comply with the Statute of Wills, the trust will fail. *Restatement (Second) of Trusts*, §122, comment e.

However, the trustee may still have authority to transfer the property if the trust grants the trustee the discretion to transfer to those members of the class the trustee selects. Once a beneficiary becomes ascertainable, the trust can be enforced.

3. Applicability Of Rule Against Perpetuities

A gift in trust to a class will fail if the beneficiaries are not ascertainable within the period of the rule. Therefore, if the beneficiaries are ascertainable only when chosen by the transferee, the authority to choose cannot last longer than the period under the rule. (See, “Rule Against Perpetuities,” *supra*.)

B. GIFTS TO HEIRS OR FAMILY

Gifts to “heirs” present issues not present in gifts to other classes. The designation “family” will be construed according to the circumstance. It may include only those relatives that share the home of a particular designated person, or it may be so vague as to constitute an indefinite class. *Restatement (Second) of Trusts*, §120, comment b. There can be a trust for the relatives of a designated person among whom the trustee is authorized to select who shall take and in what proportions. *Restatement (Second) of Trusts*, §121. In the absence of a contrary intent of the transferor, if the trustee fails to exercise the power to choose among the relatives, at the expiration of the trustee’s authority, the property will be distributed equally among the next of kin. Next of kin has been defined as those relatives who would inherit according to the state statutes of distribution. *Scott on Trusts* §121. If the property is left in trust for an indefinite class of relatives, and the trustee is not given the authority to choose among them, the trust will fail for lack of ascertainable beneficiaries. *Minot v. Attorney*

General, 1189 Mass. 176, 75 N.E. 149 (1905). (See, “Indefinite Class,” *supra*, and “Children and Issue,” *infra*.)

C. RULE IN SHELLEY’S CASE

1. In General

The Rule in Shelley’s Case states that where the beneficiary of a will or trust is given a life estate in real property, and the same document gives the remainder of the same property to the beneficiary’s heirs, the interests merge, and the beneficiary takes the remainder as well as the life estate. Strictly speaking, the Rule in Shelley’s Case is not a rule of construction, but a rule of law. It does not aid in determining the intention of the testator and may actually frustrate it.

2. Quality Of Title Must Be Equivalent

The rule only applies when the quality of the title in the beneficiary (or ancestor) and the beneficiary’s heirs is equivalent. The remainder will vest in the ancestor only if both take equitable title or both take legal title. The rule does not apply if the ancestor takes an equitable title and the heirs take legal title.

3. Abolished In Most States

The rule has been abolished in most states. *Restatement (Second) of Trusts*, §127. Where the rule is applicable, it is not favored and is strictly construed. 96 C.J.S. *Wills* §870. When it is used, it is important in the determination of the identity of the beneficiaries of the estate. (See, “Beneficiary,” *supra*.)

D. DOCTRINE OF WORTHIER TITLE

1. In General

As with the Rule in Shelley’s Case, the Doctrine of Worthier Title is used to determine the identity of the beneficiaries. **However, it is a rule of construction, rather than a rule of law.** When applied to inter vivos dispositions, it states that a disposition to the heirs of the grantor creates a reversion in the grantor and not a remainder in the heirs.

Example: The grantor states “to A for life and then to my heirs.” The Doctrine gives a reversion to the grantor, rather than a remainder to the grantor’s heirs.

2. Abolished In Most States

Many states and the UPC have abolished the rule. UPC §2-710. The states that still apply it consider it a rule of construction that creates a rebuttable presumption that the grantor intended not to create an interest in the grantor’s heirs, but to reserve a reversionary interest in the grantor. *Scott on Trusts* §127.1. The rule can be defeated by a clear manifestation of the grantor’s intent to create an interest in the grantor’s heirs.

E. GIFTS TO CHILDREN AND ISSUE

1. In General

a. Children

Gifts to a class designated as “the children” of a particular person, in the absence of proof of intent to the contrary, will include only the first generation descendants of the designated person, i.e., children, but not grandchildren. *Restatement (Second) of Property 2d, Donative Transfers*, §25.1. Also excluded are sons-in-law, daughters-in-law, and stepchildren of the designated person. *Restatement (Second) of Property 2d, Donative Transfers*, §25.6.

b. Issue

When a class is described as issue, descendants, grandchildren, siblings, nephews and nieces, cousins, or other similar relationship, the best way to determine which individuals are included is to substitute the word “children” for the actual class described, and apply the rules set forth below. *Restatement (Second) of Property 2d, Donative Transfers*, §25.8-9.

Example: The beneficiaries of a gift or trust are described as the “siblings of A.” A’s parents have been married several times each, have each adopted step-children, have donated sperm and eggs to others, and have taken in foster children. The meaning of the term “siblings” can become unclear in such a situation. The Restatement suggests the best analysis is to substitute the word “children” for the term “siblings,” and apply the rules set forth below regarding adopted children, step-children, etc., to determine membership in the class.

c. Family

A gift to a class described simply as “the family” of a designated person has no clear meaning and its interpretation varies among the states, but includes at least that person’s spouse and minor children. *Restatement (Second) of Property 2d, Donative Transfers*, §25.10.

2. Adopted Children

Issues related to the rights of adopted children to take as part of a class gift can be divided into two categories: children who were adopted into the settlor’s family, and those who were adopted outside the settlor’s family. As with any class gift, an individual may be excluded upon proof that the donor intended the exclusion.

a. Adopted into settlor’s family

Both the UPC and the Restatement include adopted children of the donor in gifts to the “children” of the donor. (See, “Share of Children and Remote Descendants” and “Class Gifts” in the MicroMash Decedents’ Estates outline.) Also included are adopted children of another if that child has lived with the designated person, whether before or after the adoption, while a minor. UPC §2-705; *Restatement (Second) of Property 2d, Donative Transfers*, §25.4. Neither rule includes individuals adopted as

adults unless that individual was raised in the designated person's household. The rationale is that an adopted child raised by the designated person has become assimilated into the household and is, therefore, more a member of the family than an adult raised elsewhere. Adopted children who do not meet the requirements of the class, either because the class closed before the adoption, or they do not meet the survival requirement, will be excluded in the same manner as any other class member.

b. Adopted out of settlor's family

1) In general

In the absence of proof of intent to the contrary, a gift to a class described as the children of a designated person does not include a child who was adopted by another if that adoption removes the child from the broader family circle of the designated person. *Restatement (Second) of Property 2d, Donative Transfers*, §25.5. This section, as well as many state statutes, allows for the fact that children are often adopted by a stepparent after the death of a parent. The rule provides for the continued relationship between the child and the deceased parent's family, and the child, in effect, becomes the potential beneficiary of class gifts from three families: the natural parents' families and the stepparent's family. Some states allow for the adoption order to continue inheritance rights in any instance. Colorado Rev. St. §15-11-109 (Supp. 1986). A few states simply do not sever the parent-child relationship for inheritance purposes.

2) Relationship terminated before the adoption

In the case where the relationship between the child and a natural parent was terminated before the adoption, the general rule is that the child is no longer a child of the natural parent for inheritance purposes. *In re Will of Ragone*, 116 Misc.2d 993, 459 N.Y.S.2d 649 (Sur. Ct., N.Y.Co. 1981), *rev'd*, 87 A.D.2d 457, 452 N.Y.S.2d 410 (1st Dept. 1982), *rev'd mem.*, 58 N.Y.2d 864, 447 N.E.2d 76, 460 N.Y.S.2d 528 (1983) (where testator had only one child, from his first marriage, who was adopted by his former wife's subsequent husband, will that left to testator's second wife so much of his estate as if he died intestate was interpreted to grant second wife the entire estate. The court held the son was no longer a distributee of the testator, his natural father).

3. Children Born Out Of Wedlock

a. In general

Under the common law, a child born out of wedlock was considered a child of no one and could inherit from no one. The modern trend is away from such discrimination. Under the UPC, a child born out of wedlock and the child's respective descendants are included in class gifts when appropriate. UPC §2-705(a). *See, also, Restatement (Second) of Property 2d, Donative Transfers*, §25.2. However, UPC §2-705(b) would exclude any gift by other than the parent, if the child never lived as a minor "as a regular member of the household of that natural parent or of that parent's parent, spouse or surviving spouse." A donor may still exclude such a child from a class gift

or residuary clause by a clear showing of such intent. *Re Estate of Dulles*, 494 Pa. 180, 431 A.2d 208, 17 ALR 4th 1279 (1981) (the court held that while the settlor may discriminate, in the absence of proof of such intent, the court would not impose a judgment of the sovereign that burdens children born out of wedlock).

b. Proof of paternity required

In order for the child to inherit from or through the father, the child or the child's guardian must submit proof of paternity. UPC §2-611. Such proof varies from state to state from a simple acknowledgment of paternity by the parents, to the requirement for a court order determining paternity. Some states will include the child if that child could inherit under the intestacy statutes. Some states have statutes granting legitimacy to all children born within the state. All states recognize inheritance through the mother.

4. Children Conceived By Means Other Than Sexual Intercourse

A gift to the children of a designated person will include children conceived by means other than sexual intercourse if the designated person recognizes the child as his or her child. *Restatement (Second) of Property 2d, Donative Transfers*, §25.3.

Example: If a woman is impregnated by artificial insemination by a man other than her husband, but the child is to be raised as a child of the woman and her husband, that child would be included in a class described as the children of either the mother or her husband. The child is not a child of the sperm donor unless there is an agreement to the contrary.

Example: The child of a surrogate mother who actually relinquishes the child to the sperm donor, is not a child of the natural mother.

In vitro fertilization with donated eggs and sperm provide further permutations on the problem. The new technology raises such problems as posthumous children born even years after the death of both parents. The Restatement takes the position that the class will close under the old rules, and these children will simply be excluded. In this particular area, the courts and the Restatement have had a difficult time keeping pace with technology.

F. DEATH WITHOUT ISSUE

When a donor makes a gift to a designated person and that person's issue, but if that designated person dies without issue the gift shall go to a third person, the third person does not have an interest in the gift until the designated person actually dies without issue. (See, "Gifts to Children and Issue," *supra*, for definition of issue). If the designated person dies with issue, the gift may be interpreted as creating an interest in the issue after the death of the designated person. So that if the gift is to Sam for life, but if he dies without issue to Aaron, it will be interpreted to mean that Sam's issue take on his death, but if there are no issue, Aaron will take. *Restatement (Second) of Property 2d, Donative Transfers*, §25.9.

G. GIFTS BY IMPLICATION

1. Resulting Trusts

A resulting trust is one implied in law from the presumed intent of the parties to certain types of transactions. The intent to create a trust for a conveyance of the property back to the settlor or the settlor's heirs, which is implied from certain circumstances, may be rebutted by evidence showing the settlor's intention that there be no resulting trust. Circumstances giving rise to a presumption of a resulting trust are basically of two types.

a. Failure or inadequacy of express trust

When the settlor has attempted to create an express trust which fails for any reason, such as for failure to designate a definite beneficiary, the court will find that the trustee holds the property in a resulting trust for the settlor or the settlor's heirs or successors, on the presumption that this would accord with the settlor's intention had the settlor known the trust would fail. *Haskell v. Staples*, 116 Me. 103, 100 A. 148 (1917).

The same doctrine applies when the trust property is in excess of that needed for trust purposes, such as where the settlor directs payment to the beneficiary of income as necessary for support, but makes no provision for excess income. The amount of the excess will be held in resulting trust for the settlor or those taking through the settlor.

b. Purchase money conveyances

In most states, when one person pays consideration for the transfer of property, but title is taken in the name of another, a purchase money resulting trust arises from the presumed intent that the person paying for the property should receive the beneficial use of it. However, if the one paying or becoming responsible for payment has an obligation to support the person in whose name title is taken, there is a presumption that a gift was made. While the type of presumption depends solely on the type of relationship between the parties, courts will look at all the facts surrounding the transaction, and the presumption of a gift or of a resulting trust may be rebutted by clear and convincing evidence. Proof regarding intent as to the nature of the transaction may be by parol evidence, since resulting trusts are not within the operation of the Statute of Frauds. Some states, like New York, do not recognize purchase money resulting trusts.

A resulting trust must arise at the time of purchase; a subsequent transfer of title without consideration upon an oral promise to hold in trust does not create a resulting trust. If the person who did not take title paid only part of the purchase price, a resulting trust may arise to the extent of the contribution, provided there is clear and convincing evidence of:

- 1) the payment, and
- 2) that it was for some specific part or distinct interest in the property.

2. Constructive Trusts

A constructive trust is an equitable device employed, despite the absence of any intention of the parties to create a trust, to avoid unjust enrichment of one party at the expense of another where legal title to property was obtained either by fraud, in violation of a fiduciary or confidential relationship, or by testamentary devise or intestate succession in exchange for a promise to hold in trust. *Restatement (Second) of Trusts* § 347.

The constructive trust is merely a passive, temporary trust in which the trustee's sole duty is to transfer the title and possession of the property to its rightful owner, which might be the original owner or might be the intended beneficiary.

a. Fraud

A constructive trust will be imposed where property has been acquired as the result of fraud, as where A conveys property to B upon B's promise to later reconvey it to A or upon a promise to convey it to C. *Lipp v. Lipp*, 158 Md. 207, 148 A. 531 (1930) (mother, who was suffering from cancer, conveyed real property to son with understanding that she would have right to reside there and that son would support her for the remainder of her life). The constructive trust remedy requires, however, that B's promise was false at the time of the conveyance to him. If B intended to fulfill his promise at the time of the conveyance, no constructive trust will arise even though B later decides to break his promise and refuses to reconvey the property.

b. Violation of fiduciary or confidential relationship

A constructive trust will be imposed upon property that is obtained in violation of a fiduciary relationship, such as attorney and client, trustee and beneficiary, physician and patient, business partners, employer and employee, or accountant and client. Abuse of the fiduciary relationship can be shown by evidence of self-dealing or the use of confidential information to the advantage of the recipient at the expense of the one who disclosed the information.

While a family relationship alone does not constitute a fiduciary relationship, it can become a confidential relationship under certain circumstances. A confidential relationship does not ordinarily exist between business persons who should be dealing with one another at arm's length, but the mere existence of a business relationship between the parties does not of itself preclude the finding of a confidential relationship. Where the grantor conveyed property to the grantee, or gave the grantee confidential information about property to be bought or sold, in reliance on that person's business acumen, a constructive trust will arise in property received, bought, sold, or otherwise used in abuse of such confidence.

c. Secret trusts on testamentary transfers

The Statute of Wills prevents proof of an **express** trust where a devisee or heir orally agrees to hold a testamentary transfer in trust for another, but clear and convincing proof of the oral promise will be allowed to impose a **constructive** trust on the ground of unjust enrichment because the testator died without making a will or

without changing or revoking one **in reliance** on the promise. The recipient of the property holds it on constructive trust for the testator's intended beneficiary whether or not the recipient intended fraud. *Strype v. Lewis*, 352 Mo. 1004, 180 S.W.2d 688 (1944); *Restatement (Second) of Trusts*, §55.



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